A Maharatna Company

STORES MANAGEMENT SYSTEM MANUAL

(CORPORATE MATERIALS MANAGEMENT)

NTPC LIMITED

(A Government of India Enterprise)

ENGINEERING OFFICE COMPLEX,
A-8A, Sector- 24, NOIDA 201301

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NTPC
A Maharatna Company

Stores Management System Manual

IIIrd Edition:November - 2018

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Published By : CORPORATE MATERIALS MANAGEMENT

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Corporate Material Management

Quality Policy

- Corporate Materials is committed to follow the Quality Management System and continual improvement of its effectiveness through issuance of policies and guidelines for the Materials Management function to facilitate uniform implementation by the stations to achieve transparency, cost effectiveness and time frame for execution

- Corporate Materials shall effectively implement the above policies in all its function specifically in the area of Procurement, Risk Management and Custom Clearance meeting customer, statutory and regulatory requirement.

Quality Objectives

- To optimize insurance coverage for NTPC station in succeeding year keeping in view past experience and business environment

- To reduce spares inventory and improve plant availability of stations through identification of interchangeable spares and disposal of Non Moving spares.

- To reduce the Import Clearance Cost and Time.

- To finalize the contract and arrange availability of Materials, Works and Services within scheduled time period and at optimum cost

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टी.आर. दत्ता
कार्यकारी निदेशक
कारपोरेट संविदा व सामग्री

T.R. DATTA
Executive Director
Corporate Contracts & Materials

एन टी पी सी लिमिटेड
(भारत सरकार का उद्यम)
NTPC Limited
(A Govt. of India Enterprises)
(Formerly National Thermal Power Corporation Ltd.)
नोएडा कार्यालय/NOIDA OFFICE

FOREWORD

In a large organization like NTPC, it is necessary to have a very strong system oriented functioning in various disciplines. Stores is the place where the maximum Working Capital is invested in the form of inventory and as such critical attention is required.

Accordingly, there is huge responsibility of Stores professional to keep the inventory in Right quantity & perfect condition so that while the user requires, the same can be made available immediately. Good Inventory Management results in Good financial position of an organization.

Stores Management is the one of the most important commercial activity of the Integrated Materials Management System. Without the proper stores accounting procedure and systems related to Stores, the Management of Stores will be in jeopardize..

The Stores Management includes the following important activities.

1) Receipt & Inspection of Materials
2) Insurance &Claim Documentation
3) Custody & Preservation of Materials
4) Issue and accounting of Materials
5) Coordination for Stock Verification
6) Material planning & inventory Control for Stock Items

Stock Verification & Disposal Functions are one of the most critical area where much attention is needed to improve and implement effectively as per latest circulars / guidelines.

In order to implement all the above activities effectively and systematically in Stores Management functions, it is very much necessary to have proper systems/guidelines/norms in every activity.

The 2nd Edition of Stores Manual was issued way back in 2004 during the pre-SAP era..

After implementation, SAP based ERP system in NTPC there has been a sea change in all the Stores Management activities and during this period many systems, guidelines & norms have also been changed. Out of the many changes, Stock Verification procedure & Disposal of Scrap &Surplus, Obsolete & Unserviceable items are the major changes effected.

In any organization, the Stores discipline shows how the organization is performing in a systematic manner. Stores is the Mirror of a large organization and by visiting the Stores of any Organization, you can simply judge the organization performance & discipline.

I hope that the Third Edition of the manual shall be very much useful to all the Stores professionals and others involved in this area and will act as a **HAND BOOK FOR STORES** in NTPC.

I would request that the laid down procedures/guidelines/norms are fully implemented by all the concerned to have uniform policy & procedures on PAN NTPC basis. While implementing this manual, valuable suggestions, feedback if any, are welcome and will be suitably taken care at the time of reviewing the Manual in future.

14/11/16

(T.R.DATTA)

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CHAPTER-1.0

INTRODUCTION

1.0 INTRODUCTION

The Stores of an industrial set-up is considered as a measuring point to judge the effectiveness of Material Management Services. Stores operation involves multidimensional activities including clearance and despatch of goods, inspection and inward movement of materials, claims and settlement, receipt, stocking, issue, preservation, safety and security of materials, requisition for recoupment, stock verification, disposal of scraps etc.

The fundamental requirement for success of Stores Management is it's proper functioning. As such stores function should be organized systematically so as to enable the stores personnel to discharge their duties effectively. For this purpose, a systematic guide for stores function has been envisaged through Stores Management System Manual.

This Manual will act as a guide book for facilitating stores personnel to perform their activities with confidence within the framed rules and regulation of the company so that uniform / standardised procedures are practiced in all projects / stations / offices.

Since the earlier manual was prepared quite a long time ago, it is felt necessary to review and recast the same in view of implementation of SAP system and to include additional guidelines/ information pertaining to technological advancement / upgradation of modern storage system and computerisation of Materials Management activities with exclusion of obsolete systems.

This 3rd edition is also provided with the Process of SAP-MM/WM Module, New Codification method etc. The recent Circulars for Physical Stock verification, disposal of Non Moving items etc. have also been included in order to implement uniformly and effectively throughout NTPC.

Main Objectives of this Manual are:

- To define scope of each stores activities
- To guide execution of activities
- To spell-out the interfaces among other Material Management function
- To detail the uniform/standardized procedures
- To implement the SAP system effectively

However, the objectives of this Manual will be fulfilled only on implementation of the procedures / guidelines by stores personnel at each step for betterment / streamlining the stores management system.

CHAPTER-2.0

ORGANISATION

2.0 ORGANISATION

2.1 OBJECTIVE

Site Materials Management function is to ensure adequate and timely supply of the right material of right quality to the respective users for smooth functioning of Power Plant/Project. In this context STORES WING plays a vital role in maintaining uninterrupted material flow during construction and operation stage of the project / station.

2.2 STORES FUNCTION

In view of the above objective, Site Stores is to execute their job in line with over all policy and guideline framed by Corporate Materials Management Group with a view to have integrated approach and adoption of uniform practices.

A. To arrange clearance, receipt, inspection, acceptance and storage of materials.

B. To regulate inventory, planning and budgeting through liaison with all associated departments. e.g. Purchase, User, FQA, IT/ERP and Finance etc.

C. To review the stock positions of AR (Automatic Recoupment) items and prepare PRs based on corporate guidelines / norms.

D. To Store and preserve the material ensuring proper handling facilities.

E. To arrange insurance policies covering various types of risk coverage, lodging of claims and follow up with insurance agencies for early settlement.

F. To identify non-moving, surplus and obsolete materials and arrange their disposal.

G. To maintain proper up-to-date records of issue, receipt, rejection etc.

H. To generate all relevant MIS for circulation as per format.

I. To review the performance Periodically/Annually with that of agreed Standard / Benchmark to assess the achievement level as well as comparison of the same with other Stores of NTPC.

J. To carry out/assist Stock Verification Activities on Periodical basis.

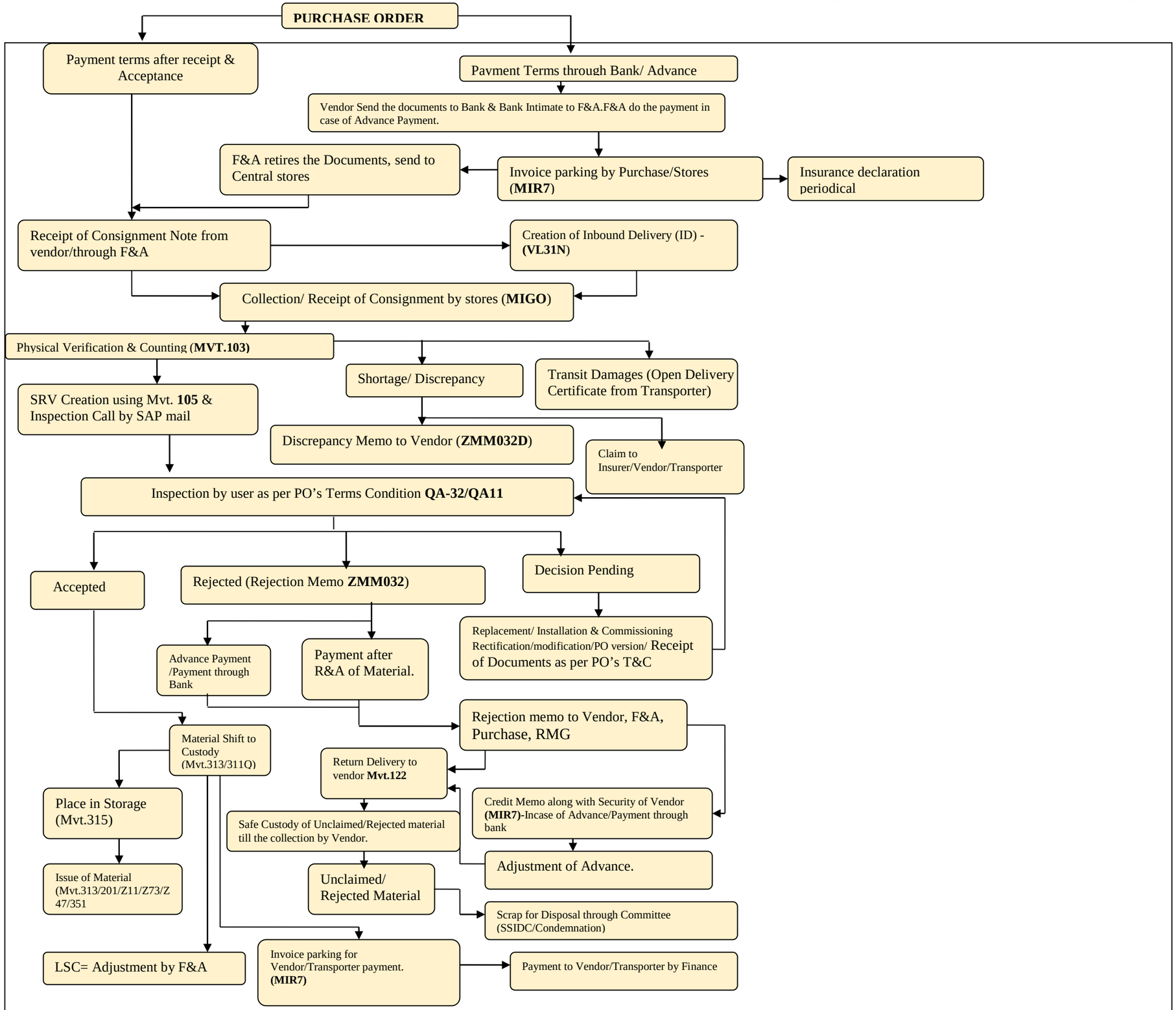
2.3 DETAIL ACTIVITY LIST OF ALL SECTIONS

GOODS RECEIPT		
Clearance and Dispatch	**Receipt and Inspection**	**Risk Management**
a. P. O. Receipt b. Dispatch Document c. Clearance of goods d. Door delivery e. Clearance from Wagon f. Preparation of Inbound Delivery g. Receipt from Port after C. C. h. Impress fund Mgmt. i. Payment to Transporter j. Bulky material – direct delivery k. Reports	a. Receipt of Materials b. Preparation of 103 Mvt., 105 Mvt. c. Inspection d. Preparation of Transfer Documents e. Short / excess discrepancy & Rejection memo f. Emergency Issue g. Sample Approval h. Rejection / Return i. Preparation of regularizing SRV j. Parking of Invoice for payment. k. Reports	a. Procurement of Insurance Policies b. Preference evaluation c. Co-ordination d. Claim Settlement e. Wrong / Excess / Short supply intimation f. Settlement of Rejection g. Reports

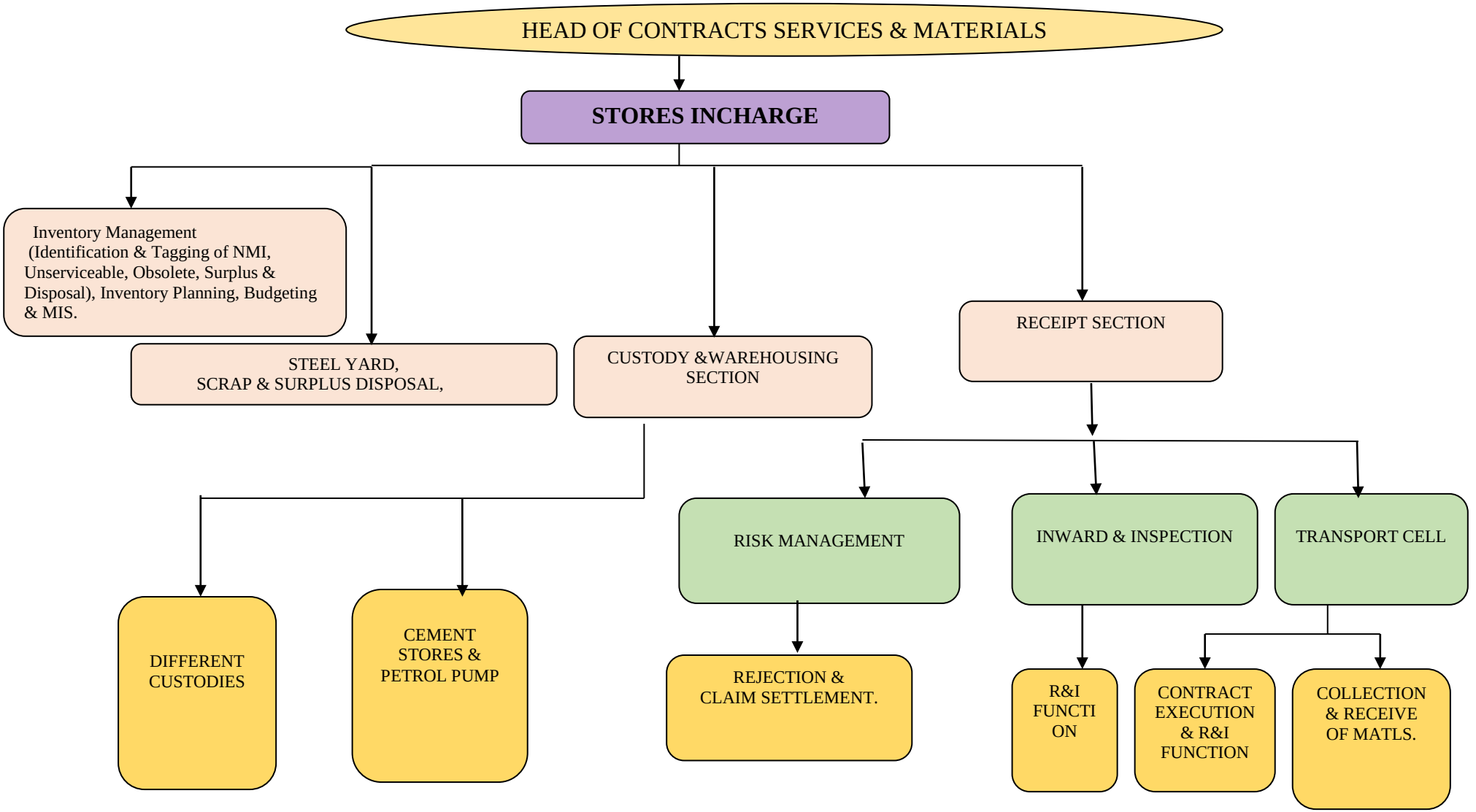
CUSTODY & WAREHOUSING				
Issue & Receipt	**Warehousing & Storage**	**Preservation**	**Stock Verification**	**Scrap & Surplus Management**
a. Receipt of material & control of Transfer Documents, Reservation, MRN b. Issue SIV, MTN c. NA Certificate d. Issue on Loan basis. e. Gate pass	a. Safety and Security b. Housekeeping c. Storage d. Bin Management e. Pending reservation regularization f. Reports	a. Material Preservation b. Maintaining Storage hygiene	a. Physical stock verification b. Stock adjustment / write-off c. Reports	a. Scrap & surplus material identification b. Declaration of surplus stock list. c. Disposal modality fixation by SSIDC. d. Sale by auction e. Surplus management f. Reports

MATERIAL PLANNING & INVENTORY CONTROL	
Policy Planning & Monitoring	**Inventory Management**
a. Planning of Inventory b. Fixation of Inventory level & review c. Inventory analysis d. Material Management Planning e. Preparation of PRs of AR items f. Reports	a. Identification & Tagging of NMI, Unserviceable, obsolete, Surplus & Disposal.

2.4 PROCESS FLOW CHART OF STORES



2.5 ORGANISATION STRUCTURE FOR STORES SECTION



NOTE: 1. Generally stores wing will be headed by E7/E8 level, however the lower level of executive will be decided based on available manpower.

2.6 INDICATIVE MANPOWER FOR STORES SECTION(1000 MW AND ABOVE)

STORES IN-CHARGE-(E7/E8)

CELL	CATAGORY
1. Goods Receipt a. Clearance & Dispatch. b. Inspection & Inward c. Risk Management	Executive (E7/E6-1, E1/E2/E3/E4/E5-2) Non-Executive –3
2. Custody & Warehousing a. Mechanical Store. b. Electrical & C & I store . c. General Stores. d. Lubes, oil, cement, construction Stores e. Open Yard & Scrap Yard f. Petrol Pump g. Material Planning, Inventory Control & MIS.	Executive (E7/E6-1, E1/E2/E3/E4/E5-3) Non-Executive –3(Depends upon Number of Sheds) Data Operator-1

Total Manpower	
EXECUTIVE	7
NON EXECUTIVE	6
DATA OPERATOR	1
TOTAL	14

NOTE: Contract labours for the above scope is not included.

2.7 INDICATIVE MANPOWER FOR STORES SECTION(2000 MW AND ABOVE)

STORES IN-CHARGE-(E7/E8)

CELL	CATAGORY
1. Goods Receipt a. Clearance & Dispatch. b. Inspection & Inward c. Risk Management	Executive (E7/E6-1, E1/E2/E3/E4/E5-3) Non-Executive –6
2. Custody & Warehousing a. Mechanical Store. b. Electrical & C & I store . c. General Stores. d. Lubes, oil, cement, construction Stores e. Open Yard & Scrap Yard f. Petrol Pump g. Material Planning, Inventory Control & MIS.	Executive (E7/E6-1, E1/E2/E3/E4/E5-3) Non-Executive –8 (Depends upon Number of Sheds) Data Operator-1

Total Manpower	
EXECUTIVE	9
NON EXECUTIVE	12
DATA OPERATOR	1
TOTAL	22

NOTE: Contract labours for the above scope is not included.

CHAPTER-3.0

GOODS RECEIPT

3.0 GOODS RECEIPT

3.0.1 Introduction:

This section initiates all pre-requisites in smooth transfer of materials on its arrival to the R&I section. This section shall be responsible for getting the goods cleared from different transporting agencies. On receipt of the materials, Inbound Delivery, MIGO (103 Mvt. & 105 Mvt.) are prepared, goods are inspected and finally handed over to the custody section.

This section also raises discrepancy and rejection memos whenever damages, rejections and short falls are noticed and deals with the concerned authorities, which include Insurance Companies, Transporters, Suppliers etc. and makes settlement of claims.

This section is further sub-divided into three functions for monitoring and control:

A) Goods Clearance and Dispatch Group(GCDG)
B) Goods Inspection and Inward Group(GIIG)
C) Risk Management Group(RMG)

SUB CHAPTER-3.1

GOODS CLEARANCE AND DESPATCH GROUP

3.1 GOODS CLEARANCE AND DISPATCH GROUP

3.1.1 FUNCTIONS

The function of Clearance and Dispatch group is to arrange receipt of goods and transfer the same to GIIG and performs the following activities in general.

A. To receive Documents
B. To maintain LR/RR register.
C. To arrange clearance of materials from different clearing point of various transport agencies / authorities e.g.
   (i) Road Transport / Railway Go-down (ii) Railway Yard (iii) R.P.P (iv) Domestic Airport/Seaport for Imported Consignments through T&CC
D. To receive materials at receipt section itself in case of door delivery.
E. To prepare inbound deliveries.
F. To maintain accounts for different incidental charges towards Clearance & Dispatch including Imprest account.
G. To obtain Shortage / Damaged certificate from appropriate transporting agencies
H. To handover the material to GIIG
I. To dispatch of Material to other Project & External Agencies.
J. To dispatch rejected & other material for repair or transfer to other Plants. Any Material send for Repair to Vendor (Already payment done), Indemnity bond will take from Vendor.
K. To inform Risk Management Group (RMG) for abnormally delayed consignment in transit
L. To obtain sanction of payment of Demurrage / Wharfage charges.

3.1.2 ACTIVITIES IN DETAIL

A. Receipt of Document

i) Receipt of Purchase Order and Amendments:

A hard copy of P.O and subsequent Amendments if any will be kept serially purchase order-wise. The P.O is also available on-line in the Computer. GCDG can view the Purchase Order and Amendments to track the supply position.

ii) Receipt of Despatch Documents:

GCDG shall receive despatch document from various internal / external agencies e.g. Purchase, Finance (Received through Bank) or directly from Supplier for door delivery / advance intimation.

B. Maintenance of LR/RR Register

Once despatch documents are received by Goods Receipt section, GCDG shall put LR/RR details in On-line system. Provision for maintenance of manual LR/RR – Register may be kept to record data.

C. Material Clearance from Transporters.

i. From Road Transport / Railway Godown:

The GCDG shall maintain close and regular contact with Transporter/Railway to get intimation regarding arrival / awaiting clearance of consignments. Information will be collected with reference to RR/LR. The Group shall get the consignment released after presenting the negotiable documents to the Transporters / Railways and on payment of freight, demurrage or any other charges as per terms of order. Collection of consignments shall be done by this Group in case of urgency / as per terms of order or where no Transport contract is existing.

ii. From Railway yard:

a) On receipt of intimation GCDG will

- Check the tag / contents and number of wagons with respect to RR and take delivery of the wagons.
- Inform stationmaster / siding clerk and request to depute representative to supervise the unloading in case the seals of wagons are found tampered or broken.
- Obtain shortage / damage certificate from stationmaster / siding clerk in case of such discrepancies.
- Intimate Plant siding supervisor about arrival of the wagons and their detail.

b) Subsequent action as follows will be taken by Plant Siding Supervisor.

- Co-ordination with concerned authority for placement of wagon at plant siding and return of empty wagons to exchange yard.
- Handing over wagons to railways with official records.
- To create inbound delivery & handing over to Exchange Yard Supervisor.
- To make necessary arrangement of wagon unloading with proper maintenance of register indicating wagon particular, placement / return of wagon detail and total retention period for the purpose of calculating demurrage / wharfage etc.

D. Clearance of Door Delivery Consignments

i) In case of Door Delivery, any of the following situations may arise.

a) Consignments along with dispatch documents delivered at door.
b) Consignments delivered at door for which documents have been received earlier.
c) Consignments delivered at door/Collection of materials to be done due to urgency but documents not available.

ii) Following actions may be taken for above

a) The carrier along with material shall report to GCDG and the same will be verified according to our PO's T&C and hand over to GIIG along with Inbound delivery number.
b) GCDG receive the material from Transporter on Indemnity Bond if original LR/RR misplaced. Indemnity Bond issued by vendor.

iii) For import cargo, delivered to NTPC sites in containers, a 7-Point Container Inspection will be made at the entry point to the premise of NTPC (by CISF), as per illustration below. For this, a checklist will be prepared by NTPC and the same will be filled up for all incoming containers.

7-Point Inspection Checklist for Containers

Date: _____

Supplier: _____

Project: _____

Container: _____ Seal: _____

Inspected by: _____

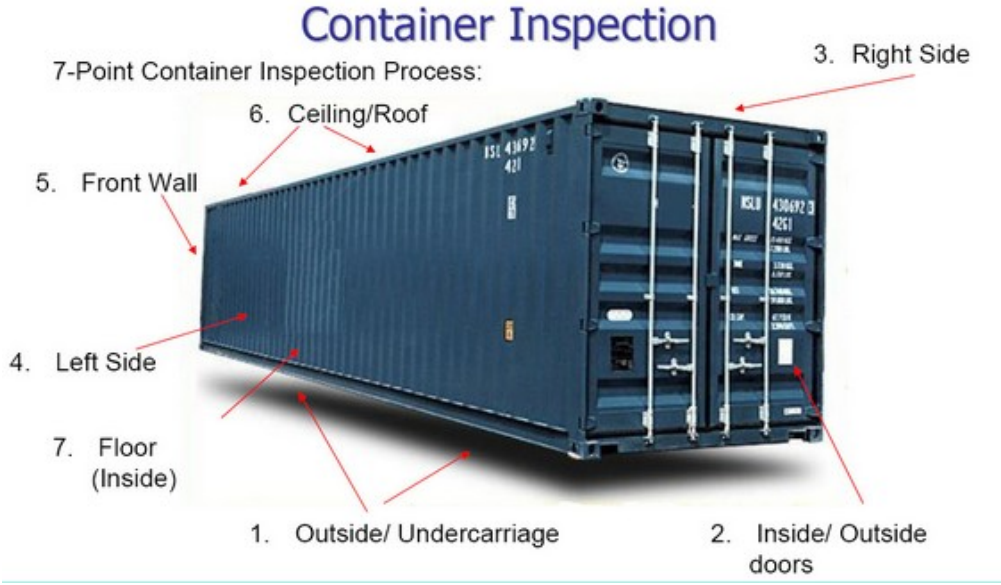
Is the seal a High Security Seal? --- (Y/N)

Is the seal affixed properly to the container? ---(Y/N)

Note: Fill out the checklist by referring to the drawing below & the instructions provided below the image.

Inspection Point	Condition: Indicate whether condition is good or bad; add comments as needed.
1. Outside / Undercarriage	
2. Inside and outside doors	
3. Right side	
4. Left side	
5. Front wall	
6. Ceiling / roof	
7. Floor (inside)	

Container reviewed by: Date/time of review:	
Seal reviewed by: Date/time of review:	



a) Outside / Undercarriage (before entering facility)

i) Inspect prior to entering facility

ii) Support beams should be visible.

b) Inside / Outside Doors

i) Make sure secure and reliable locking mechanisms are attached to the container.

ii) Be on the lookout for different color bonding material.

iii) Be on the lookout for loose bolts.

iv) Be on the lookout for plates and repairs. Solid plates should not cover standard container cavities.

c) Right Side

i) Look for unusual repairs to structural beams

ii) Repairs to walls on the inside must be visible on the outside.

iii) Use tool to tap sidewalls. Listen and feel for hollow sound.

d) Left Side

i) Look for unusual repairs to structural beams

ii) Repairs to walls on the inside must be visible on the outside.

iii) Use tool to tap sidewalls. Listen and feel for hollow sound.

e) Front Wall

i) Check to see if blocks and vents are visible.

ii) Use tool to tap front wall. Listen and feel for hollow sound.

iii) Use a ranger finder, measuring tape, or even string to determine, if required
iv) Make sure the length of the interior of the container is correct.

f) Ceiling / Roof

i) Check to make sure ceiling height from floor is accurate. Blocks and vents should be visible.
ii) Repairs to the ceiling on the inside of the container should be visible on the outside.
iii) Use tool to tap ceiling. Listen for hollow sound.
iv) Determine if there is an uncomfortable feeling inside the container. If so, the interior ceiling height may be incorrect.

g) Floor (inside)

i) Check to make sure the floor is the correct height from the ceiling.
ii) Make sure the floor is flat. Do not need to step up to get inside.
iii) Make sure the floor is a uniform height.
iv) Be on the lookout for unusual repairs.

E. Preparation of Inbound Delivery

GCDG shall prepare Inbound Delivery through SAP system on the basis of dispatch documents.

F. Operation of Imprest Account

i) The expenditure on account of payment of freight, wharfage / demurrage, under charges, loading and unloading charges, packing and repacking charges (in case of packing of any delicate item stores may take necessary help from respective users shall be incurred from Imprest Fund, sanctioned by the HOP).

ii) All these expenditures and subsequent recoupment of Imprest shall be recorded in "Imprest Control Register" along with supporting documents duly signed by the in-charge of Goods Receipt Section.

iii) Head of C&M shall approve and authorize representative to draw the sanctioned Imprest amount and its recoupment and maintenance of records as per DOP.

iv) The carriers will submit their bills with acknowledgment duly signed by the authorized signatory of clearance and dispatch group. Transportation cell of Clearance Group shall verify the bill w.r.t LR/ RR.

G. Shortage / Damaged Certificate

i) In case of apparent short weight, shortage / damages, Open delivery will be insisted upon and shortage / damage certificate shall be obtained from transporter.

ii) Shortage / damage certificate will be forwarded to Risk Management group for lodging claim carrier/Underwriter.

H. Handing over of Material to GIIG

i) After preparation of Inbound Delivery with corresponding "discrepancy memos" (if any), the materials along with Inbound Delivery shall be handed over to GIIG.

ii) Fragile items, pilferable items, Bulky items, Chemicals etc. will be unloaded directly at Custody area by GIIG to avoid double handling of consignments from GIIG to Custody. However, all the receiving formalities shall be completed by GIIG including proper documentation.

iii) In regard to material location etc. before such direct unloading, Incharge of Good Receipt and Custody Section should be consulted.

iv) Vehicle registration number in the C.I.S.F register as well as on the back of GR / LR at the entrance gate should be recorded by Security staff.

I. Despatch of Material

i) It is the responsibility of GCDG to arrange dispatch of material to various agencies like Suppliers, NTPC projects / Stations etc. in case of rejection, repair or transfer of materials.

ii) Formal request for despatch of material shall be accompanied by despatch advice and a register of the despatch record to be maintained in On-line system

J. Abnormal Transit Delay

i) Obtain, Non Delivery certificate from the Transporter.

ii) Risk Management Group shall be intimated by GIIG regarding abnormal delay of Consignment in transit.

iii) Non delivery certificate shall be forwarded to RMG for their action.

K. Payment of Demurrage / Wharfage Charges

Processing of cases for sanction of competent authority for payment of demurrage / wharfage charges to Railway / Transporters. For imported consignments by Air / Sea, the demurrage details shall be sent by T&CC office to concern Site for approval of Competent Authority.

However, concerned T&CC office shall make payment and debit the same to respective site.

L. Reports Related to GCDG

i) LR / RR pending for Receipt of Materials(MIT)
ii) Consignments received but Inbound Delivery not prepared
iii) Inbound Delivery Report
iv) Demurrage paid report

SUB CHAPTER-3.2

GOODS INSPECTION AND INWARD GROUP

3.2 GOODS INSPECTION AND INWARD FUNCTION

3.2.1 FUNCTION

After receipt of material from supplier and prior to taking the same in stock, GIIG is responsible for the following activities:

A. To receive material from Goods clearance and dispatch Group
B. To arrange inspection of materials
C. To keep material in GIIG custody till it is inspected
D. To hand over materials to concerned custody section / Rejection cell
E. To prepare Discrepancy Memo/Rejection Memo
F. Third party inspection / Joint Inspection Report

3.2.2 ACTIVITIES IN DETAIL

A. Receipt of material

i) On arrival of material from cartage contractor / GCDG, consignment will be checked with respect to Inbound Delivery.

ii) After necessary checking of the consignment, material will be received.

B. Material Inspection

i) After receipt of material, GIIG physically Verify the materials and Inspection intimation send to FQA / User department.

ii) Wherever clear MDCC is issued by RIO / FQA / PDI is done, Inspection & verification will be done by FQA / User department at site as per guidelines issued from time to time.

iii) After completion of inspection, the following information will be provided by Inspector.

- Quantity Accepted
- Quantity Rejected
- Other inspection remarks
- In case of rejection, immediately return delivery documents (Mvt.122) to be prepared

C. Material in GIIG custody

i) Once the materials are received by GIIG, the same are to be kept in their custody until it is inspected.
ii) A small lockable room within GIIG shall be provided for safe keeping of fragile & pilferable items.

D. Handling over of material

i) After inspection, the accepted materials are to be handed over to Custody section along with relevant documents.

ii) Custody on receipt of material from GIIG will process "place in storage" with location.

iii) GIIG shall Park the Invoice and send the SRV along with invoice & other documents to finance for Payment. In case of Rejection/Shortage, Rejection memo (along with rejected Material)/Discrepancy memo to be sent to RMG.

E. Receipt of Incorrect supply

i) Statement will be prepared in case of shortage / damage/ rejection of supply.

ii) Intimation regarding rejected material will be sent to the concern supplier on discrepancy memo within 15 days from the date of Inbound Delivery.

iii) In case of shortage / Excess supplies, Receipt Section In-charge may authorize acceptance up to a limit of +/- 5% of total ordered quantity or up to Rs.25000/- in value whichever is lower and the same is provided in P.O / G.P.C / Bid documents.

iv) Wherever quantity tolerance not maintain in PO and excess quantity received then inform to Purchase Section to take necessary action.

v) In case of Rejection, immediate create Return Delivery (122 Mvt.) of rejected quantity of material.

F. Receipt of emergent supply

i) To meet emergent requirement of User department, the receipt section in charge may get the material available directly to the indenter after taking following action by respective departments.
   - Formal inspection and acceptance of the material by Inspector / Indentor.
   - Reservation will be raised by the Indentor.

- SRV will be prepared by GIIG along with Reservation duly signed by GIIG non-executive in issue column.

- GIIG shall ensure subsequent action on SRV

- Normally the materials should enter the stores premises, however if any material is to be unloaded directly at site, the Reservation shall be signed by Head of Section.

G. Receipt of sample supply

i) In case of sample supply before making bulk supplies as per the terms of PO shall be received to get the same approved by Inspection department / user.

ii) In case the sample material (Trade sample, solicited or unsolicited) is found acceptable by inspection department, this will be kept in the custody of GIIG that will be used as a guide for bulk supply inspection.

iii) Approved samples will be kept with proper identification mark or record of P.O Nos. material code, suppliers name etc.

iv) Finally, after completion of total supply the sample will be taken into stock by the store with proper remark of sample quantity (whether it is free sample or not), so that payment could be decided accordingly.

H. Rejection of Supply item

Rejected items may normally belong to following three categories under (i), (ii) & (iii) and those are to be dealt as follows: -

i) Items to be returned to Supplier / Insurance Company as the case may be.

ii) The items for which claim is settled shall be either returned to supplier or insurance company. The left out items are to be scrapped / destroyed or disposed off by Risk Management Group after obtaining formal approval and handed over to scrap handling group.

iii) Item to be accepted later on, after price reduction or otherwise with or without rectification, are to be resubmitted to inspection on a fresh SRV.

A committee of minimum E5/E6 level may be constituted with representatives from Materials, Finance, User Department and FQA to settle the rejection cases.

iv) Items rejected on inspection shall be handed over to RMG/ Clearance & Dispatch group to be dealt subsequently in consultation with Purchase / Finance. In case of Import Consignment where retaining of payment not possible, rejected material will be send back to Vendor after taking undertaking from vendor. In case of Indigenous consignment, the rejected material will be return to vendor after taking Indemnity bond from the Vendor.

v) Items under iii) above will be resubmitted to inspection on a fresh SRV against which the item was rejected earlier. Suitable endorsement will be made in this case also in the remark column of the register/ of rejected items. The case where return delivery prepared, accept the new material with fresh GR.

vi) In case material not accepted at S.L.No (iii) then above will be disposed off by RMG in a similar manner as in (i), but in this case, a formal acknowledgment will be obtained from the dealing store custodian. This will ultimately be treated as unserviceable store / scrap and to be disposed of accordingly.

I. Reports Related To GIIG

Following reports are to be generated in prescribed format for monitoring the activities of GIIG.

i) Time lag between receipt of supplies and offer for inspection.
ii) Time taken for inspection
iii) Material Under Inspection
iv) Generation of reports from SAP

- Material In Transit(MIT)
- Material pending for Inspection
- List of SRVs prepared during particular time period
- List of Rejected Items during particular Period
- Rejected item statement.

J. Handling of Documents by GIIG

i) Documents to be raised

- 103 Mvt., 105(SRV)Mvt,313/311Q Mvt.
- Rejection memo/Discrepancy Memo
- Inspection call E-mail/SMS

ii) Documents to be maintained

- Purchase order with updated versions

- Dispatch documents
- Unloading Register

SUB CHAPTER-3.3

RISK MANAGEMENT

3.3 INSURANCE POLICIES

All the assets of NTPC projects/headquarters/corporate offices are insured through a number of policies, The following Policies are being taken from Corporate Centre by Corporate Materials (Risk Management Group).

1) **Mega Risk Package Policy**- This Includes all Plant & Equipment of operating Power Plants of NTPC (Coal+Gas+Hydro) against All Risk (AR), Machinery Breakdown (MBD) and Terrorism Cover within plant premises including CW pump house.

2) **Standard Fire & Special Perils Policy for Solar Plants**-This includes all plant & equipment such as solar panel, transformer, inverter, Building & equipment within the Plant premises including Terrorism Cover. All plant & equipment are covered under comprehensive AMC.Additional coverage, if any will be taken by site, if found necessary.

3) **Construction Plant & Machinery (CPM) Policy**-This policy cover the Construction plant & Machinery for all NTPC Projects/Station along with Locos & wagons of NTPC & Indian Railways (on lease basis).

4) Directors & Officers Liability Policy with extension for NTPC's FPO.

5) Public Liability Act Insurance Policy (PLAI)

6) Group Personal Accident Insurance Policy (GPAI)

7) Doctors Liability Policy

8) Standard Fire & Special Perils Policy for assets of EOC, R&D, PMI, Scope.

9) **Marine Open Cover Policy**-For Imported Consignment ordered by Corporate Materials & NETRA.

10) **Laptop Policy**- To cover theft, burglary & breakdown due to electrical/mechanical damage for Laptops available at Corporate Centre.

11) Special Contingency Insurance Policy for Cenpeep Equipment.

12) Special Contingency Insurance Policy for R&D Equipment at NETRA Building

13) Employee's deposit linked Insurance Policy. (EDLI).

3.3.0 In Addition to the above, respective projects/sites may take the following policies for their assets which are not cover as above

3.3.1 (A) FIRE INSURANCE

Each Project/Station shall take separate **standard fire & special perils policy** covering the following risks for administrative building, township & other miscellaneous assets.

a) Fire
b) Lightning
c) Explosion /Implosion
d) Aircrafts Damage
e) Impact Damage
f) Subsidence and landslide including Rock slide
g) Bursting and /or over-flowing of water tanks, apparatus and Pipes
h) Missile testing operations.
i) Leakage from Automatic sprinkler installations.
j) Bush Fire
k) Riot, strike and Malicious Damage (optional)
l) Storm, cyclone, Typhoon, Tempest, Hurricane, Flood and Inundation (STFI) (optional)

3.3.1 (B) RIOT, STRIKE AND MALICIOUS DAMAGE (RSMD) & TERRORISM COVER:

The Risk of RSMD peril may not be insured under Fire Policy by the stations. However, in case of exceptional circumstances base on the risk perception and external development the individual station/Projects can take RSMD cover with specific approval from Head of station. Further, the terrorism cover can also be taken by each site based on the risk perception of terrorism with the approval of HOP.

3.3.2 SHORT TERM COVERAGE/CANCELLATION OF POLICY

a) MID-TERM INCLUSION IN SUM-INSURED

In case any unit is to be declared commercial during the Mega Policy period the premium for the same is to be paid by respective site up to the expiry of the Mega Policy.

b) RATES FOR SHORT PERIOD INSURACE

Policies for a period of less than 12 months shall be issued at the rates set out hereunder:

For a period not exceeding	**15 days**	**10% of the annual rate**
-do-	1 month	15% of the annual rate
-do-	2 month	30%of the annual rate
-do-	3 month	40% of the annual rate
-do-	4 month	50%of the annual rate
-do-	5 month	60% of the annual rate
-do-	6 month	70% of the annual rate
-do-	7 month	75% of the annual rate
-do-	8 month	80% of the annual rate
-do-	9 month	85% of the annual rate
For a period exceeding	9 month	The full annual rate
N.B. Extension of short period policy shall not be permitted.		

3.3.3 TWO MAJOR POLICIES WHICH ARE TAKEN BY CORPORATE CENTRE ARE EXPLAINED FOR EXAMPLE:

The sample policy for the year 2018 is detailed below for information only regarding coverage and extension.

(A) MEGA RISK PACKAGE INSURANCE POLICY (2018-2019)

All real and personal property installed used and kept to generate electric power using coal,hydro or any other such fuel, other than such as excluded hereunder, belonging to the Insured or for which he is legally responsible, principally comprising Buildings (including basements), Plants, Equipment and Machinery, DAS & PCs Foundations & Pilings, Electrical Installations, Spares and Consumables, Fuels (other than Coal), Furniture, Fixtures, Fittings, Cables, Transmission lines, Office Equipment, Chimneys with foundations all within the plant boundaries and Raw Water Pump Houses installed at river, canal, reservoir with associated Piping located inside as well as outside the plant premises & Electronic Data Processing Equipment, Mainframe Computers etc. and Communication System directly related with power generation, monitoring & analysis in some of the stations functionally located outside plant premises. Assets like drainage, culvert, pavements, roads, dams, reservoirs, canals, pipelines, tunnels, bridges, piers etc. and all other civil works related to hydro plants.

Excluding: Land, Infrastructure such as flyovers, boundary walls, roads, culverts & canals other than hydro, township, premises outside plant boundaries, ash dyke, ash slurry pipelines, street lighting, earth moving equipment including dozers, cranes & trolleys, MGR system containing locos & wagon, coal stock.

Example of Mega Policy Coverage in General (based on current policy and for information purpose only)

PERIOD OF INSURANCE	ONE YEAR	
THE SUM (S) INSURED		
SECTION – 1 All Risk	Physical Loss/ Damage:	Coal & Gas Hydro
SECTION – 2	Machinery Breakdown:	Coal & Gas Hydro
LIMIT OF INDEMNITY	Rs.6000 crores each and every occurrence/per location. However, cumulative losses may exceed this amount and shall be limited only to the extent of the sum insured. However, Limit for glacial lake outburst flood (GLOF), in case of Hydro Plants shall be INR 500 crores AOA & in the aggregate for the policy period. (combined single limit for all sections, MD+MBD)	

Unless otherwise specifically stated, the liability of the insurers shall be limited in respect of any one occurrence for each sub-limit as set out hereunder:

EXTENSIONS FOR SECTION-1 ONLY	Clause No.	SUB-LIMITS OF INDEMNITY
Burglary/Theft		Rs. 5.00 Crore and Rs. 50.00 Crore in the aggregate
Public Authority	1.3.1	Rs. 15.00 Crore
Fire Fighting Expenses	1.3.2	Rs. 1.50 Crore
Leakage & Overflowing	1.3.3	Rs. 5.00 Crore
Contamination & mingling of Stocks	1.3.4	Rs. 2.50 Crore
EXTENSIONS FOR SECTION-2 ONLY	Clause No.	SUB-LIMITS OF INDEMNITY
Cover for Lubricating Oil & Refrigerant	2.3.2	Rs. 2.50 Crore
Cover for Refractory materials and/or Refractory materials in heat recovery Steam Generators & Boilers	2.3.3	Rs. 2.50 Crore
Electronic Equipment	2.3.4	Rs. 1.00 Crore and Rs.10.00 Crore in the aggregate per plant.
EXTENSIONS FOR SECTION- 1 & 2 ONLY	Clause No.	SUB-LIMITS OF INDEMNITY
Expediting Expenses	3.1	Up to 20% of Claim subject to max. of Rs. 12.50 Crore
Minor Works	3.3	Rs. 50.00 Crore any one project
Inadvertent Omission	3.4	Rs. 10.00 Crore
Architects, Surveyors & Consulting Engineers fees	3.6	Rs. 15.00 Crore

Capital Additions	3.7	Up to 5% of Total SI
Transit &Temporary Removal	3.9	Rs. 30.00 Crore per transit
Expenses to Minimize Loss	3.10	Rs. 15.00 Crore
Deliberate Damage	3.11	Rs. 10.00 Crore
Shut Down/ Start Up Cost	3.12	Up to 10% of Claim Amount.
Computer Systems Records	3.13	Rs. 5.00 Crore
Removal of Debris (Including External Debris for Hydro Only)	3.14	Up to 10% of loss subject to max. of Rs. 50 crores for Coal, Gas & Hydro based plants.
Owners surrounding property	3.15	Rs 10.00 Crore and Rs.50 Crore in the aggregate during period of insurance.
Third party liability	3.16	Rs 10.00 Crore and Rs. 50 Crore in the aggregate during period of insurance.

DEDUCTIBLES	
Section/ Inbuilt Extensions	Deductibles
Section- 1 All Risk (AR)	Rs. 6.00 crores AOA per Location
Section - 2 Machinery Breakdown (MBD)	Rs. 6.00 crores AOA per Location
Extensions to Section-1 & 2	Deductibles
All Risk Transit & Temporary Removal	Nil, Even in case of preventive maintenance.
Burglary/Theft (Rs. 5 Cr.)	Rs 1 Lac Each & Every Occurrence
Electronic Equipment	Rs 1 Lac Each & Every Occurrence

EEL: Each and every loss

Occurrence: Loss due to an accident

(B) <u>CONTRUCTION PLANT & MACHINERY (CPM) POLICY (2018-19):-</u>

Construction equipment/ machinery such as Dumpers, Dozers, Tower crane, shovels, Excavators, Hydra, Bull Dozers etc insured under the "**<u>Construction Plant Machinery (CPM) policy"</u>**

Other equipment such as mobile cranes, forklifts, Road Rollers, Water tankers etc. mounted on wheel but not likely to ply on the public roads and not registered with R.T.O. shall also be insured under the CPM policy. High value equipment such as dozers, Gantry crane, Tower crane etc, likely to sustain losses, at the discretion of the Head of the station, be covered under a high excess clause. Wherever higher excess clause is opted, the premium payable will be less.

Insurance Coverage (based on current policy and for information purpose only)

SL No	Coverage	First Loss Limit (in Cr.)		Deductible
Section-1	All Risk(AR) as per CPM Policy, Electrical & Mechanical Breakdown including the risk of Locos and Wagons derailment and collision but excluding MGR Rail Tracks & Bridges.	Normal AOA/AOY 25/100	AOG/CAT AOA/AOY 25/100	Rs. 5 Lac in each claim
Section-II	Third Party Liability	2/10	2/10	Rs.10,000 in each claim
Section-III	Inbuilt extension 1.Transit from one NTPC station to any other station/Railway workshop(anywhere in India) 2.Increase cost of working 3. Owner Surrounding properties including bridges, track etc. 4. Removal of debris including hiring charges of overhead cranes for transporting from site to workshop. Note: Coverage is required to be extended outside the battery limits of NTPC station also.	 25/100 2/10 2/10 2/10	 20/100 2/10 2/10 2/10	 NIL NIL NIL NIL
Section-IV	Terrorism cover for NTPC & Indian Railways Locomotive Wagons,MGR Tracks & Bridges Note: Further to above extension, policy shall also provide cover, but not limited to: Insurance Cover of Indian Railways Property as Goods Held in Trust(1123 Nos of wagons,26 Nos brake Vans and 26 Nos of Locos)	100 Crores(Maximum loss liability limit)		Rs. 5 Lac in each claim

AOA-Any one Accident, AOY, Any one year, AOG-Act of GOD

Note: All the extensions mentioned above are over and above the AR Limit.

3.3.4 MARINE INSURANCE

Marine policy shall be taken on open cover/declaration basis both for overseas transit of import/export consignments and indigenous materials by each respective site as per their requirement. Marine Insurance declaration to be given on fortnightly basis. It is also advised to lodge claims on insurance, carrier and supplier in time to avoid time-barred situation. The timeframe for lodging claims etc. is enclosed at **Annexure-I.**

In case of marine insurance with special reference to the imported consignment, if felt necessary by the individual station, to avoid time barred situation for claim settlement, the consignment may be insured for the extended period to storage at port by making extra marginal premium payment.

3.3.5 PARTICIPATION OF PRIVATE INSURANCE COMPANIES

Private Insurance Company may be included for better competition depending on the estimated Premium outgo. The private insurance company for participation in NTPC Insurance Business on the basis of total premium collection as per IRDA report, Top ten Insurance companies are being selected.DOP for including private insurance companies have been amended vide office order 341/2015 dated:08/09/2015.

3.3.6 CLAIMS SETTLEMENT PROCESS

In order to avoid sub-standard settlement of insurance claims, it is advised to comply with policy terms and conditions along with prompt documentation in support of claim towards evidence and quantification of loss. To ensure professionalism and accountability, time to time, NTPC enter into MOU with insurance companies ascertaining time frame for claim settlement and simplified checklist for documentation. Corporate Materials shall communicate any development to stations time to time. Periodic review meetings shall be coordinated at different level i.e. stations, regions and corporate center based on MOU or as per existing arrangement.

3.3.7 CLAIMS MANAGEMENT:

Taking of appropriate insurance covers justify only when claims are settled adequately and promptly. In fact, this is one of the most important criteria of judging the performance of insurance company as well as risk management group. The responsibilities of timely settlement of claims lie both with insurance company as well as with the insurer. It much depends on how fast insurer submits relevant documents to the surveyor and insurer followed by active coordination and follow up. On the other hand, the insurance company needs to coordinate and co-operate with insurer and surveyor for early completion of survey report followed by interim payment and final settlement of claim. The high value losses generally take longer time for re-instatement, which results into delays in final settlement.

However, in such circumstances, it is prudent to go for getting interim payment to the extent possible. For getting early interim payment, we need to furnish estimate of loss or repair of the loss. As a general guideline, the low value claims must be settled well within 6 months and high value claims must be settled with 12 months. However, in case of adverse circumstances, the settlement may be delayed beyond the above time frame. The main responsibility of furnishing claim documentation and settlement of claim lie with the concerned stations. In case of high value claims, the corporate Materials periodically review and coordinate with concern insurance company as well as stations to expedite settlement of the claims.

It is desirable to constitute a standing committee of Material, Finance and O&M departments to resolve and expedite insurance matter including claim review and settlement enabling the high value claim settlement well within one year. The disposal of salvage to be done on priority basis. As on mega policy is based on reinstatement value. The reinstatement process e.g. placement of PO/Award to be expedited on top priority for final settlement of claim.

ANNEXURE-I

STATUTORY TIME LIMITS FOR LODGING OF CLAIMS ON CARRIERS & INSURER

TIME LIMIT	FOR DECLARATION INTIMATION	FOR LODEING CLAIM
Major Port Authorities	07 days from date of delivery	06 months from date of discharge
Shipping Company	Application for survey of goods should be done by Shipping company within 03 days of date of discharge. Notice of claim to be served as soon as possible but definitely within year.	01 years from the date of discharge
Where Consolidated port Document is issued by Shipping Company.		09 months from the date of discharge
Custom Authority		Refund of duty should be claimed within 06 months of date of payment of duty
Air carriers (Domestic)	07 days from the date of delivery in case of damage /shortage and 14 days from the date of booking in case of non-delivery	02 years from the date of booking or the date of arrival of aircraft (as applicable)
Air carriers International	14 days and 21 days respectively for damaged/shortage and non-delivery	- do-
Railways	06 months from the date of booking (RR)	03 years from the date delivery or date when delivery ought to have occurred (as applicable)
Road carriers	06 months from Knowledge of loss/date of LR (as applicable)	-Do-
Postal authorities	01 months from the date of delivery in case of shortage/damage and 03 months from booking in case of non-delivery	03 years from the date of booking

Note: (*) For insured items, generally NTPC is not required to file suit in the court of law. The same is taken up by insurer, if at all required on transfer of “Rights of Recovery” by executing “Power of Attorney” or “Letter of Subrogation”.

(**) As a risk management function, it is required to lodge claim on supplier as soon as possible and positively within the validity period for lodging of claim. This helps in prompt settlement of insurance claim unless otherwise the supplier accepts the liability.

Annexure-II

ADDITIONAL DOCUMENTATION		
a) For Non-Delivery	i) Original Rail Receipt Non-Delivery Certificate of Road Carriers. ii) Copy of claim notice filed on the carriers along with relevant postal acknowledgement and /or reply received Acknowledgement thereto.	i) Short landing certificate in original i) Copy of Bill of Lading/Airway bill iii) Copy of Bill of Entry iv) Copy of claim notice field on the steamer agents files
b) Claim for landed but missing of cargo	Not applicable	Original certificate issued by Port Trust, copy of Bill of Lading, copy of Bill of Entry and copy of application filed with customs for refund of duty.
c) Short delivery of a few packages	i) Short delivery certificate of carriers in original ii) Copy of claim notice on carriers with the postal acknowledgement thereto and / or their reply	As in the case short landing of cargo mentioned against above sub-column (a).
d) Shortage or Damage in case taken Delivery in apparently damaged conditions	i) Original open delivery certificate of carriers ii) Copy of claim notice filed on carrier with postal acknowledgement of carrier's reply iii) Report of licensed Insurance surveyor assessing the extent of loss iv) Bills for repairs/proforma invoice for replacement	i) Survey Report of steamer Agents / Licensed Insurance Surveyor ii) Copy of Bill of lading/Airway bill iii) Copy of Bill of Entry iv) Copy of application filed with customs for refund of duty v) Copy of claim notice filed on the steamer agents with their reply or postal acknowledgement
e)Shortage/ Damage in sound cases	i) Report of licensed Insurance Surveyor ii) Supplier's confirmation regarding correct packing iii) Bills of repair /Performa invoice for replacement	i) Copy of Bill of Lading/ Airway Bill ii) Copy of Bill of Entry iii) Supplier's confirmation regarding correct packing iv) Bills for repairs/ Performa invoice / for replacement.

CHAPTER-4.0

CUSTODY & WAREHOUSING

4.0 CUSTODY

4.0.1 INTRODUCTION

Being one of the most important sections of Stores Management System, it consists of various Custody Cells which look after Stockyard / Godowns having different group of items such as general stores, Oils, Lubricants & Chemicals, Steel & Cement, Spares for specific installation / unit, Stores for Electrical, Mechanical and C&I items, Scrap & surplus etc.

Activities of each custody cell shall consist of the following:

i) Custody receipt and issue
ii) Warehousing and Storage
iii) Preservation
iv) Stock Verification
v) Scrap and surplus Management

CHAPTER-4.1

RECEIPT & ISSUE

4.1 CUSTODY RECEIPT & ISSUE

4.1.1 FUNCTIONS

Stores custody section is responsible for receipt, custody, storage and issue of materials. The major functions of this section are:

A. Receipt of materials from Receipt Section / other Stores Cells / Project sites (through R&I) etc.

B. Receipt of unused Materials returned from Users

C. Storage and Accounting of Materials Receipt and Issue.

4.1.2 ACTIVITIES IN DETAILS

A. Receipt of material from GIIG

i) The Goods Inspection and Inward Group of Receipt section will send the material to custody section cell along with Stores Receipt Voucher Cum Transfer Documents

ii) The Custody Section Representative will scrutinize the documents and check the following:

a) Whether the material is duly inspected by Inspector on SAP and the Receipt Section Representative signed on that documents or not.

b) Whether the actual quantity of material sent along with the documents matches or not.

iii) The Custody Section Representative will sign on 02 copy of Stores Receipt Voucher Cum Transfer Documents & retain one copy.

A1 Stock Transport

i) In case of materials transferred from one station to another station, the receiving station create a Stock Transport PO

ii) Issuing Station, issue the material against Stock transport PO.

iii) The receiving project shall follow the normal procedure for receiving and accepting the material.

iv) The Stores Officer of the dispatching project shall send all relevant documents to the Accounts Department for further action.

v) A Gate Pass duly authorized by competent authority is required to take the materials out of the project.

B. Receipt from Users (MRN)

i) All the unused materials / items previously issued for works or other jobs and no longer required, will be returned to the Custody Section. Stores may be categorized as under:

a) New / accepted as new

b) Repaired item duly Inspected and accepted by FQA / ultimate User

c) Capital Items and Assets duly certified by the department concerned regarding the same as excess and in working condition.

d) Scrap and unserviceable items return by users.

ii) The MRN (as per SAP format) shall be raised in two copies for all surplus materials and returned to the stores by the user.

iii) MRN shall be approved at least by a DGM (E7) of the respective user Department for return of material as new.

iv) The custody section representatives will check the physical stock as per the quantity mentioned in MRN and accordingly make necessary entries in SAP-WM and sign all the copies and take the material into custody.

C. ACTIVITIES RELATED TO STORAGE AND ACCOUNTING OF RECEIPT AND ISSUE

C1. Normal Issue

i) Materials shall be issued from concerned custody cell to the various users / indenters against Reservation.

ii) On receipt of the Reservation, the custodian shall verify the person authorizing the withdrawal is included in the list of authorized persons maintained in the stores and his signature tally with the specimen signature card.

iii) After verification, the custodian shall issue the required quantity or the quantity as revised by the Store In charge on the basis of stocking limits etc.

When the required quantity issued, signature of the person who is collecting the goods, to be obtained on the SIV CUM GATE PASS.

iv) For the Items where exact quantity can not be issue due to owing to special nature of Items (e.g. Steel, Cable, Pipe, Rope & Tube), ±10% quantity can be allow for issue without changing the reservation quantity.

C2. On Loan to other Organization

Issue of material on loan to other organization will be made only after the approval of competent authority as per Corporate Materials System Circular No.4 and subsequent guidelines issued from time to time which is narrated as under:

a) After approval of HOP, the custody section shall issue the material.

b) The custody section representatives will allot a control serial no. and make a suitable entry in a register.

c) The loanee shall be asked to return the Loaned item by the initiating department within a stipulated date and this date will be entered in the Registers / Ledgers.

d) Issue note will be priced like other issues. When the articles are received back by the stores department, after inspection by FQA, the SRV will be prepared as usual and priced at the same rate as the original transactions.

e) Approval of Head of Project / Station needed with respect to loan without security / with security, depending upon the goodwill that the loanee department.

f) SIV Cum Gate Pass created on SAP. Related documents regarding issuance of Gate pass are as follows:

i) Procedure for issue of Returnable Gate Pass

ii) Format of Gate Pass for NTPC's own material

iii) Format of Gate Pass for contractor's owned material

C3. Authority to sign SIV / Gate Pass

A chart is placed at 4.1.2 C3 to exhibit signing authority of SIV CUM GATE PASS.

C4. Stocking of Lube Oils

Stocking of Lube Oils are maintained by the manufacturer. After implementation of GST, ERP has not circulated SAP process for accounting of consignment stock (Vendor stock).Process if any circulated by ERP team, subsequently same shall be applicable for accounting of vendor stock.

4.1.3 HANDLING OF DOCUMENTS BY CUSTODY CELL (RECEIPT AND ISSUE CELL).

Documents to be Raised/Received.

- Stores Receipt Voucher Cum Transfer Document
- Stores Issue Voucher cum Gate Pass
- MTN
- MRN
- MIS Report.
- NA Certificate

4.1.4 C3 AUTHORITY TO SIGN SIV / GATE PASS

Nature of transaction	Stock / Non stock	Authority to sign SIV		Remarks
		At indenting stage (indenting deptt.)	At issuing stage (Stores)	
1	2	3	4	5
Issue for departmental use	Stock	As Per DOP		
Issue for departmental use	Non-stock	As Per DOP		
Issues on loan basis (to public sector / Govt. sec/semi Govt. sec	All	E6	E5	A separate approval of BUH to attached along with Reservation
Issue on loan basis (to private Parties)	All	E7	HOD(C&M)	-------DO-----
Issues against approved Sale/Disposal	All	E5	E4	**
Issues against LOA agreement on cost recovery basis	All	E6	E5	
Issues in case of no agreement cost recovery basis	All	As per SAP Process		Approval of BUH to be obtained.
Issues against LOA agreement on free of cost basis	All	E7	E5/E4	
Issues against duly sanctioned (write off)	All	As per SAP Process		As per DOP, Approval to obtained.
Adjustment issues	All	E6/E7/HOD	E4/E5	
Inter Project issues of materials	All	As per SAP Process		Approval of BUH to be obtained

** Issues of materials shall be supervised and authenticated by a committee having representatives each from Finance, Materials and security and approved by Head of respective Department.

N.B: i) Critical spares and capital equipments/machinery shall be issued on authorization of Indenter of the level of HOD / E8.

ii) The List of the person who are authorize for signing on *SIV CUM GATE PASS* should be obtained from their HODs and the same shall be maintain at Central stores, the custodian shall tally the signature before issue of material.

iii) Gate Pass for issues of materials to be made for consumption within power project/station perimeter walls shall be authorized to respective stores Executive. A copy of posted reservation should be exercised as gate pass

iv) Gate pass for all materials going out of power project / station perimeter walls shall be authorized by Executive (not below the rank of E4 on continual basis) duly approved by Head of Project on recommendation.

v) In respect of "Issue on loan basis" (Sl.No.4) & "Issue in case of no agreement cost recovery basis" (Sl.No.7) the concurrence of Finance for various contractual issues like recovery of interest charges, recovery methods, recovery period etc. need to be obtained before approval of Head of Project.

vi) However, Head of Project can reverse and change the levels depending upon manpower available and the category of the items.

vii) In all the cases, the indenting executives shall be held responsible for the correctness of data given in Reservation regarding the purpose for which materials are issued to ensure LOA terms are followed.

4.1.2. A1 PROCEDURE FOR ISSUE OF RETURNABLE GATE PASS

1.0 OBJECTIVE

To define the responsibility of the various departments involved in issuing and overseeing the operations relating to the movement of the materials from the Power Station to outside the Power Station.

2.0 FORMAT

The Gate Pass will be created in SAP by entering appropriate data in the system.

3.0 SITUATIONS FOR WHICH THE RETURNABLE GATE PASSES ARE TO BE MADE

a) When materials are issued to Departments like Township, Pump House, Ash Pond,MGR and other location outside the boundary of the Project / Station for use at these places either by NTPC or sent temporarily for use at Nearby PSUs / Govt. Undertakings / industries / State Govt. Bodies but are to be returned within stipulated period of time.

b) When materials are sent for repair / rectification against a contract awarded by Site and the materials are expected to be returned after rectification within a stipulated period of time.

c) When miscellaneous items like Empty Gas Cylinder, Oil Barrels etc. are sent for filling or laboratory samples are sent for testing or development of alternative sources from the project / station.

d) When materials, equipment are sent outside the project / station for modification / repair during warranty / Guarantee period. These materials are to be necessarily returned after carrying out required modification and / or replacement of parts of an item / equipment by Contractor.

e) **Gate Pass for Vendor's / Contractor's Returnable Items:** This shall be issued by EIC personnel for allowing the materials belonging to Vendor's / Contractors into the project / station and the same material or part thereof are to be taken outside the project / station.

4.0 GATE PASS CREAT INSTRUCTIONS

(a) Gate pass – Outside movement – Returnable

The C&M / User Department in every project / station will be responsible for creating & printing the gate pass as per procedure given in SAP help document. Each gate pass shall be printed in 04 copies.

i) 1st Copy – security copy – to be retained by CISF

ii) 2nd Copy –original copy – to be carried by the Agency to whom the material is issued on returnable basis. This copy shall be brought back along with the material when it is returned to the project / station).

iii) 3rd copy – Contractor's Copy – to be retained by the Agency to whom the material is issued).

iv) 4th copy –to be retained by User/ C&M Dept.).

(b) Operating Instructions:

i) The Gate Pass is to be raised in 04 copies by the department from where materials are authorized to be sent out of the project / station. Acknowledgement for the receipt of Material shall be taken on all copies from the person taking out the items.

ii) CISF Personnel at designated exit gate shall check the material with reference to gate pass and verify the signature in the gate pass with reference to specimen record available with the CISF office at the above gate. The dispatch details shall be entered in the outgoing returnable items register maintained separately in the CISF office.

iii) While returning the items, the accompanying person produced the original gate pass at the designated exit gate to enable the security official to link up with the initial entry in the outgoing returnable items register.

iv) The concerned party shall indicate in the gate pass copy, the date and the quantity being returned against the relevant serial numbers under the column 'Returned'.

v) CISF official shall verify the quantity return with reference to accompanying gate pass and record the same in the outgoing returnable items register against the relevant entry made earlier. He shall also affix the stamp "RETURNED" on the relevant Gate Pass.

vi) For items not returned a cross, mark should invariably be indicated by the Security official in the gate pass in column, 'Quantity' under the heading "Returned". He shall then put his signature with date in the gate pass and return the same to the party. When the remaining items are returned to the Project / station subsequently, the original Gate Pass should be endorsed with relevant data in details. The CISF personnel will make the necessary entries in the register in the appropriate place while admitting such material into the Project / Station.

5.0 RESPONSIBILITIES FOR ISSUE OF GATE PASS:

a) The signatories authorized to sign the Returnable Gate Pass will be identified by the HOD (with the approval of HOP, wherever necessary) and their attested signatures will be made available at the Gate with CISF.

b) It will be the responsibility of the CISF personnel at the designated Exit Gate to maintain a separate register in respect of Vendor's /Contractor's returnable material.

A. It will be the responsibility of the authorized signatory of each returnable gate pass to ensure the returning of materials within the stipulated time. They shall regularly update the documents and reconcile with records for materials returned and to take necessary action for overdue cases.

B. It will be responsibility of the CISF to ensure that Vendor's / Contractor's returnable materials are processed at the time of their return from the Project / Station and their movement recorded by CISF in register/online system.

6.0 INFORMATION SYSTEM

a) A Monthly Report indicating the Status of non-returned materials shall be generated in SAP by Technical Service department and brought to the notice of HOP.

7.0 NODAL POINT FOR REVIEW AND CONTROL

a) Technical Services Department will be the Nodal Point and shall be responsible for bringing to the Notice of Head of Project / Station regarding "Materials not Returned but Overdue" on quarterly basis from the stipulated time / period indicated in the gate pass.

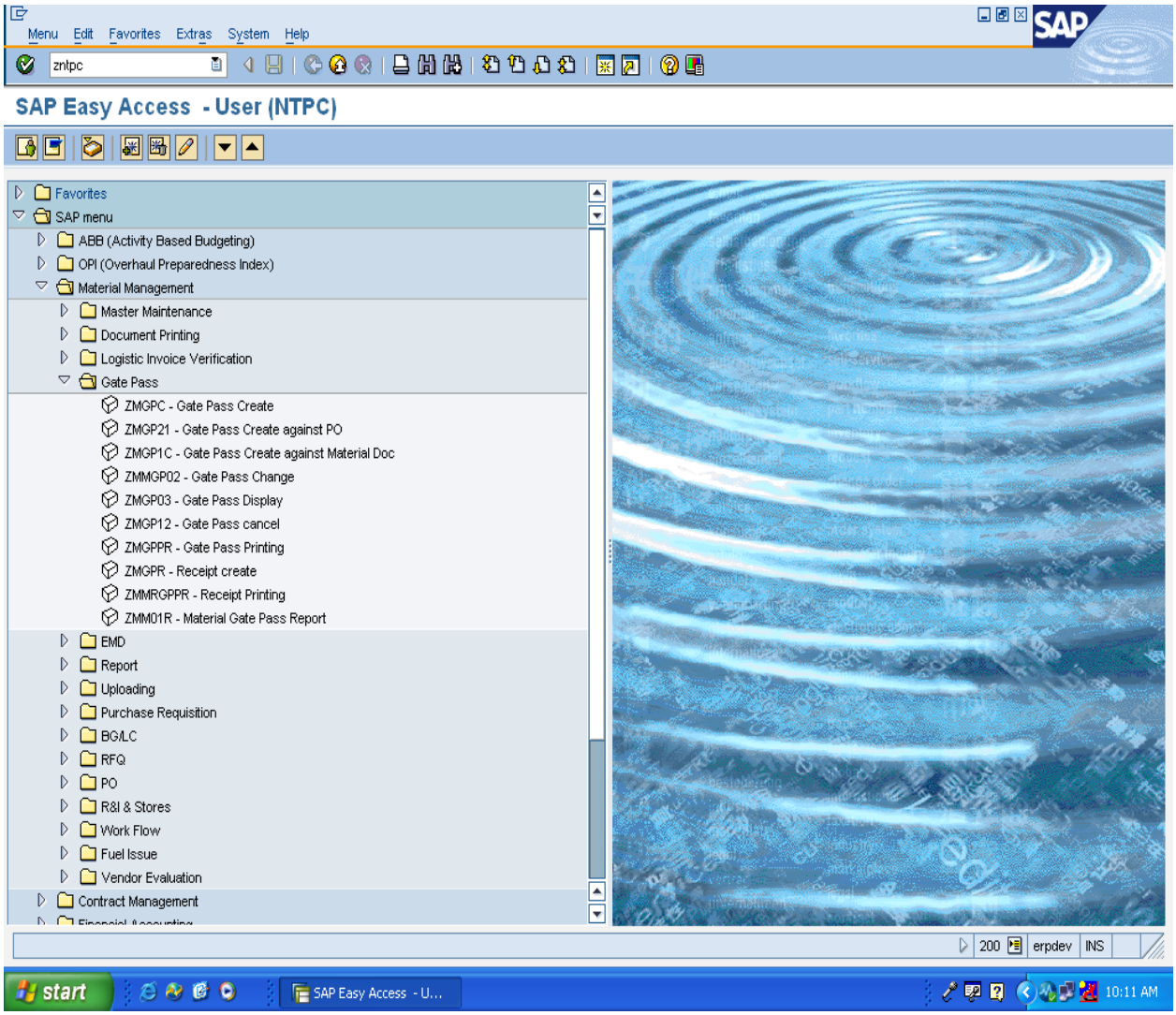
They will also obtain action taken by each Head of the Department for arranging the return of material and submit a Status Report to the Head of Project / Station.

b) Wherever a project / station have an existing Local Area Network (LAN), a terminal shall be provided at the designated CISF gate for online data entry.

c) All registers and other documents maintained under the system will be reviewed by the Internal Auditors of the project / station.

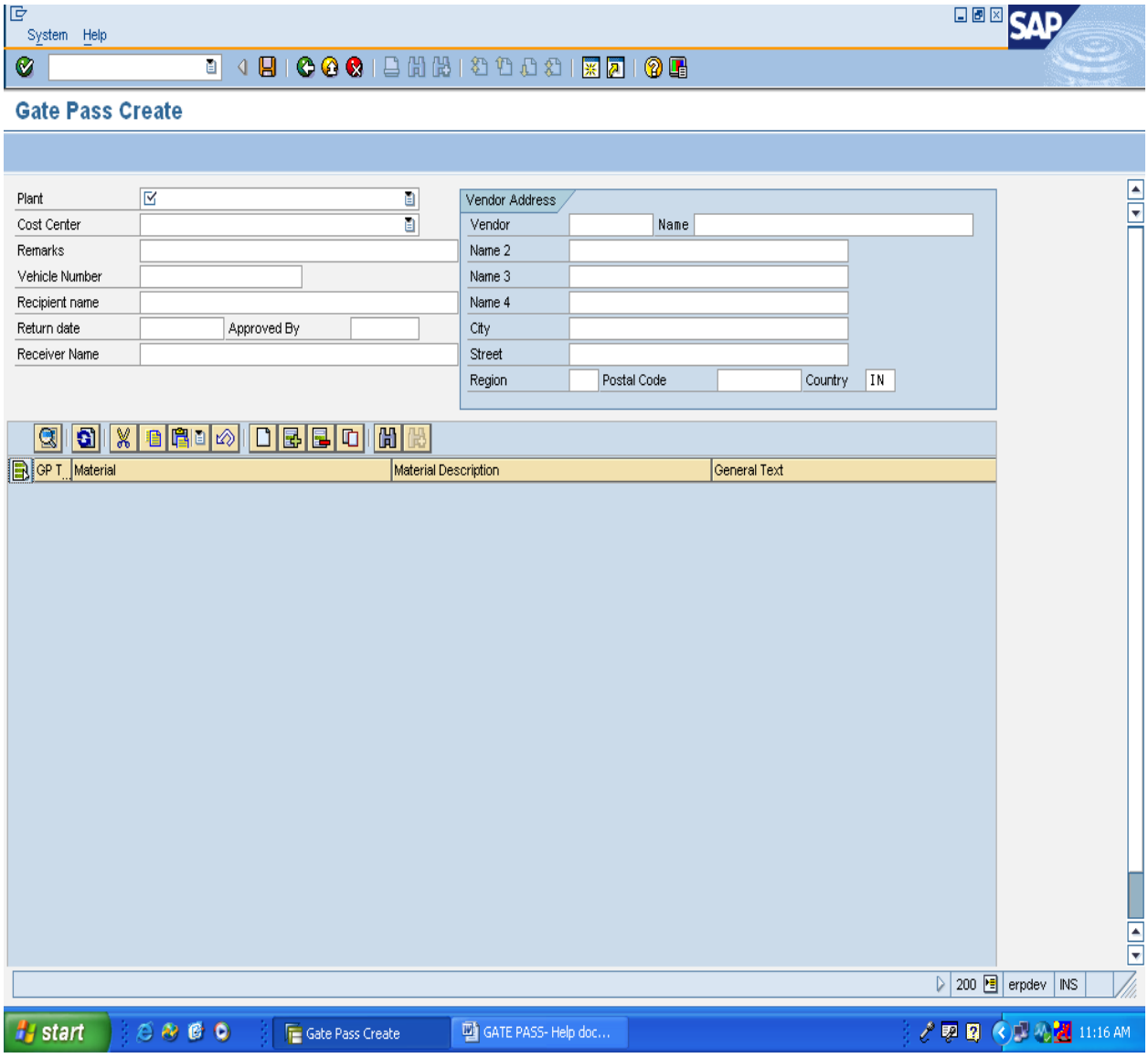
8.0 PROCEDURE IN SAP TO CREATE GATE PASS CREATE

Simple gate pass to a vendor (with vendor code available in master data OR without vendor code), for sending material Outside the Plant & then receiving back in Plant, without any reference material doc. or PO no.



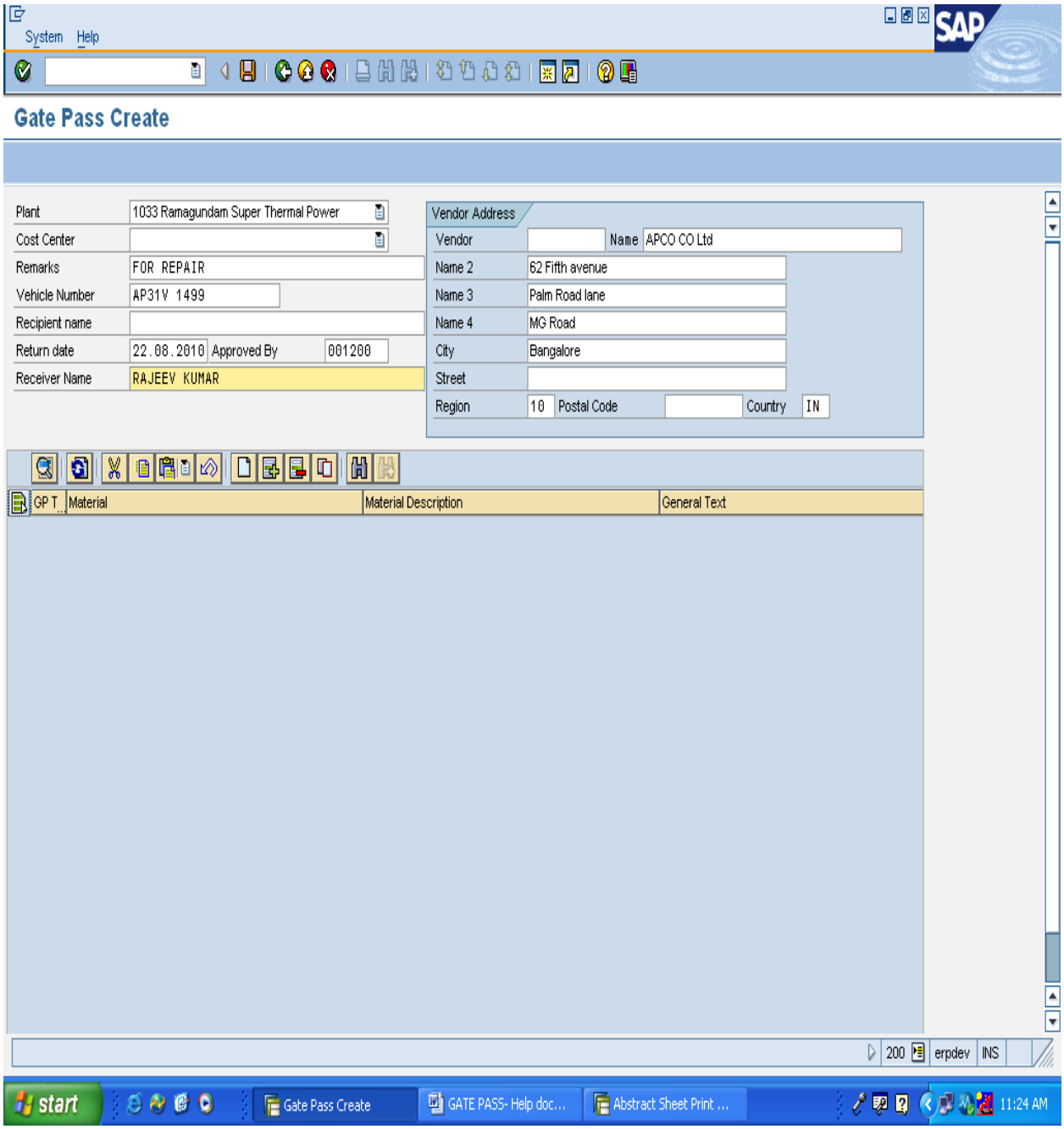
Gate Pass Create -Simple gate pass, for sending material Outside the Plant & then receiving back in Plant, without any reference doc or PO

Use T code - ZMGPC



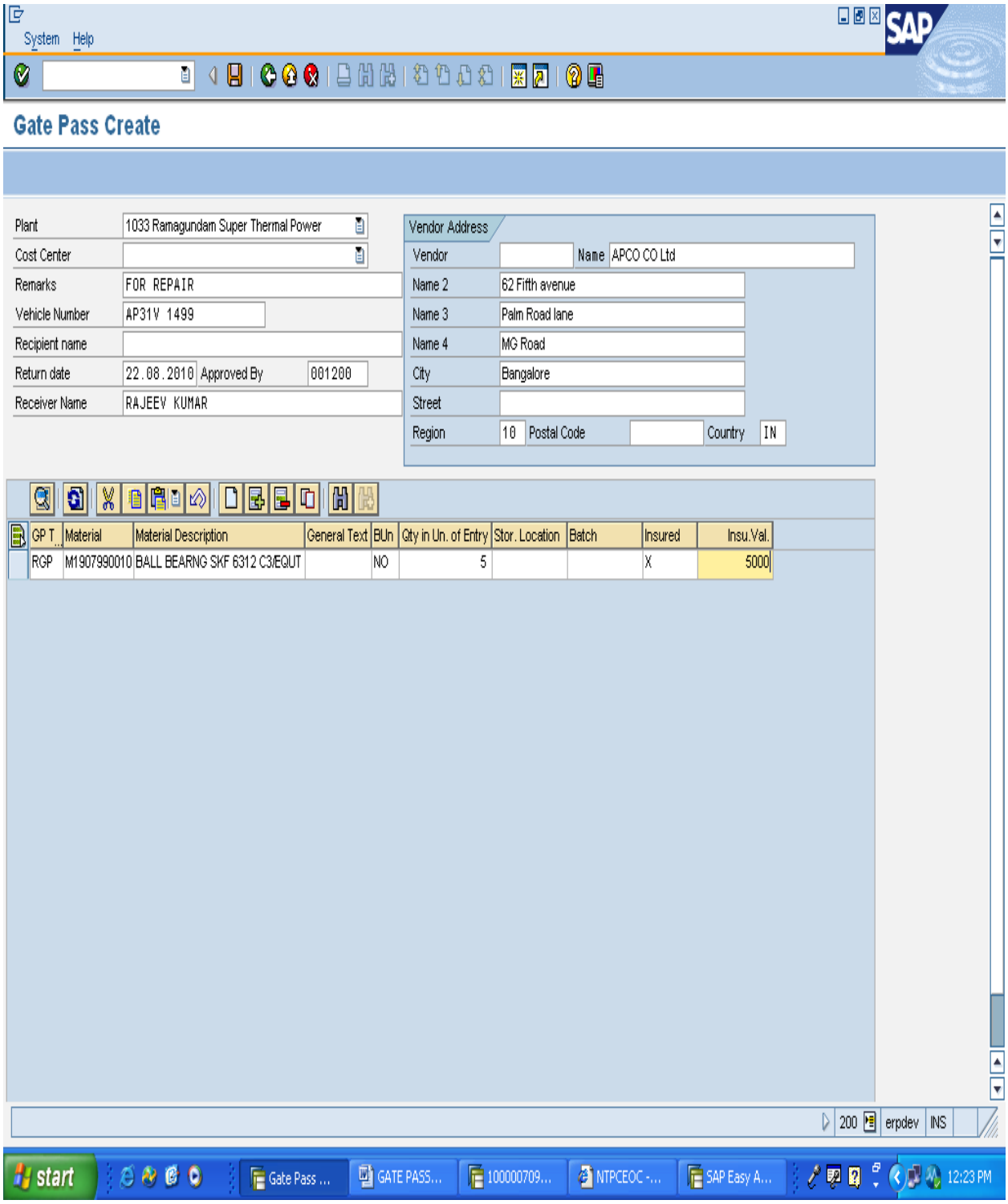
In above screen enter following entries

1. Plant (mandatory field)
2. Cost center (Optional)
3. Remarks (Optional)
4. Vendor (Enter vendor code otherwise if vendor code is not available directly enter the address of vendor to whom material is to be given) In case of issue to deptt. (Township etc.) Mention deptt. Name in vendor name & location detail in the address.
5. Enter Vehicle no. (Optional)
6. Recipient Name (Optional)
7. Return Date of Material (Optional)
8. Approved by (Optional)
9. Receiver name (Optional)

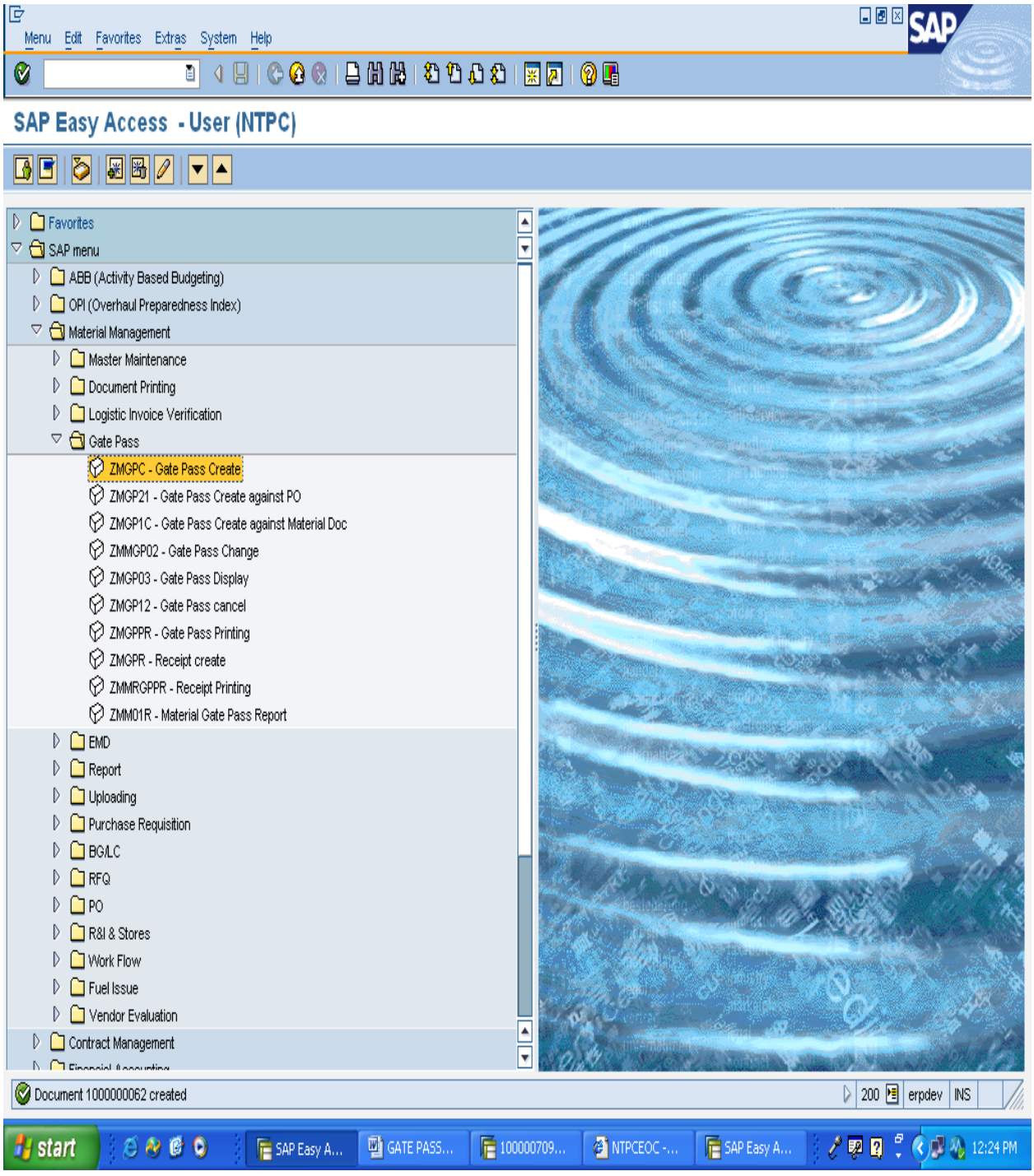


After entering above details press + tab icon to add a line and enter following details in that

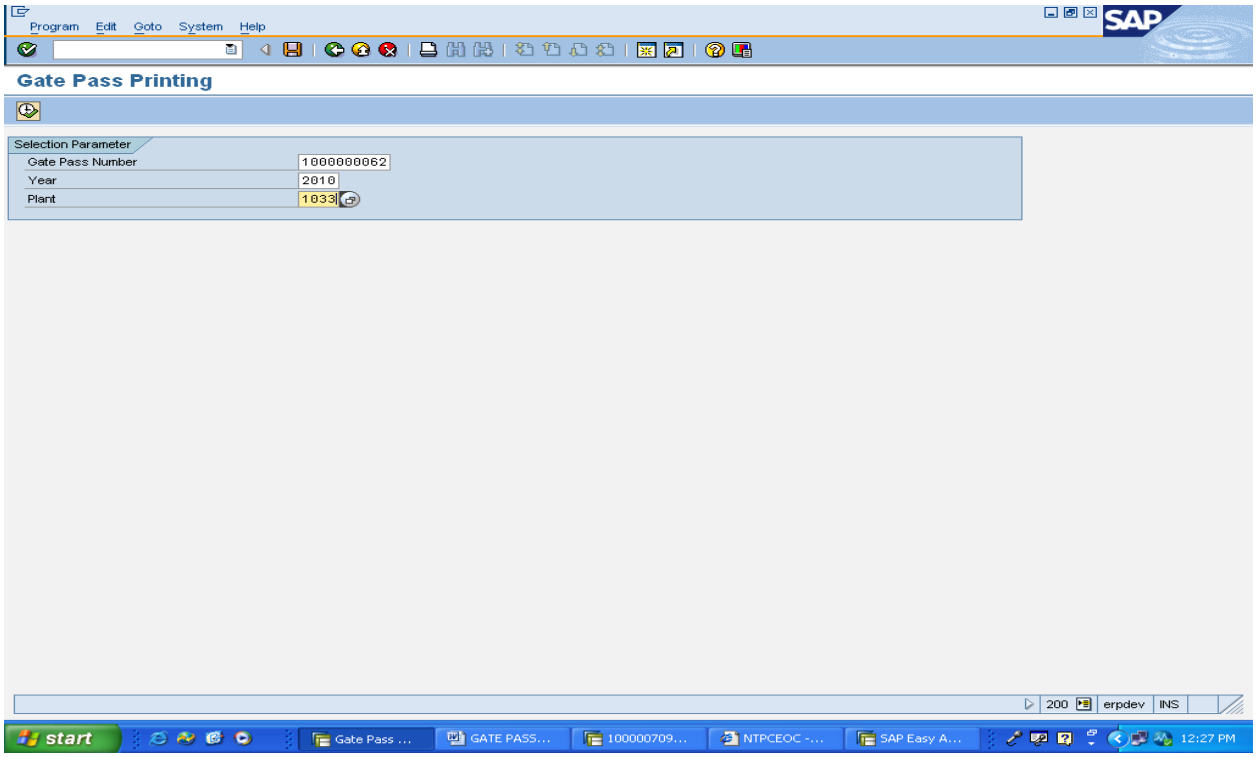
1. Gate pass type: (RGP or NRGP i.e. returnable or non-returnable)
2. Enter material code of material
3. Enter text of material if material code is not available
4. QTY
5. Insured or not
6. Insured value**.**

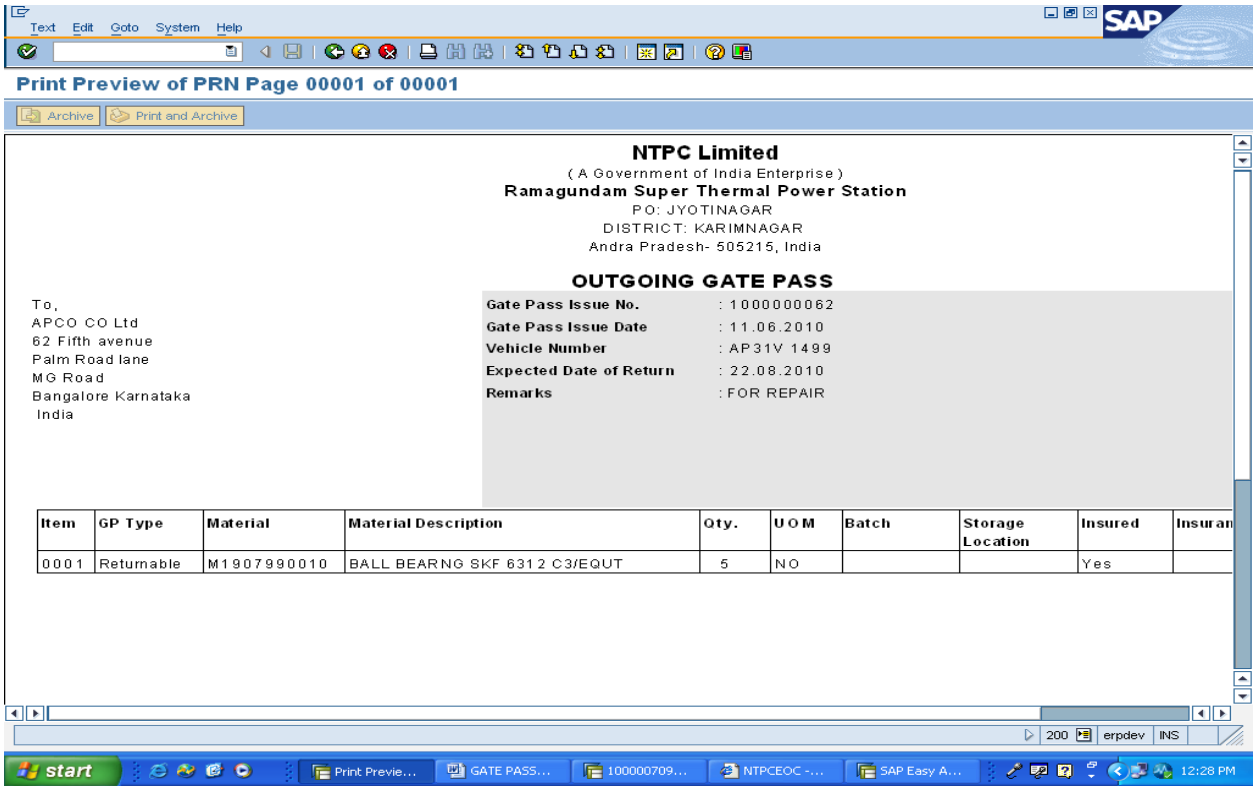

System Help
Gate Pass Create
Plant 1033 Ramagundam Super Thermal Power
Cost Center
Remarks FOR REPAIR
Vehicle Number AP31V 1499
Recipient name
Return date 22.08.2010 Approved By 001200
Receiver Name RAJEEV KUMAR
Vendor Address
Vendor Name APCO CO Ltd
Name 2 62 Fifth avenue
Name 3 Palm Road lane
Name 4 MG Road
City Bangalore
Street
Region 10 Postal Code Country IN
GP T... Material Material Description General Text BUn Qty in Un. of Entry Stor. Location Batch Insured Insu.Val.
RGP M1907990010 BALL BEARING SKF 6312 C3/EQUT NO 5 X 5000
200 erpdev INS
start
Gate Pass ...
GATE PASS...
100000709...
NTPCEOC -...
SAP Easy A...
12:23 PM

Then save it

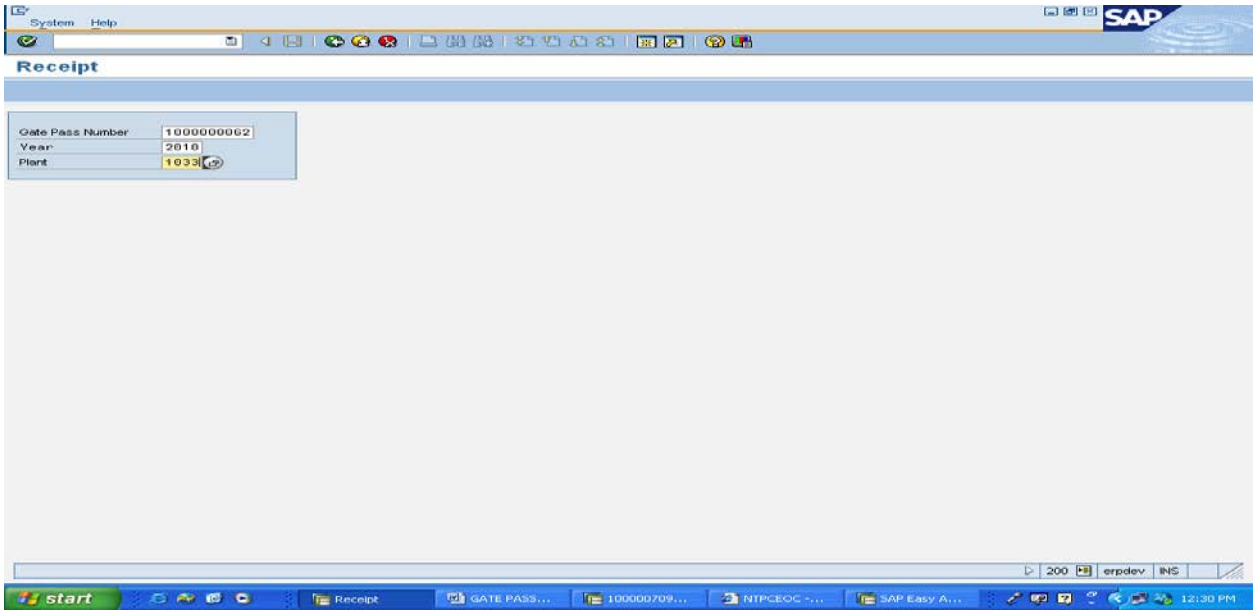


- Note down the GP no
- You can edit this created Gate pass using t code-ZMMGP02
- Gate pass can be displayed by using T code- ZMGP03
- Gate pass can be cancelled by T code-ZMGP12
- Print of above created Gate pass may be taken using T code –ZMGPPR

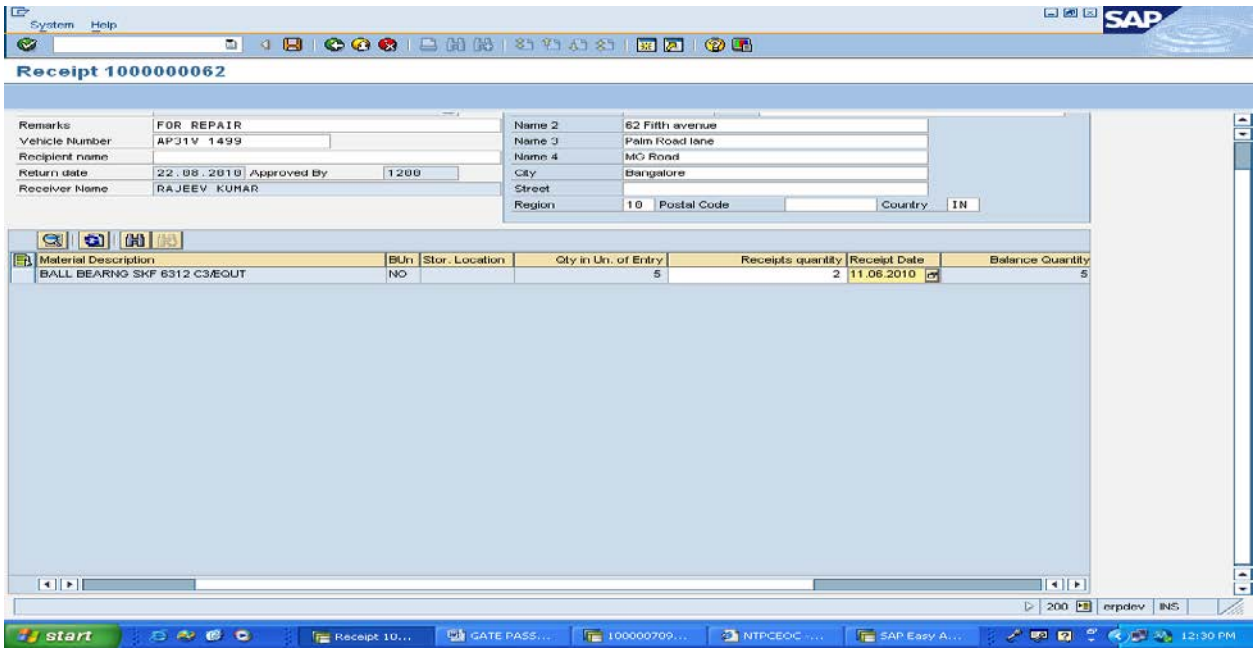




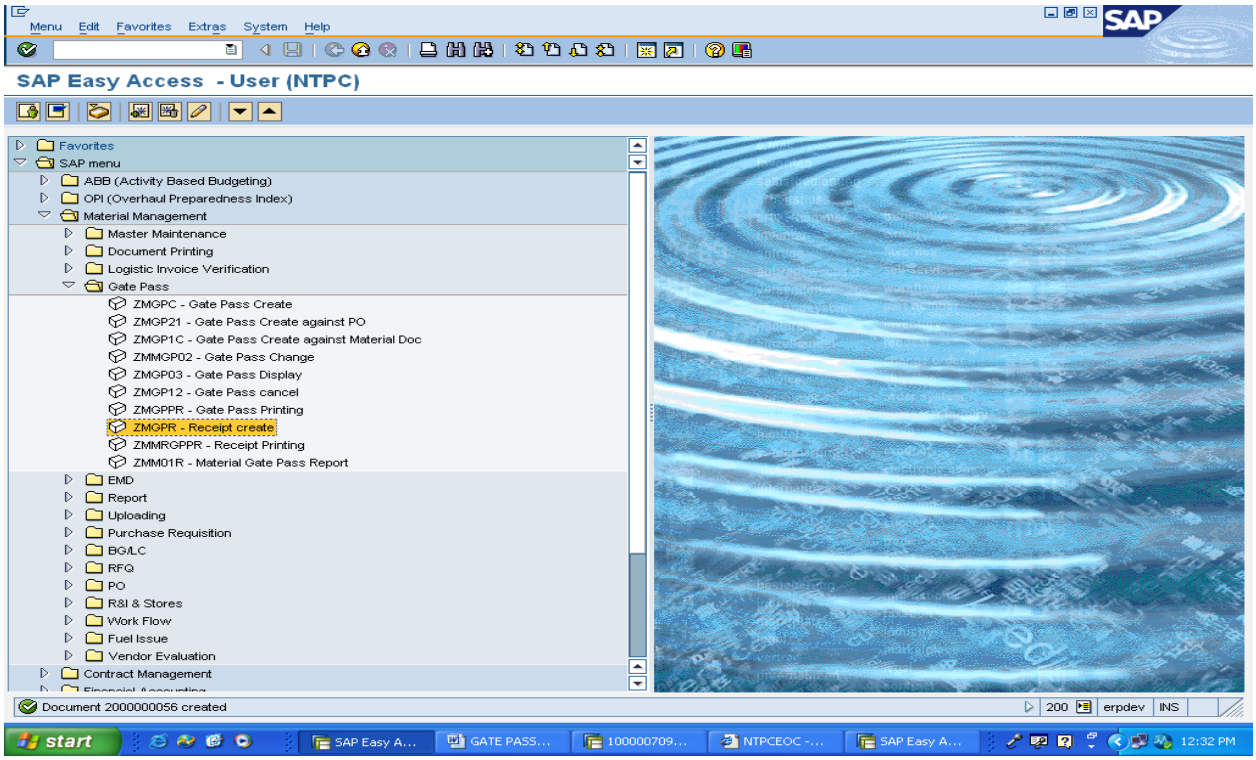
Now when we receive the material back in plant we have to create Receipt in reference to Gate pass issue no. 1000000062. If material is issued on returnable basis.
Run T code-ZMGPR



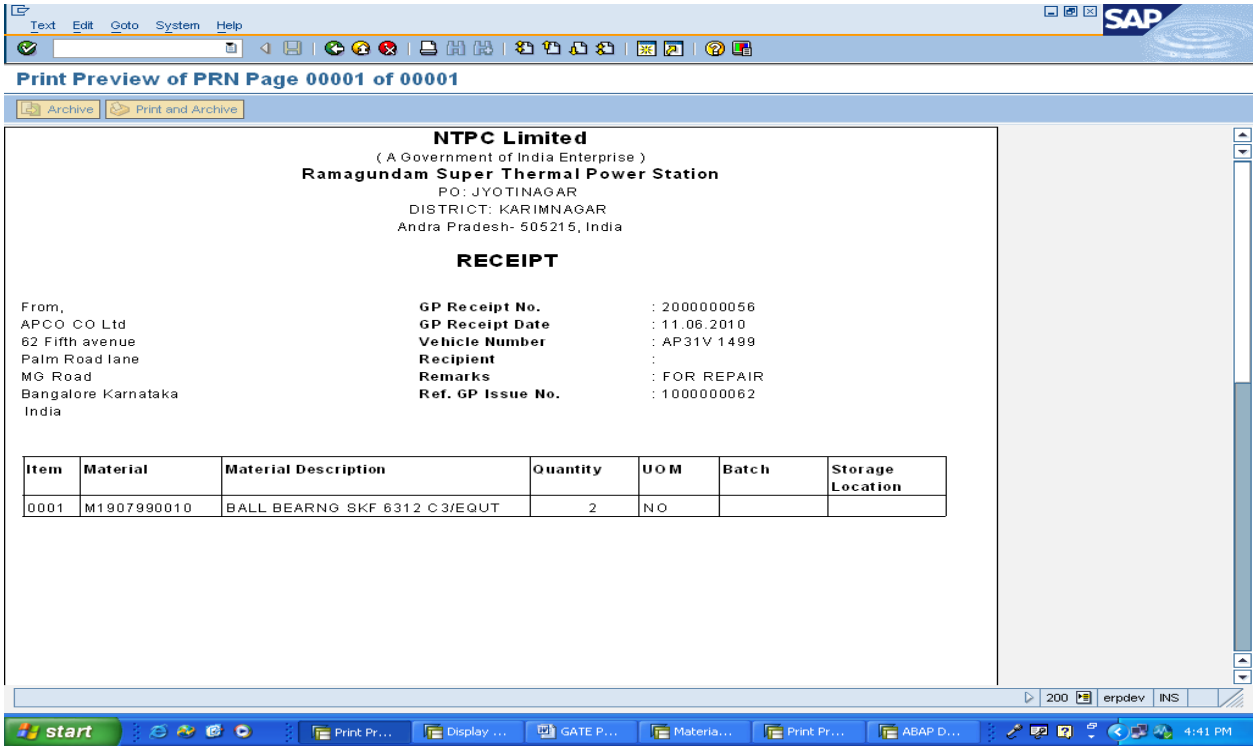
Enter received qty and date of receipt of material



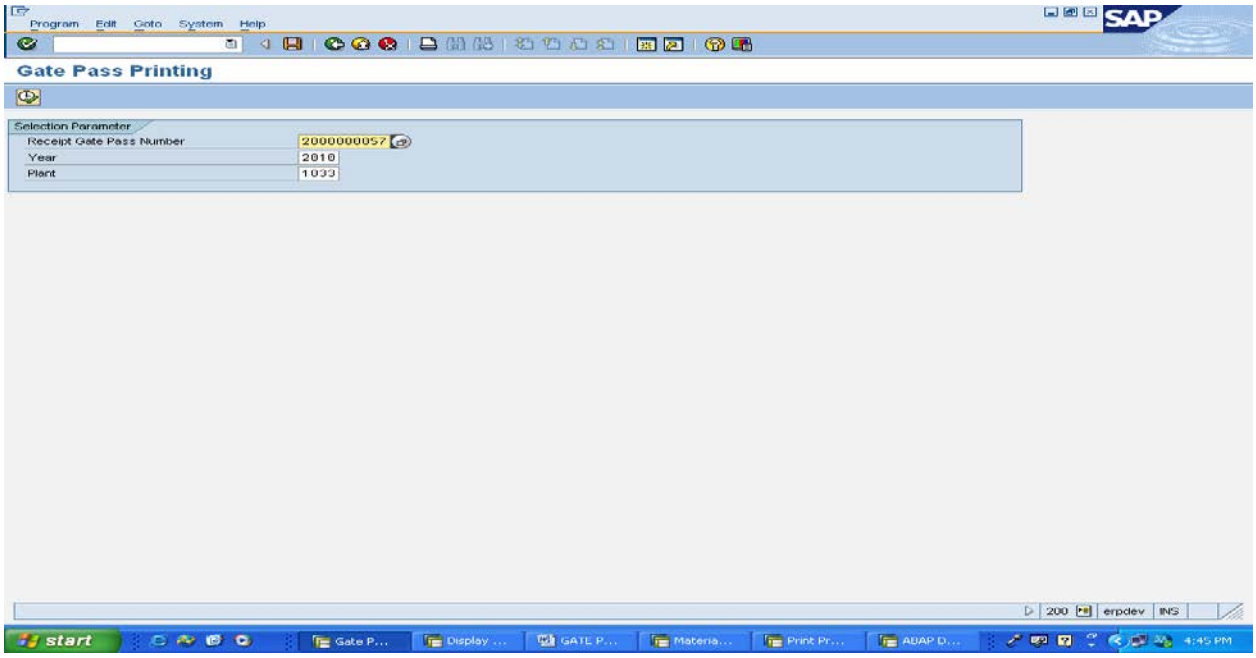
And save it. Note down the receipt no.

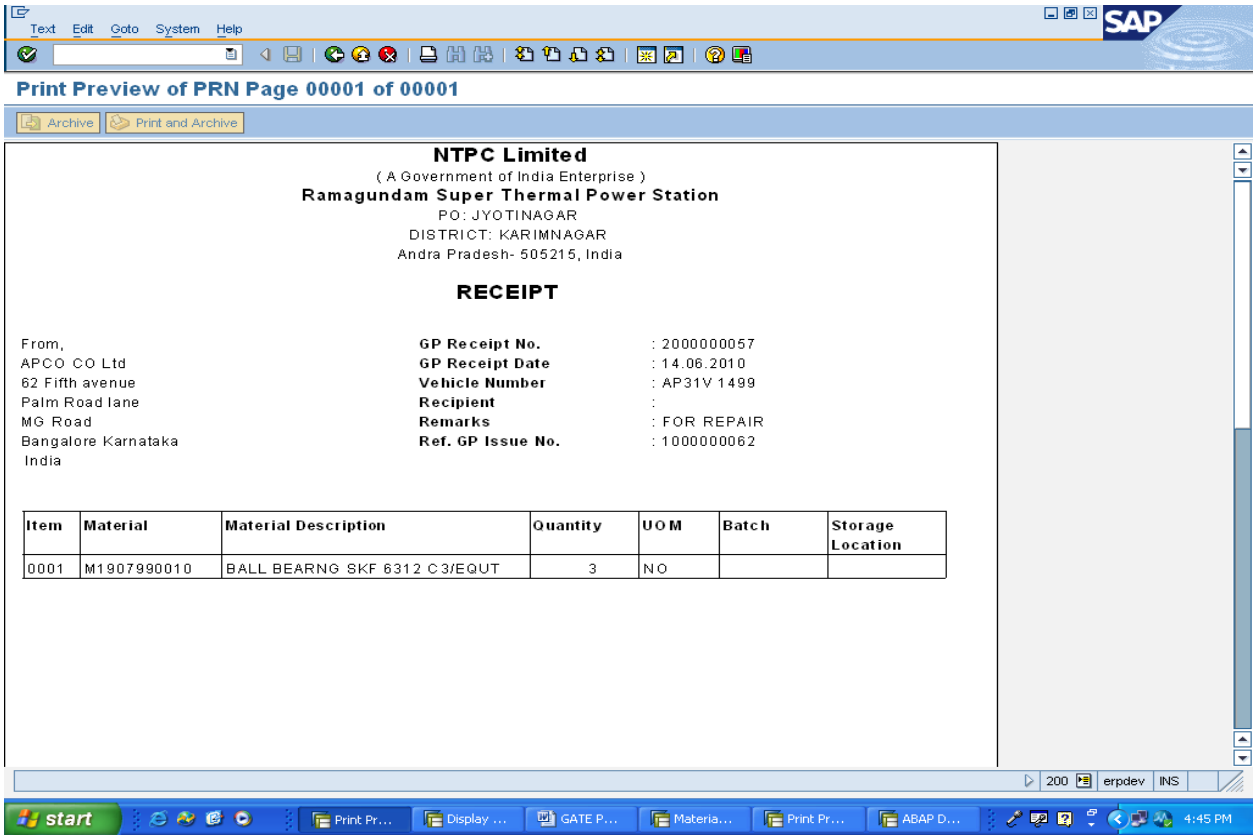


Note down the receipt no. 2000000056
Printout of the receipt may be taken using T code-ZMMRGPPR



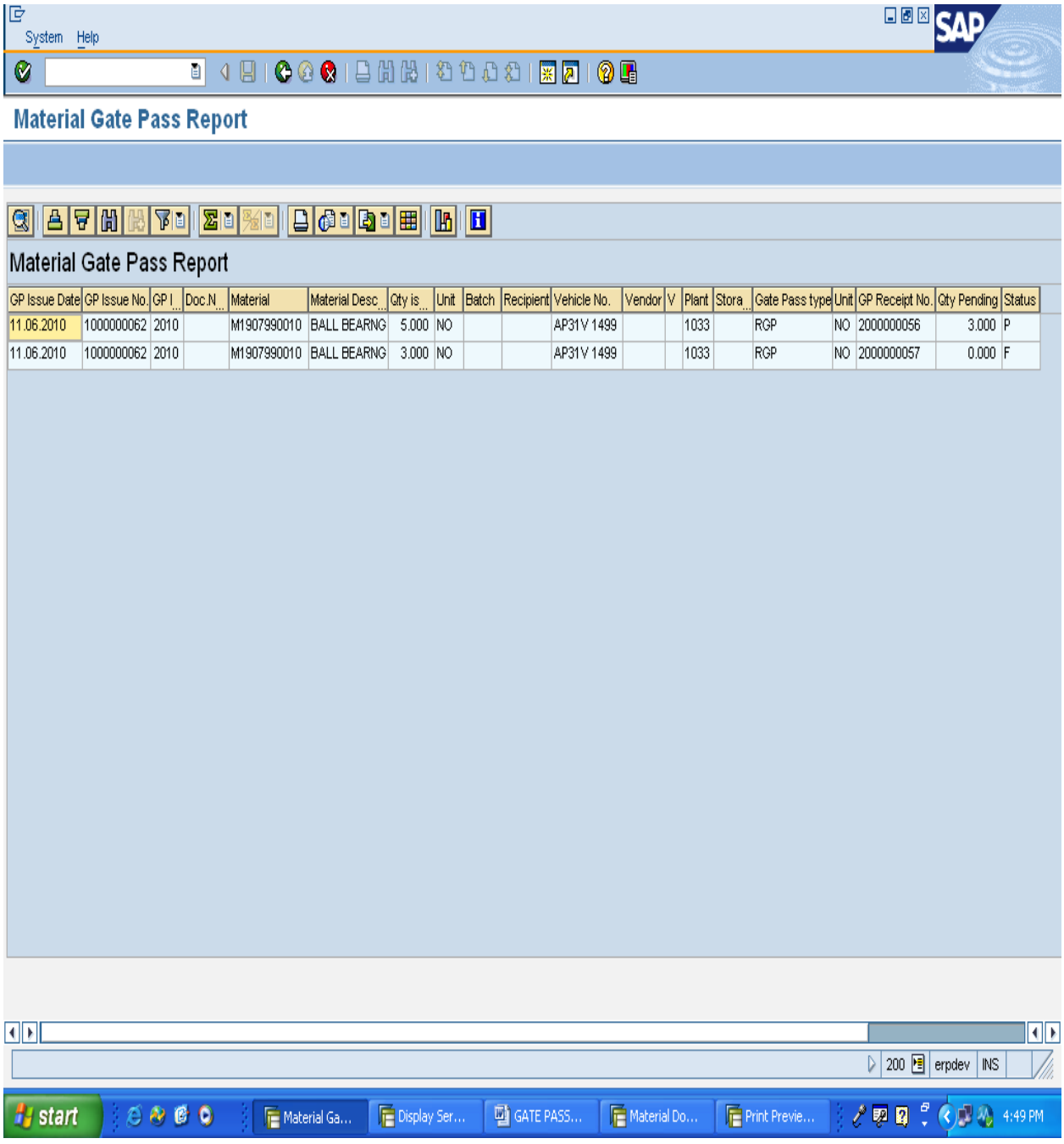
Now if you have received the balance 3 qty against the same GP issue no. Use T code-ZMGPR to create Receipt for the balance qty.





Now if we see the Material gate pass report using T code ZMM01R for the above gate pass issue no. 1000000062. We'll get following report

Program Edit Goto System Help
SAP
Material Gate Pass Report
Selection Criteria
Material
Vendor
to
Plant
1033
GP Issue Date
to
Gate Pass Type
Gate Pass Number
1000000062
to
Gatepass Year
to
200
erpdev
INS
start
Material Ga...
Display Ser...
GATE PASS...
Material Do...
Print Previe...
4:48 PM



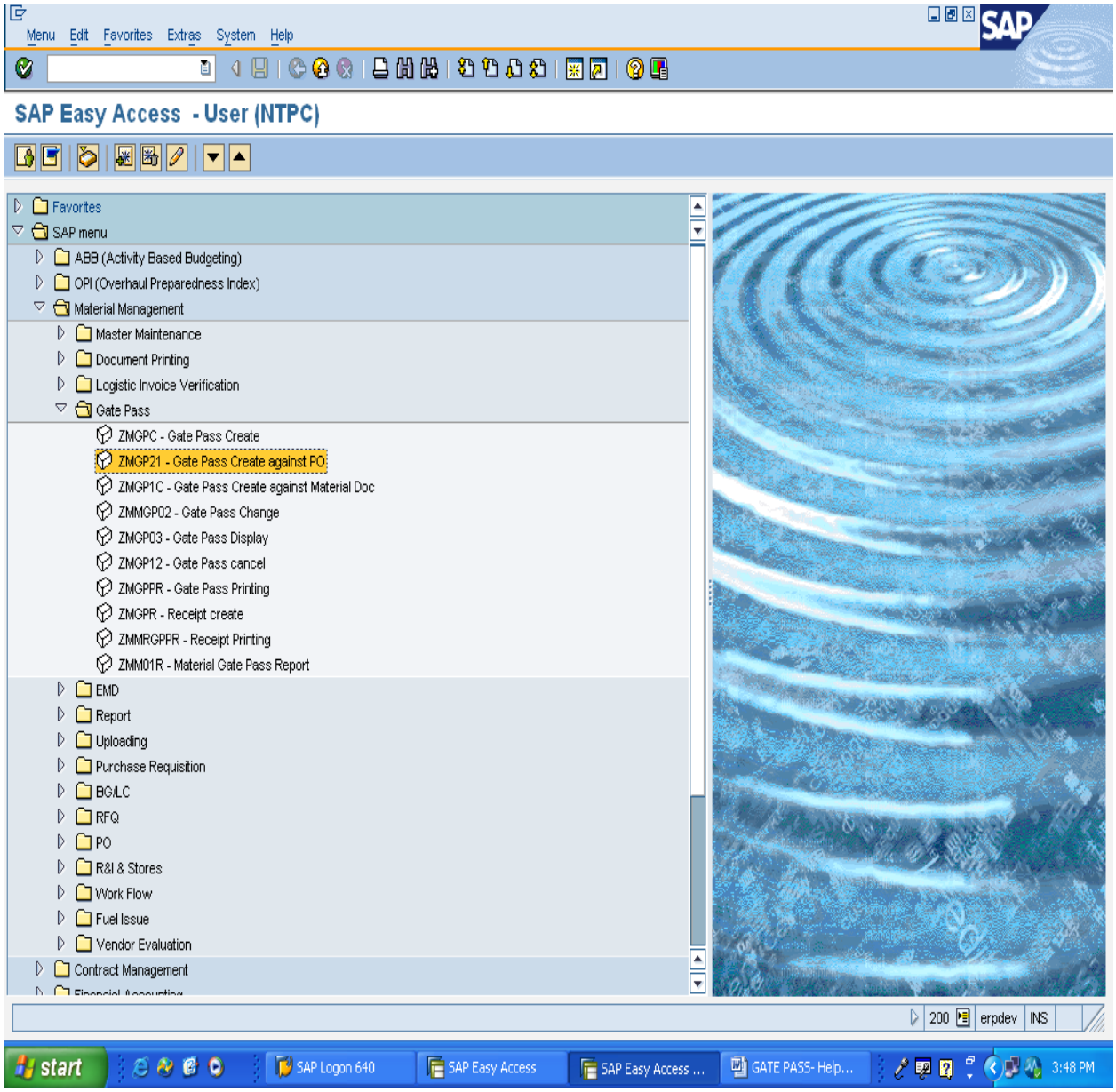
Status column
"P" means pending qty to be received against GP issue no. 1000000062
"F" means finished (No pending qty against GP issue no. 1000000062).

This way we may have the record of all Gate pass issued and Receipt against them**.**

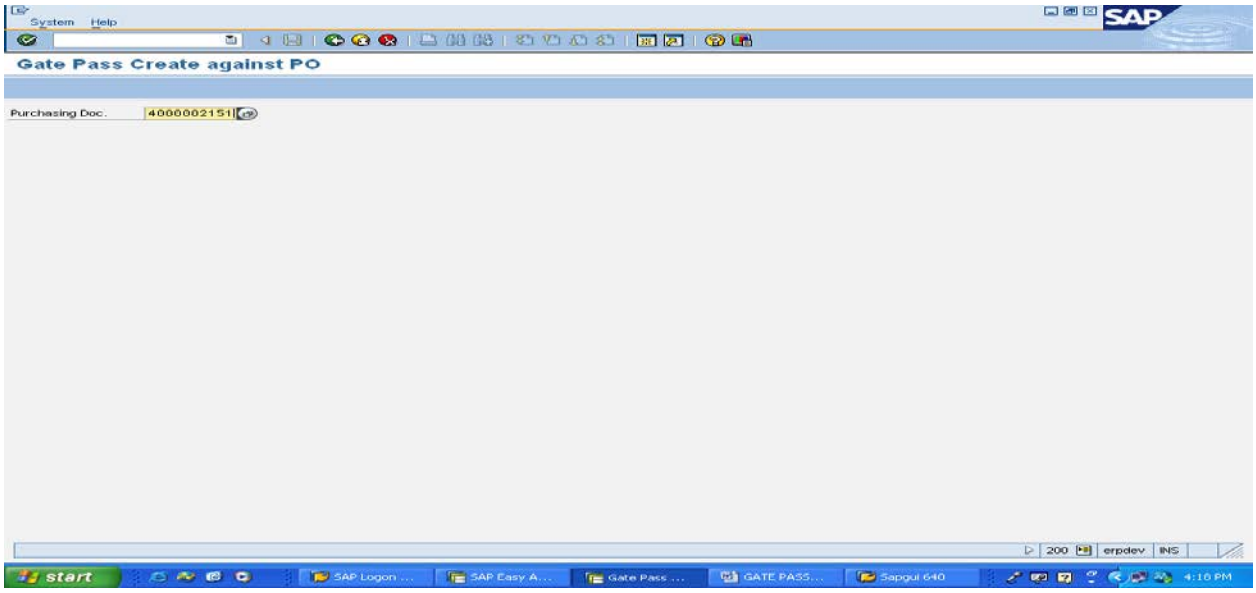
8.1 Gate Pass Create against PO

This gate pass may be created for sending material or equipment (with ref to any PO) outside the plant & then receiving back in Plant.

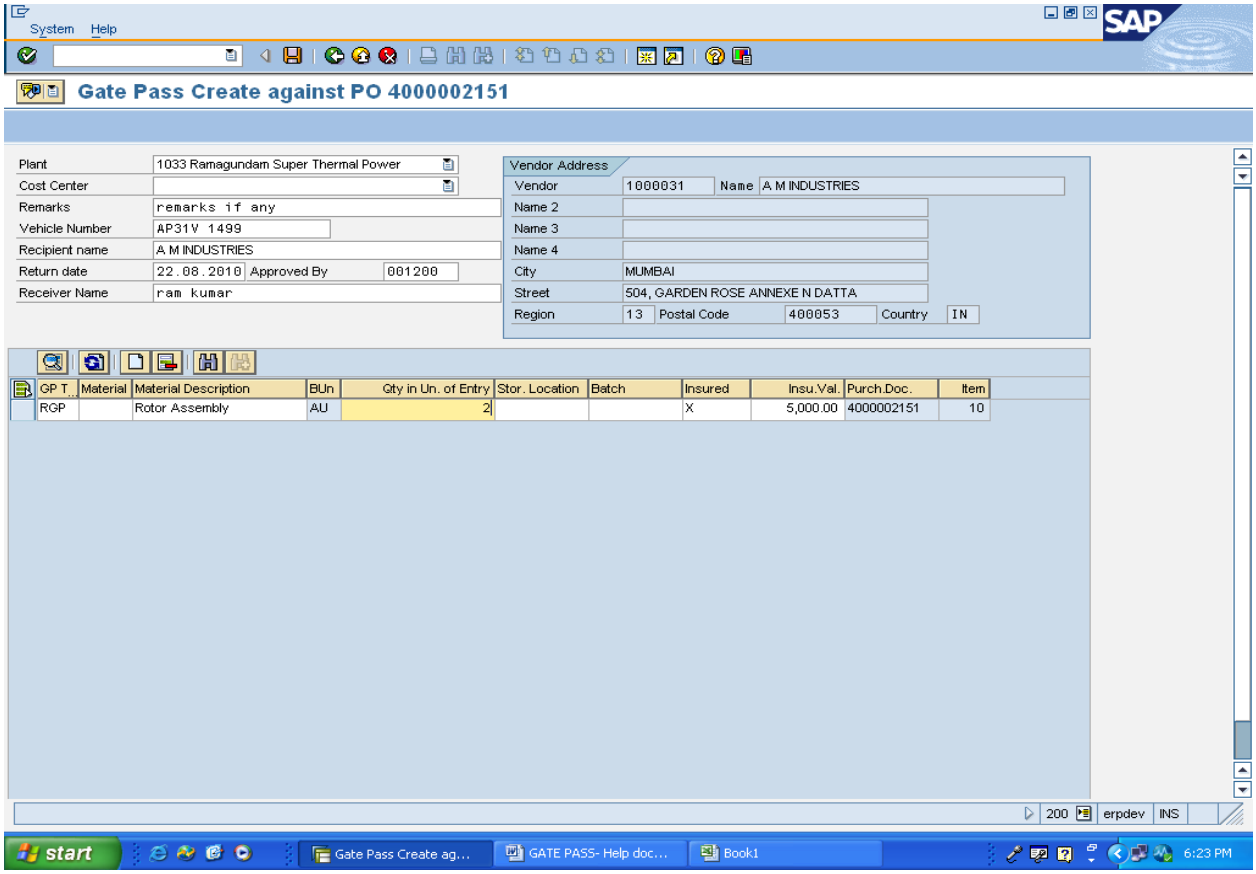
Use T code ZMGP21



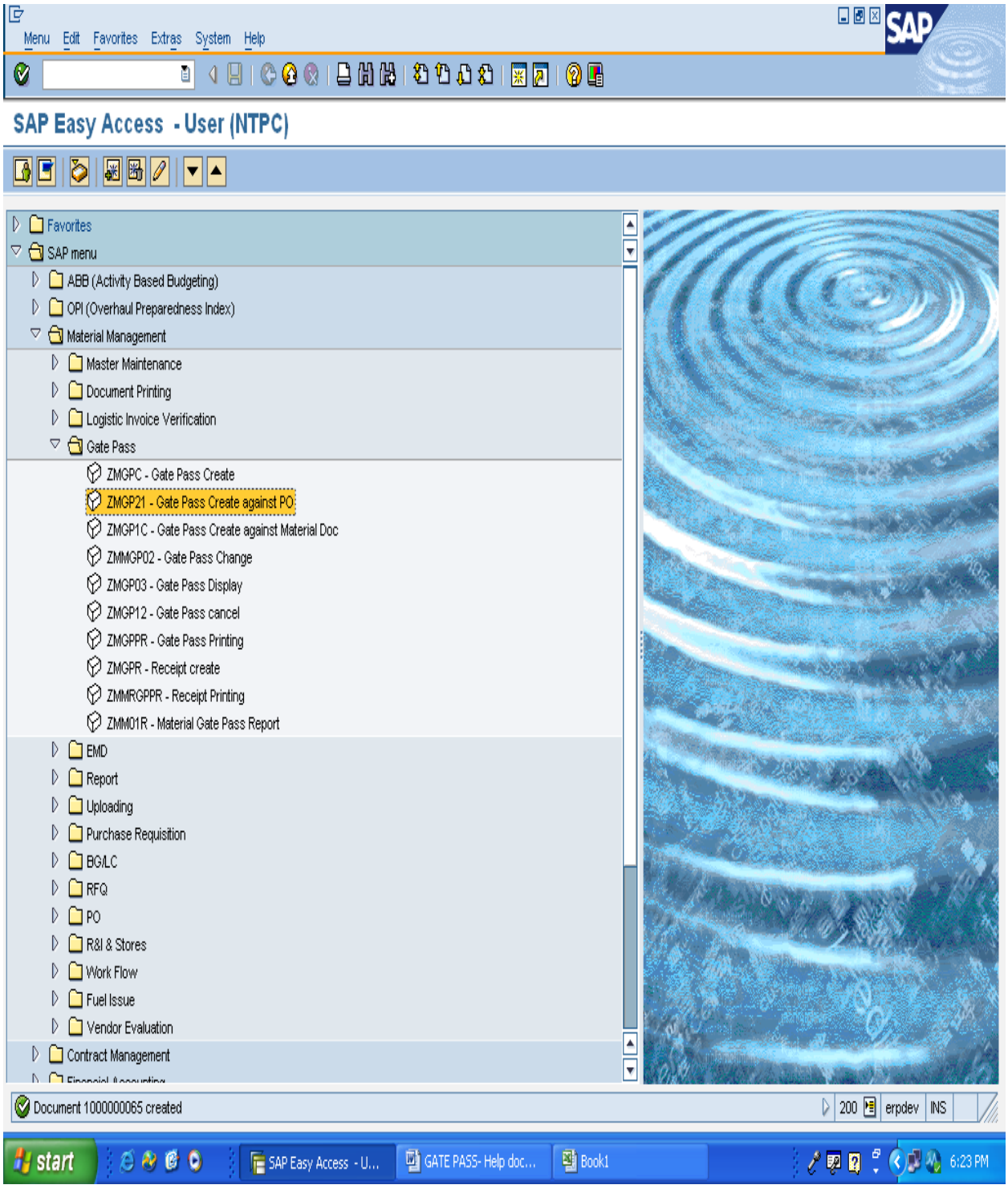
Enter Po no against which Gate pass is to be created



Press enter and update following details

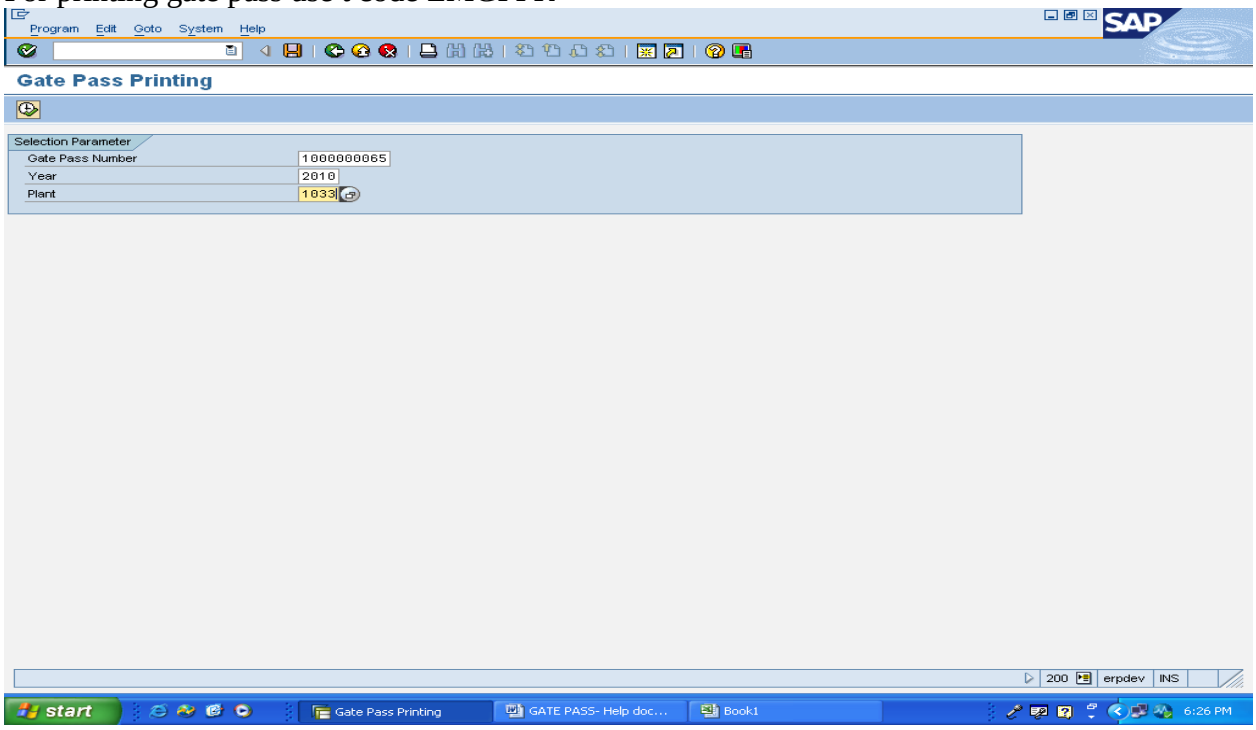


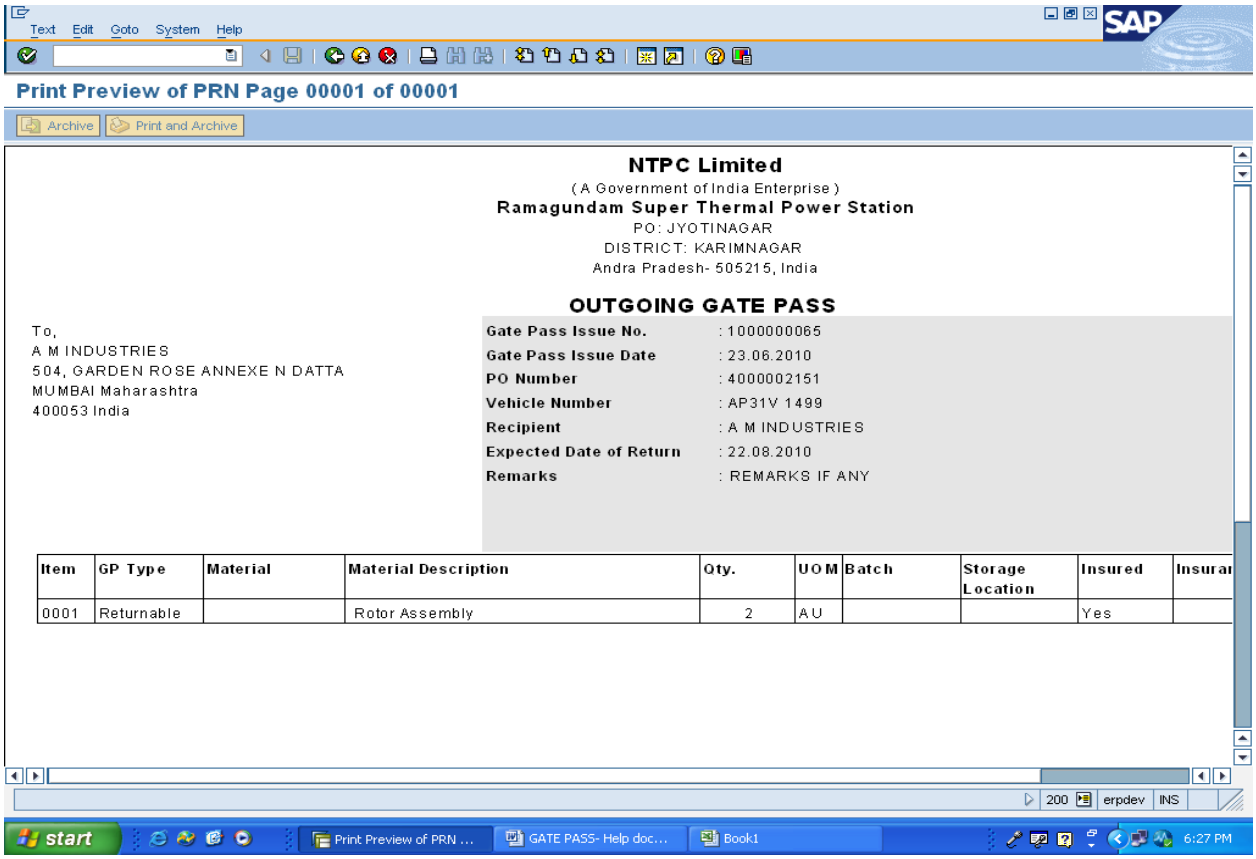
After entering details save it.



Now if you have to edit or display above gate pass. Use same t-code as explained above.

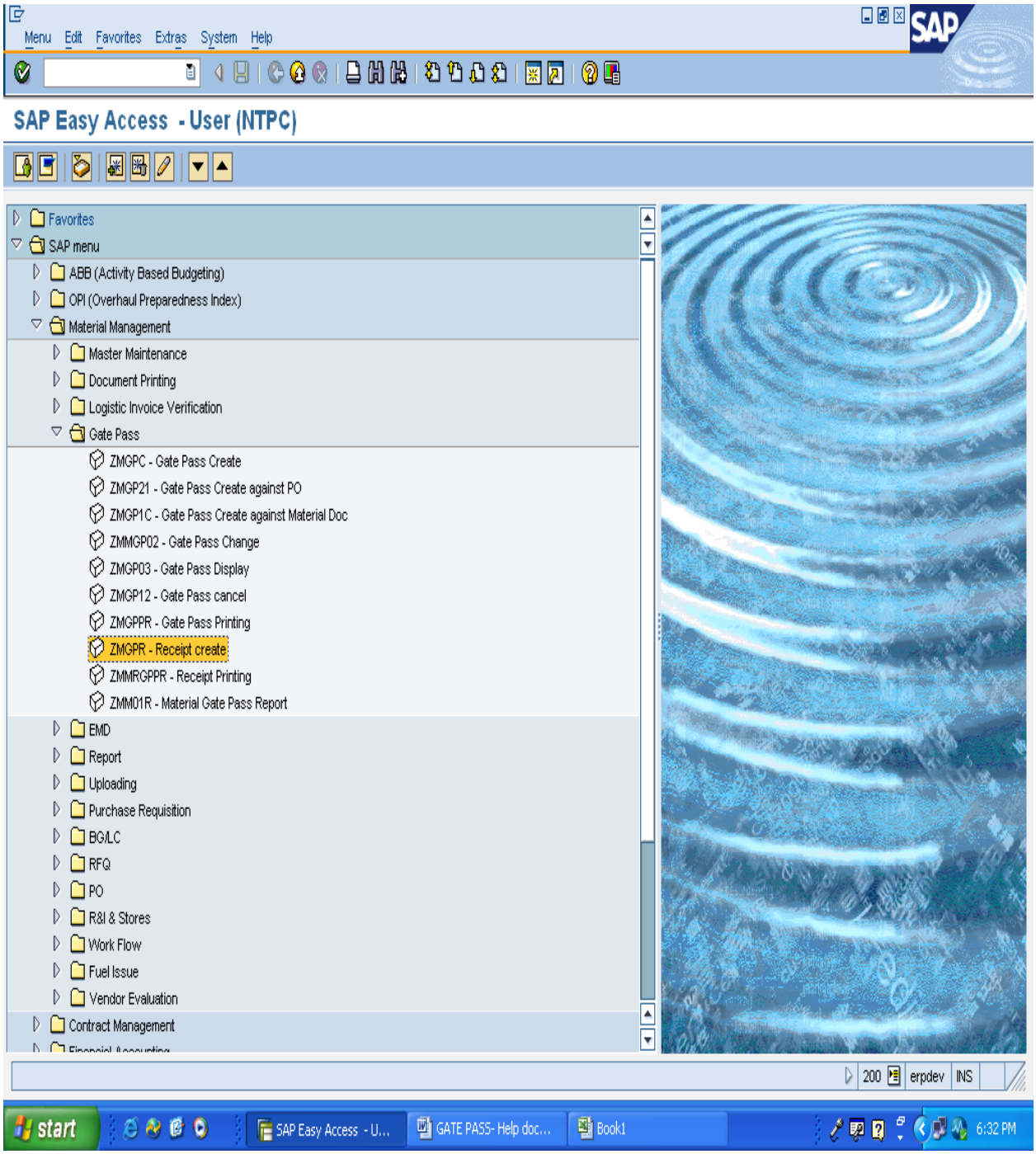
For printing gate pass use t code ZMGPPR



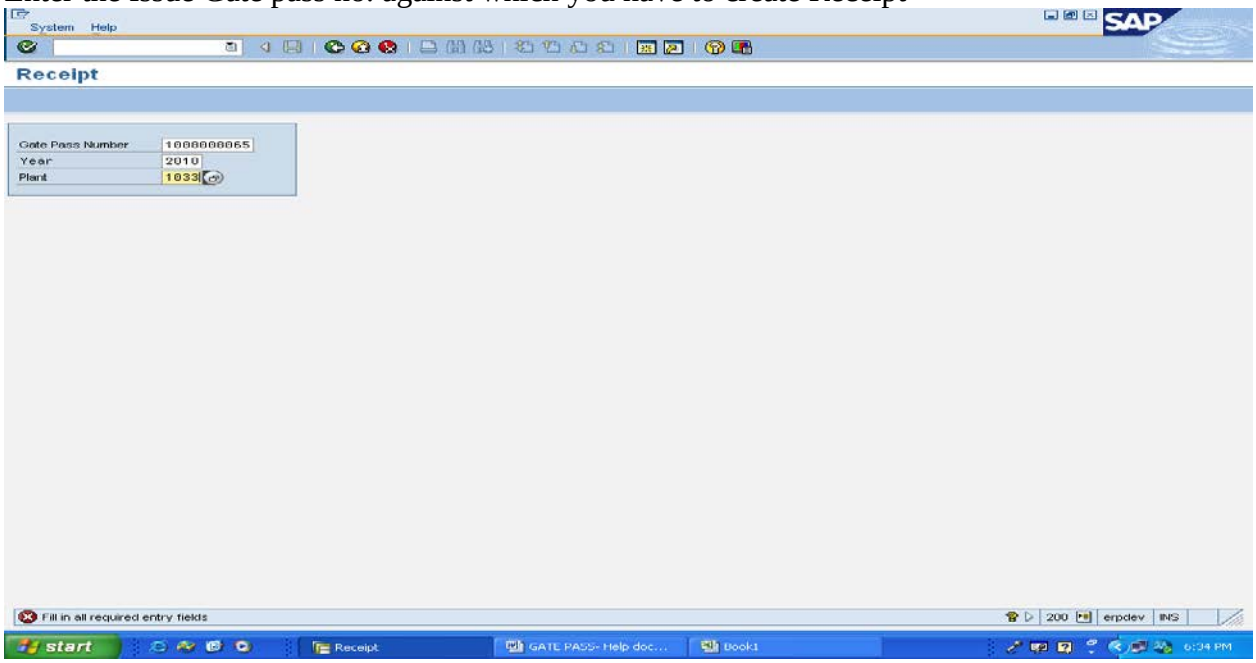


Now suppose you have received the item back after few days. Then you have to create receipt as explained below

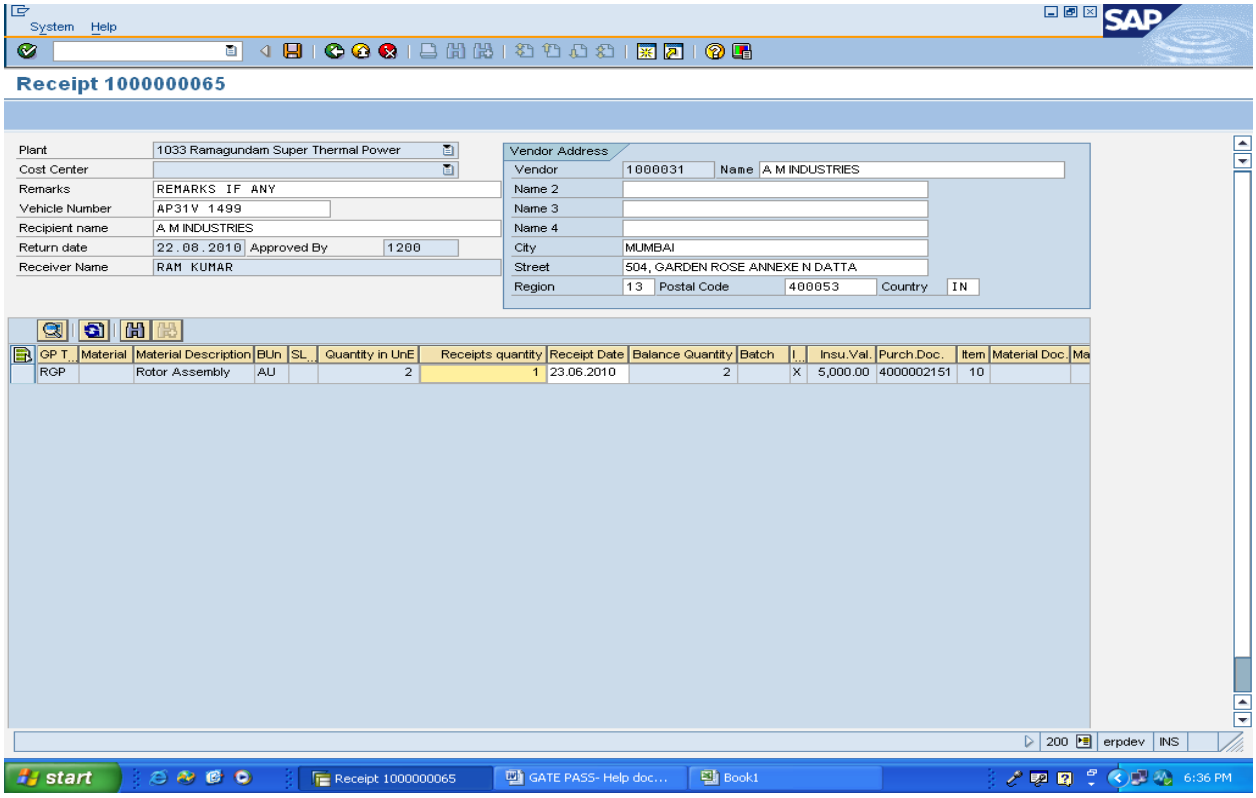
Use T code ZMGPR


Menu Edit Favorites Extras System Help
SAP Easy Access - User (NTPC)
Favorites
SAP menu
ABB (Activity Based Budgeting)
OPI (Overhaul Preparedness Index)
Material Management
Master Maintenance
Document Printing
Logistic Invoice Verification
Gate Pass
ZMGPC - Gate Pass Create
ZMGP21 - Gate Pass Create against PO
ZMGP1C - Gate Pass Create against Material Doc
ZMMGP02 - Gate Pass Change
ZMGP03 - Gate Pass Display
ZMGP12 - Gate Pass cancel
ZMGPPR - Gate Pass Printing
ZMGPR - Receipt create
ZMMRGPPR - Receipt Printing
ZMM01R - Material Gate Pass Report
EMD
Report
Uploading
Purchase Requisition
BG/LC
RFQ
PO
R&I & Stores
Work Flow
Fuel Issue
Vendor Evaluation
Contract Management
200 erpdev INS
start
SAP Easy Access - U...
GATE PASS- Help doc...
Book1
6:32 PM

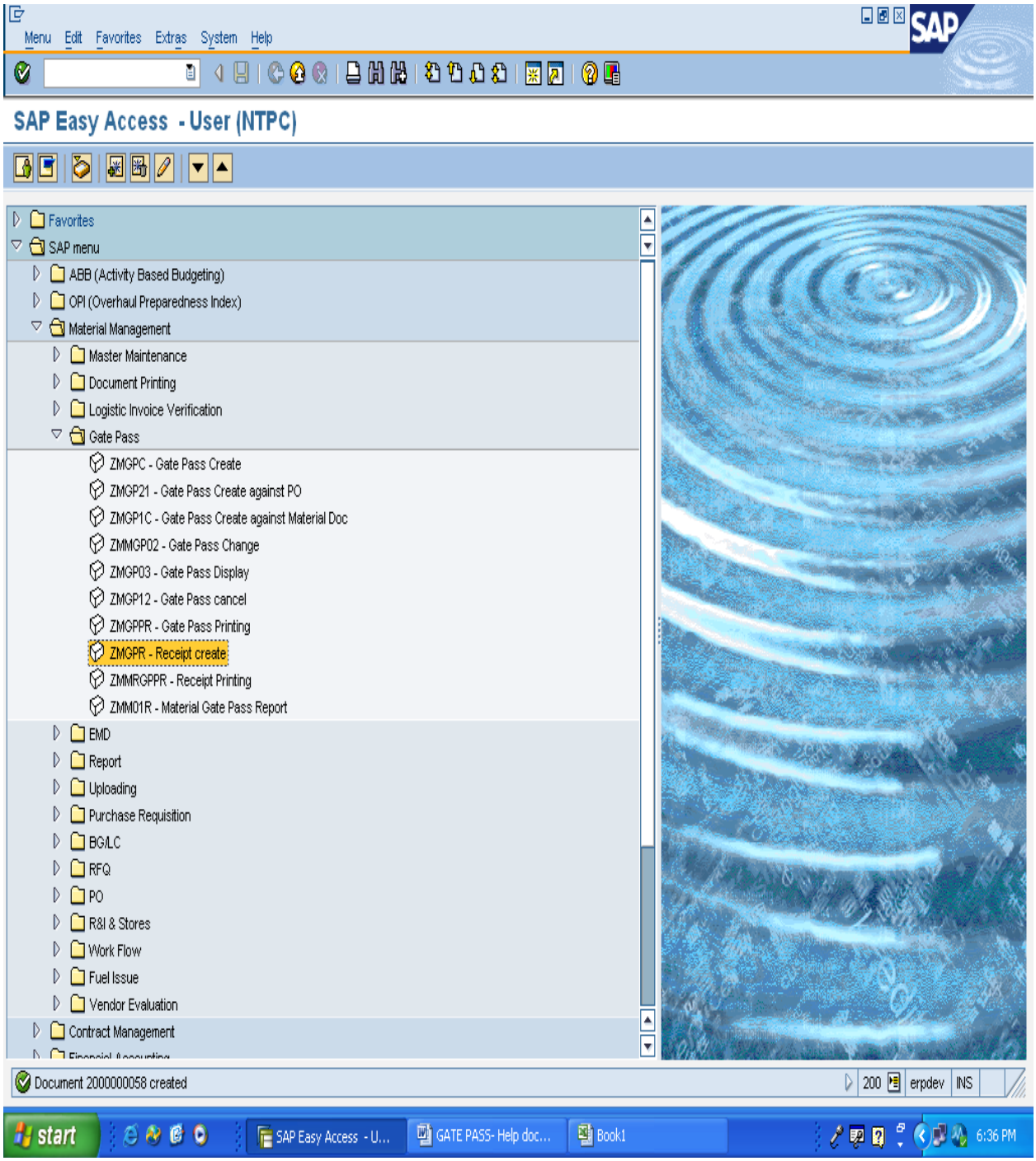
Enter the Issue Gate pass no. against which you have to create Receipt



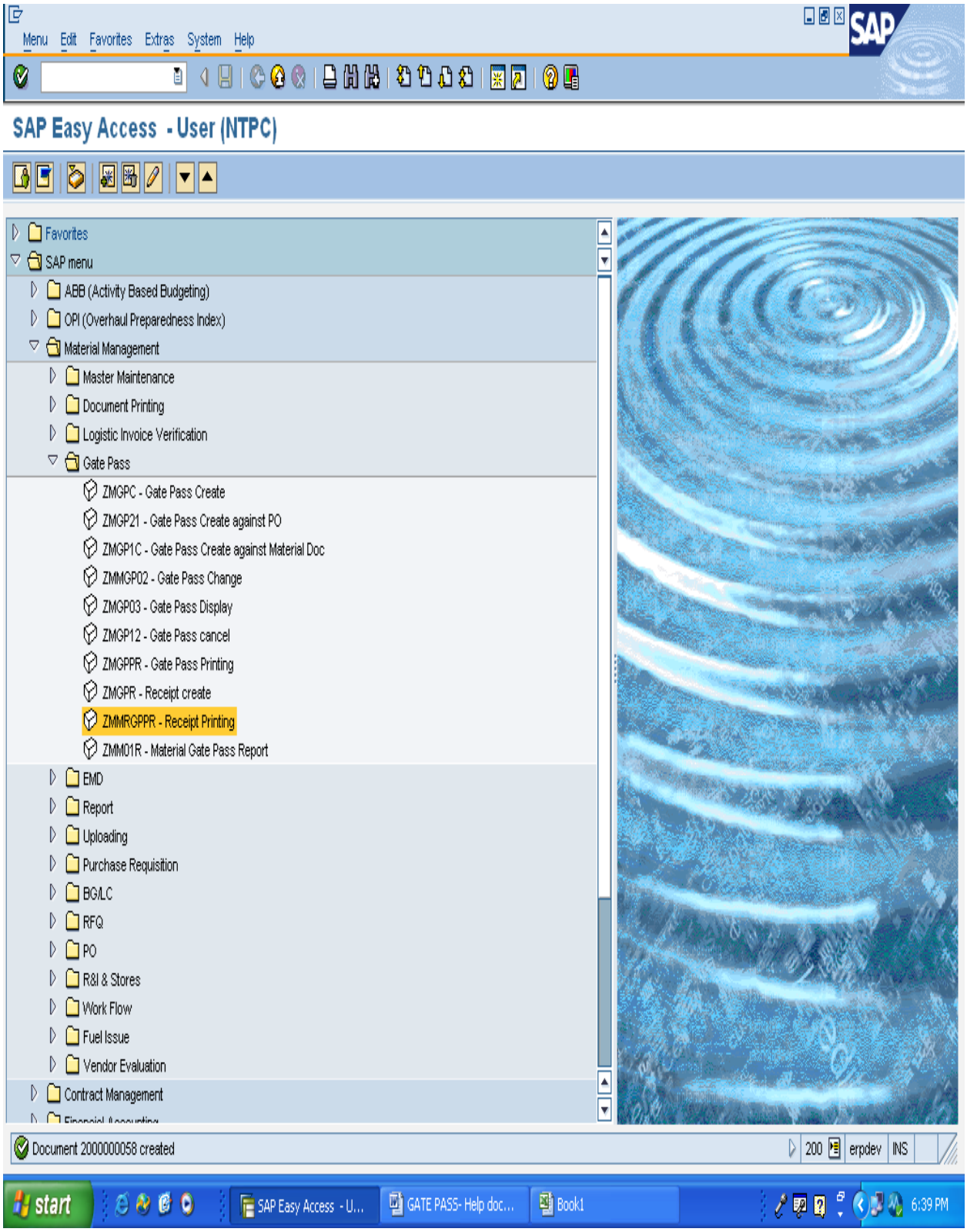
Suppose we have received only 1 qty.
Enter received qty and date of receipt

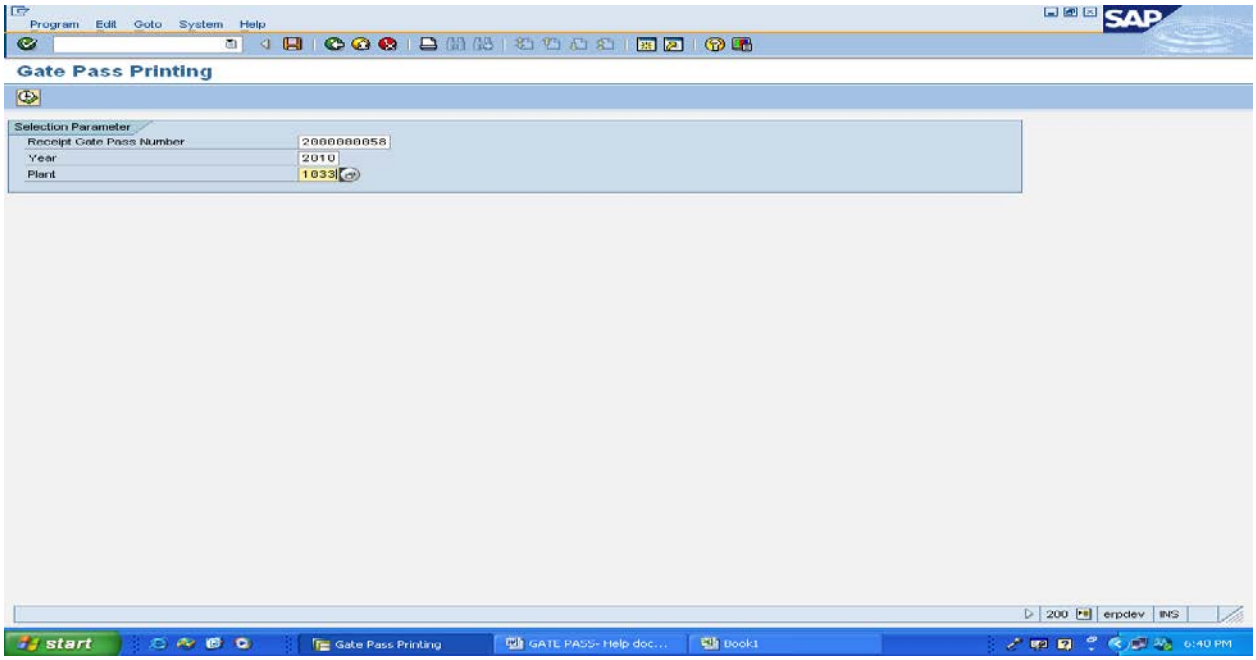


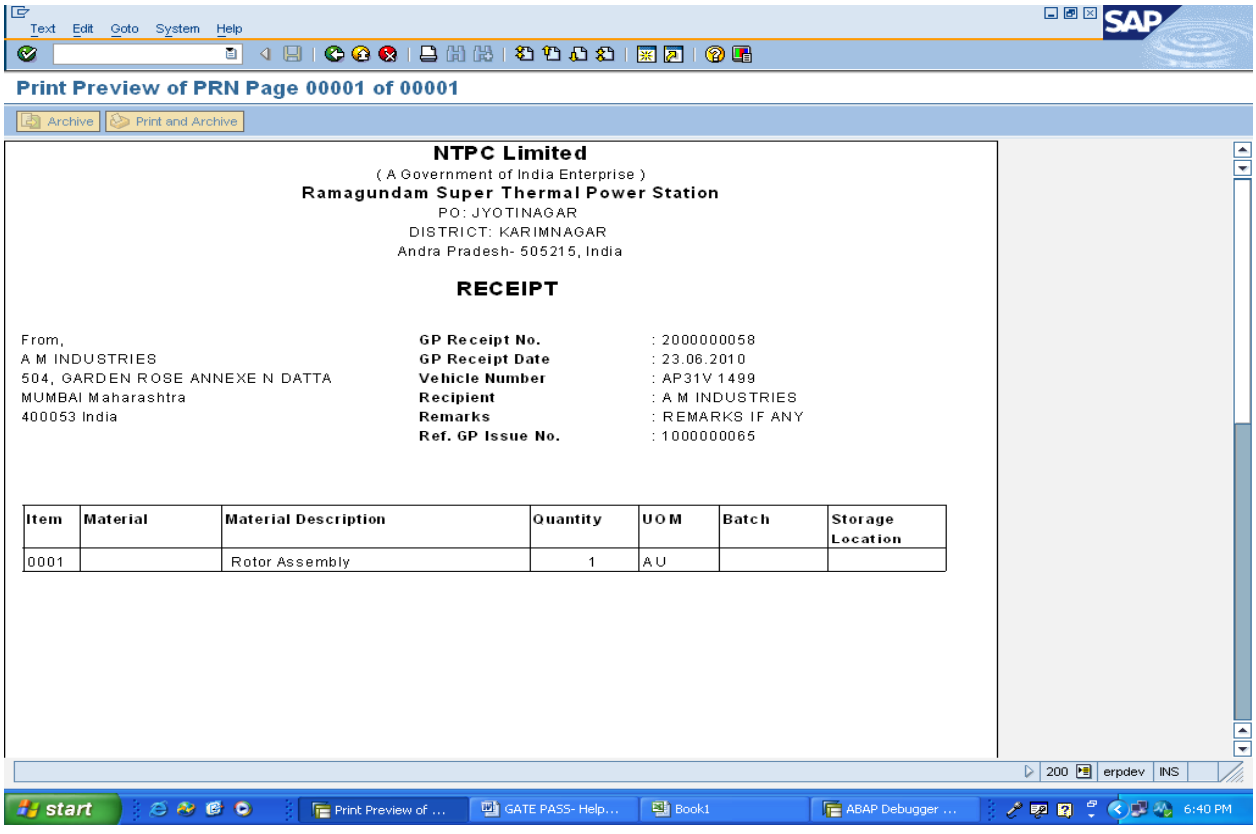
Save above doc.



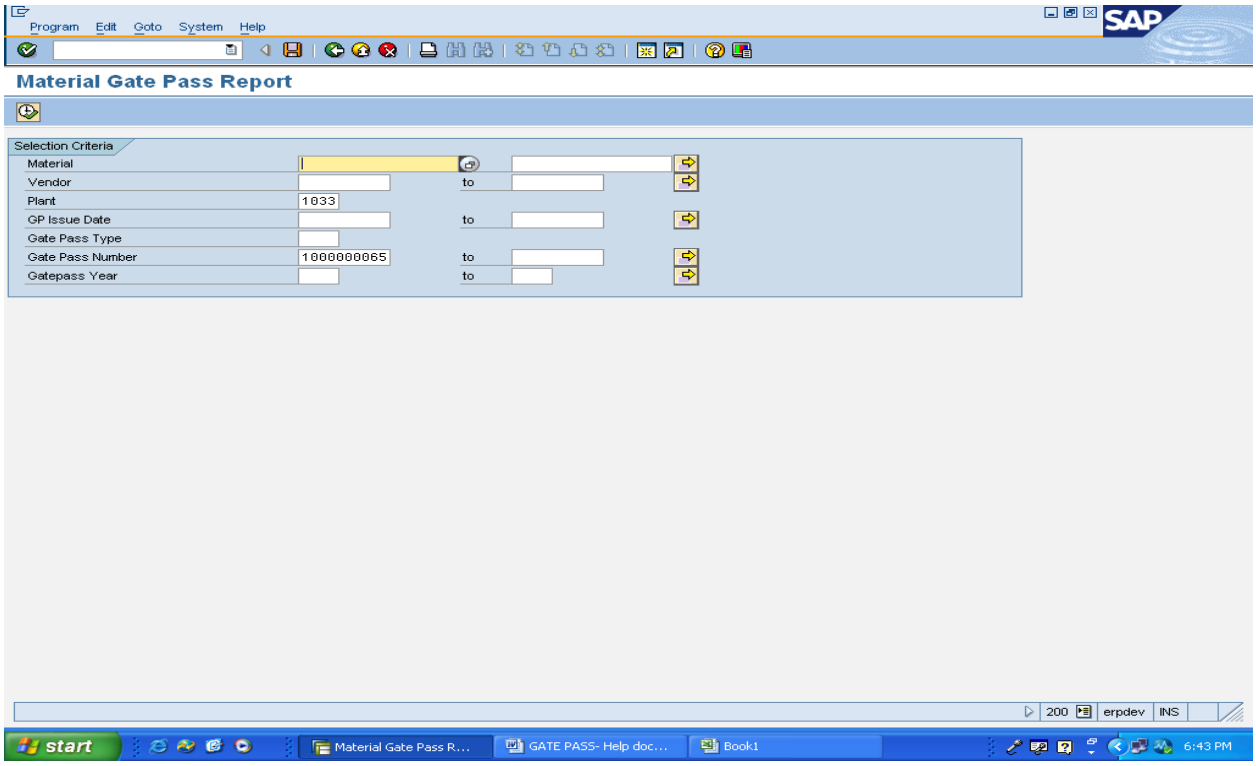
Now print of receipt can be taken using T code ZMMRGPPR
(NOTE: Qty received must be entered carefully since it not editable once document is saved and the same will get updated in table & will be reflected in Material Gate Pass report)

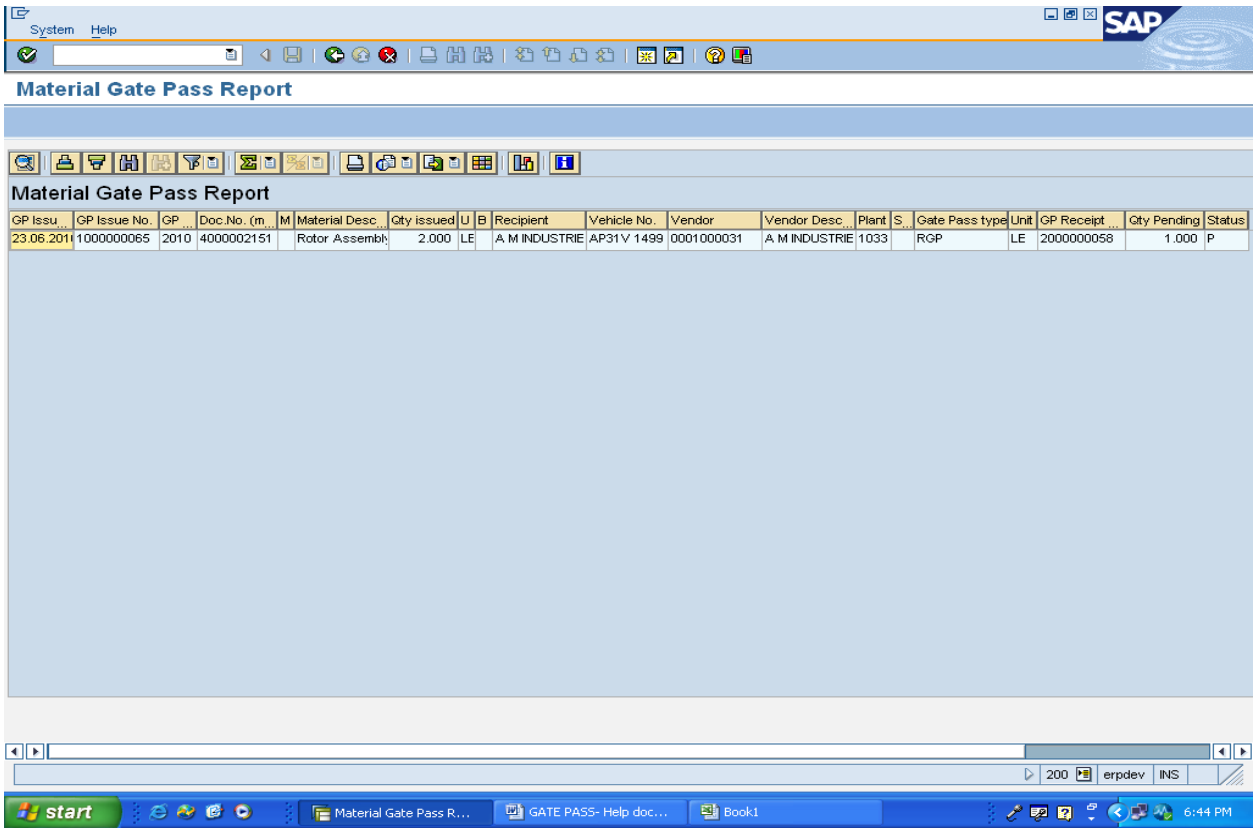

Menu Edit Favorites Extras System Help
SAP
SAP Easy Access - User (NTPC)
Favorites
SAP menu
ABB (Activity Based Budgeting)
OPI (Overhaul Preparedness Index)
Material Management
Master Maintenance
Document Printing
Logistic Invoice Verification
Gate Pass
ZMGPC - Gate Pass Create
ZMGP21 - Gate Pass Create against PO
ZMGP1C - Gate Pass Create against Material Doc
ZMMGP02 - Gate Pass Change
ZMGP03 - Gate Pass Display
ZMGP12 - Gate Pass cancel
ZMGPPR - Gate Pass Printing
ZMGPR - Receipt create
ZMMRGPPR - Receipt Printing
ZMM01R - Material Gate Pass Report
EMD
Report
Uploading
Purchase Requisition
BG/LC
RFQ
PO
R&I & Stores
Work Flow
Fuel Issue
Vendor Evaluation
Contract Management
Document 2000000058 created
200
erpdev
INS
start
SAP Easy Access - U...
GATE PASS- Help doc...
Book1
6:39 PM





Bottom Part of the Receipt will contain the name & Employee I.D of Receipt Issuer.
Now if we see the report for the above gate pass generated. We will get following details

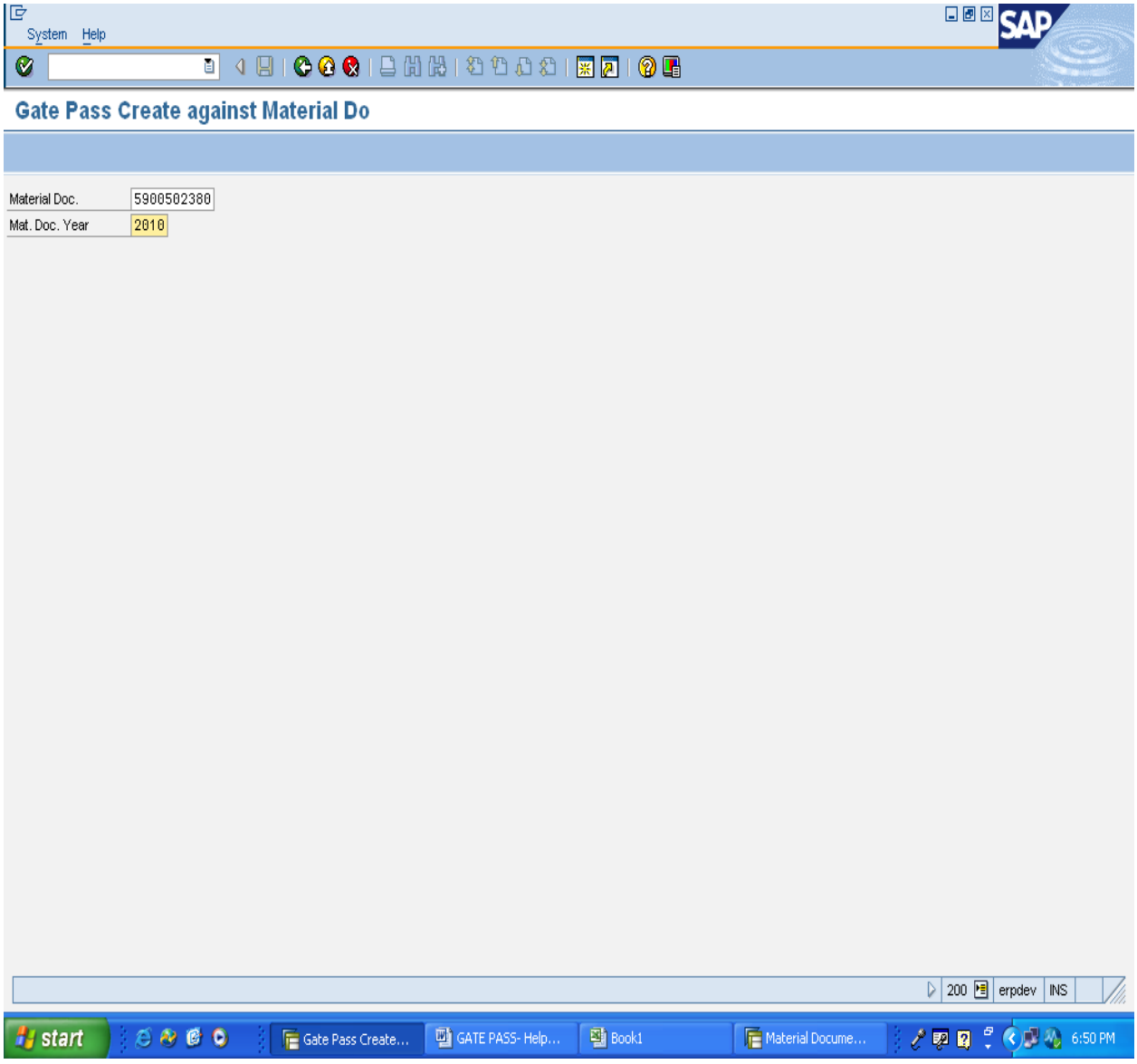

Program Edit Goto System Help
SAP
Material Gate Pass Report
Selection Criteria
Material
Vendor
to
Plant
1033
GP Issue Date
to
Gate Pass Type
Gate Pass Number
1000000065
to
Gatepass Year
to
200 erpdev INS
start
Material Gate Pass R...
GATE PASS- Help doc...
Book1
6:43 PM


System Help
SAP
Material Gate Pass Report
Material Gate Pass Report
GP Issu
GP Issue No.
GP ...
Doc.No. (m...
M
Material Desc
Qty issued
U
B
Recipient
Vehicle No.
Vendor
Vendor Desc.
Plant
S...
Gate Pass type
Unit
GP Receipt ...
Qty Pending
Status
23.06.201
1000000065
2010
4000002151
Rotor Assembly
2.000
LE
A M INDUSTRIE
AP31 V 1499
0001000031
A M INDUSTRIE
1033
RGP
LE
2000000058
1.000
P
200 erpdev INS
start
Material Gate Pass R...
GATE PASS- Help doc...
Book1
6:44 PM

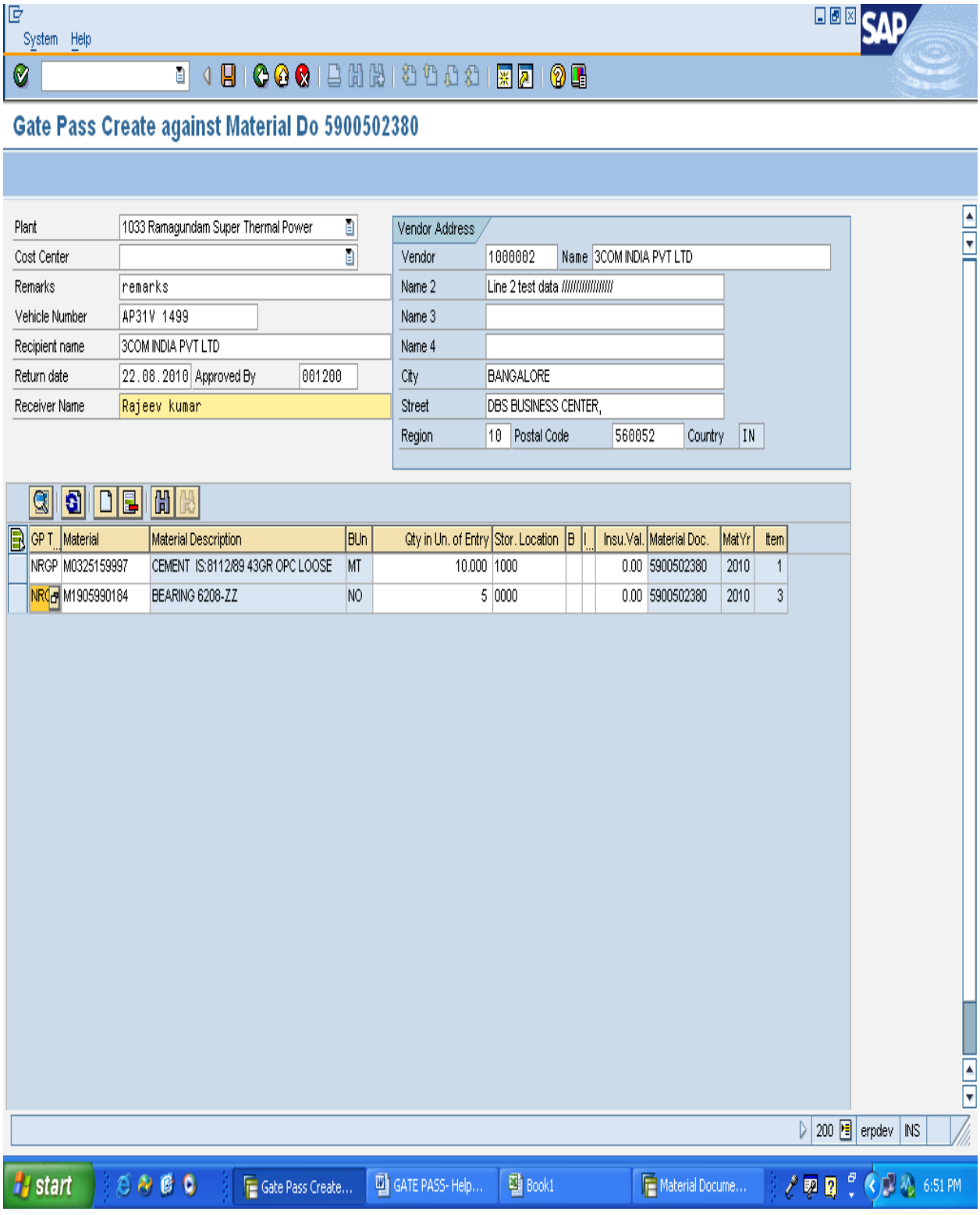
8.2 Gate pass Create against Material Doc

This gate pass may be created for sending rejected material (Matls. doc-mvt.type. 122)/ Free issue material (Mat doc-mvt. Type. Z11) /or material against matls. doc-mvt Z73 from store.

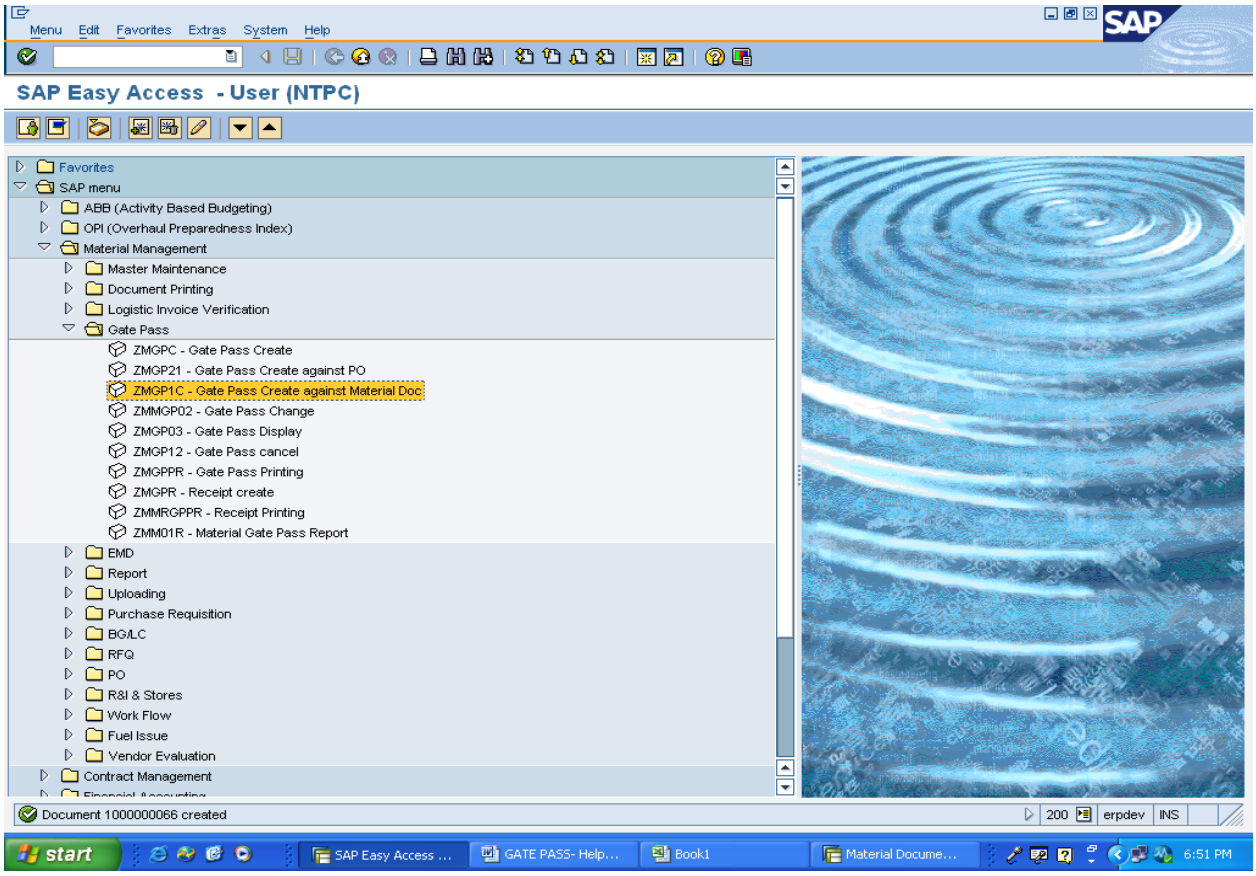
Use T code ZMGP1C
Enter mat doc. no. (say Z11 doc 5900502380, Year 2010**)**



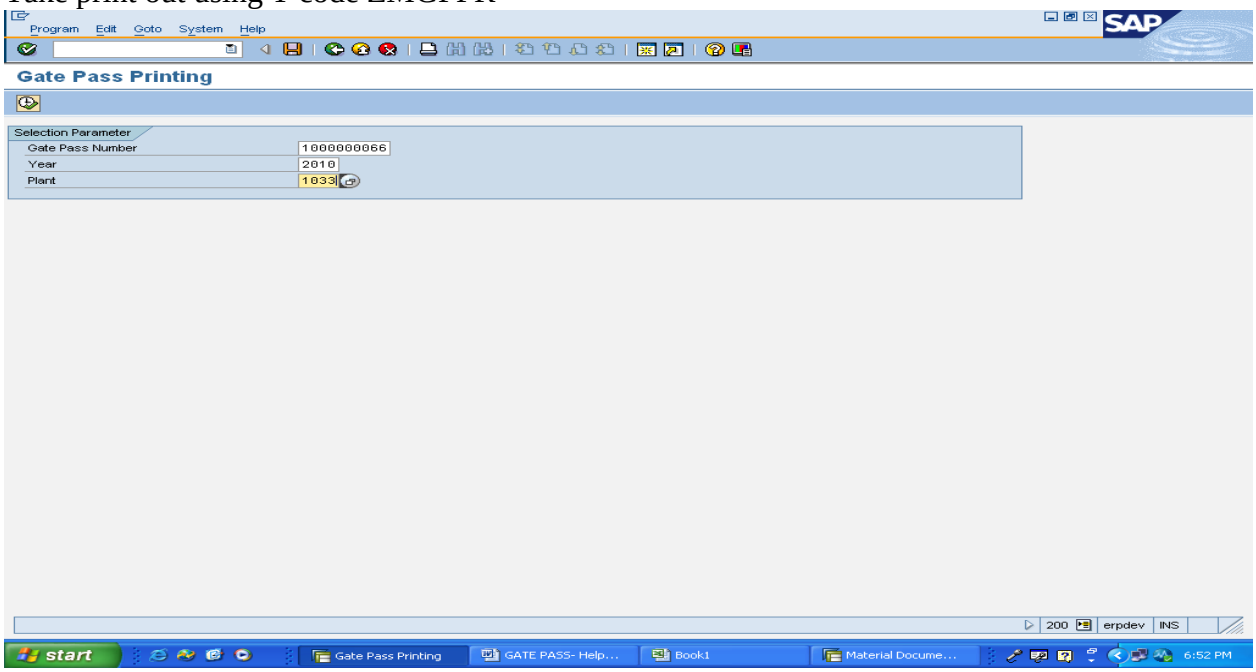
Enter all details

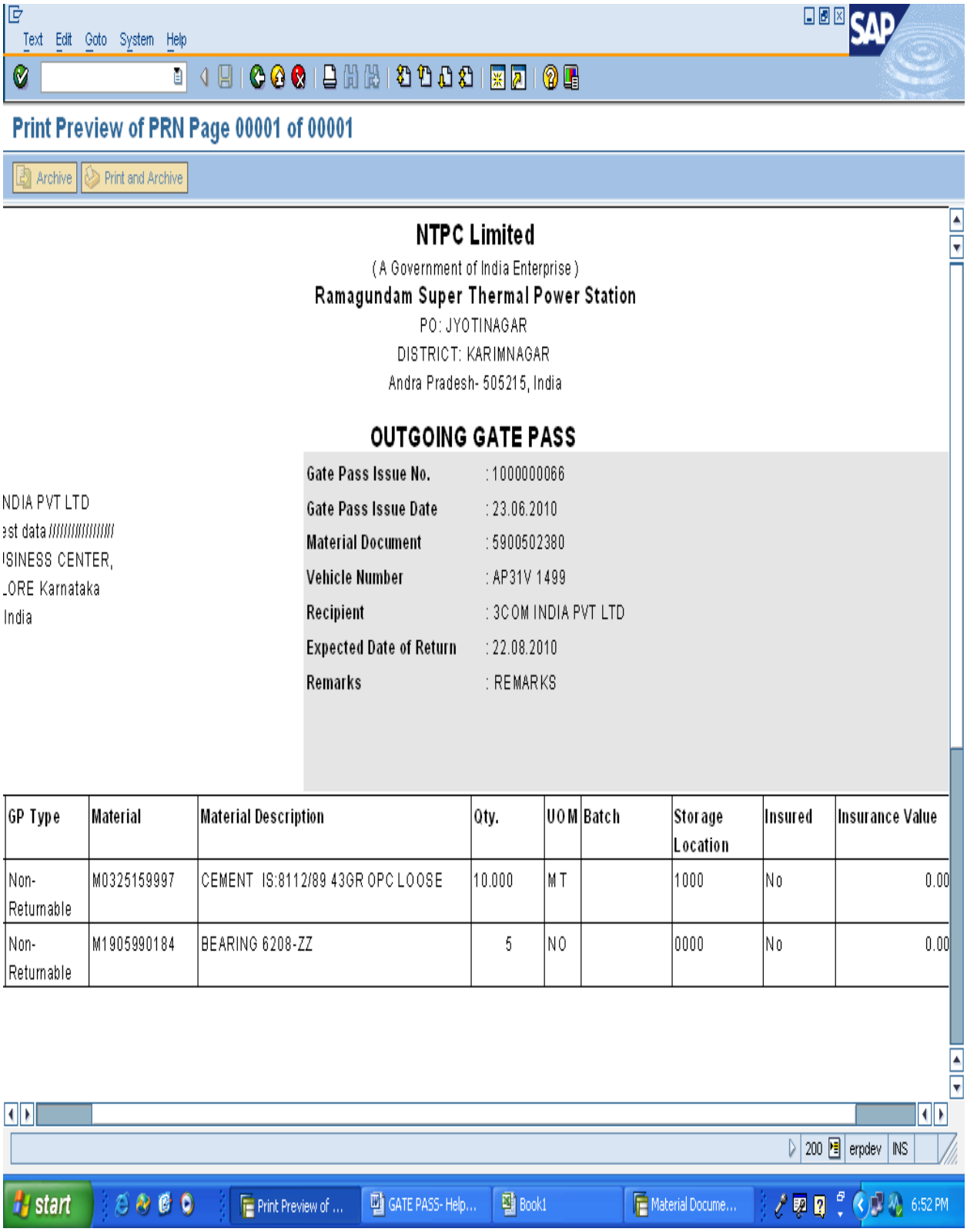

System Help
Gate Pass Create against Material Do 5900502380
Plant 1033 Ramagundam Super Thermal Power
Cost Center
Remarks remarks
Vehicle Number AP31V 1499
Recipient name 3COM INDIA PVT LTD
Return date 22.08.2010 Approved By 001200
Receiver Name Rajeev kumar
Vendor Address
Vendor 1000002 Name 3COM INDIA PVT LTD
Name 2 Line 2 test data ////////////////
Name 3
Name 4
City BANGALORE
Street DBS BUSINESS CENTER,
Region 10 Postal Code 560052 Country IN
GP T Material Material Description BUn Qty in Un. of Entry Stor. Location B I Insu.Val. Material Doc. MatYr Item
NRGP M0325159997 CEMENT IS:8112/89 43GR OPC LOOSE MT 10.000 1000 0.00 5900502380 2010 1
NRG M1905990184 BEARING 6208-ZZ NO 5 0000 0.00 5900502380 2010 3
200 erpdev INS
start
Gate Pass Create...
GATE PASS- Help...
Book1
Material Docume...
6:51 PM

And save it



Take print out using T code ZMGPPR



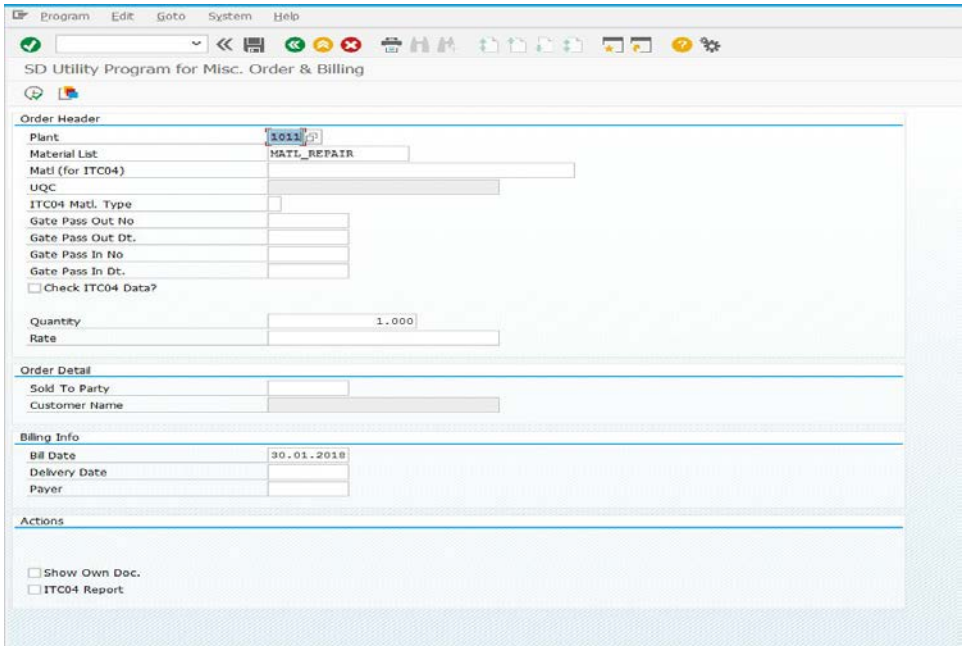

Text Edit Goto System Help
SAP
Print Preview of PRN Page 00001 of 00001
Archive
Print and Archive
NTPC Limited
(A Government of India Enterprise)
Ramagundam Super Thermal Power Station
PO: JYOTINAGAR
DISTRICT: KARIMNAGAR
Andra Pradesh- 505215, India
OUTGOING GATE PASS
NDIA PVT LTD
st data ////////////////
ISINESS CENTER,
_ORE Karnataka
India
Gate Pass Issue No. : 1000000066
Gate Pass Issue Date : 23.06.2010
Material Document : 5900502380
Vehicle Number : AP31V 1499
Recipient : 3COM INDIA PVT LTD
Expected Date of Return : 22.08.2010
Remarks : REMARKS
GP Type | Material | Material Description | Qty. | UOM | Batch | Storage Location | Insured | Insurance Value
Non-Returnable | M0325159997 | CEMENT IS:8112/89 43GR OPC LOOSE | 10.000 | MT | | 1000 | No | 0.00
Non-Returnable | M1905990184 | BEARING 6208-ZZ | 5 | NO | | 0000 | No | 0.00
200 erpdev INS
start
Print Preview of ...
GATE PASS- Help...
Book1
Material Docume...
6:52 PM

8.3 Gate pass Create for Job Work / Material Repair, Return Delivery

The Job Work / Material Repair module is to be used when the material is to be given for repair work to the vendor. The gate pass for the same can be taken from gatepass module of MM and the documentation for the same is available. The output of this module would be used for filing ITC04 return.

(A) Job work/ Material Repair

Run T code ZSDBILL Enter following
Plant- Your plant code (say 1011)
Material List – select material "MATL_REPAIR" from dropdown And then press enter key.

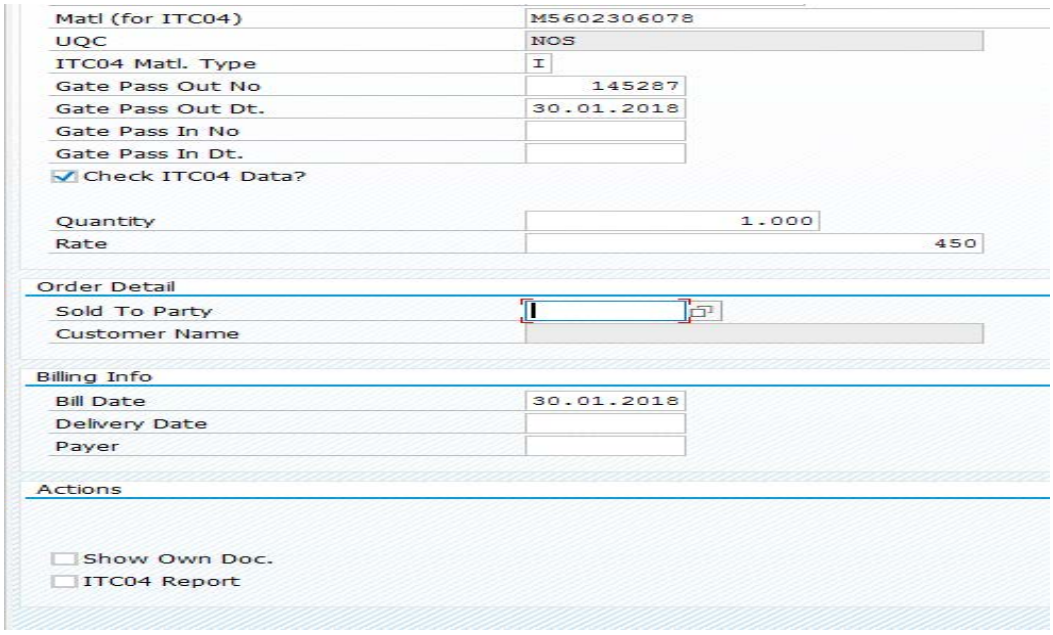


Enter material code (say M5602306078) of the material to be sent for repair in field "Matl (for ITC04)"
In field "ITC04 Matl. Type" enter I or C as the case may be for input material type or capital spares respectively.
Enter

"Gate Pass Out No" – Gate pass no generated through SAP system or any other gate pass no. generated offline can be entered (say 145287) .
"Gate Pass Out Dt."- Enter gate pass out date (say 30.01.2018).

Put Tick mark in check box "Check ITC04 Data?" and press enter key

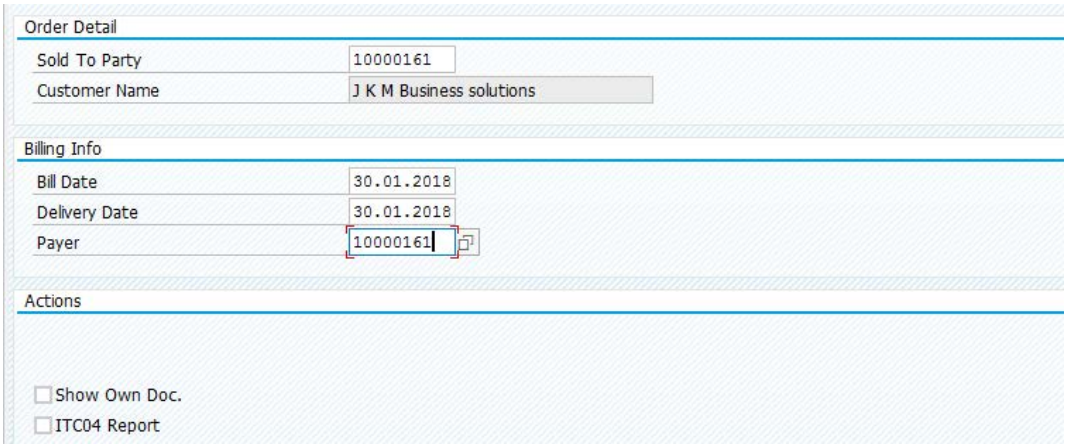
MAP price maintained for the material in master data will be automatically picked up by the system , which is editable and can be replaced with any other price.



Qty and rate in above screen is editable and can be updated with any other qty and price.

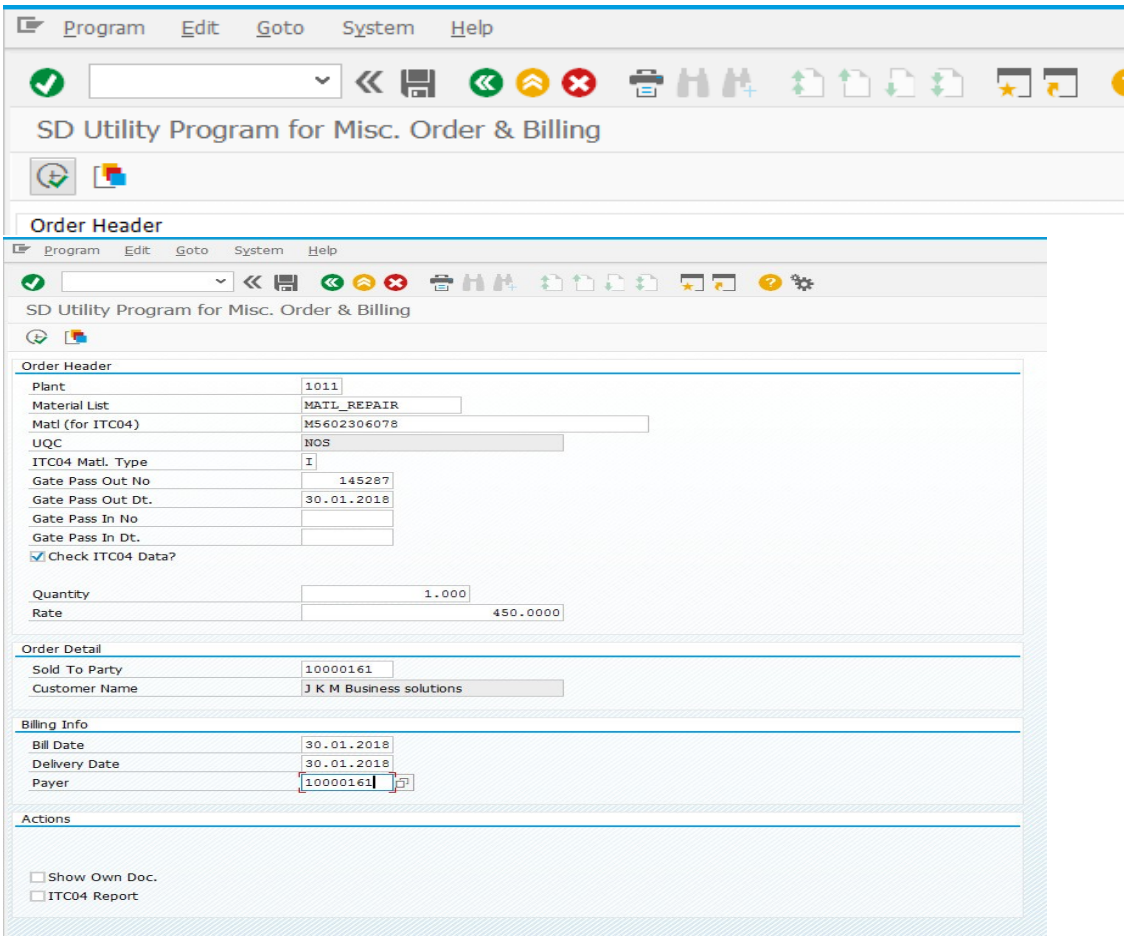
Next in "Sold To Party" enter customer code created for Div 11 (say 10000161) . Enter one time customer in case customer code is not required or if it's a case of B2C.

For creation of customer code or extension of customer code to div 11, users should create SOLMAN request with all required details in component "ZSD-CC".One time customer codes will be available by default.

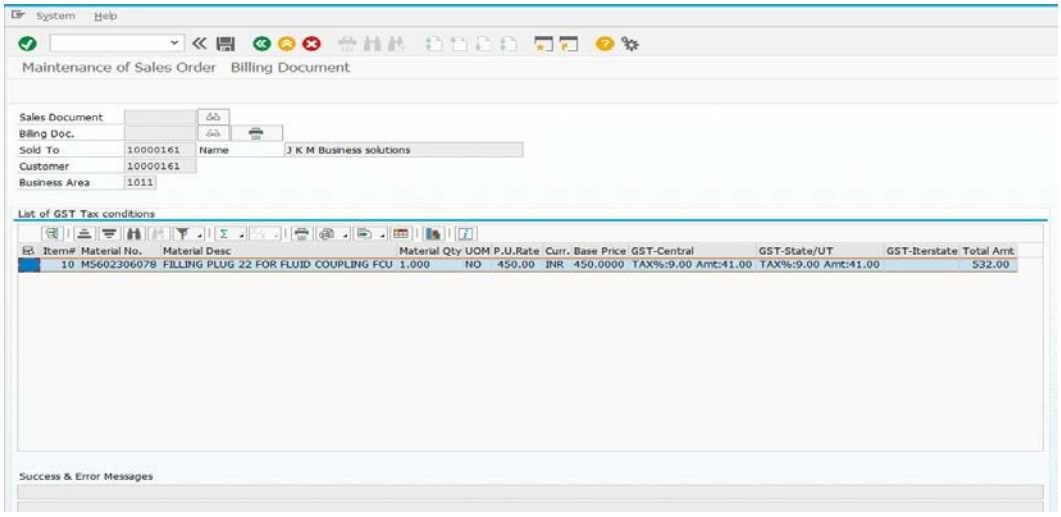


In field "Delivery Date" enter date on which material is going out of NTPC premises.

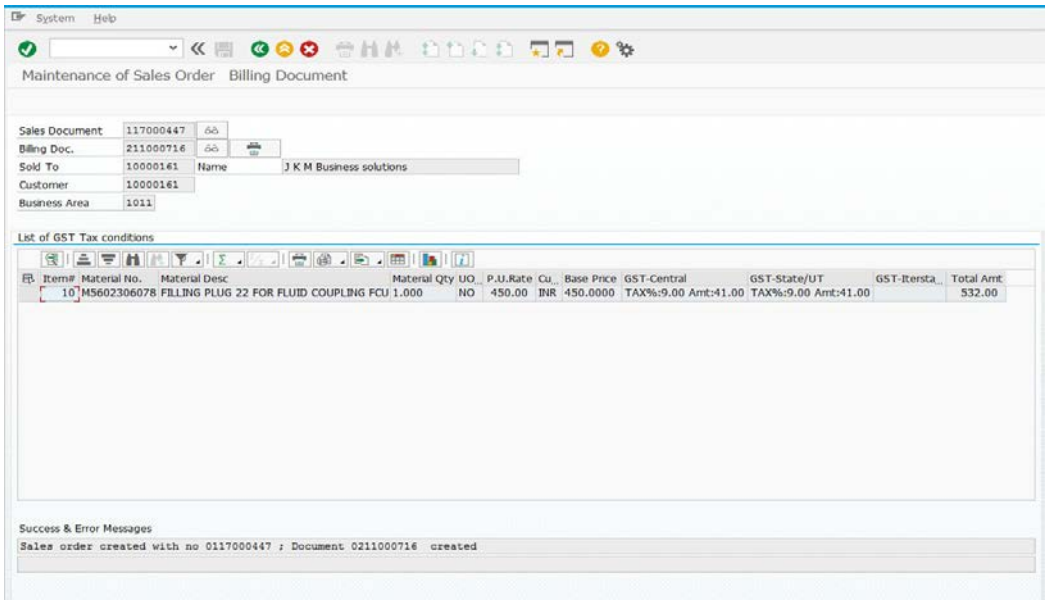
After entering all above press Icon for executing the document.



On executing



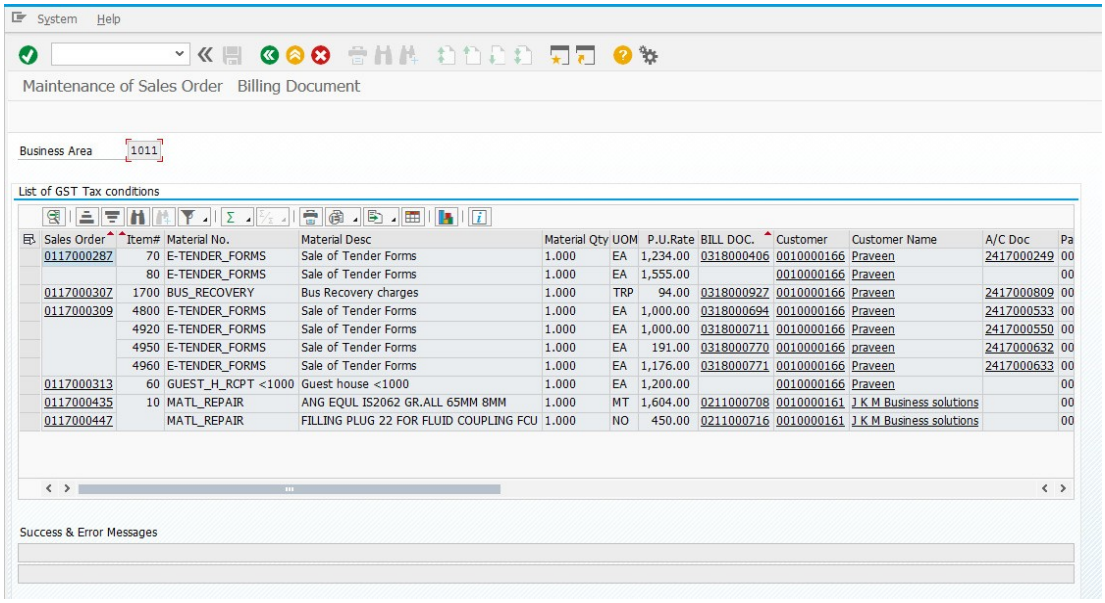
Select the row with item 10 and press Save icon for generating documents- Sale order and Performa invoice.



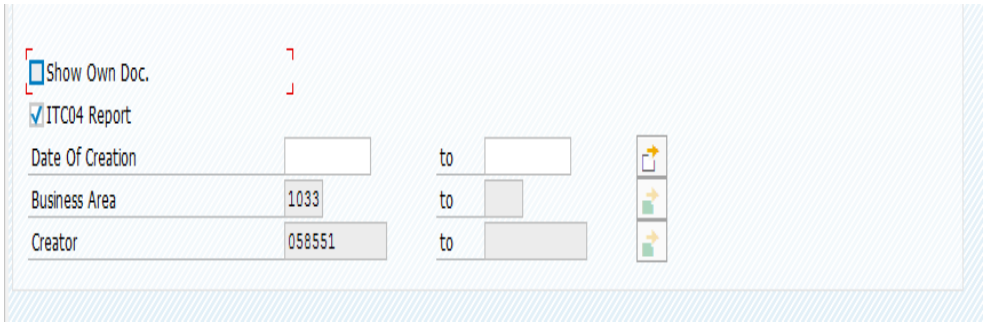
Now material is to be moved out along with the GATE PASS generated as per the gate pass system in MM (SAP) or generated offline.

After receiving the material back in NTPC premises . Performa invoice i.e document 0211000716 created above is to be deleted.

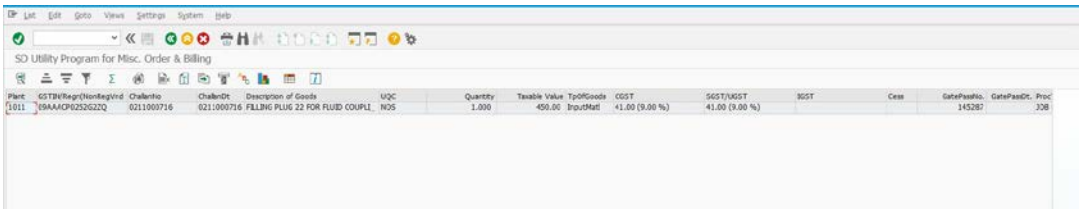
If user wants to get the list of documents created using his/her id then , same T code ZSDBILL is to be executed.
And select check box “Show Own Doc.” And execute.
All documents created with id will be displayed by the system



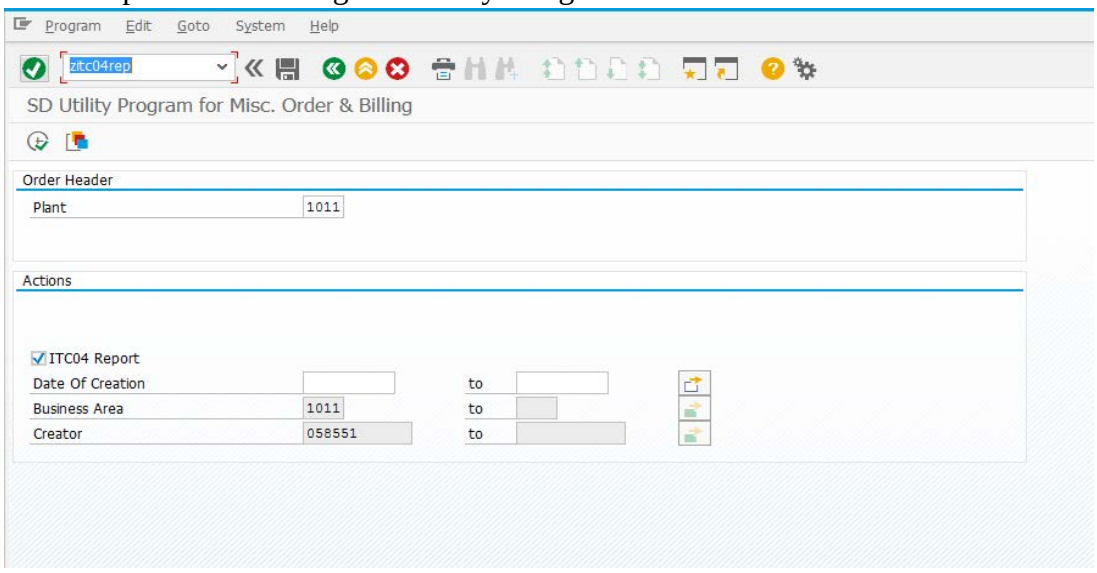
For getting report as per GST-ITC04 format, select check box “ITC04 Report”



Report in ITC04 format will be generated



Above report can also be generated by using T code “ZITC04REP”



The t-code ZITC04REP would be available with the Finance Representative in order to facilitate return filing.

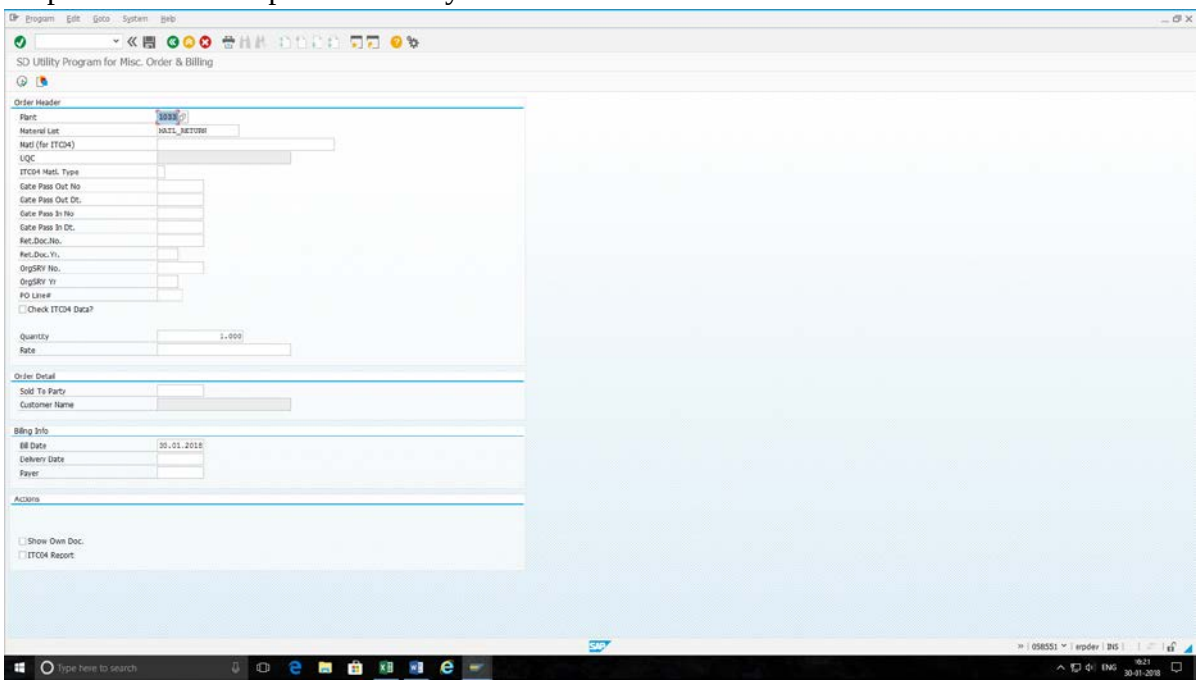
GST on RETURN DELIVERY

The following document is with reference to GST on Return Delivery. The MM process of return would continue as present. The following process is in continuation of the MM process of return delivery.

This is to be performed for those cases where material has been received upto six months before the GST implementation date 01.07.2017 and the same material is returned upto six months after the GST implementation date 01.07.2017.

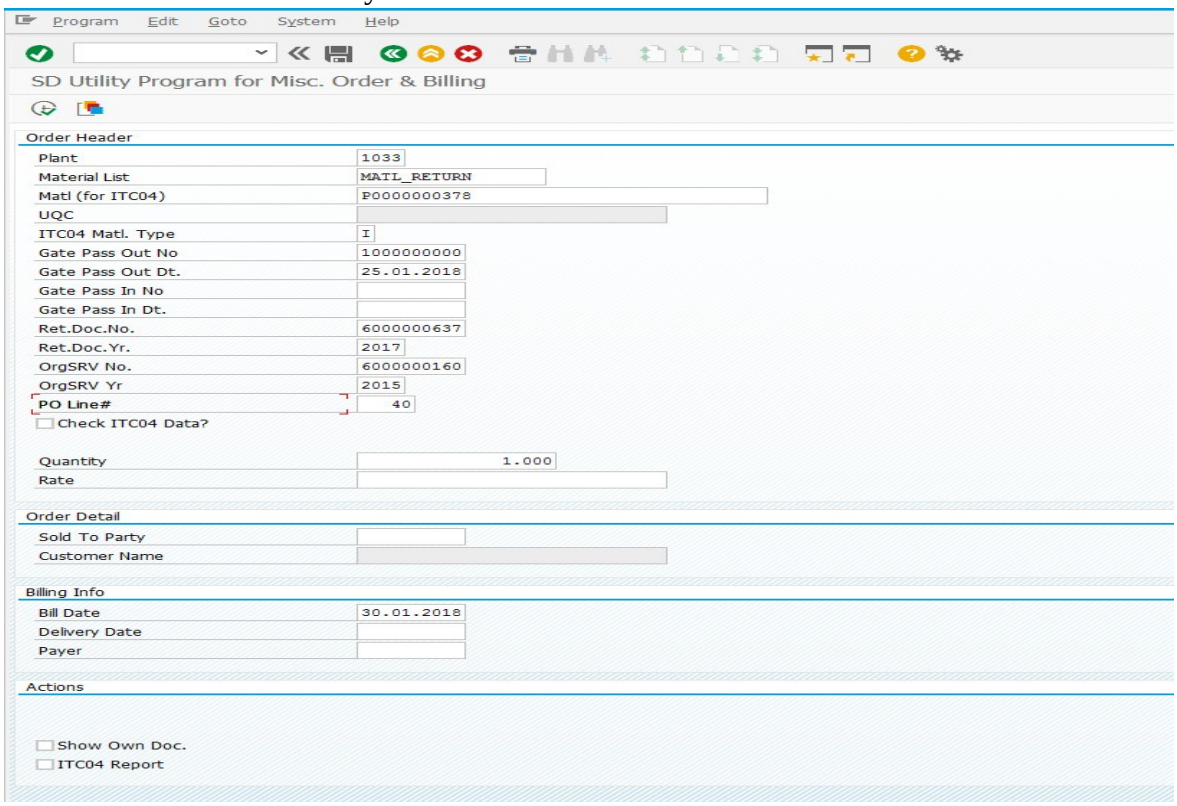
For this all MM activities related to return delivery
-Generation of 122 document
-Generation of gate pass
are to be completed before performing following in SD .

Run T code
ZSDBILL Enter
following
Plant- Your plant code (say 1033)
Material List – select material “MATL_RETURN” from dropdown And then press enter key.

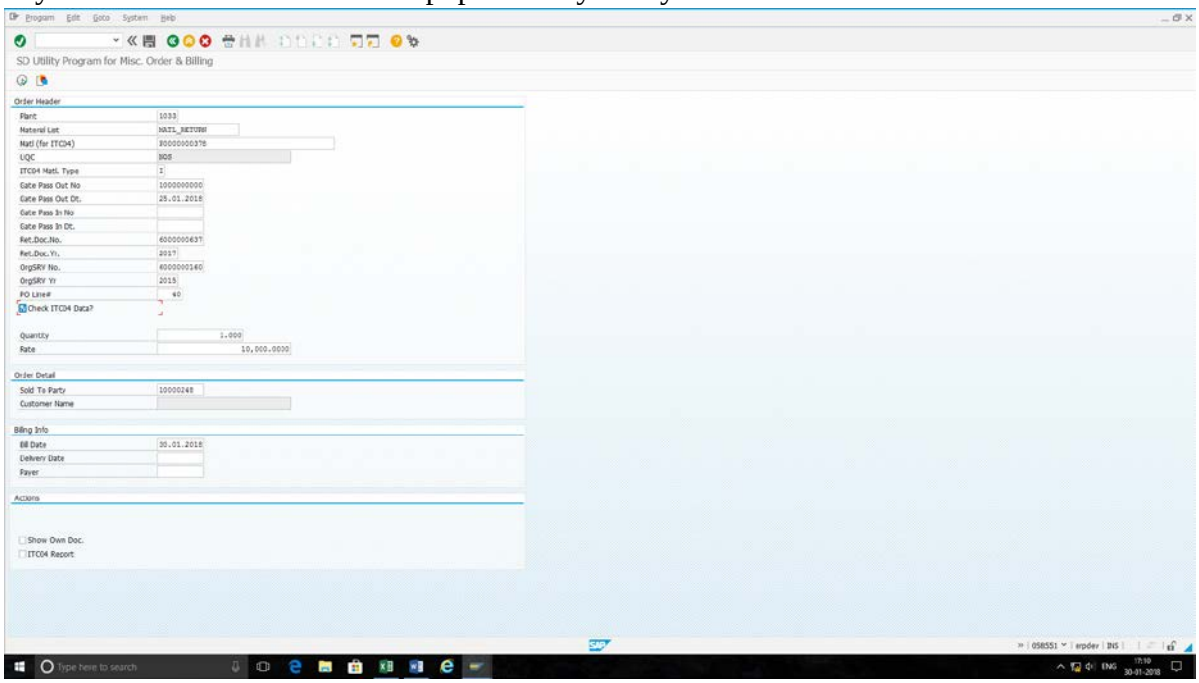


Next further
Enter material code (say P0000000378) of the material to be returned in field “Matl (for ITC04)”
In field “ITC04 Matl. Type” enter I or C as the case may be for input material type or capital spares respectively.
Enter
“Gate Pass Out No” – Gate pass no generated through SAP system (say 1000000000) . “Gate Pass Out Dt.”- Enter gate pass out date (say 25.01.2018).

"Ret.Doc.No."- enter return delivery document no 122 doc no. (say 6000000637) "Ret.Doc.Yr."- (say 2017)
"OrgSRV No."- (say 6000000160)
"OrgSRV Yr"- say 2015
"PO Line#"- PO item no. say 40



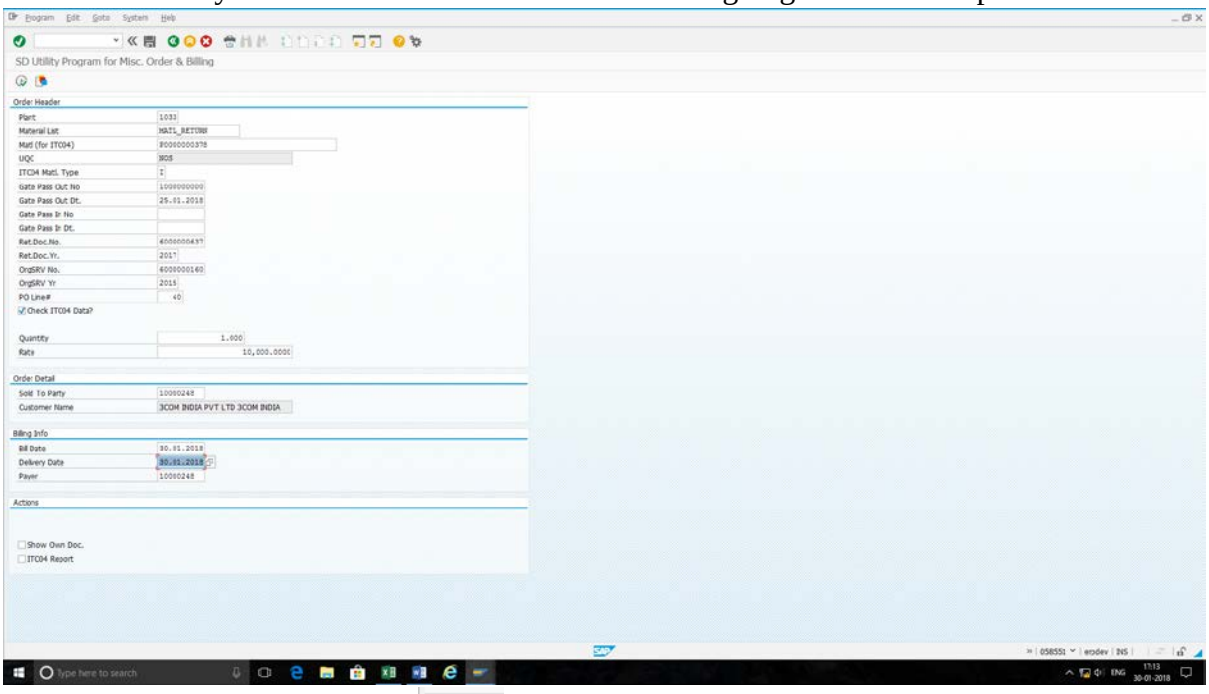
Put Tick mark in check box "Check ITC04 Data?" and press enter key Rest of the data will be auto populated by the system



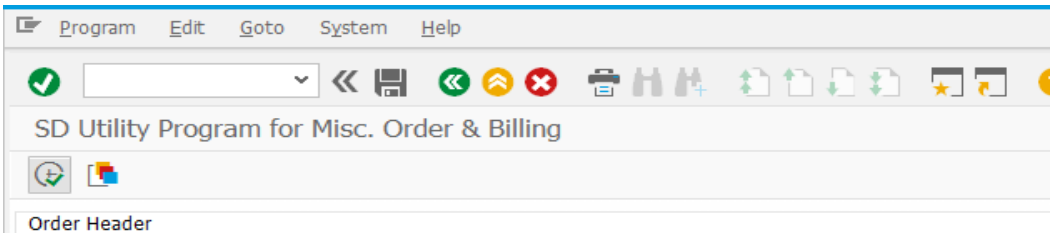
Rate and qty maintained in material document will be automatically picked up by the system , which is editable and can be replaced with any other price.

Next in “Sold To Party” customer code (10000248) will be auto created for the PO vendor and updated in the document.

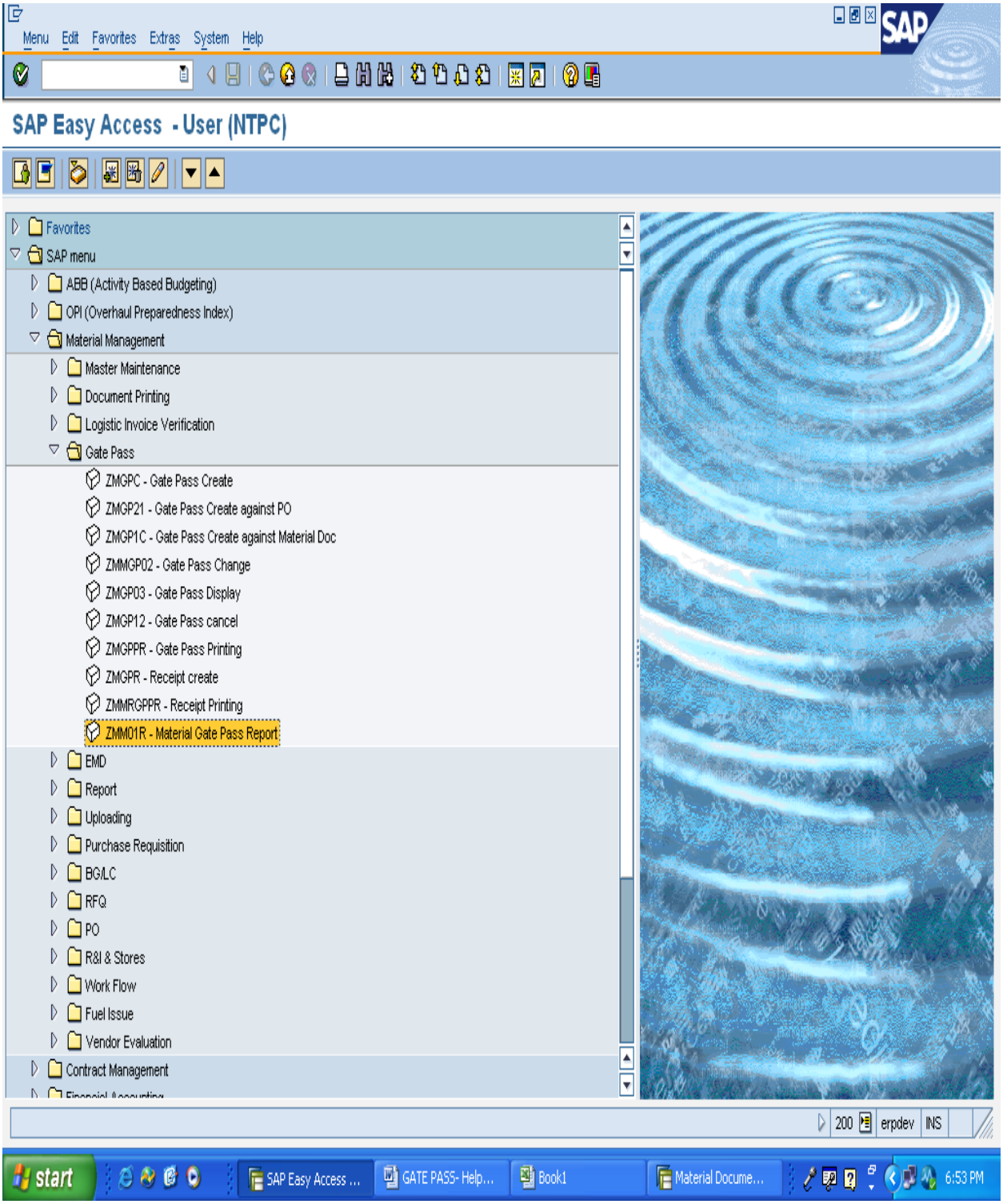
In field “Delivery Date” enter date on which material is going out of NTPC premises

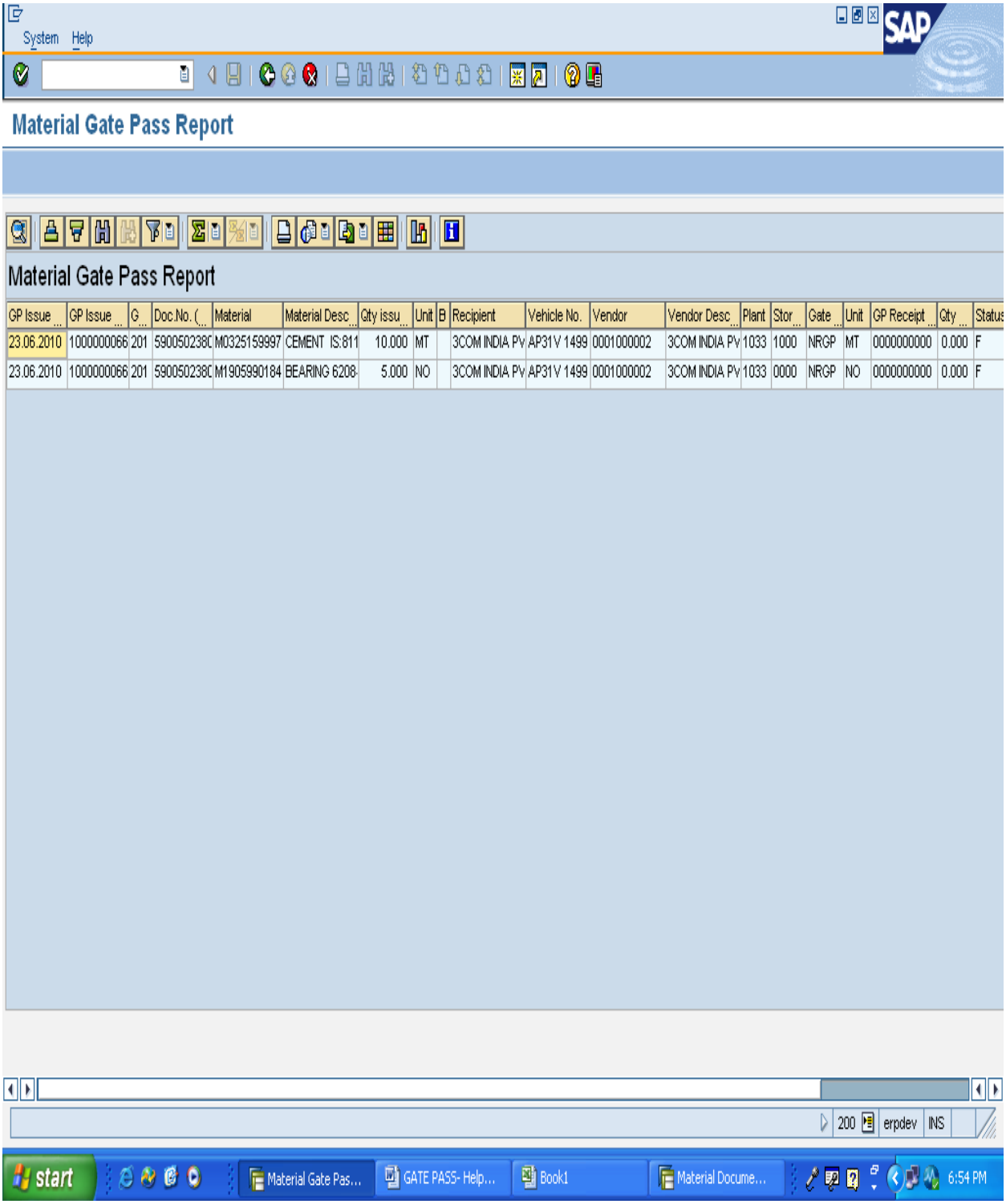


After entering all above press for executing the

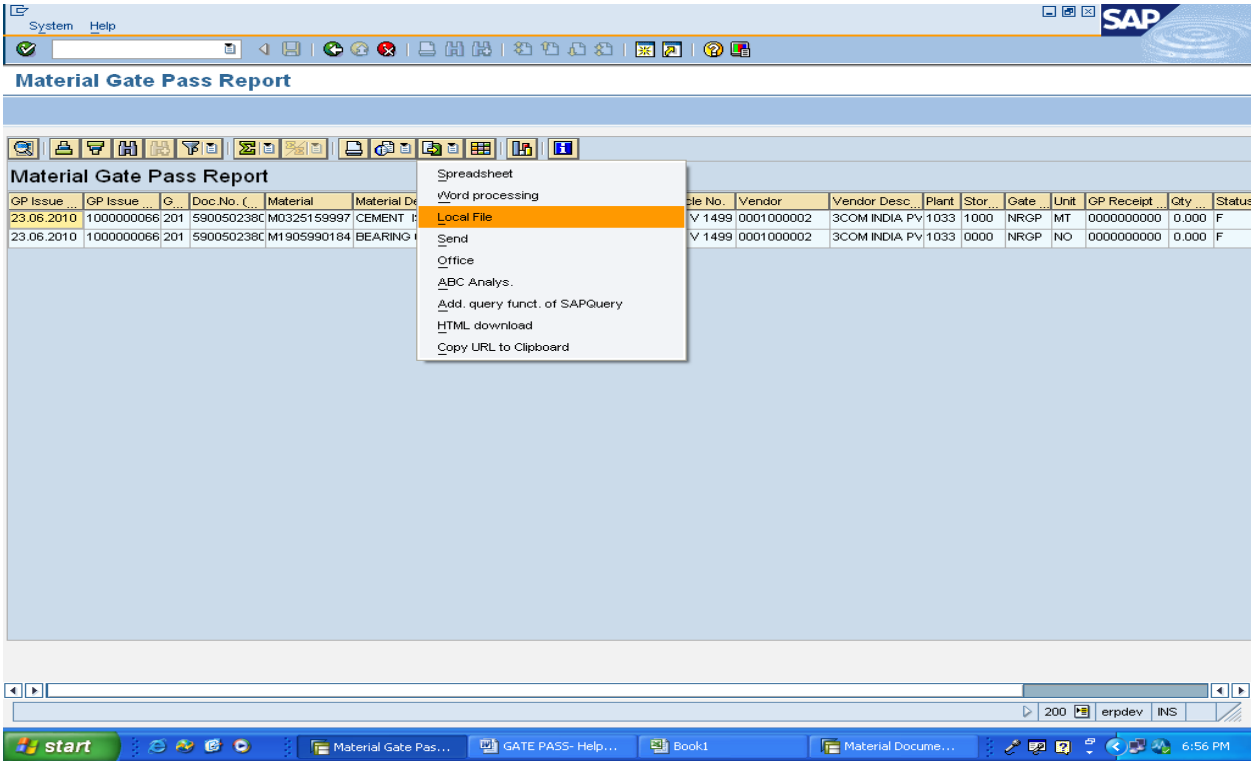


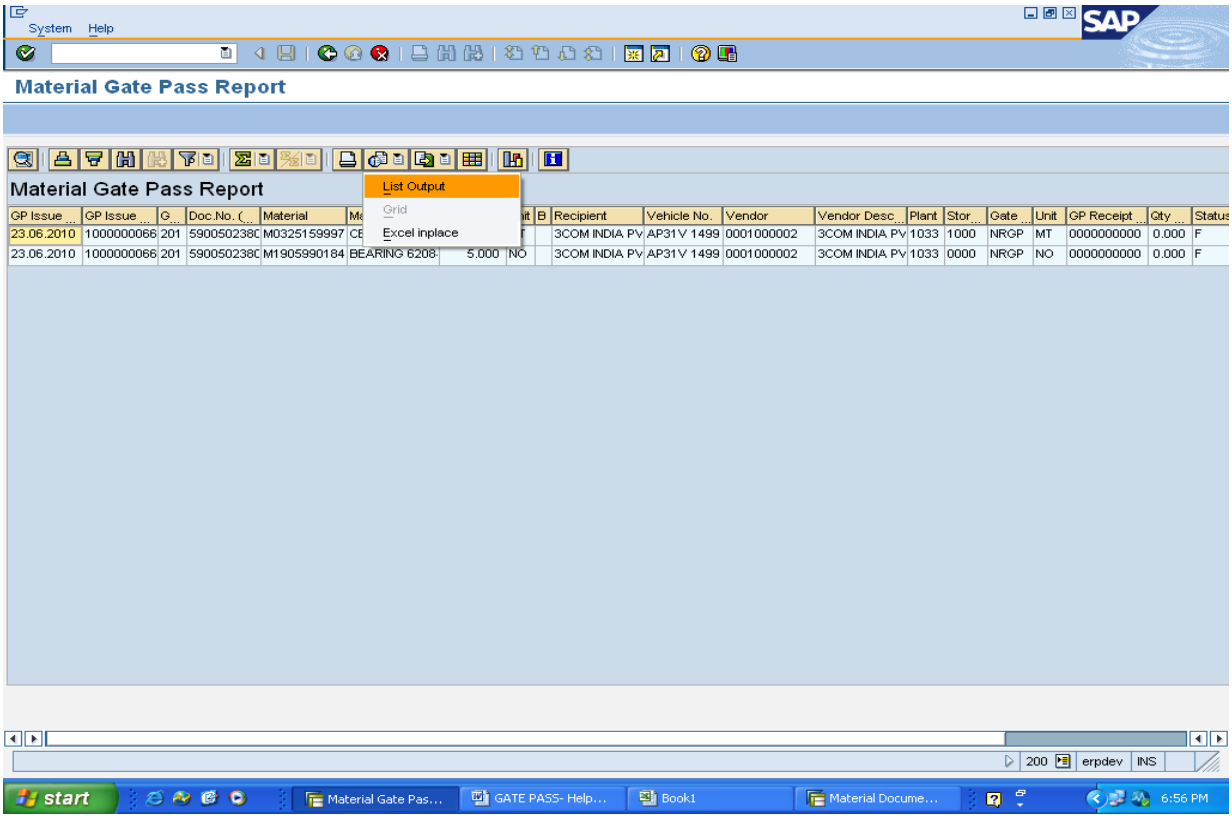
8.4 Report: ZMM01R





Above report can be printed & can be transformed in Excel sheet as shown below.


System Help
Material Gate Pass Report
Material Gate Pass Report
Spreadsheet
Word processing
Local File
Send
Office
ABC Analys.
Add. query funct. of SAPQuery
HTML download
Copy URL to Clipboard
GP Issue
GP Issue
G...
Doc.No. (...
Material
Material De
cle No.
Vendor
Vendor Desc...
Plant
Stor...
Gate...
Unit
GP Receipt...
Qty...
Status
23.06.2010 1000000066 201 5900502380 M0325159997 CEMENT I 1499 0001000002 3COM INDIA Pv 1033 1000 NRGP MT 0000000000 0.000 F
23.06.2010 1000000066 201 5900502380 M1905990184 BEARING 1499 0001000002 3COM INDIA Pv 1033 0000 NRGP NO 0000000000 0.000 F
200 erpdev INS
start
Material Gate Pas...
GATE PASS- Help...
Book1
Material Docume...
6:56 PM


System Help
Material Gate Pass Report
Material Gate Pass Report
List Output
Grid
Excel inplace
GP Issue
GP Issue
G...
Doc.No. (...
Material
Mc
it
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Recipient
Vehicle No.
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GP Receipt...
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Status
23.06.2010 1000000066 201 5900502380 M0325159997 CE 3COM INDIA Pv AP31V 1499 0001000002 3COM INDIA Pv 1033 1000 NRGP MT 0000000000 0.000 F
23.06.2010 1000000066 201 5900502380 M1905990184 BEARING 6208 5.000 NO 3COM INDIA Pv AP31V 1499 0001000002 3COM INDIA Pv 1033 0000 NRGP NO 0000000000 0.000 F
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start
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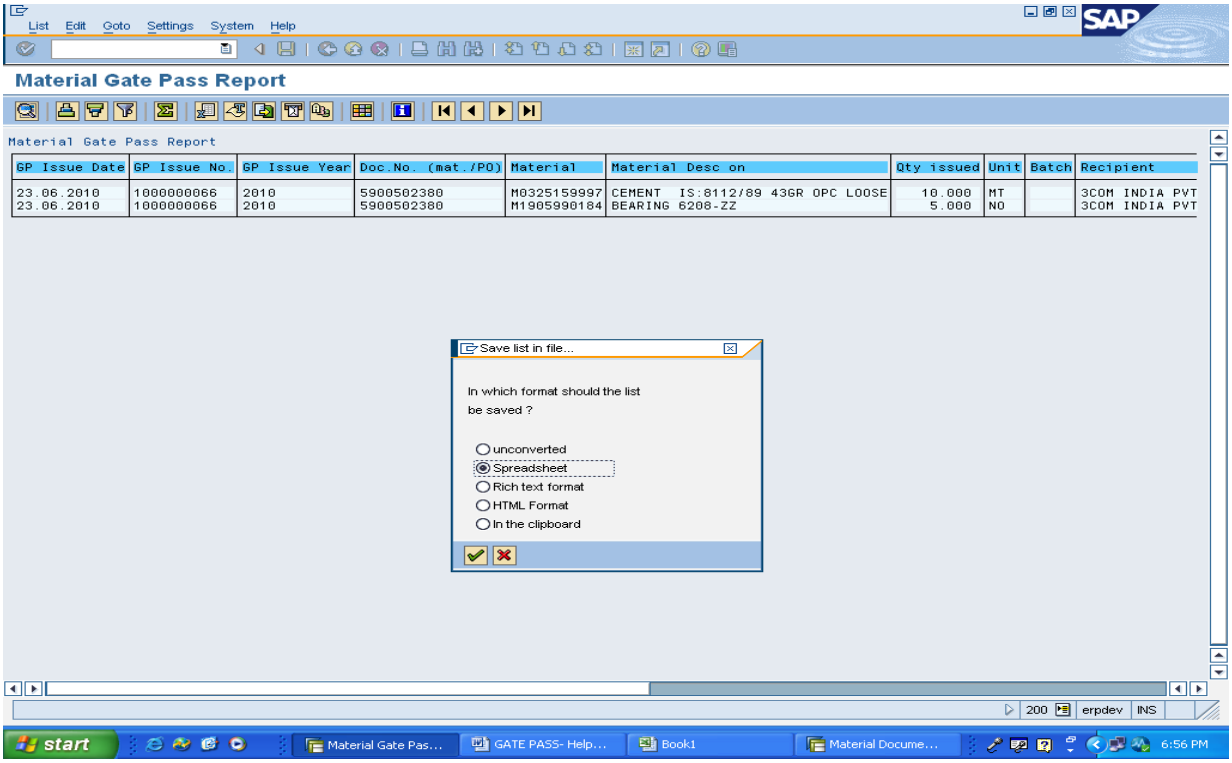
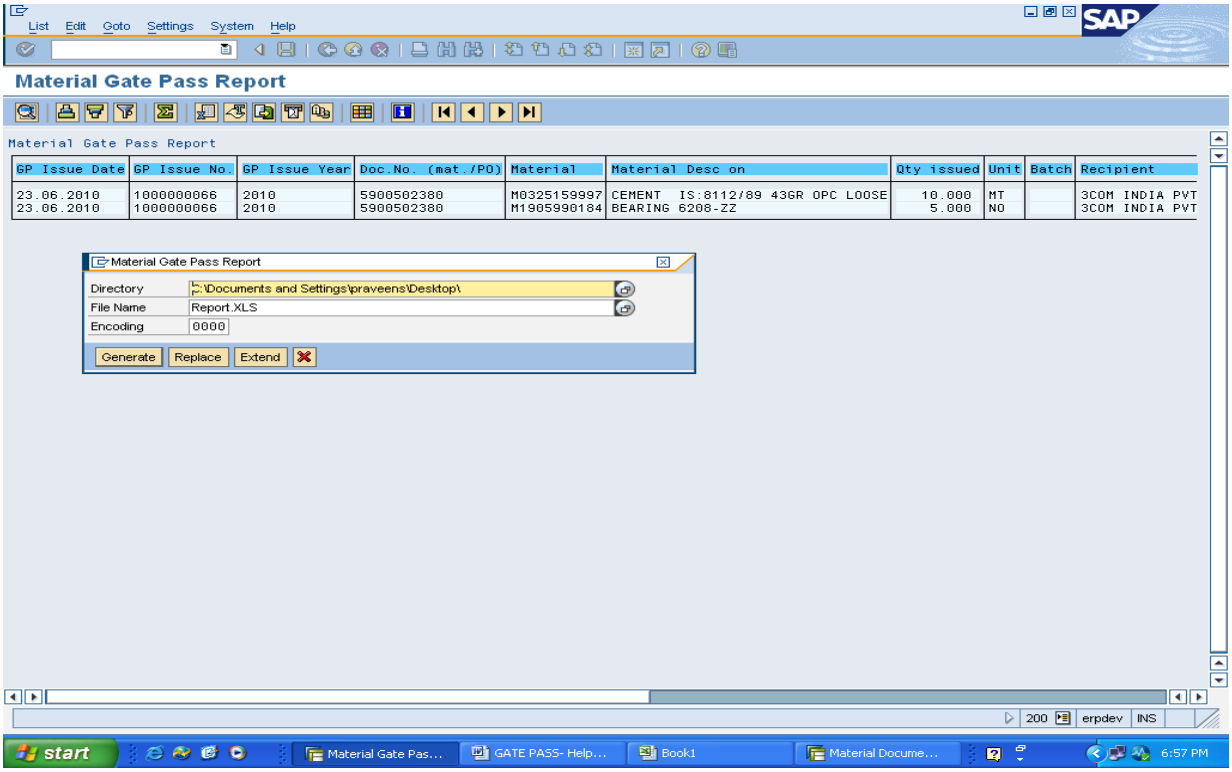
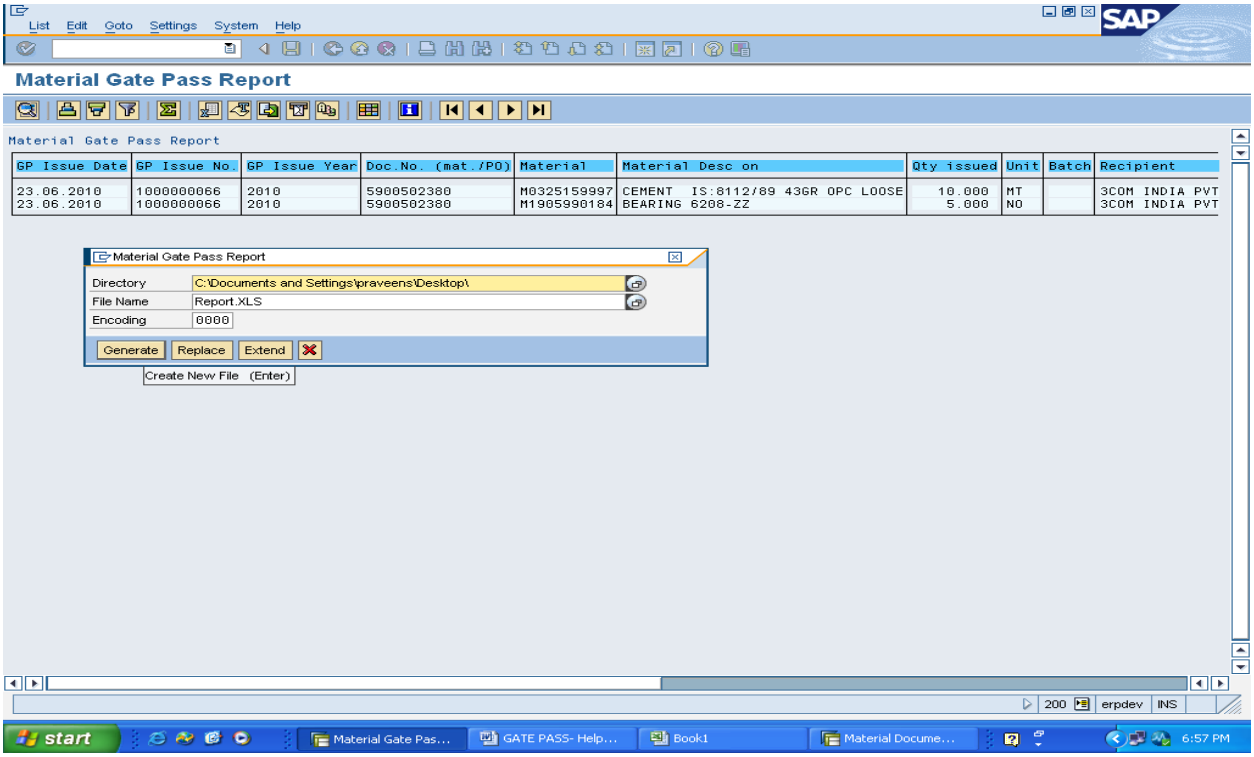
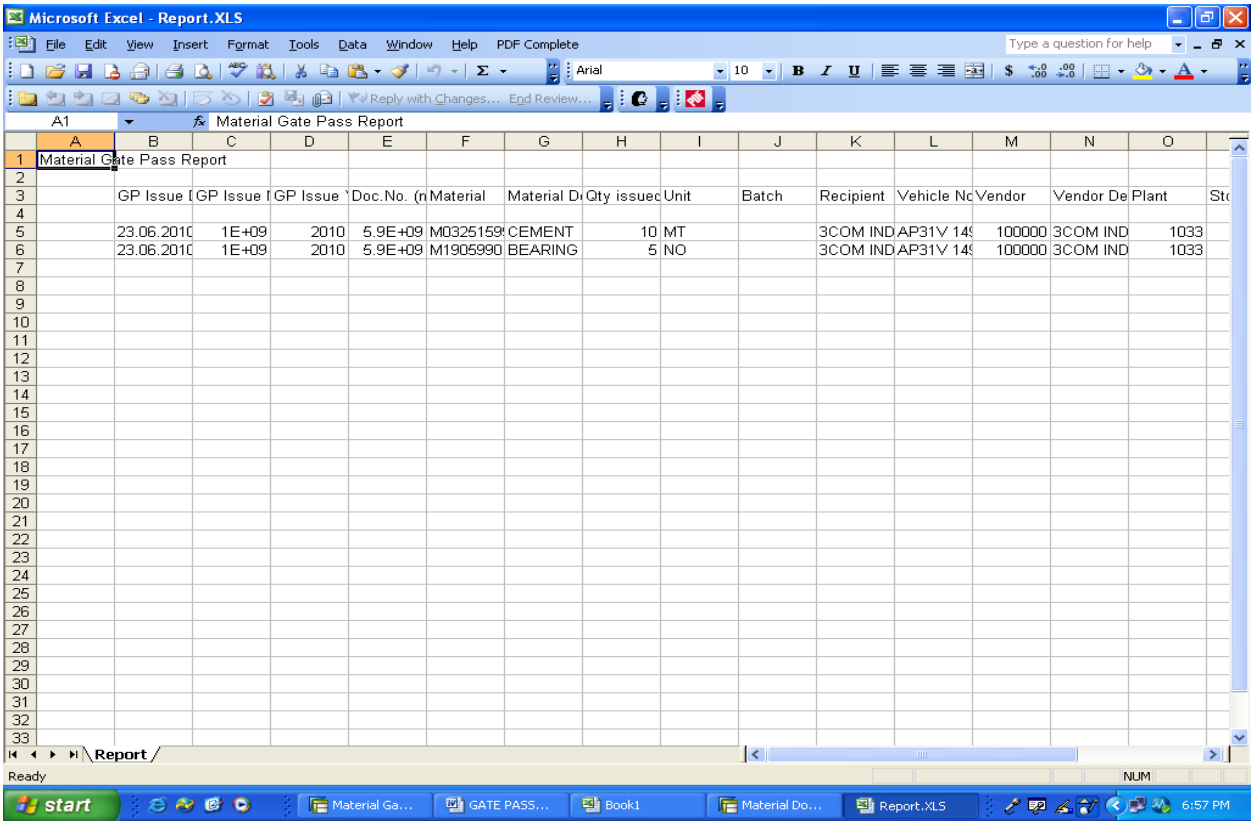
GATE PASS- Help...
Book1
Material Docume...
6:56 PM

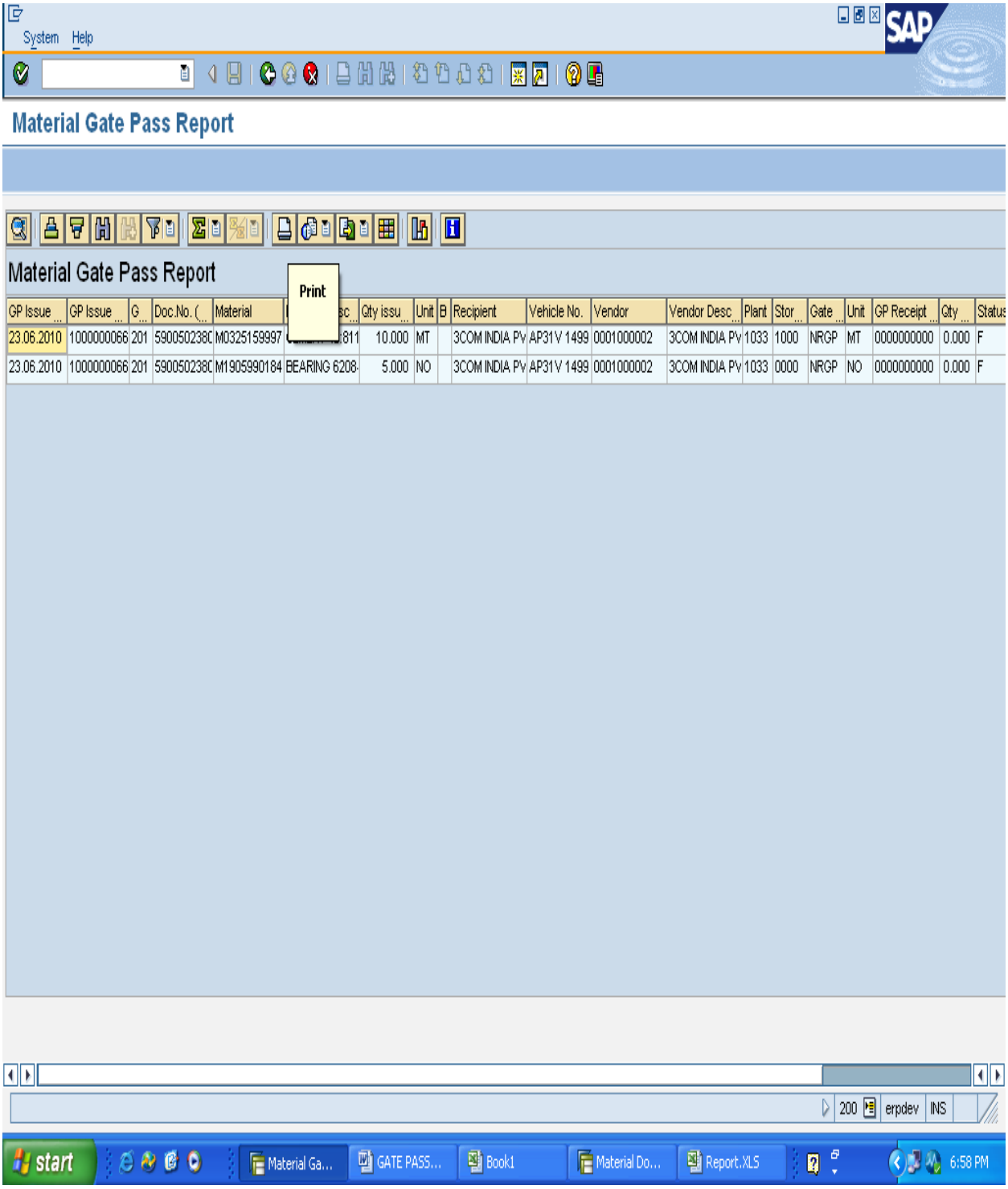

List Edit Goto Settings System Help
Material Gate Pass Report
Material Gate Pass Report
GP Issue Date | GP Issue No. | GP Issue Year | Doc.No. (mat./PO) | Material | Material Desc on | Qty issued | Unit | Batch | Recipient
23.06.2010 | 1000000066 | 2010 | 5900502380 | M0325159997 | CEMENT IS:8112/89 43GR OPC LOOSE | 10.000 | MT | | 3COM INDIA PVT
23.06.2010 | 1000000066 | 2010 | 5900502380 | M1905990184 | BEARING 6208-ZZ | 5.000 | NO | | 3COM INDIA PVT
Save list in file...
In which format should the list be saved ?
unconverted
Spreadsheet
Rich text format
HTML Format
In the clipboard
200 erpdev INS
start
Material Gate Pas...
GATE PASS- Help...
Book1
Material Docume...
6:56 PM


List Edit Goto Settings System Help
Material Gate Pass Report
Material Gate Pass Report
GP Issue Date | GP Issue No. | GP Issue Year | Doc.No. (mat./PO) | Material | Material Desc on | Qty issued | Unit | Batch | Recipient
23.06.2010 | 1000000066 | 2010 | 5900502380 | M0325159997 | CEMENT IS:8112/89 43GR OPC LOOSE | 10.000 | MT | | 3COM INDIA PVT
23.06.2010 | 1000000066 | 2010 | 5900502380 | M1905990184 | BEARING 6208-ZZ | 5.000 | NO | | 3COM INDIA PVT
Material Gate Pass Report
Directory C:\Documents and Settings\praveens\Desktop\
File Name Report.XLS
Encoding 0000
Generate Replace Extend
200 erpdev INS
start
Material Gate Pas...
GATE PASS- Help...
Book1
Material Docume...
6:57 PM





This way you can transfer report into excel sheet and also you may take printout directly by clicking print icon as shown below


System Help
SAP
Material Gate Pass Report
Material Gate Pass Report
Print
GP Issue | GP Issue | G | Doc.No. (| Material | sc | Qty issu | Unit | B | Recipient | Vehicle No. | Vendor | Vendor Desc | Plant | Stor | Gate | Unit | GP Receipt | Qty | Status
23.06.2010 | 1000000066 | 201 | 590050238(| M0325159997 | 811 | 10.000 | MT | | 3COM INDIA Pv | AP31V 1499 | 0001000002 | 3COM INDIA Pv | 1033 | 1000 | NRGP | MT | 0000000000 | 0.000 | F
23.06.2010 | 1000000066 | 201 | 590050238(| M1905990184 | BEARING 6208- | 5.000 | NO | | 3COM INDIA Pv | AP31V 1499 | 0001000002 | 3COM INDIA Pv | 1033 | 0000 | NRGP | NO | 0000000000 | 0.000 | F
200 erpdev INS
start
Material Ga...
GATE PASS...
Book1
Material Do...
Report.XLS
6:58 PM

SUB CHAPTER-4.2

WAREHOUSE AND STORAGE

4.2 WAREHOUSING AND STORAGE

4.2.1 FUNCTIONS

The functions of Warehousing and Storage are as under:

A. Safe custody of all materials (Stores and Equipment) warehoused in the Project Site / Power Station.

B. Correct preparation and posting of all initial documents in the available SAP On-line system. In case of the SAP on-line system gets down the above document should be maintained manually and the same should be re-entered into the On-line system whenever the system is available.

C. Periodical identification of Materials in stock (likely to become inactive) and declaration of the same as obsolete and unserviceable.

4.2.2 STORING ARRANGEMENT

The stock statement maintained by each project / station shall be maintained on line and Stores shall be provided with proper handling facilities and modes of access appropriate to the size, shape and weights of the material stocked.Each Yard or Godowns shall cover almost all the items in a Main Group of the Material Codification System. Each Yard / Godowns or the sub-section of the Yard / Godowns that can conveniently be locked and secured and operated by a custodian.

4.2.3 HANDLING AND STACKING OF MATERIALS:

No materials (except certain heavy materials) should be on the floor of the Yard / Godown. These should be stacked in the appropriately designed racks. In case stacking on floor is unavoidable adequate dunnage shall invariably be used to provide at least 20 mm air space above the floor from the bottom of the material stacked to facilitate cleaning.
Proper training including Safety (by formalized methods) to be imparted to Mazdoors, Crane Slinger, Crew and their Supervisor, especially for items stored in the yard in the following aspects for satisfactory stacking.

i) Appropriate dunnage for various kind of materials (equipment and stores) and optimum air space at the floor of the stack.

ii) Optimum stacks sizes and stocks construction to minimize deterioration / damaged through environmental hazards.

iii) Tenting and covering with Tarpaulins to promote smooth run of rainwater and to permit easy access and inspection.

iv) Permanent labeling arrangements of each stack.

v) Rack numbering should be done in different colors:

Electrical-	Red
Mechanical-	Green
C&I-	Yellow
Civil-	Blue
Misc. -	White

vi) Safety aspects of manual handling and working with Mechanical Devices.

In order to achieve compact stacking of materials and to facilitate an assessment of the level of existing stock at a glance, a system of stacking is to be developed with number of rows and layers depending upon the size of the material. In case of small items, the packing system should be uniform as far as possible considering quantities in convenient weights or numbers of item.

Furthermore, wherever possible, graduation marks should be painted on the bins to indicate certain previously ascertained quantities. This action would enable custodian to know the appropriate level of existing stocks at a glance and facilitate him in regulating levels of issue and giving priority of the items needed to be taken up for recoupment and / or expediting action.

The loading, unloading, stacking and other movement of items (specially weighing more than 15 kgs per piece) should be made under the supervision of Contractor's Supervisor to ensure that the material is not damaged in the process and the precautions prescribed are duly observed.

100% of the staff of all categories working in the Yard / Godown should be trained in rendering First Aid & in a respect First Aid Kits should be provided in the loading, unloading Yards / Godown.

4.2.4 SECURITY AND SAFETY

A) The rules to be followed regarding Security and Safety of the warehouse are as under:

i) At the close of work each custodian should personally ensure that all the windows, lockers, strong room and partitions etc. are properly secured and locked (where provided) and sealed and no one is left behind the Godown. Locks shall be sealed by the custodian in the presence of representatives of the security and to be documented. However, during short closure such as lunch break the custodian shall lock the custody with paper seal on the lock duly signed by him.

ii) After the specified hour for locking, the custodian along with the concerned security official should jointly check the locks and windows / ventilators and other security devices for their proper functioning.

iii) The duplicate keys of the external locks of all the Yard / Godown should be kept in a secured manner at a pre-determined place in consultation with the security.

iv) A key register should be maintained and jointly signed by the custodian and the representative(s) of Security Department, showing the precise time for depositing the keys during close of the day and retrieved at the commencement of next working day.

v) Frequency of surprise inspection by custodian (preferably, with Security Officials) and the formats for reporting and follow up of such inspection shall be laid down.

vi) The responsibility for locational positioning, maintenance, upkeep and effective use of fire appliances / alarms situated within the yards / Godown should be laid down by CISF (Fire wing) and to be maintained by Safety Officer.

vii) The frequency of programmed and surprise fire drills, nature of these reports of such drills and inter-departmental machinery for co-ordination and effective follow up are to be framed properly by Safety Deptt.

viii) In case of emergency issues at odd hours the concerned person who will issue the material with proper documentation in the presence of CISF representative should be pre-determined.

ix) In case of opening of Stores other then office hours, Stores In charge shall be responsible for giving instructions to CISF.

4.2.5 HOUSE KEEPING

Since there is huge nos. of Electrical, Electronic, Control & Instrumentation items, PCBs etc. are warehoused, the environment cleanliness aspect needs to be properly taken care of. For this, dust free clean, moisture free, proper lighting and ventilation are required. In this regard, a general guideline has been listed at enclosed chart No.4.2.5.

4.2.5 HOUSE KEEPING ARRANGEMENT AT WAREHOUSE SHED

Functional Area	**Purpose**	**Maintenance**
Ventilation		Making provision of doors and windows of suitable sizes and at specific position.
i) Natural Air	Easy Flow of natural air	
ii) Air Exhaust	Forced out-let of Air through ventilation hole near top of the ceiling	Installation of exhaust / Axial flow fan of suitable numbers/ capacities (depending on size of the warehouse) at strategic point.
iii) Air Circulation	Air flow at strategic point between racks and bins	Installation of man cooler, pedestal type Fan etc.
iv) Air Conditioning	Depending upon the item critically (C&I / electronic etc.) Dry and cooling atmosphere to be maintained.	Installation of heavy duty Industrial A/C, Dehumidifier. Standby A/C should be there for ensuring a phase manner running.
Cleaning		
i) Sweeping	Floor (small area) cleaning on regular basis	Manually / use of engine and battery Driven floor cleaner.
ii) Vacuum cleaning	Cleaning of dry and wet dirt from where sweeping is not accessible.	Use of wet / dry vacuum cleaner
iii) Auto Cleaning	Versatile / multipurpose type of cleaning for any large store, open yard etc.	Use of Auto driven floor cleaner of Right capacity.
Lighting		
i) General	To facilitate work place well visible From distance. Proper lighting within / near the bins / racks	Installation of sufficient LED Lamp From ceiling or strategic point of wall.

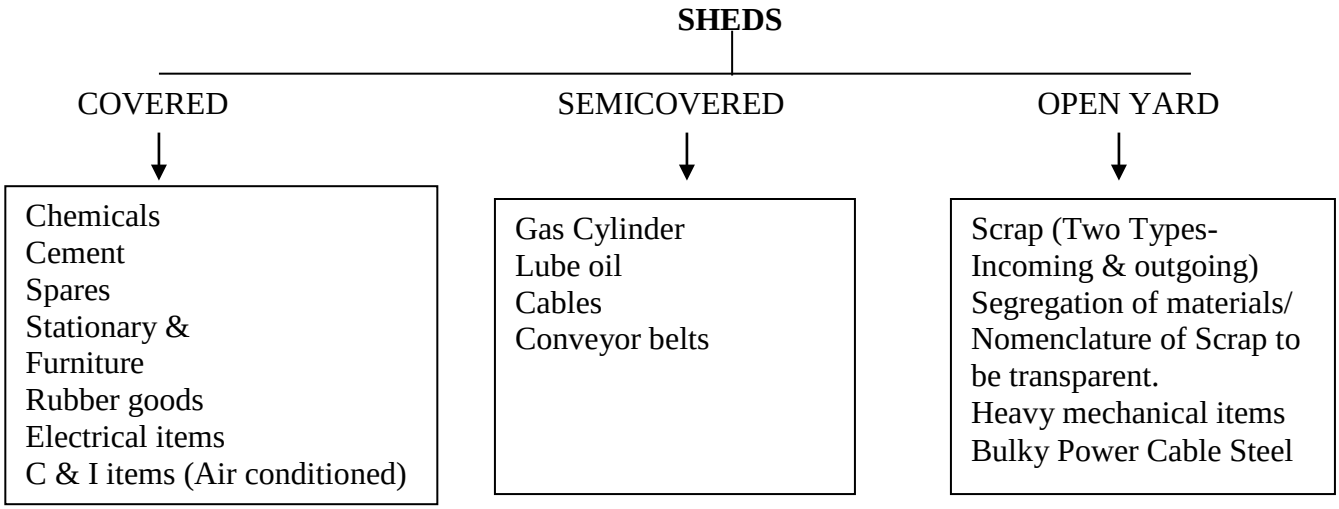
ii) Natural	To facilitate work place visible in case of power cut.	Use of glass glazed roof / sky light as and when possible.
iii) Strategic	From Security angle lighting at entry / Exit gate & at other isolated areas.	Installation of high – powered LED of swiveling type.
Gates and Shutters		
i) Regular Use	To facilitate regular incoming & out-going of material.	To have additional protection installation of collapsible gate, rolling shutter.
ii) Emergency Use	To use occasionally in case of special / emergency necessity.	Installation of sufficiently strong door with periodical checking of its door opening mechanism, if any.
Sanitation	Proper outlet of wastage	To undertake timely cleaning and use of suitable gadgets to keep drains etc. clean and maintain gradient.

4.2.6 STORAGE

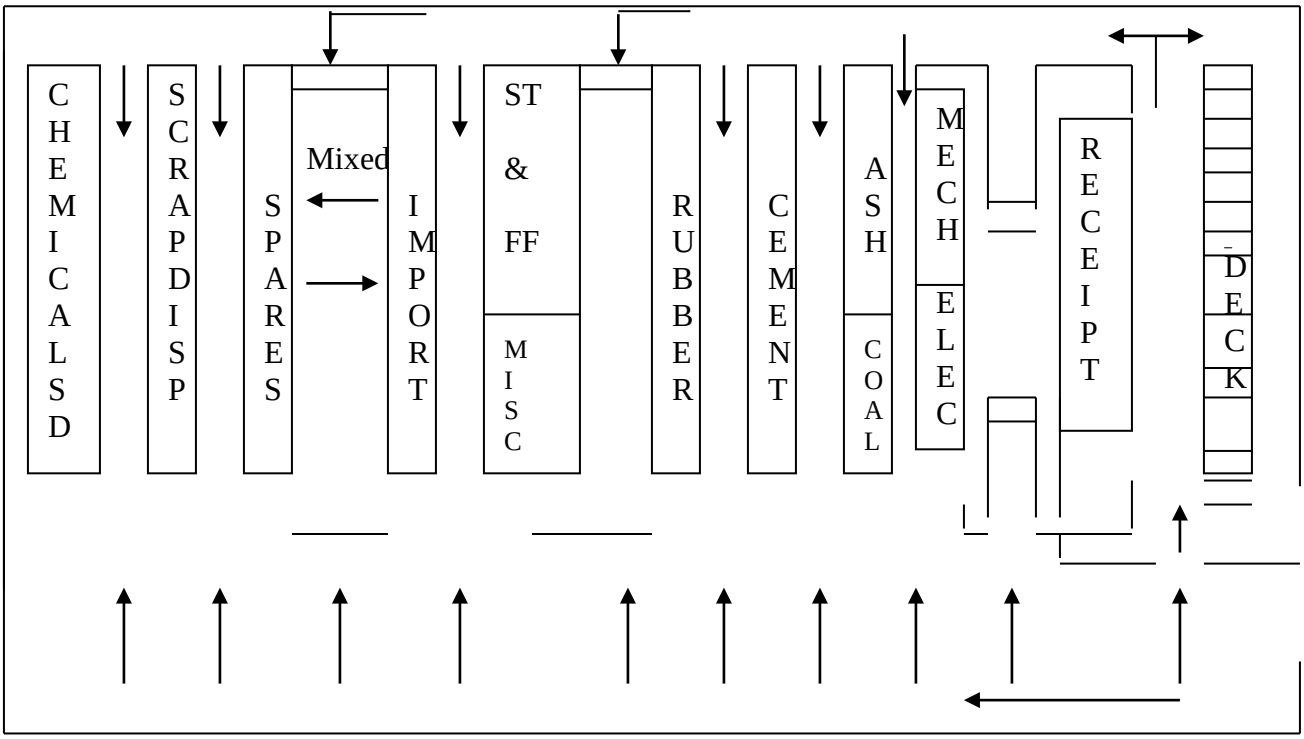
For satisfactory receipt, storage, preservation & issuance of material Stores / Godown facilities should be in proper manner & preferably as follows:

A. Stores Layout

Uniformity should be maintained regarding the layout of stores and especially for Covered Sheds so that the Godowns are all in one identified place and the inward / outward movements become smooth. "O&M stores Building" is to be established near the "Main plant". This will provide better area (m^2) coverage, compact warehousing, quick facility of handling equipment, tight security, less kg-km. movement per day etc. The Sheds are to be grouped broadly as under to take care of the major material classes.



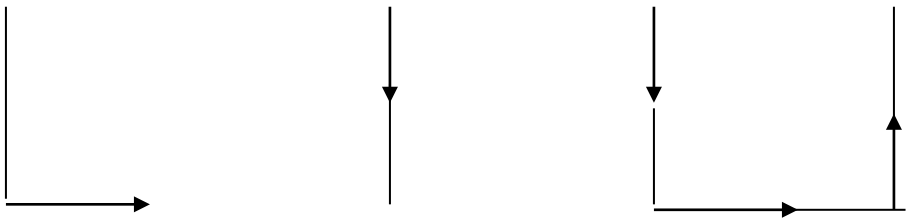
4.2.6. A THE SUGGESTED LAYOUT WITH BETTER SPACE UTILISATION AND DUAL ENTRY / EXIT POINTS



To reduce transportation cost & handling cost we may keep bulk chemicals in site.

B. Flow Pattern of Goods

The layouts of stores / bins / racks etc. are to be modified to smoothen the movement of materials. The movements of materials need to be "I" or "L" type or the combination of two i.e. "U" described as under so that the linear distance traversed is optimal (if not minimal).



L **I** **U**

This orientation shall provide less effort, reduction of movement time, better handling efficiency, etc. This adoption requires location interchange of articles rearranging of racks, its columns & rows etc. The fast moving articles shall take the position keeping in view of its easy or quick entry / exit depending upon warehouse layout.

C. Material Handling Equipment

The following material handling Equipments are recommended for exclusive use in the store area to have effective Material Handling, Stacking, Storage & Housekeeping.

i) Loading / unloading conveyor system, Hydraulic line system, lifting facility for Multi storied stores building

ii) Vertical Carousal (intelligent control) for bearing, fuse, switch, relay / PCB etc.

iii) A Wire Rope Electric Hoist of monorail at the entry and exit point of warehouse for quick loading / unloading.

iv) An overhead Double Girder EOT crane at Goods Receipts Section for shifting heavy consignment

v) Lifting and Pulling machines (Gripping Technology) for loading / unloading of pipes etc.

vi) Fork Lift, Jacking & Stillage Truck, Pallet Truck, Stacker (Powered / Hand driven), etc.

vii) Hydra Crane

viii) Electronic Weighing Scale

ix) Two Nos. of Weigh – Bridge (30-60 T) with minimum graduation of 10 kg.Only electronic weighing machine.

4.2.7 PRECAUTIONARY MEASURES DURING RECEIPTS

During any Receipt of Materials in custody Section, the following precautionary measures are to be taken invariably.

A. The relevant *Stores Receipt voucher Cum Transfer Document* must accompany all receipts of material. The quantity of materials should be carefully checked with the particulars given in the *Stores Receipt voucher Cum Transfer Document.*

B. A broad comparison is to be made w.r.t colors, appearance and other visual characteristics of such receipts with the stocks available under the same material code number. In case of significant discrepancy, the same is to be brought to the notice of authorized signatory before acknowledging the receipts.

C. Certain instances where numerical balances require adjustments purely due to Storage procedures but not as a result of deliberate receipt or issue transaction which may be as under:

i) Cumulative errors mainly due to counting of receipts or issue transaction and/or errors in book balances, which may be of following types.
- **a)** Ground balances exists while book balance is zero.
- **b)** Ground balance is zero while book balance exists.
- **c)** Due to creation of duplicate code, new numerical code is started but the stock is sufficiently low to warrant a departmental verification.

In all the above circumstances, the Stores Executive will take necessary action regarding adjustment as and when required.

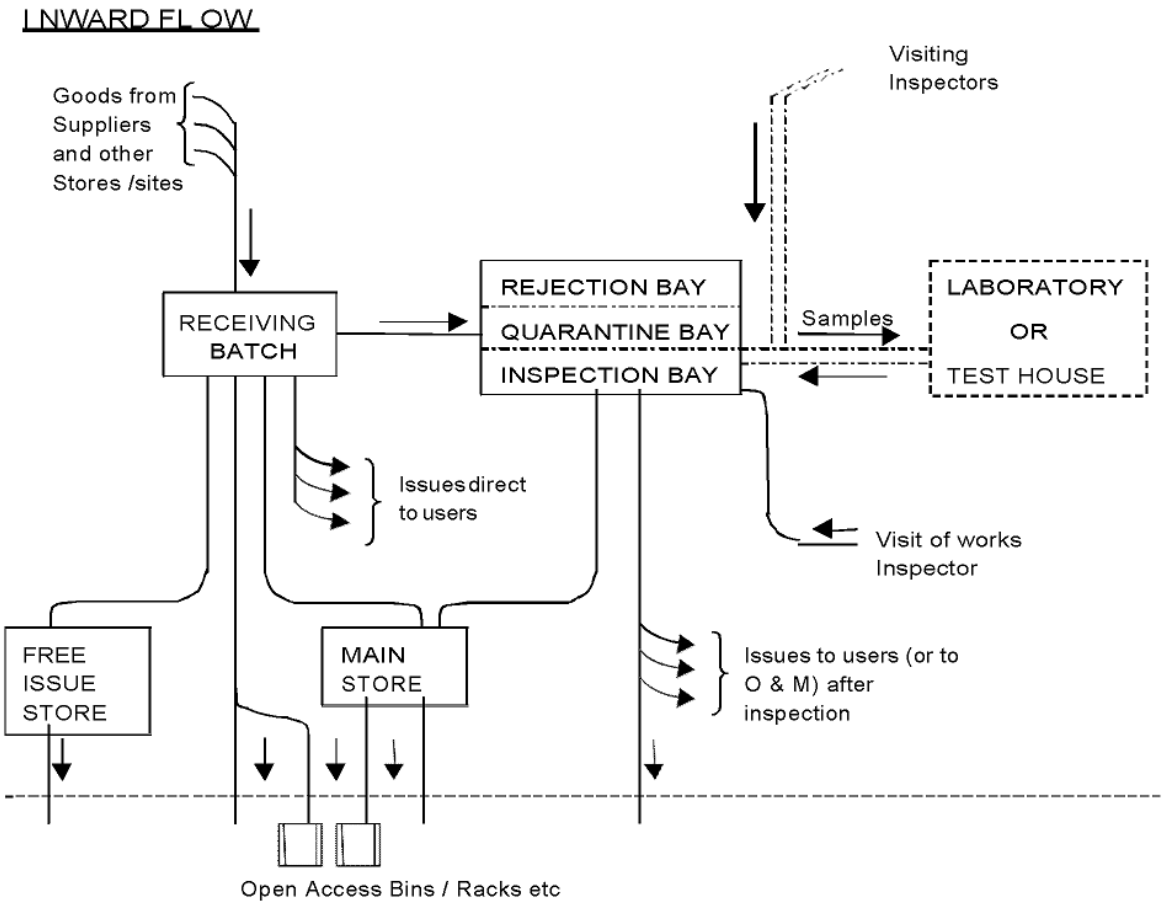
ii) In case of materials recovered in the Yard without documents or otherwise, adjustments should be done using Stock Verification Sheet (SVS).

iii) Relevant documents received along with the material shall be posted as "Receipts" and "Minus Receipts" in the numerical value and computer records. This will form the basis of consumption forecast for recoupment action.

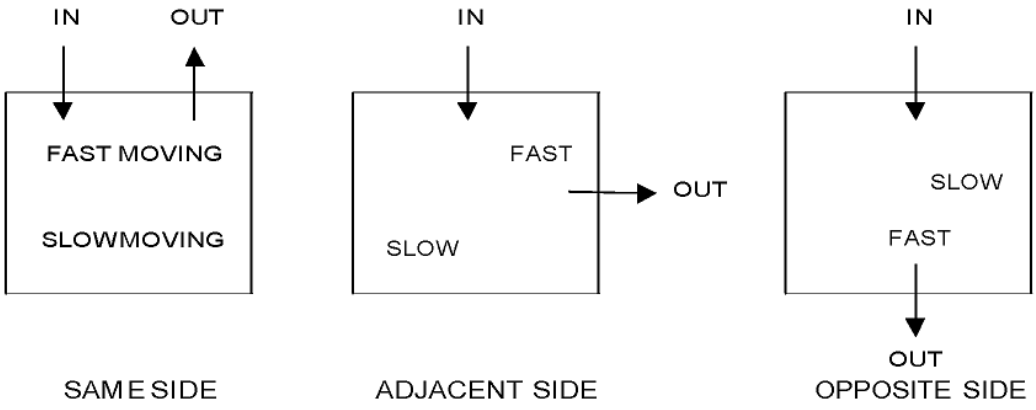
4.2.8 PRECAUTIONARY MEASURES DURING ISSUES

Issues fully compliant with authorized Reservation can only be made. The signatures of authorized signatories (designated by head of User department) for requisitions shall be maintained by custodian and authorization of requisitions shall be verified before issue.

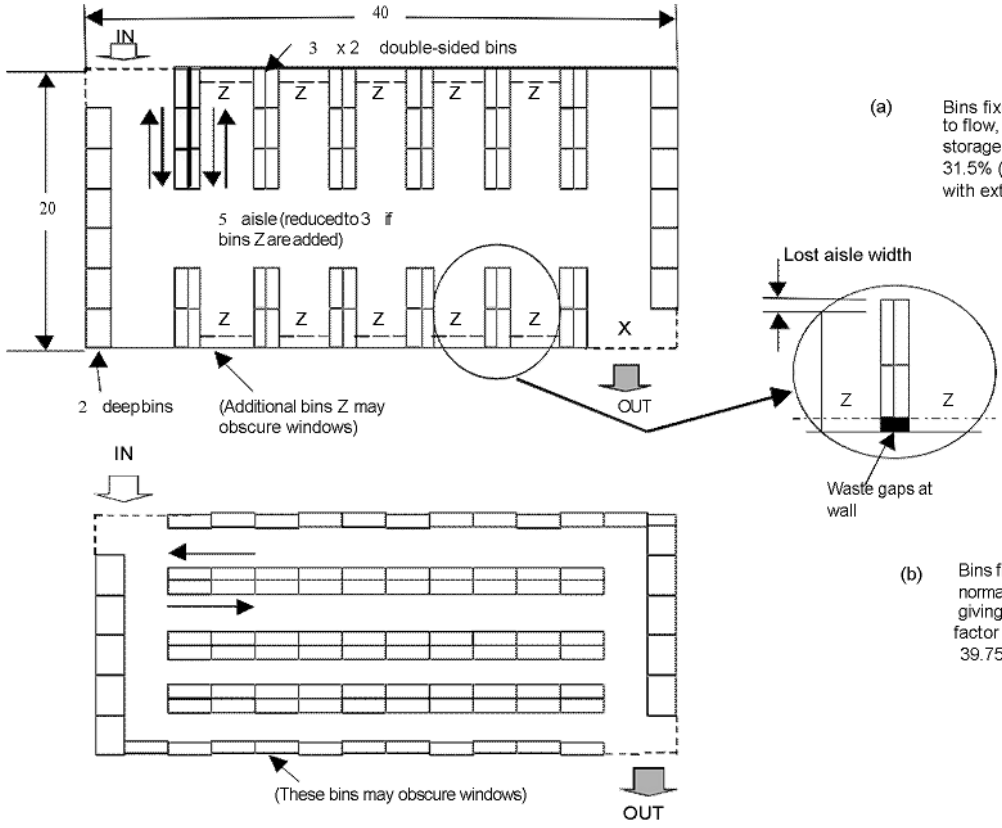
4.2.6.B. FLOW PATTERN OF GOODS



Three basic I nter nal Warehouse L ayout gover ned by position of Access:

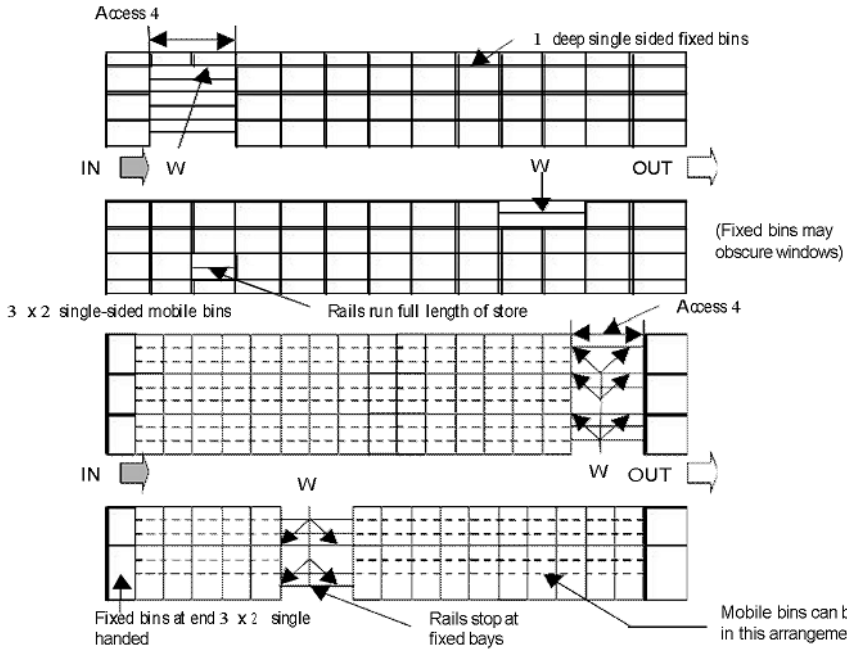


4.2.6.C(I) RACKS/BIN ARANGEMENTS



(a) Bins fixed at 90° to flow, giving a storage factor of 31.5% (35.0% with extra bins

(b) Bins fixed normal to flow, giving a storage factor of 39.75%



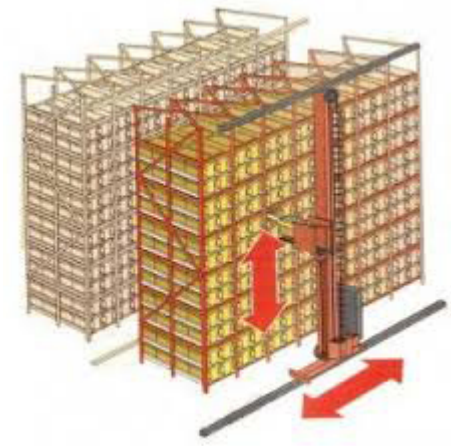
(c) Mobile bins, sliding edgeways, give storage factor of 64 % with 6 aisle

(d) Mobile bins, sliding face on, give storage factor of 67.5 % with 5 aisle

(A) Automated Storage and Retrieval System (ASRS):

It is the most advanced racking solution used in high end manufacturing or distribution applications in which racking structures can be installed up to any heights by utilizing the optimum available vertical space. High volumes of inventory can be stored & easily moved in and out with automated stacker cranes which ensures absolutely accurate, high efficient performances at very higher speeds

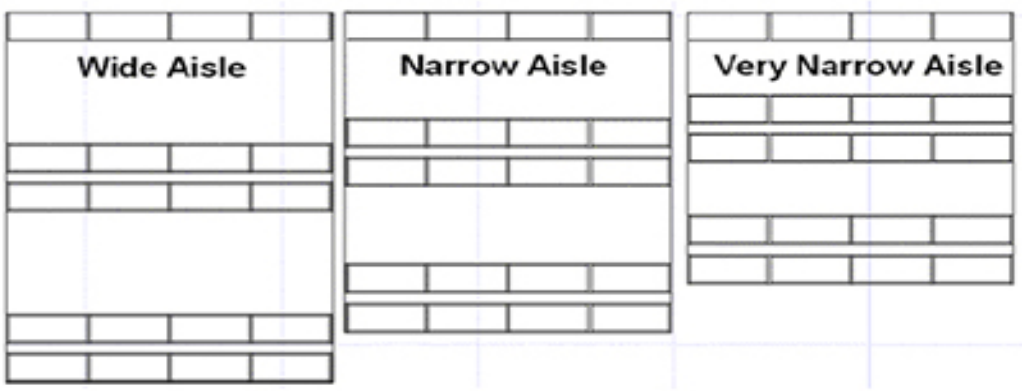
The benefits of an ASRS are high-rise racking operations at reduced recurring labour costs, highly efficient automated inventory control, accurate tracking of inventories, extremely efficient, speedier storage & retrieval of inventories.



(B) Very Narrow Aisle (VNA) Pallet Racking:

It is an ideal solution for selective pallet racking operations that can be designed up to a maximum height of 12 meters. The specially designed VNA trucks which travel within the Guide Rails fixed at the surface floor level ensures 100% accurate, efficient storage & retrieval of pallet loads in approx. 1.80 meters, unlike conventional pallet racking solutions that needs aisle spaces ranging from 3.50 meters to 4.50 meters

VNA operations reduces the aisle space requirements by almost 50%, ensuring efficient usage of maximum available vertical heights, thus considerably reducing the per pallet storage cost, faster and efficient storage and retrievals of pallets



(C) Multi-Deep Radio Shuttle Racking:

It is an ideal solution for storage of FMCG consumable products like Pharma, bulk drugs, beverages, food stuffs, electronic house hold products etc; where in huge volumes of standard type products are produced, stored, retrieved & distributed in larger volumes in and out of manufacturing units or warehouses. The automatic shuttle slaves are custom designed to suit the specific pallets sizes & its loads. During storage the radio shuttles on which the loads are placed gets detached from the material equipments, then travels though pallet rails fixed onto the racking, stores the load, detach & return to the point of loading. During retrieval, the radio shuttles travels through the rails, picks up the pallet, travel to the point of retrieval & detach itself from the pallets, which are then picked up by using the basic material handling equipments for onward travel & distribution. Unlike conventional Drive- in – Drive- through racking, the operations guided by radio shuttles absolutely eliminates any unwanted entry of Material handling equipments or Humans into the racking structure.

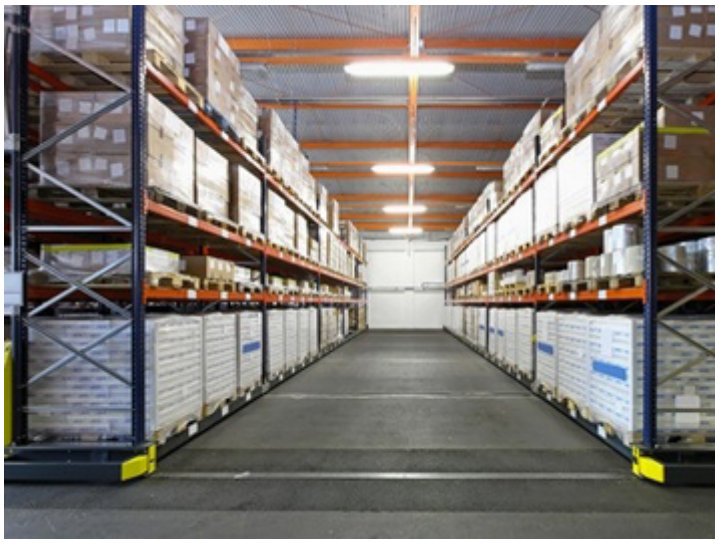
Thus ensuring high degree of Man, Machine & Material safety & combined with overall Structural Safety. The system can be absolutely custom built to ensure FIFO or FILO applications

(D) <u>Motorised mobile compactor shelvings</u>:

These are unique and innovative method to increase the floor Space storage area by eliminating all un-wanted aisles, which are otherwise required between every rows of conventional racking system. It is an efficient storage system that can increase storage capacities up to 100%, equipped with modern technology, enhanced safety features & customized to customer applications.

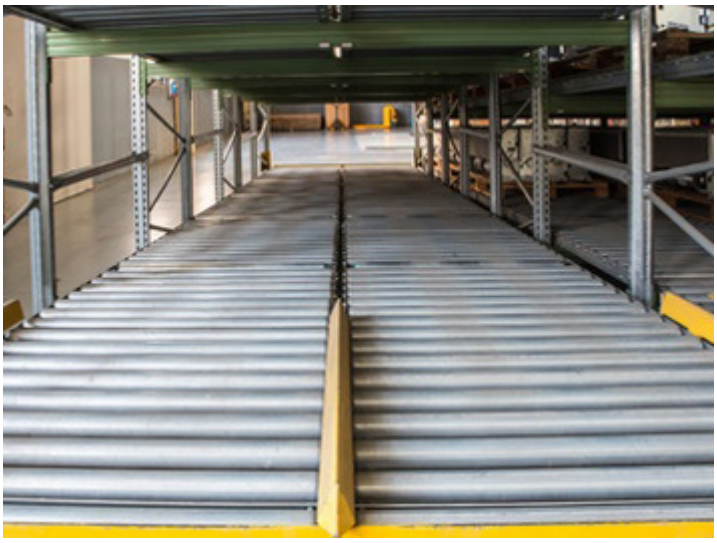
Its 100% indigenous, electrically driven drive mechanism ensures smooth movement of the units on rails fixed onto surface floor levels, thus creating the aisle spaces only for the particular unit to be currently used for storage & retrieval.

The compactors form to be entirely closed unit when brought together, ensuring dust free and hygienic storage conditions, which are mandatory for Pharma, Electronic Assembly line etc, as per GMP/ FDA/ MCA / ISO standards. All units can be provided with optional individual safety locking and floor mounted central locking devices to ensure restricted access to the system only for the authorized personnel. The drive is designed to ensure a smooth, effortless flow and 100% maintenance free continuous operation



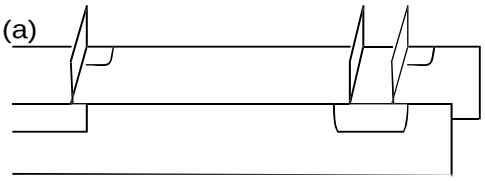
(E.) <u>Gravity Flow Racking</u>:

It is an ideal storage solution for Cylindrical loads like Jumbo or Medium sized Paper, Aluminum Packaging, PVC, Rubber, Threads & Fabric Rolls or for pallets of products packed & shrink wrapped. Loads are supported on inclined bars to enable gravity-based movement within the racks. The Storage & retrieval can be done either with EOT Cranes or with any normal material handling equipments like forklifts, stackers etc. This system works on FIFO (First in First Out) basis

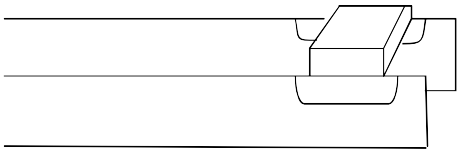


4.2.6.C (II) RACKS & ACCESSORIES

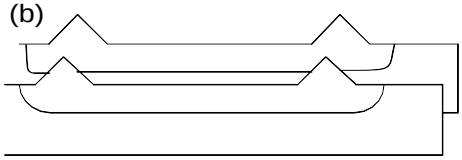
(a)



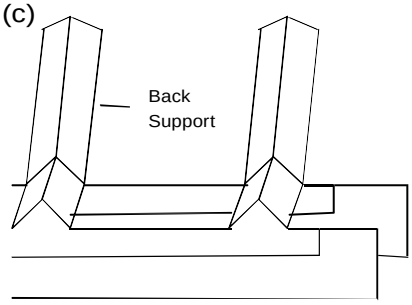
(d)



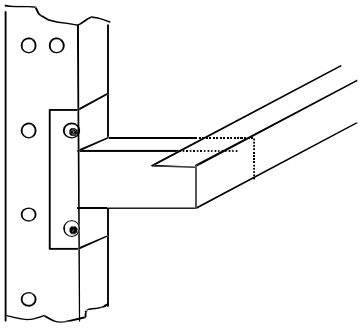
(b)



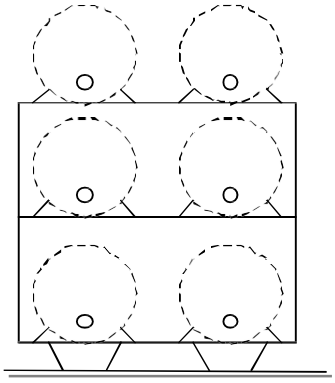
(c)



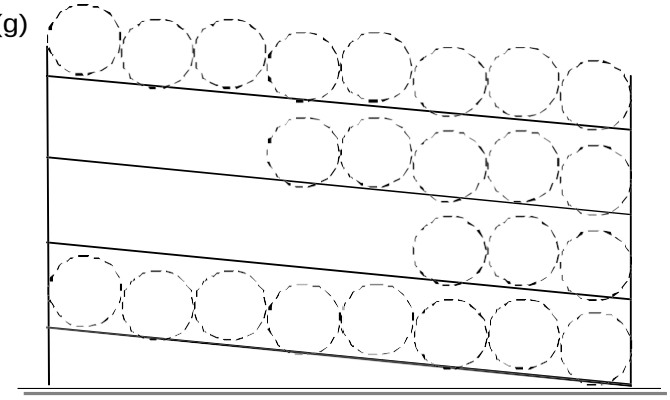
(e)



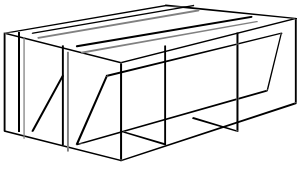
(f)



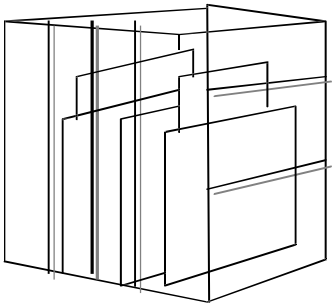
(g)



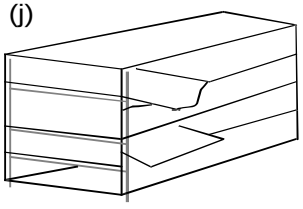
(h)



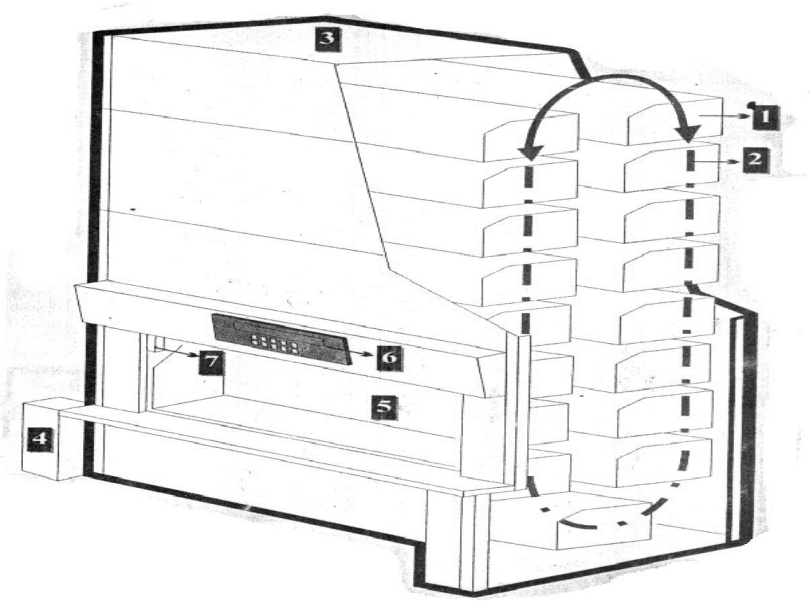
(i)

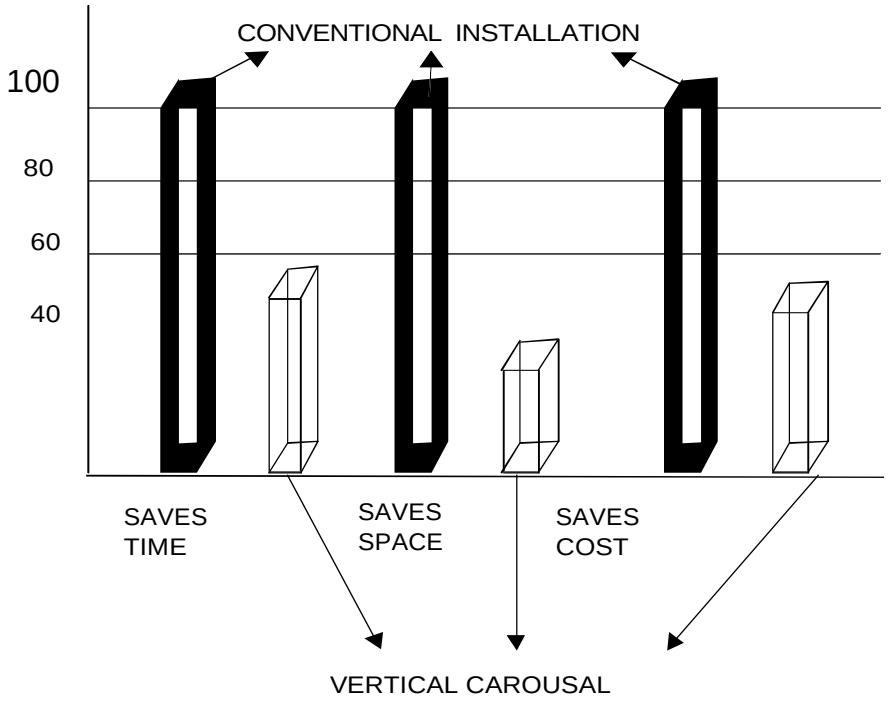


(j)

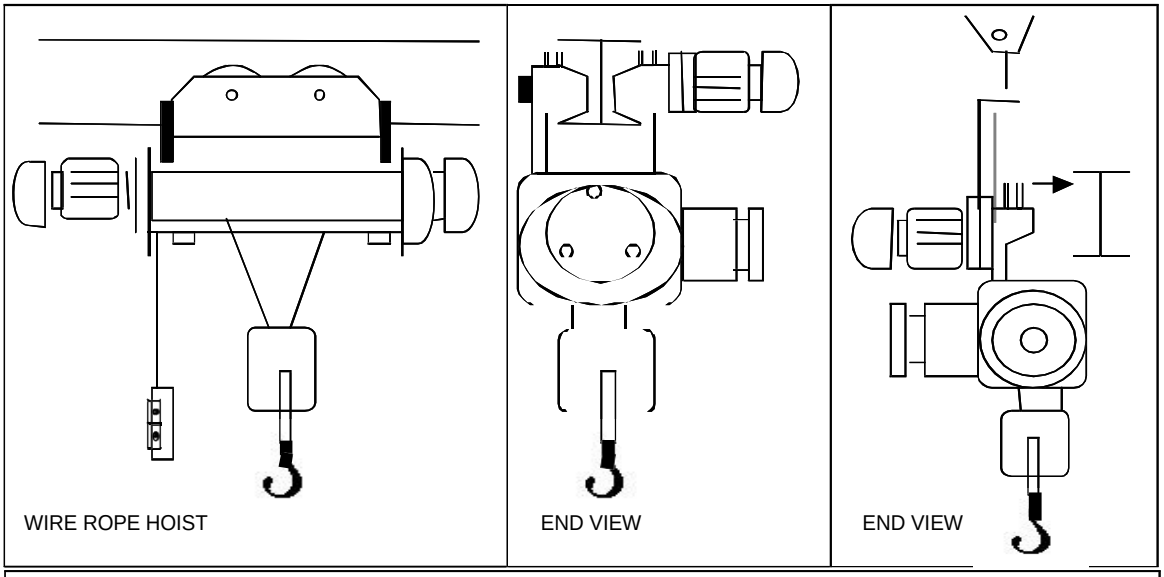


4.2.6 D (i) VERTICAL CAROUSAL





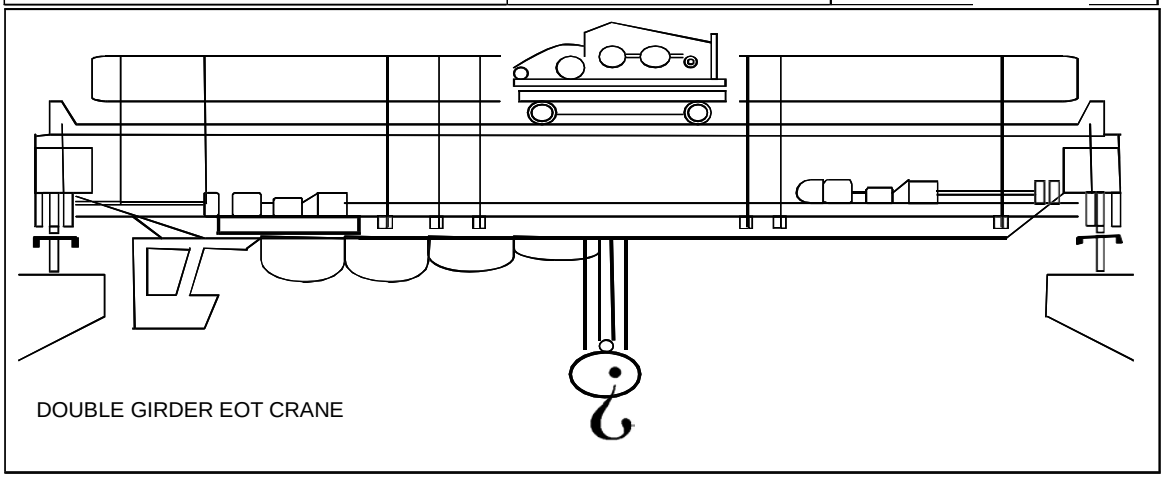
4.2.6 D (IV) DIFFERENT TYPE OF LIFTING, PULLING & HOISTING MACHINE



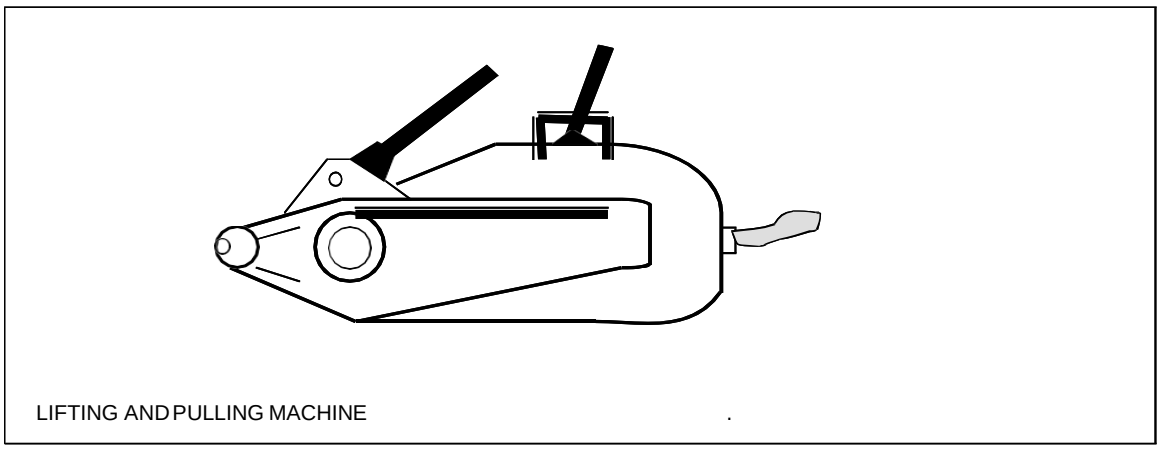
WIRE ROPE HOIST

END VIEW

END VIEW

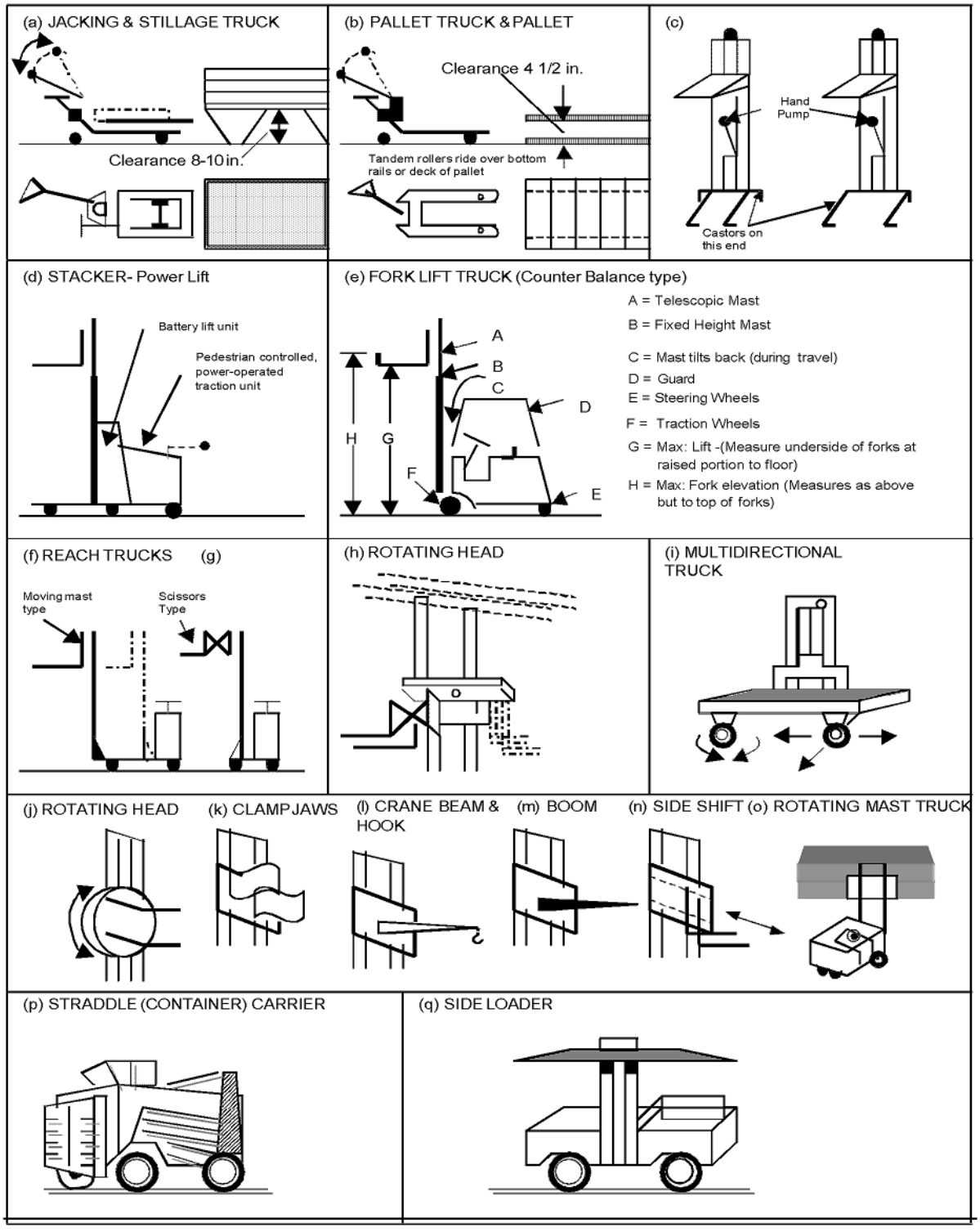


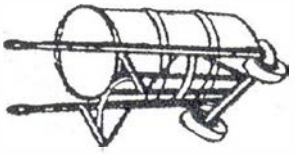
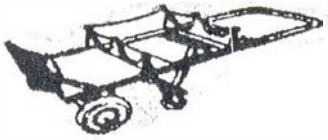
DOUBLE GIRDER EOT CRANE

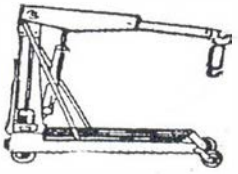
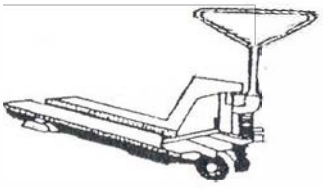
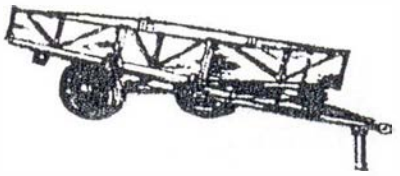
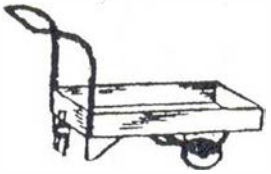


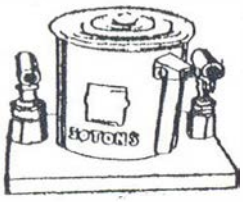
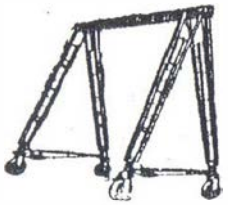
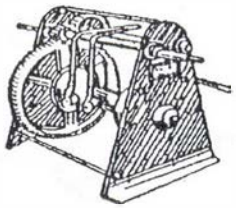
LIFTING AND PULLING MACHINE

4.2.6 D COMMON MATERIAL HANDLING EQUIPMENT



 Wheel Barrow(pan type)	 Wheel Barrow (front open)
 Hand Trolley	 Drum Trolley
 Gas cylinder carrying trolley	 Wooden Hand Truck

Revolving JIB Crane	 Portable Floor Crane
 Pallet Truck	 Non Tipping Trailer
Platform Trolley	 Box Trolley

Ratchet Lever Hoist	Chain Pulley mock
 Hydraulic Jack	Mechanical .Jack
 **Portable Gantry**	 **Crab Winch**

SUB CHAPTER-4.3

STORES PRESERVATION

4.3 STORES PRESERVATION

4.3.1 INTRODUCTION

The stores and Equipment are manufactured from wide variety of materials whose self – life and service-life are to be considered for optimum utilization of the same during its operation. Since these stores and Equipments are susceptible for deterioration in the storage resulting reduction of service life, preservation methods and proper storage conditions are to be adopted. It is very much essential for the stores to follow / maintain proper scientific preservation of materials. Any loss in this front has direct impact on the company's financial health. (Refer table for shelf life enclosed at 4.3.1)

Provision of proper storage conditions for the items and treating them with preservatives and proper packing reduces the rate of deterioration considerably.

Since the number of items to be stored is of different nature, it is not possible to go into details of proper preservation procedures to be followed for all items individually. However, attempts may be made to cover procedure on certain important basic materials having general usage. In general, it is advisable to follow specific instructions of its manufacturers and guidelines of user department regarding preservations of any item.

4.3.2 CAUSE OF DAMAGE

The changes in desired characteristics or quality of a material referred to as Damaged / Deteriorated. In other words, deterioration / damage are the inability of the materials to fulfill the function for which it was intended. The major agencies of causing such damage / deterioration are classified as follows:

A) Damage due to Biological Agencies

B) Damage due to non-biological agencies (physically or chemically)

Damage caused by living organism such as white ants, mildew, ghoons, rats etc. that is usually referred to as Biological Damage. Non-Biological damage includes Rusting of iron materials, Corrosion, Cracking of paints, Hardening of Rubber Goods, Cracking of timber items etc.

A. Damage due to Biological Agencies

Damage caused to stores by living organism such as Ghoons, White ant, rot and mildew, rats etc. are usually referred to as Biological Damage. Preventive measures from such damage may be done either by creating:

a) Barrier between causes of deterioration and the materials,

b) Using a chemical in the stores – shed, where such materials are stored.

Preventive measures for different living organisms are stated below:

i) For Ghoons

a) Immersion of bamboo in mixtures of creosote and mustard oil for a period of at least twelve hours. Linseed oil may also be used when timber stores are to be treated.

b) Injection of some oil mixture like creosote and mustard oil into hollow of timbers followed by swabbing of the entire outer surface.

c) Painting and washing of timber stores.

ii) For white ants

No curative measure is known in this case and all treatment is preventive and protective in nature.
They may be summarized as follows:

a) Stores should be kept above the ground at least by 12" high or on dunnage made out of metal or any materials not susceptible to be damaged by white ants.

b) The floor of Godown and stores should be made of concrete. All Cracks should be repaired promptly.

c) Materials should not be allowed to touch the roof or walls. Roofs etc. or stacks should not hang on the ground. Timber should be treated with oil Mixture such as creosote up to a height of 2 feet from the ground.

iii) For Rot and Mildew

The following are the preventive measures, which help in minimizing damage by rot and mildew.

a. All Godowns and storehouses must be opened daily to allow free ventilation particularly during the monsoon season.

b. Stores must be kept on dunnage away from walls and off the ground. They must not touch the roof.

c. In case of temporary shelters, the attached covers must be folded and the ends must be tagged off the ground. Bales of cloth or gunny bags must be kept at some distance from each other.

d. Materials should not be packed and stacked in wet and damp conditions.

e. Material stocks should be frequently turned over.

f. Materials must be inspected frequently and should be immediately treated when any damage is noticed.

iv) General Curative Measure

There are a few curative measures, which are of general application. Some proved more useful and are mentioned below:

g. Damaged stores should be exposed to the sun for a few days with a frequent turnover.

h. An insecticide may be used or sprayed on the damaged portion.

i. Oil and chemicals used to kill insect pests are effective against rot and Mildew also.

j. Before any treatment is given, the damaged stores should be segregated from the uninfected one.

B. Damage Due to Non-Biological Causes

Various types of damages not caused by any living organisms are due to Non Biological Causes. Some of the most important types of Non-biological damages are Rusting of Iron Materials, Corrosion, Cracking of Paints, Hardening of Rubber, Cracking of Timber etc.

i) Rust & Corrosion

Rust is a compound formed by the oxidation of iron in presence of moisture. The term "Rust" is restricted to iron or steel only, while the term "Corrosion" is applicable to all metals. Corrosion is usually caused when one or more of the following conditions prevail:

- When materials are exposed to harmful gases in an industrial town.
- When materials are in continuous contact with water in the presence of air.
- When materials are exposed to solutions of acids, alkalis or salts.

ii) Preservation for Corrosion and rust

a) Cleaning and Degreasing:

Cleaning and Degreasing shall be carried out by washing with water, scrubbing with rags or rubbing with sandpaper / emery cloth or through chemical methods.

b) Drying:

After washing, the clean and rust free materials should be thoroughly dried by blowing hot air, blowing dry compressed air and wiping with clean rags before preservative coating is applied.

c) Preservative coating:

Applying some preservative to the metal surfaces by making a barrier between the atmosphere and the metal prevents corrosion damage to metals. Before a preservative is applied, metal surface must be cleaned and free from grease. The surface should be made rust free and if it is corroded then it must be made completely dry. Some of these preservatives are mineral oils like SAE – 30, SAE-10 and greases and mineral jelly. Preservative coatings shall be made on the basis of time for protection i.e. coating shall vary for long-term short-term protection.

Paints, Lacquers, varnishes and Enamels may be used to protect metallic surfaces against corrosion. On the clean surface one or two coats of primer (Red Oxide / red Lead) is to be applied.

d) Lubricants:

Anticorrosion lubricants of OKS / BCI / Corteck make may be used for protecting corrosion of Heavy Mechanical Equipment stored in open / semi covered shed.

e) Desiccants:

Corrosion can be prevented by reducing the humidity to a level of 50% or less by using Desiccants (Drying agents). The commonly used desiccants are silica gel, aluminium oxide and calcium chloride. The most suitable of the above is silica gel.

f) Volatile Corrosion Inhibitors:

This volatile organic chemical has rust inhibitive properties. This VCI comes in the forms of powder, solutions and after application on metal surface; the vapor forms a very thin film, which protects corrosion.

g) Strippable coating:

This type of coating is given by a special plastic formulation, which gives a plastic cover over the article and can be peeled off whenever required for use.

4.3.3 METHODOLOGY FOR PRESERVATION

As the stores is housing innumerable major items, which need frequent attention of diversified types of preservation techniques and those techniques are classified as below:

i) Cause of Damage
ii) Symptoms, external manifestation
iii) Warehousing condition
iv) Stacking, Racking Procedures
v) Packing criteria
vi) Avoidance factors
vii) Preventive Measures
viii) Usage, Handling System

Stores In-charge shall generate monthly report from SAP to be sent to user for utilization of the item.

A Standing Committee (at the minimum level of E5/E6) may be constituted (FQA, O&M & Stores) for review of preservation systems / Procedures on monthly basis and suggest the preservation activities and monitoring of the same.

While placing order for self-life items, minimum self-life 85% should be maintained at the time of delivery of items. After the expiry of self-life, SSIDC shall declare unserviceable item.

A Tabular format NO. 4.3.3, have been designed for preservation procedures including nature of attention for some key items.

4.3.1 TABLE FOR SHELF LIFE OF DIFFERENT ITEMS

Nomenclature	Whether liable to deterioration under normal storage conditions	Shelf life	Period after which to be resembled	Remarks
1	2	3	4	5
CHEMICALS				
Acid Hydrochloric Commercial	No	5 years	3 years	
Acid Hydrochloric Pure	No	5 years	3 years	
Acid Nitric Commercial	No	5 years	3 years	
Acid Sulphuric Commercial	No	5 years	3 years	
Acid Tannic Pure	No	5 years	3 years	
Alumfna Ferric	No	5 years	3 years	
Alum Potash	No	5 years	3 years	
Copper Sulphate Commercial	No	5 years	3 years	
Pitch Swedish	No	5 years	3 years	
Potassium Carbonate	No	5 years	3 years	
Potassium Cyanide	No.	5 years	3 years	
Potassium Ferro cyanide	No	5 years	3 years	
Potash, Caustic, Commercial	No	5 years	3 years	
Soda Ash	No	5 years	3 years	
Sodium Bicarbonate	No	5 years	3 years	
Soda Caustic Pure and commercial	No	5 years	3 years	
Wax Red	No	5 years	3 years	
Methylated Spirit Industrial	Yes	3 years	1 years	
Rubber Chlorinated	Yes	3 years	1 years	
Adhesive Nitrocellulose	Yes	2 years	1 years	
Adhesive Bostic 165	Yes	2 years	1 years	Highly inflammable
Ammonium Carbonate	Yes	2 years	1 years	

Ammonia liquor	Yes	2 years	6 months	
Chloramine T	Yes	2 years	6 months	
Desiccant (HO 2480- 84,86,88, IHA 0669,70)	Yes	2 years	1 years	
Ointment prophylactic Industrial	Yes	2 years	1 years	
Plaster of Paris, Coarse	Yes	2 years	1 years	
Plaster of Paris, Superfine	Yes	2 years	1 years	
Silver Nitrate	Yes	2 years	1 years	
Silicate	No	10 years	3 years	
Sodium Silicate	No	10 years	3 years	
Sulpher Commercial	No	10 years	3 years	
Acid Resisting	Yes	3 years	3 years	
Enamel Hospital	Yes	3 years	3 years	
Enamel High Gloss	Yes	3 years	3 years	
Finishing Nitrocellulose	Yes	3 years	3 years	
Black, Light Brown	Yes	3 years	3 years	
Primers	Yes	3 years	3 years	
Thinners	Yes	3 years	3 years	
Polish Liquid	Yes	3 years	3 years	
Paint FFU G S Brushing Red Lead Non- setting	Yes	1 years	1 years	
Red Lead/ White lead	Yes	1 years	1 years	
VARNISH				
Insulating	Yes	5 years	5 years	
Finishing Air Drying	Yes	2 years	2 years	
Shellac	Yes	2 years	2 years	
Protective for Luminous paints	Yes	1 years	6 months	
Varnish Special with Fungicide	Yes	3 years	3 years	
Paint remover inflammable	Yes	5 years	5 years	
Varnish Interior/ Exterior	Yes	5 years	5 years	
Baking Oil Paper	Yes	5 Years	5 Years	
Brunswick Black	Yes	5 years	5 years	
OILS, GREASE AND LUBRICANTS				
Oil Castor	Yes	3 years	1 years	
Oil Coconut	Yes	3 years	1 years	
Cutting Oil, Soluble	Yes	3 years	1 years	
Cutting Oil, Graphite	Yes	3 years	1 years	

Cutting Oil Concentrated	Yes	3 years	1 years	
Linseed Oil Raw	Yes	3 years	1 years	
Linseed Oil Boiled	Yes	3 years	1 years	
Linseed Oil Refined	Yes	3 years	1 years	
Oil Mustard	Yes	3 years	6 months	
Oil Mustard Scented	Yes	3 years	1 years	
Lubricant White	Yes	3 years	1 years	
Mineral Jelly GS	Yes	6 years	1 years	
SOAPS				
Soap Carbolic	Yes	3 years	1 years	
Powder / Flakes Woolen for Laundry	Yes	3 years	1 years	
Liquid	Yes	3 years	1 years	
Marin	Yes	3 years	1 years	
Scouring Abrasive	Yes	3 years	1 years	
Shaving	Yes	3 years	1 years	
Toilet White Windsor	Yes	3 years	1 years	
Yellow	Yes	3 years	1 years	
BATTERY				
Battery	Yes	6 years	9 months	
Battery Dry (Can type)	Yes	9 to 12 months		
Battery Dry (Layer type)	Yes	9 to 12 months		
Cell Inert	Yes	5 to 8 months		
Brushes Vegetable Fiber Filled	Yes	5 to 7 years		
Brushes, Animal Hair, Bristles Filled	Yes	7 to 10 years		
Abrasive paper	If properly packed	At least 3 years		
Ferrous and non ferrous items		Indefinite		
Timber, Wooden Bamboo Store	Being organic nature shelf life cannot be ascertained. However depending on satisfactory storage condition it may remain serviceable for a number of years.			
Woolen (if preserved and Stored Properly)	15 years			
Cotton (a) Sulpher dyed stored (duck cotton) 14 cm black, calico, discot cloth cotton lining black.	Some Sulpher dyes are liable to cause	2 years		

	tendering during storage hence their shelf life can not be predicted.			
(b) Scoured, black dyed (other than Sulpher dyed)	10 years	Under proper storage conditions		
Cotton / Wooden items	10 years			
Item where Rubber and Leather has been used		3 years		

4.3.3 PRESERVATION

ITEMS	CAUSE OF DAMAGE	SYMPTOMS IF ANY	WARE HOUSING CONDITION	STACKING PROCEDURES	PACKING	AVOIDANCE FACTORS	PREVENTIVE MEASURES	HANDLING	ISSUANCE ORDER
1) Plant Origin stores e.g. Bamboo/ Timber/ Sleeper	Biological Damage by White Ant, Mildew, Ghoons or Rats.	Adherence of mud to damaged portions of stores, Accumulation of Wooden Powder musty smell and decolourisation	Concrete floor with prompt repairing of cracks. Properly Ventilated and Damp free.	On metal Dunnage at least 0.5 m high and away from Roof Wall and Floor, Bales of clothes, papers, Gunny bags to be kept away from each other.	To be Packed in dry condition	Water, rain, moist	Use Chemicals (like creosote, mustard oil, and linseed oil) for Immersion of bamboo's or Injection into hollow of timbers, Apply insecticides. Adopt rat proofing / rat/ destruction method, Damaged stores to be segmented or exposed to sun with a frequent turnover.	----	FIFO
2) Animal Products e.g. leather goods, Shoes, gloves, aprons etc	Heat dryness, excessive dampness, termites and other micro organism	Ammonical smell and decolourisation	At normal temperature and dry	- Do -	- Do-	- Do- or Heat	Mildewed surfaces to be cleaned and traded with soap yellow or dubbin	----	FIFO
3) Cement	Moisture Contact	Hardening	Dry with no ventilation of seepage proof floor	Not more than 1.1 bage in stacks. On wooden sleepers	Moisture proof original packing.	Breaking of stack until require for use.	----	Bags not be handled by means of hooks	No Retail
4) Paints/ Lacquers/ Varnishes/ Enamels	Leakage with evaporation of thinner, long time storing contamination with water	Thickening forming of scums, jelly like mass of hard cake	Cool and dry with fire fighting arrangement of sand buckets and foam type fire extinguishers.	On bed of 8 cm. thick dry sand.	In leak proof properly sealed rust free containers	Long time storage and adverse storage condition	1. Leakage containers to be changed immediately. 2. Cotton waste, Jute soiled with paints should promptly disposed off. 3. Roll and turn quarterly and stir monthly in case of used once	To be drawn from orifice provided for the purpose.	Preferably no retail.

5) Bearings	Corrosion due to accumulati-on of dust dents or damage of raceways surface due to severs impact and rust due to excessive humidity	Rust.	Dry, Frost, resistant room, shelves to be less than 30 cm. from ground where relative humidity less than or equal to 60 % moderate temperature (less than 50^0C)	Large bearing to be laid flat and not to be stored standing upright	To be kept in original packing till prior to mounting.	1. To stack on top of each other 2. To store corrosion chemical like acid, ammonia, chloride of lime etc. in the same room. 3. Bearing with seals, Suffix 2Z, and Suffix- 2RS stored beyond 2 or 3 years respectively.	To be dipped in anti corrosive oil to protect from rust formation .To be kept in original packing clean, well oil Or Greased and Wrapped in rust inhibiting waxed papers.		----
6) Lubricants	Contaminat ion with water. Excessive evaporation and spillage.	In crease/ Decrease in quantity.	Generally stored outdoors. Protecting fully from moisture weather. Smaller and huge packages to be stored indoors	Drum is stored in horizontal condition with lids in 9 o' clock and 3 o' clock position on a hard concrete floor with necessary provision for collection & separation of spillage preferably 1-meter gap between the two. Lubricant in Jerri can to be stacked on 5/7 cm thick dry sand bed maintaining 1 meter gap between the two.	Original sealed conditions	1. Delay in repairing Leakage 2. Careless filling 3. Incorrect stacking 4. Fire, inflammable material	1. Tanks of pipe line to be earthed properly to safe guard generation of statical electricity. 2. As per material content, containers to be segmented with marking. 3.Accumulated water to be drained or pumped out if level exceed 15 cm.	Filling with tin measure should be avoided	Within schedule date of expiry.
7) Pumps. Shafts, Impeller, Assembly Gear Box	Sagging of shafts	Jamming	Dry with seepage proof concrete floor	No inclination or external load on the packing box impeller in vertical axis.	To be stored in original base frame	---	Periodic rotation, Rust preventive Coating on exposed Portion. Ends suitably plugged Threaded portion and key ways by PVC tapes etc	Sufficient care to be taken to avoid sagging of shafts	------

8) Acids	Heat, Light (including direct sunlight) air and moisture	---	Sunlight protected and cool (but well above freezing point), dry, clean well ventilated wooden sheds preferable painting of metals used for construction.	On Floor upon bed of 2"-3" thick sand, separate shelves or compartments to be provided for each type, adequate distance to be maintained between each type	Original container with proper marking	Sunlight, Mix-up, Foreign matters i.e. saw dust, cotton, paper of chips of woods, spillage, frequent opening of containers HNO_3 to be away from HCI and H_2So_4	Tagging. Pail of clean water and neutralizing solutions (10 to 20 % soda ash as solutions) to be kept for safety measure. Painting to exposed items to prevent corrosion.	Handle with sufficient care	No retail
9) Alkali	Absorption of moisture from air	---	Cool, Dry clean & well ventilated but far away from Acid store	On Floor upon bed of 2"-3" thick sand, separate shelves or compartments to be provided for each type, adequate distance to be maintained between each type	Original container to be kept air tight	Opening of ammonia liquid bottle with mouth directed towards the person	1. Water (Preferably iced water) for cooling ammonia liquid bottles before opening. 2. Tagging by monthly	With sufficient care	No. retail
10) Industrial gases in cylinders	1. Mechanical damage 2. Mishandling 3. Corrosion 4. Defective safety relief devices	Leakage	Covered cool. Dry and rest concrete pad or noncombustible rack with canopy while at our door location	1. Off the ground on raised concrete pad or noncombustible Rack at outdoor location 2. Acetylene in upright position	---	1. Sunlight. Fire, Heat from oven and furnaces, combustible materials 2. Handling with electromagnets Ropes or Slings 3. Mix- up among Acetylene Oxygen Hydrogen & Chlorine cylinders	1. Noncombustible canopy at outdoor Location 2. Coris jackets in storage. 3. Paint all through 4. Screw on cap over valves 5. Warning notice for no naked lights out side storage 6. Immediate replacement of cylinders with defective safety relief devices 7. Valves Caps in – Place when un used 8. Periodic leak. Detection.	1.Specifically designed holders for moving cylinders by hoist crane & truck 2. Sturdy handcrafts mounting one or two Cylinders for manual handing	----

								3. Use of Acetylene in upright position 4 Opening of gas valve slowly to maximum Opening of Acetylene valve only one and half turn 5 Coir jackets during storage Transportation.	
11) Chlorine Cylinder	---	--	1. Open space 2. Exhaust fans at bottom 3. No other chemicals	Tin container to be stored on rollers	Removable hood should be kept in Place when the toner is not in use	Bump & Rolling	Water safety mask/ air breather by operator while entering	Tin Containers by 2 T mechanical device	------
12) Soda Acid Foam Type Extinguisher	1. Dust, Metal Polish 2. Loosely screwed cap	-----	----	Suitable position for the purpose of use	----	Dust	Opening for inspection and servicing monthly as per manufacturer recommendation	---	--

13) Batteries, Nickel Iron and Storage	1. Extreme heat & cold 2. Short Circuits 3. Unused	Discharge and failed to be recharged	Clean. Dry moderately cool & well ventilated	-----	To be Wrapped individuall y in waxed papers	1. Contact among terminals 2. Saw dust for packing 3. Keeping short circuit conductive articles 4. Leaving unused for long 5. Low temperatures 6. Fire	1. Testing every 3 months to remove corrosion and to grease exposed parts with petroleum jelly (N.I) 2. Re-charge at least twice a month (to reduce lead Sulphate deposit on surface) 3. Replenishment of electrolytic level frequently (storage) 4. Monthly checking when fitted with machinery	-----	-----
14) Transformer & winding coil	Moisture	Low insulation voltage, rating	Indoor AC Room (humidity less than 60 % and temp is equivalent to 25 ^{0}C	Upright coil in oil	Original pack	Away from hazardous malt	Periodic heating and oil filling check volt. Amp., Temp etc Periodically	-----	-----
15) Electric motors & Instrumentation equipment	1.Humidity 2.Mechanic -al fault	----	Indoor AC Room (humidity less than 60% and temp is equivalent to 25 ^{0}C	Suitably to facilitate easy removing	Covering with moisture and dust protective cover with proper support at base and hanging portion if any	Humidity	1. Heating system that assures a higher temp. than the surrounding air condition point 2. Checking of insulation resistance of all eclectic equipment (with winding every month 3. Periodic (90 days) rotation of shaft by 90$^{0.}$	Keeping the configurati on in right manner as directed	---
16) Cable Drums	1 Sinking of Drums and thereby rotting of flange	1 Extreme difficulty for moving drums	Well drained on concrete surface, Occasional over hand covering	On batttons placed directly under flanges leaving sufficient place for air circulation among drums	---	1. Storing of the flat 2. Direct sunlight	1. Overhead covering to prevent sun and heavy shower 2. Slow bending for paper insulated cables 3. Minimum drum, barrel diameter	1. to be rolled in the direction of arrow for short distance	----

	2. Non-rolling of drums for long	2. Impregnating compound draining from the upper portion of coils of cable				3. Bending of individual cores of multi core cables at joints and termination 4. banding to small radius for paper insulated cables and quick strengthening	4. Rolling through an angle 90^0 about once every three months 4. Cable ends are to be covered with moisture proof packing.	2. For transportation to long distance, to be mounted on wheels or on trailer etc.	
17) Control Instrument	Humidity, heat. Sun	----	Indoor, AC. Room	Packed and separated from each other.	Original polythene packed	1. Dropping 2. Water contamination	Moisture absorber application e.g. Silica gel	-----	-----
18) Activated Carbon	-Do-	-----	Dust Free	----	Original or in plastic drums	Dust, fire & inflammable	Completely covered	-----	-----
19)Refractory insulated material	Water damp	----	Water leak proof, covered shed & dry floor for insulated or semi covered shed for Bricks	Stack height maximum 4 times of the square side of base for bricks. Mineral wool mattresses are to be kept above ground and height not more than 2 m.	Insulating material packed in bags	Water contamination	------	----	-------
20) Boiler Tubes	Corrosion Rust	-----	Covered Shed	Separately according to colour code	------	Improper stacking & storing	End capping to be intact with preservation of primer coat & color code	With care to avoid bending	---

21) ESP collection electrode & AHP heating	Moisture	----	Dry	With multi support 300 mm above ground.	Original	- do -	Maintain Preventive coating Apply silica gel	With sufficient care	---
22) Rotor/ Generator/ H.T. Motor	Dust, Moisture, Mechanical damage	Failure in electrical continuity or resistance testing	Cool & dry preferable A.C. room with less humidity	With multi support at bottom or overhang portion if any.	Journal & exposed electrical to be wrapped with suitable cover	Dust, water & other foreign material	1. Rotation once in 6 months 180^0 or 3 months by 90^0 2. Lubrication of bearing in long storing. 3. Provide silica gel to arrest Damp	To avoid Mechanical Damage	Proper documentation shall be made
23) Welding Electrode	Moisture	Peeling of electrode coating	Preferably Dry high Ventilation (Dehumidifier shall be installed)	Steel rack/ cupboards	Original Cartoon with Moisture repeller cover	1. Water contamination 2. Opening of original packing	Drying in electrode over when required	----	---
24) Structural Steel	Rust Bending	----	Open yard	Item wise separately. With proper support underneath to facilitate material handling	---	----	Apply rust protective coating Periodically	With Proper material handling equipment	----
25) Pipes, Tubes Headers	Rust Bending	---	- Do-	----	-----	Water	1. Plug at threaded ends 2. Colour code for differentiating items 3. Preservation Coating	-----	------
26) Explosive/ Inflammable material	Ignition	-----	Adequately ventilated cool place apart from powerful oxidizing agent	-----	-----	Source of Ignition	1. Posturing outside 2. Fire fighting equipment installation	With proper care	----

27) Oxidizing Agent	Damage of Container	---	Cool, ventilated, and fire proof	---	----	Inflammable material	- do-	- do-	---
28) Water Sensitive & Time explosion hazards	----	-----	Well ventilated cool dry waterproof	-----	----	Pocket of Light gasses under the roof	---	- do-	-----
29) Toxic Hazards	Leakage	----	Cool, well ventilated & away from sun rays	---	Perfectly sealed container	---	Periodical inspection	---	---
30) Corrosive Materials	Leakage	Destroy of container	Cool, well ventilated	---	As per guideline of safety Engineer or Local fire department	----	---	To be kept isolated from material may be reached	-----

SUB CHAPTER-4.4

PHYSICAL STOCK VERIFICATION

4.4 PHYSICAL STOCK VERIFICATION

4.4.1 INTRODUCTION

Physical stock verification is one of the statutory requirements of warehousing and storage. The physical stock available against each item is required to be reconciled with the SAP system by custodian himself as a regular function and by stock verifier(s) who are directly responsible to site Finance. Stock verifiers shall give in advance a schedule of program to the custodian to enable him to do the necessary preparations.

Stock verification shall be done every year as per the company policies from time to time; however, the periodicity of stock verification for each type of item will be decided on the basis of corporate policy and guidelines. At present, the Circular No-102 dated 18/10/2017 to be followed strictly.

4.4.2 NEED FOR VERIFICATION

Physical verification of stores is needed for the following reasons:

a. To ensure that the actual physical balances of stocks match with SAP figure as well as priced stores ledger (PSL) which is available on SAP system.

b. To ensure the physical material as per description, specification and code number recorded in item master.

c. To ensure accurate accounting of the receipts, issues and the stock in hand.

d. The discrepancies (shortages or excesses), if any during physical verification are to be reconciled and accounted for.

e. To pinpoint any drawback or shortcomings in the methods of storage, handling / movements of materials so that deficiencies are avoided in future.

f. To identify slow moving and non-moving items so as to review the stock holding.

g. To authenticate the accuracy of the value of inventories

h. To ensure that the systems and the procedures as laid down by the management are strictly adhered to.

i. Precautions against pilferage and theft.

j. To suggest remedial / preventive measures wherever abnormalities are observed during verification.

4.4.3 REASONS FOR STOCK DISCREPANCIES

Normally stock discrepancies occur due to the following main reasons:

- Human errors of omission /commission / negligence
- Weighing Machine differences
- Measurement differences
- Improper storage loss
- Improper Documentation
- Theft, pilferage etc.
- Improper Accounting
- Natural deterioration – due to it is inherent losses of volume weight etc.
- Cross issue of similar materials.

4.4.4 METHODS AND FREQUENCY OF VERIFICATION

Each unit of NTPC shall adopt the following stock verification methods.

A	Periodical	Fixed assets held by different departments shall be verified once in 2 years under periodical stock verification system.
B	Continuous	Items shall be verified under continuous stock verification system. Under this system all the materials shall be verified as mentioned below: a).For station under O&M phase, the Physical Stock verification of all the items to be done on yearly basis by external agencies with due diligence b).For the Project under construction phase, the physical stock verification of all the items to be done on Half-yearly basis by external agencies with due diligence.
C	Surprise	Surprise verification shall be conducted in each financial year by a team as per circular no 102 dated: 18/10/2017.
D	By external Auditors	This is a statutory obligation and hence outside agency shall be allowed to check the stores as a “Third eye”.

E	Self-Checking	Self-checking shall be carried out by concerned custodian on monthly basis as per circular no 102 dated: 18/10/2017.

Note: The periodicity shall be followed as per the company policy issued from time to time. At Present Corporate Material Circular no. 102, dated 18/10/2017 shall be followed strictly.

4.4.5 STOCK VERIFIERS

a. Stock verifiers, appointed specifically for the purpose under overall control of Head of Finance of respective unit shall carry out physical stock verification of items under paras 4.4.4(A) and 4.4.4(B).

b. Stock verification team at Unit level consisting of at least Accounts Representatives, Technical representatives appointed by HOP under over all control of Head of Finance of the unit for conducting surprise verification as per Para 4.4.4 (C).
All REDs of respective regions also to nominate a team as per circular no 102, dated: 18/10/2017 for conducting surprise verification as per Para 4.4.4 (C).

c. External Auditors at unit level to be nominated by site Finance as per the guidelines of Internal Auditor (CC) for Para 4.4.4(D).

4.4.6 SUPERVISION AND CONTROL

The overall Supervision and control in conducting the stock verification through the stock verifiers shall rest with the unit Head of Finance. However, day-to-day conduct of verification shall be under the supervision of an Accounts Executive nominated by the Unit Head of Finance.

4.4.7 SELECTION OF ITEMS

The items should be selected in such a way that the quantity involved on the date of verification is as minimal as possible to enable low point stock verification. This will help in reducing the quantum of verification work and thereby minimizing the cost of physical verification. Verification is to be completed for an item on the day itself to reduce the cost, physical work, manpower and loss of transaction time.

4.4.8 VERIFICATION PROGRAMME

Complete Stock Verification of stores during each financial year is one of the major responsibilities of Head of Finance of the unit. The following programs are to be prepared to achieve the above target.

a. A comprehensive annual program at least one month ahead of the commencement of financial year, indicating the category of materials to be verified.

b. A detailed program (by Accounts Executive in charge of Stock Verification), indicating the names of stock verifiers and the nature of material to be verified by each of them.

c. Verification program on regular basis is to be furnished by the Stock Verifier as per Performa "Stock Verification Field Book".

d. On the basis of above reports, Head of Finance shall review the progress w.r.t targets for each quarter. In case of any discrepancy of the order of 10% or above a written report shall be furnished to HOD (C&M), Stores – in Charge with a copy to Head of Project. The reasons for such deviation along with the proposal to cover up the same in the next quarter and the assistance required from HOD (C&M) / Stores in-charge shall be made available latest by the end of the review month.

4.4.9 SURPRISE VERIFICATION

a) HOP shall nominate at least two officers (from Finance and other than Materials) to conduct physical verification through out the year in such a manner that at least 2% of the no. of items held in stock is completed. Selection of articles shall be done at random and importance shall be given to pilfer prone items, fixed shelf life etc. The report shall be sent to HOP through Head of Finance on the status of discrepancy. In case of discrepancy, the Unit Head shall depute an Executive from any department to verify the same immediately as there could be possibility of wrong posting and location etc. and report back within 48 hours. If discrepancy persists, write-off / adjustment formalities are to be taken care of. Moreover, if it is found that the problem is of repetitive in nature for similar type of items, necessary disciplinary action to be taken against individuals who is responsible for such storage.

b) All REDs of respective regions also nominate a team at project level to conduct the physical verification as per circular no. 102 dated: 18/10/2017.

Note: Surprise Verification will be conducted strictly as per Circular no. 102 dated: 18/10/2017

4.4.10 VERIFICATION BY INTERNAL AUDITOR

Normally action shall be taken in line with 4.4.9 above. However, report in this case, with or without discrepancy shall be sent to Director (Finance) and HOP for their information. Internal Auditor is also responsible to report any non-compliance / deviations in the systems and procedure laid down by the Management.

4.4.11 VERIFICATION BY EXTERNAL AUDITORS / STATUTORY AUDITORS

Stock Verification through External Agency is a Statutory Requirement for PSUs and as such for this purpose, External agency may be engaged. The observations of external agencies are treated as serious in nature and to be complied immediately in order to avoid future complications / questioning by concerned Ministry.

4.4.12 VERIFICATION THROUGH SELF – CHECK

As an on-going process the custodian shall himself check, verify, investigate etc. during issue of goods and / or transaction on routine basis.

4.4.13 PHYSICAL STOCK TAKING ACTIVITIES

A. All transaction documents and records (MMBE) (MC.9A) (MB52) are to be updated before initiating action.

B. Preparation of list of items, which are stored at different place from SAP.

C. Material issued for emergency (exceptional cases) is to be regularized through reservation before stocktaking**.**

D. Materials lying within the stores but meant for sample, testing or demonstration etc. need to be documented through SAP.

E. On completion of above prerequisites, stock verifier has to work on day – to – day basis in presence of respective custodian and put up daily report as per Form I of circular no-3.19 dated 22/09/2008 of Finance to accounts in charge of stock verification exercise.

F. Filling up of the relevant information in the field book and the same need to be compared with SAP output for a particular item.

G. Reconciliation of PSL stock balance with SAP and necessary details are to be incorporated in the Stock Verification Field Book.

H. At this stage, the true physical verification does take place by way of counting, measuring, and weighing as the case may be. One important aspect i.e. is comparing the nomenclature / description of the item being physically checked, should agree with that recorded in the item master / stores ledger and / or any other associated documents.

I. Stock verifier shall suitably enter "Remarks" in field book:

i) On date……. physically verified and found correct Or
ii) On date……. physically verified and found:
a) Quantity Excess / Short
b) Description not Matching
c) Any other points

J. In case of (I-i) Accounts Officer in-charge of stock verification shall put up Remark 'TALLIES" and the same for (I-ii) shall be designated as "DISCREPANT" Verifier shall put initial and stamp the sheet accordingly.

K. The stock verifier shall prepare "SDV", i.e. Stock Discrepancy Voucher and pass on the original copy to the concerned custodian to enter their SDV reference in the Field Book as well as in the manual documents if any. Such status shall be continuously updated.

L. Store in-charge shall investigate the reasons for Discrepancy and resolve the matter within two days from the date of receipt of SDV and forward a written report to Account Officer In-charge indicating the respective SDV reference. If this report is acceptable, Accounts Officer in-charge shall close the SDV by endorsing 'CLOSED' on SDV. However, if justification is found inadequate, he shall insist further scrutiny of the case by stock verifier.

M. In some cases where discrepancy may exist even after second verification, a written report is to be sent to the Head of C&M with a copy to the Head of Finance of Unit for subsequent action asking for written report within 7 days of occurrence of such anomalies / discrepancies.

N. HOD (C&M) shall resolve the "discrepant cases" for adjustment / write off as per the delegation of power by initiating proposal in the prescribed format. The SDV shall also be endorsed as "CLOSED" indicating reference details for which competent authority approved adjustment / write off with cross-reference in the Field Book.

O. Stock verifier shall prepare report on the following aspects:

i) List of items for which deterioration in quality, improper storage etc. is expected.
ii) In-adequate preservation and storage facility
iii) In-secured and unsafe condition of pilferable items.
iv) Precaution towards hazardous / explosive materials.

4.4.14 ADJUSTMENT / WRITE OFF

1) On full satisfaction of the stock verification data along with all pre-requisites like adjustment / write off approval, Accounts Officer In-charge shall stamp as "SELECTED".

2) On receipt of official clearance towards write-off / adjustment from competent authority, necessary adjustment document is to be created by Stores on SAP and it has been posted by F&A.

4.4.15 PROCEDURE FOR STOCK VERIFICATION(CIRCULAR No.102)

A Maharatna Company

NTPC LIMITED.

ENGINEERING OFFICE COMPLEX
CORPORATE MATERIALS MANAGEMENT

Ref: 01/CMM/SIMG/2017 **DATED :18/10/2017**

CIRCULAR NO. 102

SUB: PROCEDURE FOR STOCK VERIFICATION

BACK GROUND

Increasing trend of discrepancies in stocks during surprise checks is a matter of serious concern for management. Accordingly, it has been felt during the director's meeting that the procedure for the Stock verification need to be reviewed on top priority.

PROCEDURE FOR STOCK VERIFICATION

Accordingly, the stock verification process has been reviewed in totality and the following procedure has been devised and to be followed strictly in order to implement the Stock verification activities effectively.

1) For stations under O&M phase, the Physical Stock verification of all the items to be done on yearly basis by external agencies with due diligence.
2) For projects under construction phase, the Physical Stock verification of all the items to be done on Half yearly basis by external agencies with due diligence.
3) The activities of External Agencies shall be closely monitored by HOD(Fin) on weekly basis.
4) The procedure for surprise check as per the Vigilance Circular dated 24/06/2014 is as under:
   - All Head of Projects/Stations may ensure implementation of Clause 4.4.9 of Store Management System Manual related to surprise verification and accordingly, appoint a team to conduct such physical verification as per the said provision.
   - All REDs of respective regions also to nominate at project level, in a similar manner as in clause 4.4.9 of Stores Manual. The team would be assigned to conduct Surprise Stock Verification of specific items of nearby projects/station and not of the same station. For example, a team nominated by RED(North) at Tanda may conduct surprise checks in the nearby station of Unchahar or Singrauli. This would be in addition to the surprise checks as provision clause 4.4.9 of Stores Management Manual.

Contd to p/2

p/2

- All REDs nominate a group at Regional level, who would identify items for such surprise check based on their criticality, value & pilferage prone nature.

  In case any discrepancy is observed during the above surprise checks by the Team appointed at Project level, or Region level, then the matter should be immediately reported to the respective Head of Projects/Stations and the agency who has conducted the annual stock verification should be considered for Banning of Business Dealings.

  In case any shortage is found during random vigilance check which has not been reported or gone undetected despite the Surprise Verifications and the Annual Stock Verifications, then responsibility will be fixed on the members of the respective verification teams for the items verified by those teams and on the Custodian of Stores for any shortage.

5) Monthly check on random basis by the respective custodian as per the provision of Stores Manual and should cover at least 10% of the X Class items (Stock holding value >= Rs. 1 lac & above) and report of discrepancies if any, to be given to HOD(C&M) and HOD(FIN).

   Other details not covered above shall be as per Accounts Circular No. 3.19 dated 22/09/2008.

   This is being issued with the approval of CMD.

(D.K. DUTTA)
ADDL GM(CC&M)

DISTRIBUTION:

HEAD OF PROJECTS/ C&M / O&M /FINANCE

Singrauli /Korba/Ramagundum/Farakka/Rihand/Vindhyachal / Talcher Super/Talcher Thermal/Kahalgaon/Barh/Auraiya/Anta/Faridabad/Dadri(Gas)/Dadri(Thermal)/ Badarpur /FGUTPP/Tanda/Kaldam/TapovanVishnuGarh/Sipat/Kawas/Gandhar/RGCCPP/Simadri/Bongaigaon/Mouda/Solapur/Kudgi/Lara/Darlipalli/Gadarwara/ Khargone / Telengana / Pakri Barwadhi /Kerendari / Chattibariatu/ Talaipalli / Dulanga /North Karan pura/ Ananthapuramu / Portblair/Rajgarh/Mandsour / Bhadla / Rajmol

HEADS OF C&M - ER-I/ER-II/NR/NCR/SR/WR-I/WR-II/Hydro Region / CM&CW Chennai / Kolkata / Bangalore / Jaipur / Chandigarh / Ranchi / CPC

For information pl.

REDs:- ER-I/ER-II/NR/NCR/SR/WR-I/WR-II/Hydro Region / Mining

ED(CP)/ED(F)/ED(HR)/ED(COMML)/ ED (FM)/ ED (ENGG.)/ ED (OS)/ED(VIG)
GMI/C(IT)/GM(ENV.MGT)/ED(CC&M)/CompanySecretary/ED(CM&CW)/ ED(Consultancy)

ES TO CMD /D(F) /D(T) /D(HR) / D(Proj.) / D (Operation) / D(COMM)

4.4.16 VARIOUS FORMATS OF STOCK VERIFICATION

Note: As per Finance Circular No.3.19, all the formats to be followed.

NTPC Limited

Accounts Circular No. 3. 19

Date: 22nd September 2008

Sub: **Procedure for Physical Verification of Fixed Assets/Stores & Spares**

Sub-section (4A) of Section 227 of the Companies Act, 1956 requires the Statutory Auditors to offer their comments on the system of physical verification of assets, stores and spares prevalent in the Company as per the provisions of Companies (Auditors' Report) Order, 2003 (CARO). During audit of accounts, the statutory auditors of the Company observed that units are following different practices & procedures in respect of engagement of the physical verifiers, time schedule of the physical verification and criteria adopted in selection of the physical verifiers engaged.

In order to streamline and ensure uniformity in procedure for engagement of the physical verifiers, physical verification procedure in respect of fixed assets (movable and immovable)/stores & spares and to take care of observations of Statutory Auditors, following guidelines are issued for implementation by units:

A. Objectives of physical verification

The main objectives of physical verification of fixed assets (movable and immovable)/ stores and spares are to ensure that:

i. The physically verified items agree with the description and specification shown in the Priced Stores Ledger (PSL)/Fixed Asset Register;

ii. Physically verified balances are reconciled with the balances appearing in the books;

iii. Excesses or deficiencies, if any, noticed on such verifications are properly investigated and accounted for in the books of accounts; and

iv. The statutory auditors are satisfied with the system and give favourable comments regarding the existence of effective system of physical verification of assets, stores and spares in their report under CARO, 2003.

B. Coverage of Physical Verification

All items of stores & spares, whether in central stores or located elsewhere and items of fixed assets should come under the purview of physical verification, unless specifically excluded in these guidelines. For this purpose, assets have been classified into the following categories:

1. Land
2. Fixed assets (other than land) including Buildings, Plant & Machinery and MBOA items
3. Capital work-in-progress and materials issued to outside agencies
4. Construction stores
5. Consumable stores and spares
6. Scrap material

C. Engagement of Stock Verifiers

For engagement of the physical verifiers the following guidelines are to be followed by the accounting units:

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i. The firms of Chartered/Cost Accountants may only be engaged for carrying out the work of physical verification of fixed assets/stores & spares at all the accounting units except in case of smaller accounting units where the same may be done by a committee, comprising members from Finance, Human Resources (HR) and the concerned executing department, duly approved by the Head of the unit.

ii. For this purpose, the Finance Department of the units shall maintain a panel of eligible firms of Chartered/Cost Accountants located nearby, which shall be updated from time to time with the approval of Head of the unit.

iii. In no case, tenders should be invited for engagement of the firms of Chartered/Cost Accountants for the work of physical verification of fixed assets/stores and spares.

iv. A committee comprising of representatives of Finance, Contracts and HR/Stores, as the case may be, appointed by the Head of the units, shall finalise the terms and conditions for the physical verification engagements and shall submit the report for approval of the Head of the unit.

v. Details in respect of the panel of firms of Chartered/Cost Accountants short listed by the units and a copy of the award letter containing the item-wise rates of different items of physical verification work shall be sent to Corporate Internal Audit Department within one month from the date of award.

vi. The firms of statutory/internal auditors of any of the units for a financial year shall not be considered for engagement as physical verifier in the same financial year. The list of statutory/internal auditors appointed for the financial year will be circulated to the accounting units by Corporate Internal Audit Department by the end of August every year.

vii. A firm of Chartered/Cost Accountant which has been engaged as physical verifier at one of the accounting unit shall not be engaged as physical verifier at any other accounting unit of the Company in the same financial year. An undertaking to the effect that they have neither been appointed as physical verifiers or internal auditors at any other unit of NTPC nor they will accept any such appointment in any other unit of NTPC in the same financial year shall necessarily be obtained from the firm of Chartered/Cost Accountant before their engagement as physical verifier.

iii. The engagement of the physical verifiers shall be made on a year to year basis keeping in view their past performance. However, no firm of Chartered/Cost Accountant shall be engaged in the same unit for more than three consecutive years. Where the physical verification work has been divided among more than one agency, the work areas/engagement of the agencies should be interchanged in successive years, as far as possible.

ix. Timely action shall be taken for engagement of physical verifiers to ensure execution and completion of the work as per schedule. Letters of Award for all physical verification works due in respective financial year shall be placed by September so that work is completed by January/February and related activities such as investigation of discrepancies and write-off/adjustment in the books of account are completed by the time the annual accounts are finalized.

x. Under no circumstances, the physical verification work should be postponed in any financial year. The detailed programme shall be drawn up keeping in mind the procedure as laid down in Section "E" below. In case of any difficulty, Corporate Internal Audit Department may be contacted.

xi. Physical verification of fuel stock (coal, oil and naptha) shall continue to be done as per the procedure/guidelines circulated by Corporate Fuel Management Group from time to time.

D. Frequency of Physical verification of Various Classes of Assets

For various classes of assets, the following guidelines shall be followed by the accounting units.

1. Land

Land shall be physically verified once in three years preferably by a committee comprising of representatives from HR, Law and Finance Departments. Land under physical possession of the Company shall be reconciled with land area shown in the records of HR and in the Fixed Assets Register. Further, status of all legal formalities for mutation of land in the Company's name shall also be verified and reported.

2. Fixed Assets other than land, (incl. Buildings, Plant & Machinery and MBOA items)

(i) All Miscellaneous Bought Out Assets (MBOA) covering furniture, office equipment, vehicles, canteen equipment, hospital equipment, computers & peripherals, etc. are to be verified on rotational basis, ensuring that all items are physically verified at least once in two years.

(ii) All plant & machinery (whether movable or immovable) and buildings are to be verified on rotational basis, ensuring that all items are physically verified at least once in three years.

Fixed assets are to be verified with reference to Fixed Asset Register of Finance Department, Departmental Register of the concerned custodian department and physical quantity available at each location. The following is the reference list of departments for the custody of various asset items:

Sl	Department	Items of Asset
1	Human Resources Department	Buildings, Furniture, Office equipment, welfare and guest house items, canteen equipment, etc.
2	Auto base	Vehicles, Cranes, Ambulance, etc
3	Medical Department	Hospital Equipments
4	Construction Department	Tools & plants and construction equipments
5	IT/Communication Department	Computers, Servers, Printers, Scanners, Projectors and Communication equipments
6	O&M Department	Plant and machinery including locos & wagons

3. Capital Work-in-Progress/Materials issued to outside agencies

Items of capital works-in-progress and materials issued to outside agencies on loan/free of cost basis or for fabrication/repairs/reconditioning need not be physically verified. However, confirmation of the material being available with the agencies may be obtained once in a year in line with confirmations being obtained for advances/liabilities.

4. Construction Stores

Construction stores are to be verified every year.

5. Consumable Stores & Spares

Consumable stores & spares are to be verified every year.

6. Scrap Materials

As per the accounting policy of the company, scrap, other than steel scrap, is accounted for as and when sold and therefore is not reflected in the books of account. Steel scrap is to be physically verified each year.

E. Guidelines for Physical Verification

The guidelines for physical verification in respect of items of fixed assets and stores & spares are as under:

I. Fixed Assets

The following guidelines are to be followed by the units for physical verification of fixed assets:

a. To facilitate the verification process, the asset holder will make proper arrangement for labour, attending staff and cranes etc.

b. In case of fixed assets, the details regarding quantity and description of individual assets shall be taken from the fixed asset register. While verifying the fixed assets, the physical verifier shall also examine the utilisation of the assets in case of obsolete/idle assets and mention the same in his report.

c. Generally, prior notice for physical verification of fixed asset is to be given to the asset holders, except for surprise verification(s). The instructions to the physical verifier should be clearly laid down in the engagement letter to enable the verifier to understand the work, nature of the assets to be verified, area/location and custodian of the same. GR/IR date or the capitalisation date of the fixed assets may be taken as the cut-off point. After giving a day's prior notice to the asset holder, the verifier should select the items of the class he desires to verify next day. Further, it must be ensured that no MBOA are pending capitalisation. Also, the items appearing in the CWIP must be reviewed. The presence of the asset custodian or his representative is a must during verification. General guidelines for physical verifiers are indicated in Annexure A. Other detailed instructions regarding checking etc., if any, may be issued by the Head of Asset Custodian /HOD (HR) depending upon local conditions.

d. List of assets indicating the asset number, asset description, cost centre, personnel number and the inventory number to be verified will taken from SAP as given in Form No. 2 and will be given to the physical verifier. The item will then be counted and the particulars of the same will be recorded in the 'Fixed Assets Verification Sheet'.

e. Assets which were found during the process of physical verification are to be updated in the SAP system. For this purpose the field 'Last Inventory On' field must be updated with the date of physical verification report.

f. The physical verifier shall also certify the availability of items for which provision for shortages was made in earlier years and which have been found during the current year in the physical verification report.

g. The discrepancy report would be taken out from the system as indicated in Form no 2 by sorting the data as 'Blank' on field 'Last Inventory on'.

h. Provision for shortages in fixed assets pending investigation is to be made by considering the net block of the related assets shown in the books as at the date when the assets was found short in Form No.4.

i. The physical verification reports shall be submitted to the Head of Unit with a copy to HOD (F) and Head of Asset Custodian /HOD (HR) as the case may be.

II. Stores/Stock

The following guidelines are to be followed by the units for physical verification of items of stores/spares:

a. To facilitate the verification process, the stores/stock holder will make proper arrangement for labour, attending staff and cranes etc.

b. For the purpose of stock verification programme, the stores/stock should be categorised as per each inventory category viz. 'X', 'Y', 'Z' i.e. category 'X' represents high value items, category 'Y' represents intermediate value items and category 'Z' represents low value items of inventory. 'X' category items are to be covered under physical verification each year, 'Y' in every two years and Z in every three years. Accordingly, it shall be ensured that all items of stores/spares are physical verified over a period of three years.

c. Generally, prior notices for physical verification of stores/stock are to be given to the stock holders, except for surprise verification(s). The instructions to the physical verifier should be clearly laid down in the engagement letter to enable the stock verifier to understand the work, nature of the stores/spares to be verified, area/location and custodian of the same. During the period of stock verification, regular transactions (issues & receipts) should be suspended as far as possible. However, urgent receipts and issues can continue. It should be ensured that all stocks included under the same stock ledger, though stored at different places, are taken up for verification in one lot. After giving a day's prior notice to the stock holder, the verifier should select the items of the class he desires to verify next day. The presence of the stock holder or his representative is a must during stock verification. General guidelines for stock verifiers are indicated in Annexure A. Other detailed instructions regarding checking and weighment, etc., if any, may be issued by the HOD (Materials) or HOD (HR) depending upon local conditions.

d. The stock holder would take a report indicating the list of material codes from the systems which are required to be verified as per the guidelines given above and provide it to the stock verifier. The format of the report is given in Form no. 1.

e. The stock verifier will note the description, material code and quantity shown in the stock report given in Form No.1. The item will then be counted/measured/weighed as the case may be and the particulars of the same will be recorded in Form no.1. Thereafter, the data will be updated in the system to get 'Stock Discrepancy Voucher Report' as per Form no. 3 from the system. Details in respect of mode of measurement are to be indicated in the remarks column of the Field Book in Form no.1.

f. The physical verifier shall also certify the availability of items for which provision for shortages was made in earlier years and which have been found during the current year in the physical verification report.

g. The stock verified by the physical verifier would be updated in the system through the process of count/recount.

h. Provision for shortages in stores/spares pending investigation is to be made by considering its value shown in the books as at the date when the stores/spares were found short. The amount of provision shall also be reviewed and updated by the rates of concerned item available as at the Balance Sheet date.

i. The physical verification reports shall be submitted to the Head of Unit with a copy to HOD (Fin.) and HOD (C&M) or HOD (HR) as the case may be.

F. Scrutiny of stock verification discrepancies and adjustment in the Books of Accounts

All reported discrepancies are to be scrutinised and action taken for write-off/adjustment in the books of account as per the delegation of powers and relevant accounting policy of the Company. While scrutinising the stock verification sheets, it may be ensured that:

i) Explanation recorded against discrepancies represents facts.

ii) They are clear, intelligible and definite.

iii) Independent explanation is furnished against individual discrepancies and that excesses under some items are not adjusted against shortages in dissimilar items. In case of analogous items (where sizes only differ) such adjustments may be considered up to 2% of the total value of stock issued during the year or since the date of last verification, with the approval of the Competent Authority. Any discrepancy of more than 2% must be taken up for investigation.

iv) Cases of large/abnormal differences are reviewed again.

v) Where shortages found are attributed to the neglect of the subordinate in-charge of stores, the cost of missing articles is to be invariably recovered from the concerned party at fault. Proper account of the amounts so recovered should be maintained.

vi) In case of shortages found for the assets, before writing-off the assets the field 'Inventory Note' must be appropriately posted/updated with the reason for write-off.

vii) In the case of stock, the document number of count updated by the stock holder must be posted/updated in Finance.

viii) In case of discrepancies arising as a result of improper classification, the shortages under one item is not set off by compensating improper classification and excess posted under other items.

ix) Receipts and issues of material on loan are properly accounted in the stock registers.

x) In respect of receipts not pertaining to the Company but erroneously received and action taken to return the same to the concerned have been taken.

xi) Information of shortages/excesses is to be recorded in Form No.3 enclosed with these guidelines. The shortages/excesses have to be accounted for manually through FI entry.

G. Disposal of Discrepancy Vouchers

The disposal of stock/fixed assets discrepancy vouchers should be monitored regularly and settled within a period of one year from the date when such discrepancy was noticed.

H. System for monitoring

As specified above, details of the panel of firms of Chartered/Cost Accountants short listed along-with the schedule of item-wise rates agreed with the firm should be sent to Corporate Internal Audit Department on a yearly basis. The status of award letter for engagement of physical verifiers, commencement and completion of the physical verification of different classes of assets should also be included in the monthly MIS reports forwarded to Corporate Finance. Apart from this, the following details with respect to pending Stock/Fixed Assets Discrepancy Vouchers (SDV) shall be included in the quarterly Finance MIS reports forwarded to Corporate Centre:

i. No. of SDVs pending at the end of last quarter.
ii. SDVs issued during the quarter.
iii. Total
iv. SDVs Adjusted/Cleared
    Nil
    Others
v. Balance SDVs pending in numbers and Money Value
    Over 3 months
    Over 6 months (Details of over 6 months may be given)

I. Aspects to be covered in LOAs placed for Physical Verification Assignments

For ensuring uniformity, the following shall be taken care of while issuing award letters for physical verification work:

i. An item based estimate for the job to be carried out may be prepared with reasonable rates commensurate with the work keeping in view the experience gained during past years. However, item-based rates being considered at individual units may preferably be compared with rates being offered at similar and nearby unit(s) so as to obviate wide variation in rates being paid at different units/business areas.

ii. The LOA should clearly mention the estimated contract value, terms & conditions for payment of fee (separately for payment of service tax and education cess thereon if applicable) and should have provision for payments in phased manner linked with actual execution of work (method for reckoning actual quantity verified should also be clearly specified); the LOA should also have provision for statutory deductions such as TDS etc.

iii. Guidelines regarding extent of coverage, scope of work (including the availability of items found short in earlier years), documentation requirements, schedule of completion and the format of reporting should be clearly indicated in the engagement letter.

iv. LOA shall have a clause regarding format of the report. The report of the physical verifiers shall be in accordance with the instructions issued vide Accounts Circular 3.14 dated 28th November 2007.

v. The number of qualified staff/supervisors/partners to be deputed on the job must be clearly indicated in the engagement letter and periodicity of reporting of the progress of work to the Head of C&M/HR/Head of Finance must be indicated.

vi. LOA should mention that compliance with labour and other laws and provision for safety of verifier's staff shall be the responsibility of the firm.

vii. LOA should have a provision for facilities to be accorded by the Company such as office space, provision of trucks, cranes, trolleys, weighing equipment, labour for moving and weighing material etc. Suitable clauses for provision of lodging should be included on need basis.

viii. LOA should have clause for maintenance of confidentiality by the firm of Chartered/Cost Accountants.

ix. Guidelines for stock verifiers and stock holders enclosed at Annexure -A shall form part of the LOA document.

J. Physical verification report to the Statutory Auditors

Physical verification report is to be submitted to the Statutory Auditors for their report under CARO, 2003. Accordingly, units shall ensure the availability of this report along-with all working papers viz. programme of physical verification, exercise carried out by the physical verifier, various working sheets/instructions and detailed verification sheets etc. to the Statutory Auditors as and when demanded by them.

The above circular supersedes System Circular No.82/FA/Sys.Cir/92 dated 08.12.1992, Accounts Circular No. 1.34 dated 2.1.1995, Accounts Circular No.1.70 dated 28.10.1997 and Accounts Circular No.2.85 dated 07.09.2005.

Clarifications, if any may be obtained from Corporate Accounts Group.

(K. Sivakumar)
General Manager I/c (Finance)

NTPC LIMITED
(CORPORATE VIGILANCE DEPTT.)

REF. NO: 01/CVO/2754 Dt. 24.06.2014

Sub: Physical Stock Verification in Stores of Projects/Stations.

Physical Stock Verification is a statutory requirement for Stores of each Station/Project as per Sub Chapter 4.4 of Store Management System Manual. The various methods and frequency of stock verification as per clause 4.4.4 of Store Management System Manual area as follows:

a) Periodical verification once in 2 years for fixed assets.

b) Continuous verification once in a year by external agencies appointed as Auditors. This is conducted by Finance Department who appoint External Agencies as Auditors, as per clause 4.4.10 of Stores Management Manual.

c) Surprise verification as per Clause 4.4.9 is to be done by a Team of two officers nominated by Head of Project/Station consisting of one officer from Finance Department and one from other than Materials Department. This team is mandated to conduct surprise check throughout the year such that 2% of the number of items held in stock are covered. Any discrepancy is to be reported to Head of Project/Station through Head of Finance.

d) Statutory checks by Government Auditors as per clause 4.4.11.

e) Stock Verification through Self check by Custodian of Store.

However despite the above provisions, physical stock verification at Stores is being limited to that conducted by external agencies appointed by Finance Department as Internal Auditors only. Other provisions as per Clause 4.4.9 (Surprise Checks), Clause 4.4.12 (Self Checks) etc. are either completely ignored or done in a casual manner.

As a result, many shortages go undetected for long periods. A few cases have come to light where, just after a few months of physical Stock Verification by external appointed Auditors, shortages have come to light during surprise check by Vigilance Department. Such shortage even after annual Stock Verification by externally appointed Auditors reflects upon their casual approach. Moreover

there is no check on whether such agencies are conducting stock verification with utmost diligence, or not.

Hence there is need to strengthen the existing system of physical Stock Verification.

In view of the above, the following is advised to be implemented immediately:

a) All Head of Projects/Stations may ensure implementation of Clause 4.4.9 of Store Management System Manual related to surprise verification and accordingly, appoint a team to conduct such physical verification as per the said provision.

b) All REDs of respective regions also to nominate at project level, in a similar manner as in clause 4.4.9 of Stores Manual. The team would be assigned to conduct Surprise Stock Verification of specific items of nearby projects/station and not of the same station. For example, a team nominated by RED(North) at Tanda may conduct surprise checks in the nearby station of Unchahar or Singrauli. This would be in addition to the surprise checks as provision clause 4.4.9 of Stock Management Manual.

c) All REDs nominate a group at Regional level, who would identify items for such surprise check based on their criticality, value & pilferage prone nature.

In case any discrepancy is observed during the above surprise checks by the Team appointed at Project level, or Region level, then the matter should be immediately reported to the respective Head of Projects/Stations and the agency who has conducted the annual stock verification should be considered for Banning of Business Dealings.

In case any shortage is found during random vigilance check which has not been reported or gone undetected despite the Surprise Verifications and the Annual Stock Verifications, then responsibility will be fixed on the members of the respective verification teams for the items verified by those teams and on the Custodian of Stores for any shortage.

(M.R.P.RAO)
CHIEF VIGILANCE OFFICER

Distribution:-

1. All HOPs
2. All REDs/ED(HR)

Annexure – A

GUIDELINES TO STOCK VERIFIERS AND STOCK HOLDERS

A. General

i. It should be ensured that PSL is completed up to a particular period/date so that results of physical verification can be examined for making suitable adjustment/action on the date for perusal and approval of the Competent Authority.

ii. Before the actual verification is undertaken, the stockholder should be asked to furnish a certificate that all the postings in respect of Receipts, Issues, Adjustments, etc., have been carried out.

iii. Scales should be carefully adjusted and verified at least once during each day before weighment of any article.

iv. Stock verifiers should also examine material under issue and receipt. If the items under verification happen to be there, he should ensure that covering receipt/issue vouchers have been duly posted.

v. The verifier should particularly examine and report if proper arrangements exist for the safe custody and proper storage of material from unnecessary deterioration due to weather or any other cause.

vi. Any wrong classification of stores and any items of stores for which there has been no demand in the preceding 12 months should be noted and included in the narrative report of verification to be submitted by the verifier.

vii. Any large discrepancies found as a result of stock verifications between the Book balances and the physical balance shall be reported by the stock verifier as an exception report to the controlling officer of the stock holder, who in turn will get it investigated and forward a detailed report thereon to the Head of Unit/Office with a copy to the Head of Finance of the unit/office.

B. Preparation of Stock Verification Field Book/Stock/Fixed Assets Discrepancy Voucher

i. Stock verification sheets of the Field Book for different categories and quantities of stores should be clearly marked.

ii. Entries should be made in verification sheets of the Field Book for every article found in stock whether actual and book balances agree or not.

iii. The verification sheets of the Field Book should be so prepared that all quantities are clearly traceable.

iv. The column ‘Value’ in the Stock Discrepancy Voucher will be filled in by the Accounts Department.

v. Brief remarks regarding mode of physical verification such as ‘Average Weighment, 'counted', 'measurement', ‘Book Balance Accepted should be given in the remarks column against all items that have been verified.

vi. Each folio of the Stock Verification Field Book and Stock/fixed Asset Discrepancy Voucher should be signed by the Stock Verifier, Custodian, Stores Officer-in-charge and the Accounts Officer-in-charge. Stock verification Field Book will not be signed by the Accounts Officer-in-charge.

vii. Stock verification of a new item should be taken up only after the verification of the previous item on hand is completed.

Form No. 1

STOCK VERIFICATION FIELD BOOK

Sheet No:
Department:
Section:
Date of Verification:

Sl. No	Material Code	Material Description	Storage Location/Bin	Unit of Measurement	Ground Balance	System balance	Difference (6-7)	Remarks
1	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**

Signature of Stock Verifier **Signature of coordinating officer of F&A** **Signature of Custodian/Supervisor** **Signature of Stores Officer**

Form No. 2

FIXED ASSET VERIFICATION SHEET

Sheet No:
Custodian Department:
Section:
Date:

Sl. No	Asset No.	Asset Description	Last inventory on	Cost Centre	Location	Personnel No.	Inventory No	Remarks
1	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**

Signature of Stock Verifier **Signature of Custodian / Supervisor** **Signature of Accounts Officer-in-charge**

Form No. 3

STOCK DISCREPANCY VOUCHER

SDV No.
Department:
Section:
Date:

Sl. No.	Matls. Code	Material Description	UM	Verification Date	Ground Balance	System Balance	*Discrepancy		Material Location	Remarks
							Quantity (6-7)	Value		
1	2	3	4	5	6	7	8	9	10	11

Signature of Stock Verifier **Signature of Custodian / Supervisor** **Signature of Accounts Officer-in charge**

Distribution : Original - Material Store Custodian Dept.
I Copy - Accounts (Stores Bill)
II Copy - Stock verifiers copy
III Copy - Master copy

* Excess to be shown as (+) & Shortage to be shown as (-).

Form No. 4

FIXED ASSETS DISCREPANCY VOUCHER

Sheet No:
Custodian Department:
Section:
Date:

Sl. No	Asset No.	Asset Description	Last inventory on	Location	Operating Status	*Discrepancy		Remarks
						Quantity	Value	
1	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**

Signature of Stock Verifier **Signature of Custodian / Supervisor** **Signature of Accounts Officer-in-charge**

* Excess to be shown as (+) & Shortage to be shown as (-).

SUB CHAPTER-4.5

SCRAP & SURPLUS MANAGEMENT

4.5 SCRAP AND SURPLUS MANAGEMENT

4.5.1 DEFINITION

In view of maintenance of huge Inventory for various items like consumables, spares, equipments etc. at different sites, there will be generation of unusable items due to inherent nature of operation and maintenance, loss of self-life, obsolescence etc. These unusable items may be categorized as under:

A. Scrap : Residual material after expiry of life / main use or left over material as waste in the process of completion of recommended operating cycle due to wear and tear.

B. Damaged : Defective, material deteriorated while in stock or damaged during transit and condition beyond repair/ Rectification.

C. Surplus : Excess stock and Low / Nil consumption resulting in non-moving / slow moving items.

D. Obsolete : Technological change for better quality and performance due to modification in system and non-availability in the market, due to change of product design.

E. Expired/Unserviceable: Items having shelf life expired while in Stock.

4.5.2 MATERIAL IDENTIFICATION

To identify each group of materials as defined above, the following procedures are to be maintained.

A. Scrap : These items are no more serviceable neither is it meant for nor for alternative use. These are grouped and codified under Main-Group "OO" and further Sub-group reference code to identify its nature and Class so that value is reflected under such heading for management decision and subsequent action

B. Damaged : The damaged and defective materials beyond repair shall be also declared as scrap. Different types of Scrap items have been listed at 4.5.2(B)

C. Obsolete : Partially used or unused items, which are no longer in usage due to "technological obsolescence with respect to NTPC's requirement shall be treated as Obsolete. In order to reduce the quantum of obsolescence, proper review of the reason before declaring the same is necessary.

D. Surplus : The declaration of surplus should be done to on the Basis of Turn over Ratio. This system or approach become dynamic and build up automatic relation between the actual consumption vis-à-vis stock holdings.

E. Expired : The items which has lost its self life shall be identify by the custody cell and list of the same will be prepared by stores officer and the same shall be handed over to SSIDC for further course of action including approval for write-off.

4.5.3 METHODOLOGY AND GUIDELINES

A. Scrap: The competent authority shall approve (after proper segregation as per classification) the off-cuts, workshop rejection, machinery wastes etc. which are to be returned through MRN to the scrap yard. User department shall return the goods in segregated condition and similar action is to be followed at scrap yard to avoid mix up and current Vol / Value assessment.

B. Obsolete: To improve the performance level of Plant efficiency as well as due to technological advancement / diversion or some other reasons there will be withdrawal / discontinuation of certain materials. Such list will be reviewed and recommended by SSIDC before getting suitably tagged in the INVENTORY module of on-line system.

C. Coal – Mill Rejects: These are to be maintained and identified by O&M and stored at proper location so that disposals can be made on regular basis.

D. Warehousing: The proper recording, stacking, sorting, location, binning etc. shall be the responsibility of a separate custody cell. The MRN will exhibit item code and its respective transactional attributes e.g. weight volume quantity etc. as specified in the scrap schedule. The material condition and its operating life cycle shall be also highlighted wherever possible.

"Code wise" materials shall be sorted out for classification and tagging to avoid mix-up, lot preparation (already surveyed, ready for sale and the other one open for receipt), bin card maintenance etc. Valuable stocks under safe custody and coal mill rejected in specified zone is of prime importance.

4.5.4 MANAGEMENT COMMITTEE

The overall management on this aspect needs to be controlled and monitored by senior people who will be empowered in taking decision in declaring the types of goods and subsequent disposal action. As these are company's assets (working capital) and have economic value, correct analysis and its appropriate implementation are of prime importance.

Surplus & Scrap Identification & Disposal Committee (SSIDC): A standing committee duly nominated by respective HOD and constituted by head of the project. Shall be operative for 3 years and reviewed thereafter.

The body shall comprise of one member each (not below rank E6) from (a) Finance (b) User Department / O & M (c) Site Materials and (d) Workshop. The Convener is to be the member from Site Materials.

4.5.5 FUNCTION OF SSIDC

All the items listed in Para 4.5.1 shall be examined reviewed by SSIDC as per the following basis:

A. Identification of unserviceable materials

B. Grouping of unserviceable

C. Decision on items, which can be salvaged by way of repairing, reconditioning etc.

D. Instruction on Disposal and its modality

E. Reserve price fixation & STA, if required, based on nature of items, market Condition, Location of the projects.

F. To meet at least on quarterly basis, which will be initiated and conducted by the convener i.e. the representative of Materials Department and a report to this effect shall be submitted to HOP.

G. Should ensure prevailing Govt. regulation for sale of scraps e.g. a) used oil to be sold to re-refiners (b) used batteries to the registered reprocessor/Buy back to Vendor

4.5.6 DISPOSAL MODALITY

The materials management wing shall be totally responsible in taking disposal action for

A. Reserve Price of Scrap lot recommended by SSIDC and approved by HOP.

B. Surplus lot as declared after explaining the scope of utilizing at other sites, returning to vendors, alternate substitute etc.

C. Coal Mill rejects normally on continuous basis based on running contract of the site.

4.5.7 PROCEDURAL ASPECTS

The site SSIDC shall be solely authorized to decide the "Reserve Price" after physical inspection. This fixed rate / price shall be kept confidentially in an envelope as guideline towards accepting / rejecting the offers / tenders etc. The SSIDC is empowered to prescribe the disposal mode and forward the recommendation to competent authority directly. This permission for disposal is to be duly communicated to Finance Department and stocks in charge for early disposal action. For deciding the reserve price, SSIDC shall consult the previous sale prices / MSTC bulletin / Newspaper followed by market survey. Any assumption may be recorded by SSIDC.

4.5.8 SALE OF SCRAP AND SURPLUS ITEMS

The modus operandi of sale shall be either by tender or by auction. Normally in case of heavy machinery it is to be processed though advertisement in papers.

A. Sale by E-Auction

Sale of scrap by e-auction may be conducted, following the Procedural guideline, for e- Auction

B. Sale of Imported Items (Other than Scrap)

The agreed guidelines shall be in line with corporate guidelines but subject to the procedure of current Import Policy. Precautions are to be taken for materials where IGST is applicable and other exemptions were taken along with declaration etc.

C. Sale by Auction

i) The transaction under this category shall be as per NTPC standard format for general conditions. Generally, such method is adopted for items whose reserve price /lot is below Rs. 50000/- and total lot value combined is less than Rs. 15 lakhs.

ii) There should be facilities for Quick disposal and delivery of goods and less clerical work as compared to tendering etc. are involved.

iii) Necessary administrative steps are to be ensured with regard to physical visits, assessment of lot, entry pass including nominal fee, sitting arrangement etc. for participants in the auction.

iv) The auction shall be conducted by the seller and conditions will be as per NTPC format but wherever needed may be suitably modified with respect to local conditions.

However, these modified clauses are to be scrutinized and approved by legal department.

v) The execution to the auction process shall be supervised by authorized stores representatives who can accept the bid in consonance with the representative / representatives of the accounts wing.

vi) Proper Register is to be maintained indicating the relevant details of the auction.

vii) If the best available bid is lower than the reserve price, the supervising officer is allowed to reduce the Reserve price by 15% maximum to affect the sale of the lot under auction. Bid deposit amount is to be submitted on the next day of acceptance of the bid and suitably recorded.

viii) The goods are to be delivered only against delivery order after full payment. Stores officer shall witness the delivery of goods sold in presence of Security personnel.

ix) The relevant sales tax amount is to be collected by NTPC and deposited with the state government or otherwise as applicable.

D. Sale by Tender

Normally we do the Scrap Disposal through M/s.MSTC Ltd/mjunction services Ltd., if not do through MSTC/ MJUNCTION due to any reason,

Then Sale it through Manual Tendering.Terms & Condition of such tendering will be as per the individual site own requirement.

4.5.9 REPORTS RELATED TO SCRAPS &SURPLUS DISPOSAL

Relevant Reports will be generated from SAP.

4.5.10 SELLING AGENCY AGREEMENT

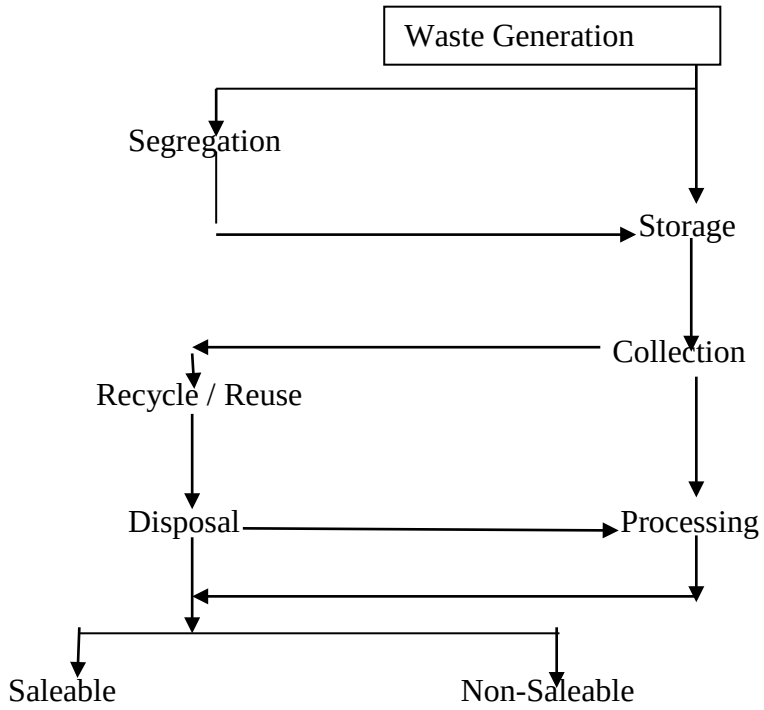
NTPC has entered in long term agreement with MSTC Ltd/mjunction services Ltd. for disposal of Scrap and rejected/condemned/obsolete secondary arising (ferrous and non-ferrous) as well as surplus obsolete stores, equipments and misc. articles and e-waste etc. including Fly Ash,Cenosphere through MSTC/MJUNCTION'S Auction web site. The copy of latest agreement is as per Annexure –V & VI

4.5.11 WASTE MANAGEMENT

The global concept of each industry is to monitor and control each type of "Waste" and is getting prime importance in view of its money value and environment effects. This exercise, in fact, allows proactive actions by way of handling the total cycle as under to handle wastes.

- Identify locations where waste/Scrap is generated
- Segregate waste/scarp at regular intervals
- Streamline collection techniques
- Separate storing of Metal, Plastics, Papers etc. particularly Scrap wood
- Introduce colour bin/basket/trolley to put different type, size or metal etc.
- Isolate organic and inorganic materials
- Codify all types of Scrap and prepare Separate MRN for tax implication
- SSIDC/Contractor should properly declare quantity, Volume, Weights etc.

The workflow in this area is depicted below:



4.5.12 E-WASTE MANAGEMENT, DISPOSAL AND HANDLING POLICY

Responsibility of identification and disposal action of all e-Waste items lies with the custodians, who are maintaining the equipments.Engineer-In-Charge of the equipment i.e. HOD (IT) in Stations/Projects/RHQ/CC for all IT related equipment and H0D(C&1) in stations for all C&I related equipments. Details of E-Waste disposal mentioned in Corporate IT Circular 02/14 dated: 24/06/2014(**Annexure-I)**

Annexure-I

NTPC LTD
INFORMATION TECHNOLOGY DEPARTMENT
CORPORATE CENTRE

CORPORATE IT CIRCULAR NO. 02/14

Ref: CCIT-PLCY-001 **Dtd: 24/06/2014**

Sub: e-Waste management, handling & disposal Policy

1. Responsibility of identification and disposal action of all e-Waste items lies with the custodian/who are maintaining the equipment/Engineer-In-Charge of the equipment i.e. HOD(IT) in Stations/Projects/RHQ/CC for all IT related equipment and HOD(C&I) in stations for all C&I related equipments.

2. Identification and initiation of disposal action should be carried out by all (mentioned in sno 1) every one eighty days so that e-Waste is not piled up in different stores/ location.

3. For disposal of PC/laptop & Peripherals, norms already defined in HR policy circular no. *CHRC No. 615/2007 dated 29-03-2007 (System for disposal of old Personal computer/Laptop and Peripherals)* will continue to apply.

4. Disposal of the items such as Walkie-Talkie/wireless set etc will be taken up after compliance of guidelines issued by government organization WPCW, DoT under Ministry of Communication and Information Technology.

5. All NTPC data available in such systems should be destroyed before declaring it as e-Waste.

6. e-Waste once identified should be disposed expeditiously as soon as possible. Depending upon the lot size , the SSIDC of station/office may decide by **recording** whether to arrange for disposal or wait for the lot to be further augmented by adding subsequent deposits of e-Waste as generated in the station/office.

7. For quick disposal, such items may be disposed off without fixing any reserved price through scrap disposal committee.

8. e-Waste should be channelized through MSTC to authorized collection centre(s) or registered dismantler(s) or recycler(s) or is returned to the pick-up or take back services provided by producers.

1

9. The record of e-Waste generated should be maintained in Form 2 (Attached) of GOI notification and to be made available for scrutiny by the State Pollution Control or Pollution Control Committee concerned.

This has the approval of competent authority.

RK Maharana
AGM(IT-CC)

Distribution: All HOP's/All RED's/ALL ED's/CFO&Head(EMG)/CO SECY
Copy to: STA to CMD/D(COMM)/D(O)/D(PRO)/D(T)/D(HR)/D(F)/CVO
ED(IT)
GM(IT)

For Kind Information Please

2

4.5.8D PROCEDURAL GUIDELINES FOR DISPOSAL FOR SCRAP THROUGH E-AUCTION

A) SALE BY E-AUCTION:

The sale of scrap by e-auction may be conducted considering the following aspects:

Auction fall under competitive bid method adopted in pricing/strategy. In auction, there can be successive round of bids. The basic requirement for e-auction will be an e-mail ID and access to internet – auction i.e. web enabled auction system and can be visualized as a virtual representation of physical auction. The disposal of scrap, salvaged stores etc. through e-auction is intended to provide efficient and shortest possible total cycle time of disposal.

B) DETAILS OF SYSTEMS OF E-AUCTION

i) The NTPC projects (i.e. principal/seller) will individually register themselves as e-auction customers on-line with the auctioneer (MSTC Ltd. /MJUNCTION SERVICES Ltd.) MSTC Ltd. shall provide each NTPC project with a unique user-ID and password.

Seller's Registration Form format of MSTC Ltd. is enclosed in Annexure –II

ii) The entire auction will be conducted using the web through Internet. Registered buyers (i.e. parties of repute duly registered with MSTC/ MJUNCTION on payment of registration fee for participation in the e-auction) can only log on to the site and enter the auction floor to bid on any item available for sale and any other facilities besides monitoring the auction in real time.

iii) The system encompasses security features to safe guard the interest of NTPC as Seller/Principal. Registered Principals and Buyers can log onto the auction site for any related information besides monitoring the auction in real time.

iv) Users (i.e. Principal, MSTC/ MJUNCTION personnel and bidders) of the auction site will be able to view auction item, bidding history, other details and status. The system will have in build security features for safeguarding the interest of the bidders and sellers.

v) Items for auction will be posted on the web. Both NTPC and MSTC / MJUNCTION personnel can do posting.

vi) All the communications with the registered buyer/customers regarding prior information of e-auction and post e-auction information regarding sale letter, payment advice etc. will be essentially done through e-mail by MSTC/ MJUNCTION.

vii) Every auction will be prepared with a pre-determined opening and closing date and time, which will be duly intimated to Bidders by MSTC/ MJUNCTION. Bidding will be accepted within that fixed period provided there is no continuation of bidding at that point of time. While publication and ensuring adequate participation in the e-auction will be the responsibility of MSTC/ MJUNCTION.

viii) In case of any customer default in keeping their commitments regarding payment etc. their Registration fee deposited with MSTC/ MJUNCTION will be forfeited and their User ID will get de-activated preventing them from participating in e-auction any further.

ix) The Reserve Price (RP) duly fixed by SSIDC and approved by Head of Project/Station has to be fed into the system by NTPC prior to the actual auction. This system has been designed by MSTC/ MJUNCTION in the E-auction portal in such a way that apart from NTPC as principal, or their authorized representative having user ID and password, no one including MSTC/ MJUNCTION will be able to view, modify, or feed in the Reserve Price. HOP shall nominate the authorized representative for uploading the same.

x) Once the auction is closed, the system will automatically confirm if the highest price received is equal to or above the Reserve Price (RP) and send e-mail to successful bidder under intimation to Principal (NTPC) as well as auctioneer (MSTC/ MJUNCTION).

xi) The unsuccessful lots will be referred to Principal by the system for consideration if the highest bid received fall within the scope of STA (Subject to Approval), which again will have to be injected to the system prior to e-auction. However, at the close of the auction, if the bidders have not met the Reserve Price, the seller may not be obligated to sale.

xii) On completion of the auction, EMD/Bid Deposit (10% for e-auction) against acceptance of bid shall be obtained from successful bidders by MSTC/ MJUNCTION, which shall be adjusted towards the cost of material in the last and final installment, as per the terms of Selling Agency Agreement between MSTC/ MJUNCTION & NTPC.

In addition, the seller is to collect taxes and duties levied by the statutory authorities of different states and Central Govt. wherever required and pay to the Government.

In case of disposal of imported items, stores officer will observe the provisions of the current Import Policy.

C) SALIENT POINTS FOR SALE OF SCRAP THROUGH E-AUCTION

i) The sale by e-auction may be adopted for all economic lots.

ii) Auctioning authority will facilitate physical inspection of the lots by the bidders.

iii) The e-auction shall be conducted as per the General Terms and condition (GTC) of the sale through e-auction as finalized with MSTC is enclosed at Annexure –III.

iv) MSTC shall take care of Principal's Privacy in line with MSTC's laid down privacy policy (Annexure –IV)

v) Following are some of the control mechanism/aspect the system will exercise.

a. Bids above the current bid will only be accepted.

b. By default, minimum bid value is Rs.1/-

c. E-auction should close on fixed date and time provided there is no bidding continuing at that point of time.

d. No bid will be accepted after the auction closes including extension, if any.

e. No bidder can enter the auction floor if the respective bidder had defaulted in the previous occasion/black listed.

f. Principal/auctioneer (MSTC/ MJUNCTION) cannot participate in the bid.

vi) The particulars of delivery should be recorded in the register such as gate pass no. ground rent recovered if any, under the signature of the Materials Officer.

vii) The material should be delivered only on production of delivery order issued by the auctioneers after full payment.

viii) MSTC/ MJUNCTION shall be entitled to service charges to be agreed upon as per the selling agency agreement with MSTC/ MJUNCTION on the value of materials disposed off to be worked out on the basis of the value of the delivery order (DO) issued. The service charges shall not be payable to the auctioneer on the amount of forfeited security deposit. If any.

ix) Principals (NTPC sites) need to do the following: -

a) Registration on line

b) Getting login and password for any related information besides monitoring the auction in real time.

c) Lot list submission to MSTC/ MJUNCTION for posting in e-auction

d) Fixation of reserve price for confirmation/rejection of bid at auction site.

D) MAIN ACTIVITIES INVOLVED IN E-AUCTION TO BE FOLLOWED BY SITES

i) The list of scrap lots to be disposed off shall be handed over to the "surplus & Scrap Identification & Disposal Committee (SSIDC) by Stores Deptt. For fixation of Reserve Price (RP).

ii) The SSIDC depending upon the nature of lots shall obtain the approval of the competent authority for the following:

a) Fixation of Reserve Price (RP) for fresh lot as well as re-fixation of RP of old unsold lots (wherever necessary).

b) Mode of disposal through e-auction.

c) Disposal of lots for which highest (HI) bid = > Reserve Price (RP).

d) Acceptable percentage of variation (if considered) shall be "subject to approval" (STA), if the highest bid obtained is lower than the RP, (Not to be committed for sale by MSTC/ MJUNCTION directly, if rate is below RP, until NTPC gives clearance).

iii) The approved Reserve Price shall be entered in the e-auction module jointly by Stores & Finance representatives of SSIDC.

iv) The list of identified lots will be forwarded by Stores Department to MSTC/ MJUNCTION for uploading the same in the e-Auction module and fixing the e-Auction schedule specifying the opening and closing date and time of auction.

MSTC/ MJUNCTION shall be required to provide suitable time to bidders to physically inspect the materials or lots. NTPC shall thereafter enter the Reserve Price with their Secret "Password" at least one day in advance prior to the starting date of e-Auction.

v) On the advice of site Stores Deptt., the auctioneer (MSTC/ MJUNCTION) shall carry out e-auction through their web enabled e-auction module of the lots as per the agreed schedule opening and closing date and time for auction.

vi) The successful highest bidder shall be intimated by MSTC/MJUNCTION through e-mail generated by the Web enabled e-auction system, if the highest bid is more than or equal to RP with further advice to deposit 10% of the offered value as Security Deposit. The auctioneer, MSTC/MJUNCTION shall also formally intimate the successful highest bidder about the placement of award and advice to deposit 10% of the offered value.

vii) NTPC shall issue Sale Order to the successful bidder on receipt of 10% of their offered bid value as security deposit, which shall be adjusted towards the cost of material with the last and final lot.

viii) The auctioneer shall forward bid details of all the lots (i.e. lots for which highest bid obtained is more than or equal to Reserve Price, less than the Reserve Price and lots with no response (if any) to head of Stores Deptt. of concerned site for information and further necessary action. On receipt of bid details from the auctioneer for the lots which could not be sold, the nominated SSIDC of the concerned NTPC site may take approval for: -

1) Reviewing the RP where the highest bid received is less than the R.P.

2) Disposal or re-auction of the lot with STA conditions

3) Putting the lot for re-auction, for which no response received, without reviewing RP.

Where STA is opted for, SSIDC shall ensure to communicate the decision within fifteen (15) days from the date of receipt of information from MSTC/MJUNCTION for further action by MSTC/MJUNCTION.

On receipt of full value of the material from the successful bidder, the auctioneer shall release delivery order to the buyer for taking up with NTPC's concerned site for lifting of the materials as per the terms and conditions of NTPC for sale of scrap materials.

ANNEXURE-II

MSTC LIMITED (A GOVT. OF INDIA ENTERPRIZE)

MSTC AUCTION

Seller Registration Form

* Fields are mandatory

Company*
Address:
Street*
City*
Country*
Location*
Email*
Phone*
Fax
Preferred user id*
Password*
Confirm password*
Sales tax registered
Sales tax registration no.
Payment in favour of*
Administrative contact address:
Contact person*
Designation*
Department*
Street*
City*
Pin*
Country*
Billing contact address:
Billing contact*
Designation*
Department*
Street*
City*
Pin*
Country*
Comments
Register as*

Independent

MULTI USER

Annexure-III

GENERAL TEMS & CONDITIONS FOR e-AUCTION

(Presently as agreed with MSTC)

1. WELCOME TO MSTC

This unique service of auction on the net is offered to you, subject to the following General Terms & Conditions of Service ("GTC") which may be updated by us from time to time without notice to you. You can review the most current version of the GTC at any time at: www.mstcauction.com. In addition, when using particular MSTC services, you and MSTC shall be subject to any posted Guidelines or Rules applicable to such services, which may be posted from time to time. All such Guidelines or Rules are hereby incorporated by reference into the GTC. MSTC also may offer other services from time to time, such as that are governed by different General Terms & Conditions of Services.

2. DESCRIPTION OF SERVICE

You also understand and agree that the Services may include advertisements and that these advertisements are necessary for MSTC to provide the Service. Unless explicitly stated otherwise, any new features that augments or enhance the current Service, shall be subject to the GTC.

You are responsible for obtaining access to the Service and that access may involve third party fees (such as Internet Service provider or airtime charges.) You are responsible for those fees. In addition, you must provide and are responsible for all equipment necessary to access the Service.

You must be at least 18 years of age to access and view.

3. YOUR REGISTRATION OBLIGATIONS

In consideration of your use of the Service, you agree to: (a) provide true, accurate, current and complete information about yourself as prompted by the Service's registration form (such information being the "Registration Data") and (b) maintain and promptly update that Registration Data to keep it true, accurate, current and complete. If you provide any information that is untrue, inaccurate, not current or incomplete or MSTC has apparent / reasonable grounds to suspect that such information is untrue, inaccurate, not current or incomplete.

MSTC has the right to suspend or terminate your account and refuse any or all current or future use of the Service (or any portion thereof). MSTC is concerned about the safety and privacy of all its users.

4. MSTC PRIVACY POLICY

Registration Data and certain other information about you is subject to our Privacy Policy. For more information, see our full privacy policy **at MSTC Privacy Policy**.

5. MEMBER ACCOUNT, PASSWORD AND SECURITY

You will receive a password and account designation upon completing the Service's registration process. You are responsible for maintaining the confidentiality of the password and account, and are fully responsible for all activities that occur under your password or account. You agree to (a) immediately notify MSTC of any unauthorized use of your password or account or any other breach of security, and (b) ensure that you exit from your account at the end of each session. MSTC cannot and will not be liable for any loss or damage arising from your failure to comply with this Clause.

6. MEMBER CONDUCT

You understand that all information including date, text software, photographs, graphics, messages or other materials ("Content"), whether publicly posted or privately transmitted, are the sole responsibility of the person from which such Content originated.

You agree to not use the Service to:

a. Upload, post, email, transmit or otherwise make available any Content that is unlawful, harmful, threatening, abusive, harassing, tortuous, defamatory, vulgar, obscene, libelous, invasive of another's privacy, hateful, or racially, ethnically or otherwise objectionable,

b. Harm minors in any way.

c. Impersonate any person or entity, including, but no limited to, a MSTC official, forum leader, guide, host, falsely state, or otherwise misrepresent your affiliation with a person or entity.

d. Forge headers or otherwise manipulate identifiers in order to disguise the original of any Content transmitted through the Service.

e. Upload, post, email, transmit or otherwise make available any Content that you do not have a right to make available under any law-or under contractual or fiduciary relationships (such as inside information, proprietary and confidential information learned or disclosed as part of employment relationships or under nondisclosure agreements).

f. Upload, post, email, transmit or otherwise make available any Content that infringes any patent, trademark, trade secret, copyright or other proprietary rights ("Right") of any party.

g. Upload post, email, transmit or otherwise make available any unsolicited or unauthorized advertising, promotional materials, "junk mail," "spam, "chain letters," pyramid schemes," or any other form of solicitation, except in auction related areas that are designated for such purpose.

h. Upload, post, email, transmit or otherwise make available any material that contains software viruses or any other computer code, files or programs designed to interrupt, destroy or limit the functionality of any computer software of hardware or telecommunications equipment.

i. Disrupt the normal flow of dialogue, or otherwise act in a manner that negatively affects other user's ability to engage in real time exchanges.

j. Interfere with or disrupt the Service or servers or networks connected to the Service, or disobey any requirement, procedures, policies or regulations of networks connected to the Service.

k. Intentionally or unintentionally, violate any applicable local, state, national or international law.

l. "Stalk" or otherwise harass another. or

m. Collect or store personal data about other users.

You acknowledge that MSTC does not pre-screen Content, but that MSTC and its designees shall have to right (but not the obligation) in their sole discretion to refuse or move any Content that is available via the Service. Without limiting the foregoing, MSTC and its designees shall have the right to remove any Content that violates the GTC or is otherwise objectionable. You agree that you must evaluate, and bear all risks associated with, the use of any Content, and in all other parts of the Service.

You acknowledge and agree that MSTC may preserve Content and may disclose. Content if required to do so by law or in the good faith believe that such preservation or disclosure is reasonably necessary to: (a) comply with legal process; (b) enforce the GTC; (c) respond to claims that any Content violates that rights of third parties. or (d) protect the rights, property, or personal safety of MSTC, its users and the public.

You understand that the technical processing and transmission of the Service, including your Content, may involve (a) transmissions over various networks. And (b) changes to confirm and adapt to technical requirements of connecting networks or devices.

7. CONDITION OF GOODS

7.1 The goods are sold as and where they lie, on as is where basis, the whole of the lot / lots is shall be taken from the site of accumulation with all faults and errors in description. Otherwise, the quantities, qualities, size or sizes, measurement, numbers and weights as stated in the auction floor and or in any delivery documents are only approximate and no guarantee or guarantees shall be implied. The goods are sold on the specific assumption that whether the bidders have inspected the lots or not the principal of Caveat-emptor will apply. No complaint will be entertained after sale.

7.2 Quantities made in the lot are approximate and MSTC holds out no warranty as regards the quantity and fitness of the goods for any particular purpose. The value paid in auction is for the approximate quantity. Proportionate value for the quantity failing short in a lot at the time of delivery will be refunded to the buyer. Any quantity found excess in a lot over the approximate quantity mentioned in the auction floor will have to be taken by the buyer after depositing the proportionate amount along with the final installment. In the event the materials are found in excess of the materials, specified in the sale order, the buyer will be allowed to deposit the balance amount within a reasonable time as may be determined by the seller in his sole and absolute discretion from the date of the incident of the removal as mentioned in the sale order, failing which the buyer shall deposit such Balance value with ground rent at the same rate mentioned elsewhere in the Terms & Conditions of the e-auction.

8. SPECIAL ADMONITIONS FOR INTERNATIONAL USE

Recognizing the global nature of the Internet, you agree to comply with all local Rules regarding online conduct and acceptable Content. Specifically, you agree to comply with all applicable laws regarding the transmission of technical data exported from INDIA or the country in which you reside.

9. CONTENT SUBMITTED OR MADE AVAILABLE FOR INCLUSION ON THE SERVICE

MSTC does not claim ownership of Content you submit or make available for inclusion on the Service.

However, with respect to Content you submit or make available for inclusion on publicity accessible areas of the Service, you grand MSTC the following worldwide, royalty free and non-exclusive license (s), as applicable.

- With respect to Content you submit or make available for inclusion on publicly accessible areas of MSTC, the license to use, distribute, reproduce, modify, adapt, publicly perform and publicly display such Content on the Service solely for the purpose of providing and promoting the specific purpose to which such Content was submitted or made available. The license exists only for as long as you elect to continue to include such Content on the Service and will terminate at the time you remove or MSTC removes such Content from the Service.

- With respect to photos, graphics, audio or video you submit or make a available for inclusion on publicly accessible area of the Service, the license to use, distribute, reproduce, modify, adapt, publicly perform and publicly display such Content on the Service solely for the purpose of which such Content was submitted or made available. This license exists only for as long as you elect to continue to include to such Content on the Service and will terminate at the time you remove or MSTC removes such Content from the Service.

- With respect to Content other than photos, graphics, audio or video you submit or make available for inclusion on public accessible areas of the Service other than MSTC, the perpetual, irrevocable and fully sub licensable license to use, distribute, reproduce, modify, adapt, publish, translate, publicly perform and publicly display such Content (in whole or in part) and to incorporate such Content into other works in any format or medium now know or later developed.

"Publicly accessible" areas of the Service are those areas of the MSTC network of properties that are intended by MSTC to be available to the general public.

10. INDEMNITY

You agree to indemnify and hold MSTC, and its subsidiaries, affiliates, agents, co-branders or other partners, and employees, harmless from any claims or demand, including reasonable lawyers' fees, made by any third party due to or arising out of Content you submit, post, transmit or make available thought the Service, your use of the Service, your connection to the Service, your violation of the GTC or your violation of any right of another.

11. NO RESALE OF SERVICE

You agree not to reproduce, duplicate, copy, sell, resell or exploit for any commercial purpose, any portion of the Service, use of the Service, or access to the Service.

12. GENERAL PRACTICES REGARDING USE AND STORAGE

You acknowledge that MSTC may establish general practices and limits concerning use of the Service. You further acknowledge that MSTC reserves the right to change these general practices and limits at any time, in its sole discretion, with or without notice.

13. MODIFICATIONS TO SERVICE

MSTC reserves the right at any time and from time to time to modify or discontinue, temporarily or permanently, the Service (or any part thereof) with 15 days' notice. You agree that MSTC shall not be liable to you or to any third party for any modification, suspension or discontinuance of the Service provided such notice have been given to you.

14. TERMINATION

You agree that MSTC, in its sole discretion, may terminate your password, account (or any part thereof) or use of the Service, and remove and discard any Content within the Service, for any reason, including, without limitation, for lack of use or if MSTC believes that you have violated or acted inconsistently with the letter of spirit of the GTC. MSTC may also in its sole discretion and at any time discontinue providing the Service, or any part thereof, with prior notice of 15 days.

You agree that any termination of your access to the Service under any provision of this GTC may be effected without prior notice, and acknowledge and agree that MSTC may immediately deactivate or delete your account and all related information and files in your account and /or bar any further access to such files or the Service. Further, you agree that MSTC shall not be liable to you or any third party for any termination of your access to the Service.

15. LINKS

The Service may provide, or third parties may provide, links to other World Wide Web sites or resources. Because MSTC has no control over such sites and resources, you acknowledge and agree that MSTC is not responsible for the availability of such external sites or resources, and does not endorse and is not responsible or liable for any Content, advertising, products, or other materials on or available from such sites or resource.

You further acknowledge and agree that MSTC shall not be responsible or liable, directly or indirectly, for any damage or loss caused or alleged to be caused by or in connection with use of or reliance on any such Content, goods or services available on or through any such site or resource.

16. MSTC'S PROPRIETARY RIGHTS

You acknowledge and agree that the Service and any necessary software used in connection with the service ("software") contain proprietary and confidential information that is protected by applicable intellectual property and other laws. You further acknowledge and agree that Content contained in sponsor advertisements or information presented to you though the Service or advertisers is protected or will be protected by copyrights, trademarks, service marks, patents or other proprietary rights and laws. Except as expressly authorized by MSTC or advertisers, you agree not to modify, rent, lease, loan, sell, distribute or create derivative work based on the Service or the Software, in whole or in part.

You agree not to access the Service by any means other than through the interface that is provided by MSTC for use in accessing the service.

17. DISCLAIMER OF WARRANTIES

You expressly understand and agree that:

a. Your use of the service is at your sole risk. The service is provided on an "as is" and "as available" basis. MSTC expressly disclaims all warranties of any kind. Whether express or implied including, but not limited to the implied warranties of merchantability, fitness for a particular purpose and non-infringement.

b. MSTC makes no warranty that (i) The service will meet your requirements, (ii) The service will be uninterrupted, timely, secure, or error – free, (iii) The results that may be obtained from the use of the service will be accurate or reliable, (iv) The quality of any products, services, information, or other material purchased or obtained by you through the service will meet your expectations.

c. Any material downloaded or otherwise obtained through the use of the service is done at your own discretion and risk and that you will be solely responsible for any damage to your computer system or loss of data that result from the download of any such material.

d. No advice or information, whether oral or written, obtained by you from MSTC or through or from the service shall create any warranty not expressly stated in the GTC.

e. Time definition clarity & responsibility (i) Time for all-purpose in the conduct of the auction shall denote the time as registered in the MSTC e-auction system. The time as displayed by the system shall for all purposes be final and binding. (ii) All communication shall be deemed to have been complete as against the buyer/ seller as soon as they enter the respective part's system resources. For the purpose, the responsibility of maintaining the system's resources at the party's end shall be that of the party concerned.

18. LIMITATION OF LIABILITY

You expressly understand and agree that MSTC shall not be liable for any direct, indirect, incidental special, consequential or exemplary damages, including but not limited to, damages for loss of profits, goodwill, use, data or other intangible losses (even if MSTC has been advised of the possibility of such damages), resulting from, (i) The use or the inability to use the service, (ii) The cost of procurement of substitute goods and services resulting from any goods, data, information or services purchased or obtained or massages received or transactions entered into through or from the service, (iii) Unauthorized access to or alteration of your transmissions or data, (iv) Statements or conduct of any third party on the service, or (v) Any other matter relating to the service.

19. EXCLUSION AND LIMITATIONS

Some jurisdictions do not allow the exclusion of certain warranties or the limitation or exclusion of liability for incidental or consequential damages.

20. SPECIAL ADMONITION FOR SERVICES RELATING TO FINANCIAL MATTERS

If you intend to create or join any, service, receive or request any news, messages, alerts or other from the Service concerning companies, please read the above Clauses 17 and 18 again. They go doubly for you. In addition, for this type of information particularly the phrase "Let the investor beware" is apt. The Service is provided for informational purposes only, and no Content included in the service is intended for trading or investing purposes. MSTC and its licensors shall not be responsible or liable for the accuracy, usefulness or availability of any information transmitted or made available via the Service, and shall not be responsible or liable for any trading or investment decisions made based on such information.

21. NOTICE

Notices to you may be made via either e-mail and / or regular mail. The Service may also provide notices of changes to the GTC or other matter by displaying notices or links to notices to you generally on the Service.

22. GENERAL INFORMATION

The GTC constitute the entire agreement between you and MSTC and govern your use of the Service, superseding any prior agreements between you and MSTC. You also may be subject to Special Terms and conditions that may apply when you use affiliate services, third-party content. The GTC and the relationship between you and MSTC shall be governed by INDIAN laws without regard to its conflict of law provision. You and MSTC agree to submit to the personal and exclusive jurisdiction of the courts located within the city of Kolkata, West Bengal. The failure of MSTC to exercise or enforce any right or provision of the GTC is found by a court of competent jurisdiction to be invalid, the parties nevertheless agree that the court should endeavor to give effect to the parties' intentions as reflected in the provision, and the other provisions of the GTC remain in full force and effect. You agree that regardless of any statue or law to the contrary, any claim or cause of action arising out of or related to use of the Service or the GTC must be filed within one (1) year after such claim or cause of action arose or be forever barred.

The auction shall be closed at the scheduled time as stipulated in each case unless it is extended by the process of auto-extension as explained in Clause 3.3 under BUYER SPECIFIC TERMS & CONDITIONS.

In such cases, the bidding shall remain open for only those lots against which bids have been received within 15 minutes of the scheduled closing time. All other lots will be closing for bidding.

The clause titles in the GTC are for convenience only and have no legal or contractual effect.

23. AUTO CANCELLATION OF BUYER REGISTRATION

In case any Buyer fails to make the payment towards Registration Fees to MSTC within 30 days from the date of his registration, then the registration is automatically cancelled. He can, however, register himself for the purpose of paying Registration Fees and activate his account for participation in the forthcoming auctions.

24. AUTO DEACTIVATION

If any account is deactivated for non-compliance of any Terms & Conditions of the E-auction, then the registration fees for that account will stand forfeited. In case the same party wants to re-register himself, he shall be required to pay double the normal registration fees prevailing at that particular point of time. However, the acceptance of such re-registration fees is at the sole & absolute discretion of MSTC.

25. VIOLATIONS

Please report any violations of the GTC to the Dealing Department.

Glossary Privacy Policy

Register as Buyer **Register as Seller**

Annexure-IV

MSTC PRIVACY POLICY

MSTC takes your privacy seriously. Please read the following to learn more about privacy policy.

What this Privacy Policy Covers

* This Privacy Policy covers MSTC's treatment of personally identifiable information that MSTC collects when you are pm the MSTC site, and when you use MSTC's service. This policy also covers MSTC's treatment of any personally identifiable information that MSTC's business partners' shares with MSTC or that may collect on a partner's site.

* This policy does not apply to the practices of companies that MSTC does not own or control or to people that MSTC does not employ or manage.

Information Collection and Use

***** MSTC collects personally identifiable information when you register for a MSTC account, when you visit MSTC pages, MSTC may also receive personally identifiable information from our business partners.

* When you register with MSTC, we ask for your company name, contact name, address, name, e-mail addresses, Pin/zip code, etc. Once you register with MSTC and sign in to our services, you are not anonymous to us.

* MSTC uses information for three general purposes,to customize the advertising and content your see, fulfill your requests for certain products and services, and to contact you about specials and new products.

Information Sharing and disclosure

***** MSTC will not sell or rent your personally identifiable information to anyone.

* MSTC may send personally identifiable information about you to other companies or people when.

  - We have your consent to share the information.
  - We need to share your information to provide the product or service you have requested.
  - We need to send the information to companies who work on behalf of MSTC to provide a product or service to you. (Unless we tell you differently, these companies do not have any right to use the personally identifiable information we provide to them beyond what is necessary to assist us.).
  - We respond to subpoenas, court orders or legal process, or
  - We find that your actions on our web sites violate the **MSTC General Terms & Conditions of Service,** or any of our usage guidelines for specific products or services.

Your Ability to Edit Your Account Information

* MSTC gives you the ability to edit a few fields of your Account at any time, including whether you want MSTC to contact you about specials and new products.

Security

* Your MSTC Account Information is password – protected for your privacy and security.

Changes to this Privacy Policy

* MSTC may amend this policy from time to time. If we make any substantial changes in the way, we use your personal information we will notify you by posting a prominent announcement on our pages.

Questions or Suggestions

* If you have questions or suggestions complete a *feedback form.*

GLOSSARY

Auto Extension

This option for sellers automatically extends the amount of time left to bid by fifteen minutes if someone places a bid near the end of the auction.

Automatic Bidding

The system automatically places bids on your behalf at the lowest possible increments. You enter the highest amount you are wiling to pay, and then the computer goes to work for you. The goal is for you to win your item at the lowest possible price. Your maximum bid amount is placed only when another bidder has actually bid up to that amount.

Bid Increments

Any new bid you place must be greater than the current high bid.

Blacklist

Under certain circumstances, some seller may want to block specific bidders from participating in their auctions. Your blacklist is a place to enter the MSTC Ids of users you want to block from participating in your auctions.

Register

In order to place a bid or sell an item you need to register at MSTC. Buyers and Sellers are required to register on-line. Buyers are required to pay a Registration Fee.

Reserve Price

The reserve price is the lowest price at which a seller is willing to sell an item. If at the close of auction, the bidders have not met the reserve price, the seller is not obligated to sell.

Starting Price

All bidding for your item will start at this price. Please keep this amount as low as possible. Bids below this amount will not be accepted.

Subject to Approval (STA)

At the close of auction when the bid amount has not met the reserve price, the seller is not obligated to sell and it is option to the seller whether he is agreeable to sell at that amount. In fact, when the bid reaches close to the reserve price it is set to STA otherwise the item is set as “Rejected”.

ANNEXURE-V

4.5.10 Selling Agency Agreement Between NTPC & MSTC LTD.

उत्तर प्रदेश UTTAR PRADESH DL 282543

SELLING AGENCY AGREEMENT

1.0 THIS AGREEMENT made **this 19th Day of April, 2017** Between M/s. NTPC Ltd, A-8A, Sector-24, Noida-201301 incorporated under the Companies Act, 1956 and having its registered office at Core-7, SCOPE Complex, Lodhi Road, NewDelhi-110 003, hereinafter called "the Principal"(which expression shall unless excluded by or repugnant to the context be deemed to include its successors and assigns) on the ONE PART; AND MSTC Limited (A Govt. of India Enterprise) incorporated under the Companies Act, 1956 and having its registered office at 225-C, Acharya Jagadish Chandra Bose Road, Calcutta-700 020, and its Northern Regional office at Jeewan Vikas building, 30/31 A Asaf Ali Road, New Delhi-110002 hereinafter called "MSTC" (which expression shall unless excluded by or repugnant to the context be deemed to include its successors and assigns) on the Other part ;

2.0 WHEREAS the Principal has viewed the contents as displayed in the web site of MSTC and is desirous of engaging MSTC as its Selling Agents for disposal of Scrap and rejected/condemned/obsolete secondary arising (ferrous and non-ferrous) as well as surplus obsolete stores, equipments and misc. articles and e-waste etc. including Fly Ash, Cenosphere through MSTC's Auction web site

3.0 AND WHEREAS the Principal has agreed to engage MSTC as Selling Agent for the above purpose on the terms and conditions displayed in the Auction web site Viz., **www.mstccommerce.com** and also the Terms and Conditions mentioned hereinafter;

4.0 Now it is hereby agreed and declared by the parties hereto as follows:

4.1 This Agreement covers disposal of all Scraps, Secondary arising, Surplus stores and equipment, Misc. articles, Obsolete & Unserviceable items, e-waste etc. This shall also include Furnace Fly Ash & Cenosphere, as mentioned in clause - 2.0 above.

4.2 In addition to the above, add-ons to the category of disposals may be effected through this agreement on mutual consent.

4.3 MSTC shall act as Selling Agent for disposal of all items covered under Clauses 4.1 & 4.2 hereof in the home/indigenous market by way of public auction over the Internet through www.mstccommerce.com based on this agreement.

5.0 **DURATION OF CONTRACT:**

The Agreement will initially remain valid for 03 (Three) years **w.e.f. 01.04.2017 upto 31.03.2020**. However, the same may be extended for a further period not exceeding one year, on same terms & conditions as mutually agreed upon by the parties hereto.

6.0 **QUANTUM OF BUSINESS:**

If the volume of business is anticipated to be below Rs.5.0 Lacs (Rupees Five Lacs), MSTC will request the Principal for accumulation of disposal items till disposal becomes economically viable. This contract by itself does not commit the Principal as to the quantum of business to MSTC.

7.0 **NATURE & SCOPE OF SERVICE & RESPONSIBILITY OF MSTC:**

7.1 MSTC shall conduct auction sale directly and in no case the appointment of any dealer/trader/auctioneer for the purpose will be considered. MSTC shall promptly provide the CHECKLIST to the principal in order to assist the principal in furnishing total details of disposable materials for realising more revenue and scrutinise the list w .r. t checklist.

7.2 MSTC shall at its costs and expenses will prepare the lists of lots Category wise in consultation with the principal for the purpose of e-Auction of the lots as the case may be.

7.3 MSTC shall at its own costs and expenses arrange publicity for disposal through E-auctions by way of advertisements in leading dailies / Newspapers / Websites and other Internet Tools. In addition the system shall notify automatically to all the buyers who are registered with the auction website i.e. **www.mstcecommerce.com** regarding all the forthcoming E-auctions specifying therein all relevant details about the materials / Lots / date & time of opening & closing of auctions etc.

7.4 MSTC shall arrange disposal of the materials primarily through forward e-auction (for scrap and other materials) and through Book building method or multi-round auctions (for Fly Ash & Cenosphere) via the website **www.mstcecommerce.com**. MSTC shall at its costs and expenses, conduct Market Survey through its own machinery in respect of materials covered by this agreement and promptly provide market intelligence to the principal from time to time. MSTC may provide rates for similar items sold by other projects of Principal on quarterly basis.

7.5 On the close of any auction Principal will receive a system generated Email indicating the status of the Auction which will inter alia include Sold Lots, Subject To Approval (STA) lots and also lots not sold with highest bid received for Principal's record. The Principal shall have the option to visit the website in order to obtain a full report of any particular auction, which will normally depict the replica of the Bid Sheet of a particular auction.

7.6 Reserve Price must be fixed and entered by the Principal in the website, which will be only accessible by the Principal and none else, for the disposable materials. In case the Reserve price is not entered by the principal prior to commencement of the e-Auction, the lots for which the reserve price have not been entered, shall stand automatically withdrawn by the system. No materials below the reserve price so fixed by the principal shall be sold by MSTC. MSTC may give existing market scenario for justification in accepting the e- Auction rates.

7.7 If, in respect of any item(s) covered under the Selling Agency Agreement, it is desired by the Principal to have a market survey, the costs for the same will have to be borne by MSTC. The market survey could be done by MSTC themselves or by engaging consultants. MSTC may provide rates for similar items sold by other projects of Principal on Quarterly basis. MSTC may give existing market scenario for justification in accepting e-auction rates.

7.8 MSTC shall collect EMD @ 10% of the Sale value which shall be adjusted towards the cost of Materials in the last & final instalment. Subsequently, MSTC shall enter into sale contracts with the successful bidders/ buyers/customers by issuing Sale Orders/Acceptance Letters on behalf of the Principal through the system for the sold lots. The Sale order shall be issued, if possible, immediately after finalisation of e-auction process for SOLD lots and thereafter for STA lots too within 15 days of completion of the initial auction.

7.9 **Mode of Payment**: MSTC shall indicate in the Sale Order that the Buyer shall deposit the material value to the Bankers of respective NTPC stations through RTGS/ NEFT to avoid delay in getting Sale Release Order. For this purpose, all NTPC projects shall inform MSTC regarding their Account no., Branch, IFSC Code and MICR no. etc. as per the details given in the enclosed EFT form at the beginning of implementation of SAA.

7.10 As the Principal is registered under the appropriate Sales Tax Act, MSTC shall collect Sales Tax as applicable and other declaration forms and submit the same to the Principal. The applicable ED/VAT % will be intimated to MSTC along with the list of material.

7.11 MSTC shall prepare and issue Delivery Orders to a buyer after receiving confirmation from NTPC of receipt of payment submitted to NTPC a/c by the buyer. On production of the Delivery Order such issued, the Principal will deliver materials. Sale Release Order will be issued by NTPC within 15 days of issue of MSTC Delivery Order.

7.12 MSTC shall also be responsible for follow-up of orders booked.

7.13 **Ground Rent Period**: MSTC shall indicate in the acceptance letter that Successful Bidders are required to lift the materials within the free time period of 30 days. In case materials are not lifted within the free period of 30 days, Ground Rent @2% of the value of Materials per week shall be recovered till such time material is actually lifted by the Buyer or the payment deposited by the buyer is exhausted, whichever is earlier in order to realize the ground rent.

7.14 **Incorporation of Buyer Details**: MSTC shall indicate the complete address including Telephone no. / Mobile no. , e-Mail ID, Fax No. & Name of Contact person in the Delivery order for proper expediting and follow up by NTPC.

7.15 **Forfeiture of EMD**: In case the successful bidders do not deposit Value of Materials within the specified period & terms including late payment as specified in Sale Order, the same shall be liable to be forfeited.

7.16 **List of Bidders**: The list of bidders who have participated in the e-auction must be available on the web site on close of e-Auction.

7.17 **Anti Fraud Policy**: This agreement shall be governed by the Anti Fraud Policy of NTPC.

7.18 **Pre-Bid EMD:** Pre bid EMD of Rs 5 Lacs/Lot shall be applicable only for Lot value of Rs 50 Lacs and above.

This amount shall be converted into Security Deposit together with POST BID EMD (if asked) for issuance of Sale Order for successful bidder(s) on completion of e-auction & shall be adjusted towards final payment for successful bidder /issue of delivery Order.

This Pre-bid EMD shall be collected by MSTC from the intending bidders in favour of NTPC before participating in the e-auction process. Subsequently MSTC shall transfer this amount to NTPC for the successful bidder.

7.19 MSTC shall directly deal & settle all claims and complaints with the successful buyers/customers/ bidders arising out of Sale / Delivery orders issued for omission or commission of MSTC.

The complaints, if any, on delayed delivery or on other points of Principal, the matter will be referred to Principal for suitable disposal, apart from refund, if any, for non delivery of goods shall also be made by the Principal.

7.20 MSTC shall take Principal's privacy seriously and also provide MSTC's private policy to all Principal sites against e-Auction disposals with General terms and Conditions of e-Auction.

8.0 NATURE & SCOPE OF RESPONSIBILITY OF THE PRINCIPAL:

8.1 The Principal shall provide MSTC with the list of materials with detailed specifications and descriptions, locations, quantity, quality and special remarks or any sort of restriction, if any, for disposal. The Principal shall not amend/alter or modify the quantity of the lot after the auction is declared open and live. All such amendments/alterations/modifications shall be made prior to commencement of auction and intimated to MSTC in writing for notifying the prospective bidders sufficiently in advance.

8.2 The Principal shall forecast the annual availability of scrap and other items for disposal as far as possible for each category. The auction programme shall be finalised between MSTC and Principal for each quarter as per mutual convenience. Depending upon their convenience Principal will combine the list of disposable items of its various units.

8.3 The Principal shall effect deliveries to the buyers/customers as per Sale Release Order / Delivery Orders issued by MSTC as per Principal's Standard Terms and as per directions given by MSTC from time to time. Any disputes arising while effecting deliveries to successful bidders/buyers shall be dealt with by the Principal.

8.4 The Principal shall be responsible for raising invoices as per the terms of Sale Orders/Delivery Orders issued by MSTC.

8.5 The Principal may monitor the auction and will be able to view the bid details etc., during the continuation of the E-auction. Other links of the e auction like Bid Sheet, Bid History, EMD status etc are provided in the user id of the Seller after closure of e-auction.

8.6 As the Principal is a registered company under appropriate sales Tax Act, the Principal will indicate rate of tax for each lot however MSTC collect necessary Sales Tax and other declaration form etc. at its end and forward the same to the Principal for necessary action at their end. However, the Principal must indicate the item which will attract excise duties and also amount/rate of Excise duties leviable.

8.7 MSTC shall provide its standard terms and conditions of sale of materials to the Principal. The Principal will not insist on MSTC for any deviation from standard terms of sale of MSTC.

9.0 SERVICE CHARGE

9.1 MSTC shall be entitled to a service charge @2.50% (plus taxes as applicable) for all scrap auctions, on the value of materials disposed, arrived on the basis of the value of the Delivery Order (D.O.) issued through forward auction over the Internet. This is applicable for Disposal value up to Rs. 100.0 Crores. However, for disposal value beyond Rs. 100.0 Crores, Service Charges shall be applicable @ 2.25% (plus taxes as applicable) on sale value above Rs. 100 Crores in a financial year.

For Fly Ash & Cenosphere auctions, MSTC will be entitled to a service charges @ 1.5% (plus taxes as applicable) of the material value arrived on the basis of the quantity disposed. The sale

value of Fly Ash & Cenosphere however will not be considered for the purpose of computation of the Rs 100 Crores limit. Methodology for sale of Fly Ash is annexed.

9.2. Service charge payable to MSTC computed on the basis of D.O. (Delivery Order) shall be deducted from the material value recovered in each e-auction due and payable to the principal. Buyer shall be directed by MSTC to submit the payment online in two parts i.e one in favour of MSTC towards it's Service Charges (less TDS) & another in favour of the NTPC/JVs for balance material value and taxes. The details thereof shall be forwarded by MSTC to NTPC along with the signed bill and receipt within three days of succeeding month. This is applicable for all the units of NTPC, JVs and subsidiaries as per the Service charges rates mentioned at 9.1 above.

In case of short lifting, NTPC shall refund 97.5% of remaining value after adjustment of Service Charges, VAT, and TCS directly to buyer under intimation to MSTC. The balance amount of 2.5% shall be directly released by MSTC to the buyer. This term will be incorporated in totality in catalogues of NTPC auctions for information to buyer.

9.3 The above Service Charge shall not be payable on the amount of forfeited Security Deposit, if any by MSTC.

9.4 The above Service Charges are to be read along with Clause 7.10 hereto above.

9.5 **Auction of e-Waste :** MSTC shall dispose the e-Waste (as defined in the Chapter-I Clause-k) in the Notifications/ Guidelines issued by Ministry of Environment & Forest (MoEF) under notification Ref S.O.1035(E) under Environment (Protection) Act, 1986 w.e.f 1st October 2016 as per the E-Waste (Management) Rules, 2016 (Annexure-I). NTPC/ MSTC shall update themselves about any amendments thereof, and share their inputs for smooth disposal. (Copy of the Notification is enclosed)

9.6 In view of present scenario of Environment awareness and Govt. policy thereof, the impact of various scrap items on environment, MSTC shall convene Workshop / Meetings on Half Yearly basis to provide awareness with respect to disposal of such Materials and their professional guidelines as per the latest guide lines of Govt. of India. NTPC would update itself with the notifications of the Central & State Pollution Control for any specific guidance. The review of Status of disposals and any bottleneck will be discussed and sorted out in such Meetings. As disposal of hazardous waste of any kind is the primary responsibility of the Seller, NTPC will ensure prompt disposal of such materials.

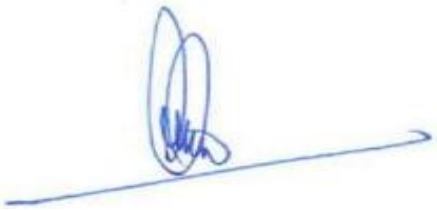
9.7 **Review Meeting:** MSTC shall organise a yearly review meeting with NTPC for discussing the issues/ bottlenecks & targets and reconciliation of the Service Charges Payment vis-a-vis DO.

N.B: **1. The calculation for Total Value of Scrap disposed including JVs and subsidiaries for the payment of services charges shall be on the basis of financial Year.**

2. Whenever any auction is cancelled/deferred/postponed under the advice/ instruction of Principal, the actual cost of advertisement etc. shall be reimbursed to MSTC by the Principal.

10.0 **STANDING COMMITTEE FOR IMPLEMENTATION OF THE AGREEMENT**

10.1 The Principal and MSTC will nominate one Sr. Official each for dealing with all matters relating to this Agreement. The working arrangements for implementing the provisions of this Agreement shall be mutually discussed and decided upon. In case of disagreement between the members of the Committee the matter will be referred to Principal's Head of Project (concerned site) whose decision shall be final and binding.



11.0 **EXECUTION OF SALE CONTRACT:**

11.1 Sale Contract(s) of the Principal existing at the time of execution of this Agreement will continue to operate and will not come under the purview of this Agreement. Similarly, at the expiry of this Agreement, the orders booked by MSTC will continue to operate as if this Agreement continues till the execution of those orders only.

11.2 **Applicability of SAA on NTPC JVs and Subsidiaries** : This Selling Agency Agreement (SAA) with NTPC shall be applicable for all NTPC projects and offices, all existing and upcoming subsidiaries of NTPC and also for all existing and upcoming joint venture companies of NTPC.

12.0 **HANDLING OF SUITS:**

All Expenses incurred, if any, on suits and other litigations arising out of Omission in Sale / Delivery orders issued by MSTC, shall be borne by the MSTC. The principal shall not be responsible in any manner whatsoever.

13.0 **AMENDMENT:**

13.1 Any amendment to this Agreement would be enforceable only if made in writing and duly signed by authorised representatives of the Principal and MSTC.

14.0 **FORCE MAJEURE CLAUSE:**

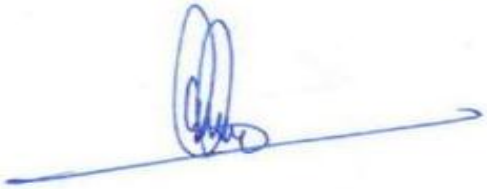
14.1 If, any time during the continuance of this Agreement, the performance, in whole or in part by either party, of any obligation under this Agreement be prevented or delayed by reason of any war, hostility, act of public enemy, civil commotion, sabotage, fires, floods, explosions, epidemics, quarantine restrictions, strikes, lock-outs, Technical and / or Connectivity failure which is entirely beyond the control of MSTC etc. or acts of God (hereinafter referred to as 'events') provided notice of happening of any such eventuality is given by the affected party to the other within 21 days from the date of occurrence thereof, neither party shall be reason of such event have any claim for damages against the other in respect of such non-performance or delay in performance, provided further that if the performance in whole or part of any obligation under this Agreement is prevented or delayed by reasons of any such event for a period exceeding sixty days, the parties shall try to arrive at an amicable settlement, failing such settlement the Principal may terminate this Agreement at its sole discretion and at such event MSTC shall be bound to pay all the expenses and other moneys recovered from the bidders to the Principal forthwith without demur/ protest.

15.0 **TERMINATION:**

15.1 This Agreement shall be subject to termination with clear 3(Three) calendar month's notice in writing from either side before the expiry of the contract.

16.0 **ARBITRATION CLAUSE:**

16.1 In the event of any dispute or difference relating to the interpretation and/or application of the provisions of this Agreement, such dispute or difference shall be referred by either party to the Arbitration of one of the Arbitrators in the Department of Public Enterprises to be nominated by the Secretary to the Government of India, In Charge of the Bureau of Public Enterprises. The Arbitration and Reconciliation Act, 1996 shall not be applicable to the arbitration under this clause. The award of the Arbitration shall be binding upon the parties to the dispute, provided, however, any party aggrieved by such award may make a further reference of setting aside or revision of the award to the Law Secretary, Department of Legal Affairs, Ministry of Law & Justice, Government of India. Upon such reference the dispute shall be decided by the Law Secretary, or the Special Secretary/Additional Secretary when so authorised by the Law Secretary, whose decision shall bind the parties finally and conclusively. The parties to the



dispute will share equally the cost of arbitration as intimated by the Arbitrator. The Arbitrator shall give reasoned award. The venue of Arbitration shall be New Delhi.

17.0 **JURISDICTION OF THE COURT:**

17.1 Any dispute arising out of this Agreement shall be subject to the exclusive jurisdiction of the Court(s) at Delhi only in all matters under this agreement.

18.0 **APPLICABILITY OF LAWS:**

18.1 The Agreement shall be governed by the Indian Laws for the time being in force.

IN WITNESS WHEREOF the parties hereto have subscribed their respective hands on the day, month and year first above written.

Signed and delivered

For and on behalf of M/s. NTPC LIMITED:
(Authorised Signatory)

(DILIP KUMAR DUTTA)
ADDL. GENERAL MANAGER (CC&M)

D. K. DUTTA
Addl. General Manager (CM)
NTPC Limited
Corporate Centre/Noida
Ph.: (O) 0120-2410340, 3316633 Fax: 2410026
(R) 0120-2403109 (M) 9650998031

WITNESS In the presence of

(SUDIPTO DE SARKAR)
DGM (CM), NTPC LIMITED

सुदीप्तो दे सरकार / SUDIPTO DE SARKAR
उप महाप्रबन्धक (सी एम)
Dy. General Manager (CM)
एन टी पी सी लिमिटेड / NTPC Limited
EOC, A-8A, Sector-24, NOIDA-201301 (U.P.)

Signed and delivered

For and on behalf of M/S. MSTC LIMITED:
(Authorised Signatory)

(MRS BHANU KUMAR)
REGIONAL MANAGER

श्रीमति भानु कुमार
महा प्रबन्धक
एम.एस.टी.सी. लिमिटेड
(भारत सरकार का उपक्रम)
30-31A, जीवन विकास भवन, प्रथम तल
आसफ अली रोड, नई दिल्ली-110002

MRS. BHANU KUMAR
General Manager
MSTC LIMITED
(A Govt. of India Enterprise)
30/31A, Jiwan Vikas Building, 1st Floor
Asaf Ali Road, New Delhi-110002

WITNESS In the presence of:

(MRS. SHALINI BHATTI)
DGM, MSTC LIMITED

शालिनी भट्टी
उप महाप्रबंधक
एम.एस.टी.सी. लिमिटेड
(भारत सरकार का उपक्रम)
30/31A, जीवन विकास भवन, प्रथम तल
आसफ अली रोड, नई दिल्ली-110002

SHALINI BHATTI
Deputy General Manager
MSTC LIMITED
(A Govt. of India Enterprise)
30/31A, Jiwan Vikas Building, 1st Floor,
Asaf Ali Road, New Delhi-110002

Annexure-VI

उत्तर प्रदेश UTTAR PRADESH EE 652752

SELLING AGENCY AGREEMENT

1.0 THIS AGREEMENT made **this 09th. day of May, 2018** Between M/s. NTPC Ltd, A-8A, Sector-24, Noida-201301 incorporated under the Companies Act, 1956 and having its registered office at Core-7, SCOPE Complex, Lodhi Road, NewDelhi-110 003, hereinafter called "the Principal" (which expression shall unless excluded by or repugnant to the context be deemed to include its successors and assigns) on the ONE PART;

AND

mjunction services limited, a company incorporated under the Companies Act 1956, having its registered office at 'TATA Centre', 43 Jawaharlal Nehru Road, Kolkata - 700 071 and corporate office at 'Godrej Waterside', Tower-I, 3rd floor, Plot No. 5, Block-DP, Sector-V, Salt Lake City, Kolkata - 700 091, West Bengal, India hereinafter called **"mjunction"** (which term or expression, unless excluded by or repugnant to the context thereto shall include its successors or permitted assigns) of the OTHER PART;

2.0 WHEREAS the Principal, been approached by mjunction is desirous of engaging mjunction as its Selling Agents for disposal of Scrap and rejected/condemned/obsolete secondary arising (ferrous and non-ferrous) as well as surplus obsolete stores, equipment and misc. articles and e-waste etc. including Fly Ash, Cenosphere through mjunction's Auction web site

3.0 AND WHEREAS the Principal has agreed to engage mjunction as Selling Agent for the above purpose on the terms and conditions displayed in the Auction web site viz., **http://www.mjunction.in** and also the Terms and Conditions mentioned hereinafter;

4.0 Now it is hereby agreed and declared by the parties hereto as follows:

4.1 This Agreement covers disposal of all Scraps, Secondary arising, Surplus stores and equipment, Misc. articles, Obsolete & Unserviceable items, e-waste etc. This shall also include Furnace Fly Ash & Cenosphere, as mentioned in clause - 2.0 above.

4.2 In addition to the above, add-ons to the category of disposals may be effected through this agreement on mutual consent.

4.3 Mjunction shall act as Selling Agent for disposal of all items covered under Clauses 4.1 & 4.2 hereof in the home/indigenous market by way of public auction over the Internet through **http://www.mjunction.in** based on this agreement.

5.0 **DURATION OF CONTRACT:**

The Agreement on trial basis will initially remain valid for 01 (One) year **w.e.f. 09.05.2018 upto 08.05.2019.** However, the same may be extended for a further period not exceeding one year, on same terms & conditions as mutually agreed upon by the parties hereto.

6.0 **QUANTUM OF BUSINESS:**

If the volume of business is anticipated to be below Rs.5.0 Lacs (Rupees Five Lacs), mjunction will request the Principal for accumulation of disposal items till disposal becomes economically viable. This contract by itself does not commit the Principal as to the quantum of business to mjunction.

7.0 **NATURE & SCOPE OF SERVICE & RESPONSIBILITY OF mjunction:**

7.1 Auctions will generally be allotted from each location of the principal under the coverage of this agreement on alternate basis to each of the Selling Agencies appointed by the principal.

7.2 In case of unsuccessful auction by mjunction, either partly or fully, the remaining lots shall be transferred to the other agency for re-auction and vice versa.

7.3 Mjunction shall conduct auction sale directly and in no case the appointment of any dealer/trader/auctioneer for the purpose will be considered. mjunction shall promptly provide the CHECKLIST to the principal in order to assist the principal in furnishing total details of disposable materials for realising more revenue and scrutinise the list w .r. t checklist.

7.4 Mjunction shall at its costs and expenses will prepare the lists of lots Category wise in consultation with the principal for the purpose of e-Auction of the lots as the case may be.

7.5 Mjunction shall at its own costs and expenses arrange publicity for disposal through E-auctions by way of advertisements in digital marketing/ websites and other Internet Tools. In addition the system shall notify automatically to all the buyers who are registered with the auction website i.e. **http://www.mjunction.in** regarding all the forthcoming E-auctions specifying therein all relevant details about the materials / Lots / date & time of opening & closing of auctions etc.

7.6 Mjunction shall arrange disposal of the materials primarily through forward e-auction (for scrap and other materials) and through Book building method or multi-round auctions (for Fly Ash & Cenosphere) via the website **http://www.mjunction.in.** mjunction shall at its costs and expenses, conduct Market Survey through its own machinery in respect of materials covered by this agreement and promptly provide market intelligence to the principal from time to time. mjunction may provide rates for similar items sold by other projects of Principal on quarterly basis.

7.7 On the close of any auction Principal will receive a system generated Email indicating the status of the Auction which will inter alia include Sold Lots, Subject To Approval (STA) lots and also lots not sold with highest bid received for Principal's record. The Principal shall have the option to visit the website in order to obtain a full report of any particular auction, which will normally depict the replica of the Bid Sheet of a particular auction.

7.8 Reserve Price must be fixed and entered by the Principal in the website, which will be only accessible by the Principal and none else, for the disposable materials. In case the Reserve price is not entered by the principal

prior to commencement of the e-Auction, the lots for which the reserve price have not been entered, shall stand automatically withdrawn by the system. No materials below the reserve price so fixed by the principal shall be sold by mjunction. mjunction may give existing market scenario for justification in accepting the e- Auction rates.

7.9 If, in respect of any item(s) covered under the Selling Agency Agreement, it is desired by the Principal to have a market survey, the costs for the same will have to be borne by mjunction. The market survey could be done by mjunction themselves or by engaging consultants. mjunction may provide rates for similar items sold by other projects of Principal on Quarterly basis. mjunction may give existing market scenario for justification in accepting e-auction rates.

7.10 Mjunction shall collect EMD @ 10% of the Sale value which shall be adjusted towards the cost of Materials in the last & final instalment. Subsequently, mjunction shall enter into sale contracts with the successful bidders/ buyers/customers by issuing Sale Orders/Acceptance Letters on behalf of the Principal through the system for the sold lots. The Sale order shall be issued, if possible, immediately after finalisation of e-auction process for SOLD lots and thereafter for STA lots too within 15 days of completion of the initial auction. However, for lots containing surplus & obsolete stores (which will be flagged by the Principal prior to the auction itself), Sale Order will only be issued after express clearance of the Principal.

7.11 **Mode of Payment**: Mjunction shall indicate in the Sale Order that the Buyer shall deposit the material value to the Bankers of respective NTPC stations through RTGS/ NEFT to avoid delay in getting Sale Release Order. For this purpose, all NTPC projects shall inform mjunction regarding their Account no., Branch, IFSC Code and MICR no. etc. as per the details given in the enclosed EFT form at the beginning of implementation of SAA.

7.12 As the Principal is registered under the GST Act, mjunction shall collect GST and other declaration forms as applicable and submit the same to the Principal. The applicable GST % will be intimated to mjunction along with the list of material.

7.13 Mjunction shall prepare and issue Delivery Orders to a buyer after receiving confirmation from NTPC of receipt of payment submitted to NTPC a/c by the buyer. On production of the Delivery Order such issued, the Principal will deliver materials. Sale Release Order will be issued by NTPC within 15 days of issue of mjunction Delivery Order.

7.14 Mjunction shall also be responsible for follow-up of orders booked.

7.15 **Ground Rent Period**: Mjunction shall indicate in the acceptance letter that Successful Bidders are required to lift the materials within the free time period of 30 days. In case materials are not lifted within the free period of 30 days, Ground Rent @2% of the value of Materials per week shall be recovered till such time material is actually lifted by the Buyer or the payment deposited by the buyer is exhausted, whichever is earlier in order to realize the ground rent.

7.16 **Incorporation of Buyer Details**: Mjunction shall indicate the complete address including Telephone no. / Mobile no. , e-Mail ID, Fax No. & Name of Contact person in the Delivery order for proper expediting and follow up by NTPC.

7.17 **Forfeiture of EMD**: In case the successful bidders do not deposit Value of Materials within the specified period & terms including late payment as specified in Sale Order, the same shall be liable to be forfeited.

7.18 **List of Bidders**: The list of bidders who have participated in the e-auction must be available on the web site on close of e-Auction.

7.19 **Anti Fraud Policy**: This agreement shall be governed by the Anti Fraud Policy of NTPC.

7.20 **Pre-Bid EMD:** Pre bid EMD of Rs 5 Lacs/Lot shall be applicable only for Lot value of Rs 50 Lacs and above. This amount shall be converted into Security Deposit together with POST BID EMD (if asked) for issuance of Sale Order for successful bidder(s) on completion of e-auction & shall be adjusted towards final payment for successful bidder /issue of delivery Order.

This Pre-bid EMD shall be collected by mjunction through an IT-enabled system from the intending bidders in favour of NTPC before participating in the e-auction process. Subsequently mjunction shall transfer this amount to NTPC for the successful bidder only.

7.21 Mjunction shall directly deal & settle all claims and complaints with the successful buyers/customers/ bidders arising out of Sale / Delivery orders issued for omission or commission of mjunction.

The complaints, if any, on delayed delivery or on other points of Principal, the matter will be referred to Principal for suitable disposal, apart from refund, if any, for non delivery of goods shall also be made by the Principal.

7.22 Mjunction shall take Principal's privacy seriously and also provide mjunction's private policy to all Principal sites against e-Auction disposals with General terms and Conditions of e-Auction.

8.0 **NATURE & SCOPE OF RESPONSIBILITY OF THE PRINCIPAL:**

8.1 The Principal shall provide mjunction with the list of materials with detailed specifications and descriptions, locations, quantity, quality and special remarks or any sort of restriction, if any, for disposal. The Principal shall not amend/alter or modify the quantity of the lot after the auction is declared open and live. All such amendments/alterations/modifications shall be made prior to commencement of auction and intimated to mjunction in writing for notifying the prospective bidders sufficiently in advance.
8.2 The Principal shall forecast the annual availability of scrap and other items for disposal as far as possible for each category. The auction programme shall be finalised between mjunction and Principal for each quarter as per mutual convenience. Depending upon their convenience Principal will combine the list of disposable items of its various units.

8.3 The Principal shall effect deliveries to the buyers/customers as per Sale Release Order / Delivery Orders issued by mjunction as per Principal's Standard Terms and as per directions given by mjunction from time to time. Any disputes arising while effecting deliveries to successful bidders/buyers shall be dealt with by the Principal.

8.4 The Principal shall be responsible for raising invoices as per the terms of Sale Orders/Delivery Orders issued by mjunction.

8.5 The Principal may monitor the auction and will be able to view the bid details etc., during the continuation of the E-auction. Other links of the e auction like Bid Sheet, Bid History, EMD status etc are provided in the user id of the Seller after closure of e-auction.

8.6 As the Principal is a registered company under appropriate GST Act, the Principal will indicate rate of tax for each lot. However mjunction shall collect necessary GST and other declaration form etc. and forward the same to the Principal for necessary action at their end. However, the Principal must indicate the item which will attract GST and also amount/rate of GST.

8.7 Mjunction shall provide its standard terms and conditions of sale of materials to the Principal. The Principal will not insist on mjunction for any deviation from standard terms of sale of mjunction.

9.0 **SERVICE CHARGE**

9.1 Mjunction shall be entitled to a service charge @1.75% plus applicable taxes on the value of scrap disposed, arrived on the basis of the value of the Delivery Order (D.O.) issued through this auction over the Internet. However, for Fly Ash and Cenosphere disposal, the service charge will be payable @1.50% of the material value arrived on the basis of the quantity disposed plus applicable taxes.

9.2 The Service charge will be paid to mjunction on the basis of Delivery Orders within 30 days of receipt of bill. This is applicable for all the units of NTPC, Subsidiaries and JVs as per the Service charges rates mentioned at 9.1 above. In case of Short closure of D.O. after actual lifting, NTPC shall refund 98.25% (98.5% for fly ash) of remaining value after adjustment of Service Charges, VAT, TCS directly to buyer under intimation to mjunction. The balance amount of 1.75% (1.5% for fly ash) in case already paid to mjunction shall be directly released by mjunction to the buyer. This term will be incorporated in catalogues of NTPC auctions for information to buyer.

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9.4 The above Service Charges are to be read along with Clause 7.10 hereto above.

9.5 **Auction of e-Waste :** Mjunction shall dispose the e-Waste (as defined in the Chapter-I Clause-k) in the Notifications/ Guidelines issued by Ministry of Environment & Forest (MoEF) under notification Ref S.O.1035 (E) under Environment (Protection) Act, 1986 w.e.f 1st October 2016 as per the E-Waste (Management) Rules, 2016. NTPC/ mjunction shall update themselves about any amendments thereof, and share their inputs for smooth disposal.

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9.7 **Review Meeting:** Mjunction shall organise a yearly review meeting with NTPC for discussing the issues/ bottlenecks & targets and reconciliation of the Service Charges Payment vis-a-vis DO. Monthly detailed report will be sent to NTPC's Corporate Centre containing site/region wise report for scrap/ ash/ cenosphere disposal. However tailor made reports will also be provided by mjunction to the Principal, whenever asked for.

N.B: **1. The calculation for Total Value of Scrap disposed including JVs and subsidiaries for the payment of services charges shall be on the basis of financial Year.**

2. Whenever any auction is cancelled/deferred/postponed under the advice/ instruction of Principal, the actual cost of paper advertisement etc. if any, shall be reimbursed to mjunction by the Principal.

10.0 **STANDING COMMITTEE FOR IMPLEMENTATION OF THE AGREEMENT**

10.1 The Principal and mjunction will nominate one Sr. Official each for dealing with all matters relating to this Agreement. The working arrangements for implementing the provisions of this Agreement shall be mutually discussed and decided upon. In case of disagreement between the members of the Committee the matter will be referred to Principal's Head of Project (concerned site) whose decision shall be final and binding.

11.0 **EXECUTION OF SALE CONTRACT:**

11.1 Sale Contract(s) of the Principal existing at the time of execution of this Agreement, if any, will continue to operate and will not come under the purview of this Agreement. Similarly, at the expiry of this Agreement, the orders booked by mjunction will continue to operate as if this Agreement continues till the execution of those orders only.

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12.0 **HANDLING OF SUITS:**

All Expenses incurred, if any, on suits and other litigations arising out of Omission in Sale / Delivery orders issued by mjunction, shall be borne by the mjunction. The principal shall not be responsible in any manner whatsoever.

13.0 **AMENDMENT:**

13.1 Any amendment to this Agreement would be enforceable only if made in writing and duly signed by authorised representatives of the Principal and mjunction.

14.0 **FORCE MAJEURE CLAUSE:**

14.1 If, any time during the continuance of this Agreement, the performance, in whole or in part by either party, of any obligation under this Agreement be prevented or delayed by reason of any war, hostility, act of public enemy, civil commotion, sabotage, fires, floods, explosions, epidemics, quarantine restrictions, strikes, lock-outs, Technical and / or Connectivity failure which is entirely beyond the control of mjunction etc. or acts of God (hereinafter referred to as 'events') provided notice of happening of any such eventuality is given by the affected party to the other within 21 days from the date of occurrence thereof, neither party shall be reason of such event have any claim for damages against the other in respect of such non-performance or delay in performance, provided further that if the performance in whole or part of any obligation under this Agreement is prevented or delayed by reasons of any such event for a period exceeding sixty days, the parties shall try to arrive at an amicable settlement, failing such settlement the Principal may terminate this Agreement at its sole discretion and at such event mjunction shall be bound to pay all the expenses and other moneys recovered from the bidders to the Principal forthwith without demur/ protest.

15.0 **INDEMNITY:**

During the performance of the Agreement each Party shall hold harmless, and indemnify the other Party and its directors, officers, agents and employees against any and all loss, liability, damage, or expense, including any direct loss or expense arising out of or in connection with any statutory violations which is/ are attributable to the party who is under an statutory obligation to comply the same. However, neither Party shall be indemnified hereunder for any loss, liability, damage, or expense resulting from its sole negligence or wilful misconduct.

16.0 **TERMINATION:**

16.1 This Agreement shall be subject to termination with clear 3 (Three) calendar months' notice in writing from either side before the expiry of the contract.

17.0 **ARBITRATION CLAUSE:**

17.1 In the event of any dispute or difference relating to the interpretation and/or application of the provisions of this Agreement, such dispute or difference shall be referred by either party to the Arbitration of one of the Arbitrators in the Department of Public Enterprises to be nominated by the Secretary to the Government of India, In Charge of the Bureau of Public Enterprises. The Arbitration and Reconciliation Act, 1996 shall not be applicable to the arbitration under this clause. The award of the Arbitration shall be binding upon the parties to the dispute, provided, however, any party aggrieved by such award may make a further reference of setting aside or revision of the award to the Law Secretary, Department of Legal Affairs, Ministry of Law & Justice, Government of India. Upon such reference the dispute shall be decided by the Law Secretary, or the Special Secretary/Additional Secretary when so authorised by the Law Secretary, whose decision shall bind the parties finally and conclusively. The parties to the dispute will share equally the cost of arbitration as intimated by the Arbitrator. The Arbitrator shall give reasoned award. The venue of Arbitration shall be New Delhi.

18.0 **JURISDICTION OF THE COURT:**

18.1 Any dispute arising out of this Agreement shall be subject to the exclusive jurisdiction of the Court(s) at Delhi only in all matters under this agreement.

19.0 **APPLICABILITY OF LAWS:**

19.1 The Agreement shall be governed by the Indian Laws for the time being in force.

IN WITNESS WHEREOF the parties hereto have subscribed their respective hands on the day, month and year first above written.

Signed and delivered

For and on behalf of M/s. NTPC LIMITED:
(Authorised Signatory)

(Dilip Kumar Dutta)
AGM (CC&M) (NTPC)

D. K. DUTTA
Addl. General Manager (CM)
NTPC Limited
Corporate Centre/Noida
Ph.: (O) 0120-2410340, 3316630 Fax: 2410026
(R) 0120-2403109 (M) 9650998031

WITNESS In the presence of:

(Sudipto De Sarkar)
DGM (CM) (NTPC)

सुदीप्तो दे सरकार / SUDIPTO DE SARKAR
उप महाप्रबन्धक (सी एम)
Dy. General Manager (CM)
एन टी पी सी लिमिटेड / NTPC Limited
EOC, A-8A, Sector-24, NOIDA-201301 (U.P.)

Signed and delivered

For and on behalf of M/S. mjunction LIMITED:
(Authorised Signatory)

(Dipankar Mukherjee)
Chief (Marketing & Sales) (mjunction)

mjunction services ltd
Godrej Water Site, Tower - 1
Block - DP, Plot - 5, 3rd. Floor,
Sector - 5, Salt Lake,
Kolkata - 700 091

WITNESS In the presence of:

(Arvind Jha)
Senior Manager (North) (mjunction)

mjunction services ltd
Godrej Water Site, Tower - 1
Block - DP, Plot - 5, 3rd. Floor,
Sector - 5, Salt Lake,
Kolkata - 700 091

Annexure-VII

4.5.2 B LIST OF SCRAP ITMES

Sl No.	Item Description	Unit of Measurement
	FERROUS	
1.	Ferrous Pipe Scrap of various diameter	Ton
2	Ferrous Tube Scrap of various diameter	Ton
3	MS Scrap to Steel, Cut-Pieces from 6 mm dia. to 40 mm dia.	Ton
4	Grinding Roll Scrap	Ton
5	Grinding Ring /Bull Ring Segment	Ton
6	CI Pipe Scrap	Ton
7	U/s Steel Wire Ropes and Wire Rope Sling, U/s non galvanized Wire Rope of diff, sizes	Ton
8	U/s Worn-out Carbon Steel cut tooth rack segments of twin tippler	Ton
9	MS Seat Framers of L/Luxury Buses	Ton
10	MS Turning and Boring	Ton
11	MS Melting Scrap	Ton
12	MS Light Melting Scrap	Ton
13	MS Misc. Melting Scrap	Ton
14	MS Cross cut Scrap	Ton
15	MS Scrap of Dozer Chains	Ton
16	Condemn Drill Rods	Ton
17	Steel Furniture	Ton
18	Scrap LPG Cylinder	Ton
	NON - FERROUS	
1	Cut Rod Scrap in Coiled form	Kgs.
2	Aluminium Conductor Cable	Ton
3	Brass Chip Scrap	Kgs.
4	Scrap Brass Valves	Ton
5	Bronze Swarf	Ton
6	Magnesium Powder	Kgs.
7	Aluminium Scrap	Kgs.
8	Brass and Gun Metal Scrap	Ton
9	Aluminium Cable Scrap	Ton
10	Armoured Copper Cable	Ton
11	Aluminium Turning and Boring	Ton
12	Aluminium Extrusions	Ton
13	Bronze / Brass Bushes	Ton
14	Brass Punched Scrap	Ton
15	Brass Flats / Bars	Ton
16	Copper / Phosphorus Scrap	Ton

17	Copper / Aluminium Wires	Ton
18	Condemn Aluminium Corrugated sheet Scrap	Kgs
19	Scrap Super Enamelled Copper Wire realized from burnt motors of various capacities	Ton
20	Lead Scrap removed from Cables	Ton
21	Canteen Aluminium Vessels	Ton
22	Imported Brass Bushes, Sealed Rings etc.	Ton
23	PVC / Rubber Insulated Wire/ Cables off cuts	Ton
24	Silver Foils	Kgs.
25	Magnesium Shavings / Boring	Ton
	VEHICLES	
1	Condemn Jeep / Carens /Trucks	Ton
	PLANT/ MACHINERIES / EQUIPMENTS	
1	Used and Damage Conveyor Rubber Belt	Ton
2	Case Tractor with Trolley	Ton
	MISCELLANEOUS	
1	Empty Transformer Oil Barrels (200 litres. Cap)	Nos.
2	Empty Acid Jerry can (10 lts. Cap)	Nos.
3	Scrap Empty Drums	Nos.
4	Lump Coal (25mm to 200mm)	Ton
5	Crushed Coal (25mm)	Ton
6	Scrap of Misc. auto consisting of Shackle Pin, King Pin, Bolts etc.	Ton
7	Auto Spares	Ton
8	Packing Woods	Ton
9	ABS Moulding Scrap.	Ton
10	Condemn Battery Scrap (25 Nos.)	Lot
11	Vehicle Scrap Tyres (different sizes)	Nos.
12	Vehicle Scrap Tubes (different sizes)	Lot
13	Empty Explosives Cartons	Ton
14	MS Barrels	Nos.
15	Burnt Oil	Litre.
16	HDPE Bags	Ton
17	Plastic Scrap	Ton
18	Mill Rejects	Ton

4.5.12 CLASSIFICATION & DISPOSAL OF SURPLUS STORES

The identification of Surplus Stocks and its disposal are key decision for the organization. Recommended guidelines in this context are explained in circular no 97 dated: 20.11.2015(**Annexure-VIII)**

Annexure-VIII

NTPC LIMITED
ENGINEERING OFFICE COMPLEX
CORPORATE MATERIALS MANAGEMENT

Ref : 01/CMM/SIMG/NMI/15-16 Date : 20th Nov 2015

CIRCULAR NO. 97

SUB: REVISED DISPOSAL PROCEDURE FOR UN-SERVICEABLE, OBSOLETE AND SURPLUS ITEMS OF NON MOVING NATURE.

Objective:
To Streamline the process for disposal of Unserviceable, Obsolete and Surplus items under NMI category for making the system more effective.

Background:
Non Moving Items (NMI) are classified into the following categories –
(i) Normal (ii) Surplus (iii) Obsolete (iv) Unserviceable

Disposal of Unserviceable, Obsolete and Surplus items under NMI category are necessary to avoid further deterioration, reduce high Inventory carrying cost and avoid further accumulation of items in the above categories.

Circular No 79 dated 8.9.2003 exists regarding 'Disposal of Obsolete/ Limited shelf life/ Unserviceable Spares/ Stores'. However need has been felt to dispose NMI more effectively. It is felt that a supporting policy needs to be formulated in order to have an effective system of disposal of Unserviceable/ Obsolete/ and Surplus items which are NMI in nature.

Applicability:
The policy detailed herein is meant for Non-Moving Items (NMI).

Circular No 79 dated 8.9.2003 continues to be applicable for spares/ stores, as detailed therein. Wherever conflict arises with respect to disposal of Non-moving items falling in Unserviceable, Obsolete and Surplus, the procedure detailed herein will prevail.

Procedure of disposal:

The procedure for disposal shall include the following –
a) Appropriate provision shall be made in the accounts for items identified by the SSIDC as unserviceable items pending approval of the competent authority for write off.
b) An approval for write off to be taken for all cases.
c) Standard disposal method of auction through MSTC may be followed.
d) In case there is a need to auction through other portals/ M-Junction etc., prior approval for the same to be taken from Head of Station.

The procedure of disposal for items of NMI nature as discussed above will be followed as under:

1. Un Serviceable Items

   a. After the items have been declared as unserviceable by user department, the items may be declared as scrap by the Scrap Surplus Identification and Disposal Committee (SSIDC).

   b. Separate write off action for each category of items needs to be taken for the book value of each category before action for disposal is taken.

   c. Auction through MSTC as per the normal procedure may be adopted at least twice in a year. Auction may be through other portals according to prior approvals taken.

   d. For auctioning in 1(c) above, the reserve price may be fixed by SSIDC in line with the prices for similar item/ category mentioned in MSTC bulletin or in line with prices available from previous disposals, if any. If for any item/ category, price is not available, then SSIDC will fix the reserve price.

2. Obsolete Items

   a. Due to renovation and modernization, many items are replaced and/ or taken out from the system as old stock. The same/ similar nature of items available in inventory, which cannot be used in future at that place, may be considered as Obsolete Items for that station.

   b. The items which are declared as obsolete by the user department and lying in the store because of the renovation and modernization or otherwise, the following disposal procedure shall be followed –

      i. The list shall be published in the NTPC website and intimation shall be given to all OEMs, suppliers and manufacturers of the respective items (wherever available). Further an intimation/ email should be sent by HOD (C&M) of donor project to HOD (C&M), HOD (MTP) and Heads of Projects of other NTPC projects. Copies should also be send to all SEB's/ PSU's/ Subsidiaries/ JV/ IPPS s with a request for possible use of these items. Reply, if any, shall be obtained within three months. The item may be disposed of by station C&M department for quotes within 15% of book value (in line with store manual clause 4.5.8 (c) (vii)) to agencies other than NTPC stations. The items shall be continued to be displayed in the NTPC website until disposed.

      ii. If no reply is received within 3 months, the action will be taken for disposal of such unused obsolete items by auction. The Reserve price may be considered as 75% of the book value. The normal auction procedure for disposal of items will be followed against these items. This action may be taken at least two times a year. The item shall be disposed of in the auction if the highest quote is within 15% of the reserve price (in line with store manual clause 4.5.8 (c) (vii)).

      iii. In case items are not sold, a second auction within three months of closure of the 1st auction will be done for which the reserve price will be 50% of the book value OR the highest quote in the last auction (whichever is higher). Normal procedure for disposal shall be followed thereafter

      iv. In case items are not sold in second auction, a third auction within three months of closure of the 2nd auction will be done for which the reserve price will be 10% of the book value OR the highest quote in the last auction (whichever is higher). Normal procedure for disposal shall be followed thereafter.

v. If no request for possible use is received within **three years** since putting on website, the items may be disposed of to any buyer considering the scrap value/ metal value.

3. Surplus Items

SSIDC needs to apply **Due diligence** for identification & declaration of an item as Surplus . Detailed study including the method of acquisition of the items (mandatory spares/ erection surplus/ procurement through PR etc.) need to be done to ascertain the reason for the item being declared as surplus. Head of Station / Project shall approve the list of surplus items. Before disposing any surplus items, the station need to examine / ensure that no purchase order is pending in other NTPC stations / projects.

a. The list of surplus items shall be published in the NTPC website and intimation shall be given to all OEMs, suppliers and manufacturers of the respective items (wherever available). Further an intimation/ email should be send by HOD (C&M) of donor project to HOD (C&M), HOD (MTP) and Heads of Projects of other NTPC Projects. Copies should also be send to all SEB's/ PSU's/ Subsidiaries/ JVs/ IPPs with a request for possible use of these items. Reply, if any, shall be obtained within three months. The items shall be continued to be displayed in the NTPC website until disposed.

b. In case any of the above agencies mentioned in 3(a) above is interested to take these items, the same may be disposed of by site C&M department within 15% of book value (in line with store manual clause 4.5.8 (c) (vii)).

c. However, if no reply is received from any of the above agencies mentioned in 3(a) within 3 months, the items shall be disposed of as per the following procedure –:

i. For surplus items the reserve price shall be 100 % of book value and auction shall be done accordingly at least twice in a year. The item shall be disposed of in the auction if the highest quote is within 15% of the reserve price (in line with store manual clause 4.5.8 (c) (vii)).

ii. In case items are not sold, a second auction shall be done within three months from the closure of the 1st auction, for which the reserve price will be 75% of the book value OR the highest quote in the last auction (whichever is higher).

iii. In case items are not sold in second auction, a third auction shall be done within three months from the closure of the 2nd auction, for which the reserve price will be 50% of the book value OR the highest quote in the last auction (whichever is higher).

iv. If the item is not sold in the third auction, all efforts shall be made for a fourth auction in another three months from the closure of the 3rd auction, where the reserve price shall be 25% of the book value OR the highest quote of the last auction (whichever is higher).

v. In case the items are not sold in the fourth auction, the items shall be considered as unsold and the items will be continued to be displayed in the NTPC website. The item may be disposed off to any quote of 25% of book value or above.

vi. Efforts to dispose these items will continue by displaying on the NTPC website. Emails are to be sent every six months to all other NTPC Projects with copies to all SEB's/ PSU's/ Subsidiaries / JVs/ IPPs with a request for possible use of these items. The items may be sold to any buyer for a reserve price of 25% of book value or above.

vii. After expiry of **THREE YEARS** from the date of first display in NTPC website, the item may be disposed to any buyer on first cum first serve basis with a reserve price as 5% of book value of the item (in line with system circular 94 clause 6.0 (c)).

4. **MONITORING OF THE SYSTEM**

The process of disposal of Unserviceable, Obsolete and Surplus NMI items shall be monitored and MIS generated as per the following procedure –

a. The reports of SSIDC shall be sent to the Regions, Corporate Materials and Corporate OS departments for necessary information by site Materials.

b. List of Surplus/ Unserviceable/ Obsolete items identified for disposal by SSIDC shall be periodically uploaded to NTPC website by Corporate Materials department.

c. Status of disposal actions and auctions shall be compiled every quarter by site Materials in the format specified in this procedure as 'Disposal Format A' (attached herewith) and sent to the Regions, Corporate Materials and Corporate OS departments for necessary information.

d. The format shall indicate the following -
   i. Items disposed directly to NTPC stations, SEB's, etc.
   ii. Results of all auctions for all Unserviceable, Obsolete and Surplus items under auction
   iii. Status of unsold items

e. Corporate Materials shall be the overall coordinator and owner of the process

f. This procedure shall be reviewed as and when required based on reports, feedbacks and experiences during implementation of the system.

23/11/15

(S. C. CHAVADY)
GENERAL MANAGER(CM)

Format- A

To be filled quarterly by Site C&M)

Station/ Project : _____

I. Status of Total Items disposed after display on NTPC website to other projects, SEB's, etc.

	Unserviceable	Obsolete	Surplus	Total
No of items disposed				
Disposal Value (in ₹)				
Cumulative No of items disposed value for the Fin year				
Cumulative disposal value for the Fin year				

II. Status of Total Items disposed from auctions

	Unserviceable	Obsolete	Surplus	Total
No of items disposed				
Disposal Value (in ₹)				
Cumulative No of items disposed value for the Fin year				
Cumulative disposal value for the Fin year				

III. Status of Total Unsold Items after activities in I and II

	Unserviceable	Obsolete	Surplus	Total
No of items				
Total Value of Item (in ₹)				
Cumulative No of items for the Fin year				
Cumulative item value for the Fin year				

--- x ---

DISTRIBUTION:

HEAD OF PROJECTS / STATIONS :

SSTPP/ KSTPP/ RSTPP/ FSTPP/ RHSTPP/ VSTPP/ KHSTPP/ BTPS/ TALCHER KANIHA/ TALCHER THERMAL/ FGUTPP/ ANTA/ AURAIYA/ KAWAS/ GANDHAR/ KAYAMKULAM/ NCTPP-DADRI/ FARIDABAD GPP/BONGAI GAON
SIMHADRI TPP/ TANDA/ KOLDAM/ SIPAT/ BARH/ TAPOVAN VISHNUGAD

HEADS OF MATERIALS/HEAD OF FINANCE/HEAD OF O&M :

SSTPP/ KSTPP/ RSTPP/ FSTPP/ RHSTPP/ VSTPP/ KHSTPP/ BTPS/ TALCHER KANIHA /TALCHER THERMAL/ FGUTPP/ ANTA/ AURAIYA/KAWAS/GANDHAR/ KAYAMKULAM/NCTPP-DADRI/FARIDABAD GPP/SLMHADRI TPP/ TANDA/
KOLDAM/SIPAT/ BARH/ TAPOVAN VISHNUGAD /BONGAIGAON

COPIES FOR INFORMATION PLEASE:

HEAD OF MATERIALS OF REGIONAL OFFICE: NR/SR/ER-I/ER-II/WR-I/WR-II/DBF -HQ

HOD (CS-P&S), EOC, NOIDA

AGM : JV/ASH UTILISATION/R&R/

GMs : LAW/CP/F/HR/IT & MS /ENV./OS/ FUEL MANAGEMENT/ IA

QI & PE/ ENGG. SERVICES/ R&D/ CENPEEP/ JVC/ PMI/

HR-SERVICES/ R&M/ HYDRO /CO. SECY./CM/CONSULTANCY

EDs : NR/SR/ER-I/ER-II/ WR-I/WR-II/DBF- HQ

ED (F)/ED (ENGG)/ED (OS)/ED (COMML)/ED (HYDRO)/GM(CQA) /ED (JV & CONSULTANCY)/ ED (CC&M)

ES TO CMD/D (F)/D (HR)/D (T)/D (PROJECTS)/D (O)/D (COMML.)/ CVO

CHAPTER-5.0

MATERIALS PLANNING & INVENTORY CONTROL

5.0 MATERIALS PLANNING AND INVETORY CONTROL

5.0.1 OBJECTIVE

The prime objective of this cell is to optimize Inventory in totality as well as to reduce the probability of Stock-Out situation. This cell is fully responsible for the Materials Planning and Inventory Control of stock items and will act as a bridge between the user and procurement group so that the stock balancing and availability of goods are maintained.

The Major Functions of this cell are:

A. Recommendation of Inventory Level (Safety Stock, Economic Order Quantity, Re-Order levels etc).

B. Planning of Indenting of Automatic Recoupment items.

C. Overall Inventory Management.

D. Coordination/ Liaison with all interface departments.

E. Co-ordination with Corporate Materials for Inventory Management (Classification, Codification, Surplus, Obsolete declaration and Scrap Disposal, Inventory Status etc.)

F. Inventory Management – Review and Analysis.

G. Coordination of Surplus and Obsolete items in consultation with User Department.

5.0.2 FUNCTIONS IN DETAIL

A. Recommendation on Inventory Level for A.R. Items

The responsibility includes study, analysis, evaluation and formulation of norms of items for the following parameters and review periodically once in a year:

Reorder Level

Maximum and minimum stock holding

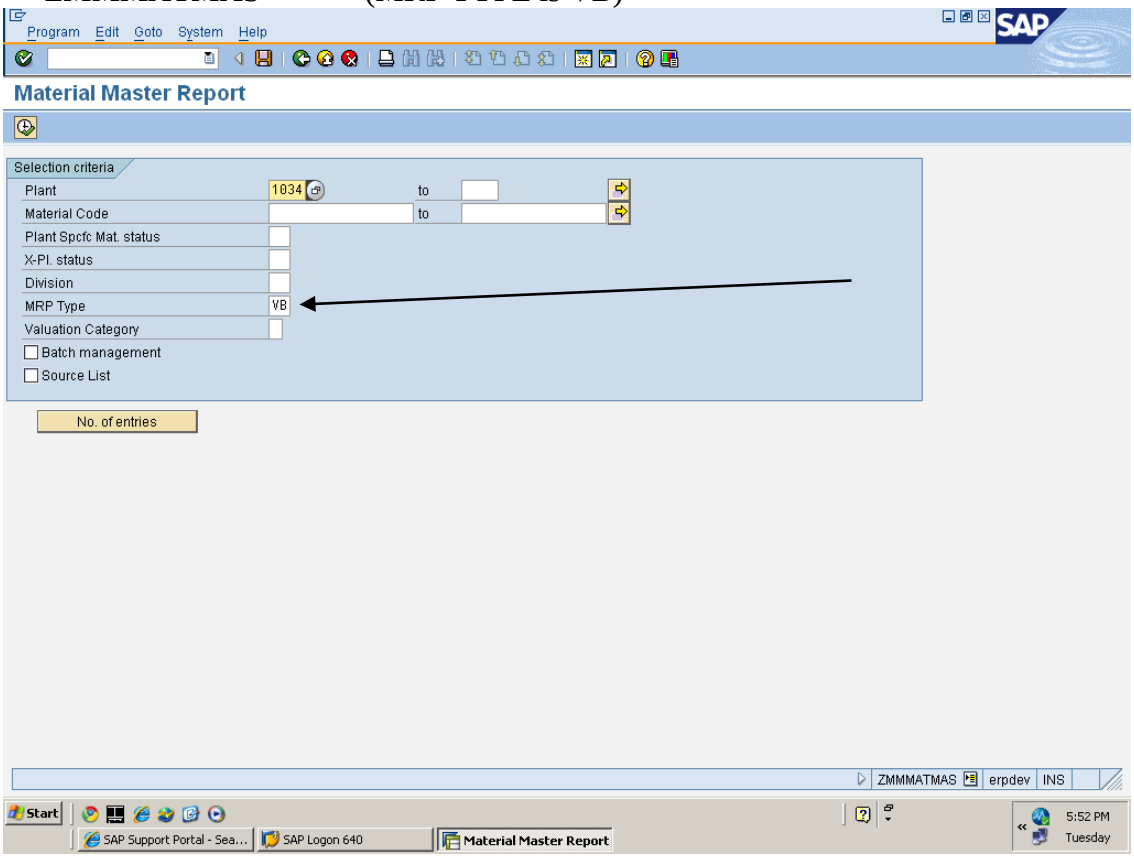
Economic Order Quantity

Safety Stock

B. MRP -Material Requirement Planning.

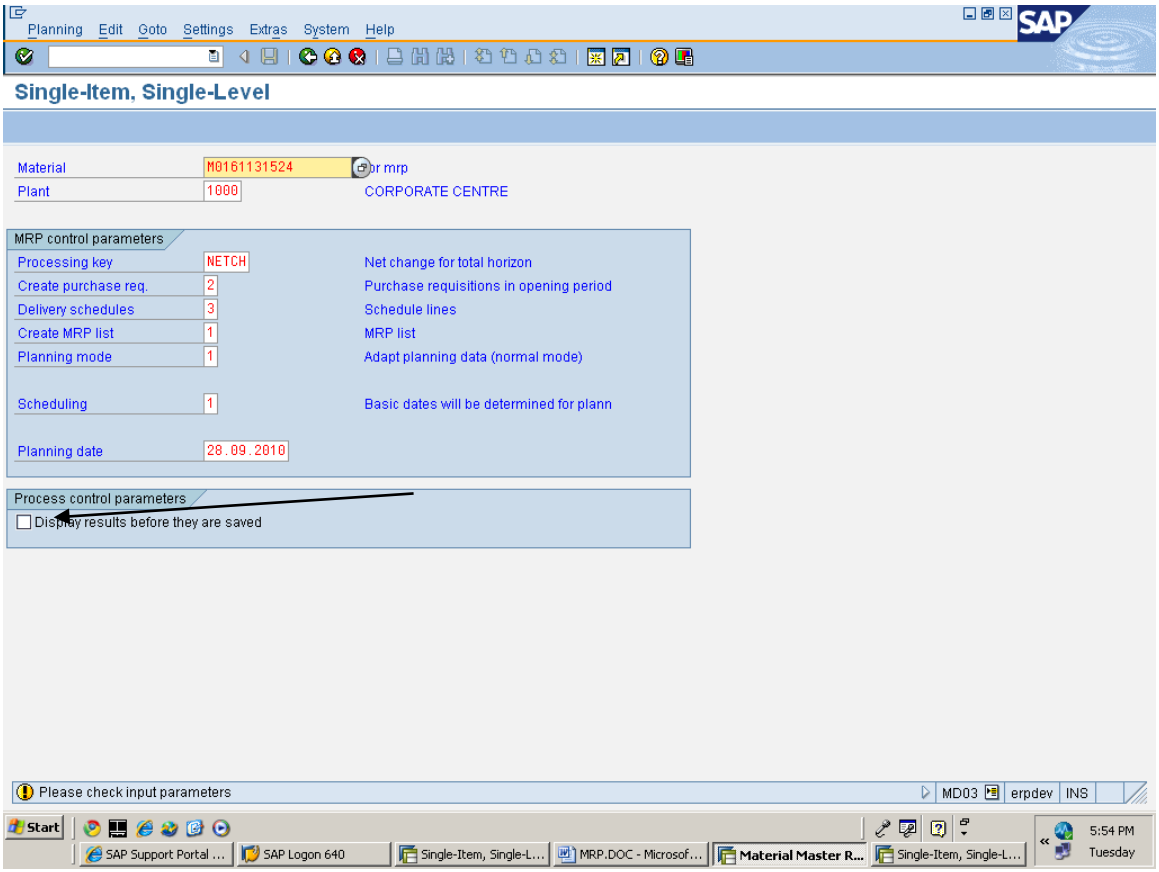
On SAP we can Plan the Stock of MRP activated Items for Stock Control Items.

1. To view materials having MRP activated (Stock Control Items)
   ZMMMATMAS (MRP TYPE is VB)

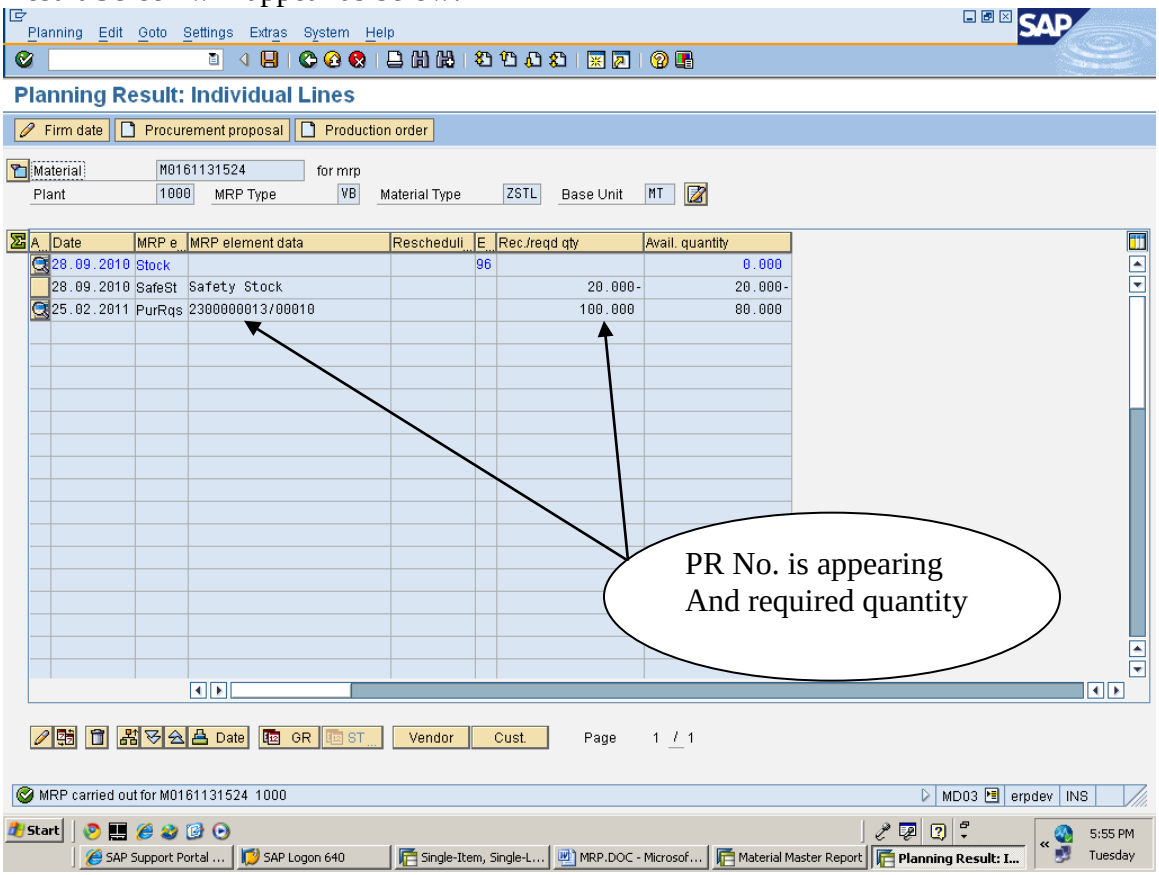


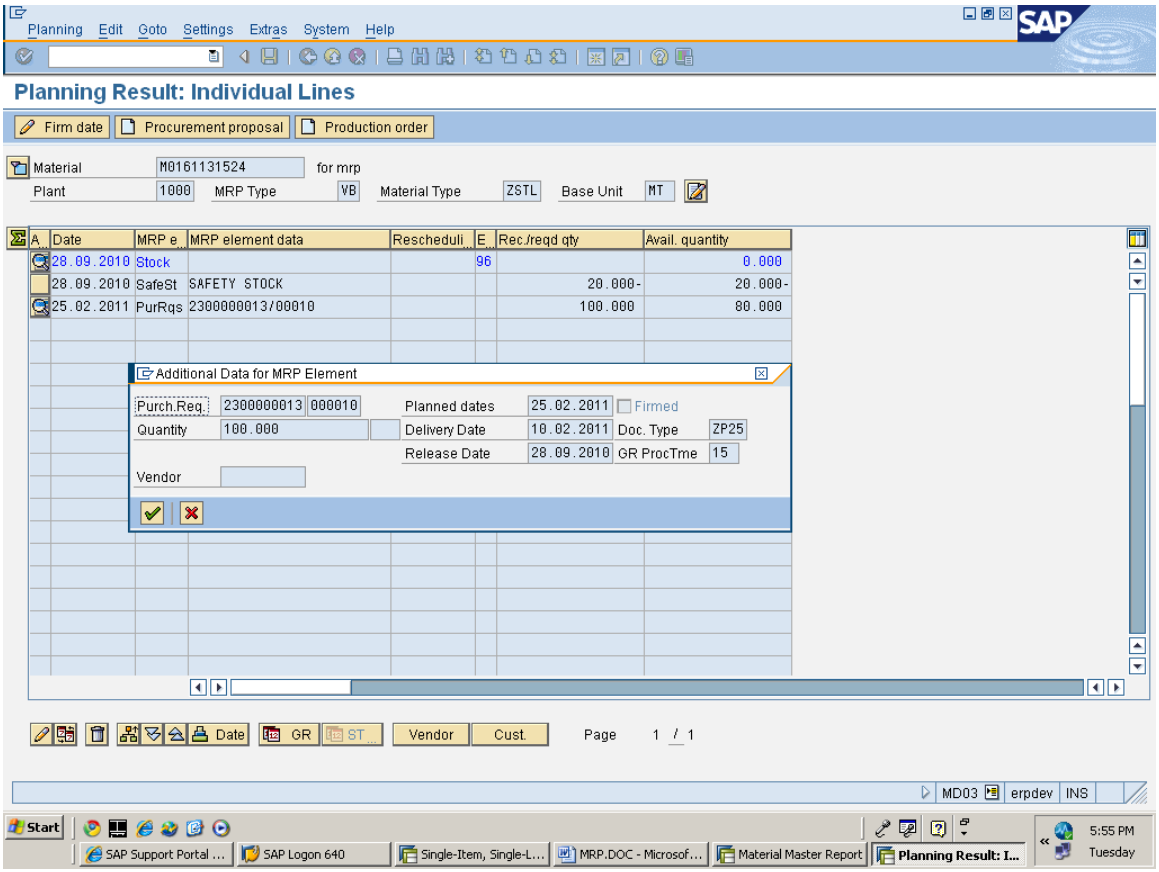
2. To Run MRP T code is MD03

Put Material Code & Plant
Processing Key: NETCH
Create PR 2
Delivery schedules: 3
Create MRP List 1
Planning mode: 1
Scheduling: 1
Planning date: current date
& tick on Display results before they are saved


Planning Edit Goto Settings Extras System Help
SAP
Single-Item, Single-Level
Material M0161131524 or mrp
Plant 1000 CORPORATE CENTRE
MRP control parameters
Processing key NETCH Net change for total horizon
Create purchase req. 2 Purchase requisitions in opening period
Delivery schedules 3 Schedule lines
Create MRP list 1 MRP list
Planning mode 1 Adapt planning data (normal mode)
Scheduling 1 Basic dates will be determined for plann
Planning date 28.09.2010
Process control parameters
Display results before they are saved
Please check input parameters
MD03 erpdev INS
Start
SAP Support Portal ...
SAP Logon 640
Single-Item, Single-L...
MRP.DOC - Microsof...
Material Master R...
Single-Item, Single-L...
5:54 PM
Tuesday

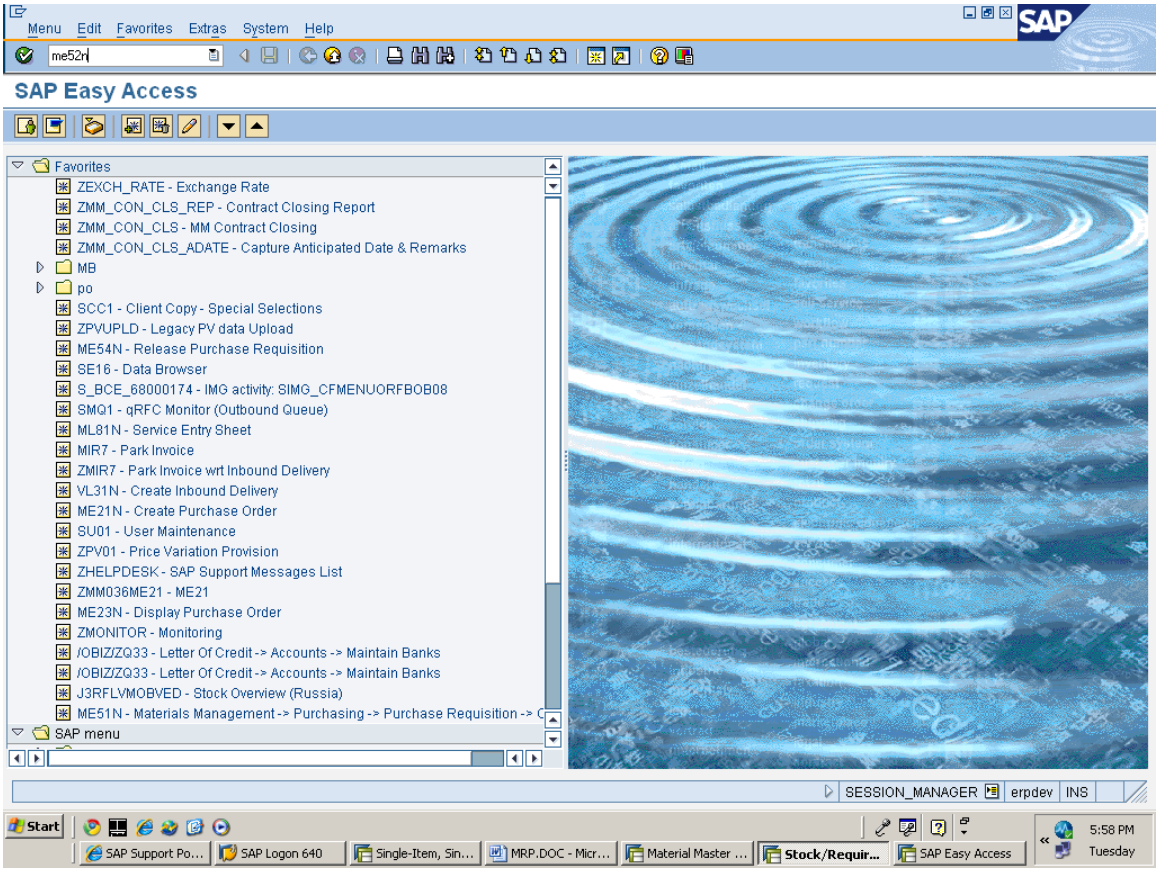
Result Screen will appear as below:

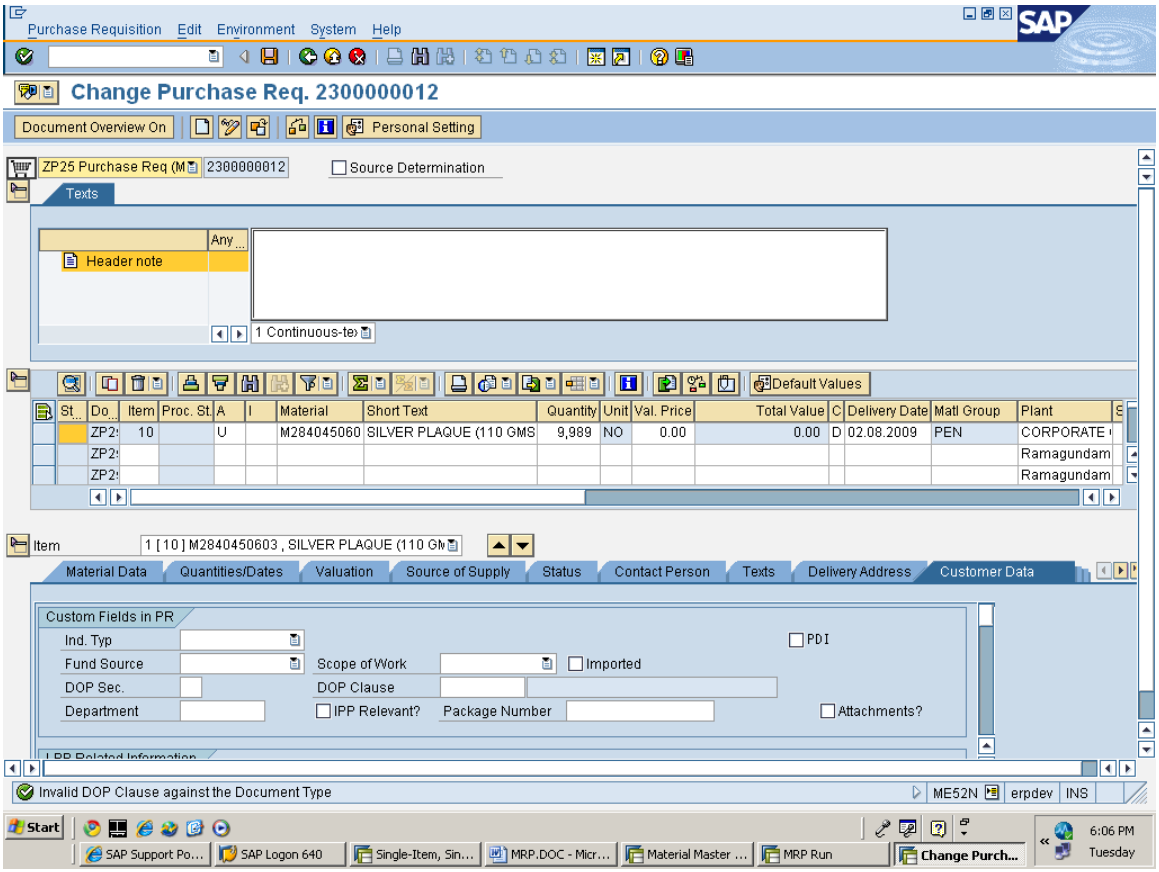




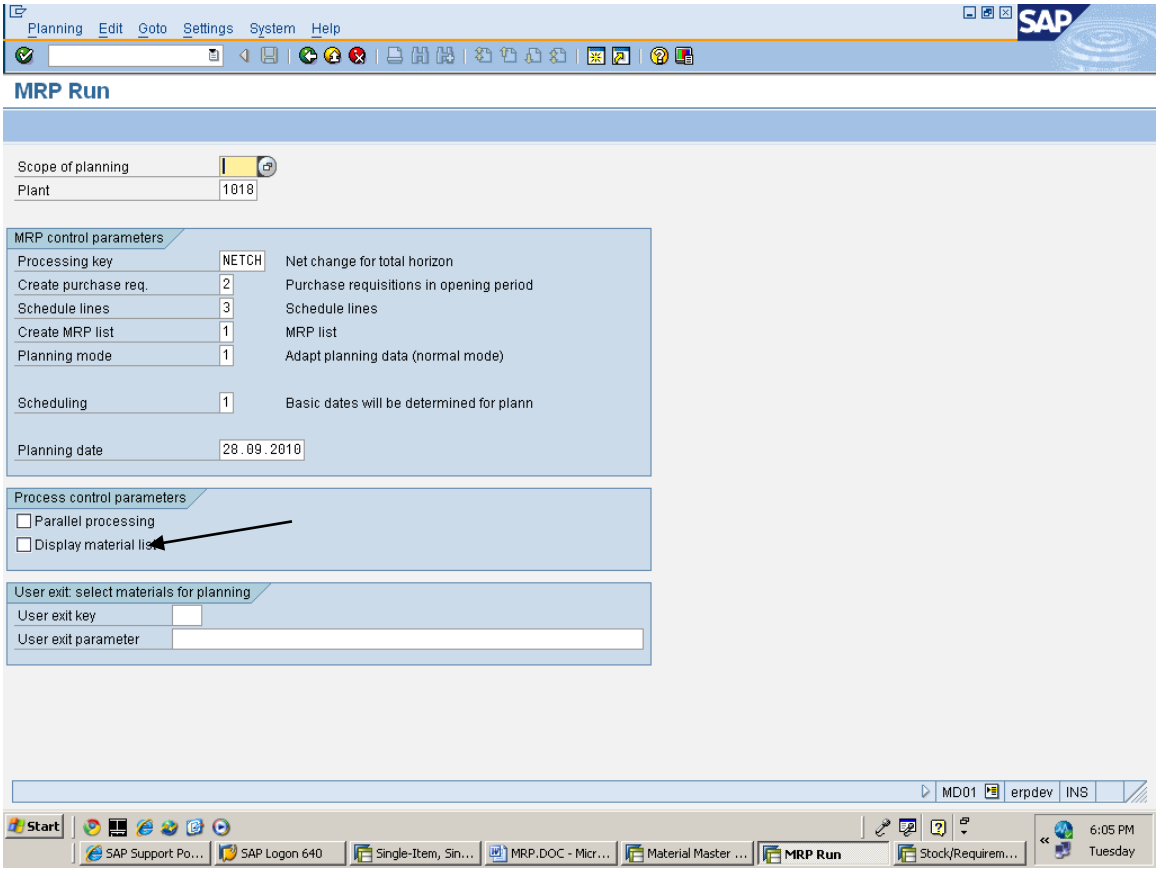
But this PR may not have release strategy

3. To change PR go to ME52N
   Select Appropriate DOP Section & clause in Customer data



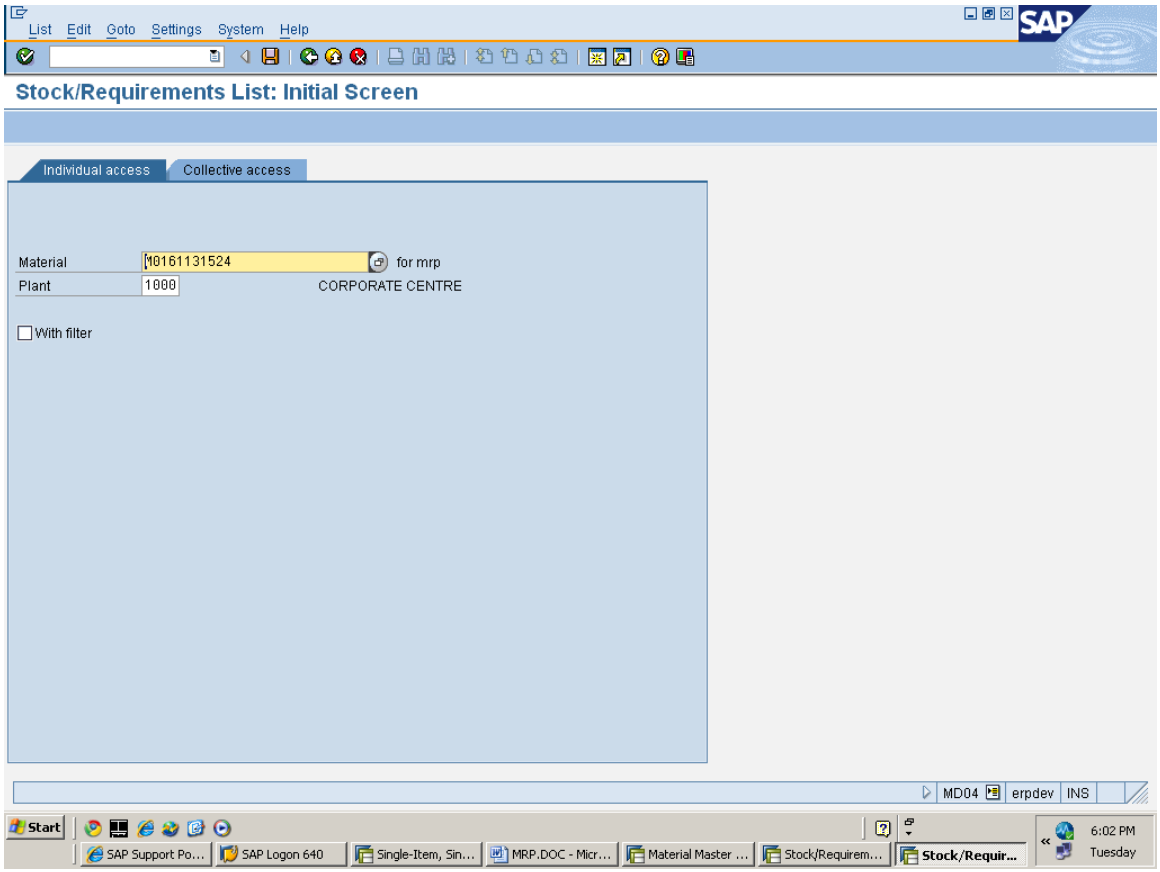

Purchase Requisition Edit Environment System Help
Change Purchase Req. 2300000012
Document Overview On
Personal Setting
ZP25 Purchase Req (M
2300000012
Source Determination
Texts
Header note
Any ...
1 Continuous-te
Default Values
St... Do... Item Proc. St. A I Material Short Text Quantity Unit Val. Price Total Value C Delivery Date Matl Group Plant
ZP2 10 U M284045060 SILVER PLAQUE (110 GMS 9,989 NO 0.00 0.00 D 02.08.2009 PEN CORPORATE
ZP2 Ramagundam
ZP2 Ramagundam
Item
1 [10] M2840450603 , SILVER PLAQUE (110 GM
Material Data
Quantities/Dates
Valuation
Source of Supply
Status
Contact Person
Texts
Delivery Address
Customer Data
Custom Fields in PR
Ind. Typ
PDI
Fund Source
Scope of Work
Imported
DOP Sec.
DOP Clause
Department
IPP Relevant?
Package Number
Attachments?
Invalid DOP Clause against the Document Type
ME52N
erpdev
INS
Start
SAP Support Po...
SAP Logon 640
Single-Item, Sin...
MRP.DOC - Micr...
Material Master ...
MRP Run
Change Purch...
6:06 PM
Tuesday

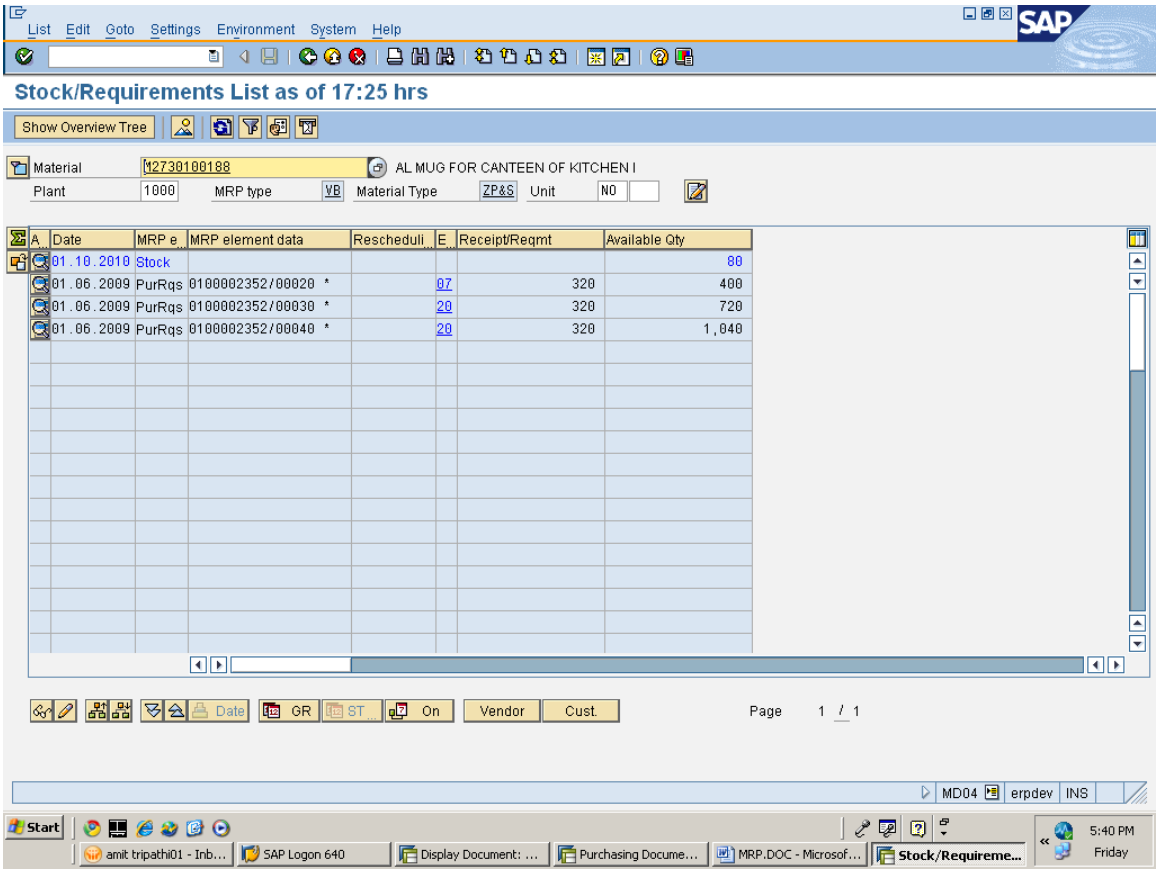
4. To Run MRP for all materials MD01
Rest all parameters remain same as MD03
Please tick on display material



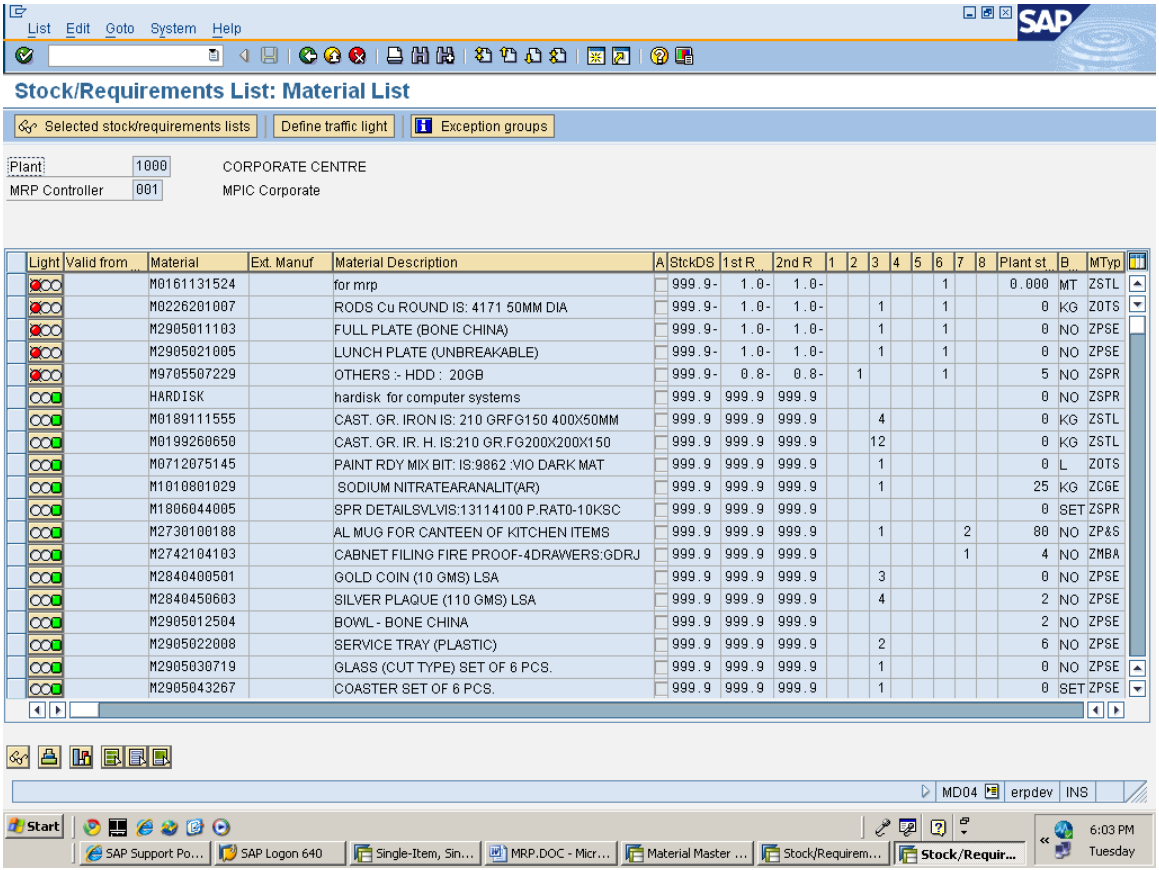
5. To View Stock Requirement list MD04

a. Individual access




List Edit Goto Settings Environment System Help
SAP
Stock/Requirements List as of 17:25 hrs
Show Overview Tree
Material 12730100188 AL MUG FOR CANTEEN OF KITCHEN I
Plant 1000 MRP type VB Material Type ZP&S Unit NO
A. Date MRP e.. MRP element data Rescheduli.. E.. Receipt/Reqmt Available Qty
01.10.2010 Stock 80
01.06.2009 PurRqs 0100002352/00020 * 07 320 400
01.06.2009 PurRqs 0100002352/00030 * 20 320 720
01.06.2009 PurRqs 0100002352/00040 * 20 320 1,040
Date GR ST On Vendor Cust.
Page 1 / 1
MD04 erpdev INS
Start
amit tripathi01 - Inb... SAP Logon 640 Display Document: ... Purchasing Docume... MRP.DOC - Microsof... Stock/Requireme...
5:40 PM
Friday

b. Collective access – Put MRP Controller 001



C. Overall Inventory Management

MPIC shall review the Inventory Status on case basis based on inventory report. The movement analysis of each A- class item shall be done in order to make the turnover ratio higher and based on actual consumption rate the Purchase Requisition for future procurement shall be raised. However, For B-Class and C-class items review of movement shall be done on Quarterly & Half yearly basis respectively for keeping an eye on the latest consumption pattern to have proper inventory control. Further, the Min. & Max stock level, EOQ, Safety and other parameters shall be accordingly reviewed periodically for AR items.

D. Co-ordination / Liaison with Interface Department

This cell shall co-ordinate with User Departments regarding all the activities related to Purchase Requisition by MPIC, who will consolidate the total requirement and raise the Purchase Requisition. After approval, the Purchase Requisition shall be sent to Purchase section. For stock control items, the technical scrutiny shall be done by MTP.For O&M (predominantly) & general nature items, the same shall be done by Technical Service department. The tender committee member shall also be nominated from the respective department (MTP or TS) as the case may be.

E. Adoption & Formulation of Management Systems & Procedures

This cell shall be responsible for adapting the Corporate Systems and guidelines for all the materials management functions specifically related to stores and formulate procedural guidelines for materials activities suiting to respective sites based on local requirements.

F. Co-ordinating with Corporate Materials.

This cell shall co-ordinate with Corporate Materials for revision, modification of various system manuals and procedures / guidelines with the appropriate proposals and relevant details. The cell shall also undertake the job of manpower protection for their respective material management Departments through Corporate Materials Department who shall further compile and process the case for manpower sanction with personnel Department.

G. Inventory Management – Review & Analysis

Items shall be categorized under the classification of ABC, XYZ, FSN, VED etc. on the basis of consumption value, holding, movement, criticality etc. These are to be reviewed periodically and action plan with respect to yearly Consumption, Reception, Receipts, Issues and Stock are to be projected. Analysis by way of Matrix Integration i.e. AX etc. is to be done to highlight the criticality / consumption value. The list of non-moving and slow moving items are to be declared on the basis of above analysis and to be circulated among all the projects with a copy to Corporate Materials group as per the frequency to be decided by Corporate Material Management for suitable action towards consumption / reduction / transfer of stocks and finally decision is to be taken for disposal of non moving items.

The following broad guidelines shall be followed in respect of the frequency of procurement of various types of items under the periodic review system both for Construction & Operational requirement.

Sl No.	Class of items	Placement of order	Phasing delivery
1	'A' items	Once in 6 months	Maximum of 3 months' requirement to obtained at a time. To be fixed on The basis of inventory norms.
2	'B' items	Once in a year	Maximum of 6 months' requirement To be purchased.
3	'C' items	Once in 2 years	Maximum of three year's requirements may be obtained at a time. Staggered supply is recommended to take care of problems regarding space.

C. Identification of Surplus & Obsolete items As per Circular no-97

This cell shall analyze the movement of individual items and list out the items, which have not moved for the last Five (5) years on the date of analysis. Subsequently, the reasons for non-movement of items may be analyzed in consultation with the users and shall be listed. On the basis of detailed reasons, items shall be declared as Surplus, Obsolete or Expired with the approval of competent authority with proper certification against each code so that for future procurement this shall be taken care of. This list of Non-moving spares for the purpose of disposal may be displayed on NTPC Websites and the list shall be forwarded to SSIDC for final action for its disposal.

CHAPTER-6.0

POLICY PLANNING & MONITORING

6.0 POLICY PLANNING AND MONITORING FOR MATERIALS MANAGEMENT

6.0.1 INTRODUCTION

During commercial operation of the plant, degree of Materials Management activities increases many fold and to gear up the activities it is required to face the challenge of optional supply and demand of plant inputs. To meet such cross-functional utility, a cell may be formed under direct reporting to Head of Materials and Contracts Services. The major duties and responsibilities may be framed as under: -

1. Planning & Budgeting of Resource Requirements for Materials & Contract Services.
2. Orientation of Manpower & review of Organization Structure.
3. Fixation of Lead-time for various activities (as below) at purchase and Stores Section.
   i) Purchase Requisition to Purchase Order (activity wise)
   ii) Receipt of GR to Parking of Invoice/Final SRV (activity wise)
4. Benchmarking of Activities
5. Preparation of ISO Policies & Procedures.
6. Ensure Implementation of ISO Policies & Procedures strictly.
7. Review of Work Flow Systems and Lead-time.
8. Arrangement of Monthly Review Meeting & Generation of MIS for review meeting.
9. General Administration Related to Tender Opening, Data Systems and Co-ordination with other Department for policy decision.
10. Interaction with Corporate Materials in regards to Systems & Procedures, Manpower Planning etc.
11. Regularization of the deviation from the laid down policies and procedures if any due to local abnormalities.
12. Co-ordination with different wings of inventory management towards timely accomplishment of the tasks assigned under the policies framed by this group.

CHAPTER-7.0

SUB-STORES

7.0 SUB - STORES

7.0.1 OBJECTIVE

It is not possible for Central Stores to cater the requirement of the users round the clock and cannot issue stores on piecemeal basis, as and when required in small quantities. As such establishment and operation of Sub stores concept came into existence under administrative control of the particular O&M group to which it is attached and are meant to cater the availability of material as and when required by various users of O&M department.

7.0.2 NO. OF SUB STORES & ITS LOCATION

In view of better operation, planning, inventory of Sub-Stores and administrative control, the number of sub stores shall be decided by HOD (O&M)

7.0.3 WORKING PROCEDURE

User section create the reservation in 311 Mvt. for shift of material from Central stores to sub stores. After control of reservation by Central stores concern the stock visible in Sub-Stores stock. Physically Material transfer from Central Stores to Sub Stores through stores issue voucher cum gate pass.

CHAPTER-8.0

MATERIAL CLASSIFICATION AND CODIFICATION

8.0 CODIFICATION

8.0.1 INTRODUCTION

Prime objective of codification is 'Single meaningful code for a particular type of material which should either be readily available in the SAP material directory or may be created by the users on time without facing any difficulty.

8.0.2 SPECIFICATION BASED ITEMS

Items which are codified based on specification and procured from open market on competitive bidding are designated as specification based items. Example: fasteners, packing items, paints, pipes & pipefittings, electrodes, stationery and personal use items etc.

8.0.3 REFERENCE BASED ITEMS

Items which are codified based on make, model, part no and drawing no and are procured from specific manufacturer/dealer on Proprietary/single tender basis are designated as reference based items. To develop any item where there is no make & model/manufacturer drg/mfr. drg no/part no or to develop item at reduced cost, NTPC drawing to be developed giving own part no and it be circulated to other plants where the same/similar equipments are in operation. However, it may be done with the approval of competent authority. Example: Pumps and motors of specific make and its spares and spares of all plant equipment, which are not interchangeable.

8.0.4 TEN DIGIT CODE STRUCTURE

FOR SPECIFICATION BASED ITEMS			
MAIN GROUP (1^{ST}&2^{ND} DIGITS) (MAIN CLASSIFICATION ITEM)	**SUB GROUP** (3^{RD}&4^{TH} DIGITS)(SUB CLASSIFICATION OF ITEM)	**SUB-SUB GROUP** (5^{TH}&6^{TH} DIGITS) (MAIN ITEM/MAKE/IS NO ETC VARIED FROM MG TO MG)	**VARIOUS PARAMETERS** (7^{TH},8^{TH},9^{TH}&10^{TH} DIGITS) (STRUCTURE SHOWN IN RELEVANT SUBSEQUENT PAGES)
XX	XX	XX	XXXX

FOR REFERENCE BASED ITEMS			
MAIN GROUP (1^{ST}&2^{ND} DIGITS) (MAIN CLASSIFICATION OF ITEM)	**SUB GROUP** (3^{RD}&4^{TH} DIGITS) (SUB CLASSIFICATION OF ITEM)	**SUB-SUB GROUP** (5^{TH}&6^{TH} DIGITS) (MAKE AND MODEL)	**VARIOUS PARAMETERS** (7^{TH},8^{TH},9^{TH}&10^{TH} DIGITS) (SL NO LINKED WITH CONCERNED 5TH&6TH DIGITS.
XX	XX	XX	XXXX

NOTE: Some schemes are of 9 digits and the tenth digit is check digit. In ingress system, though under menu no 10 of main menu no.9, check digit can be obtained by putting 9-digit code, the method of finding check digit is shown by an example: Let the code is 110299003. Write 731731731 under the code. Multiply the digits at respective places and add. Divide the sum by 10 and obtain remainder. Subtract the remainder from divisor and the result is the check digit. (110299003) X (731731731).

(1x7) + (1x3) + (0x1) + (2x7) + (9x3) + (9x1) + (0x7) + (0x3) + (3x1) =63,

Divide 63/10 and get remainder 3. Subtract 3 from divisor (10) and check digit will be 7.

8.0.5 MAIN GROUP (MG) CLASSIFICATIONS

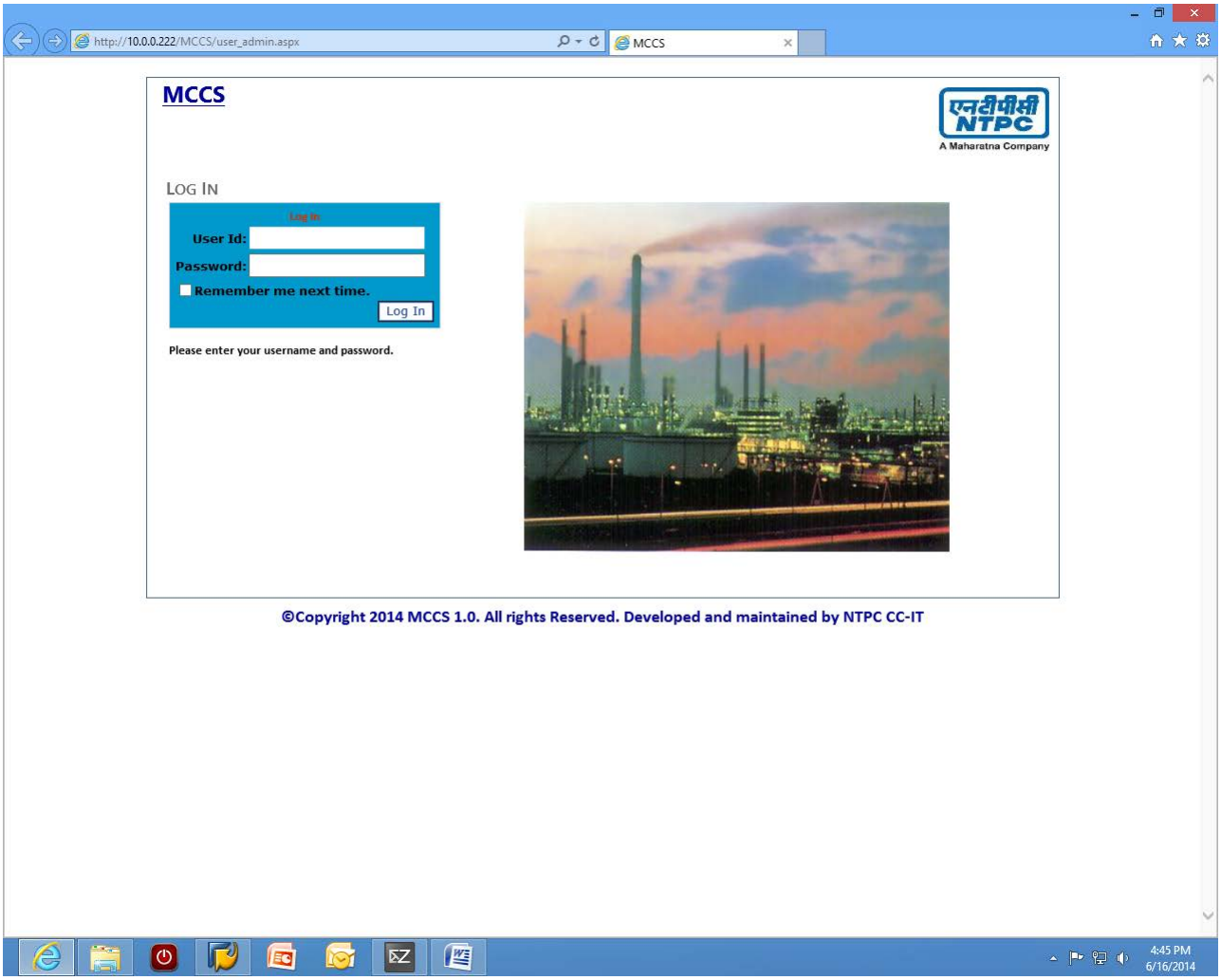
All the items used in NTPC are classified under 70 main groups of two digits (1st and 2nd) as detailed below:

MG	MAIN GROUP DESCRIPTION
00	SCRAP
01	FERROUS
02	NON FERROUS
03	NON METALLIC
04	THERMAL INSULATION
05	PACKING
07	SURFACE COATING MATERIAL
10	CHEMICALS AND GASES
11	OILS & LUBRICANTS
14	MEDICINE & MEDICAL EQUIPMENTS
15	FASTENERS
16	PIPES AND HOSES
17	PIPE FITTINGS AND FLANGES
18	VALVES, STRAINERS, TRAPS
19	BEARING & ACCESSORIES
20	TECH. POWER TRANSMISSION SYSTEM
21	BUILDING HARDWARES
22	TOOLS, TACKLES&ACCESSORIES
23	CUTTING TOOLS, ABRASIVES&ACCESSORIES
24	WELDING ELECTRODES&ACCESSORIES
26	LABORATORY ITEMS
27	FURNITURE
28	OFFICE STATIONERY
29	PERSONAL USE/DOMESTIC ITEMS
31	PUMP-I
32	PUMP-II

33	PUMP-III
34	COMPRESSORS
35	INDUSTRIAL FANS AND BLOWERS
37	SPARES FOR VALVES
42	AUXILIARY BOILER
43	TURBO GENERATOR 660 MW
44	BOILER 660 MW
45	BOILER 60 TO 110 MW
46	BOILER 200/210 MW
47	BOILER 500 MW
49	TURBO GENERATOR 60-190 MW
50	TURBO GENERATOR 200/210 MW
51	TURBO GENERATOR 500 MW
52	GAS TURBINE GENERATOR
53	DIESEL GENERATOR SET (DG SET)
54	FUEL MANAGEMENT & LUBE HANDLING SYSTEM
55	COAL HANDLING PLANT
56	ASH HANDLING&ASH UTILIZATION SYSTEM
57	C.W. SYSTEM
58	WATER TREATMENT SYSTEM
59	HYGROGEN GENERATION PLANT
62	WORKSHOP ITEMS
63	CRANES, HOISTING, LIFTING & MATL HANDLING EQUIP.
65	CONST. EARTH MOVING&AUTOMATIVE VEHICLES
66	AIR CONDITIONING&VENTILATION SYSTEM
68	FIRE FIGHTING SYSTEM
70	ENGINES (WITHOUT VEHICLES)
71	LOCOMOTIVE
74	WAGON
75	RAIL TRACK AND SIGNALLING SYSTEM
76	HYDROELECTRIC PROJECT
81	CABLE CONDUCTORS AND ACCESSORIES
82	ELECTRICAL LAMPS, FITTINGS, INSTALATION MATL.
83	ELECTRICAL CIRCUIT COMPONENTS
85	SWITCHGEAR
86	MOTORS
87	TRANSFORMERS
90	RELAY
92	UPS AND POWER BACKUP UNIT
94	CONTROL AND INSTRUMENTATION
95	DAS/DCS AND PLC SYSTEM

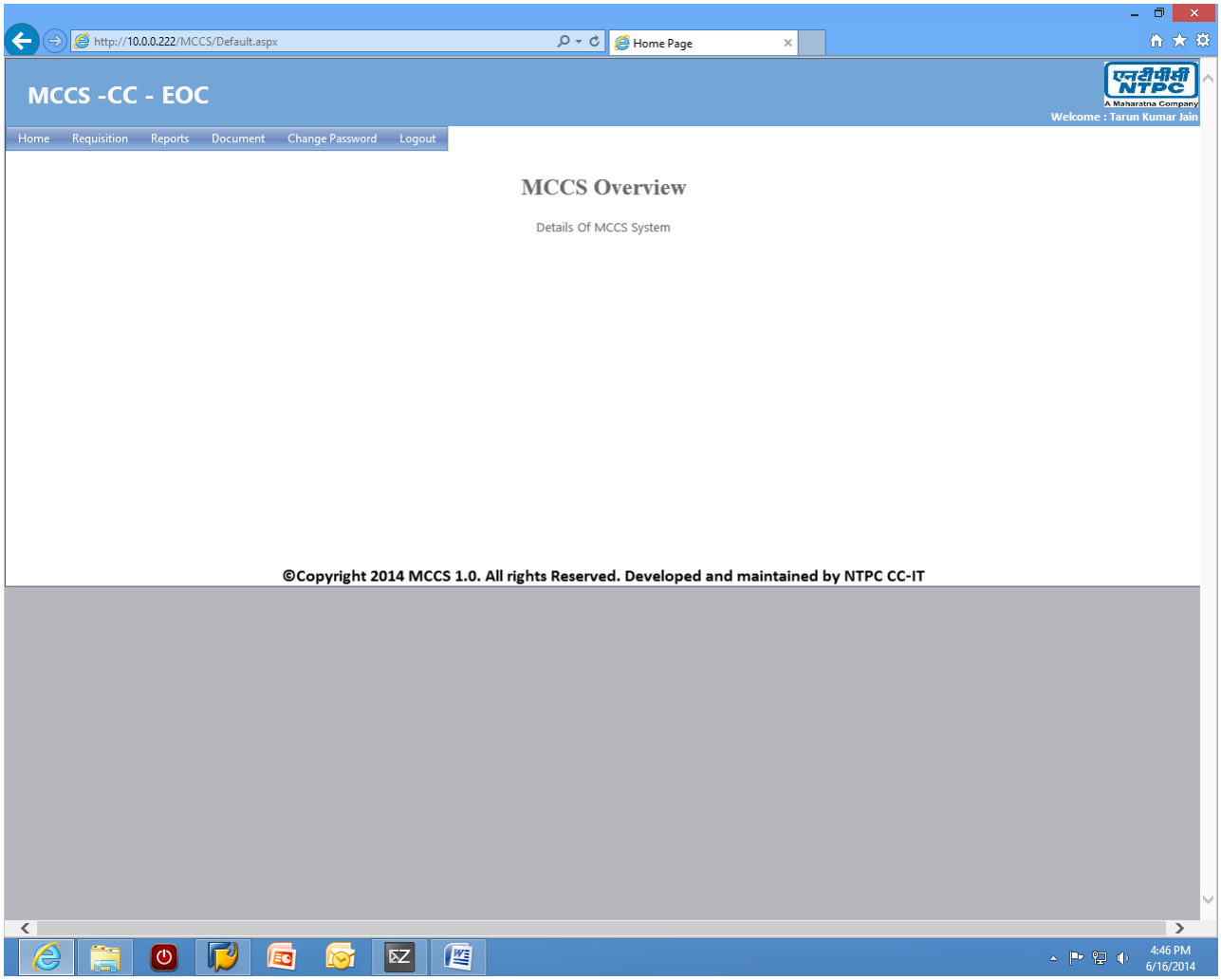
96	COMMUNICATION SYSTEM
97	IT & COMMUNICATION
98	SIMULATOR

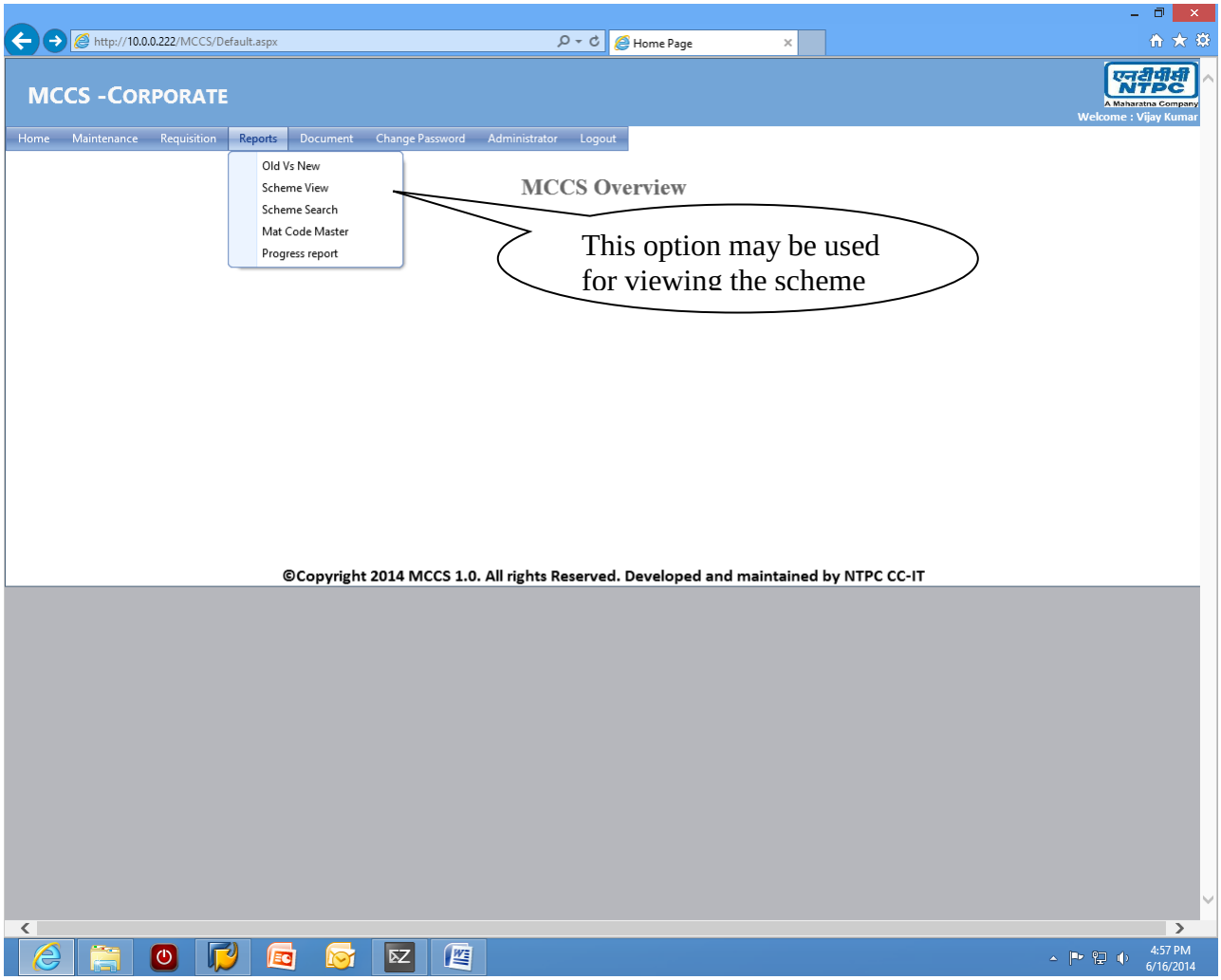
8.0.6 Procedure of getting new material code through MCCS System:



User ID and password will be 6-digit employee number by default.
Kindly change password after 1st Login.

http://10.0.0.222/MCCS/user_admin.aspx
MCCS
MCCS
A Maharatna Company
LOG IN
Log In
User Id: 002568
Password:
Remember me next time.
Log In
Please enter your username and password.
©Copyright 2014 MCCS 1.0. All rights Reserved. Developed and maintained by NTPC CC-IT
4:46 PM
6/16/2014


http://10.0.0.222/MCCS/Default.aspx
Home Page
MCCS -CC - EOC
A Maharatna Company
Welcome : Tarun Kumar Jain
Home
Requisition
Reports
Document
Change Password
Logout
MCCS Overview
Details Of MCCS System
©Copyright 2014 MCCS 1.0. All rights Reserved. Developed and maintained by NTPC CC-IT
4:46 PM
6/16/2014


http://10.0.0.222/MCCS/Default.aspx
Home Page
MCCS -CORPORATE
A Maharatna Company
Welcome : Vijay Kumar
Home
Maintenance
Requisition
Reports
Document
Change Password
Administrator
Logout
Old Vs New
Scheme View
Scheme Search
Mat Code Master
Progress report
MCCS Overview
This option may be used for viewing the scheme
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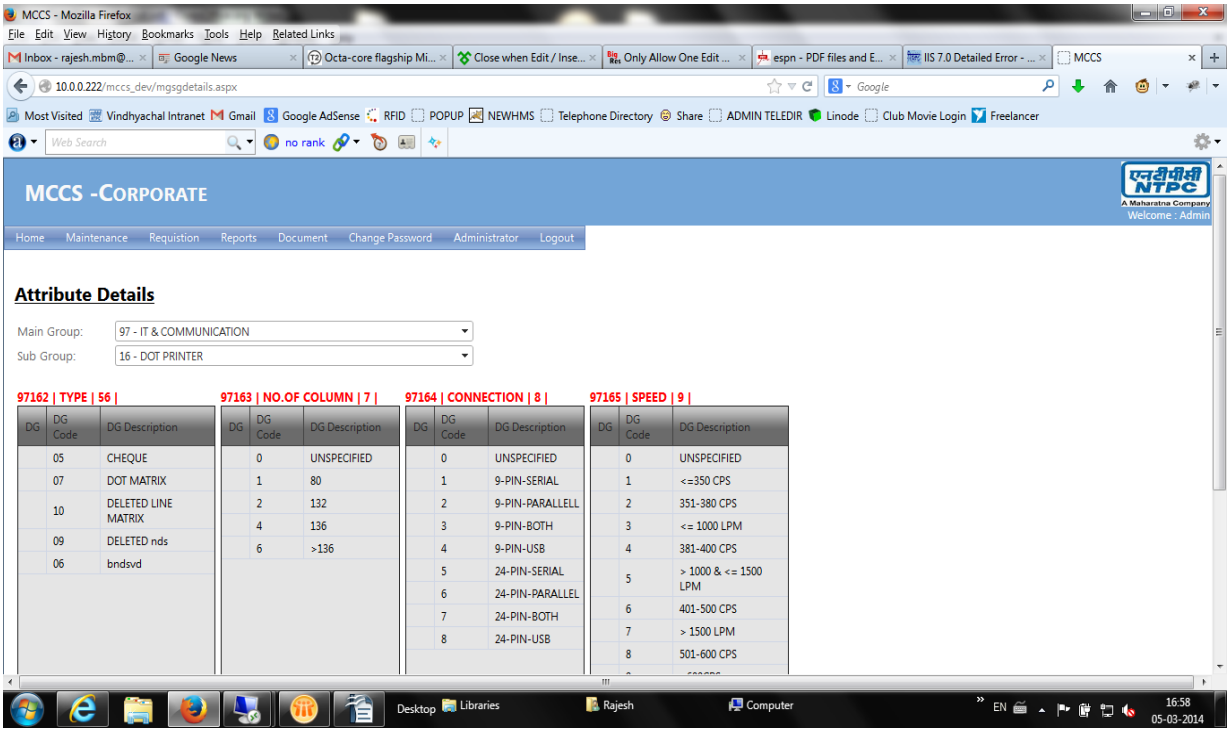
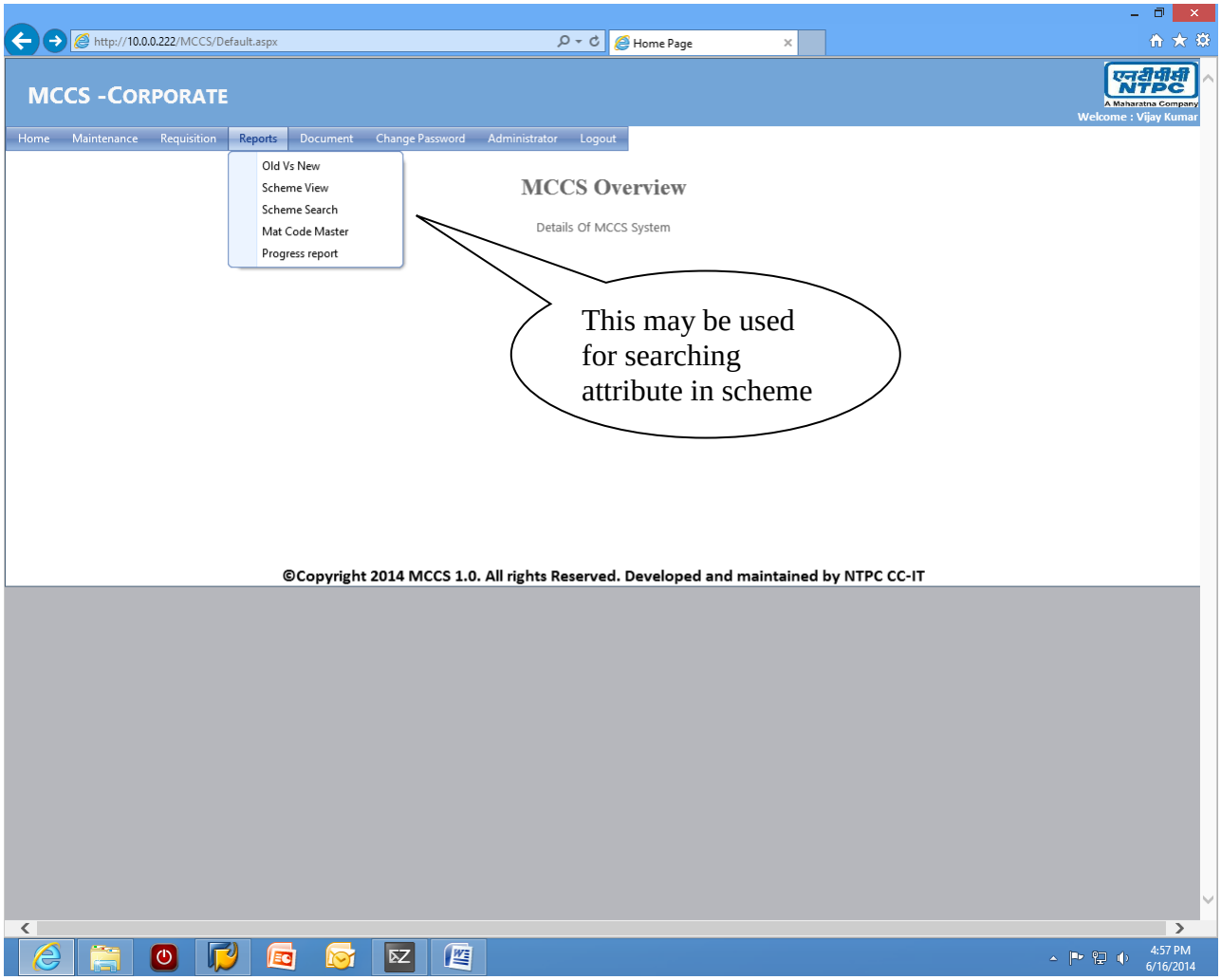
4:57 PM
6/16/2014

Scheme View :

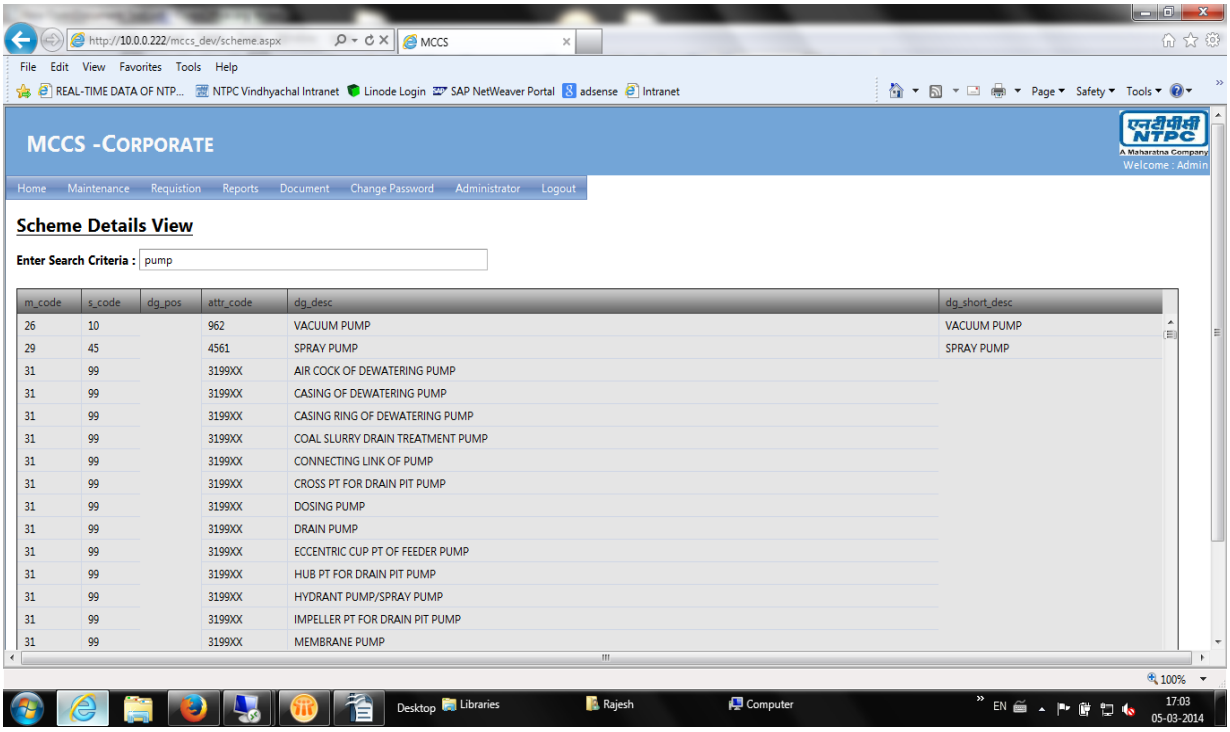
This screen displays all attribute codes and possible values for these attributes code for a Particular Main Group and Sub Group




http://10.0.0.222/MCCS/Default.aspx
Home Page
MCCS -CORPORATE
Welcome : Vijay Kumar
Home
Maintenance
Requisition
Reports
Document
Change Password
Administrator
Logout
Old Vs New
Scheme View
Scheme Search
Mat Code Master
Progress report
MCCS Overview
Details Of MCCS System
This may be used for searching attribute in scheme
©Copyright 2014 MCCS 1.0. All rights Reserved. Developed and maintained by NTPC CC-IT
4:57 PM
6/16/2014

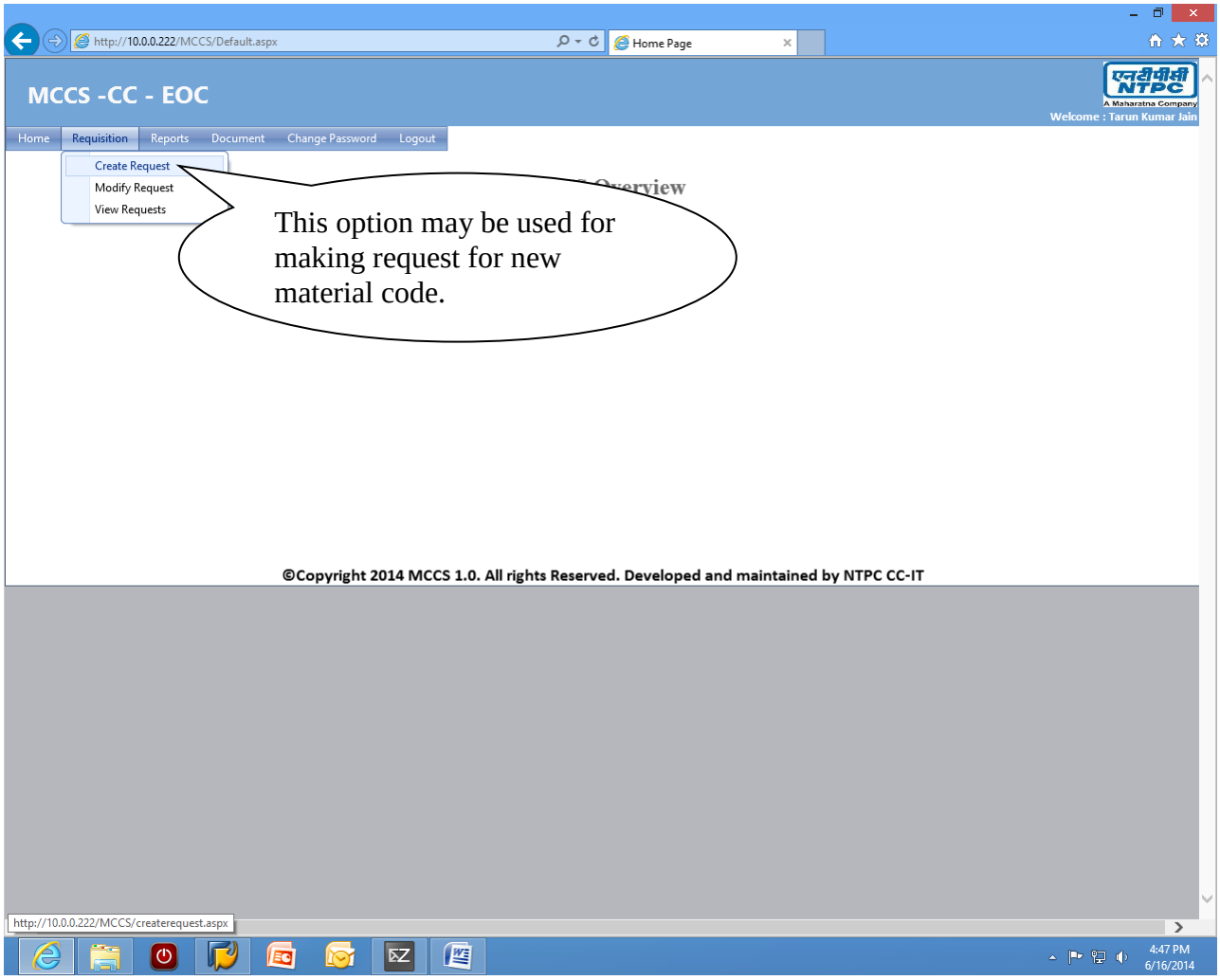
Scheme search:

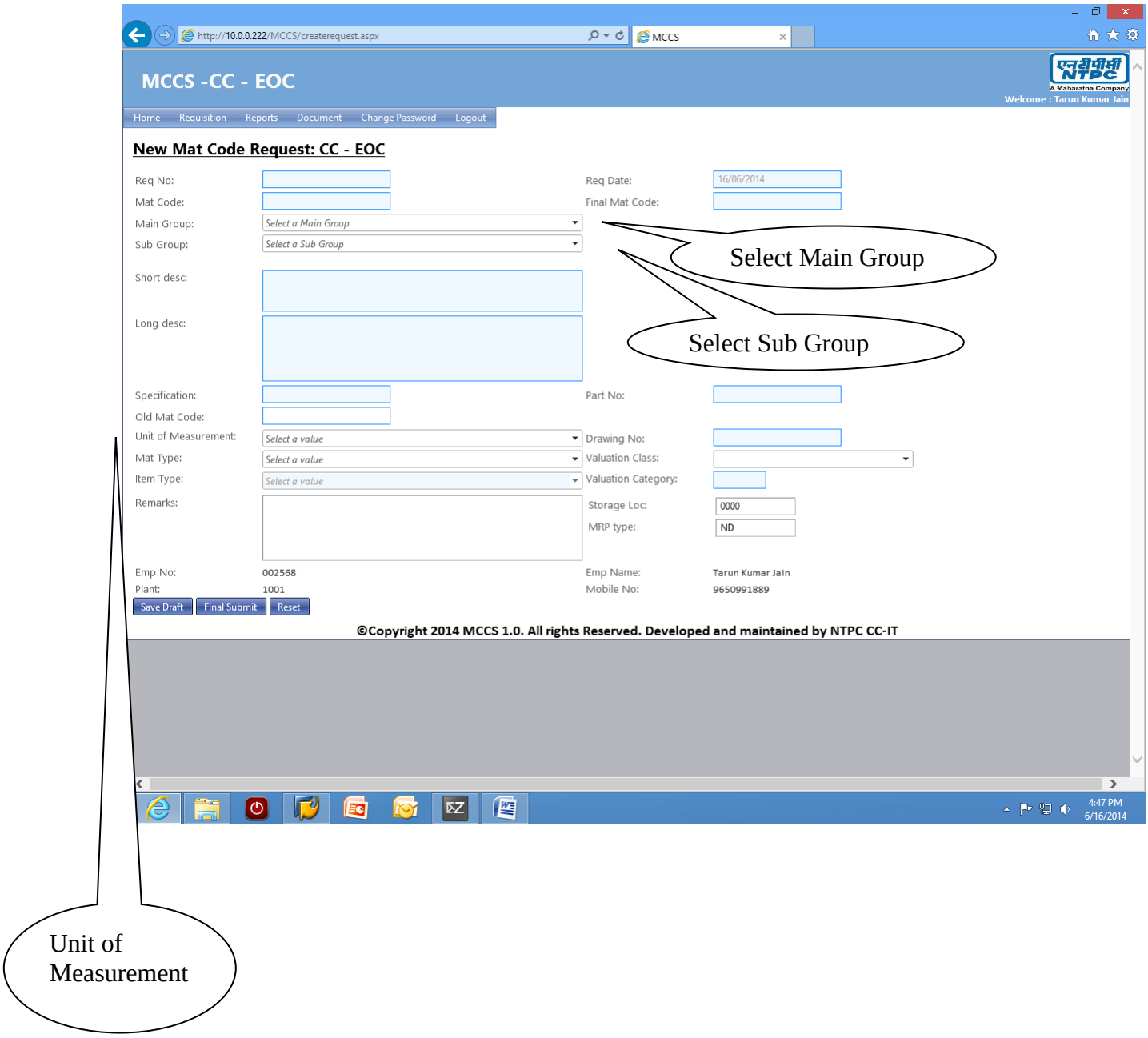
This screen Displays all Attribute values containing a specified keyword



Request Creation for New Mat. Code

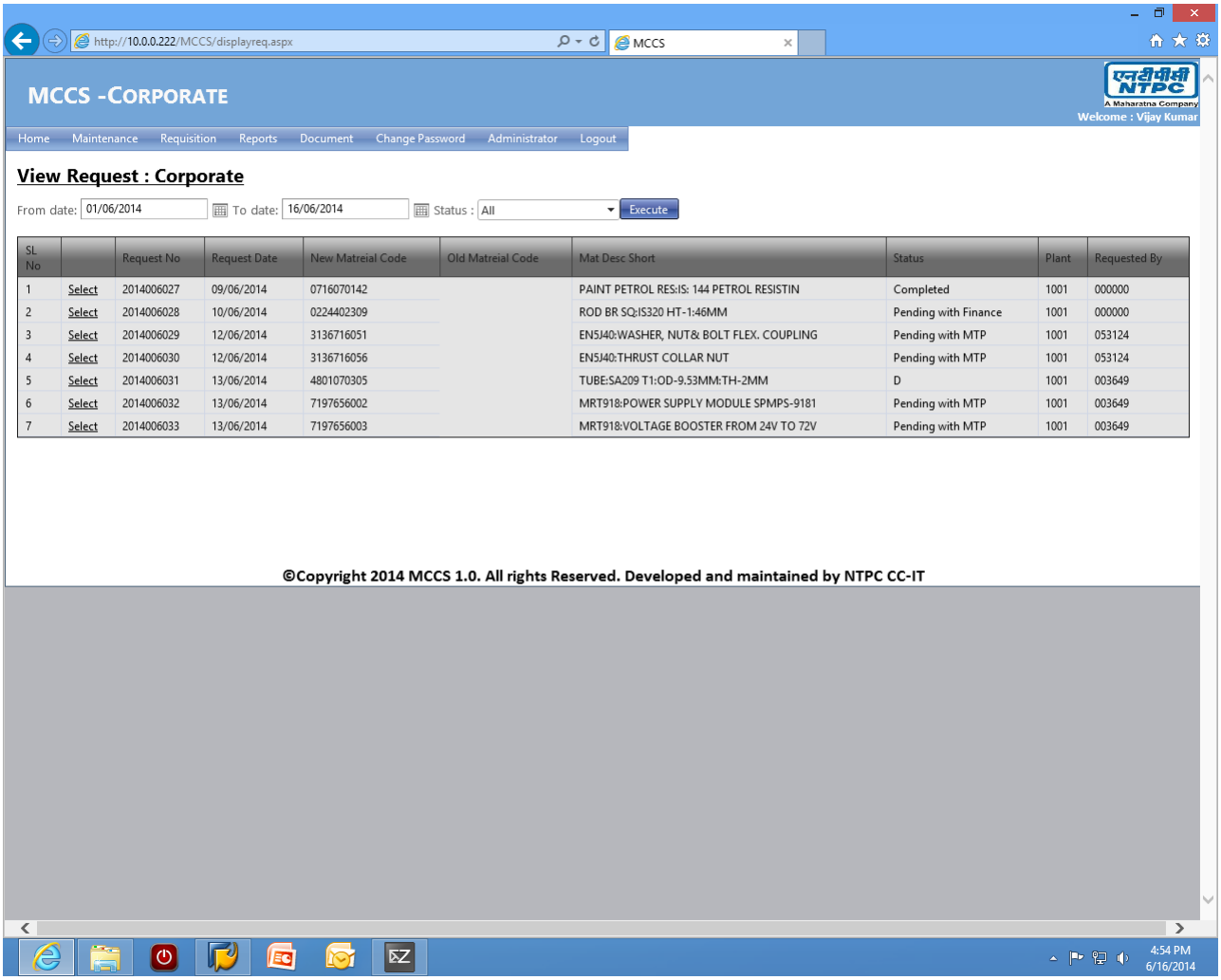
This is used to create a request for new mat code by selecting Main group,Sub Group and attribute values from drop-downs. Non editable fields have different color. You can save the request as a draft for further modification.




http://10.0.0.222/MCCS/createrequest.aspx
MCCS
MCCS -CC - EOC
Welcome : Tarun Kumar Jain
Home
Requisition
Reports
Document
Change Password
Logout
New Mat Code Request: CC - EOC
Req No:
Req Date:
16/06/2014
Mat Code:
Final Mat Code:
Main Group:
Select a Main Group
Sub Group:
Select a Sub Group
Short desc:
Long desc:
Specification:
Part No:
Old Mat Code:
Unit of Measurement:
Select a value
Drawing No:
Mat Type:
Valuation Class:
Item Type:
Valuation Category:
Remarks:
Storage Loc:
0000
MRP type:
ND
Emp No:
002568
Emp Name:
Tarun Kumar Jain
Plant:
1001
Mobile No:
9650991889
Save Draft
Final Submit
Reset
©Copyright 2014 MCCS 1.0. All rights Reserved. Developed and maintained by NTPC CC-IT
4:47 PM
6/16/2014
Select Main Group
Select Sub Group
Unit of Measurement

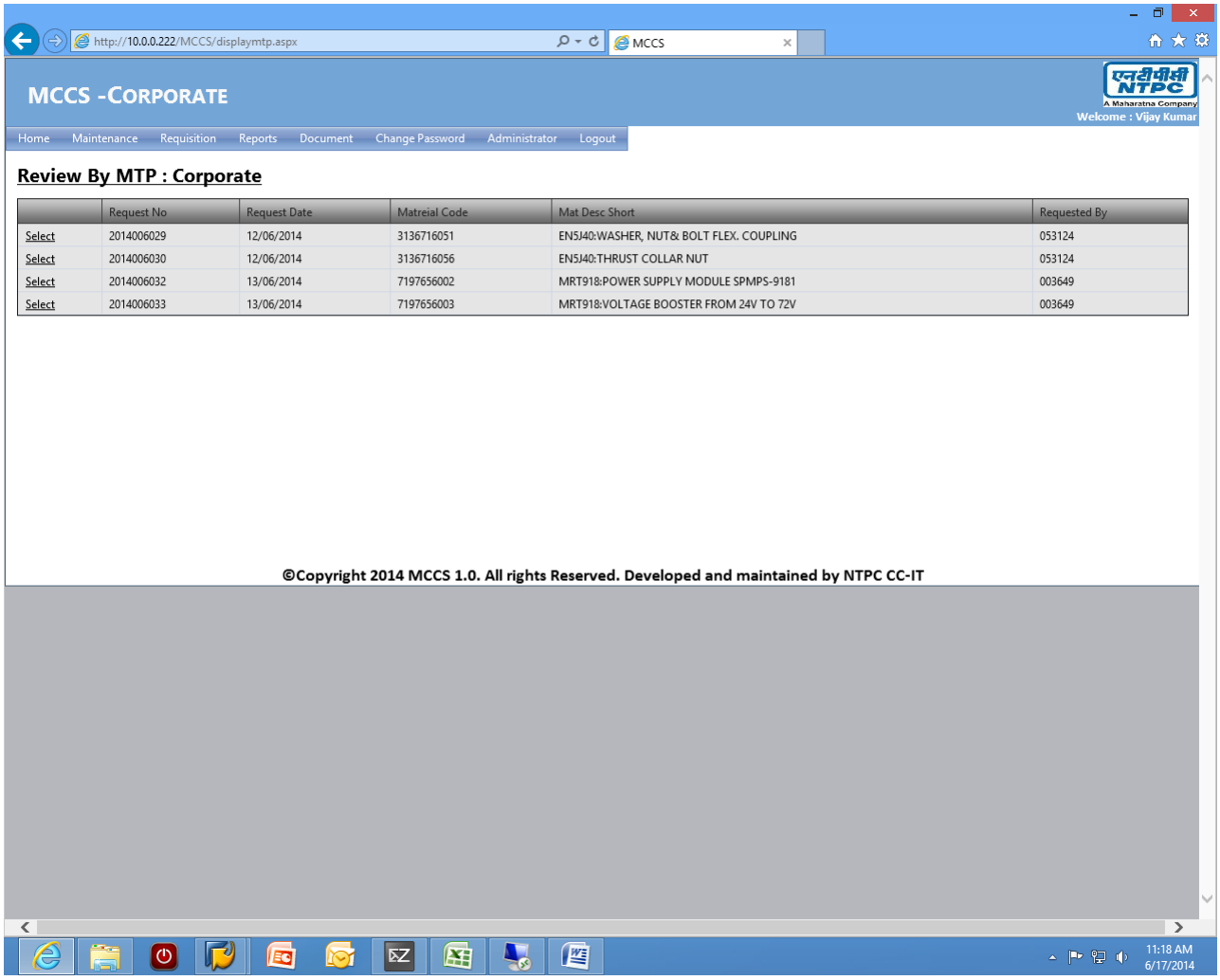
View Requests

User can see the status of request using view requests options.



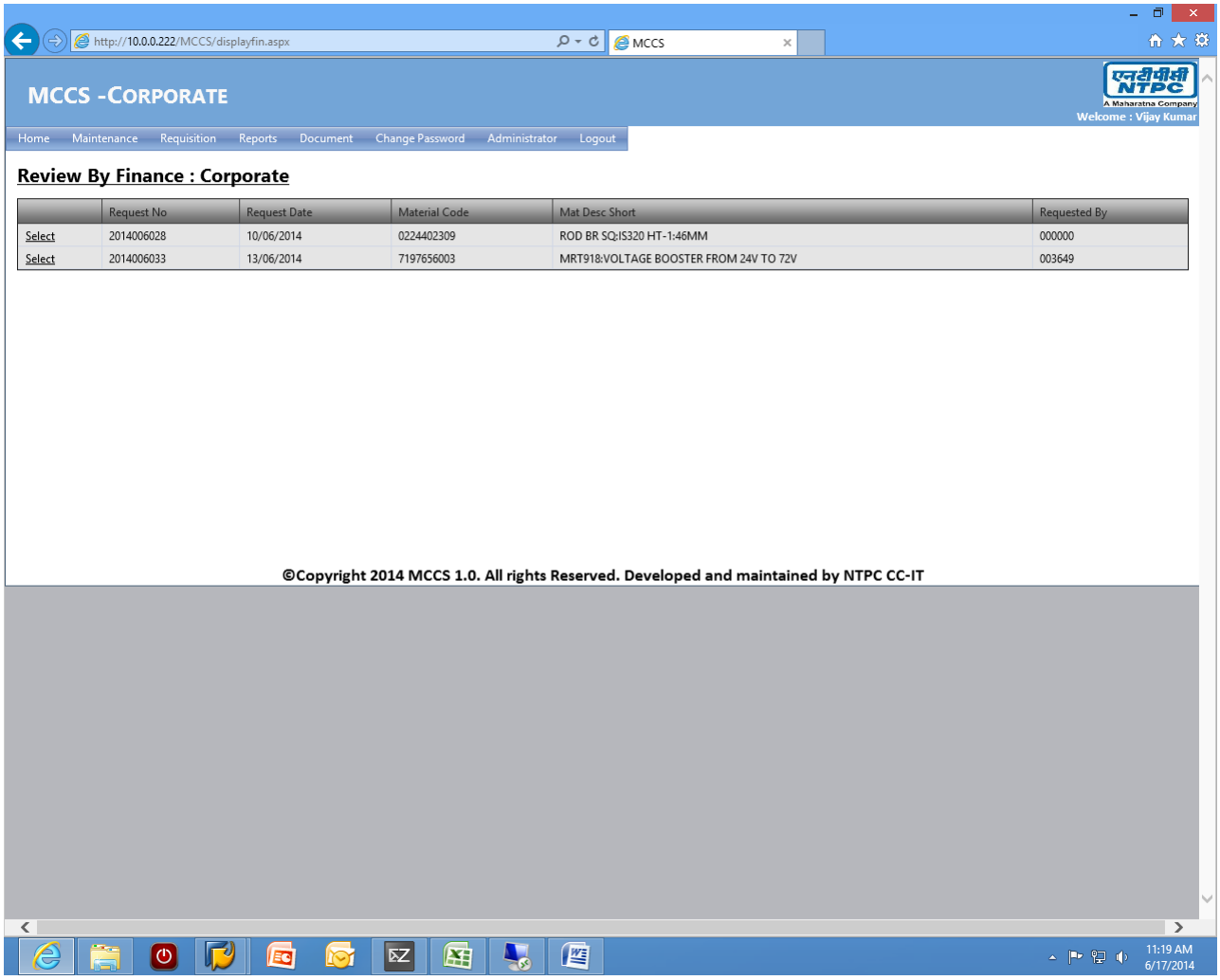
Review By MTP/MPIC

Authorized MTP user can see the requests of respective plant. The request can be approved or rejected (on rejection request goes back to user).After approval from MTP user, request goes to authorized finance user.



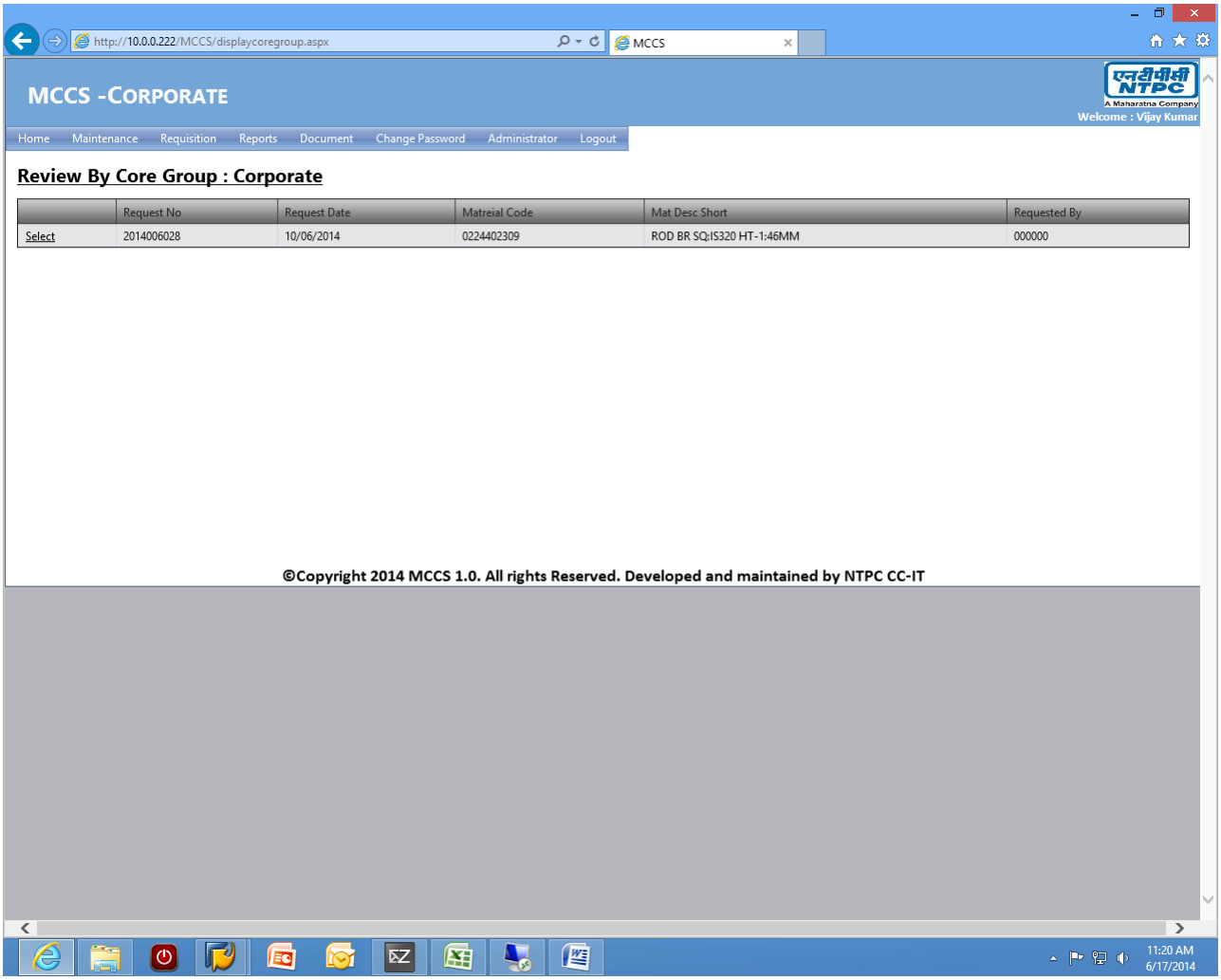
Review By Finance

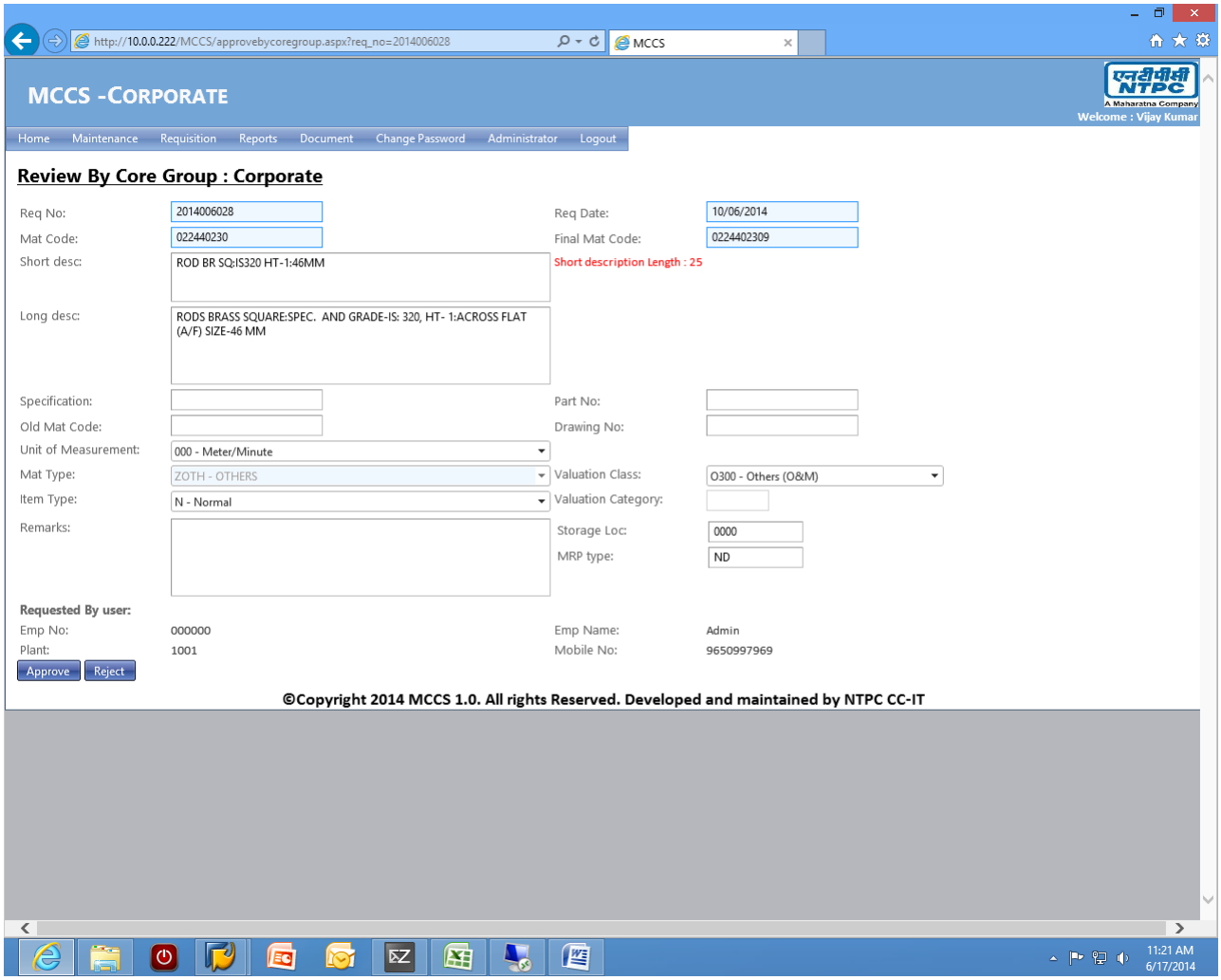
After approval from Finance user, request goes to respective core group member based on the main group. For MG 31 to 76 Mat code directly gets created in Mat Code Master after approval from Finance.



Review By Core Group (ERP Core Group)

Core group member can modify the request. After approval from Core Group member Mat Code gets created in Mat Code Master.




http://10.0.0.222/MCCS/approvebycoregroup.aspx?req_no=2014006028
MCCS
MCCS -CORPORATE
Welcome : Vijay Kumar
Home
Maintenance
Requisition
Reports
Document
Change Password
Administrator
Logout
Review By Core Group : Corporate
Req No: 2014006028
Req Date: 10/06/2014
Mat Code: 022440230
Final Mat Code: 0224402309
Short desc: ROD BR SQ:IS320 HT-1:46MM
Short description Length : 25
Long desc: RODS BRASS SQUARE:SPEC. AND GRADE-IS: 320, HT- 1:ACROSS FLAT (A/F) SIZE-46 MM
Specification:
Part No:
Old Mat Code:
Drawing No:
Unit of Measurement: 000 - Meter/Minute
Mat Type: ZOTH - OTHERS
Valuation Class: O300 - Others (O&M)
Item Type: N - Normal
Valuation Category:
Remarks:
Storage Loc: 0000
MRP type: ND
Requested By user:
Emp No: 000000
Emp Name: Admin
Plant: 1001
Mobile No: 9650997969
Approve
Reject
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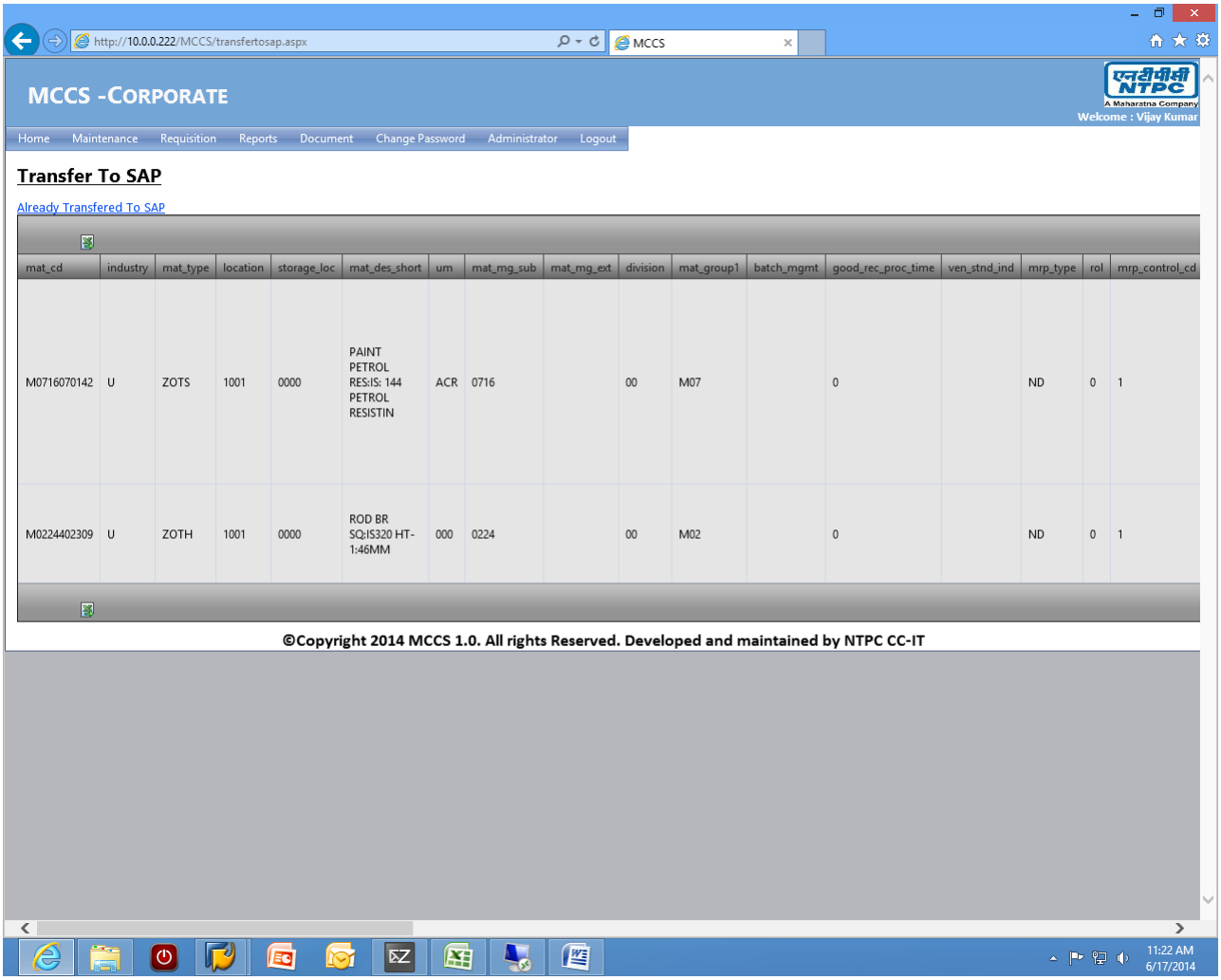
11:21 AM
6/17/2014

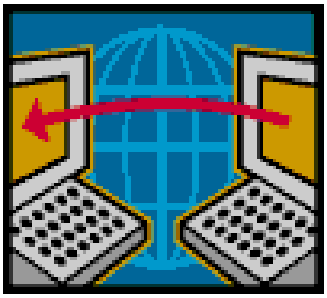
Transfer to SAP (ERP Core Group)

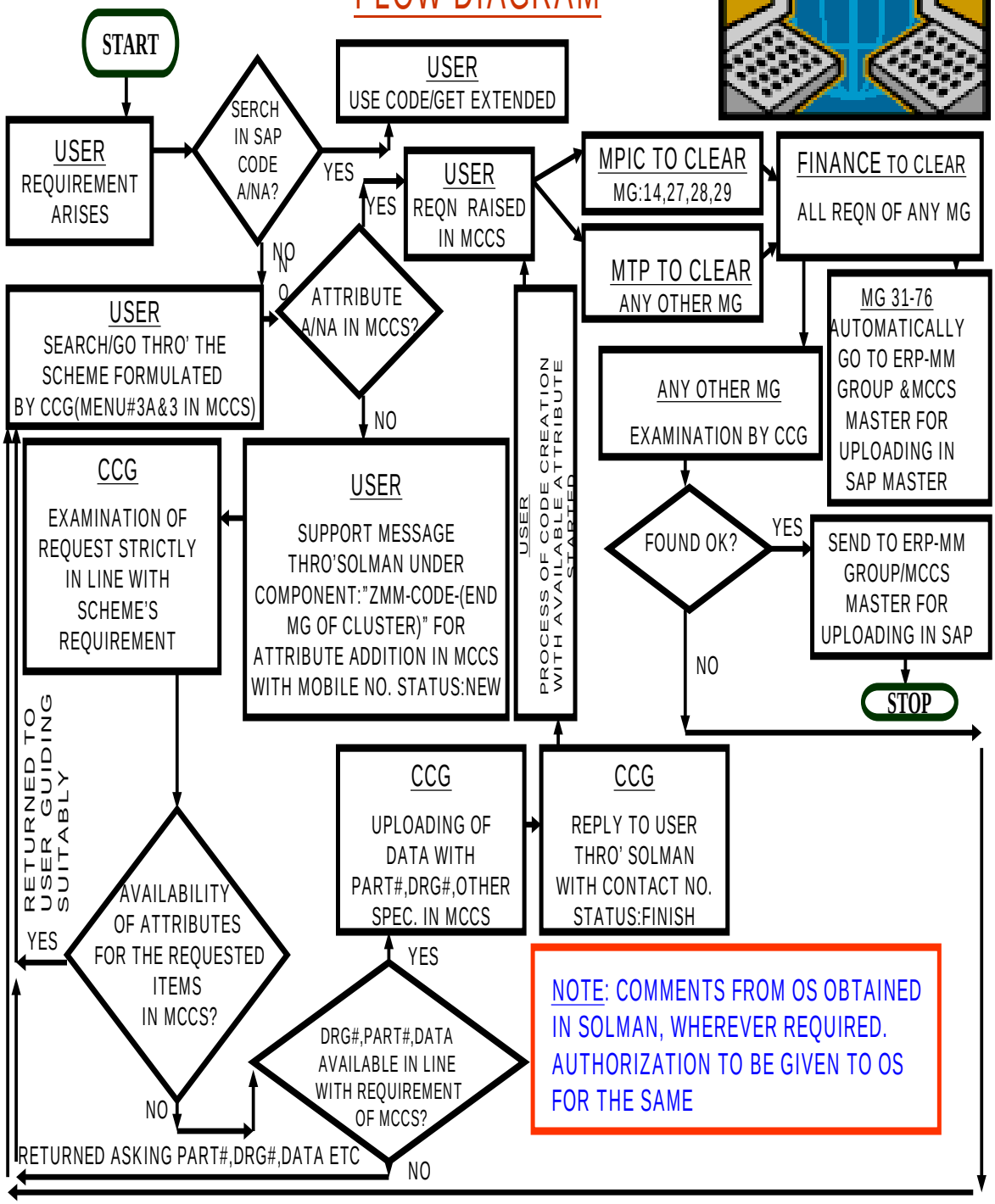
The Excel can be downloaded for transferring the created Material Code to SAP.



Transforming lives

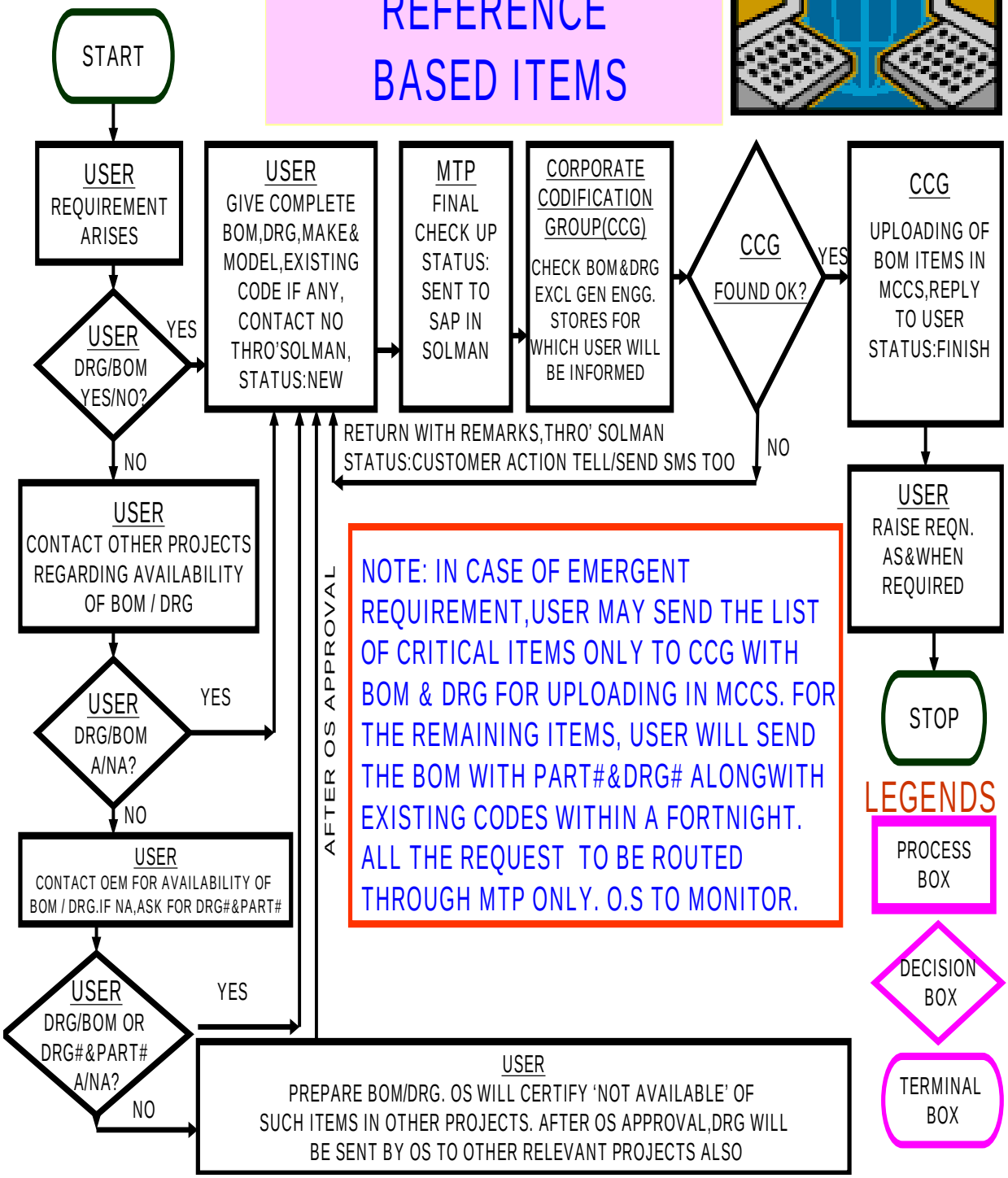
MATERIAL CODIFICATION FLOW DIAGRAM



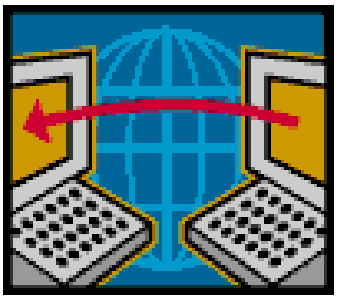


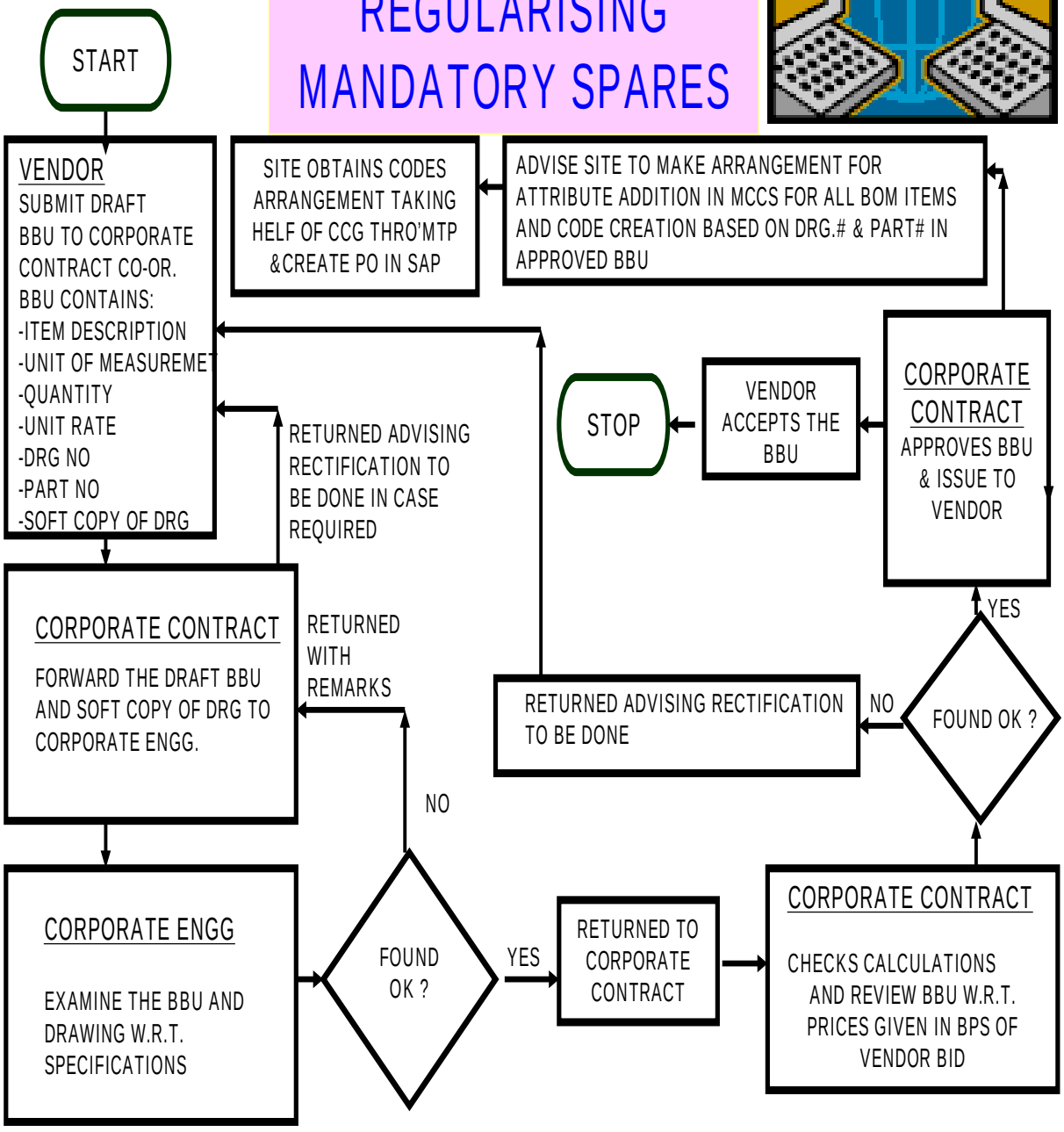
Transforming lives

FLOW DIAGRAM FOR REFERENCE BASED ITEMS



FLOW DIAGRAM FOR REGULARISING MANDATORY SPARES





8.0.7 DOS & DON'T:

Material Codification is a very sensitive conceptual art, and Codification schemes are the Mother Board to execute the task. In the changing scenario and development of items, changes in the codification in terms of addition/deletion/modification of attributes are necessary to make it up-to-date. Hence for the maintenance of MCCS system, it is very much necessary to follow the following list of Do's and don't.

DO'S:

- Addition of attributes should be made by authorized person.
- Addition of New attribute should be based on authenticated data e.g. Standard, Drawing, Part list etc.
- Addition of attribute should be in line with the previous one as already indicated in the digit position.
- Any changes (modification/addition/deletion) in the present attribute must be discussed with I/C for the correctness.
- Addition of attribute should be in chronological w.r.t. alphabet or number.
- Designing/development of new scheme must be verified and approved by the nominated executive or I/C.
- In charge is authorized to change the Main groups time to time to develop common skill and deliveries capability.
- Always maintain the dates in respect of report generation periodically.

DON' Ts

- Do not alter the present data of Scheme at any position of attribute.
- While inserting DELETE word for the wrong attribute in MCCS system, do not remove the existing data/text.
- Do not add any unfamiliar data in the MCCS without the search option to find already exists or not.
- Don't make any change (addition/modification) without documentary evidence in MCCS and Vendor coding.

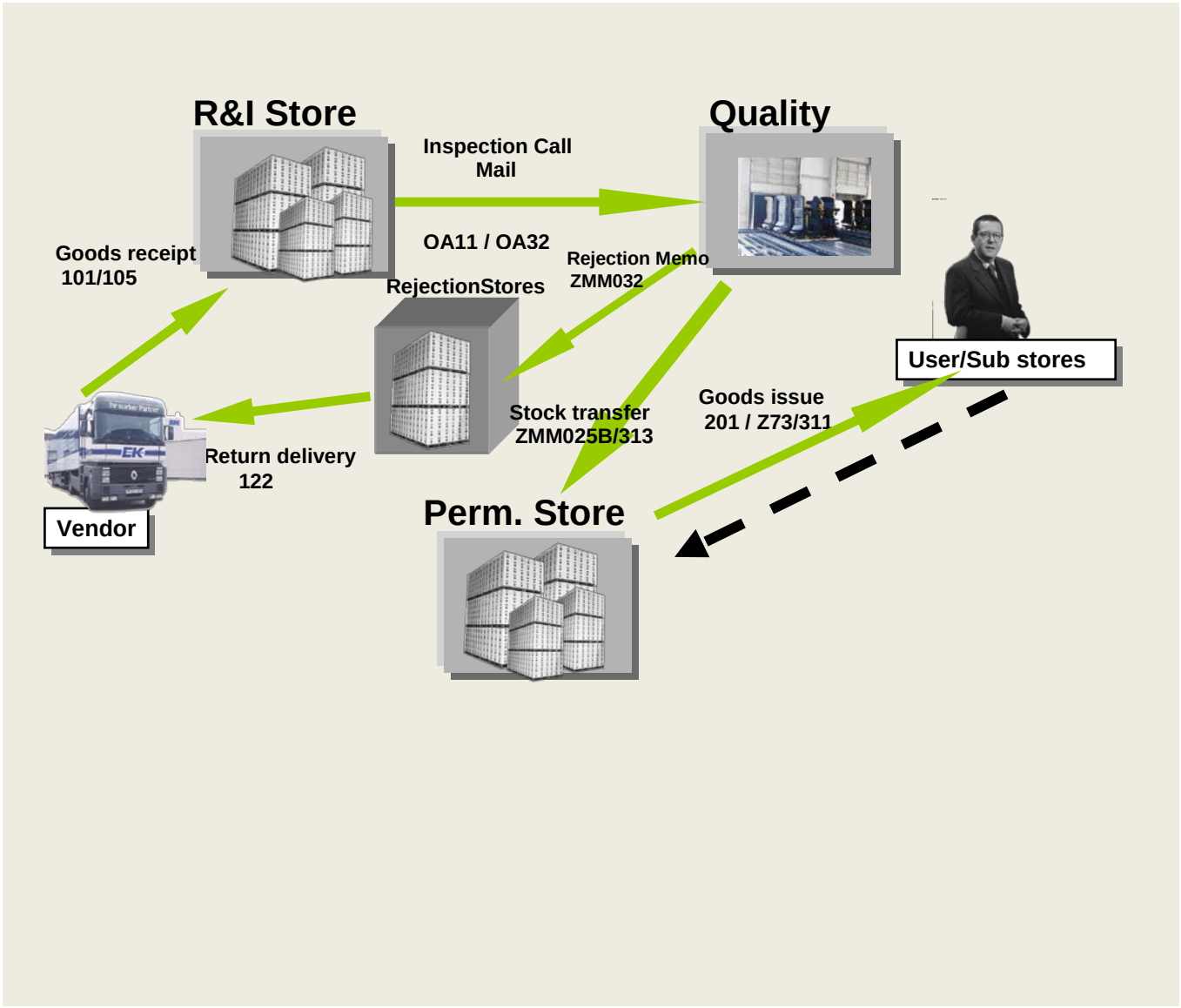
All the materials / items have been classified into 99 main groups and circulated in 14 volumes. The reserved un-allotted Main Groups will be assigned only by a central agency i.e. Corporate Management Systems, in order to ensure uniformity in the System of classification.

CHAPTER-9.0

COMPUTERISATION

9.0 MATERIALS MANAGEMENT THROUGH SAP:

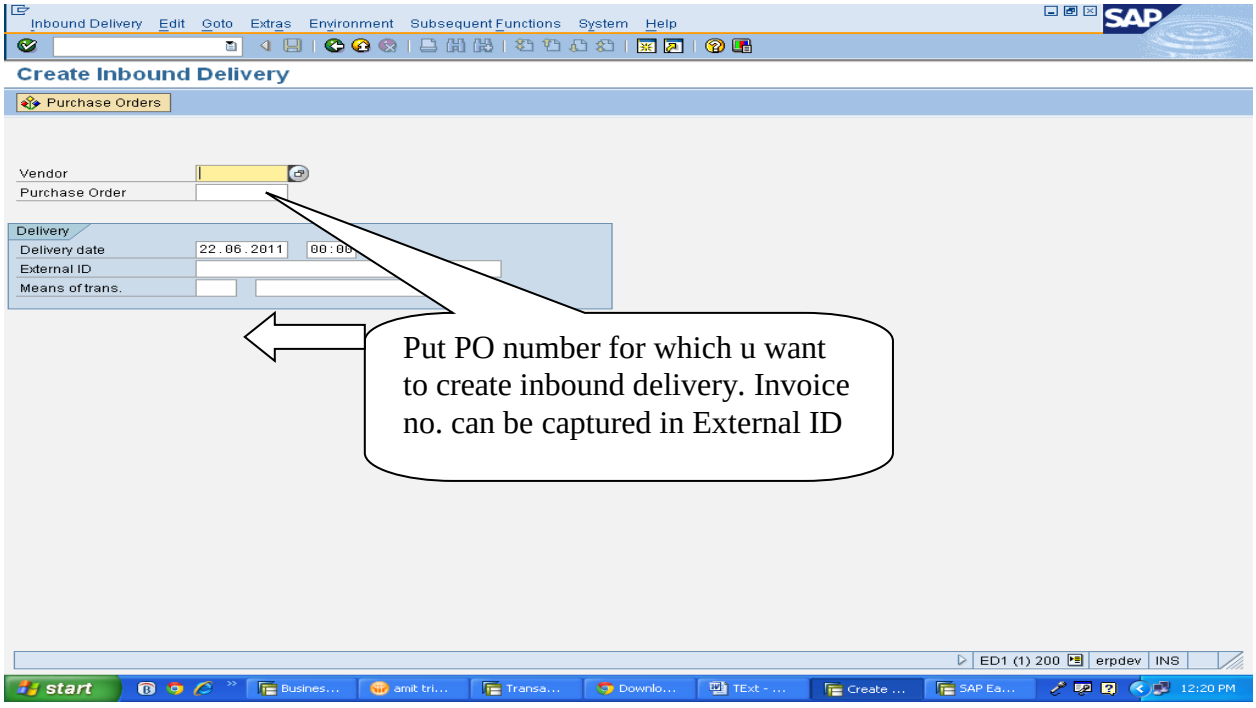
9.0.1 INTRODUCTION:

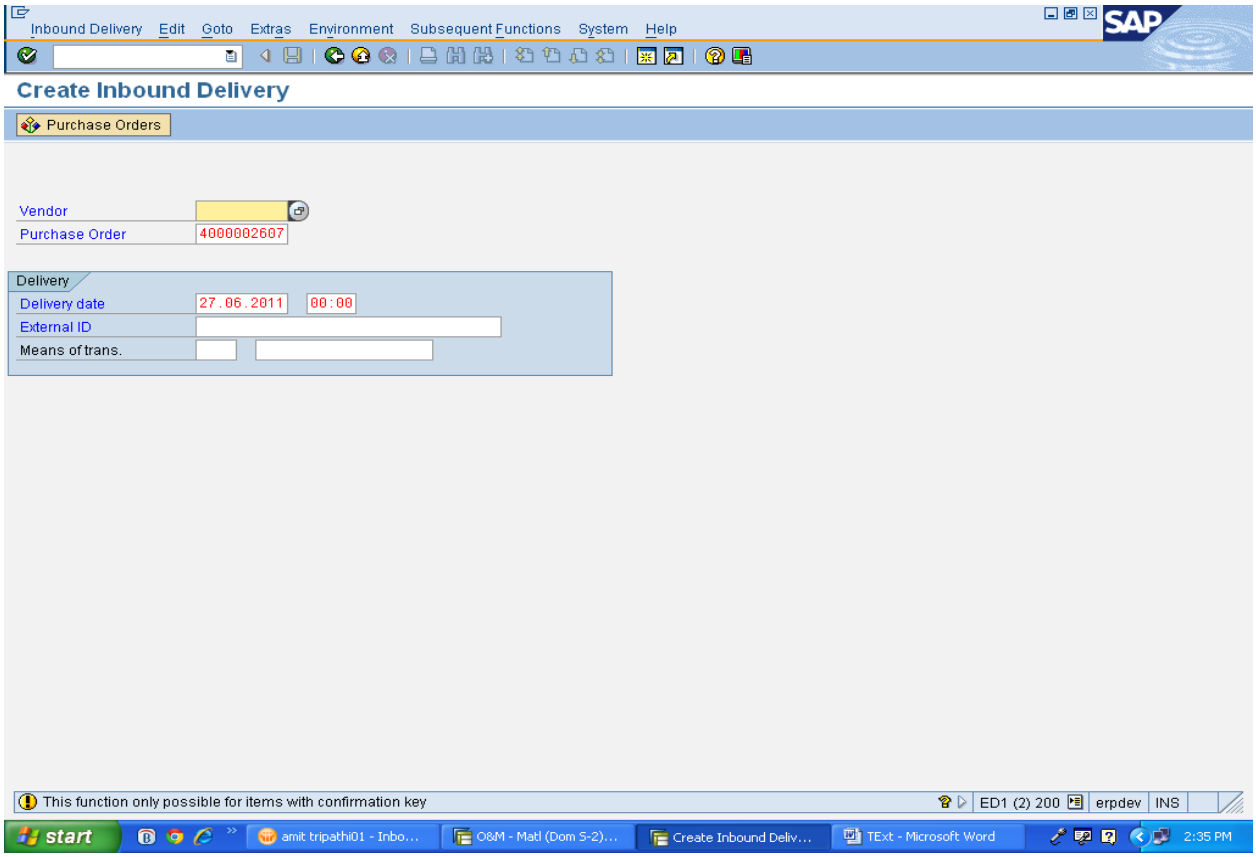


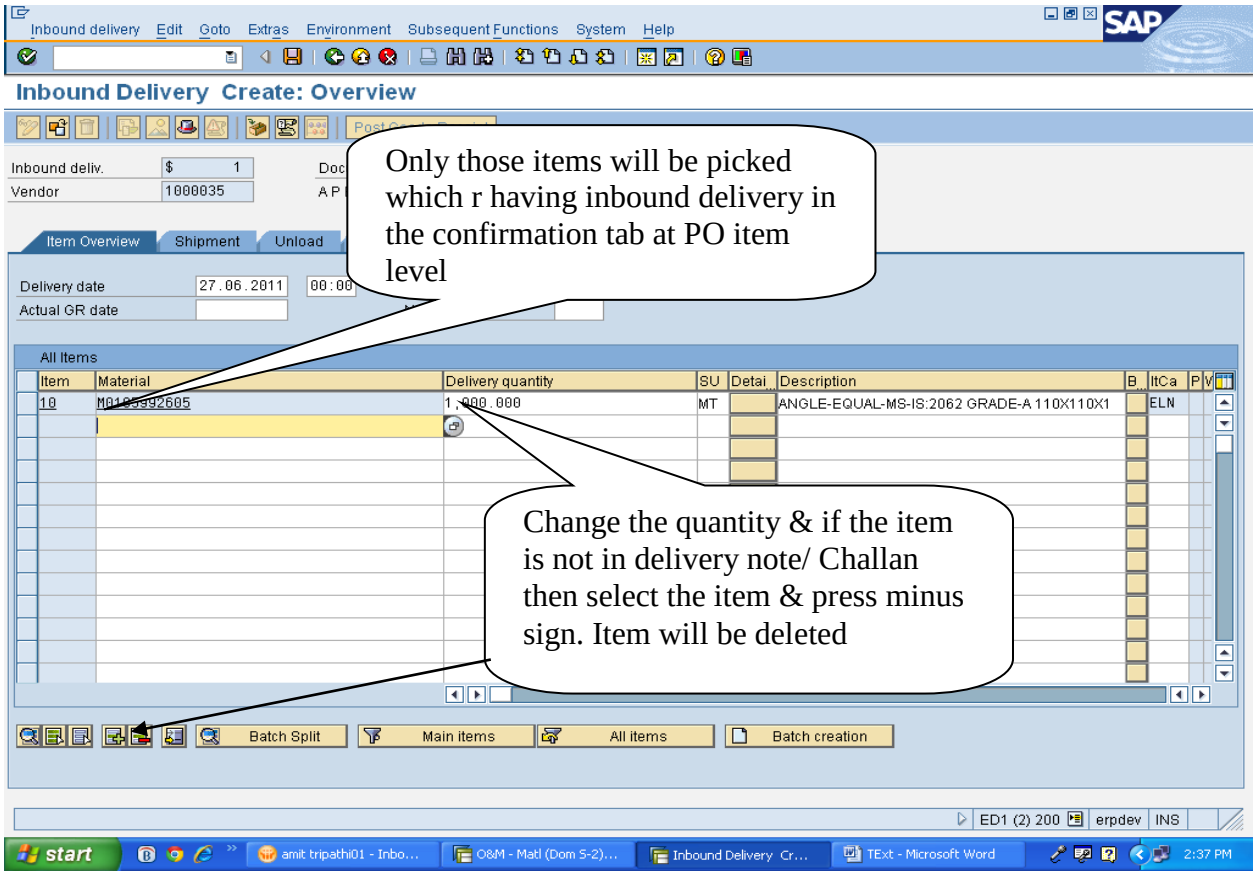
9.0.2 INBOUND DELIVERY:

(A) Create Inbound Delivery:

- Use T-code **VL31N** and enter the data as follows:



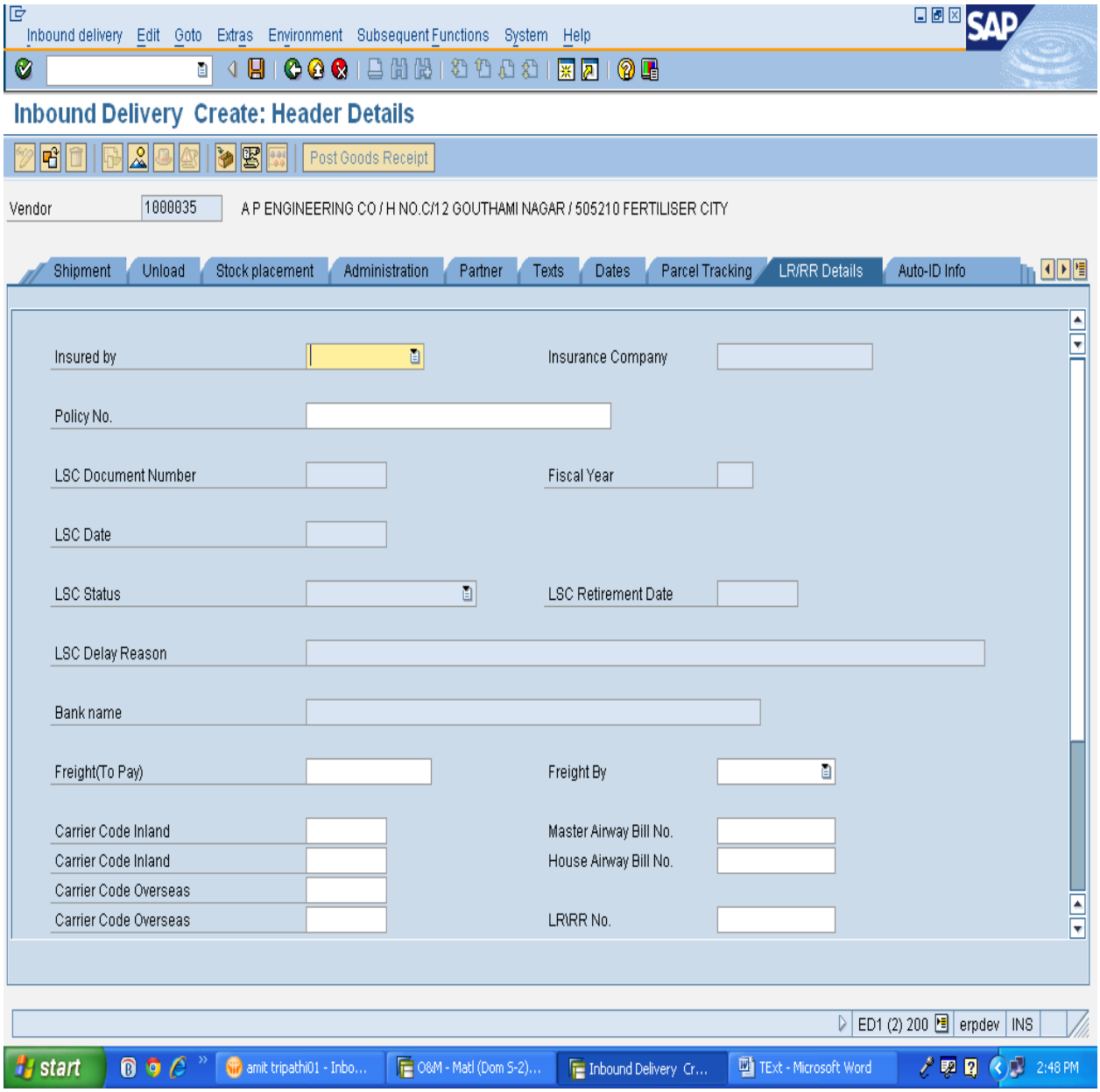

Inbound Delivery Edit Goto Extras Environment Subsequent Functions System Help
Create Inbound Delivery
Purchase Orders
Vendor
Purchase Order
4000002607
Delivery
Delivery date
27.06.2011
00:00
External ID
Means of trans.
This function only possible for items with confirmation key
ED1 (2) 200
erpdev
INS
start
amit tripathi01 - Inbo...
O&M - Matl (Dom S-2)...
Create Inbound Deliv...
TExt - Microsoft Word
2:35 PM



Inbound Delivery should not be created with Zero (0) quantity.

Inbound delivery can be modified to capture additional info. Like freight, unloading location etc.

Fields	**Mandatory/ optional**	**Tab**	**Remark**
Transport Plg date	M	Shipment	
Insured by	M	Header – LRR details	
Policy no.	O	Header – LRR details	Mandatory in case of NTPC insurance
Freight/ freight by	O	Header – LRR details	
Challan number/date /value	M	Header – LRR details	Mandatory
Starting station/destination	O	Header – LRR details	

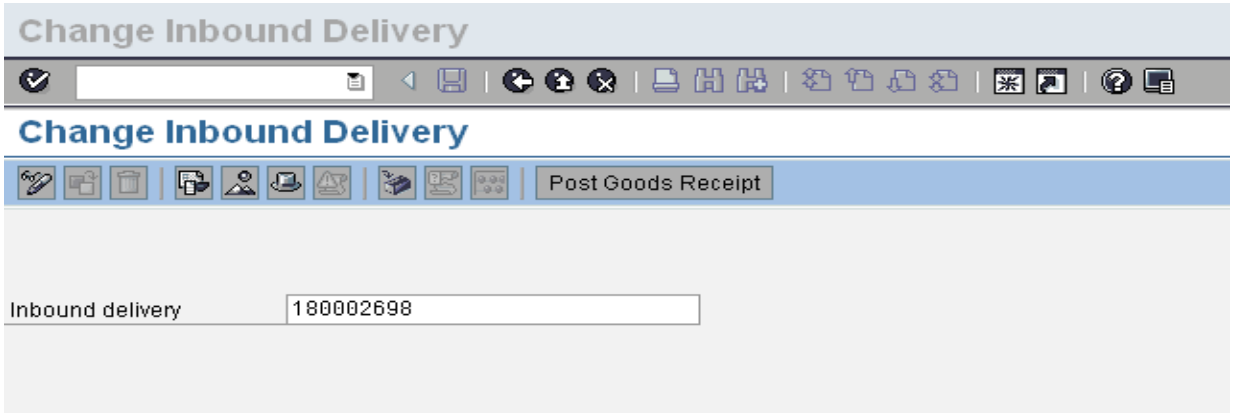


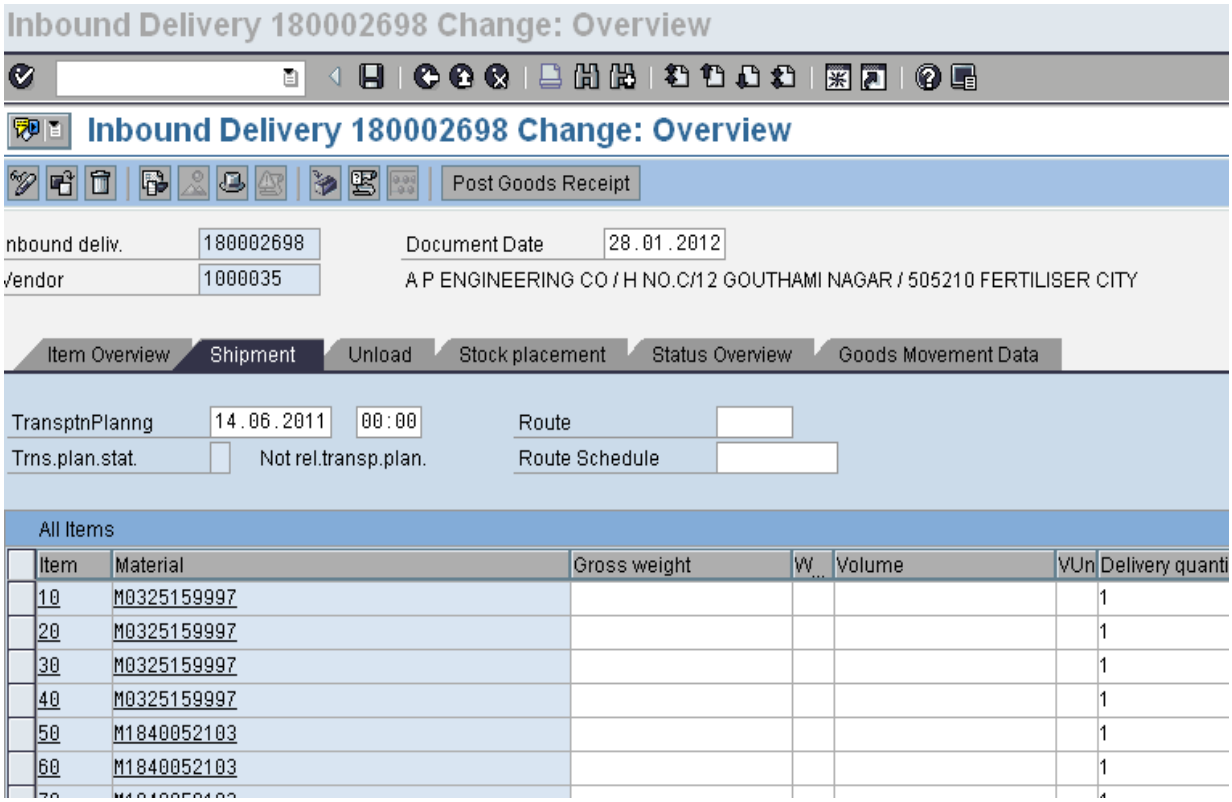
Remarks:

1. In case of PDI click on material code & put inspection lot number in inspection lot (Select from dropdown). This number will be provided by RIO/ FQA whoever done MDCC in the system.
2. Inbound delivery is intimation from the vendor. It can be modified till no subsequent document made**.** NO PRINT OF INBOUND IS DESIGNED**.**
3. If required, inbound can be made again without changing/ deleting old one.

(B) Change Inbound Delivery:

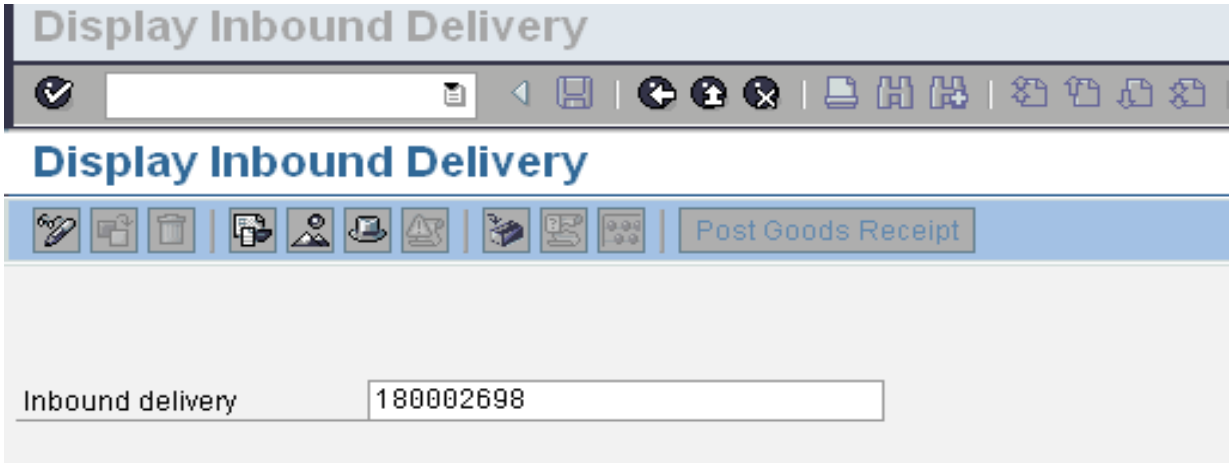
- Use T code **VL32N.**





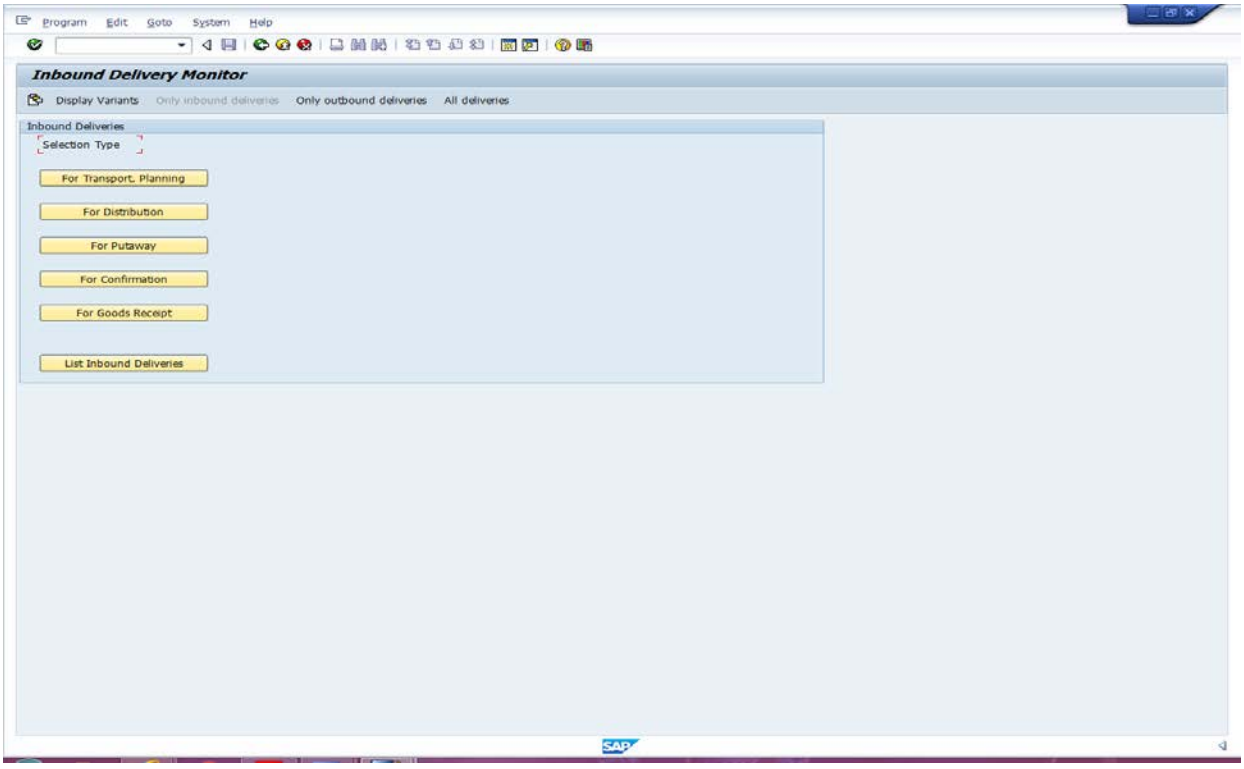
(C) Display Inbound Delivery:

- Use T code **VL33N**

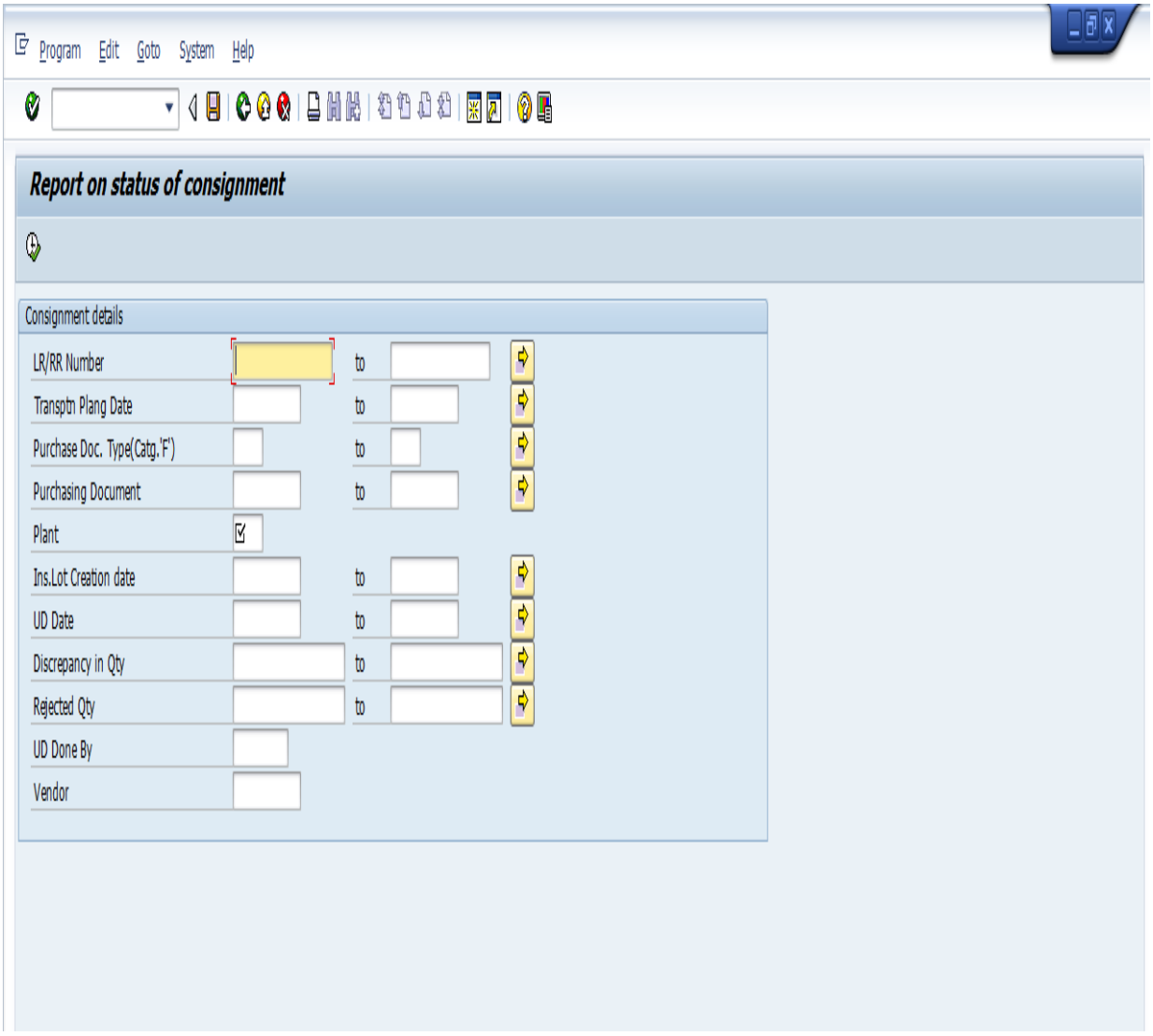


(D) Generate Inbound Reports:

- Use T-Code **VL06I** to view the Inbound Delivery Monitor**.**



- Use T-Code **ZMMCONSIGN** to view report on status of consignment.



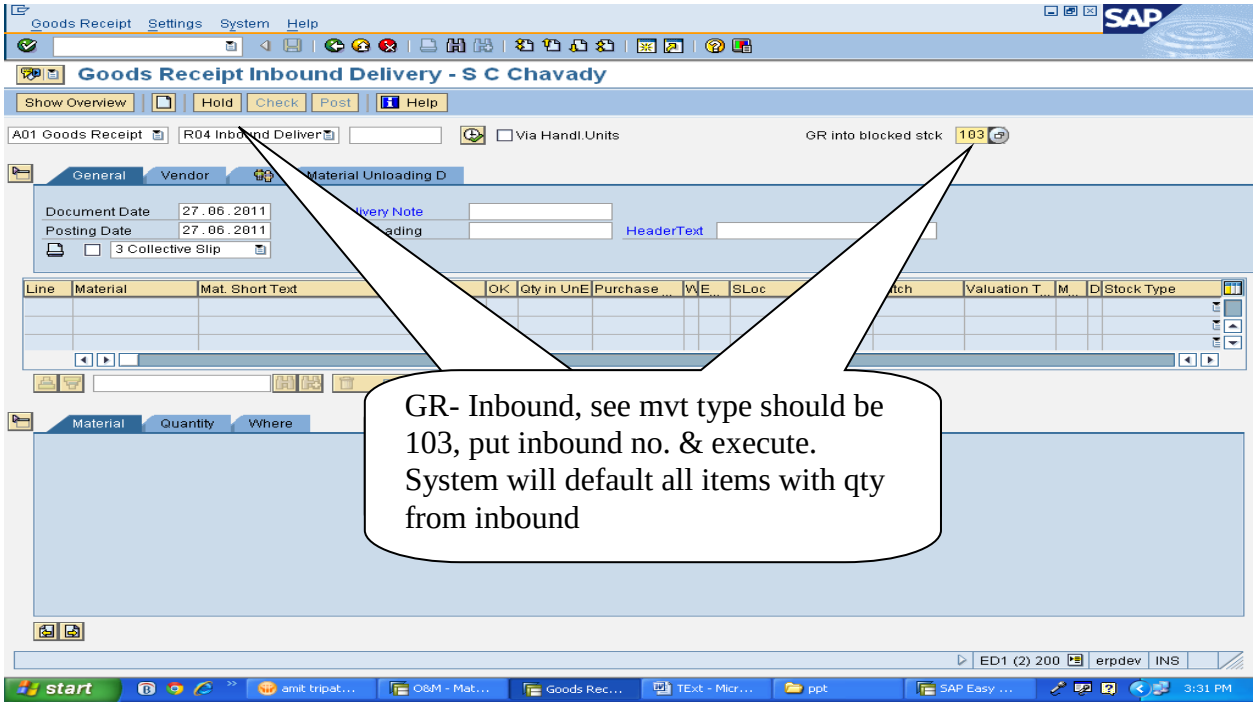
9.0.3 GOOD RECEIPT

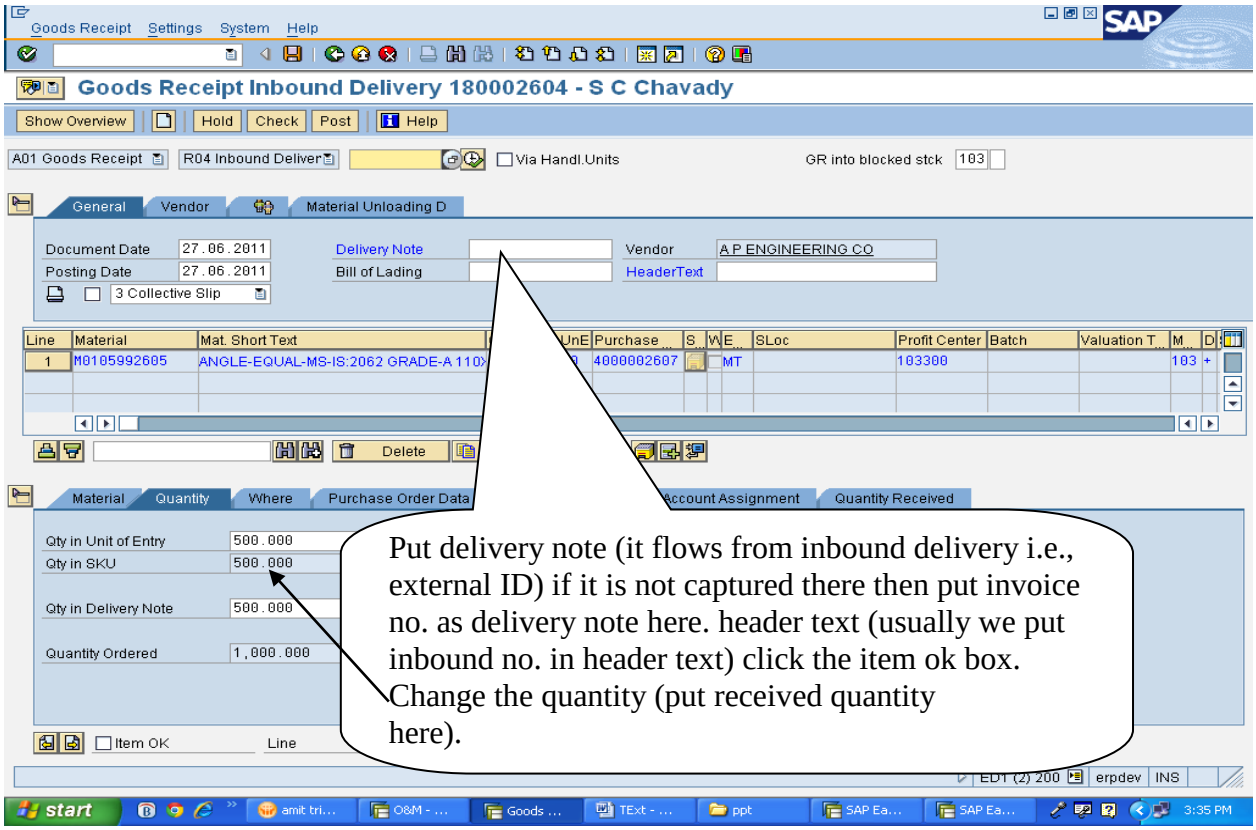
GR can be done in two ways

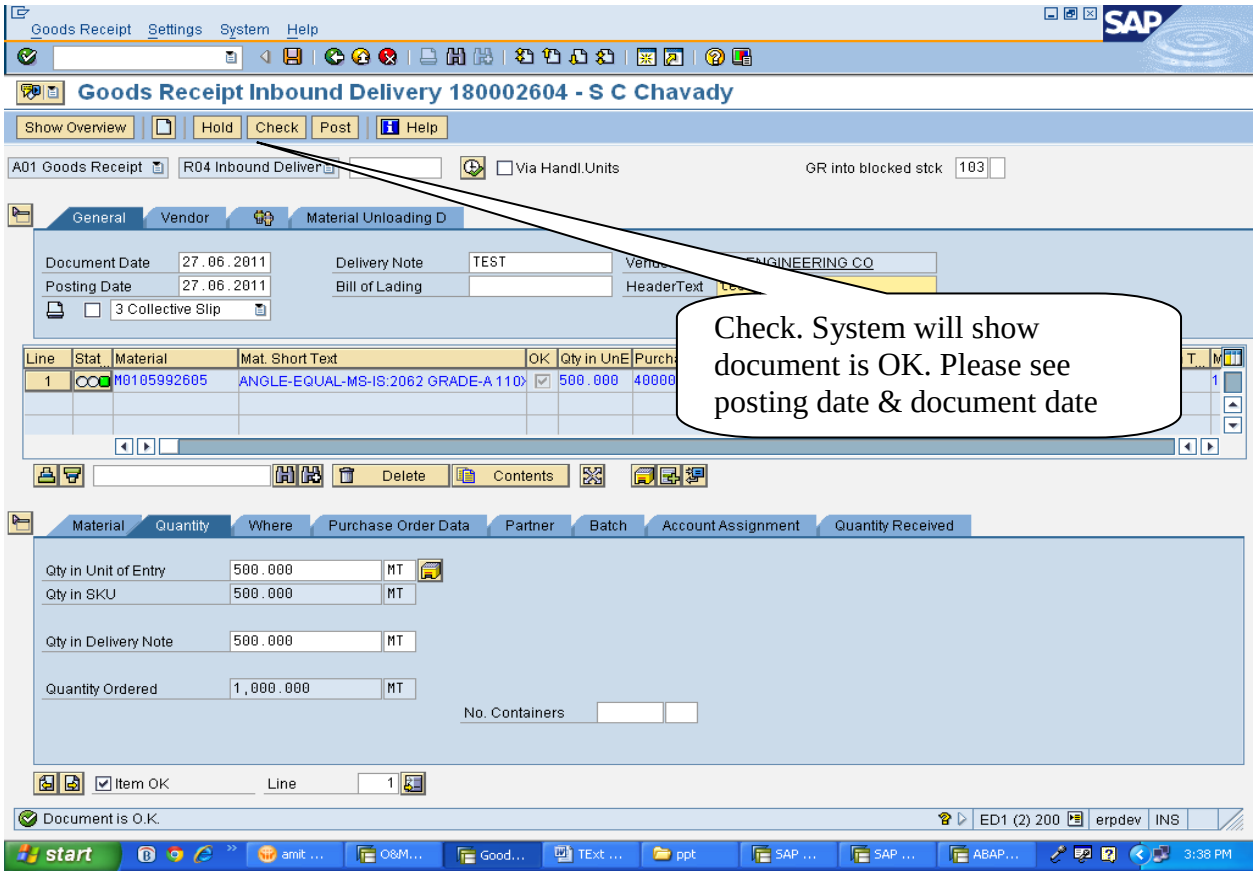
A. Two step process: Using mvt type 103 & then mvt type 105.

B. One step process: Using mvt type 101

(A) MIGO- 103 movement type (UNLOADING REPORT):



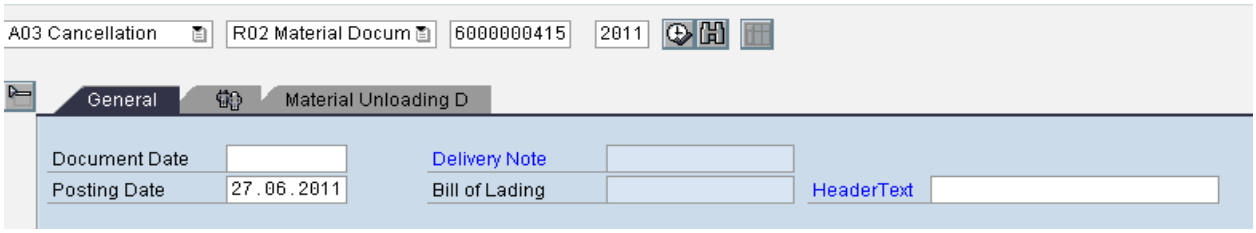

Goods Receipt Settings System Help
Goods Receipt Inbound Delivery 180002604 - S C Chavady
Show Overview Hold Check Post Help
A01 Goods Receipt R04 Inbound Deliver Via Handl.Units GR into blocked stck 103
General Vendor Material Unloading D
Document Date 27.06.2011
Posting Date 27.06.2011
3 Collective Slip
Delivery Note
Bill of Lading
Vendor A P ENGINEERING CO
HeaderText
Line Material Mat. Short Text UnE Purchase S W E SLoc Profit Center Batch Valuation T M D
1 M0105992605 ANGLE-EQUAL-MS-IS:2062 GRADE-A 110 4000002607 MT 103300 103
Delete
Material Quantity Where Purchase Order Data Account Assignment Quantity Received
Qty in Unit of Entry 500.000
Qty in SKU 500.000
Qty in Delivery Note 500.000
Quantity Ordered 1,000.000
Item OK
Line
Put delivery note (it flows from inbound delivery i.e., external ID) if it is not captured there then put invoice no. as delivery note here. header text (usually we put inbound no. in header text) click the item ok box. Change the quantity (put received quantity here).
ED1 (2) 200 erpdev INS
start
3:35 PM



Check & post the document.

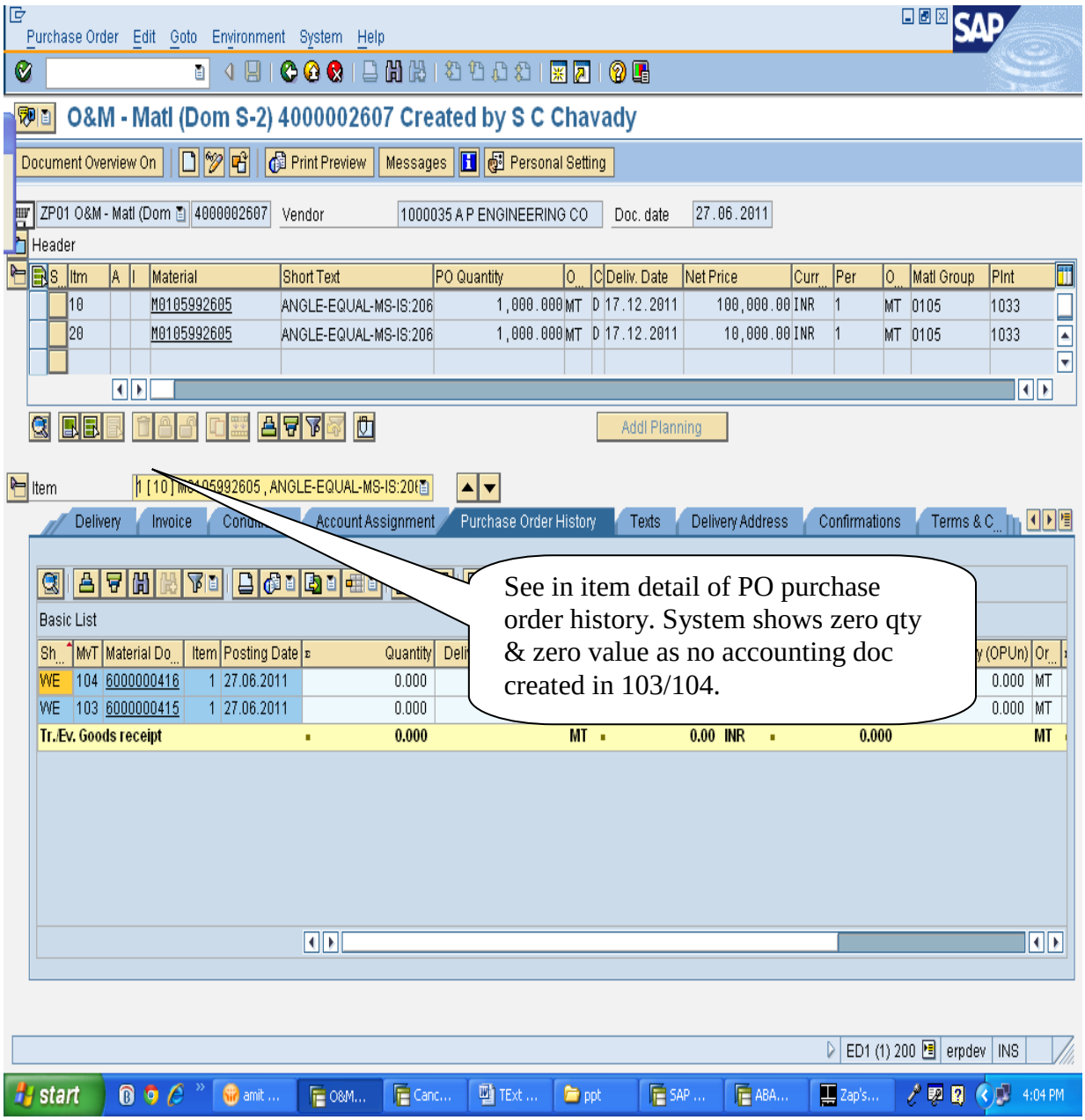
(B) MIGO- 104 movement type (Reversal of 103)

Select cancellation of material document. Put 103 document no. & execute.

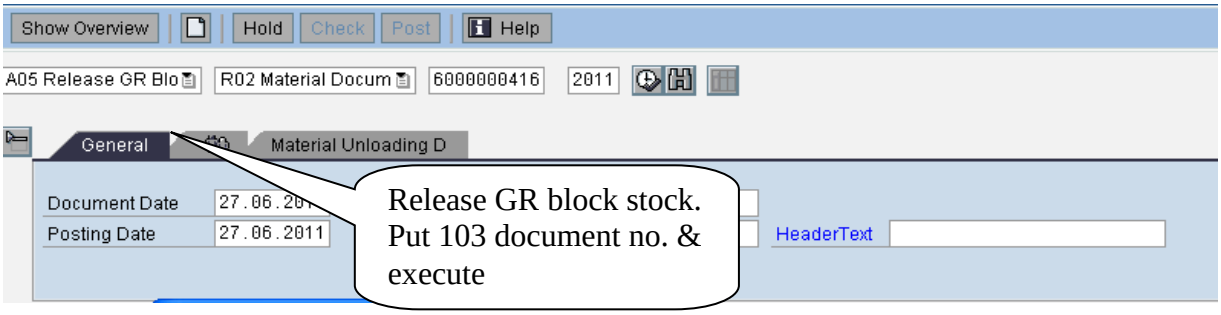


Select the items you want to cancel & tick on item ok. Check mvt type in where tab of PO.

This mvt type will be reflected in purchase order history of item in PO (ME23N).



(C) MIGO- 105 movement type (GR or SRV)

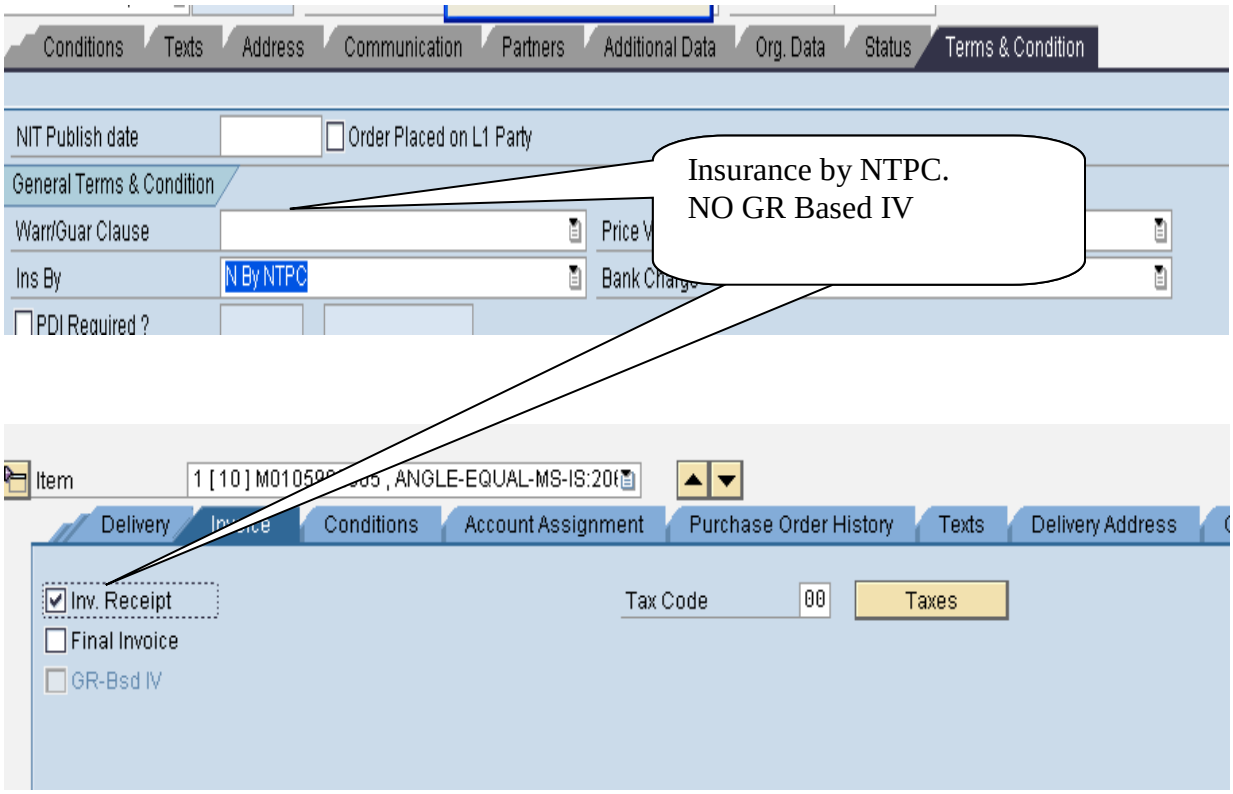


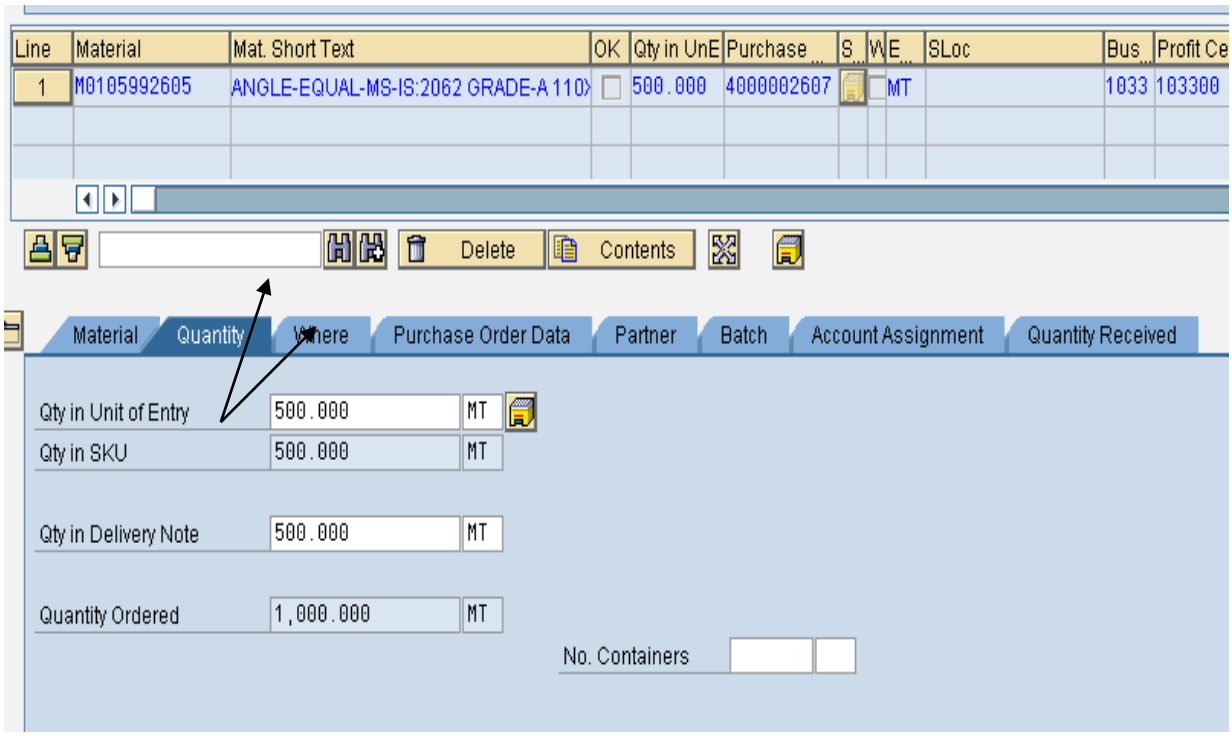
1. Quantity Check:

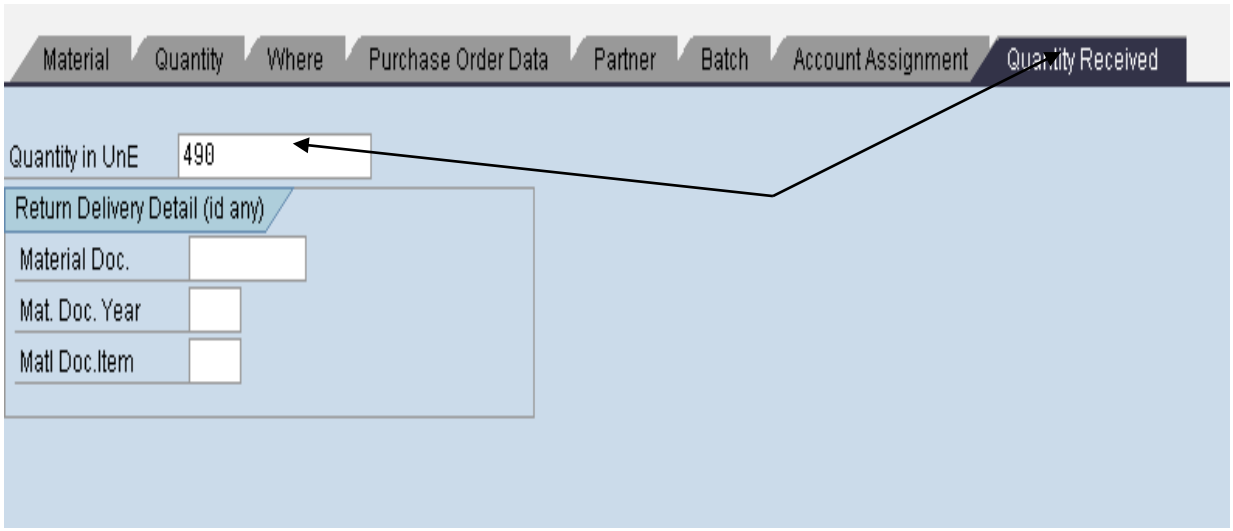
Let us assume that vendor has committed to send 500 pieces & after counting we found 490 pieces only. Then there would be a discrepancy of 10. We treat the case in 4 ways.

a. Insurance by NTPC – Payment through Bank/ Against Dispatch
b. Insurance by VENDOR – Payment through Bank/ Against Dispatch
c. Insurance by NTPC – Payment against receipt
d. Insurance by VENDOR – Payment against receipt

a. Insurance by NTPC – Advance Payment made (See PO with ME23N)







10 to be issued to insurance.

b. Insurance by Vendor – Advance Payment made

Quantity Tab: Quantity in Unit of Entry: 490

Quantity Received Tab: Quantity in UnE:490

10 credit memo if payment is already released for 500

c. Insurance by NTPC – Receipt Payment

Quantity Tab: Quantity in Unit of Entry: 500

Quantity Received Tab: Quantity in UnE: 490

10 to be issued to insurance as in case A

d. Insurance by Vendor – Receipt Payment

Quantity Tab: Quantity in Unit of Entry: 490

Quantity Received Tab: Quantity in UnE: 490

2. Other fields

Fields	Mandatory / optional	Tab	Remark
Valuation type	M	Material	Mandatory in split valuation
Storage location	M	Where	Put relevant storage location where SRV is being made. if this field does not appear for the items with material code starting with M & T. do not post the document & raise support message
Good Recipient	O	Where	
Unloading point	O	Where	
Text	O	Where	
Posting date	M	Header	Check for financial year /quarterly closing cases.
Batch	M	Batch	For certain material types batch no. is mandatory
Stock type			Do not change stock type defaulted by system. For items with material code if stock type defaulted by system is not quality stock then don't post the document & raise support message.

Batch managed item for SRV:

Material Type	Batch number
ZMBA	Po number
ZCSP	Po number
ZMED	Actual batch no on medicine packing
ZSTL	NTPC/ PO number/any 10 characters
ZCMT	NTPC/ PO number/any 10 characters

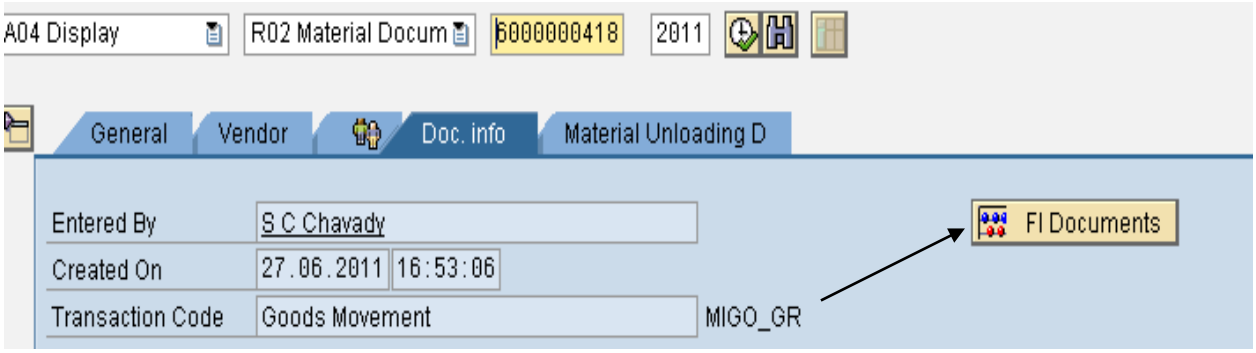
Self-life expiry date (SLED): In case of medicine, we put self-life expiry date in GR or in UD. If we want to change or in case by mistake any SLED date has been mentioned then this can be removed/ corrected in transaction **MSC2N.** Put material code, plant & batch no. there & change SLED.

REMARKS:

1. Two months posting is opened at any time in the system so SRV can be made or cancelled on the current month or previous month.

2. For Project, stock mvt type will be 105 Q.

3. An accounting document is generated on posting of SRV. This can be viewed as follows



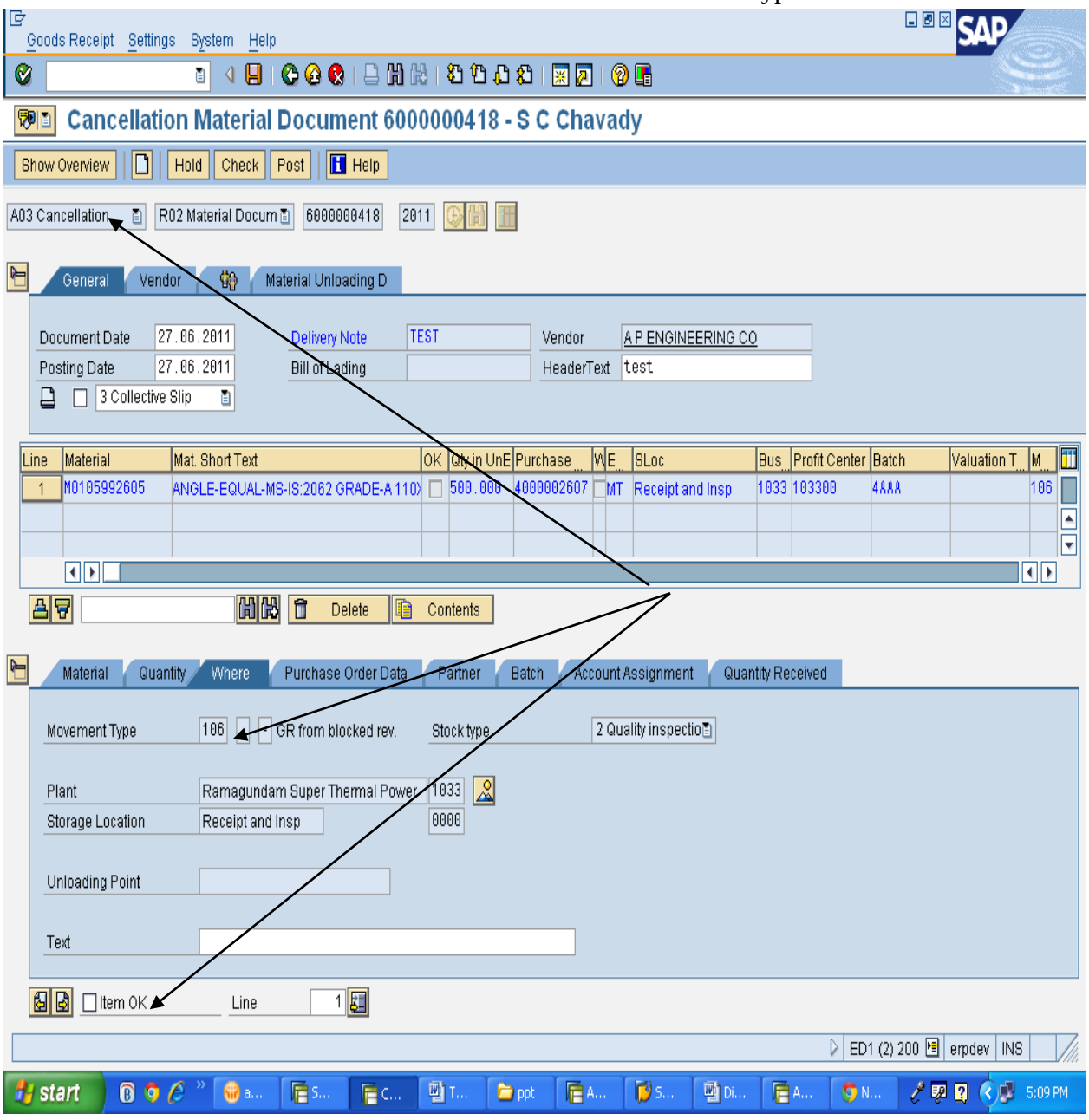
(D) MIGO- 106 movement type (Reverse GR or SRV)

After SRV, we do quality check (QA11)
SRV can be cancelled in two types

1. Quality has not been done (in the system)
2. Quality check has been done after SRV (in the system)

1. Quality has not been done (in the system)

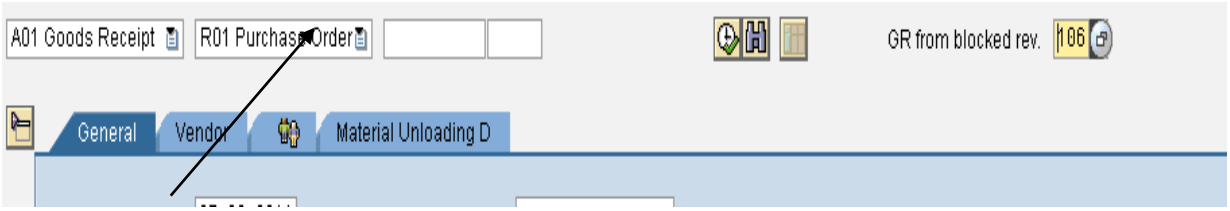
MIGO- cancellation – material document select/ check mvt type 106



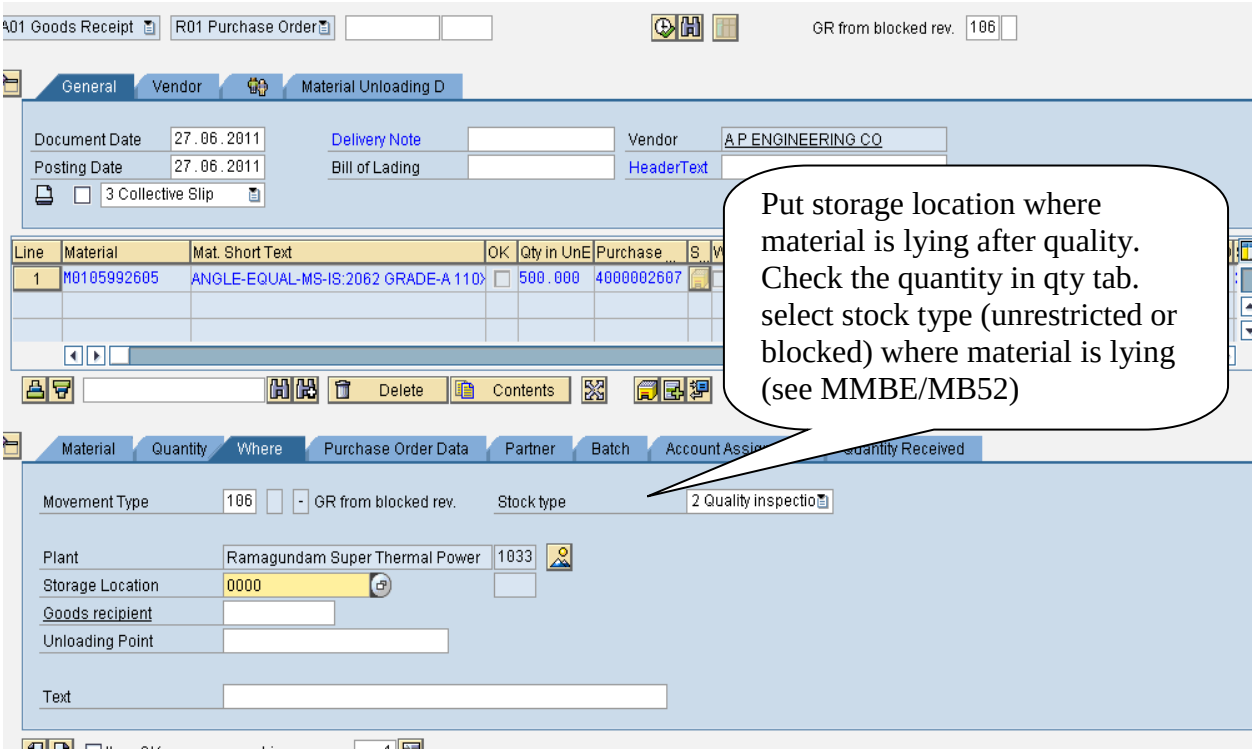
Put tick on the selected items for which u want to cancel SRV.

2. Quality check –QA11/QA32 has been done after SRV (in the system): then cancellation will be done as follows.

MIGO-GOOD RECEIPT-PO - select mvt type 106 manually



Put PO number & execute

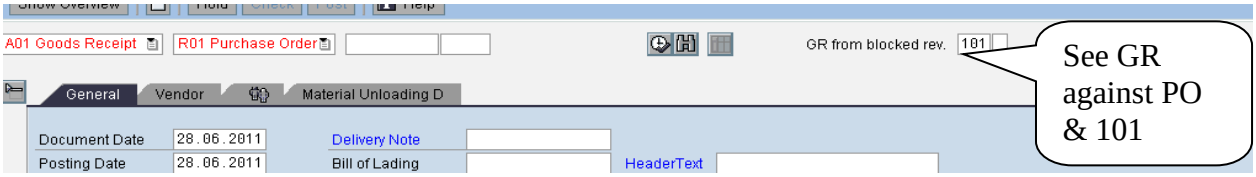


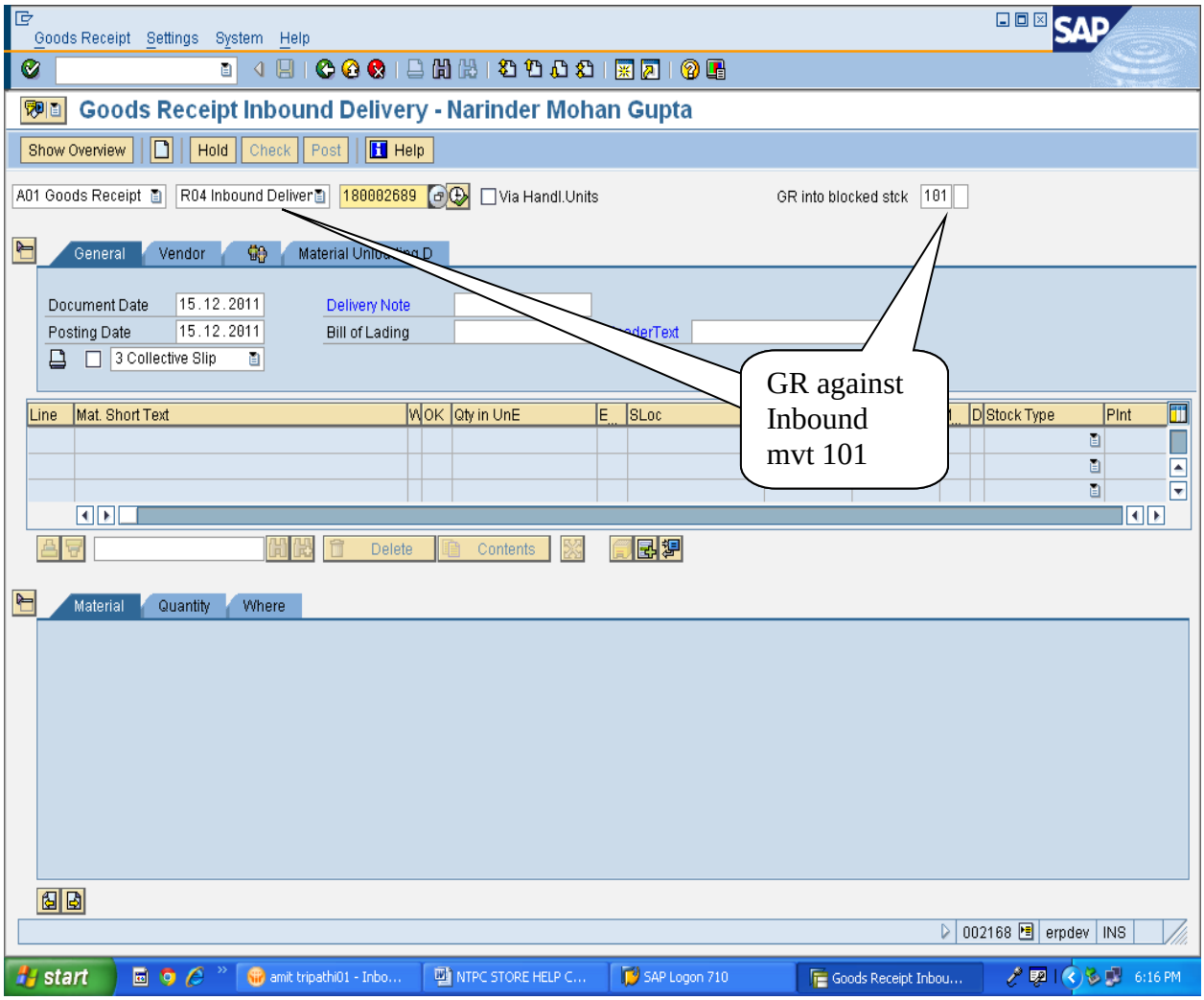
Remarks: in this type of cancellation SRV print does not change.

(E) MIGO- 101 movement type (GR or SRV) single step

Mvt type 101 = 103 + 105

This mvt type can be carried out in MIGO for both GR against PO & Inbound delivery.





Rest all will remain same as in 105.

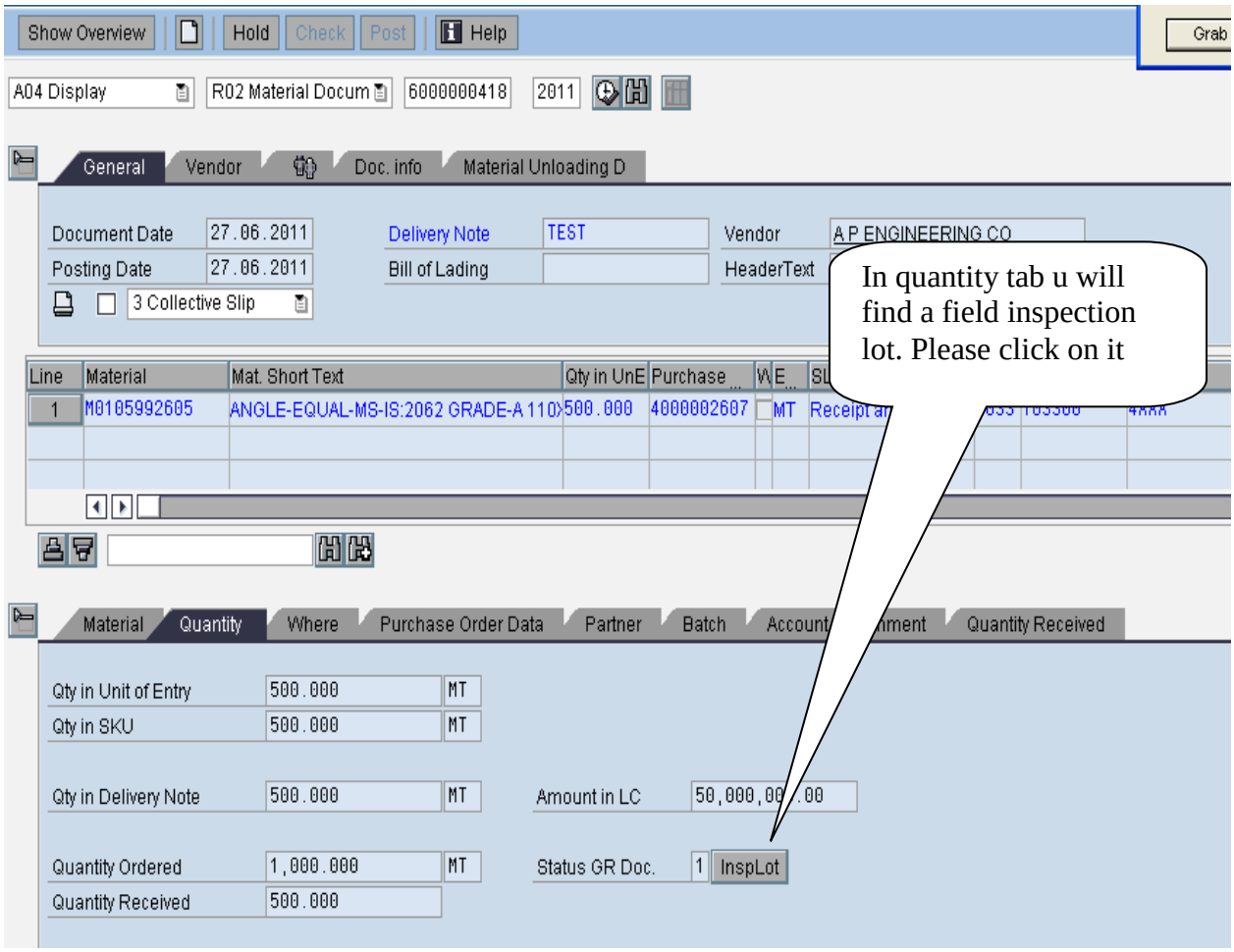
Cancellation will also be same & done in movement type 102.

(F) Quality Checking/Inspection

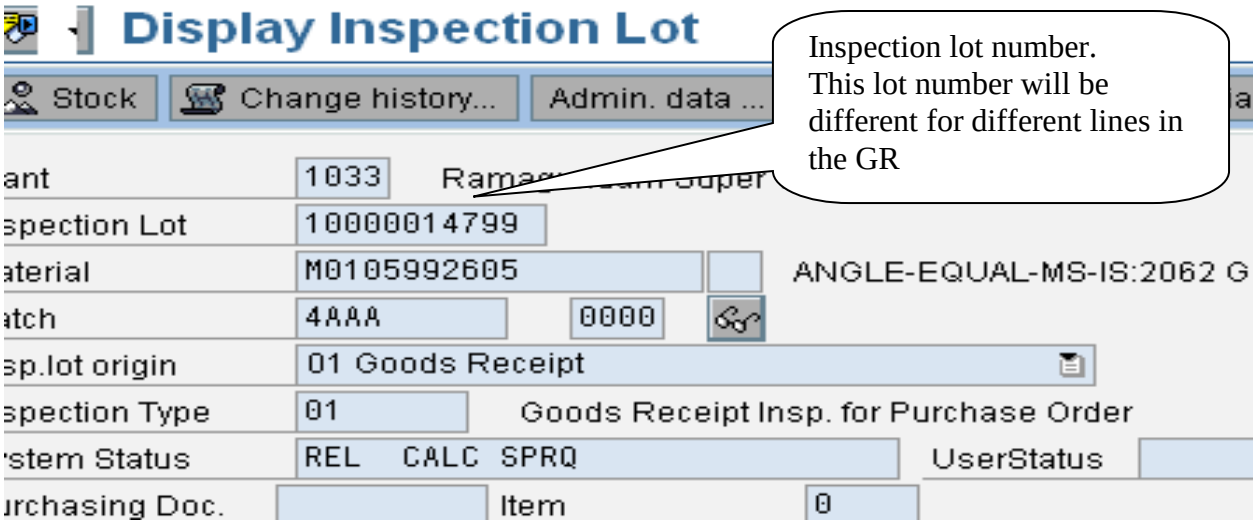
First, pick the inspection lot. Inspection call with inspection lot no. goes to SAP- INBOX to the indenter.

OR

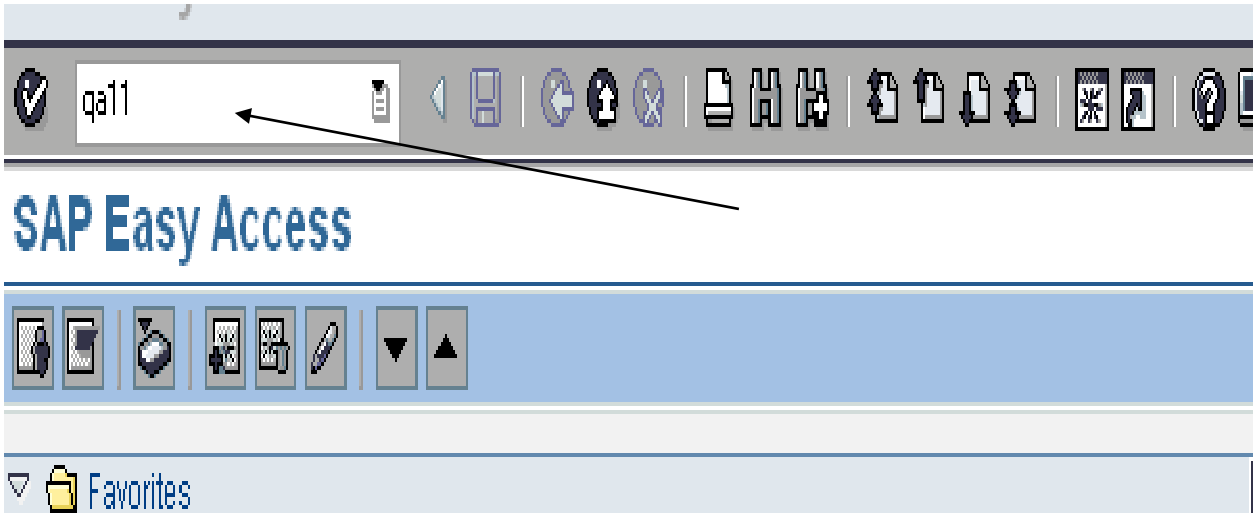
- You can go to MIGO select (display – material document), here put SRV number (101/105) provided by the store person.



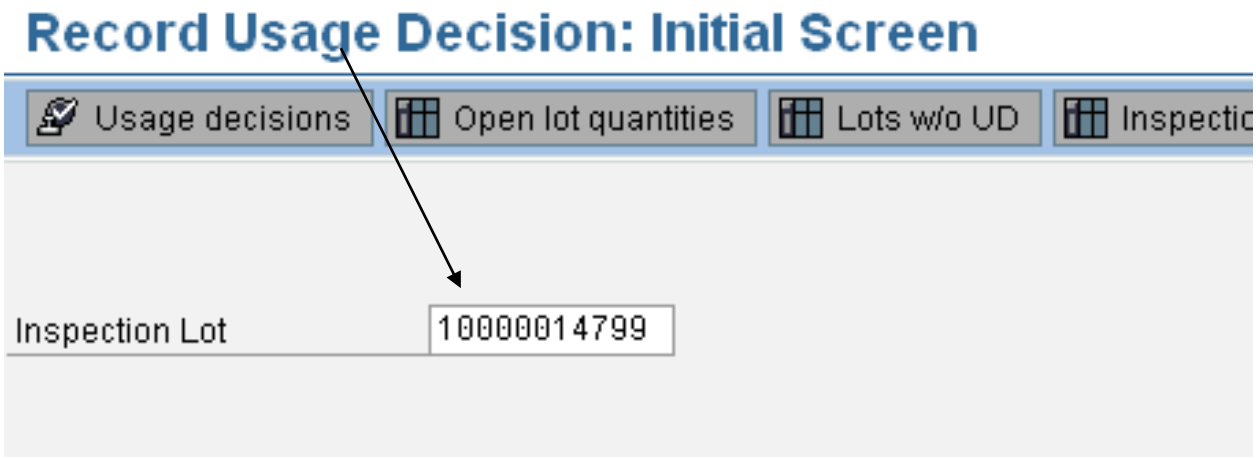
You can view inspection lot number here



Transaction QA11

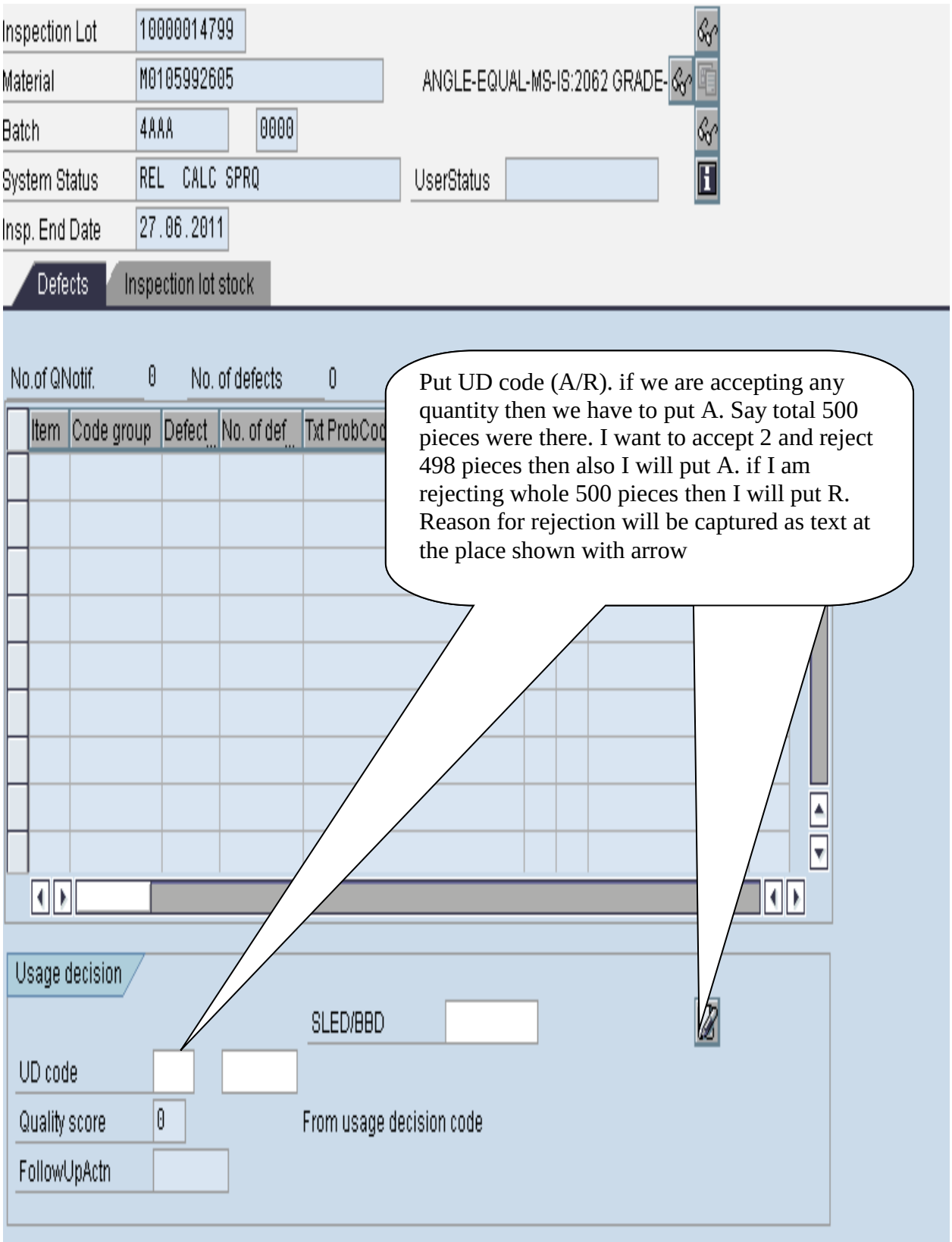


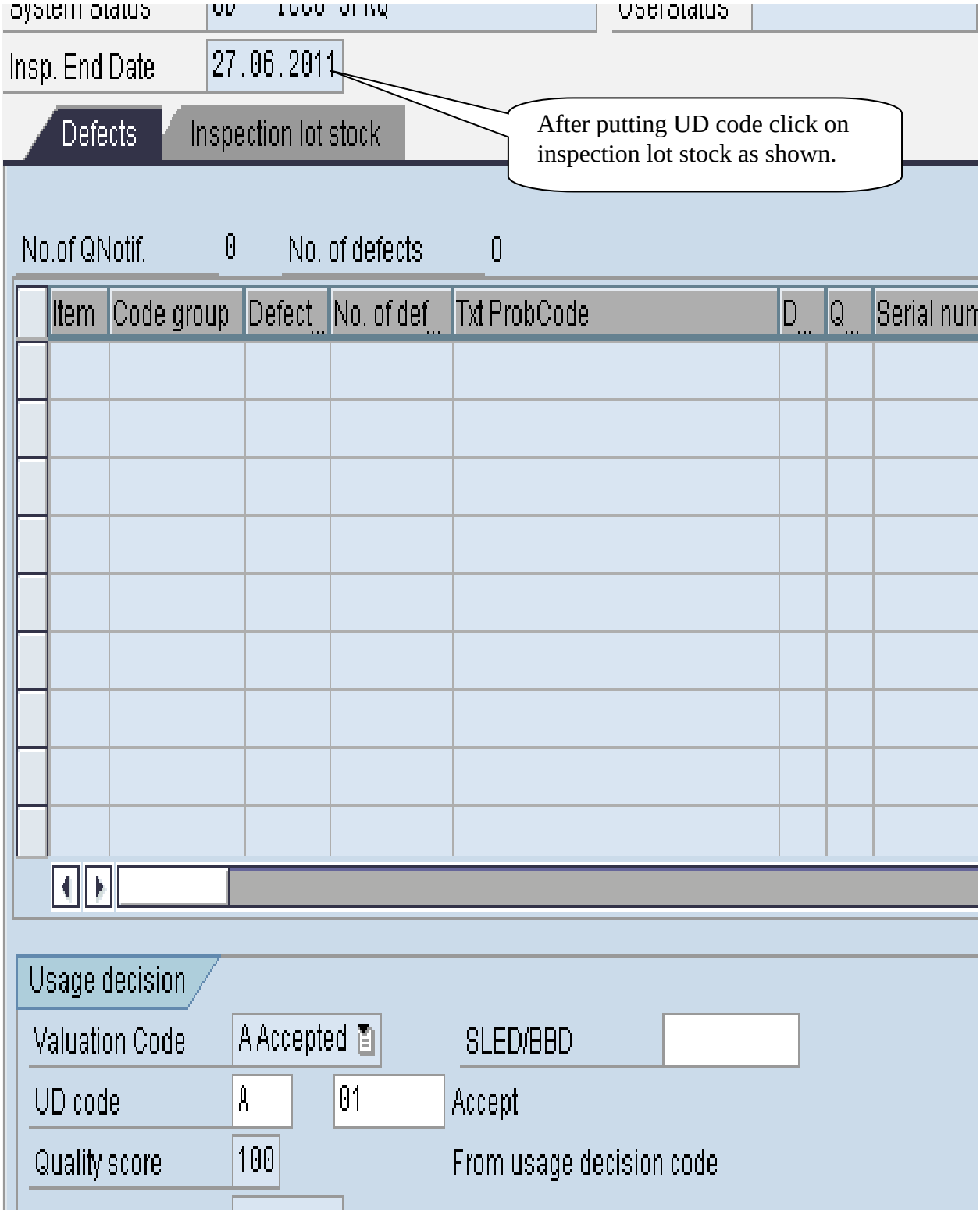
Press Enter
Put inspection lot no. as input

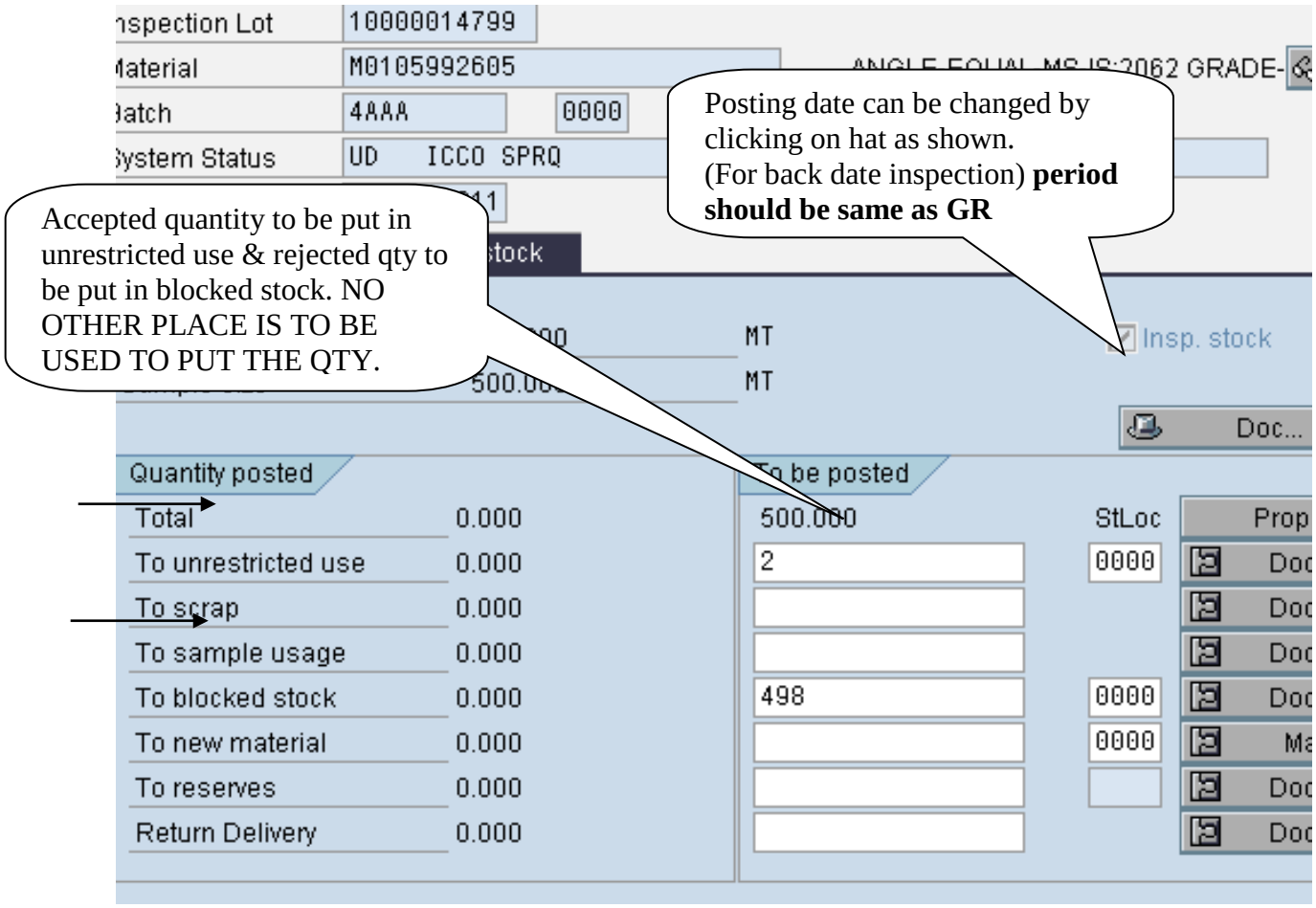


Press Enter
A new window will open like below.

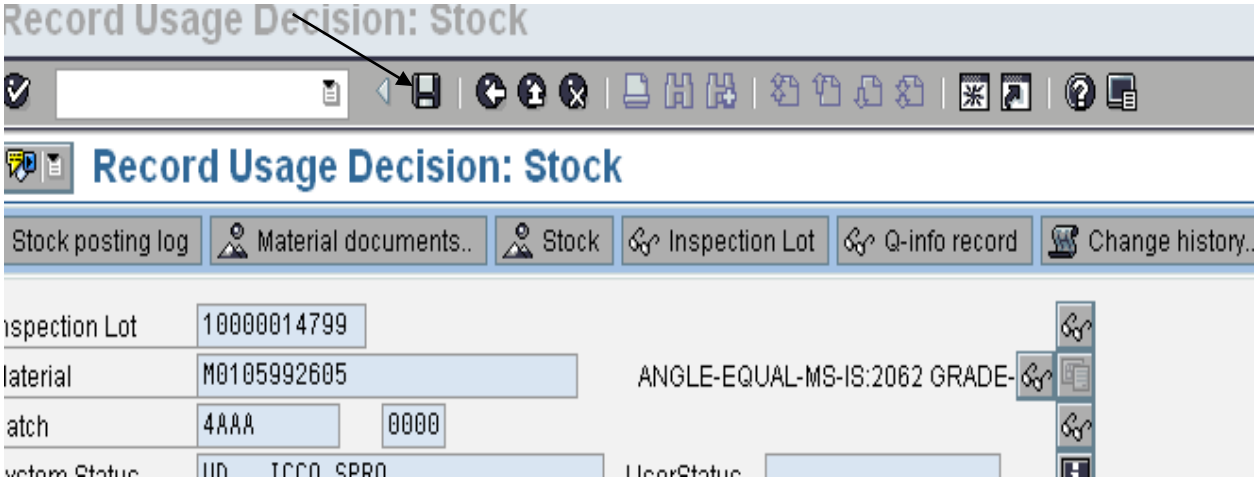
If partial inspection is done, then don't put UD code. Once whole lot is inspected then UD code can be put.
No changes can be done after UD.


Inspection Lot 10000014799
Material M0105992605
ANGLE-EQUAL-MS-IS:2062 GRADE-
Batch 4AAA 0000
System Status REL CALC SPRQ
UserStatus
Insp. End Date 27.06.2011
Defects
Inspection lot stock
No.of QNotif. 0
No. of defects 0
Item
Code group
Defect
No. of def
Txt ProbCod
Put UD code (A/R). if we are accepting any quantity then we have to put A. Say total 500 pieces were there. I want to accept 2 and reject 498 pieces then also I will put A. if I am rejecting whole 500 pieces then I will put R. Reason for rejection will be captured as text at the place shown with arrow
Usage decision
SLED/BBD
UD code
Quality score 0
From usage decision code
FollowUpActn


Insp. End Date
27.06.2011
Defects
Inspection lot stock
After putting UD code click on inspection lot stock as shown.
No.of QNotif.
0
No. of defects
0
Item
Code group
Defect
No. of def
Txt ProbCode
D
Q
Serial num
Usage decision
Valuation Code
A Accepted
SLED/BBD
UD code
A
01
Accept
Quality score
100
From usage decision code

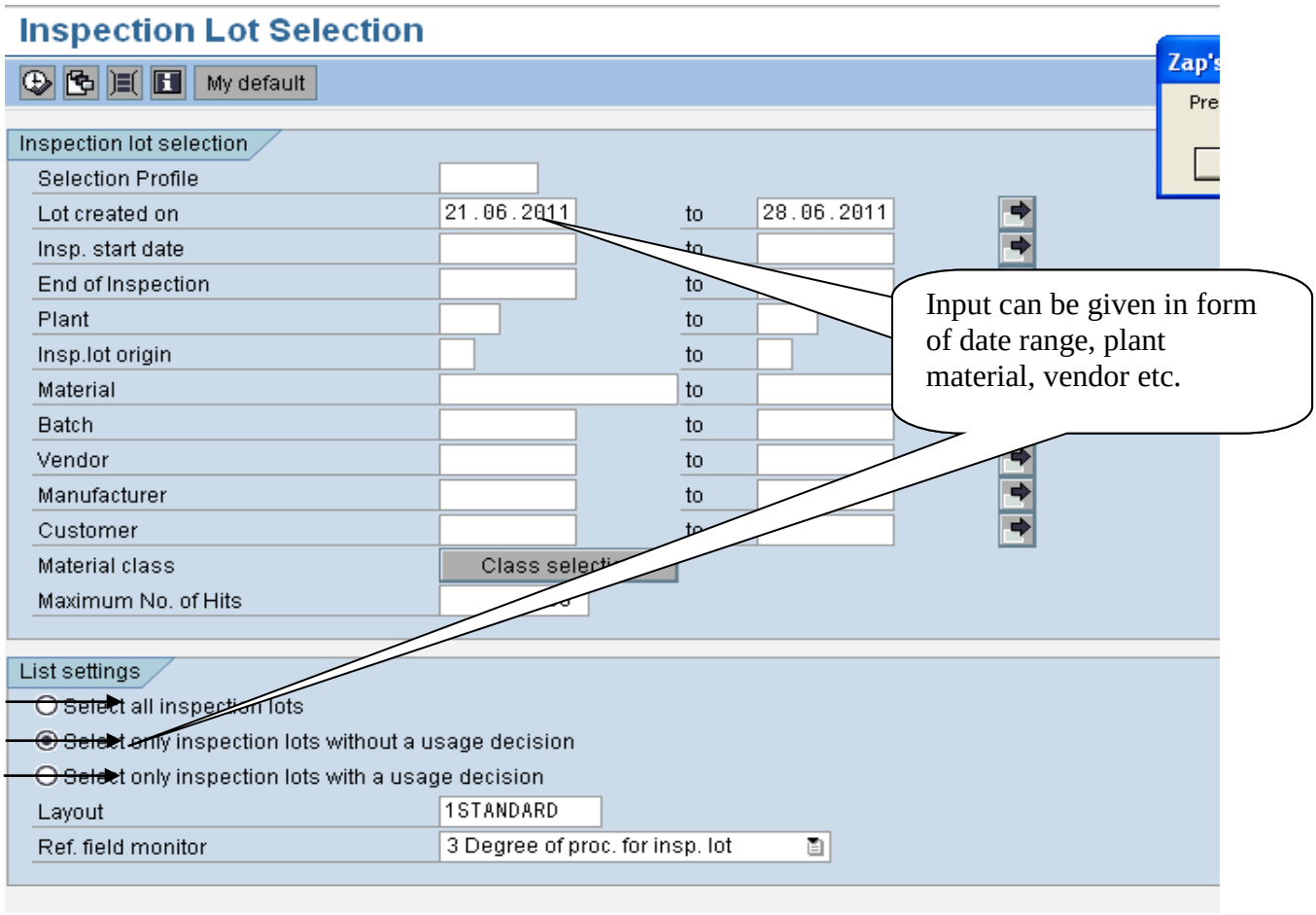


Then Press save.

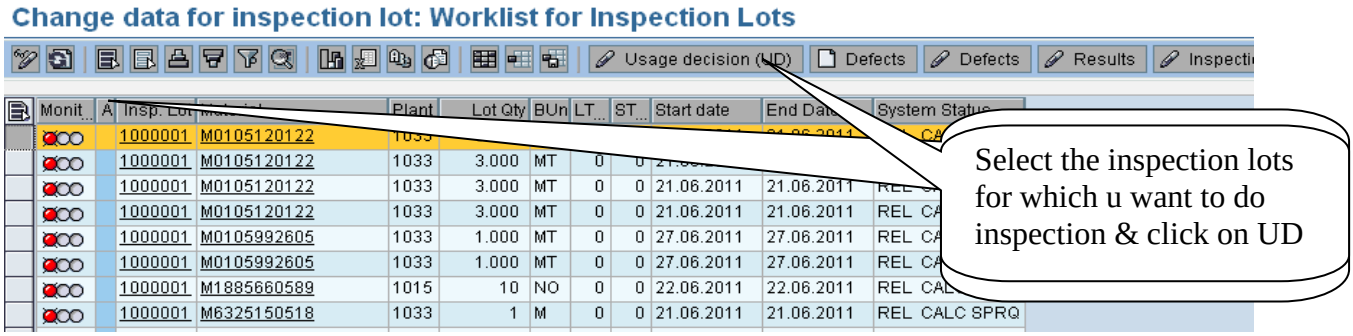


QA32

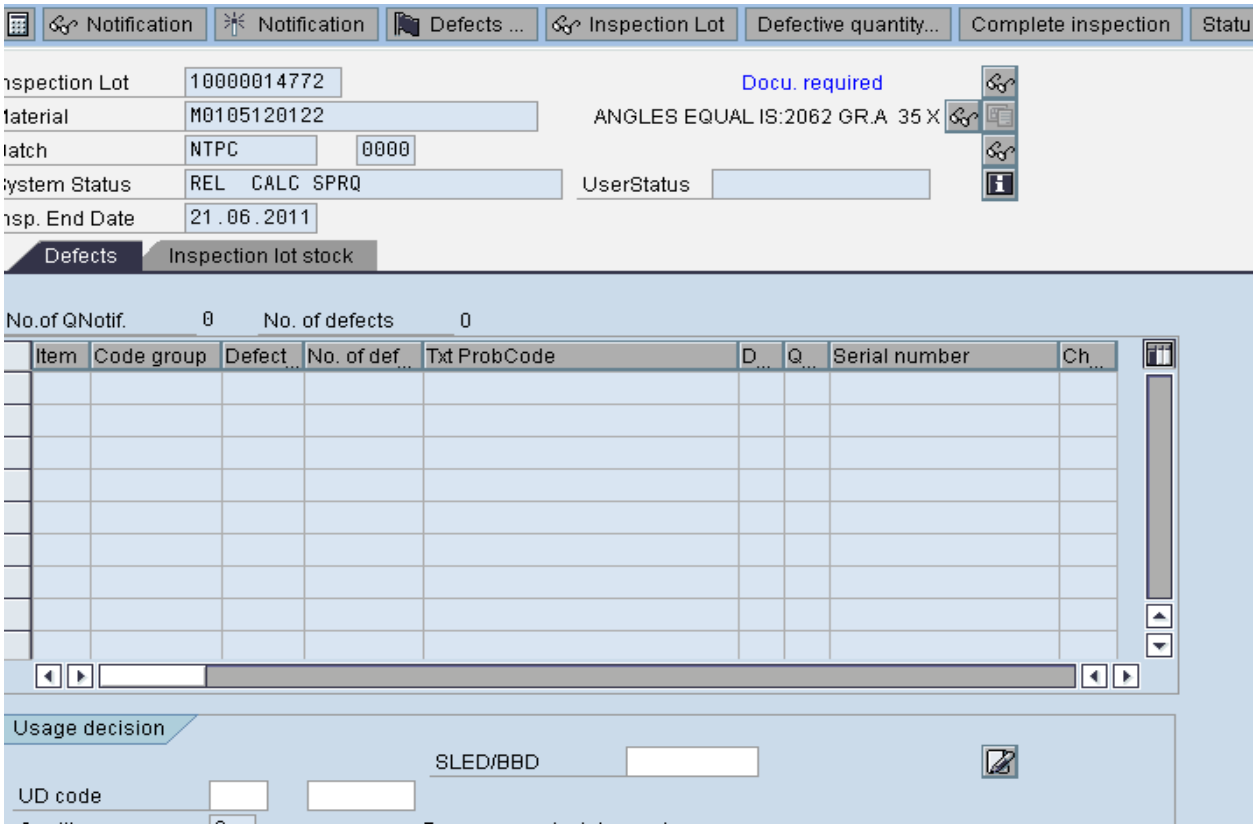
This is a collective transaction where we can see lots with UD/ without UD or all lots. From here we can also do QA11 (inspection).



Output screen will be displayed like below.



You will be diverted to the QA11 screen. Here u can do inspection as described above.



Remarks:

1. Quality/ inspection once done will not be reversed. SRV/GR is to be cancelled.

2. for quality in back date we have to change posting date as described above

3. ZMM070 is the report to find material under inspection.

4. Stock can be viewed in MMBE

5. Each & every material coming to NTPC store, quality checking should be done even if PDI is already been done

6. In background some mvt type run

mvt type 321: quality to unrestricted
mvt type 350: quality to blocked can be seen in MB51 T code.

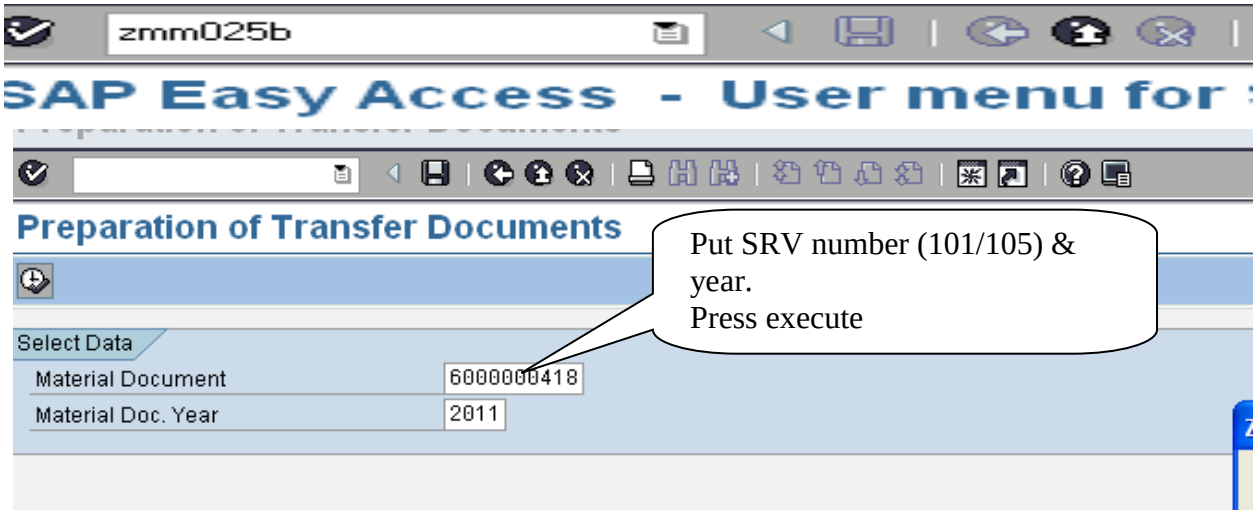
SRV PRINT: T- code is ZMMMATDOC
Rejected material can also be seen in ZMMREJ

(G). Transfer to Permanent Store:

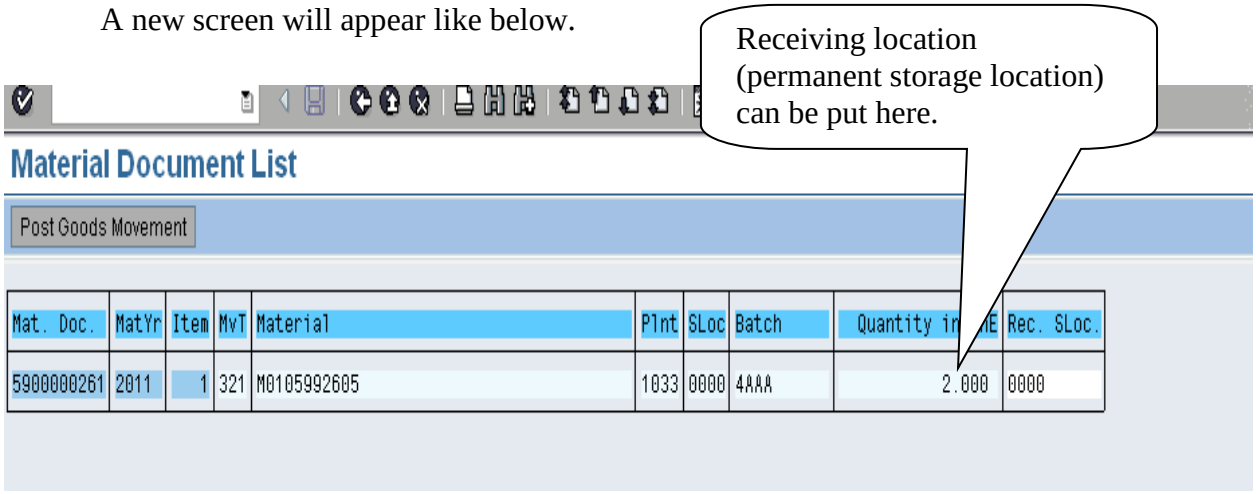
a. O&M stock (normal stock): ZMM025B
b. Project Stock : MIGO (transfer posting) – 313 Q

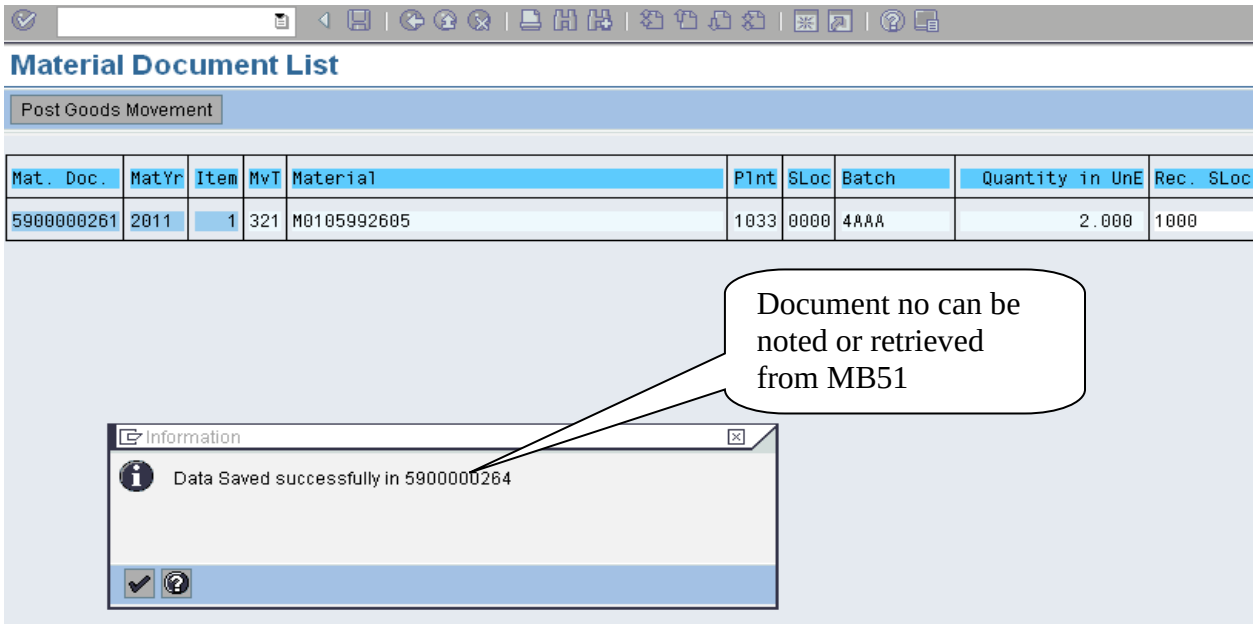
a. O&M stock (normal stock): ZMM025B

Put T- code & press enter



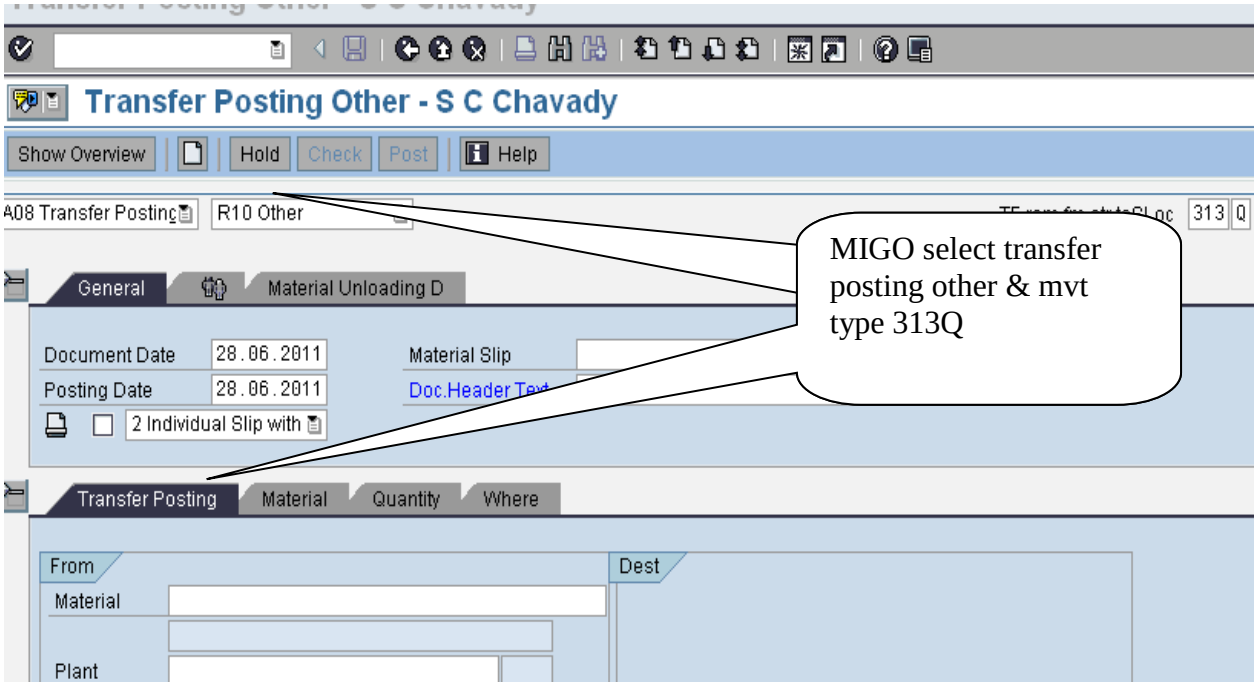
A new screen will appear like below.





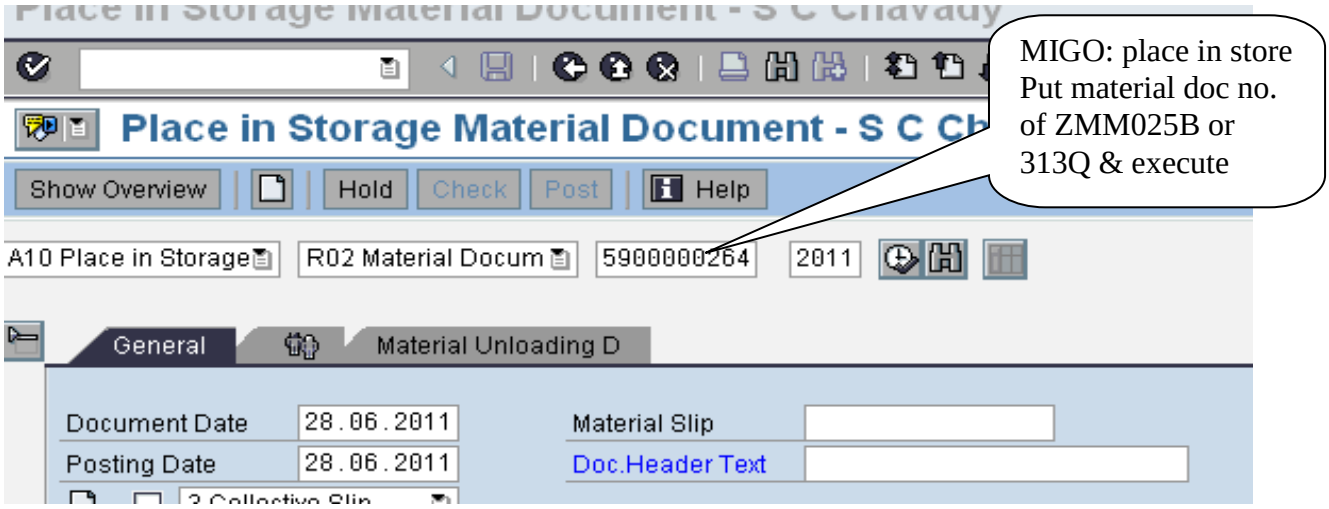
Print can be taken with ZMMSRV & material can be sent to permanent store with print.

b. Project Stock: MIGO – 313 Q

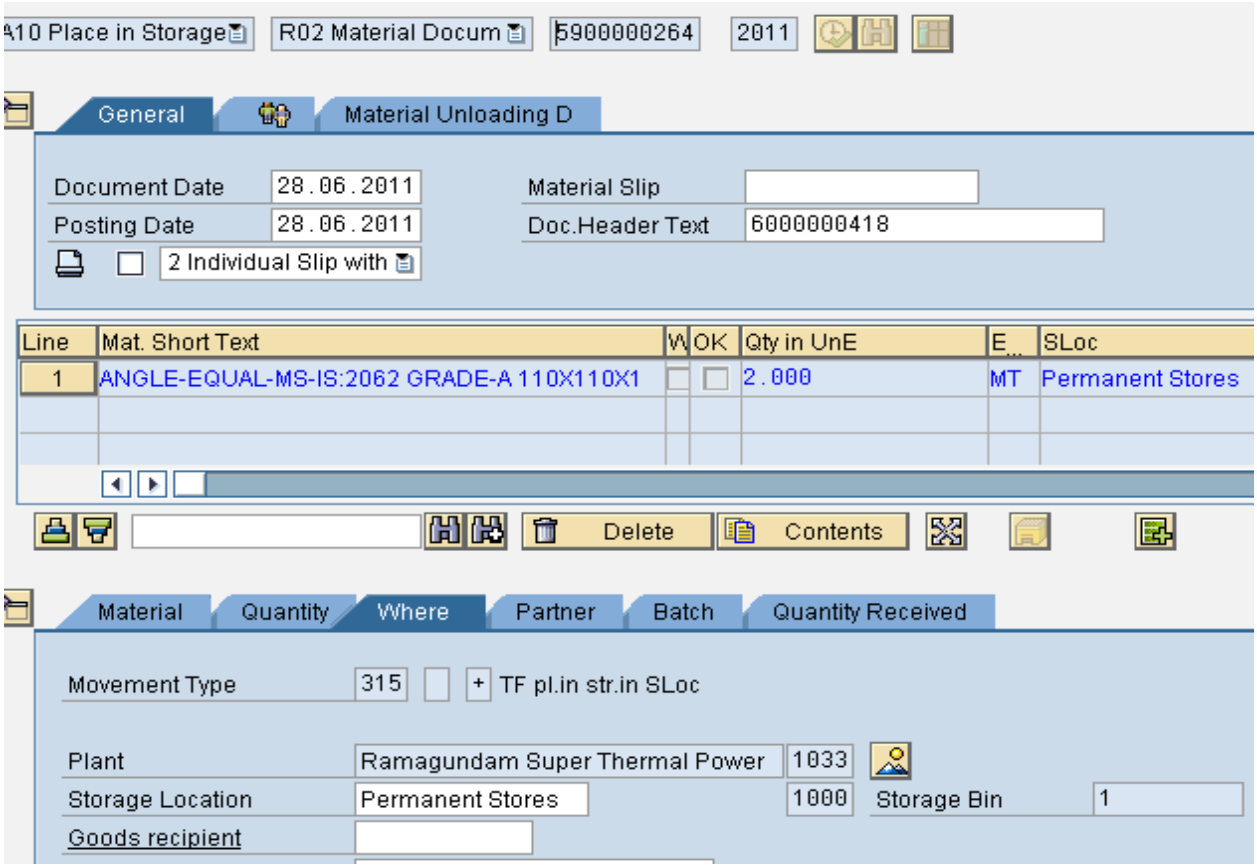


Give material code, batch, and plant from & to storage location, WBS element &quantity. Check the document & post it

(H) Place in Permanent Store: MIGO-315 mvt type



See material code, qty, storage location. Verify it with printout of ZMMSRV check & post.

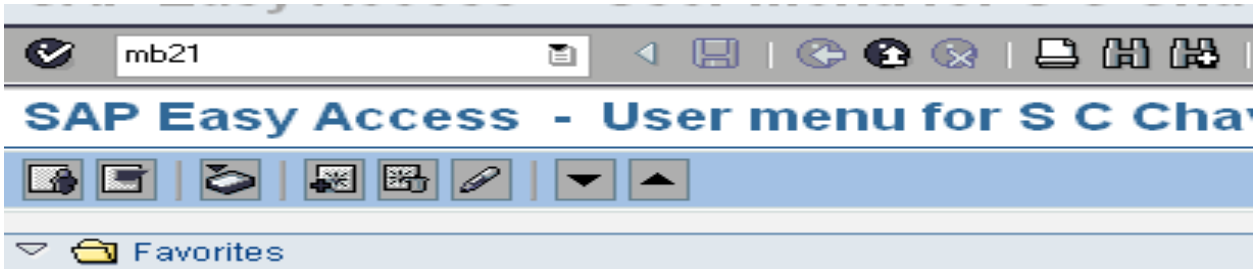


Remarks: In some places where storage location is WM activated when we do posting of this document, a new screen of creating transfer order will be opened. You should not come back from there go ahead and create transfer order (see WM manual)

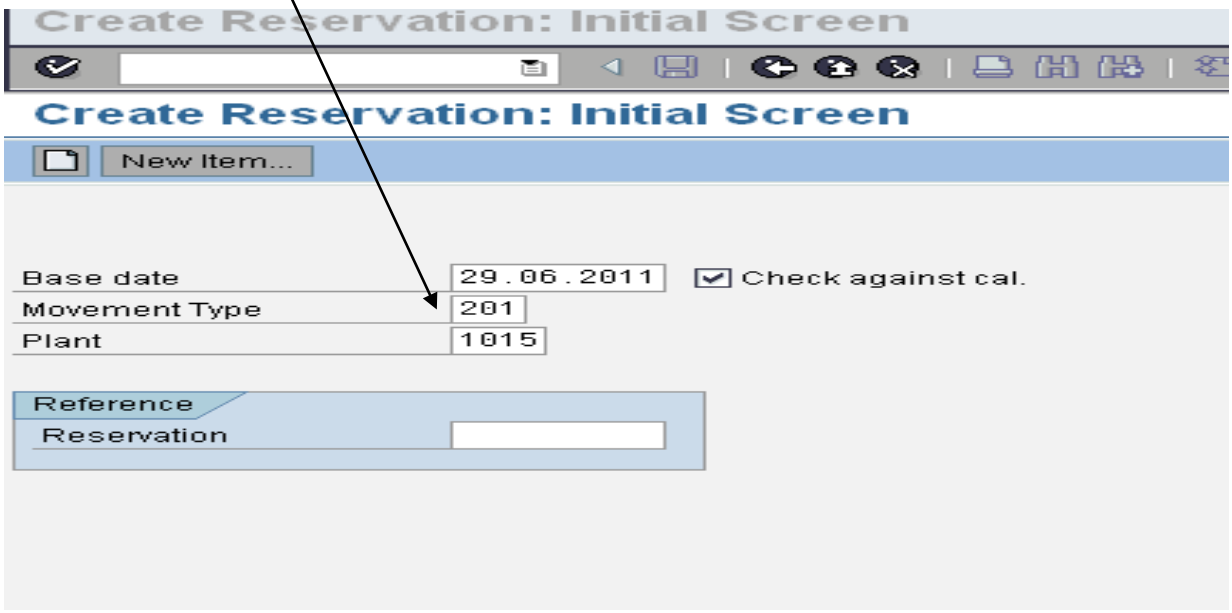
1. Storage location can't be changed in 315Q.

9.0.4 GOOD ISSUE

(A) Create Reservation (t code –MB21)

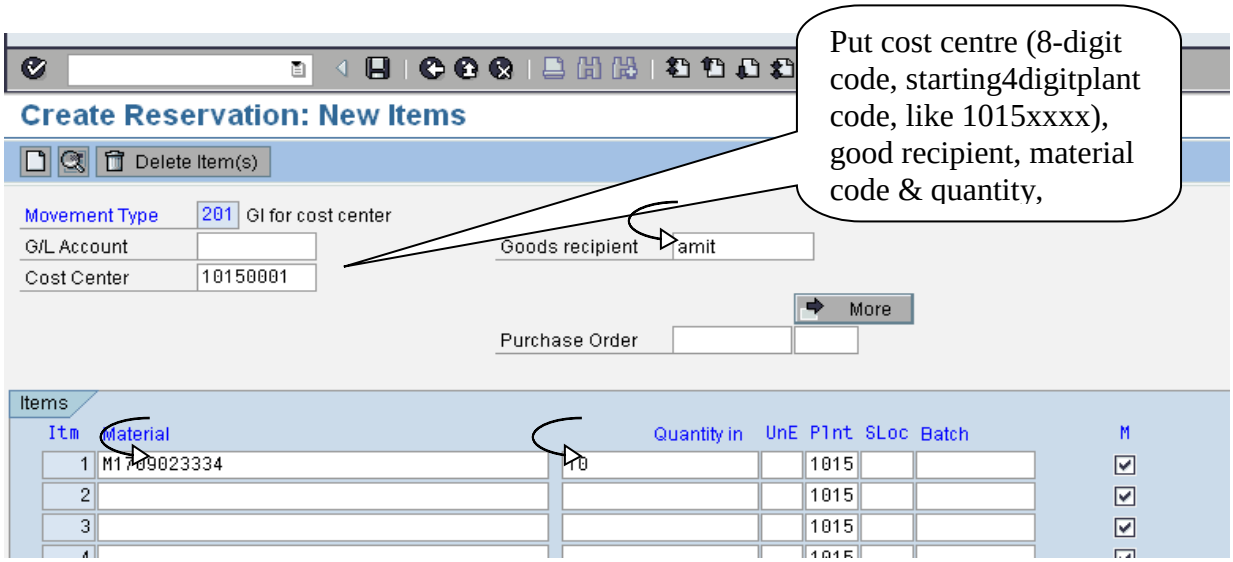


Put movement type & plant



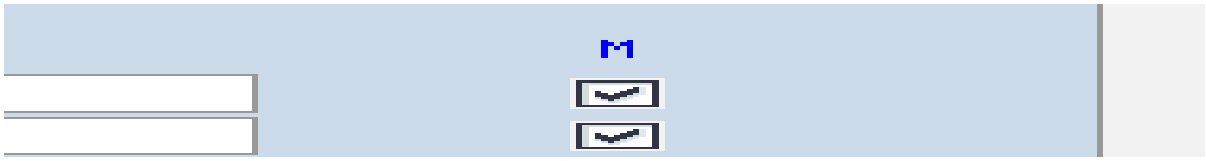
For GI against cost centre put mvt type 201, for others please see movement type list.
Press enter, following screen will appear.

MRN: for MRN please use mvt type 202**.**

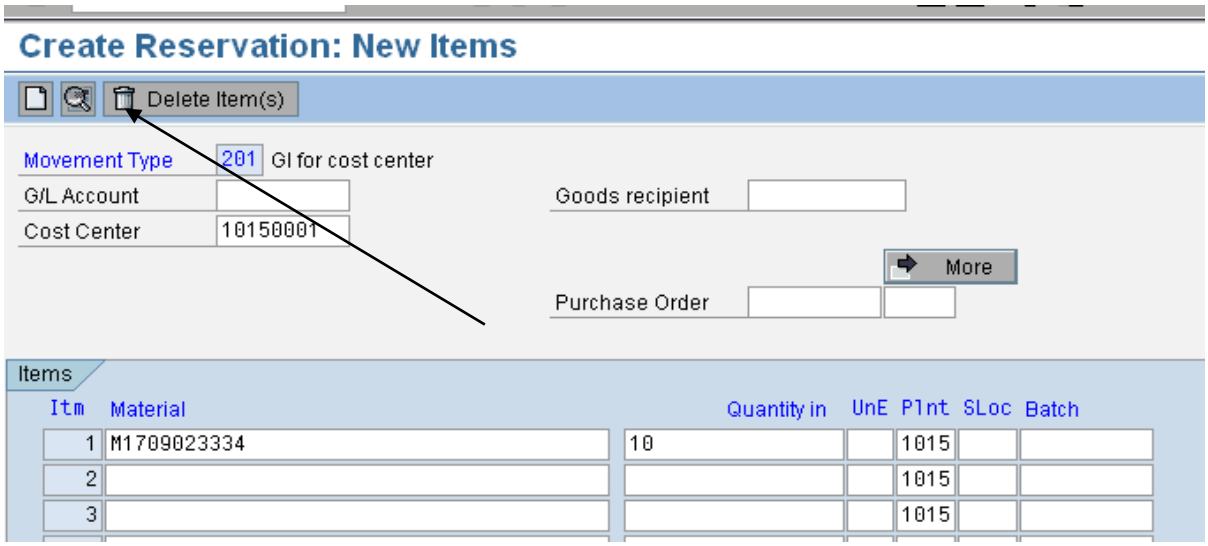


1. Please do not put anything in tab
   GL Account, Purchase Order, UnE, Storage location, Batch

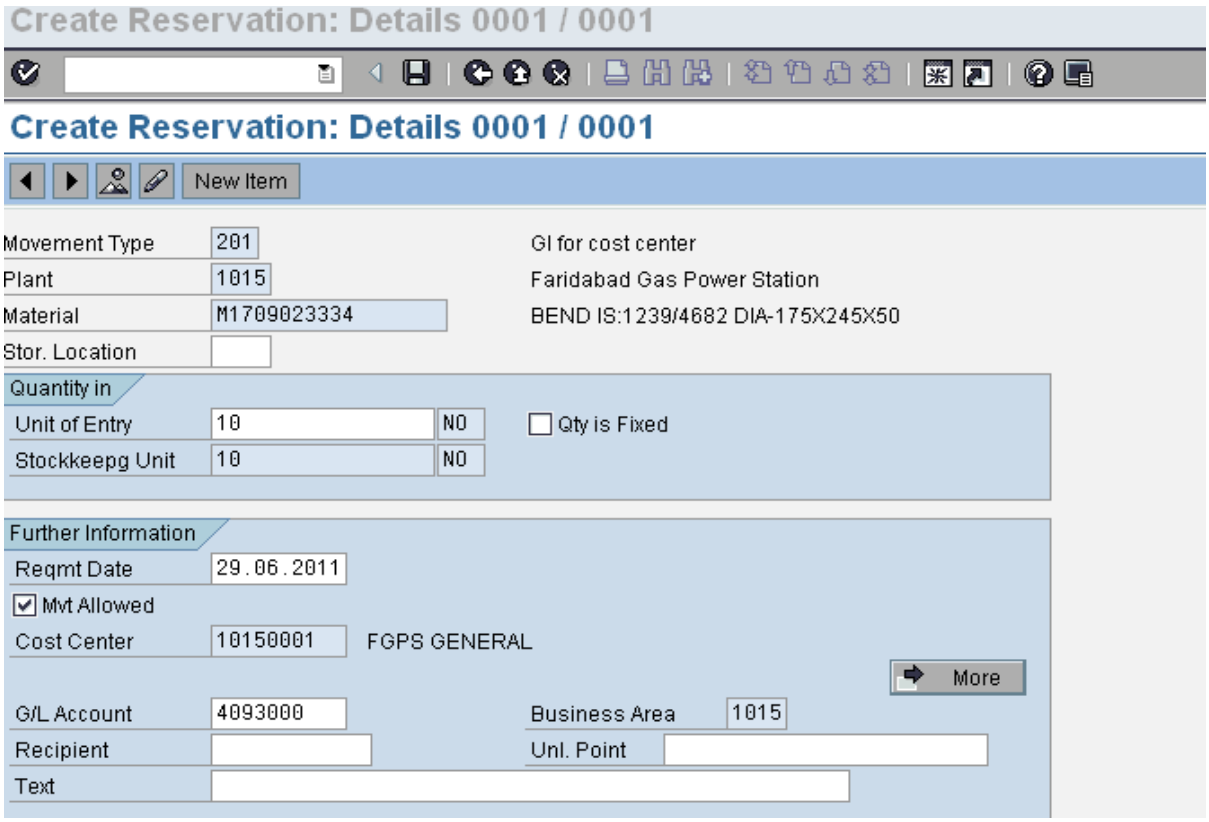
2. Do not **untick** movement allowed indicator



3.Press at magnifying glass to see detail of the item



4. Put text if any text is required in the text box.



5. At any time, system shows 8 lines, u can enter 8 material codes.

If u want to enter more than 8 items, then after entering 8 items click on create button as shown.

6. Sometimes when we save reservation, system shows some warning messages like enter batch, as on date stock is zero, etc. see relevance of message and press enter & save the reservation.

Remarks:

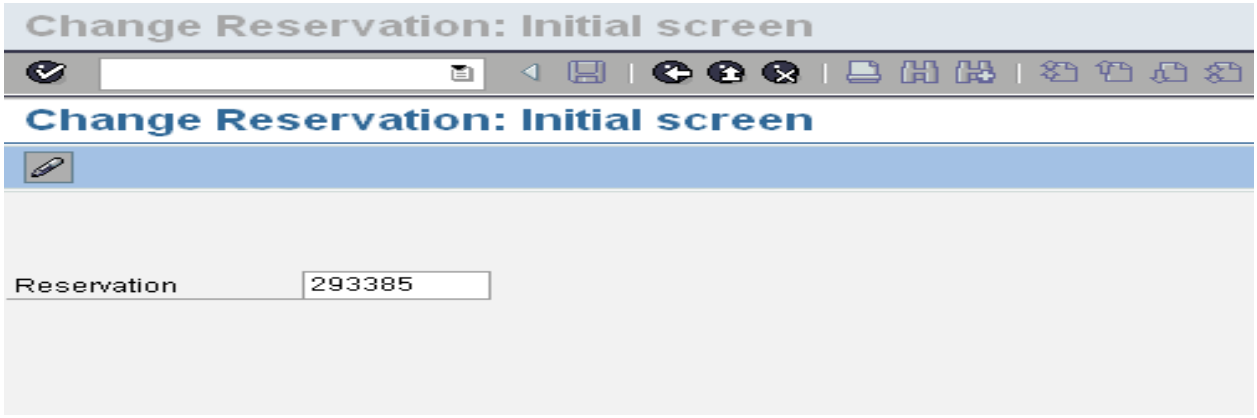
1. print of reservation can be taken by t code ZMM026B

2. Collective print of Multiple Reservations can be taken by ZMM026BCLUB

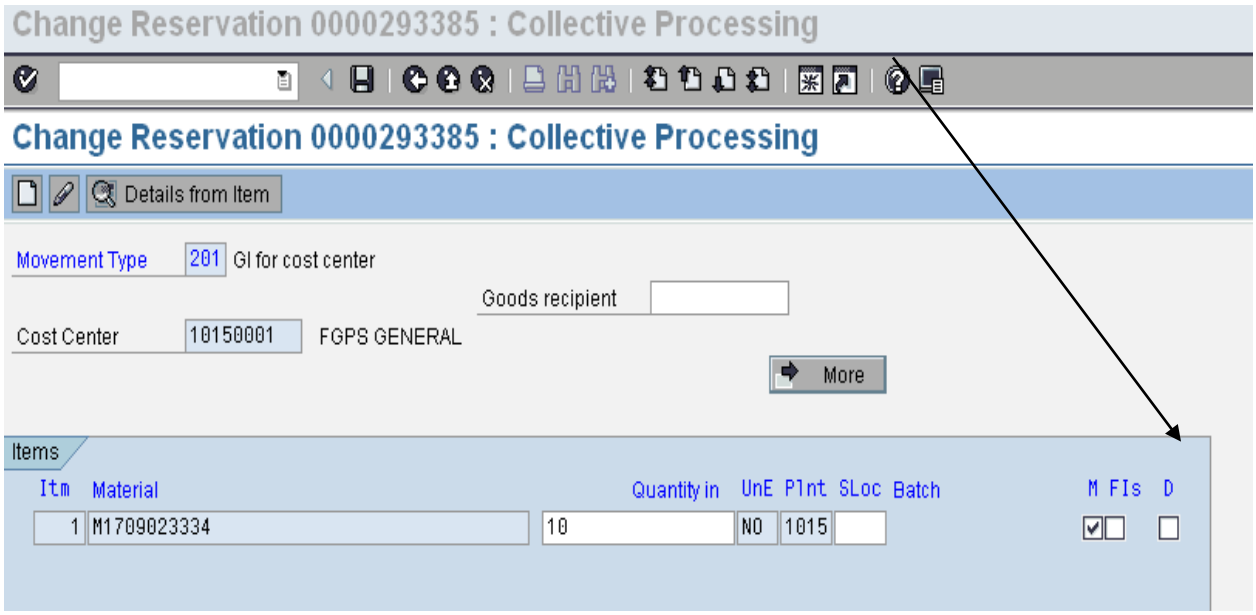
3. ZMM026BCLUB will also show bin location (where this material is lying) & whether this item is Stock controlled item or not.

Report: MB24, MB25

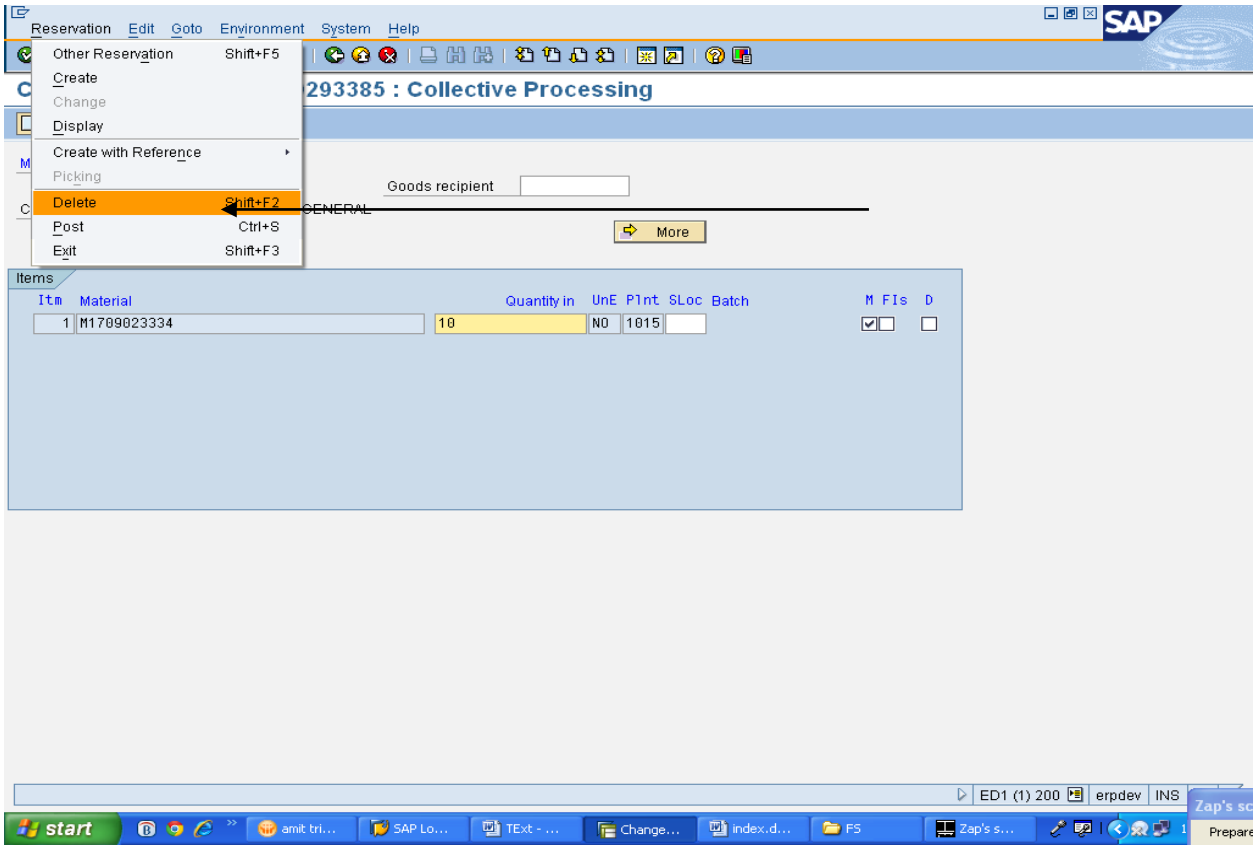
(B) Change Reservation (t code –MB22)



Put reservation no., Enter & see relevant details & change accordingly.
Like I want to delete certain items then I will check in "D" box (deleted)

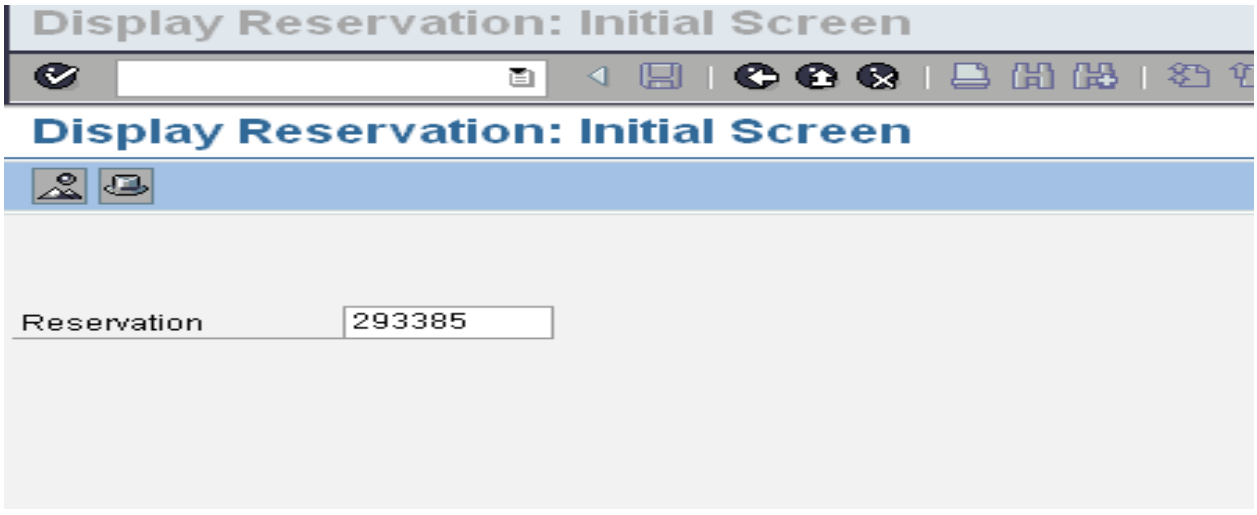


If I want to delete whole reservation, then

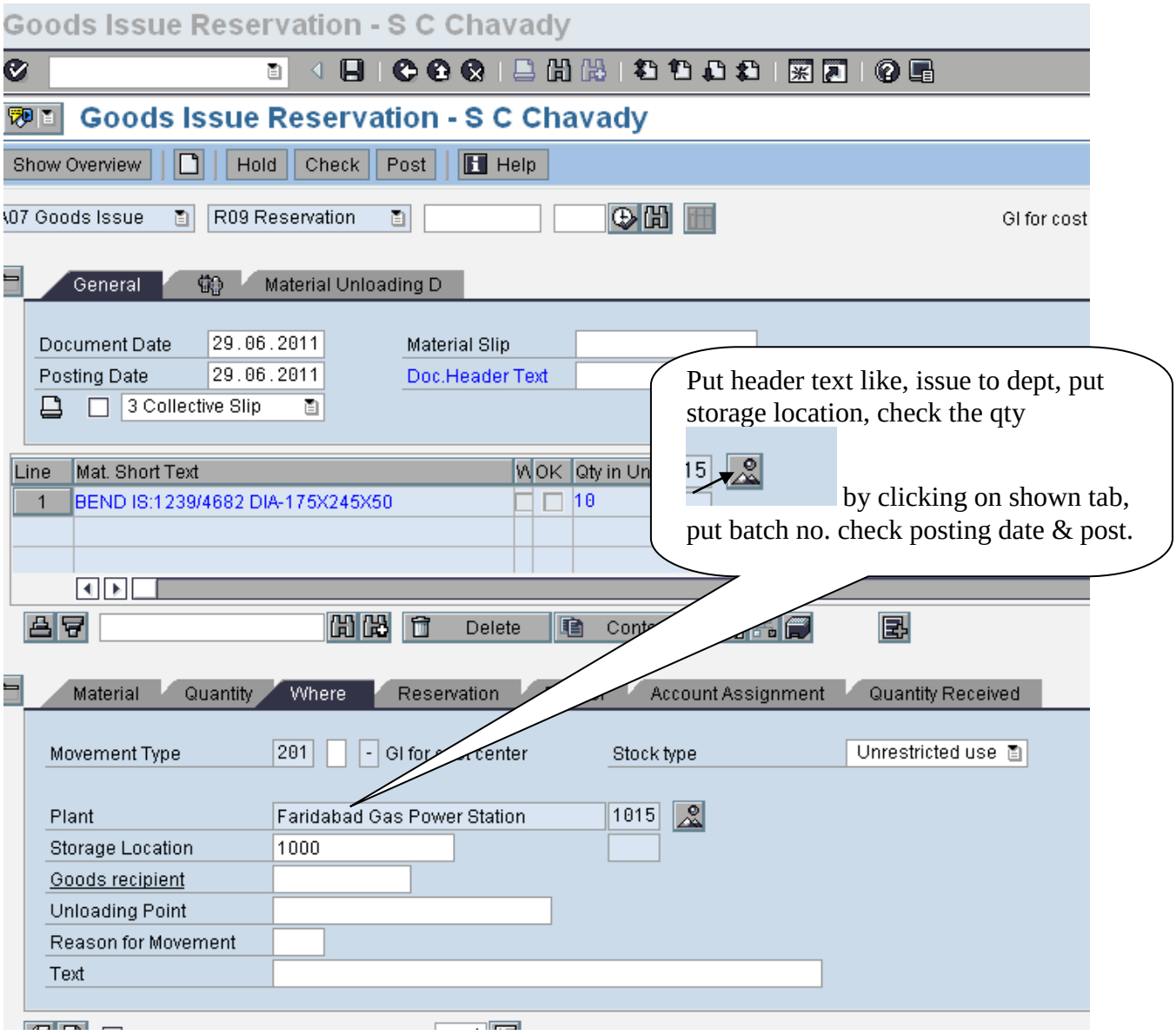


(C) Display Reservation (t code –MB23)

Use this T-Code to view reservations



(D) MIGO (t code –MIGO)



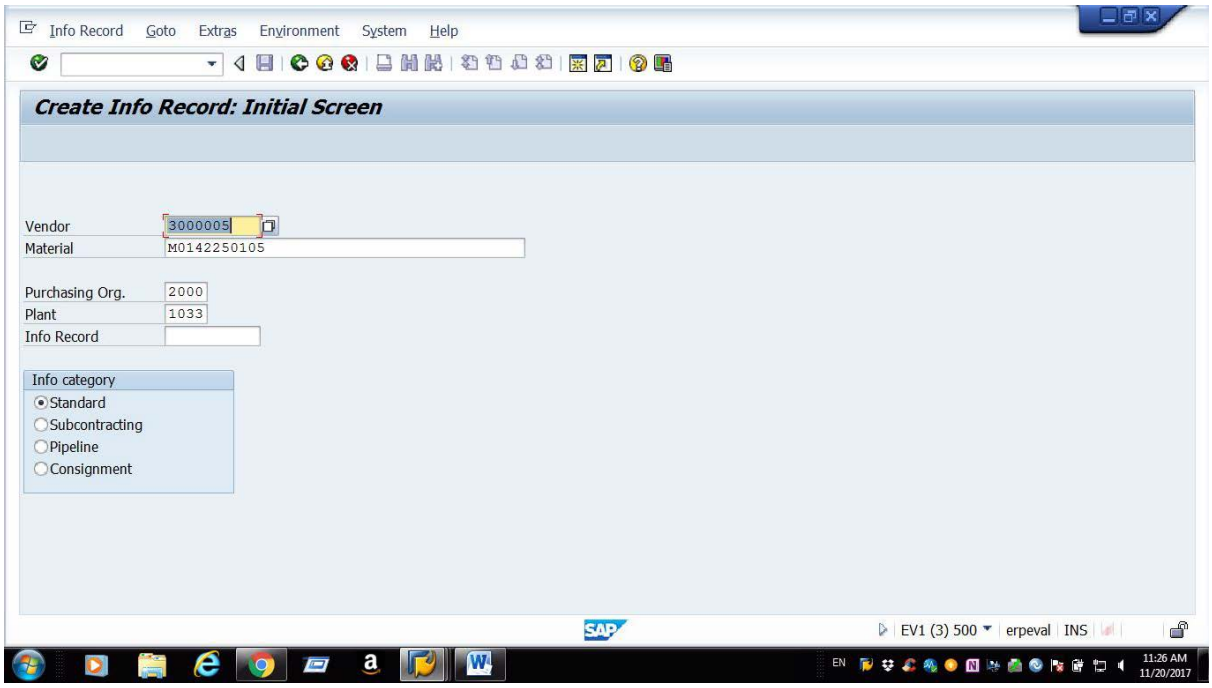
Remark: If storage location is, WM active then a new screen will appear after posting the document for creation of Transfer order. Do not return back from that screen follow WM process.

Print: ZMM026C. Obtain here the signature of material collector. EXIT GATE PASS process in case of material moves outside plant.

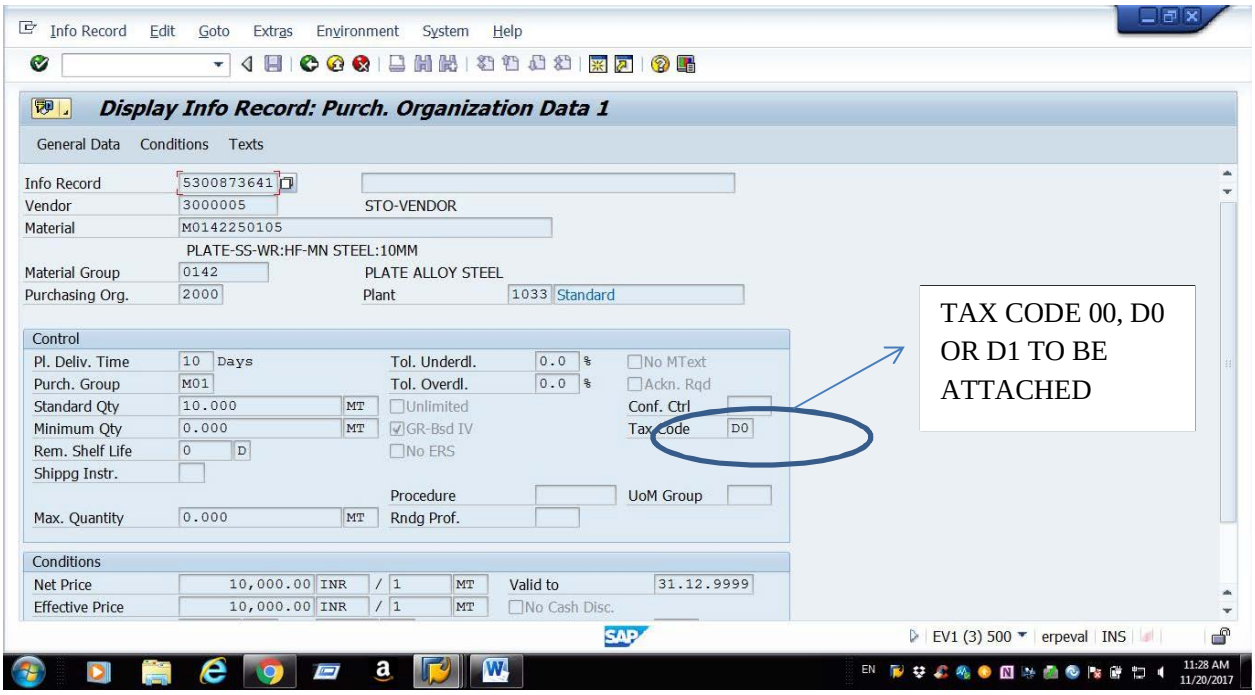
9.0.5 STOCK TRANSPORT

(A) INTRA COMPANY STOCK TRANSPORT.

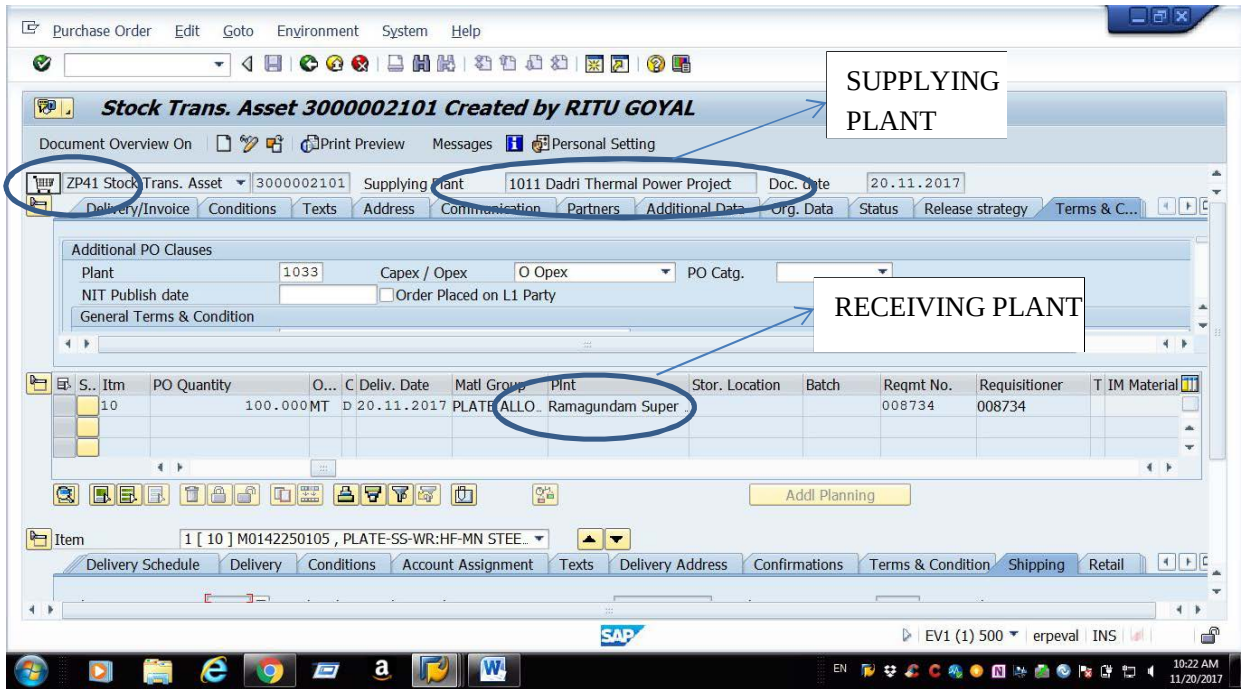
1. **Creation of Info record:Tcode:ME11:** The First step in the process of Stock Transport order is to create a Purchasing Info Record through Tcode ME11. The Purchasing Info Record will be created by the Receiving Plant with reference to the Vendor Code of the Supplying Plant and Material Code.



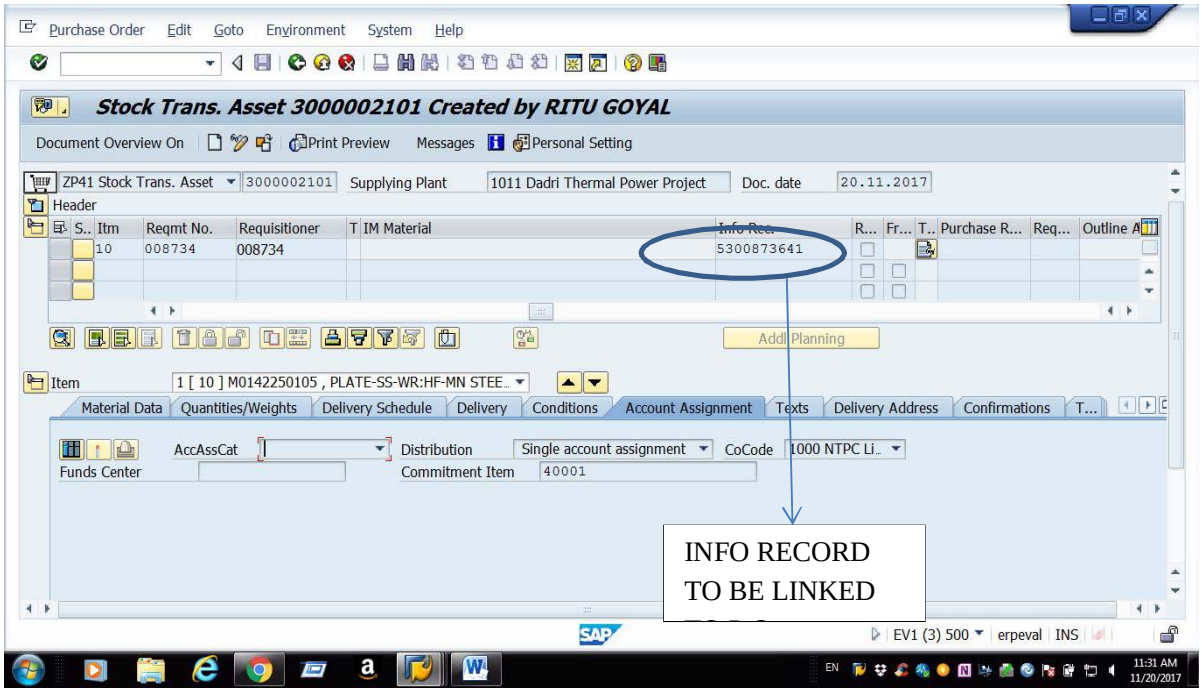
- In the Purchase Organization Data Tab of the Info Record, assign Tax Code 00, D0 or D1. Tax Code D0 is to be assigned if the Input Tax Credit is not to be availed. In case input tax credit is to be taken, then Tax Code D1 is to be assigned. In case the transfer of goods is to stations within the same GSTN, then no tax is involved and hence tax code 00 would be used.



2. **<u>Creation of Stock Transport Purchase Document.</u>** : Create a Stock Transport P.O. with P.O. type as ZP41. **The Purchase Document will be created by the Plant who is receiving the material.**



- Each Plant has been attached with a Customer and Vendor code in the background. The accounting entries will flow in the respective customer and Vendor Codes.



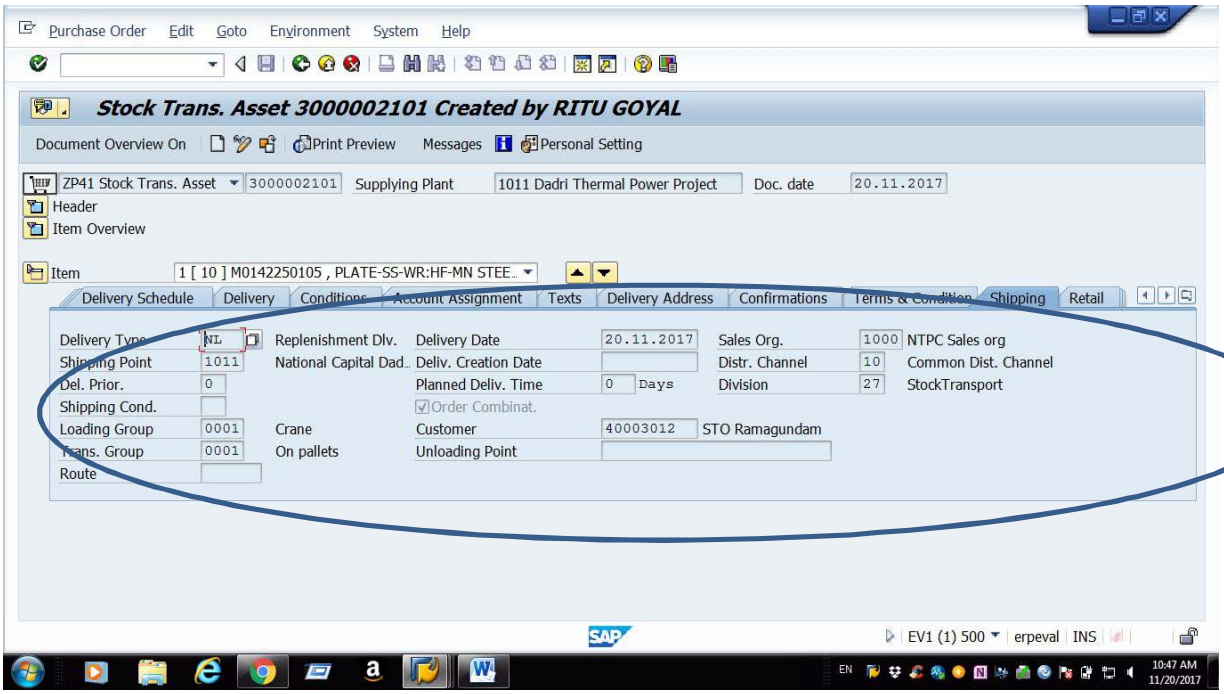
The Table below lists the Customer and Vendor Codes attached to each Plant:

S.No.	PLANT CODE	PLANT NAME	CUSTOMER CODE	VENDOR CODE
1	1004	Singrauli Super Thermal Power	2100000001	5000000
2	1005	Rihand Superthermal Power	2100000002	5000001
3	1006	Feroz Gandhi Unchahar Thermal	2100000003	5000002
4	1007	Tanda Thermal Power Project	2100000004	5000003
5		Badarpur Thermal Power Station	2100000005	5000004
6	1010	Dadri Thermal Power Project	2100000006	5000005
7	1011	Auraiya Gas Power Project	2100000007	5000006
8	1012	Anta Gas Power Project	2100000008	5000007
9	1014	Dadri Gas Power Project	2100000009	5000008
10	1015	Faridabad Gas Power Station	2100000010	5000009
11	1017	Korba Super Thermal Power Proj	2100000011	5000010
12	1018	Vindhyachal Super Thermal Powe	2100000012	5000011
13	1019	Sipat Super Thermal Power Proj	2100000013	5000012

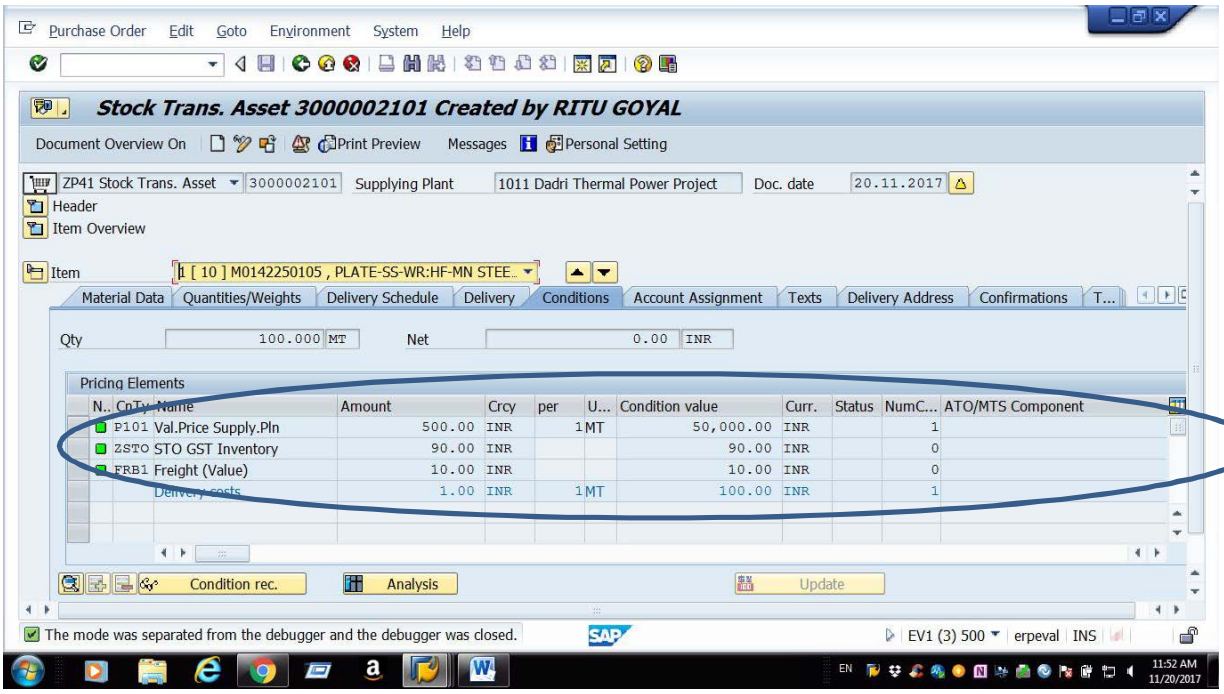
14	1020	Kawas Gas Power Project	2100000014	5000013
15	1021	JHANOR-GANDHAR GAS POWER PROJ.	2100000015	5000014
16	1024	Farakka Super Thermal Power	2100000016	5000015
17	1025	Kahalgaon Super Thermal Power	2100000017	5000016
18	1026	Talcher Super Thermal Power	2100000018	5000017
19	1027	Talcher Thermal Power Station	2100000019	5000018
20	1028	Barh Thermal Power Plant	2100000020	5000019
21	1029	North Karanpura Thermal Power	2100000021	5000020
22	1033	Ramagundam Super Thermal Power	2100000022	5000021
23	1034	Rajiv Gandhi Ccpp	2100000023	5000022
24	1035	Simhadri Thermal Power Project	2100000024	5000023
25	1037	Koldam Hydro Project	2100000025	5000024
26	1040	Pakri Barwdih Coal Mining Pro.	2100000026	5000025
27	1042	Bongaigaon Thermal Power	2100000027	5000026
28	1043	Mouda Super Thermal Power	2100000028	5000027
29	1045	Solapur STPP	2100000029	5000028
30	1046	Kudgi STPP	2100000030	5000029
31	1047	Lara STPP	2100000031	5000030
32	1049	Gadarwara STPP	2100000032	5000031
33	1051	Rammam Hydro Power Projet.	2100000033	5000032
34	1053	Darlipali STPP	2100000034	5000033
35	1054	KHARGONE STPP	2100000035	5000034
36	1057	TELANGANA SUPER THERMAL POWER	2100000036	5000035

In case any additional Customer / Vendor with reference to any plant is required, the same may be taken up with the ERP team.

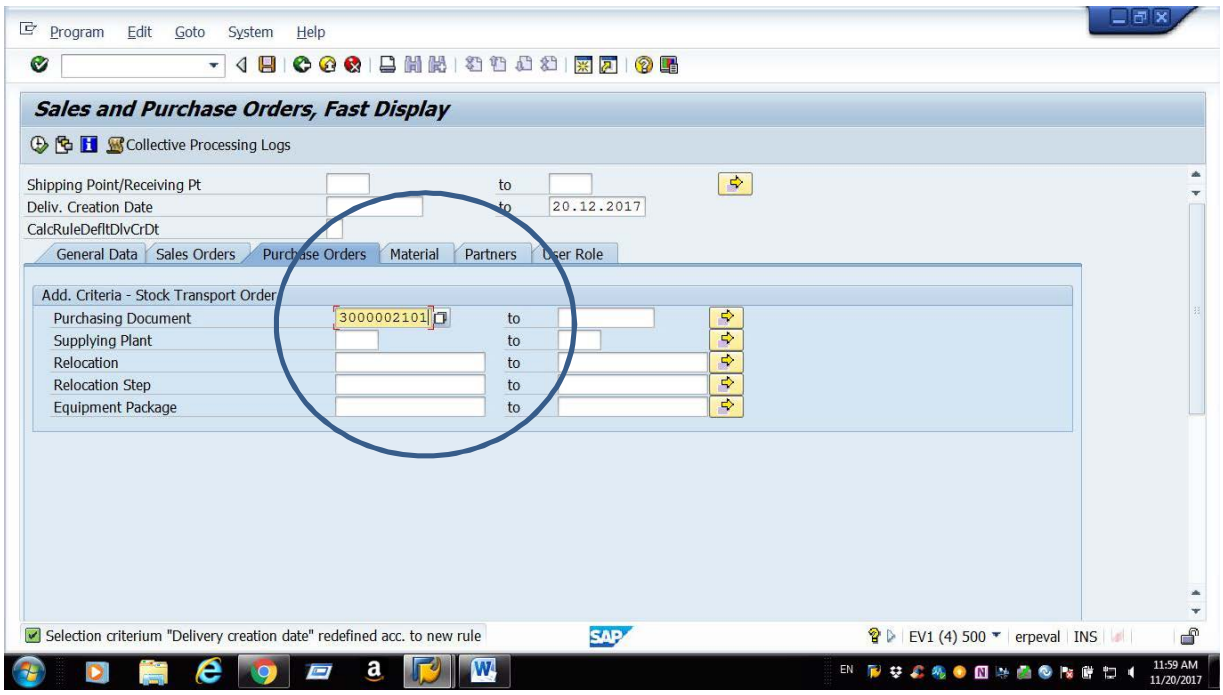
A new SHIPPING TAB is introduced in the Stock Transport Purchase Order which will give the detail of the Delivery as well the customer code attached to the receiving plant.



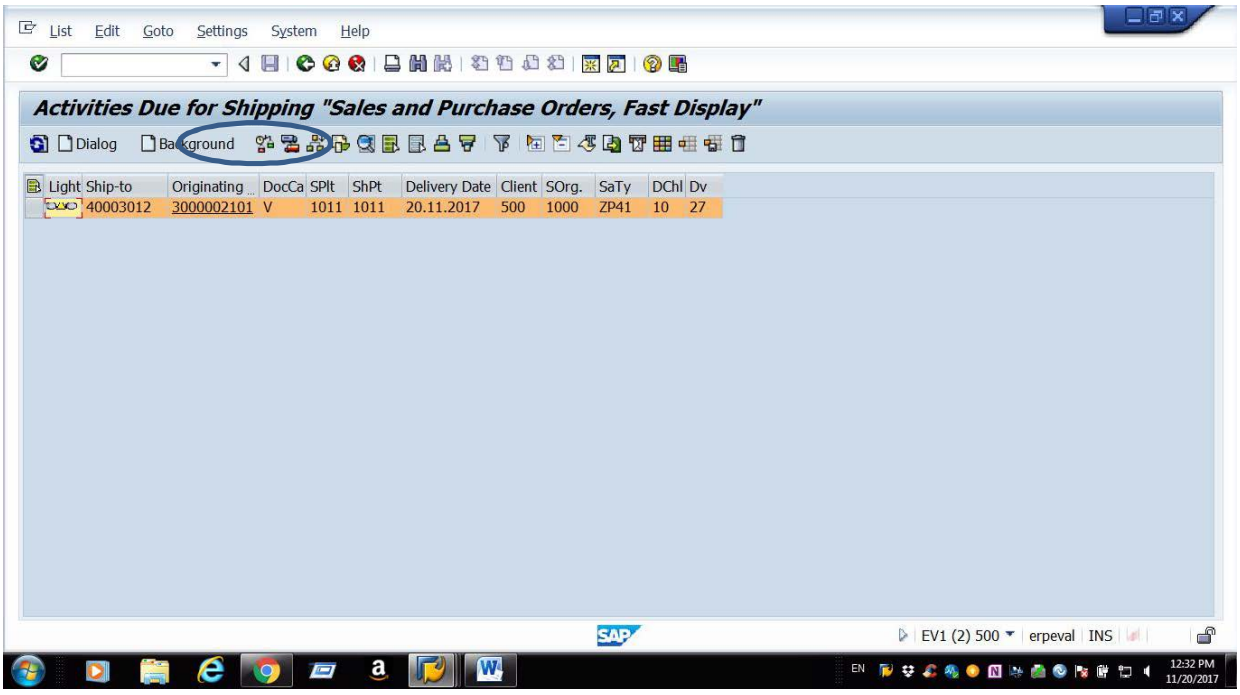
- Please see CONDITIONS Tab Carefully. In case the user is using Tax Code D0, then he needs to calculate the GST manually and insert it in condition type ZSTO as shown below. This is because the GST amount needs to be uploaded on the Inventory.
- In case Purchase Document has freight or Insurance, then the freight or Insurance condition as the case may be also needs to be inserted by the user manually in the Purchase Document Conditions Tab as shown below.



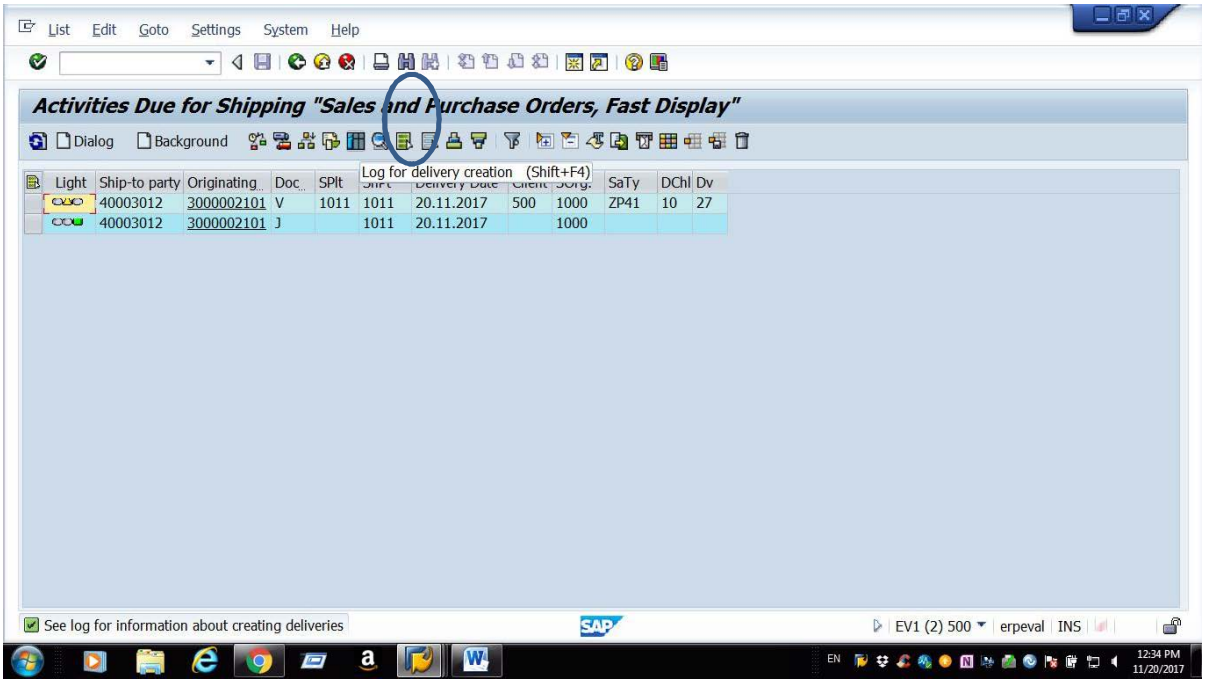
3. Creation of Outbound Delivery : Tcode : VL10G



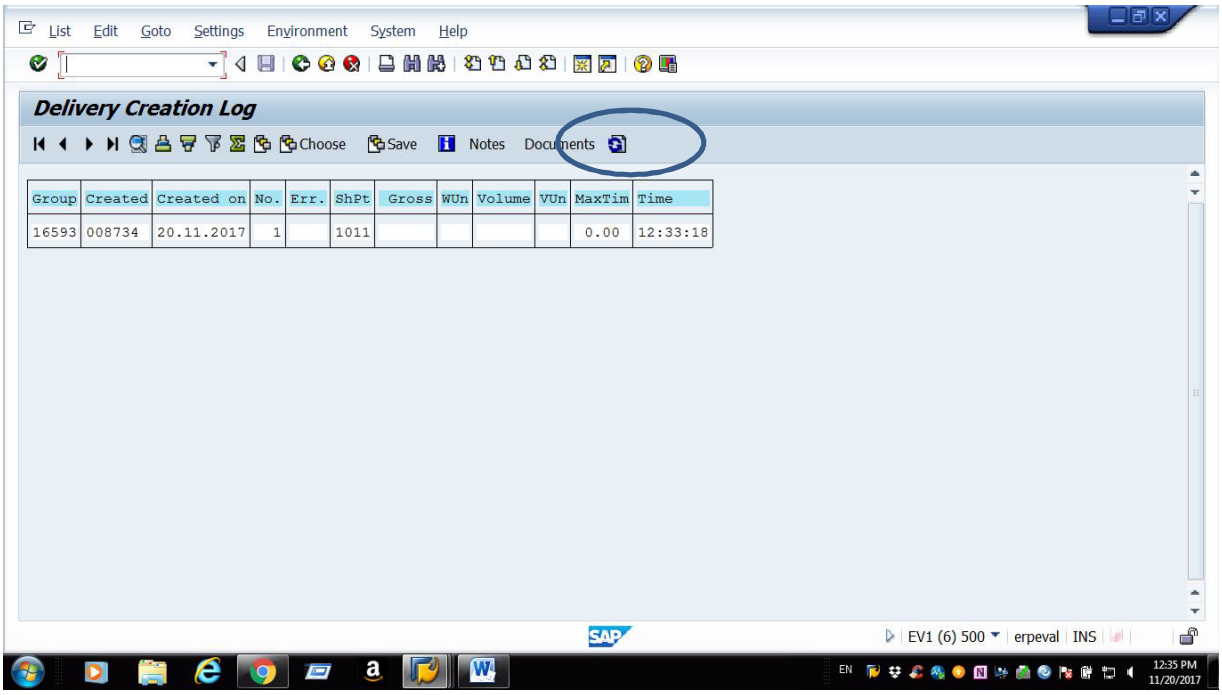
- Execute T-Code VL10G with reference to the Stock Transport Order.



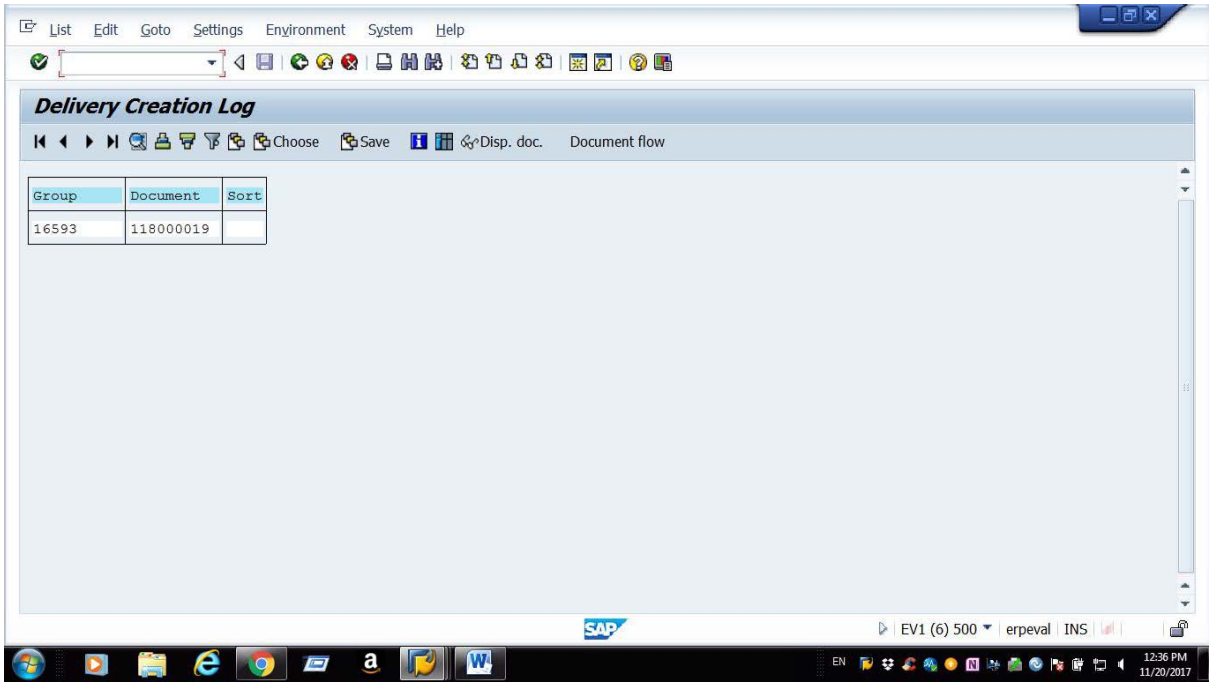
- Select the document and press tab BACKGROUND to generate Outbound Delivery.



Press Icon Log for Delivery creation to know the outbound delivery number

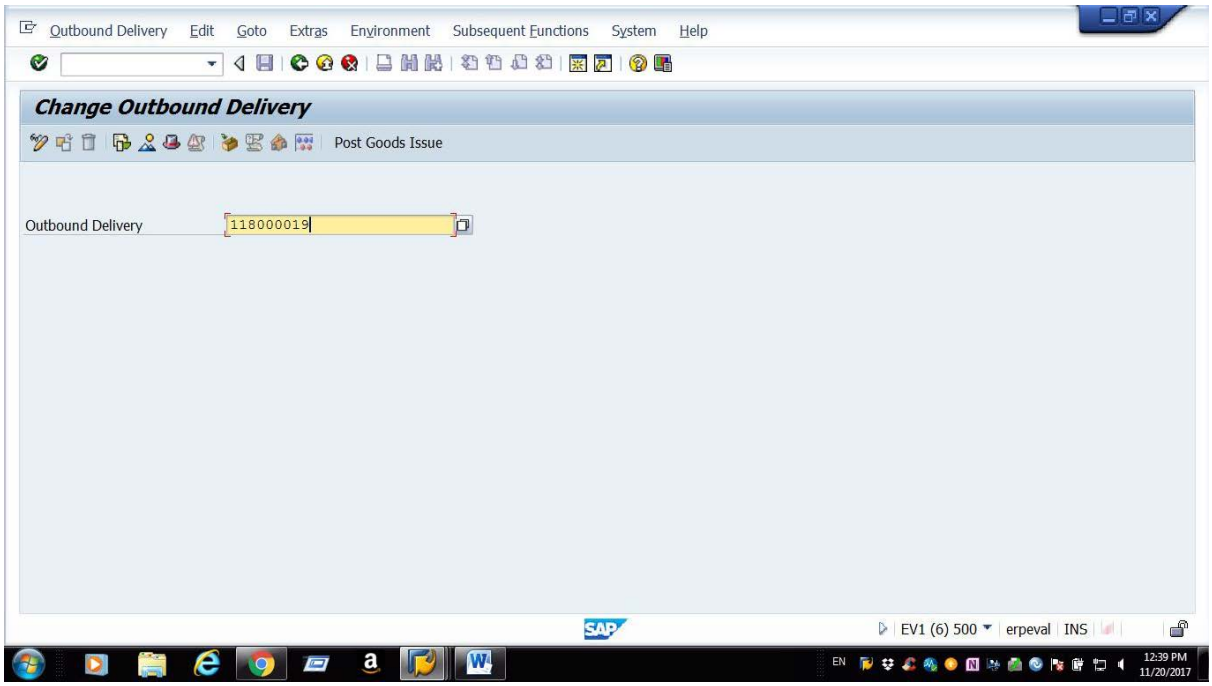


On pressing the Document Tab, Outbound delivery number will be visible.

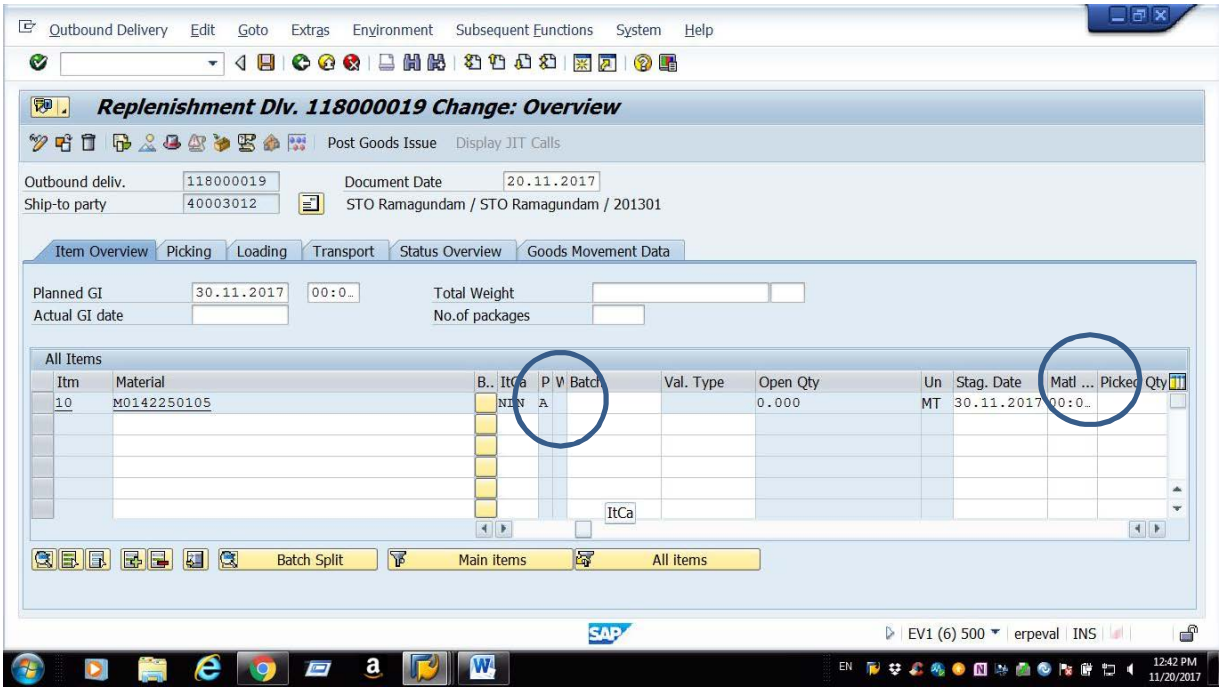


4. Picking and Goods Issue: T-Code: VL02N

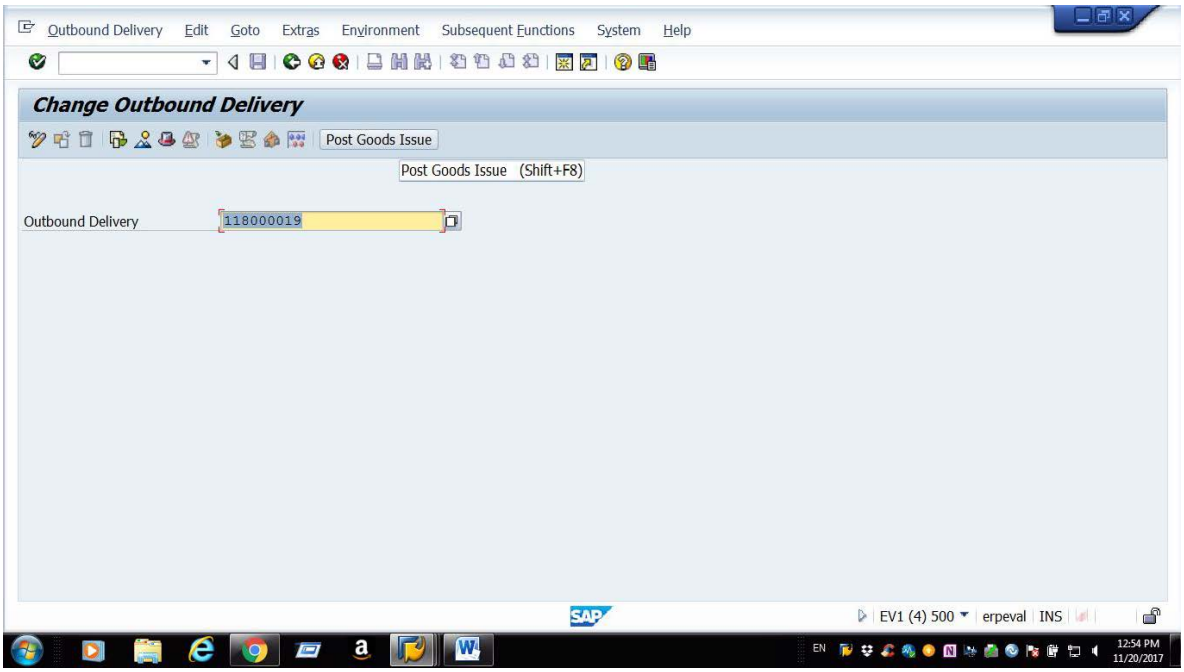
Once the Outbound Delivery is posted, execute Tcode VL02N to complete the picking and Posting Goods Issue.



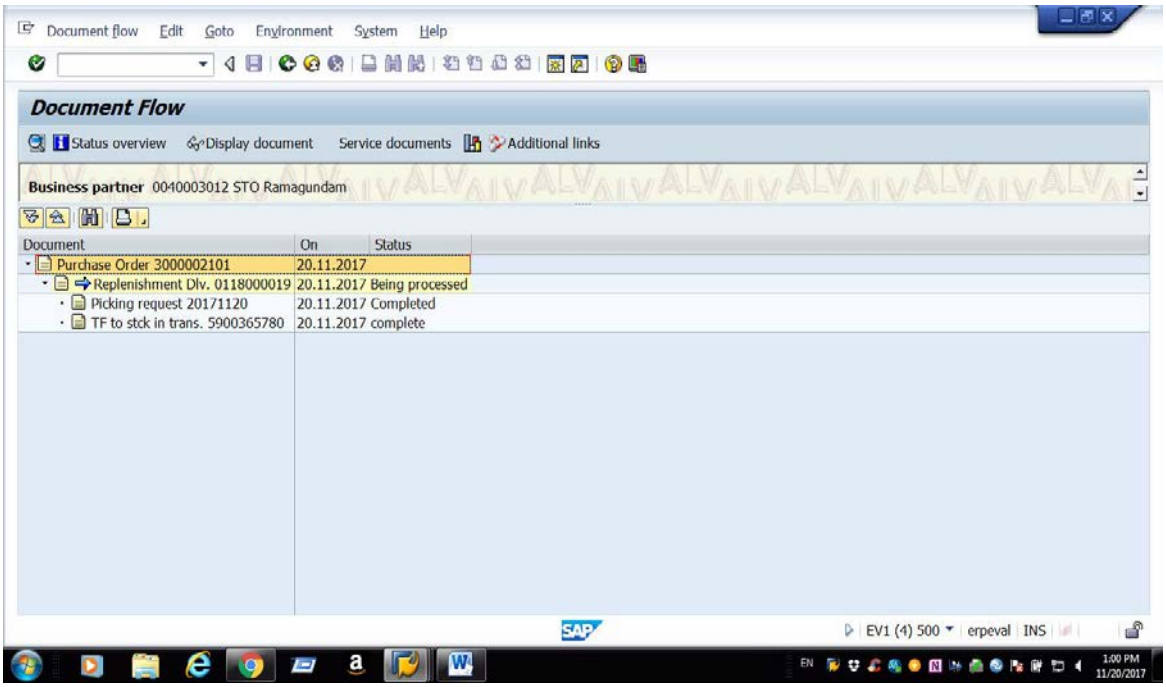
In the next screen, update the Batch and Storage location from which the goods are to be issued and the Quantity of goods to be issued.



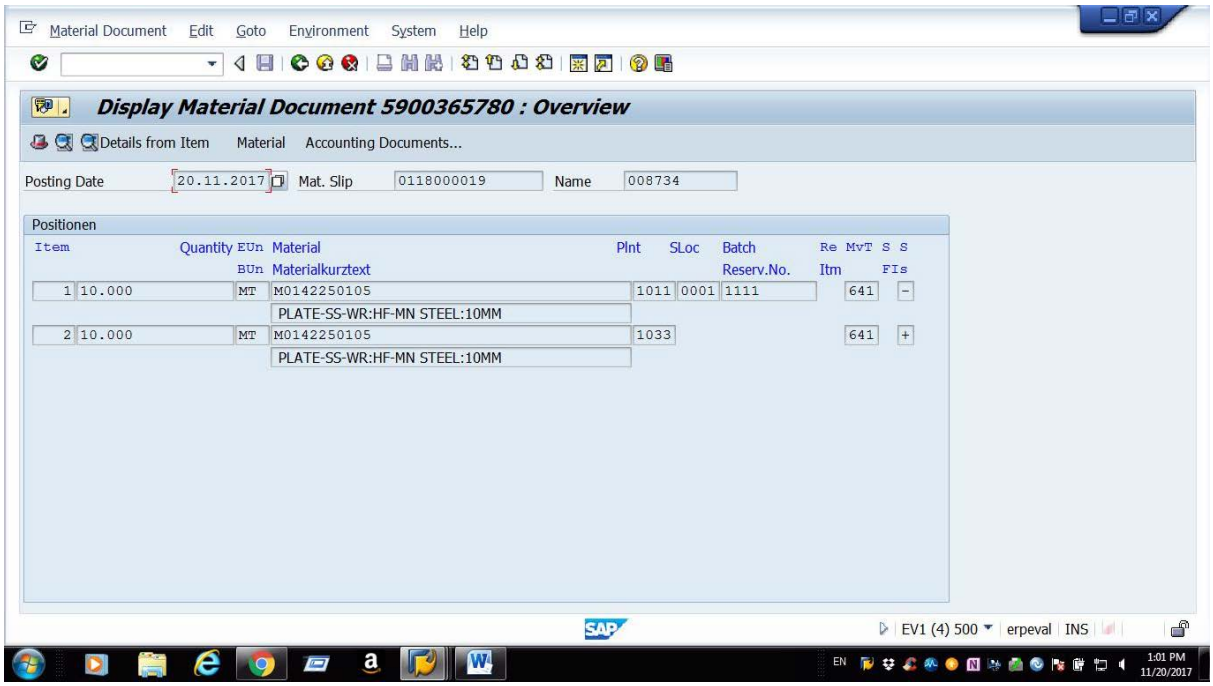
Once the picking Quantity, Batch and storage location are updated, save the document and then post Goods issue.

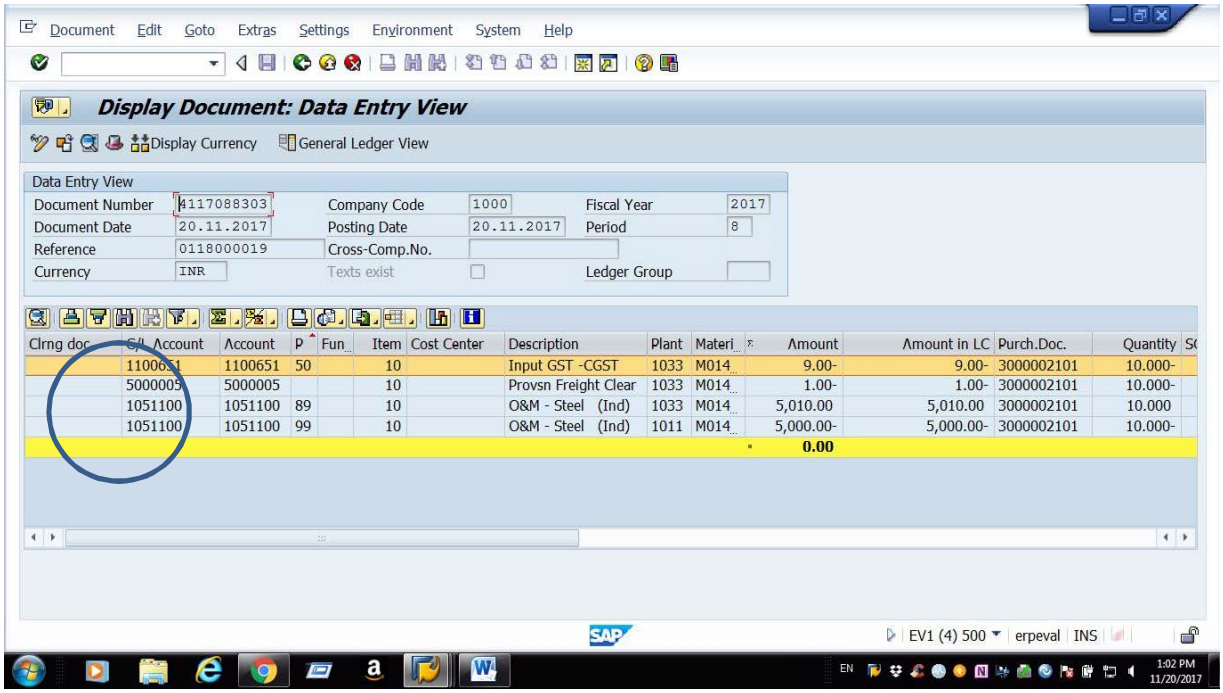


The document flow of the outbound delivery will show the Picking request as well as the Goods Issue Document Posted.



The Goods Issue Document will be posted using Movement Type 641 .The Accounting entry that will be posted is shown below :





- Please see the Accounting Document carefully, here the P.O. has a Freight Condition as well as GST, both the conditions are Inventoried and added to the value of Material in Business Area 1033, the receiving Plant.

- The Inventory in Business Area 1011- supplying Plant is reduced by the Material Value excluding Freight and GST.

- The material will be transferred to Stock in transit for Receiving Plant 1033, and will be reduced from material of 1011, Supplying Plant.

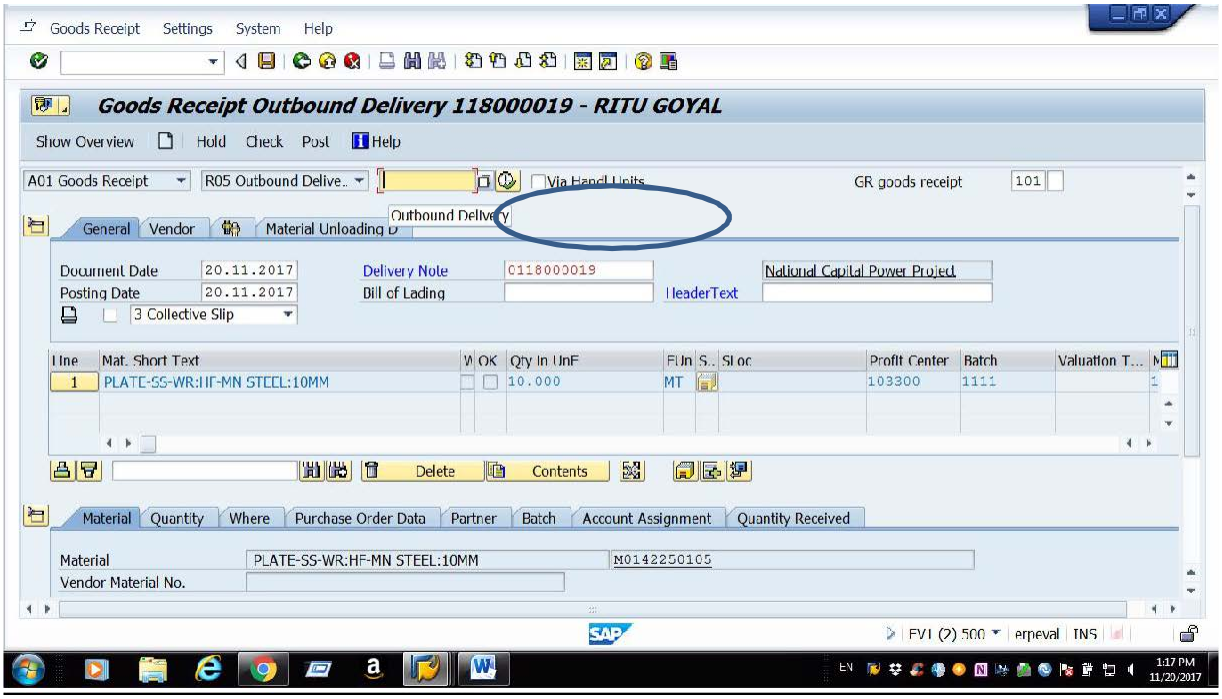
- The Receiving Plant 1033, need to do Goods receipt in their business area to transfer the Stock from Stock-in-transit to actual stock with reference to the same Outbound Delivery Number.

- The Accounting Entry at time of Post Goods Issue have been explained below with the help of an example. In the given case, 1011 Dadri is the supplying plant and 1033 Ramagundam is the receiving Plant. 1011 transfers goods worth Rs 1000 to 1033. GST is applicable @ 18%. Freight is Rs 100.

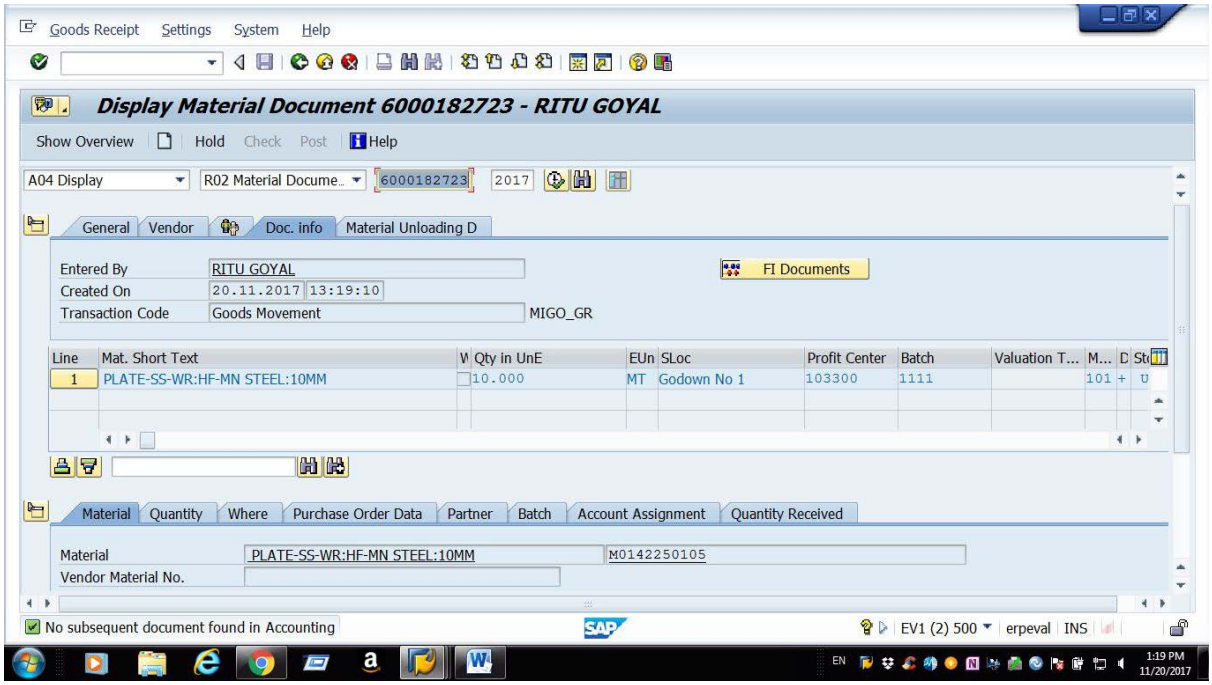
	In case tax Code is D0: NO INPUT CREDIT:	**In case tax Code is D1: INPUT CREDIT:**
Accounting Entry at the time of PGI (Tcode – VL02N))	**GL Code Business Area Amount** Inventory A/c Dr 1033 ₹1280 (Cost of Material + GST+ Freight) To Freight Clearing A/c 1033 ₹ 100 To GST Inventorizing A/c 1033 ₹ 180 To Inventory A/c ₹ 1000 (Cost Of Material) (BA 1011))	**GL Code BusineSS Area Amount** Inventory A/c Dr 1033 ₹1100 (Cost of Material + Freight) To Freight Clearing A/c 1033 ₹100 To Inventory A/c ₹ 1000 (Cost Of Material) (BA 1011)
Accounting Entry at the time of Billing (TcodeVF01)	Debtors A/c Dr. 1011 ₹1180 To InterUnit-Stock Transfer A/c 1011 ₹1000 To GST Payable A/c 1011 ₹ 180	Debtors A/c Dr. 1011 ₹ 1180 To InterUnit-Stock Transfer A/c 1011 ₹ 1000 To GST Payable A/c 1011 ₹ 180
Accounting Entry at the time of executing (Tcode J_1IG_INV)	InterUnit -Stock Transfer A/c Dr 1033 ₹1000 GST Inventorizing A/c Dr. 1033 ₹ 180 To Vendor Payable A/c 1033 ₹1180 (STO Vendor attached to Dadri plant)	InterUnit-Stock Transfer A/c Dr 1033 ₹1000 Input Tax Credit GST A/c Dr. 1033 ₹ 180 To Vendor Payable A/c 1033 ₹1180 (STO Vendor attached to Dadri plant)

- The GST clearing account (using Tax Code D0) will be knocked off at the time of Creation of Inbound GST Invoice through Tcode J_1IG_INV.
- In case of using Tax Code D1, since the Input Tax Credit is claimed, amount of GST will not be added to the Inventory Cost.
- Separate MIR7/MIRO will be done for processing the Freight and Freight clearing account will be knocked off at the stage of MIRO.

5. MIGO with reference to the Outbound Delivery in the Receiving Plant

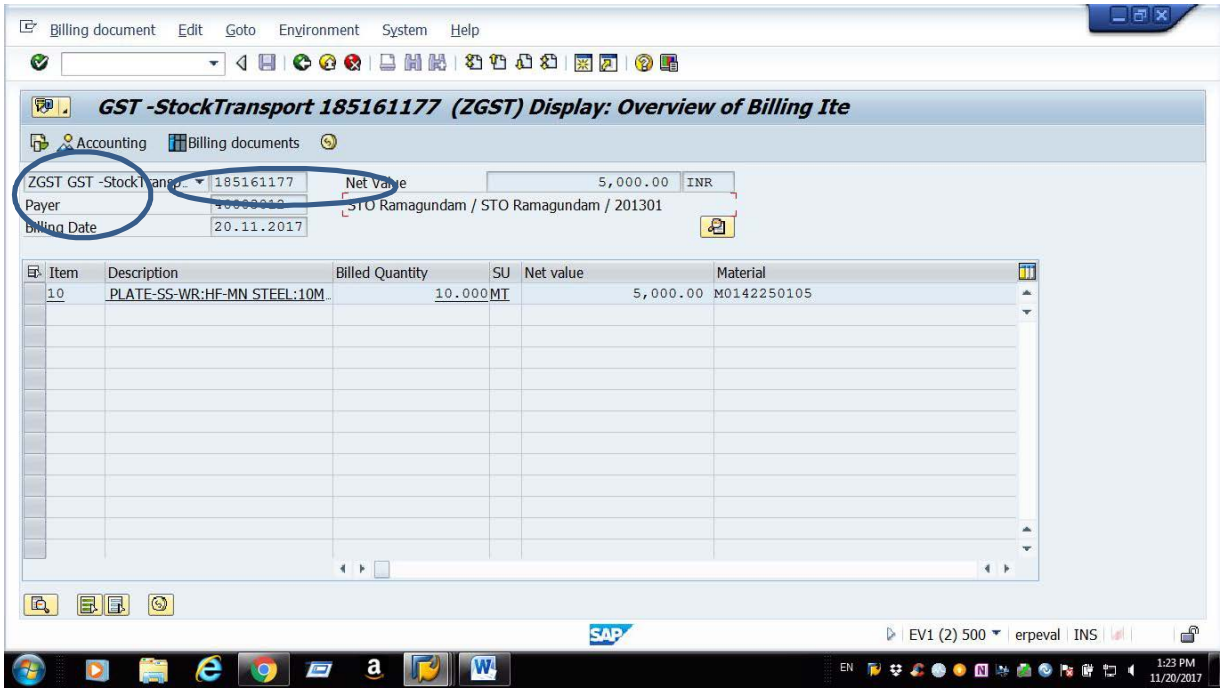


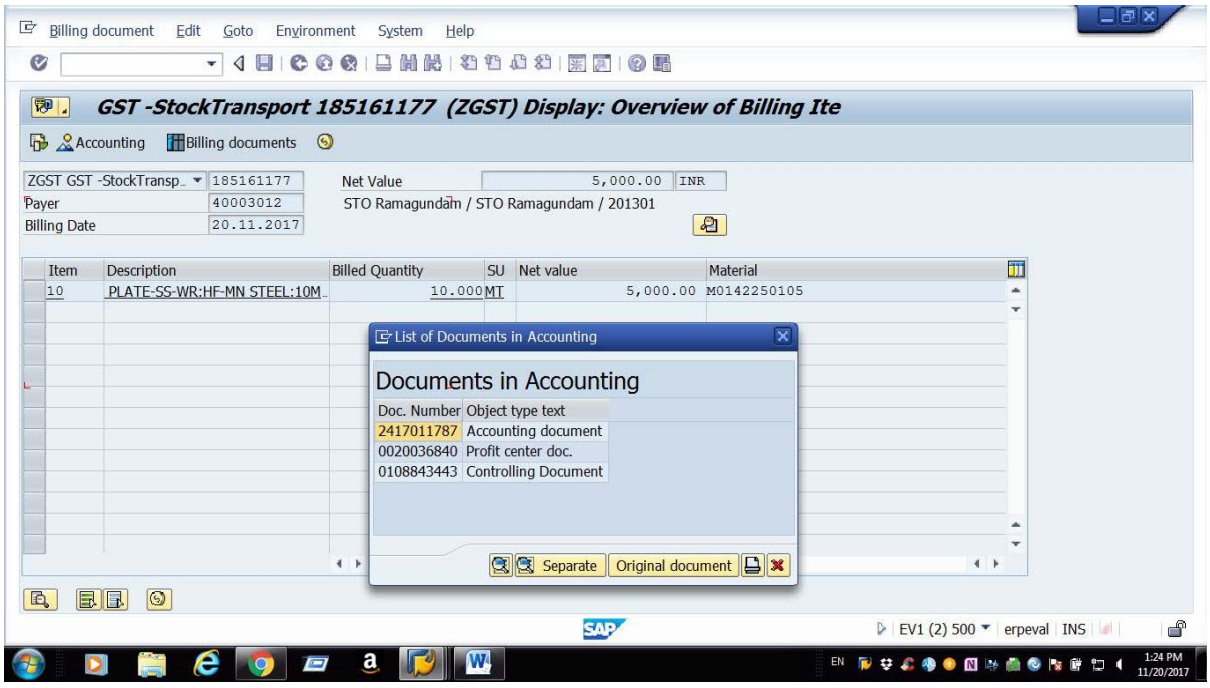
Enter the Storage Location and Batch for the receiving Plant and post the document. No accounting Document will be posted at this stage.



6. Creation of Billing Document: T-Code: VF01:

- The Billing document will be created by the Supplying Plant using Tcode VF01 with reference to the Outbound Delivery Number; The Billing Type to be selected is ZGST.
- System will generate a Billing Document and an Accounting Entry will be posted in the Cost of Goods Sold GL code.



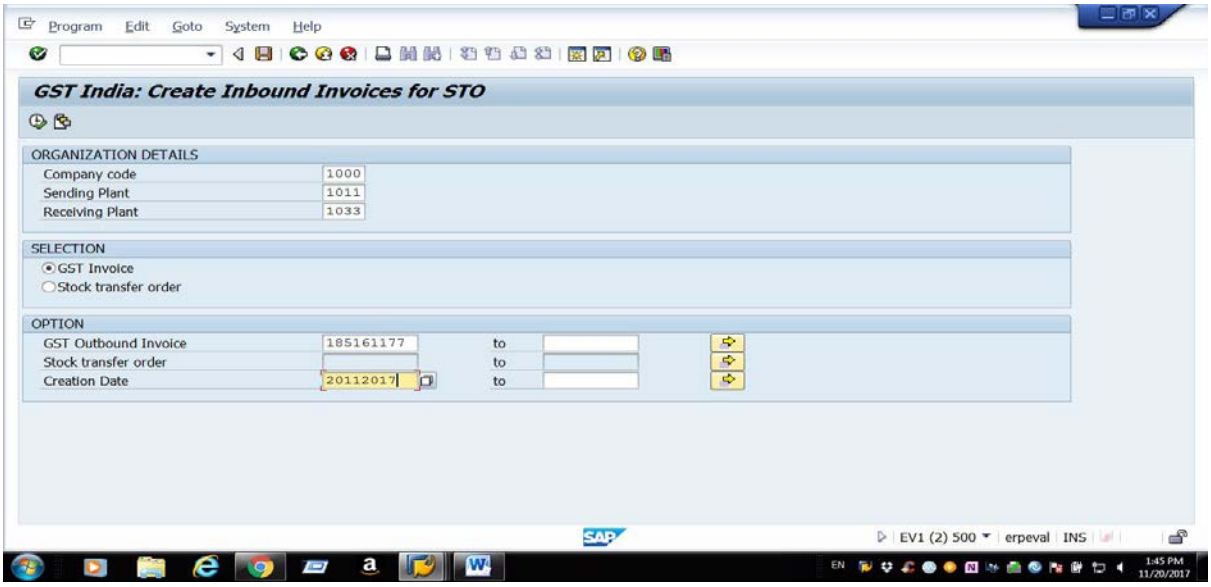


- The accounting entry posted at this stage will be:

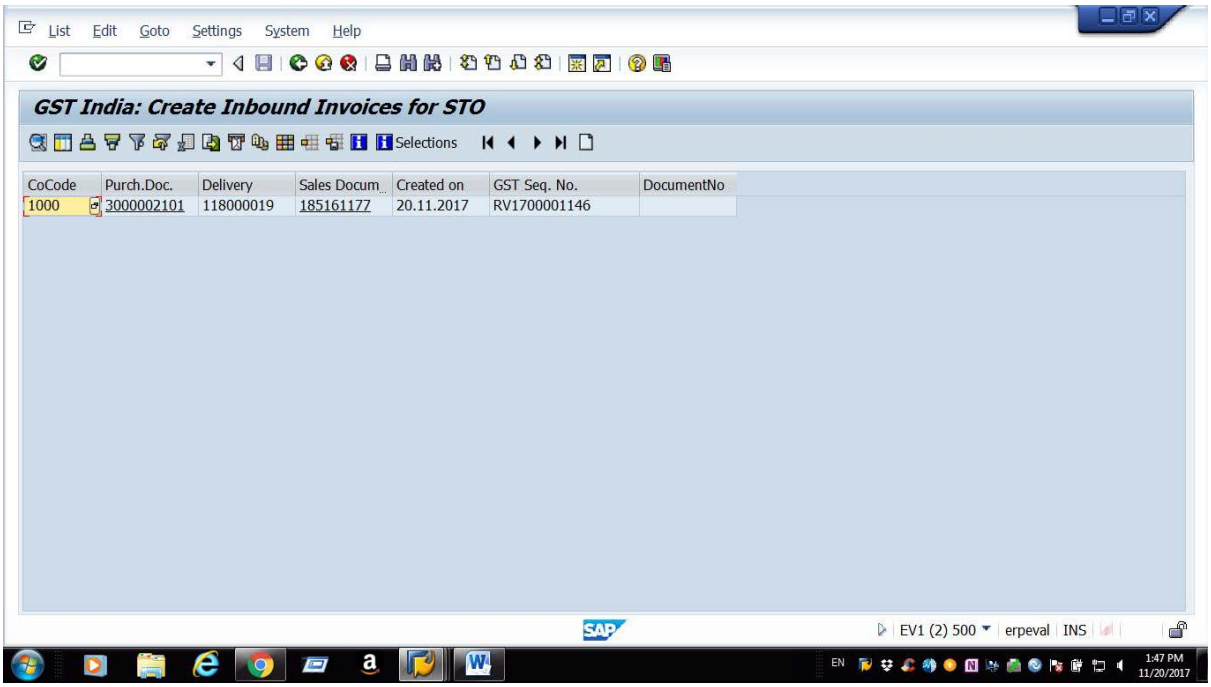
Debtors A/c Dr (STO Ramagundam) A/c	1011
To Cost of Goods Sold Gl A/c	1011
To GST Payable A/c	1011

This Sales Billing will be the part of GSTR-1 for Supplying Plant. (1011-Dadri in the given case).

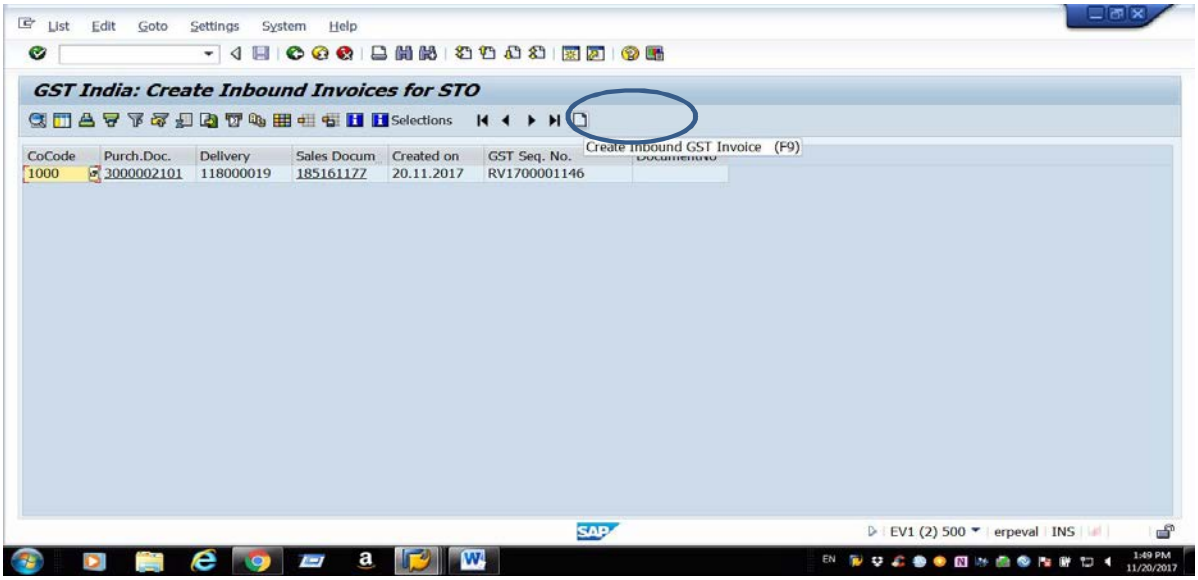
7. Creation of Inbound GST Invoice : Tcode : J_1IG_INV



- Enter the details of the receiving Plant. Sending Plant and the Billing Document number in the Outbound GST invoice Number.
- Execute the Tcode after filling the details on the Input screen.



- The system will show the Stock Transport P.O. no, Corresponding Outbound Delivery number, Billing document no. Press the Create Invoice icon on the screen to generate Inbound Accounting Entry.



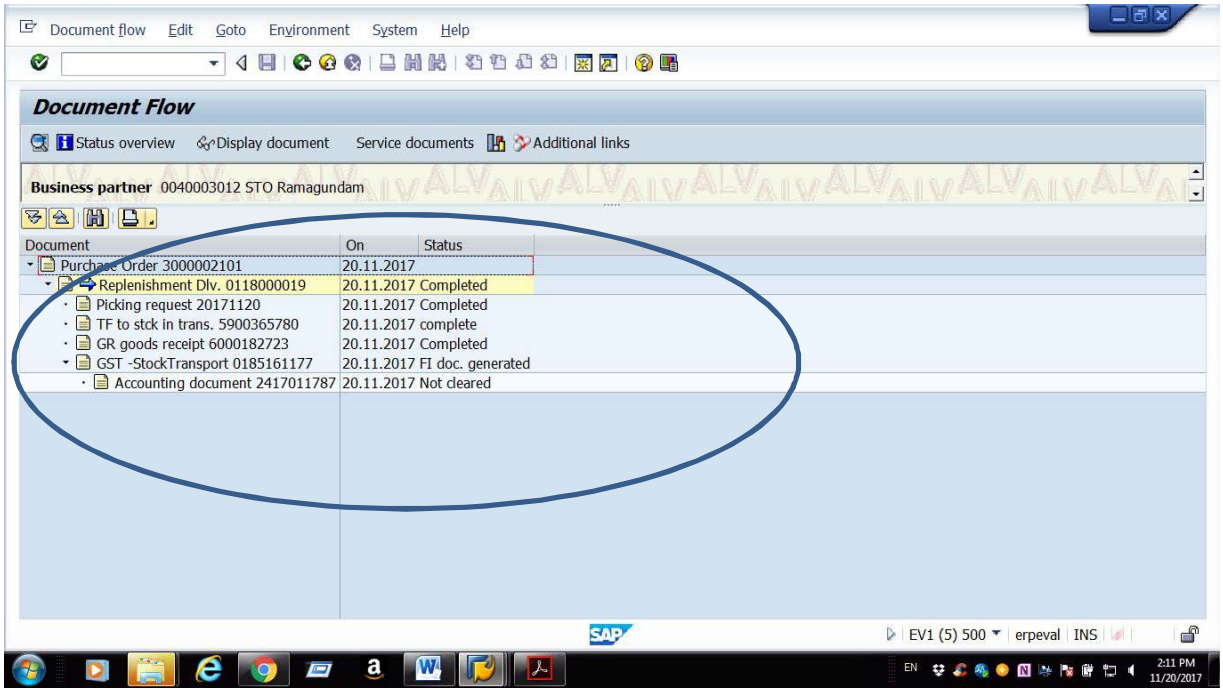
- The accounting Entry that will be posted at this stage is:

Cost of Goods Sold GL A/c Dr	1033	(In case the Tax Code is D0)
GST Clearing A/c Dr A/c Dr	1033	
To Vendor payable	1033	

Cost of Goods Sold GL A/c Dr	1033	(In case the Tax Code is D1)
Input Tax Credit A/c Dr	1033	
To Vendor payable	1033	

This leads to the creation of Inbound GST invoice for the Receiving Plant and will form part of GSTR-2 of the Receiving Plant. (1033-GSTR-2 in the given case)

The whole picture can be seen through T-Code VL02N with reference to the Outbound Delivery Number.



T-code Vs Responsibility Table:

S.No	JOB DESCRIPTION	RESPONSIBILITY
1.	Info Record and P.O. Creation	Receiving Plant-C&M
2.	Release of Stock Transport P.O.	Receiving Plant-F&A
3.	Creation of Outbound Delivery –VL10G	Supplying Plant-C&M
4.	Posting Goods Issue-VL02N	Receiving Plant-C&M
5.	Billing from SD Side- VF01 (GSTR-1)	Supplying Plant –F&A
6.	Creation of Inbound GST Invoice (GSTR-2)	Receiving Plant –F&A

For Non-valuated stock items, no accounting documents will be posted at the time of MIGO.Further, if such items are not subject to GST, there is no need to create billing document in SD Module.

(B.) The Inter Company Stock Transport Purchase order will be created on the Vendor code created to represent the Supplying Plant in receiving Company Code and Purchasing Organization.

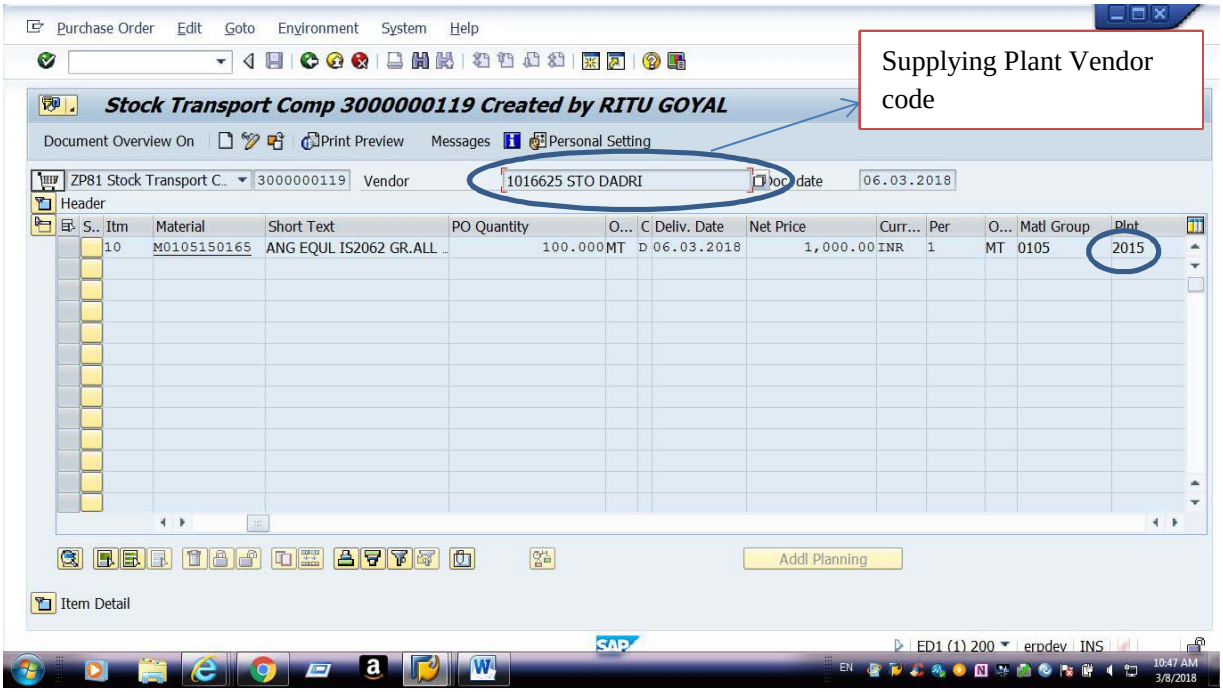
ZP81 is the P.O. type in which the Inter Company Stock Transport Purchase orders are to be created.

The material being transported should the Sales view in the Receiving Plant.

The various steps involved in Inter Company Stock Transport are as follows:

1. Create Purchase Order

The ZP81 type of Purchase Order needs to be created in case of Inter Company Stock Transport

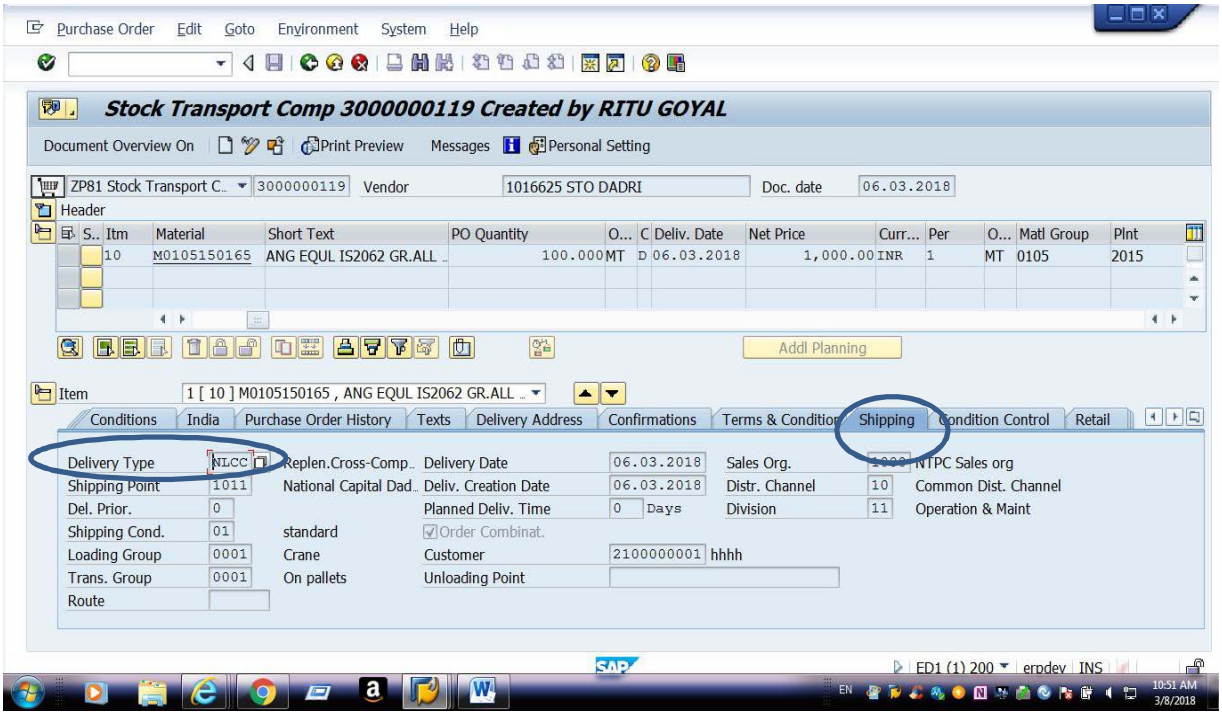


- The Header of the Purchase Order will contain the Supplying Plant Vendor Code and at the line item level, the receiving plant needs to be mentioned.

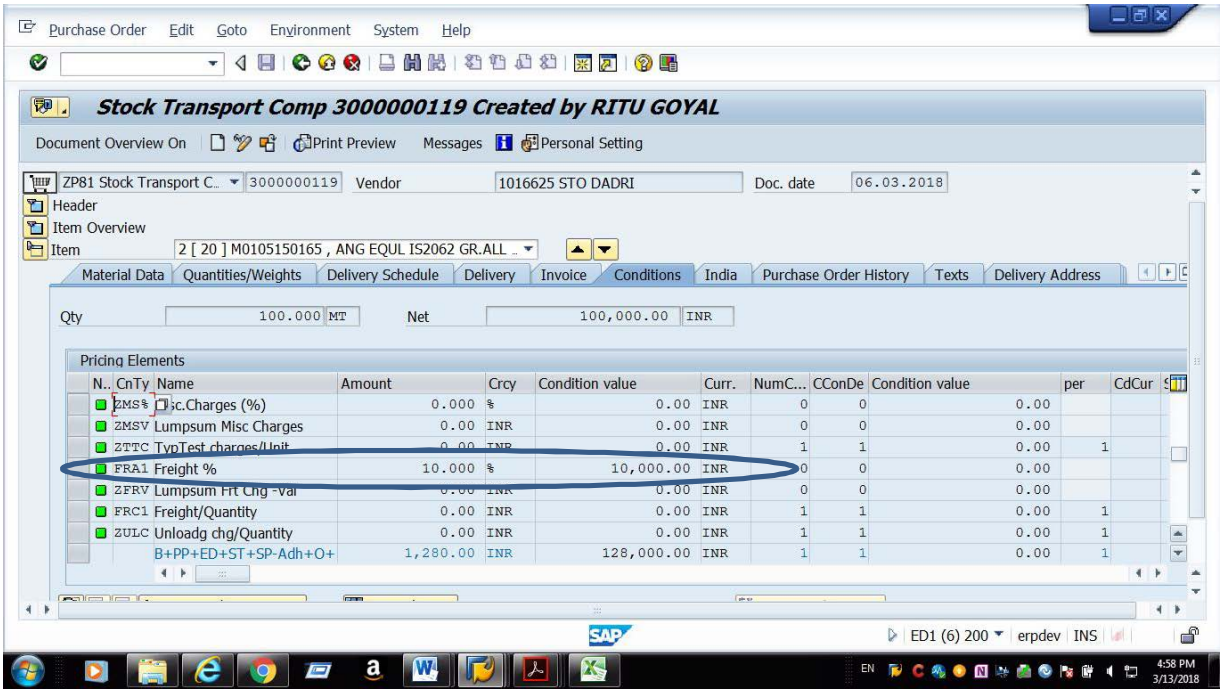
- Please ensure that the Shipping Tab appears in the Item Detail, as the same is must in case of Stock Transport Purchase Orders.

- In the Invoice tab, use tax Code as D0/D1, D0 in case where Input credit for GST is not to be availed, D1 in case Input credit is to be availed and 00 in case no GST is applicable.

- The Delivery type in case of Inter Company Stock Transport Purchase Order is NLCC (Cross- Company code Replenishment Delivery) as against NL in case of Intra Company Stock Transport Purchase Orders.



In case of Additional Freight Costs, please add condition FRA1 or FRB1 for Freight

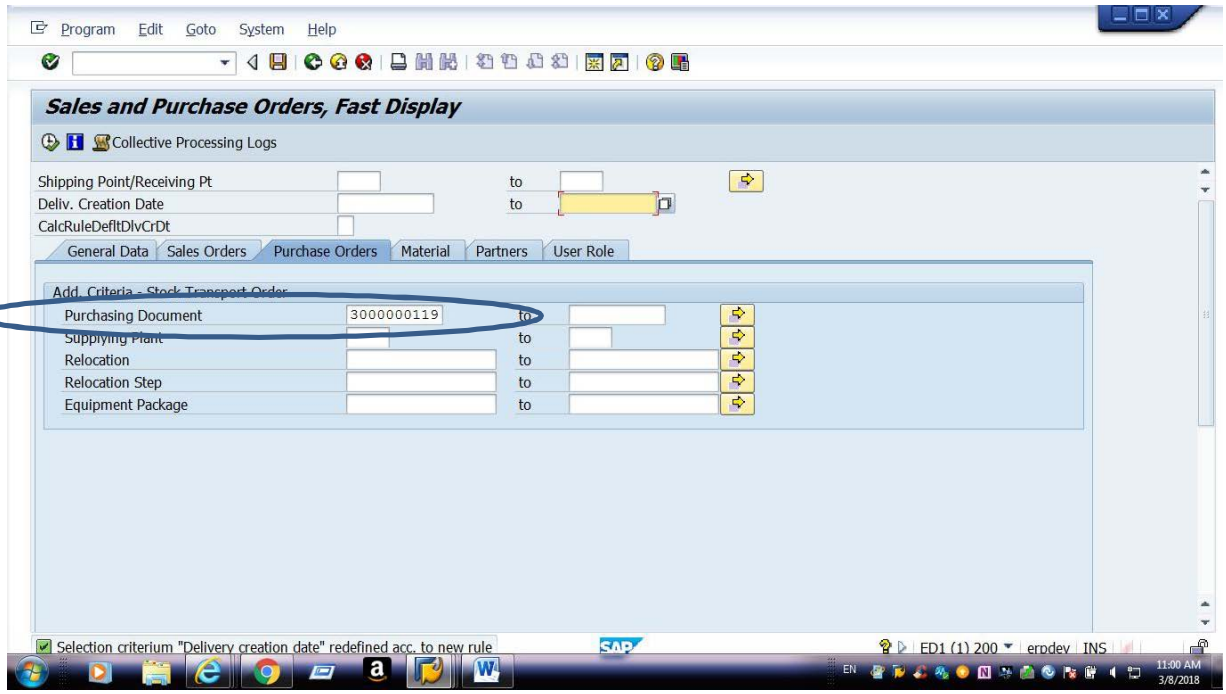


The accounting entry for Freight will be posted in the Receiving Plant at the time of doing MIGO.

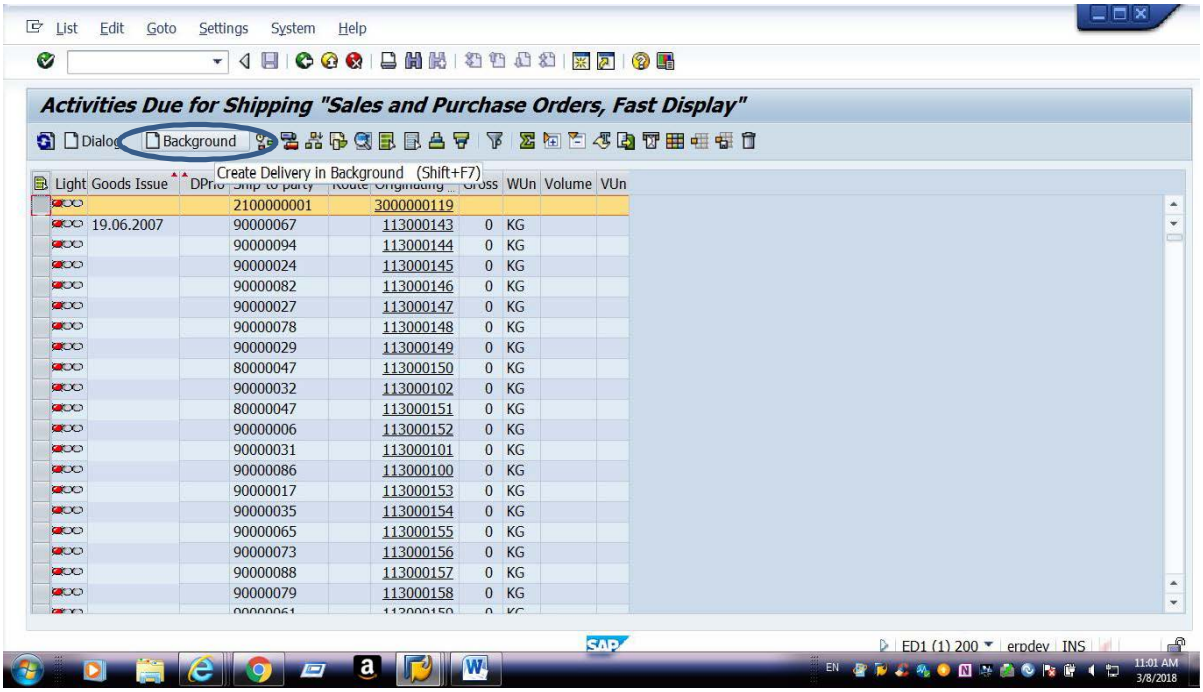
2. <u>Create Outbound Delivery:</u>

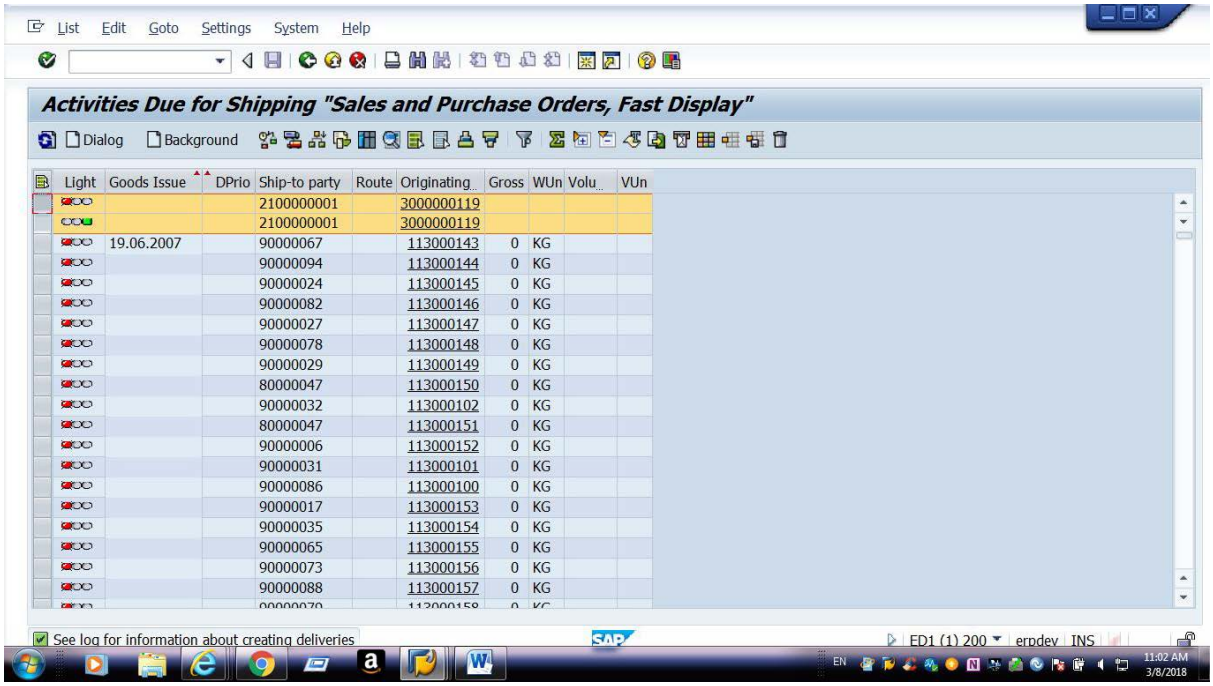
- Create Outbound Delivery with reference to the Inter Company Stock Transport P.O. through Tcode VL10G.

- Enter only the Purchase Order number in the Selection screen and execute to create Outbound Delivery Number.

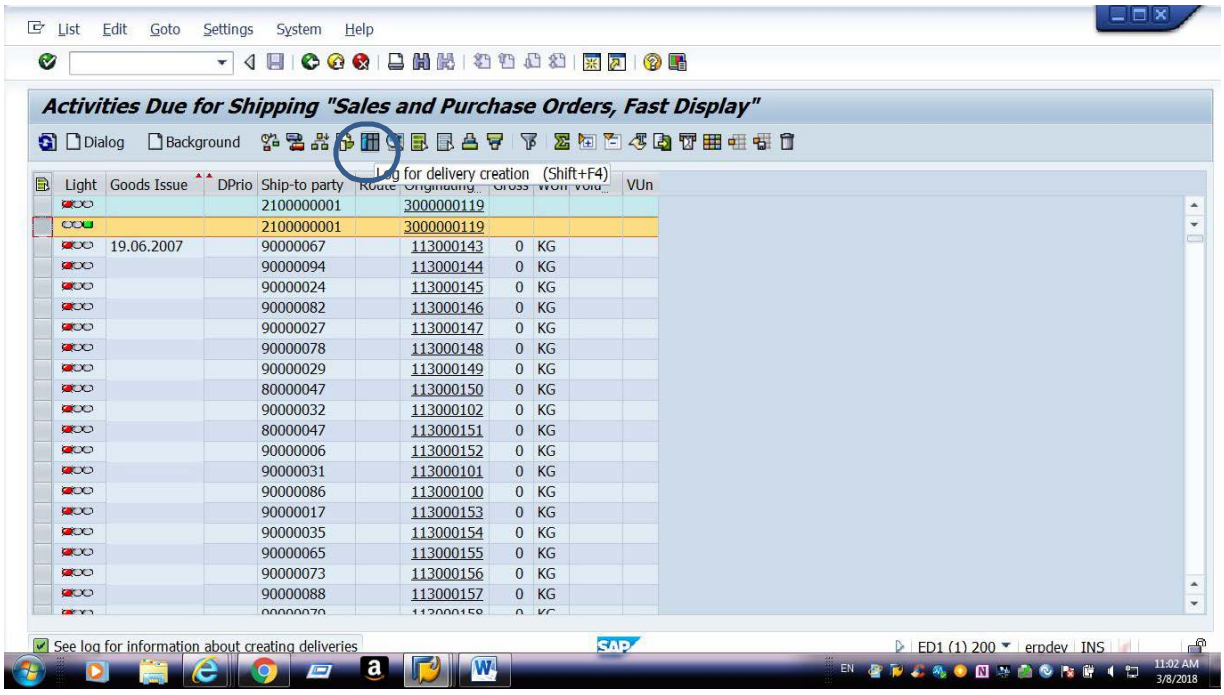


Select the Purchase Order number on the next screen and press the tab Background.

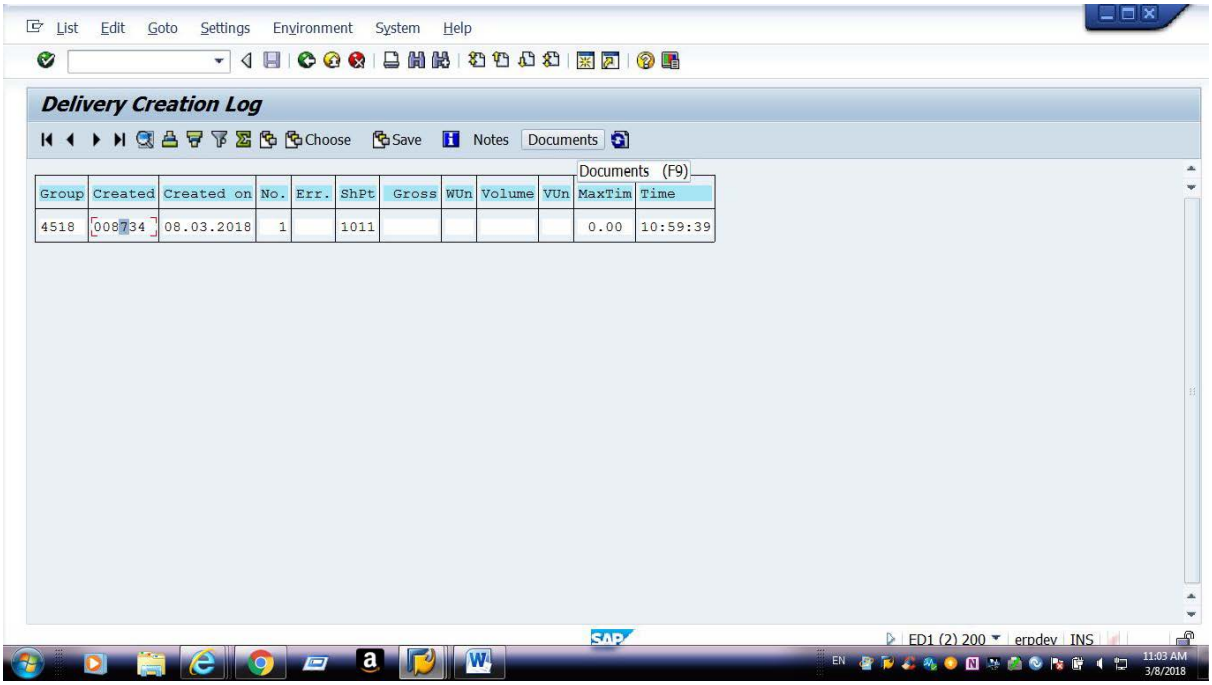


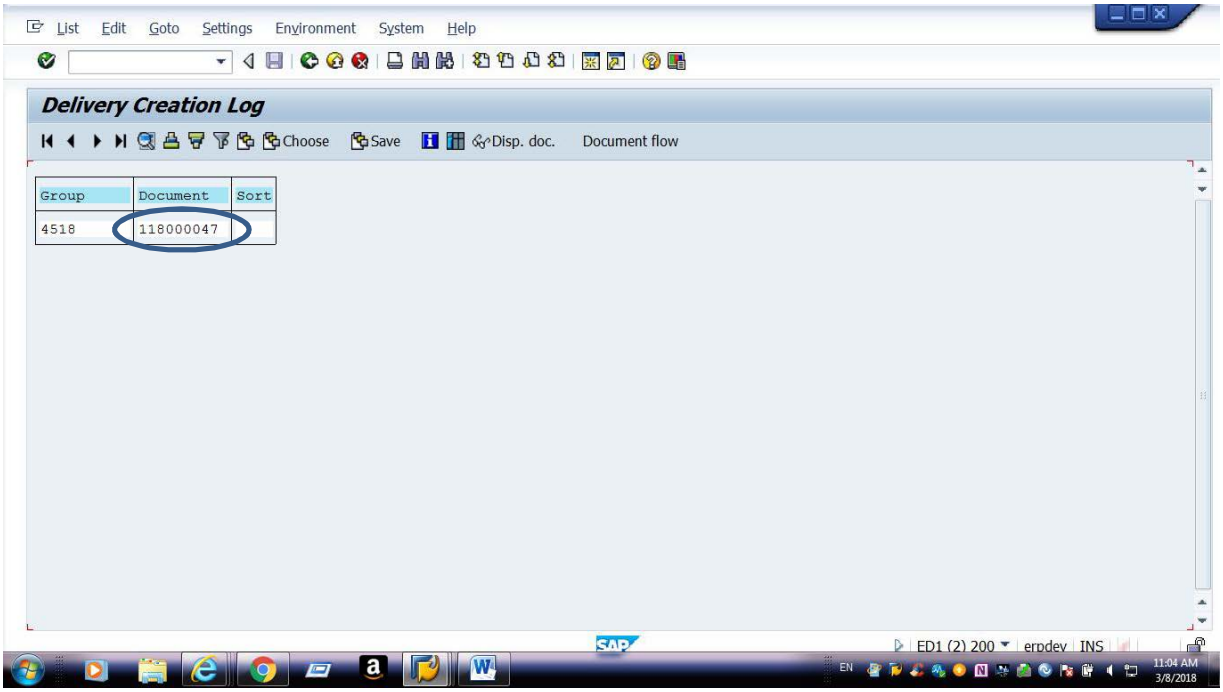


Select the green line and press the square box: Log for Delivery Creation.



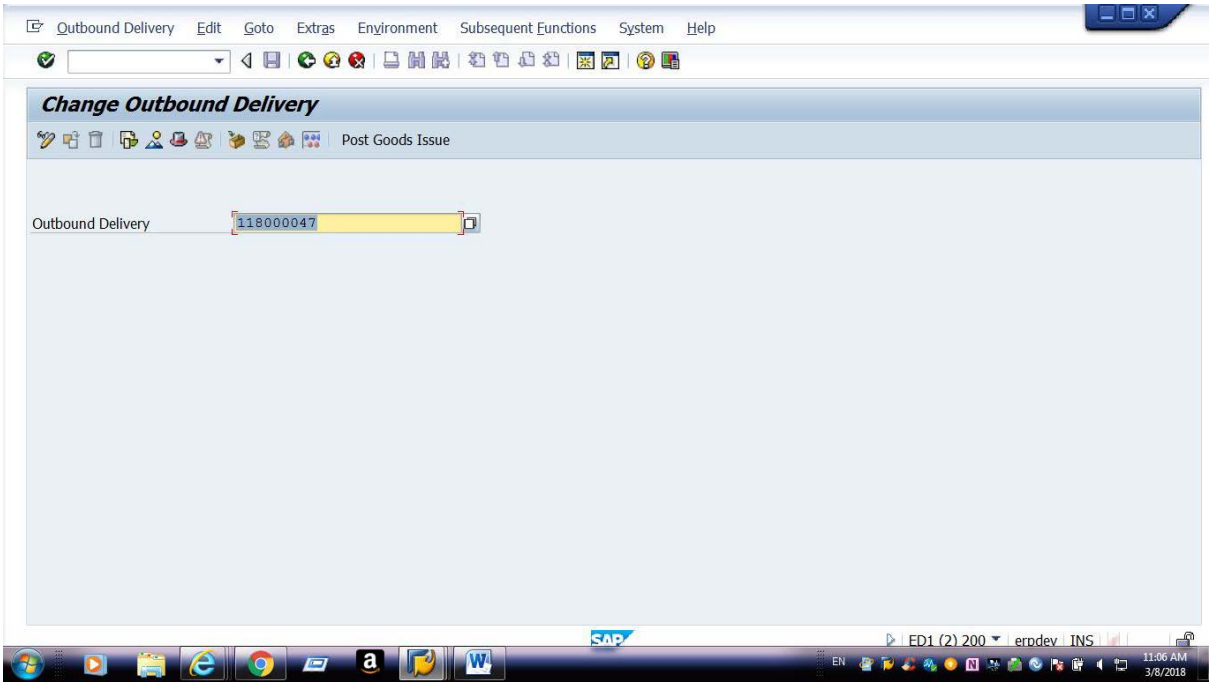
Select the line and press the tab Documents to get the Outbound Delivery Number.



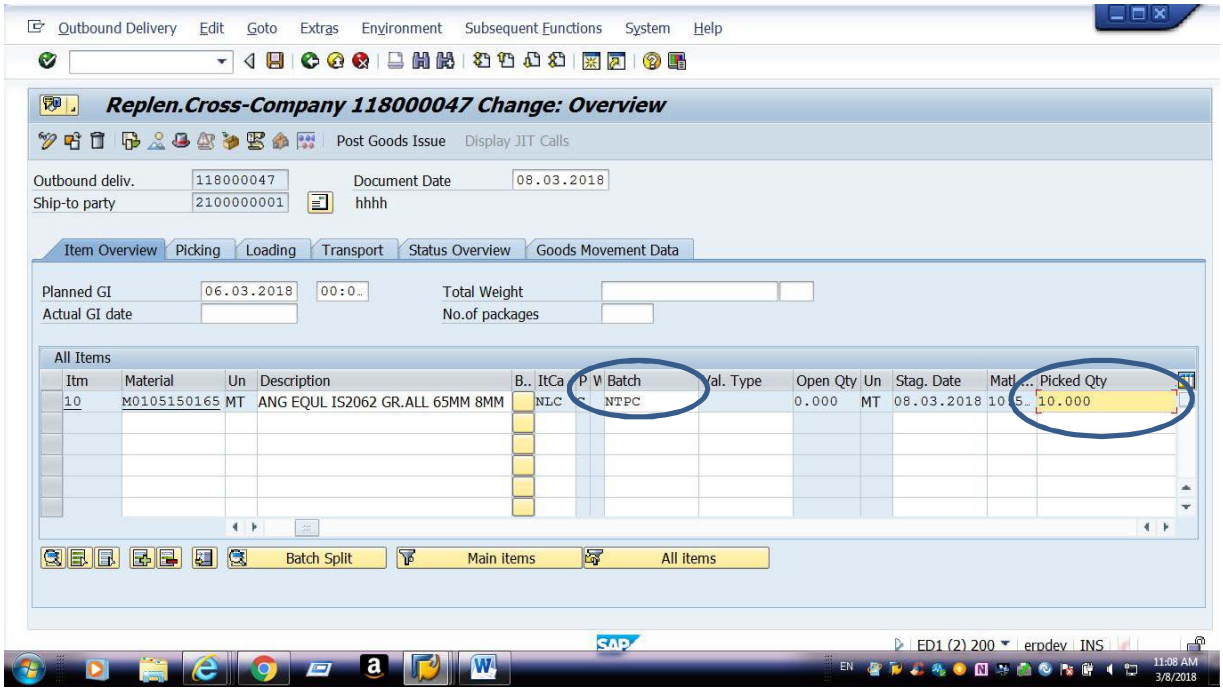


3. Create Post Goods Issue:

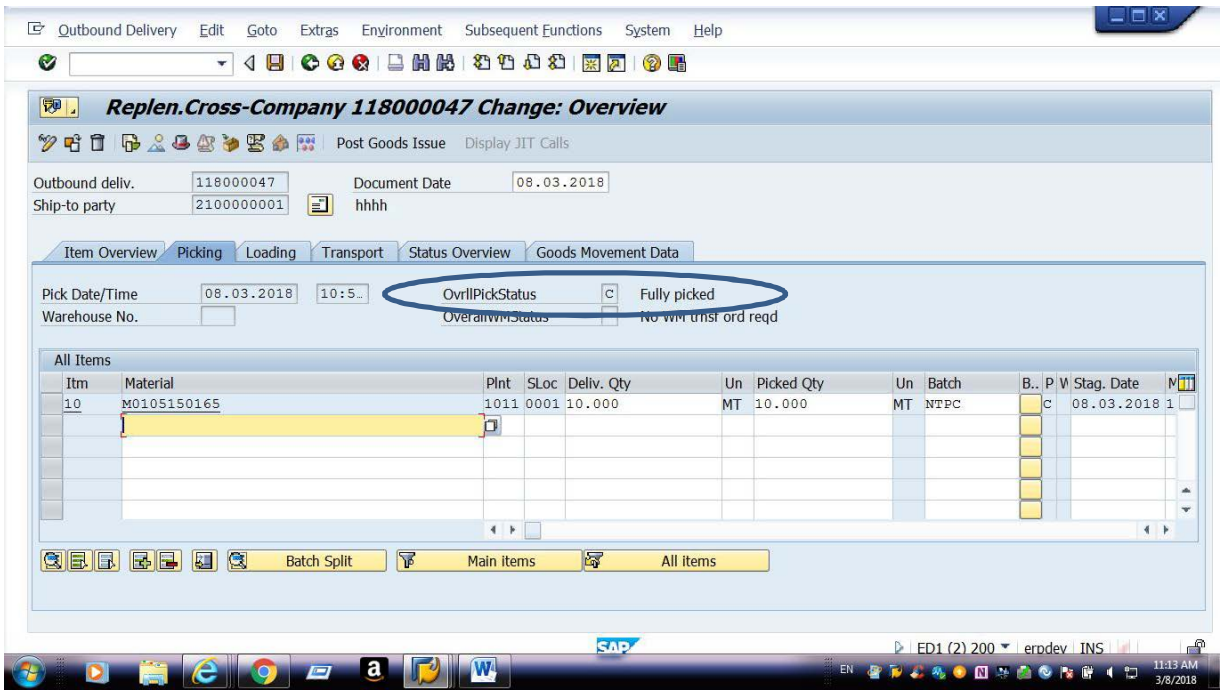
Create the Post goods Issue through TCode VL02N.



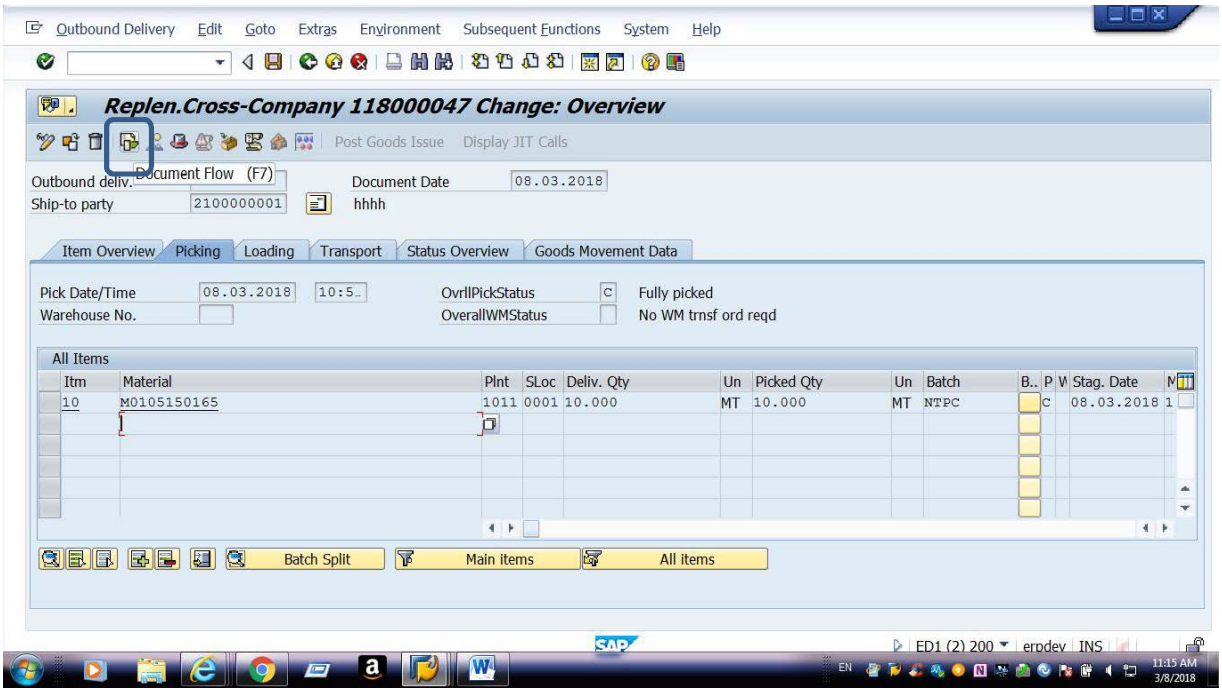
Enter the Delivery Quantity, Batch, and Picking Quantity in the Item Overview Tab of VL02N.

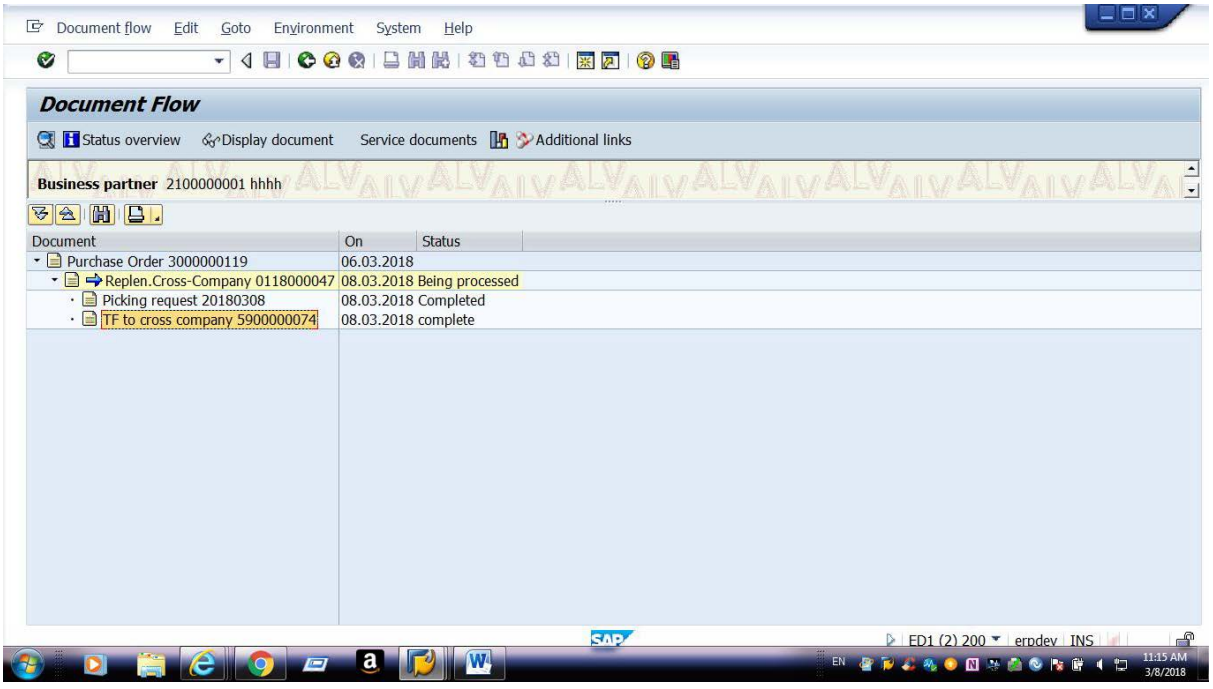


Please check the Overall picking status in the Picking Tab; it should be “C”.

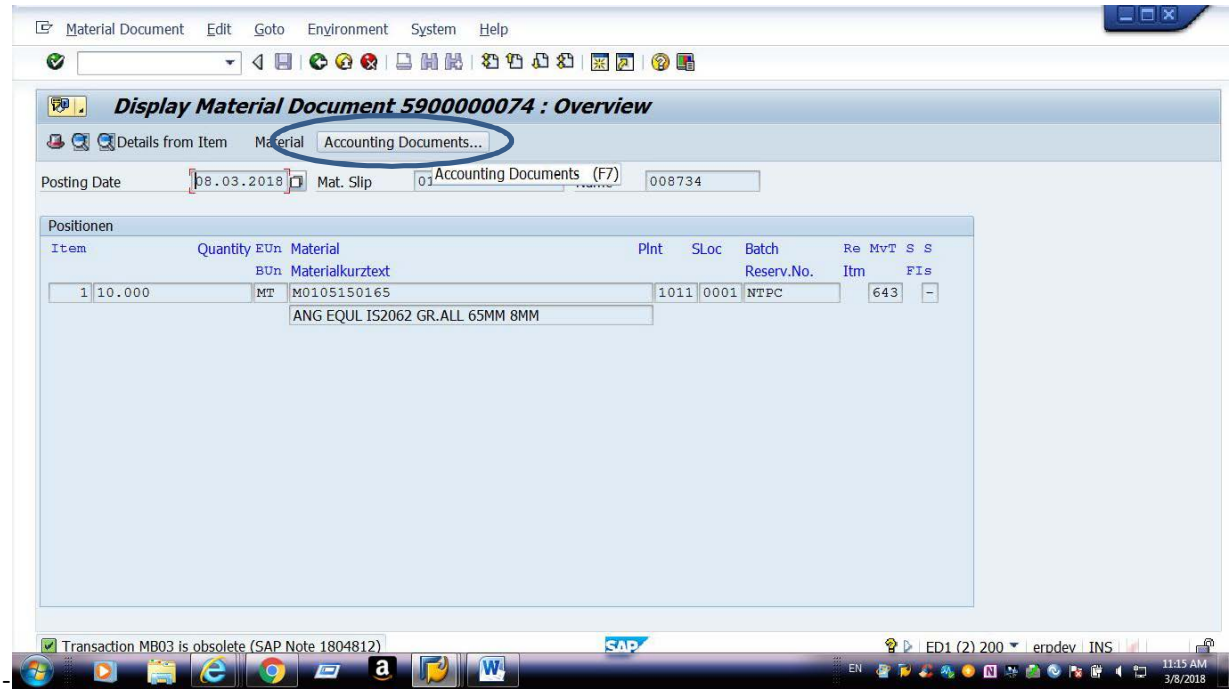


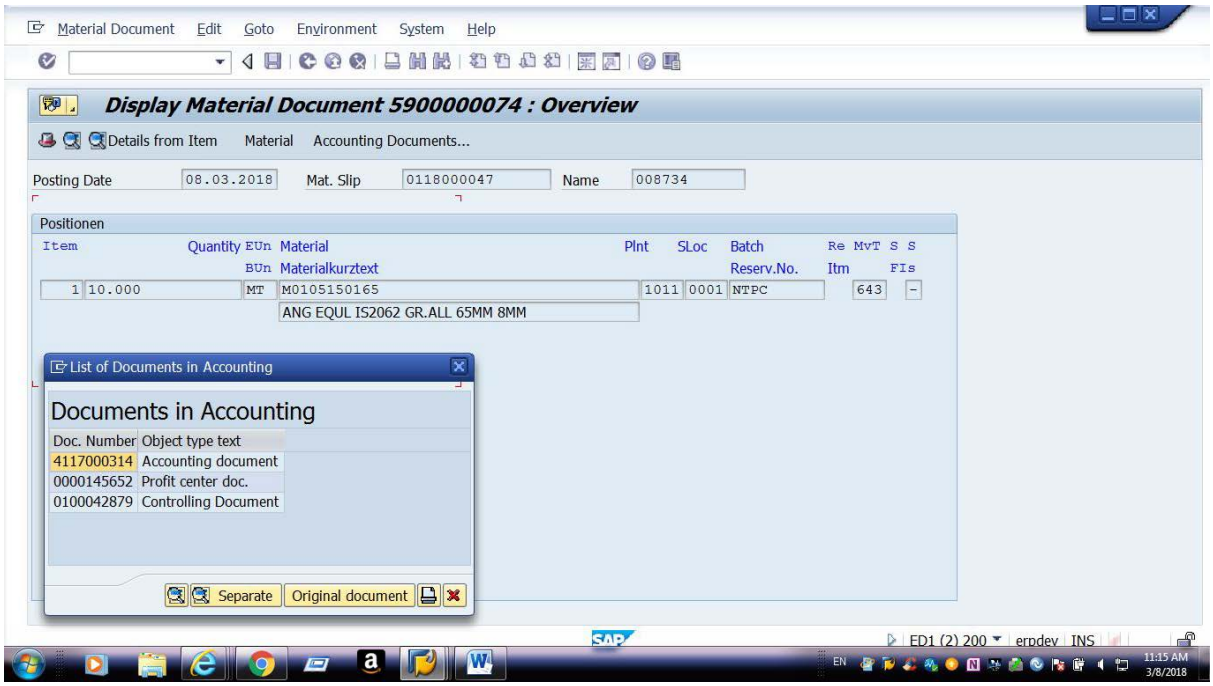
- Once the status is Fully Picked, Post goods Issue through the tab. Use the Fourth icon on the VL03N screen to see the document posted. The same can also be seen through Purchase Order History.

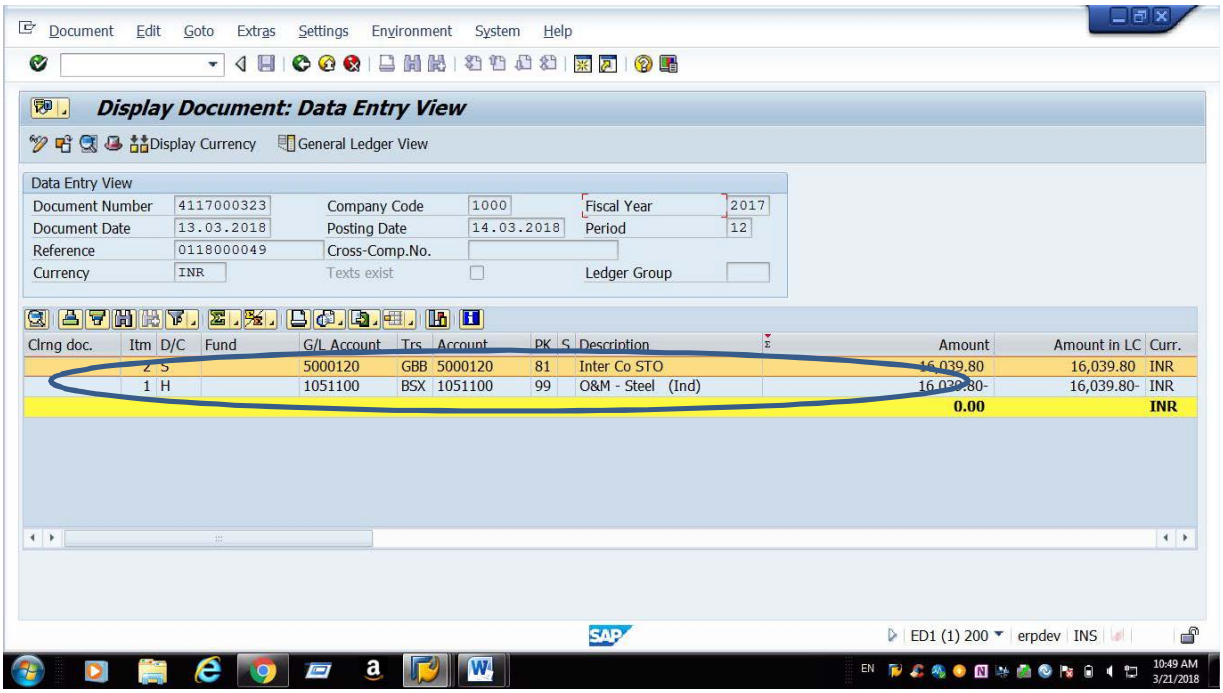




-


Material Document Edit Goto Environment System Help
Display Material Document 5900000074 : Overview
Details from Item Material Accounting Documents...
Accounting Documents (F7)
Posting Date 08.03.2018 Mat. Slip 008734
Positionen
Item Quantity EUn Material Plnt SLoc Batch Re MvT S S
BUn Materialkurztext Reserv.No. Itm FIs
1 10.000 MT M0105150165 1011 0001 NTPC 643
ANG EQUL IS2062 GR.ALL 65MM 8MM
Transaction MB03 is obsolete (SAP Note 1804812)
ED1 (2) 200 erpdev INS
11:15 AM 3/8/2018


Material Document Edit Goto Environment System Help
Display Material Document 5900000074 : Overview
Details from Item Material Accounting Documents...
Posting Date 08.03.2018 Mat. Slip 0118000047 Name 008734
Positionen
Item Quantity EUn Material Plnt SLoc Batch Re MvT S S
BUn Materialkurztext Reserv.No. Itm FIs
1 10.000 MT M0105150165 1011 0001 NTPC 643
ANG EQUL IS2062 GR.ALL 65MM 8MM
List of Documents in Accounting
Documents in Accounting
Doc. Number Object type text
4117000314 Accounting document
0000145652 Profit center doc.
0100042879 Controlling Document
Separate Original document
ED1 (2) 200 erpdev INS
11:15 AM 3/8/2018

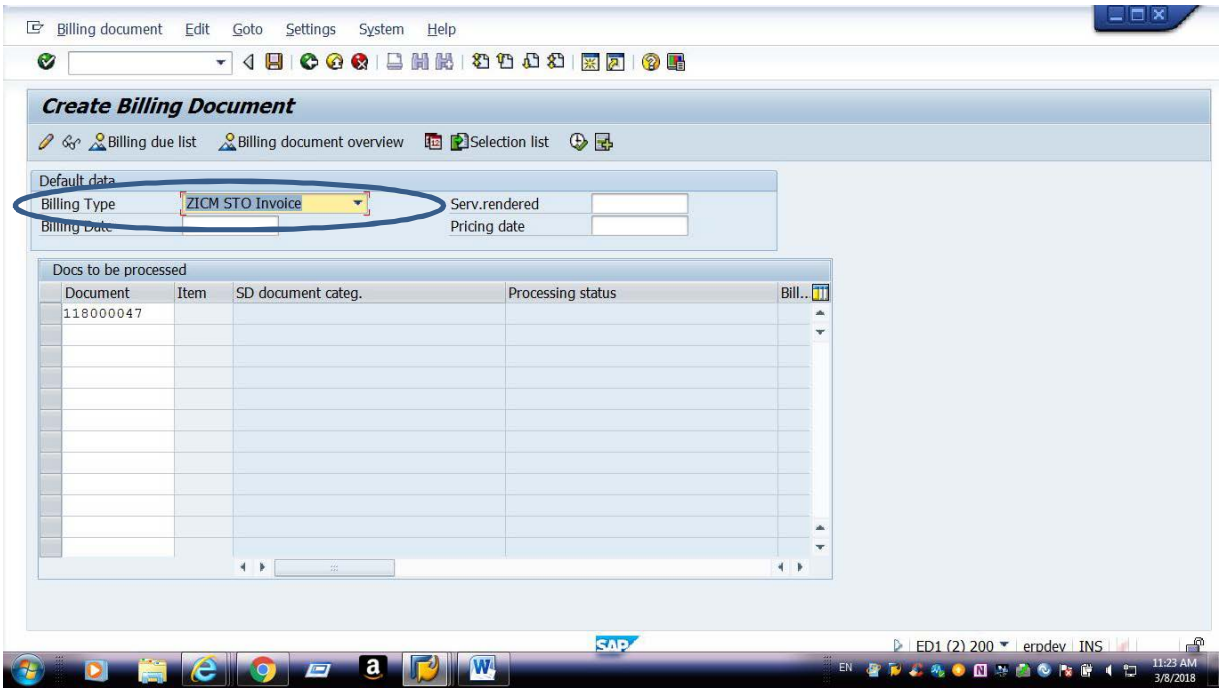


- The accounting entry posted at the time of Goods Issue is :

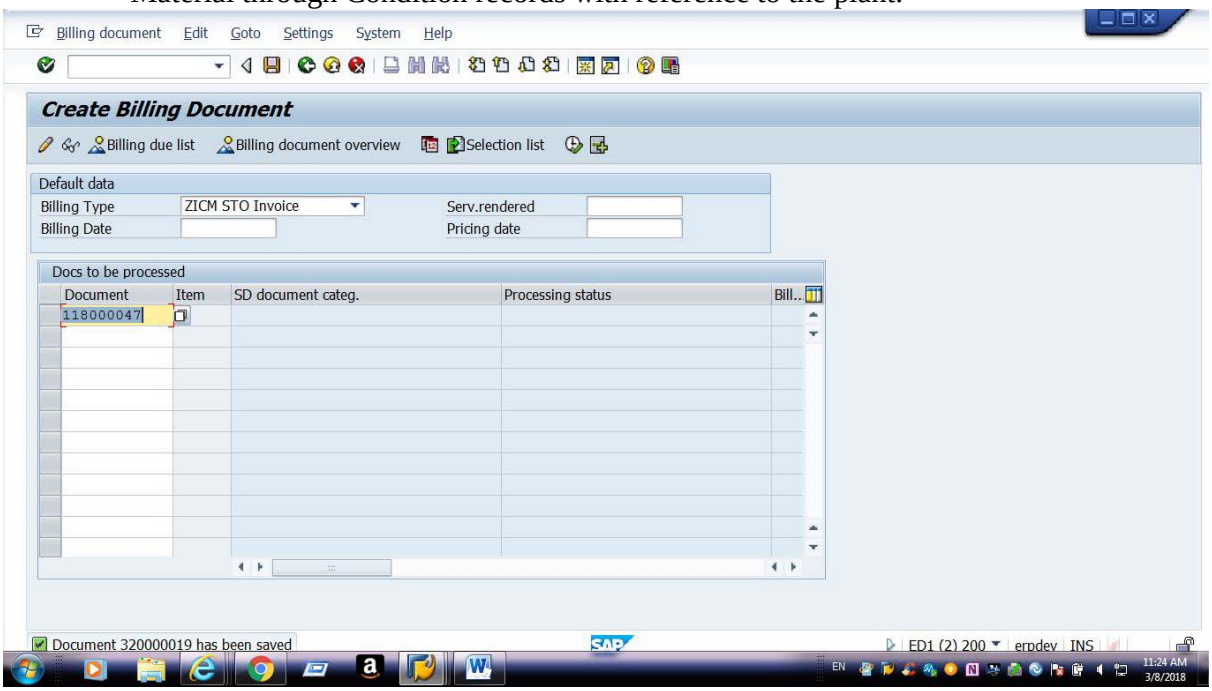
  Inter Co stock Transfer Clearing A/c (5000120) A/c Dr (in Supplying Plant with P.O. Price) To Inventory A/c

4. Create Billing Document:

- Create Billing Document through T-code VF01 with reference to the Outbound Delivery.
- For Inter Company Stock Transport Purchase Orders, a new Billing Type ZICM has been created; use the same while creating Billing Document through T-code VF01.



- On pressing the Save Tab, Billing document will be created.
- The Billing Document will be created as per the Sales price maintained for the Material through Condition records with reference to the plant.



The Accounting entry at the time of Billing will be:

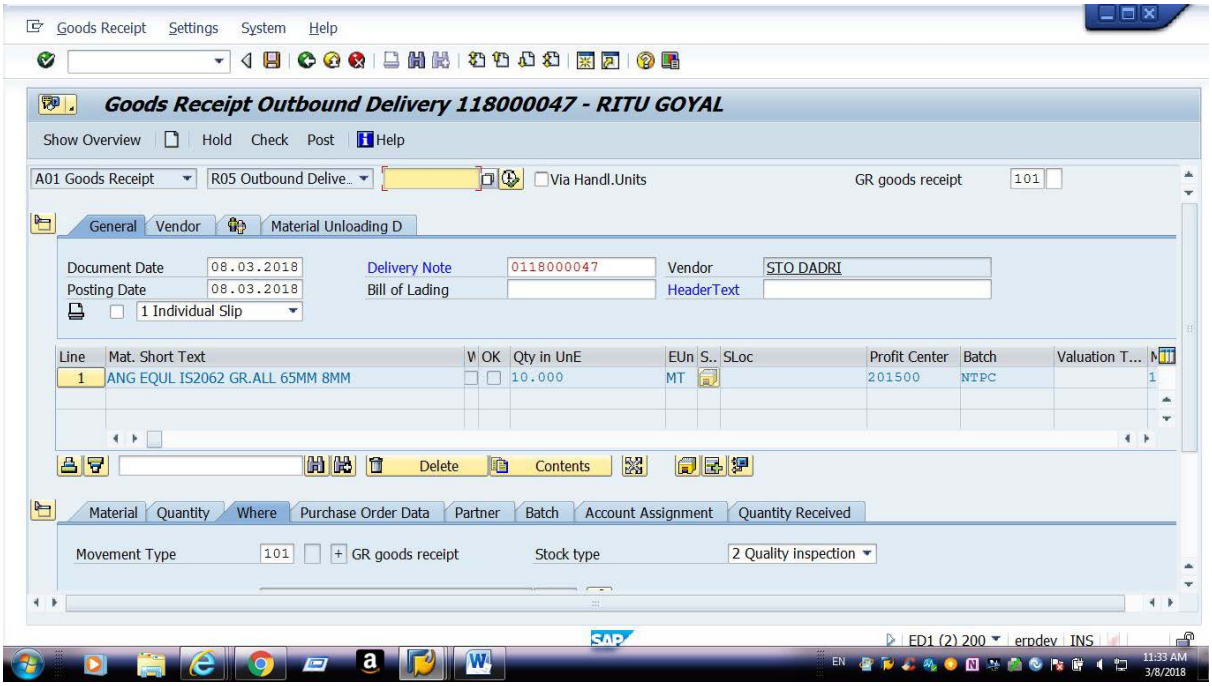
Debtors A/c Dr in supplying Plant 1011 (with the price as specified for Material in condition records)

To Inter Unit Stock Transfer A/c

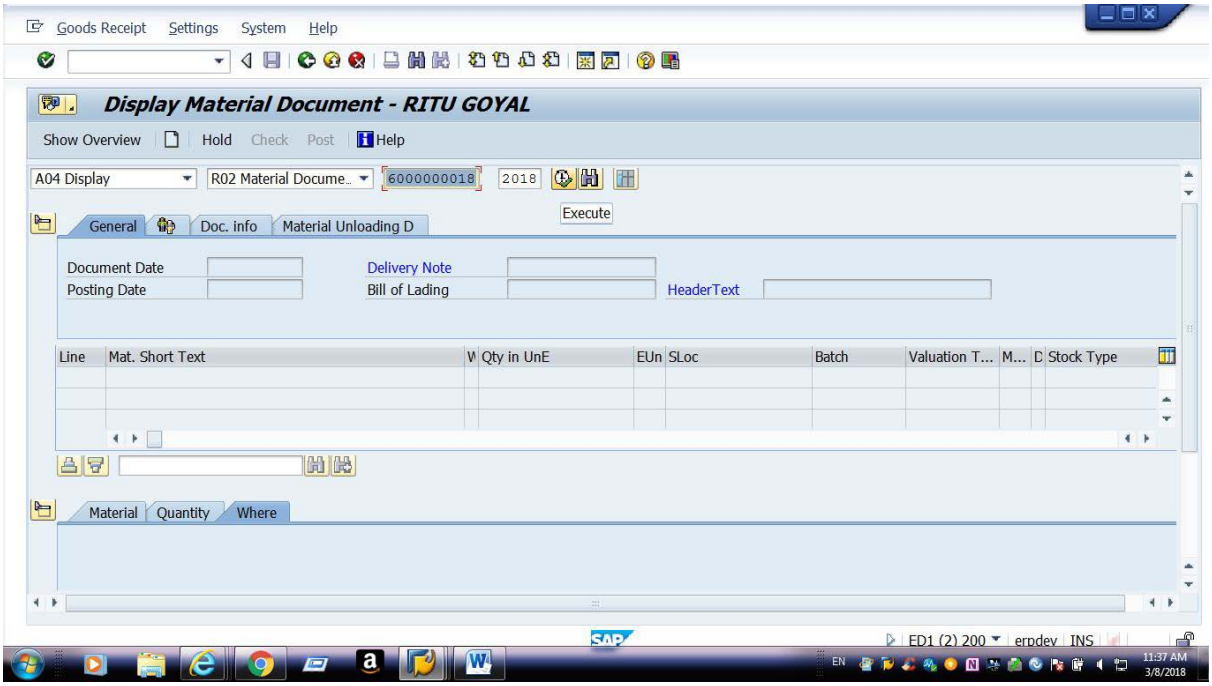
To GST Payable A/C.

5. Create Goods Receipt in Receiving Plant :

- Use Tcode MIGO with Movement Type 101 to create Goods Receipt in the Receiving Plant with reference to the Outbound Delivery Number.



- Enter the Storage Location and Document Header text in MIGO. Post the document



- MIGO will be created with reference to the Sales price as maintained for the material.

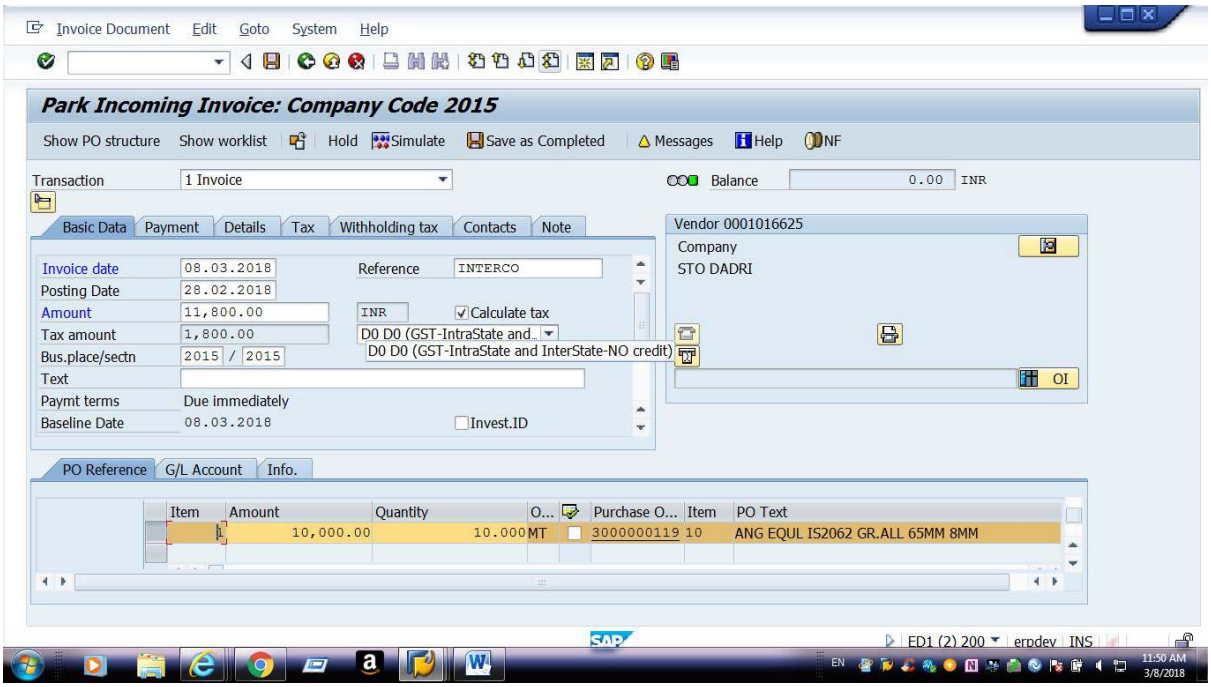
The accounting entry posted at the time of MIGO will be:

Inventory A/c Dr in the Receiving Plant (with the Sales price of the Material) To GR/IR Clearing A/c
To Freight Clearing A/c

In case the P.O. conditions involve Freight, Freight Clearing A/c 5000005 will be credited at the time of MIGO.

6. Create Invoice Verification in Receiving Plant:

- Create MIR7 in receiving Plant with reference to the Inter Company Stock Transport P.O.



The accounting entry at the time of MIRO will be:
Freight Clearing A/c Dr
GR/IR Clearing A/c Dr in Receiving Plant
To Vendor payable (represented by supplying Plant)

Mapping of Plant and Vendor Code

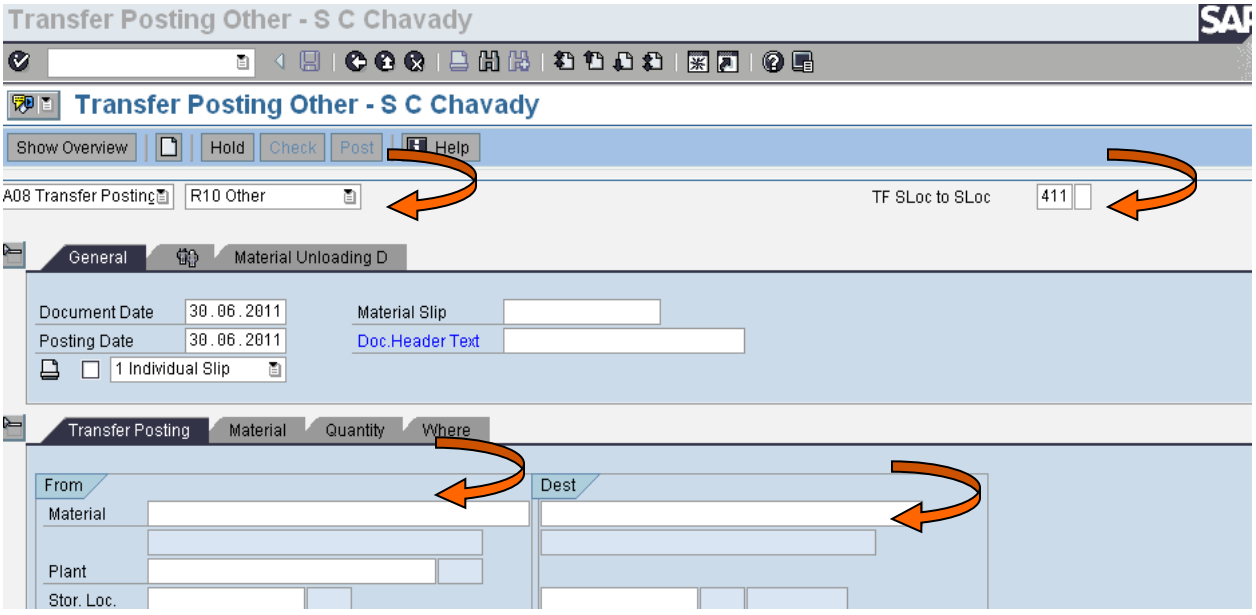
Plant	Plant Description	Vendor Code
1004	Singrauli Super Thermal Power	5000000
1005	Rihand Superthermal Power	5000001
1006	Feroz Gandhi Unchahar Thermal	5000002
1007	Tanda Thermal Power Project	5000003
1010	Badarpur Thermal Power Station	5000004
1011	Dadri Thermal Power Project	5000005
1012	Auraiya Gas Power Project	5000006
1013	Anta Gas Power Project	5000007
1014	Dadri Gas Power Project	5000008
1015	Faridabad Gas Power Station	5000009
1017	Korba Super Thermal Power Proj	5000010
1018	Vindhyachal Super Thermal Powe	5000011
1019	Sipat Super Thermal Power Project	5000012
1020	Kawas Gas Power Project	5000013

1021	JHANOR-GANDHAR GAS POWER	5000014
1024	Farakka Super Thermal Power	5000015
1025	Kahalgaon Super Thermal Power	5000016
1026	Talcher Super Thermal Power	5000017
1027	Talcher Thermal Power Station	5000018
1028	Barh Thermal Power Plant	5000019
1029	North Karanpura Thermal Power	5000020
1033	Ramagundam Super Thermal Power	5000021
1034	Rajiv Gandhi Ccpp	5000022
1035	Simhadri Thermal Power Project	5000023
1037	Koldam Hydro Project	5000024
1040	Pakri Barwdih Coal Mining Pro.	5000025
1042	Bongaigaon Thermal Power	5000026
1043	Mouda Super Thermal Power	5000027
1045	Solapur STPP	5000028
1046	Kudgi STPP	5000029
1047	Lara STPP	5000030
1049	Gadarwara STPP	5000031
1051	Rammam Hydro Power Projet.	5000032
1053	Darlipali STPP	5000033
1054	KHARGONE STPP	5000034
1057	TELANGANA SUPER THERMAL	5000035

(C) Transfer within the plant (MIGO)

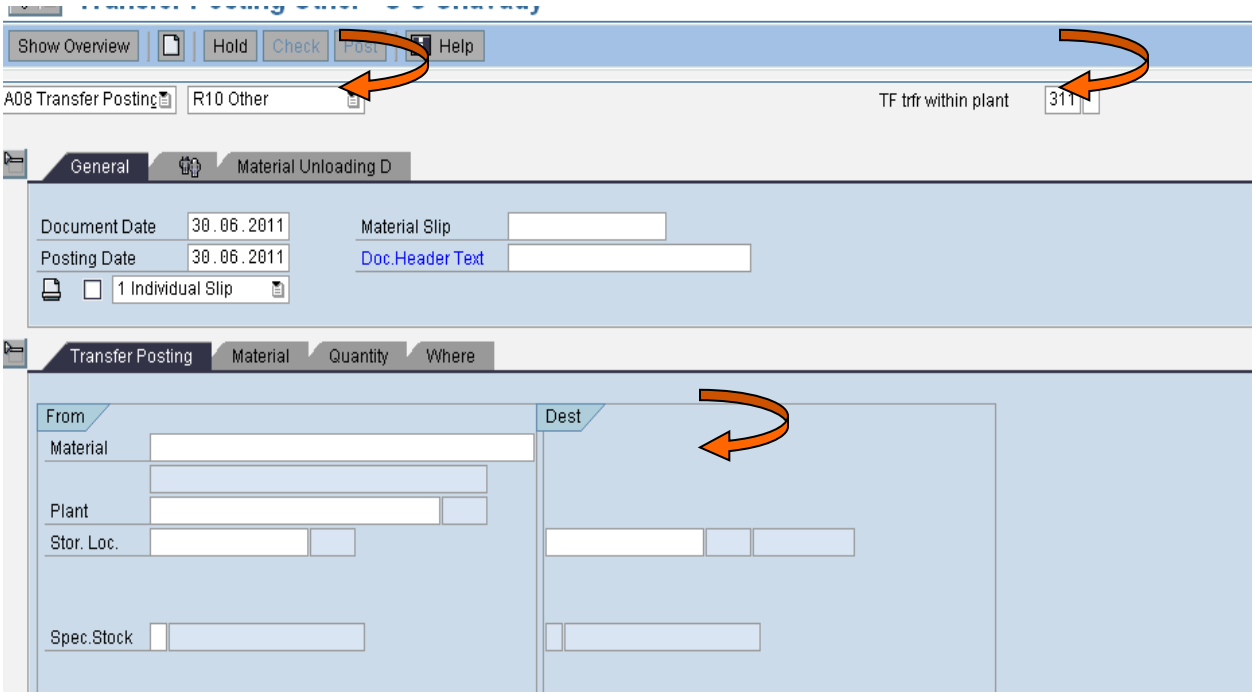
1. **Material to material transfer:**

Stock of one material code can be transferred to other code if unit of measure & nature of item is same (valuated-valuated, non valuated-non valuated) by using mvt type 411.



2. Storage location transfer / Batch transfer/ WBS Change:

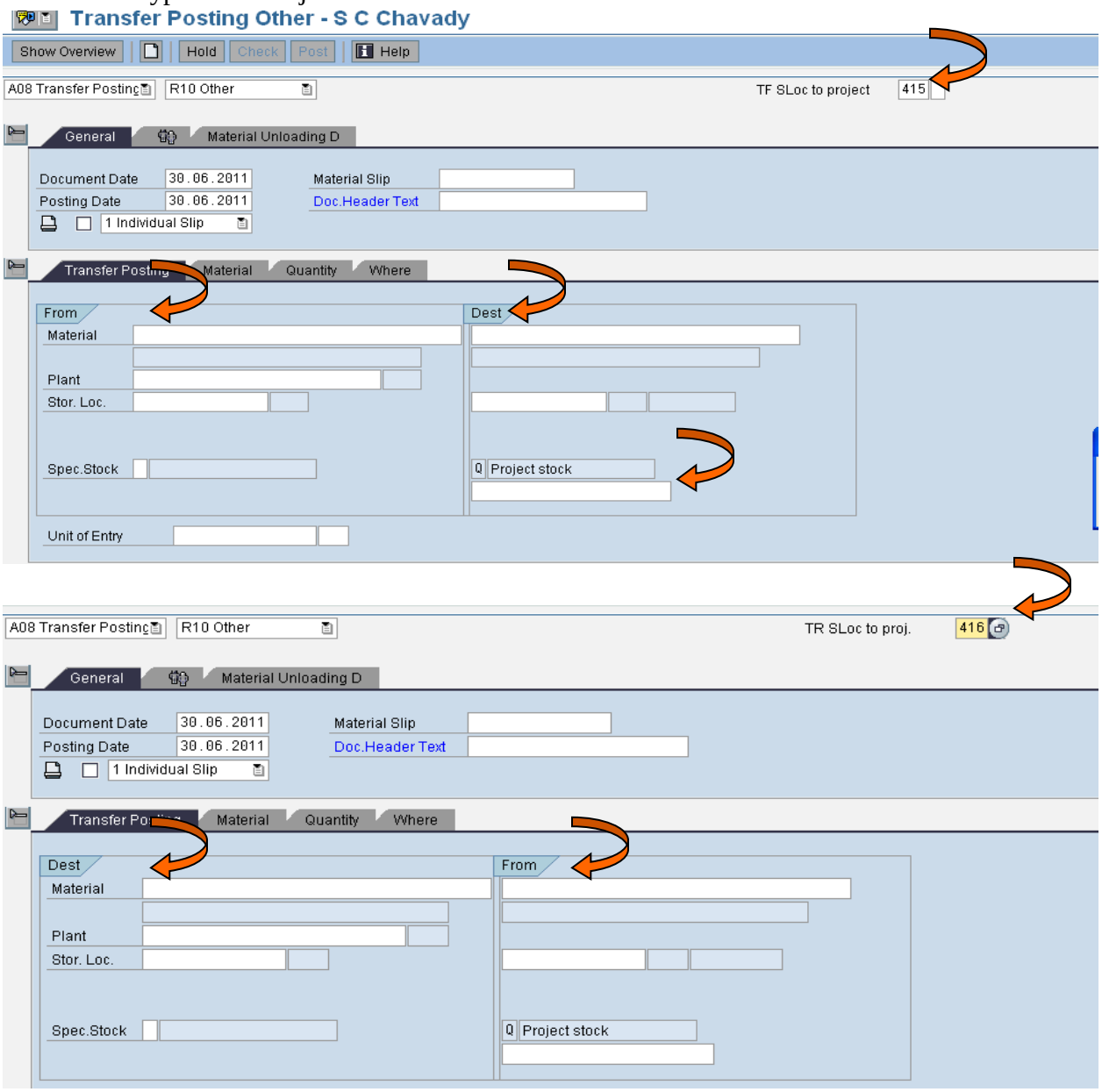
This can be done by using mvt type 311 & 311Q for project stock



3. O&M to Project and Project to O&M transfer:

Mvt type 415: O&M to Project

Mvt type 416: Project to O&M



9.0.6 FREE ISSUE TO CONTRACTOR

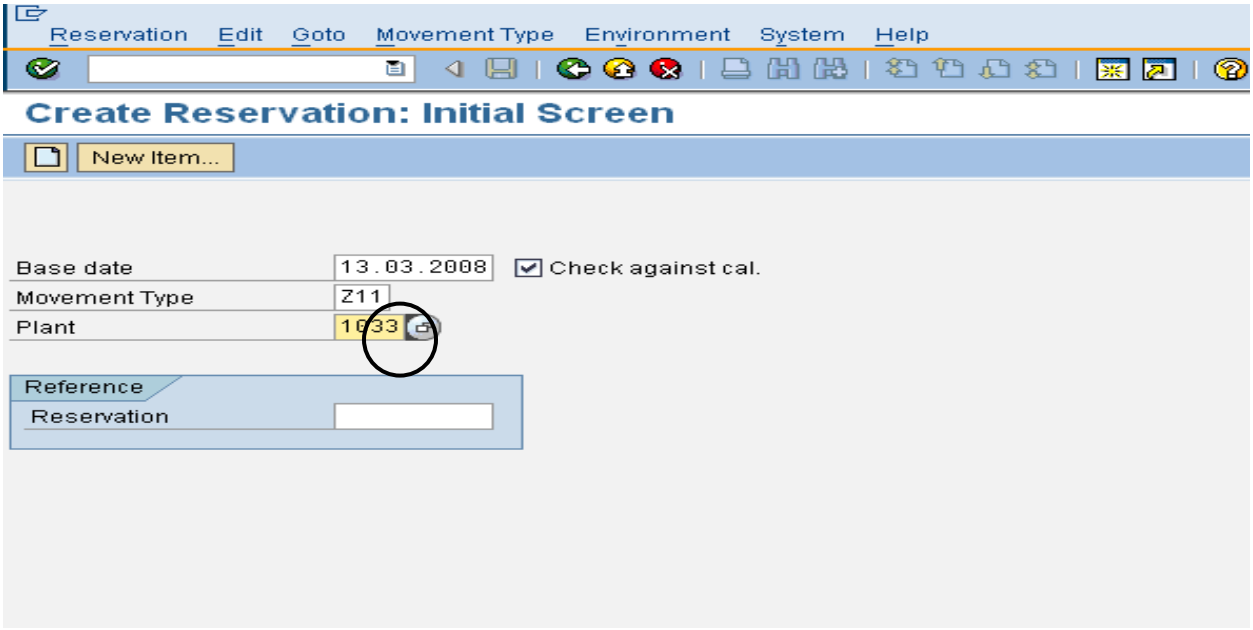
(A). Create reservation

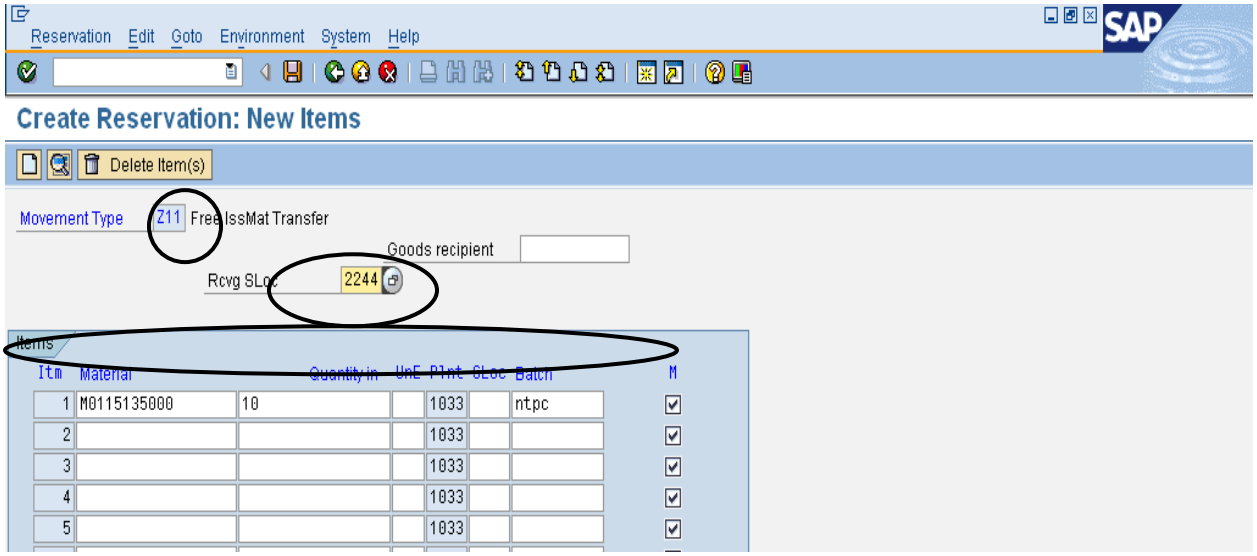
Create Reservation (T. Code: - MB21)

- Enter Base Date, Movement Type (Z11), Plant
- Enter Reference Reservation if require to copy the Details from other Reservation, Tick on Check against Calendar if applicable.

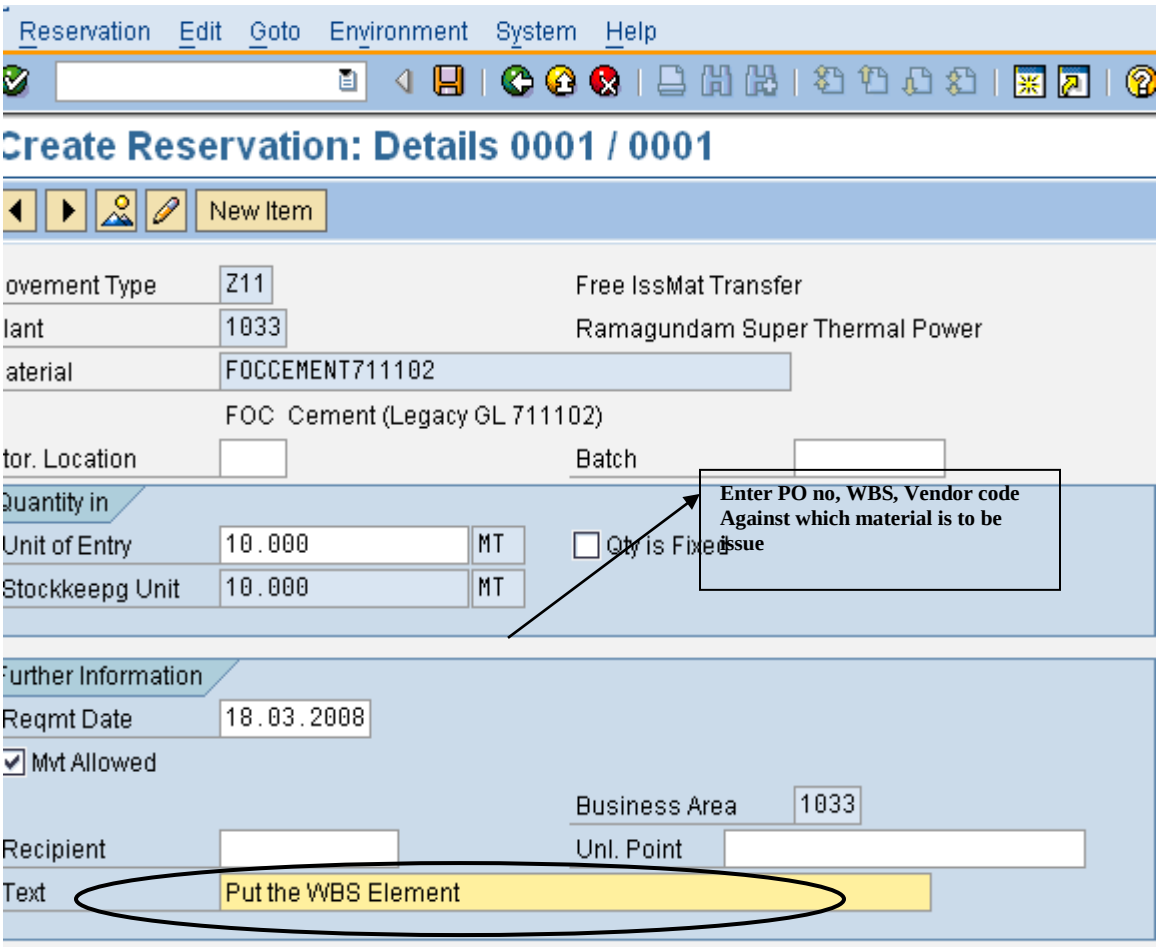
  Execute.
- Enter Good recipient,
- Enter Material code and Qty, Unit of Entry. Enter storage location and batch no. if applicable.

  Save the Document. It will generate a document number.





Enter Purchase order, WBS (In project stock) & vendor code in the Item text of Reservation



(B) Material Transfer against Reservation

Material Transfer against Reservation (Movement Type Z11) (T. Code: - MIGO).

Enter Transfer Posting in Executable Action in Transaction MIGO and against Reservation in Reference document for MIGO transaction,

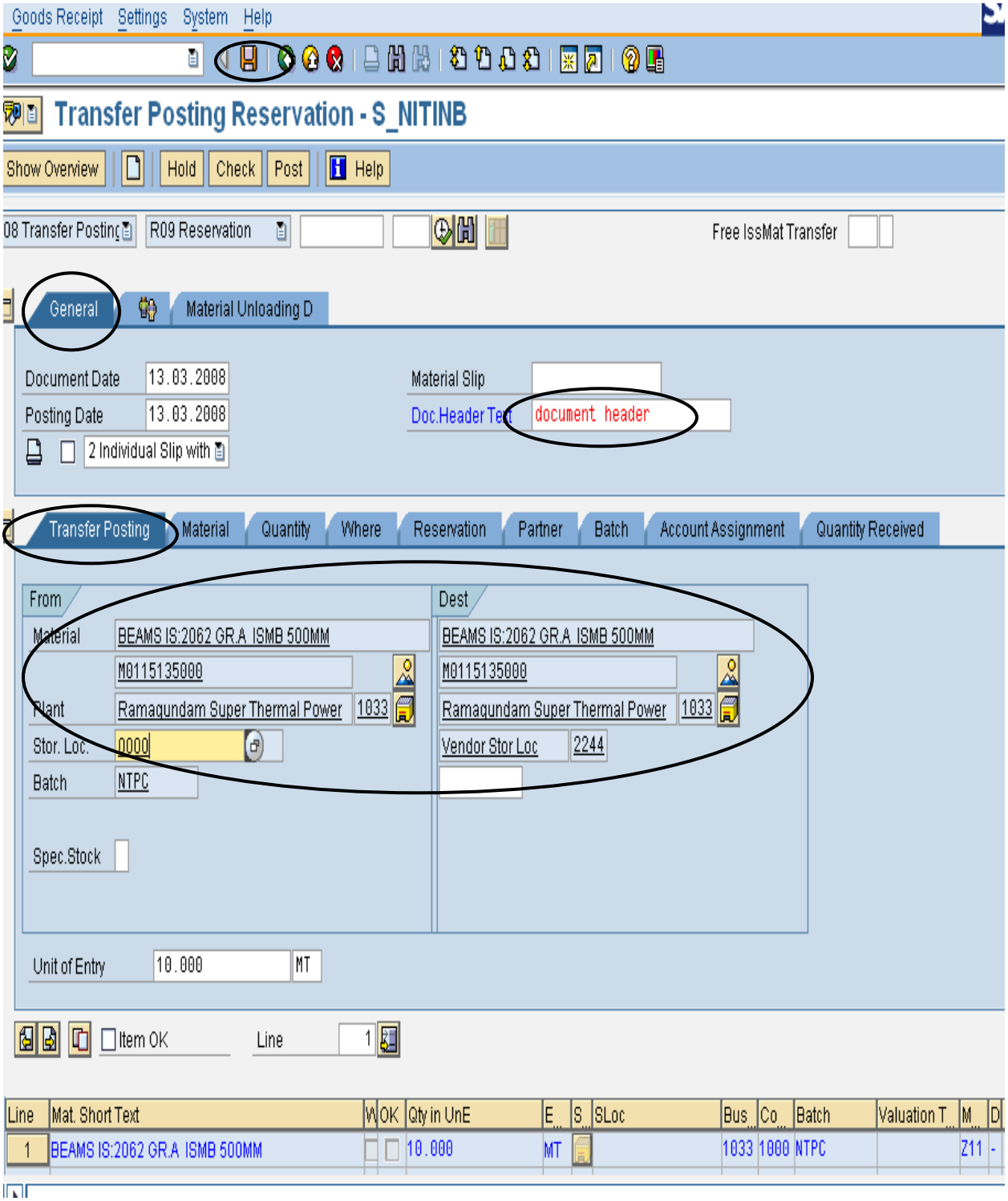
Execute.

Select

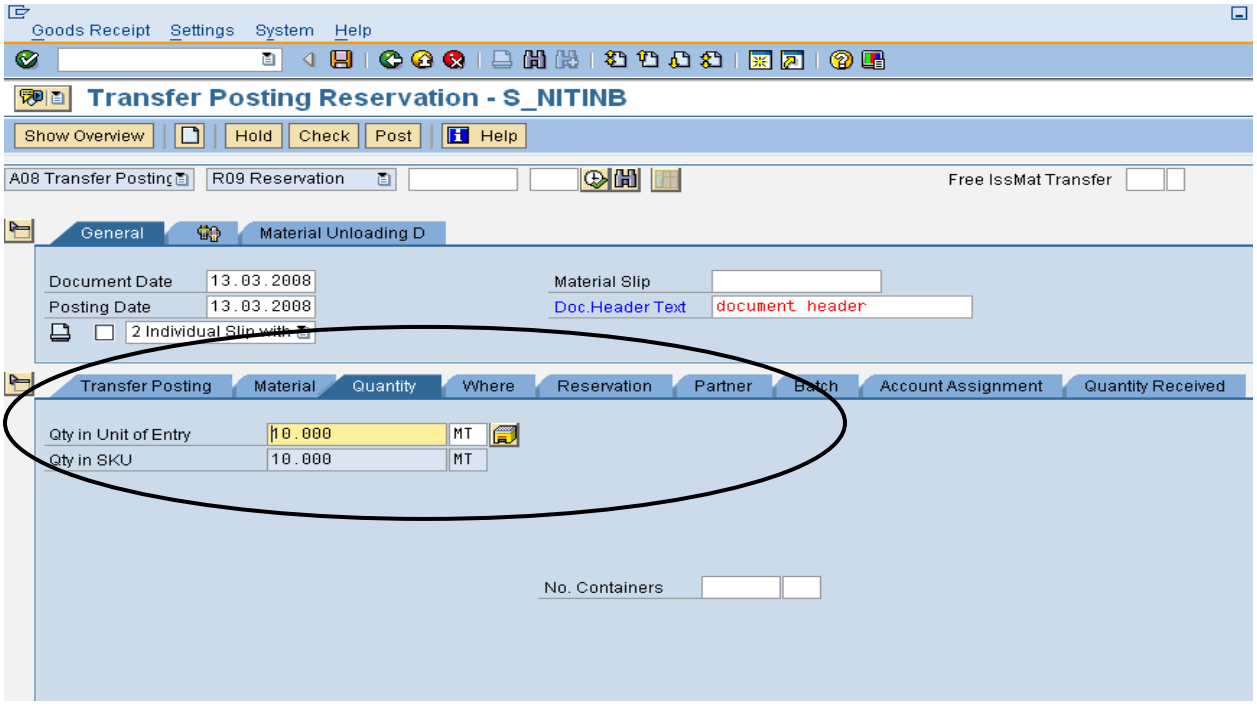
General Tab of Header bar - > Enter Document date, Posting Date, Material Slip, Document Header Text.

Select

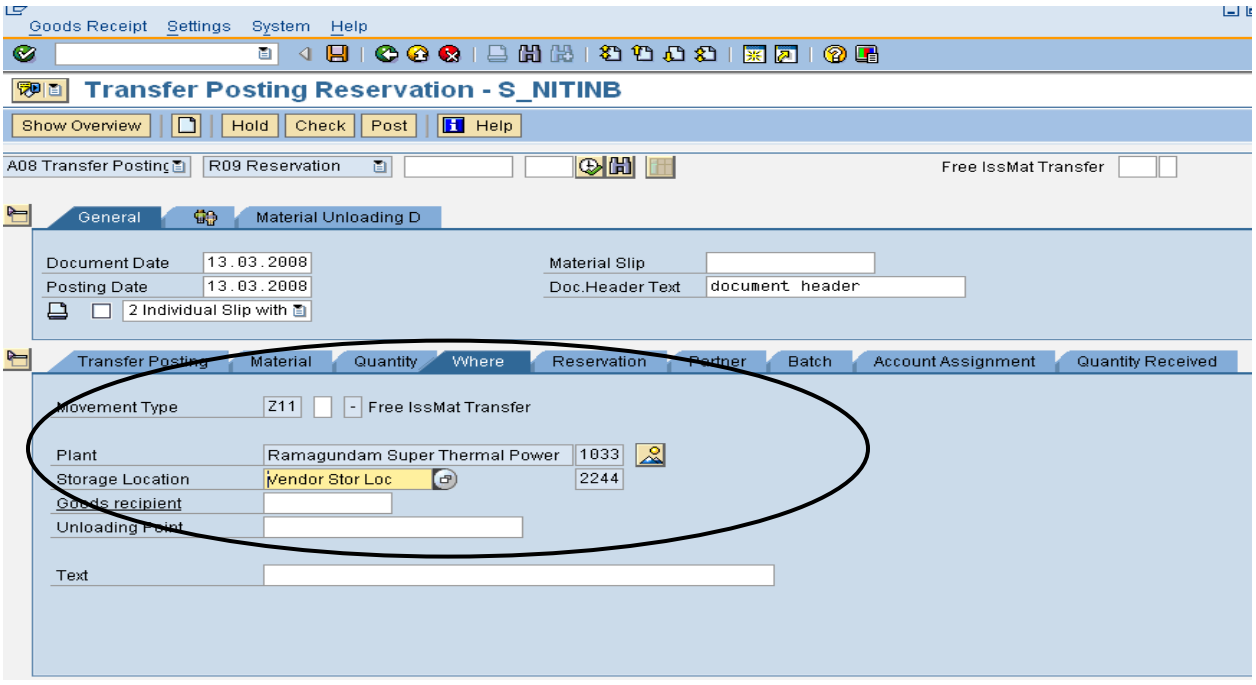
Tab and Enter issuing Storage Locations and NTPC Batch in the from data and 2244 as and Purchase order number as destination storage location and batch respectively



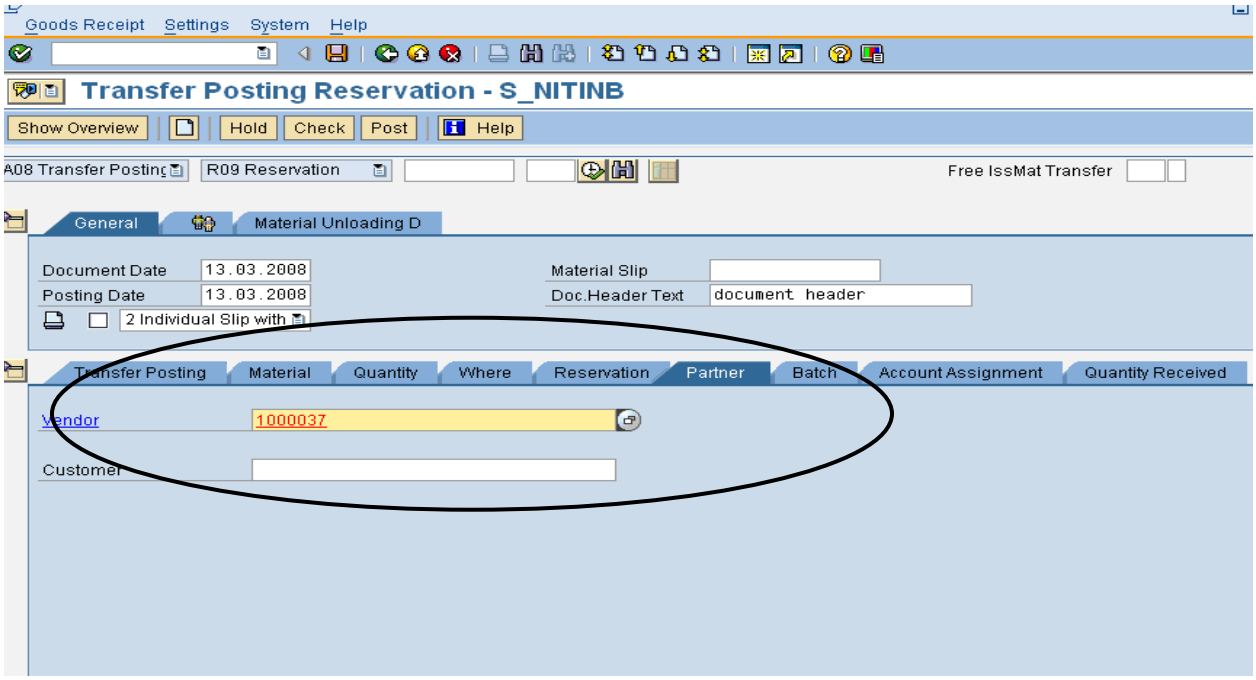
Select Quantity Qty Tab in item Details - > enter Qty received Against Each Line Item.



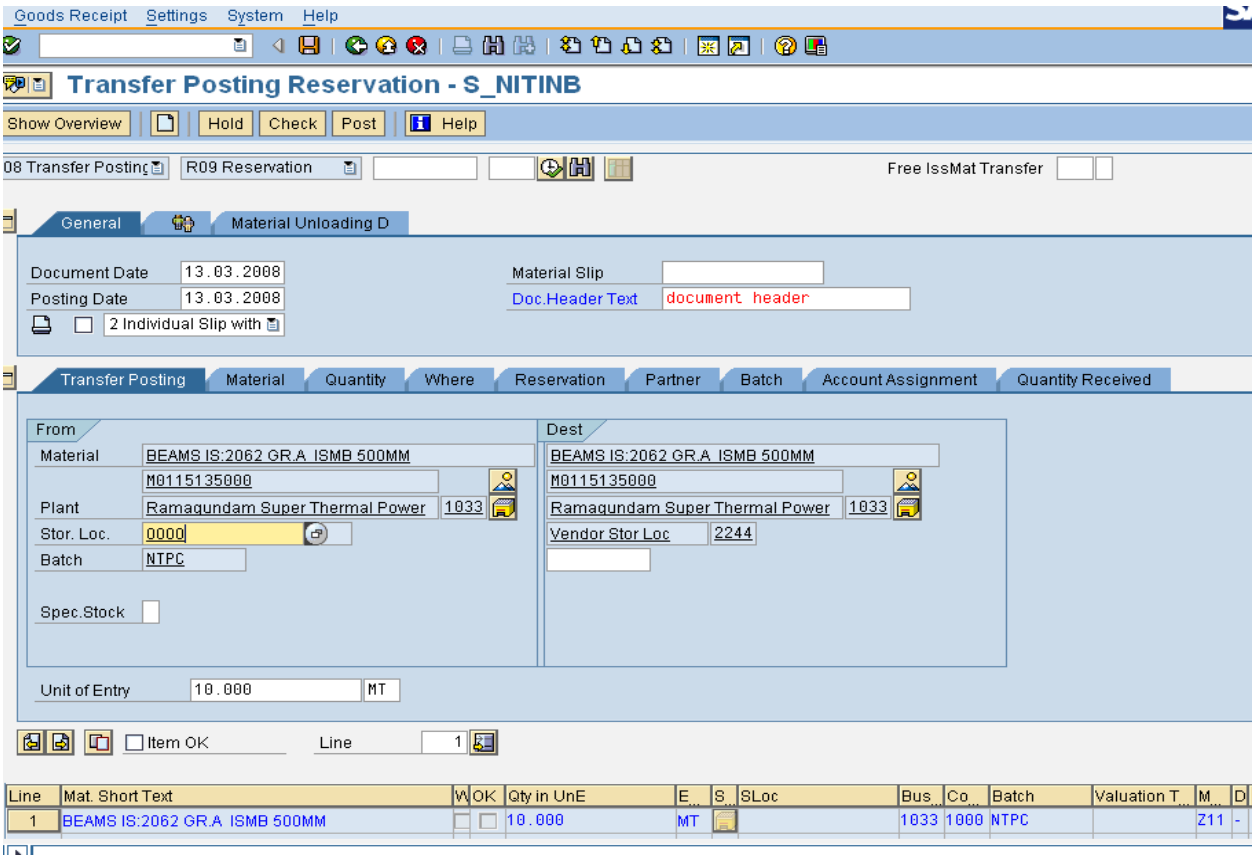
Select Where Tab in Item Details - > enter plant, storage location. Also Enter Good recipient, Unloading Point, Text if applicable



Select Partner Tab in Item Details - > enter **Vendor** Code/Supplier if Applicable.

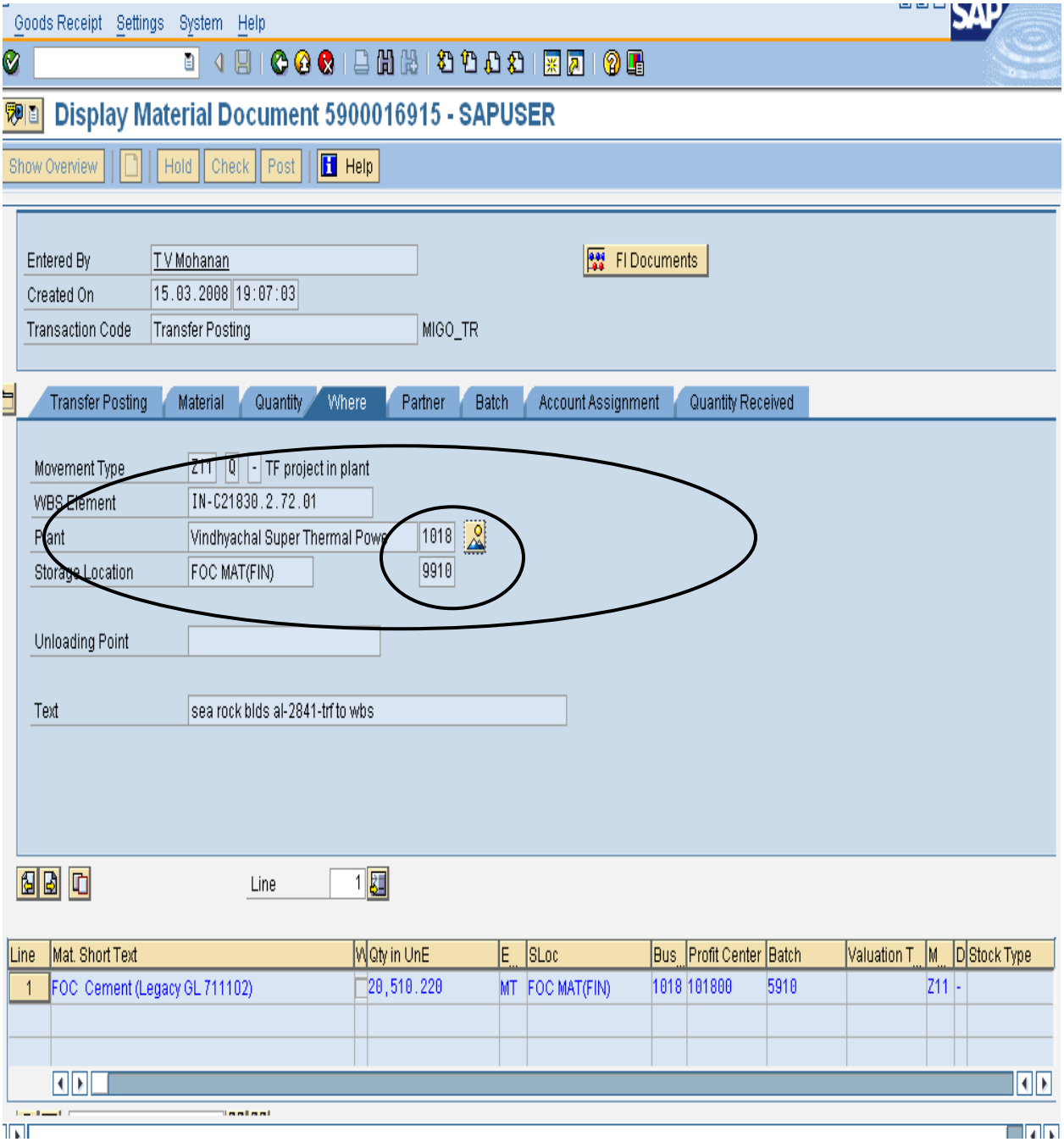


Enter PO no against which material is to be issue in the Batch Tab

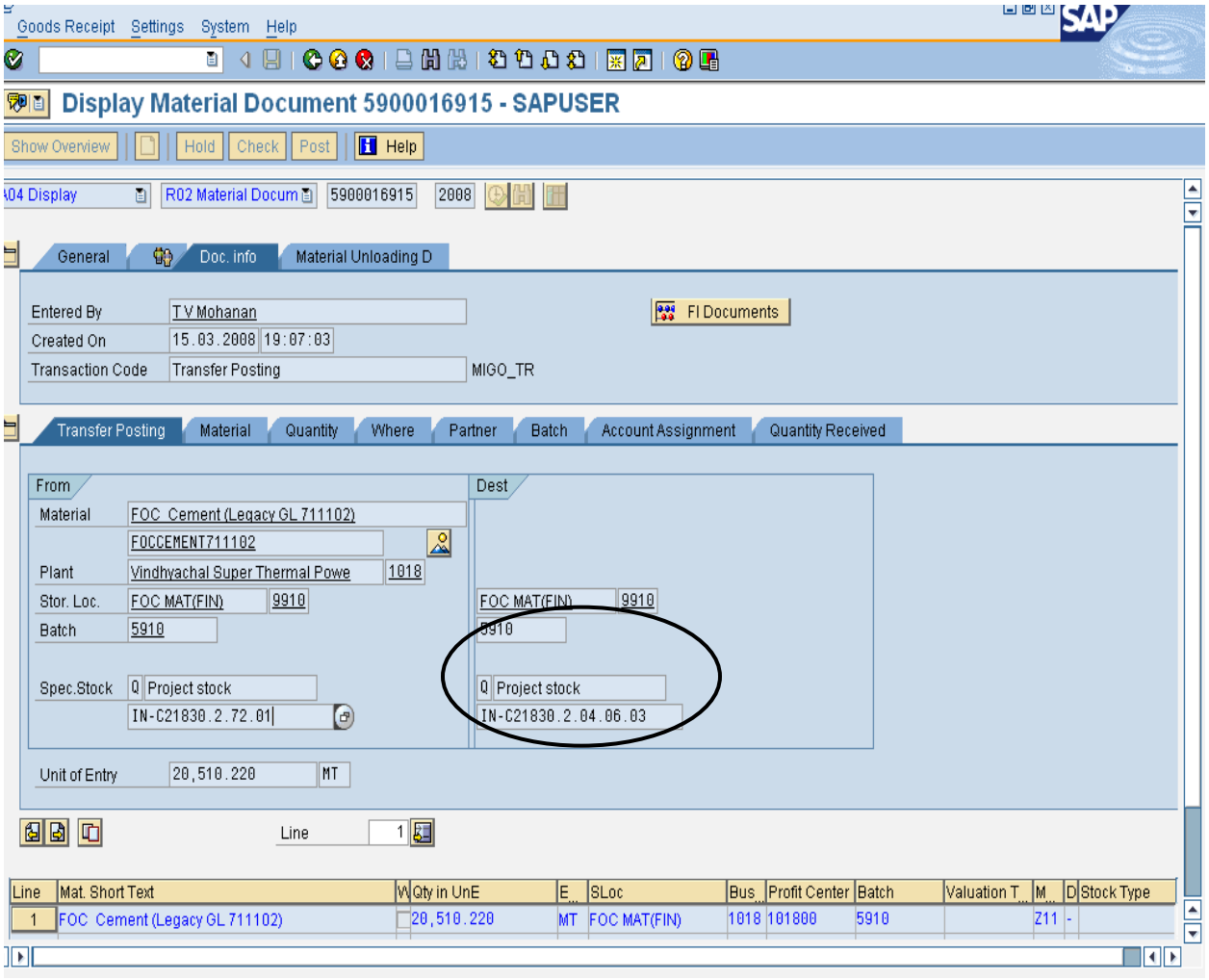


Batch No. will be the PO No. for transfer Posting of Project stock.

In where Tab Use movement type Z11 Q

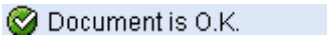


In the Transfer Posting tab Put the WBS Element mention in the Reference reservation in the highlighted Column



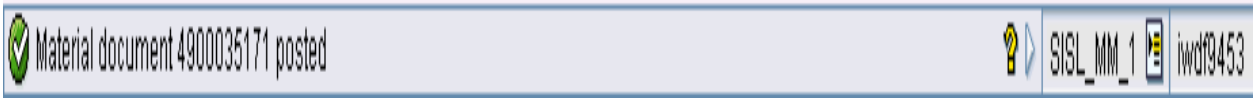
Check/Tick OK from item details or item wise check can be done from item details (where tab) ☐ Item OK also.

Select Check button from Tab bar. It will issue a message in status bar.



Select Post button

from Tab bar. It will save the document and generate a material document number also.



(C) Material Issue against mvt type:

Material issue Against Reservation (Movement Type Z01) (Use Movement Type Z21Q for issue to Project) (T. Code: - MIGO)

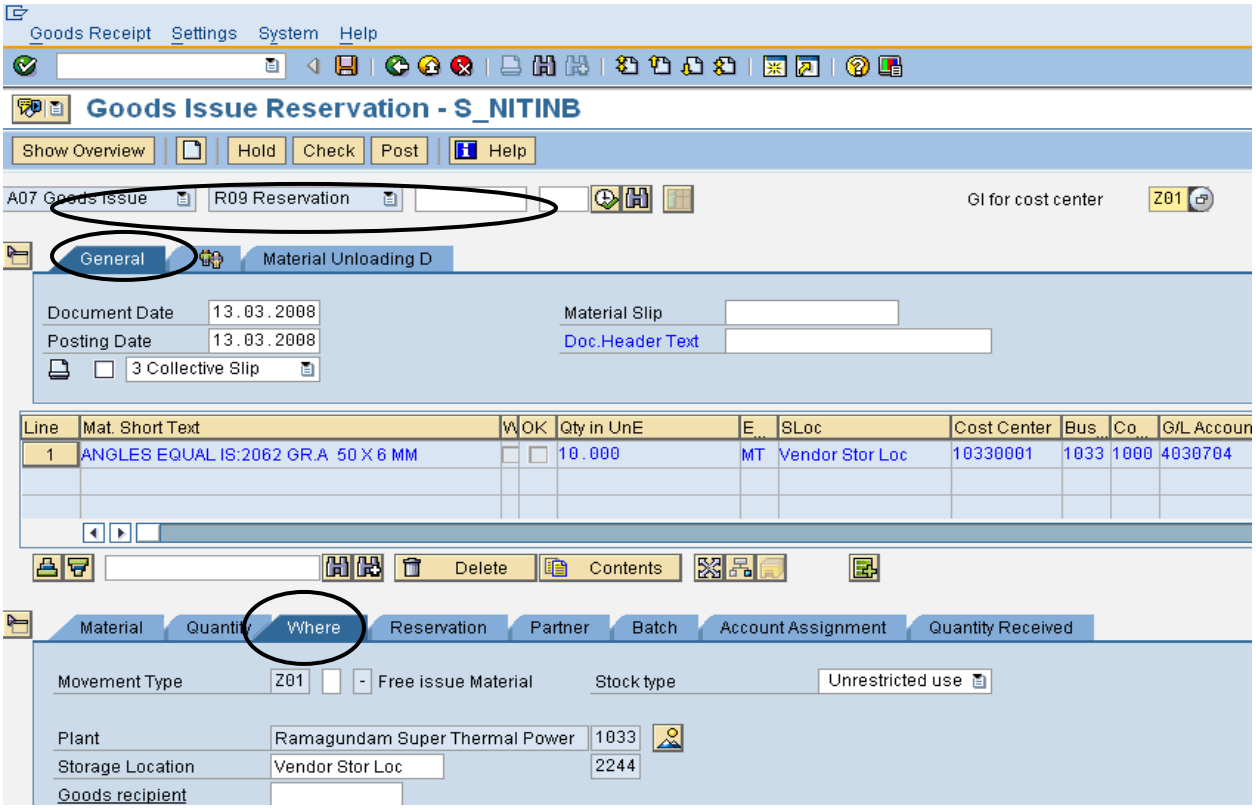
- Enter Goods issue in Executable Action in Transaction MIGO and against Reservation in Reference document for MIGO transaction, Execute.

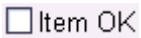
- Select General General Tab of Header bar - > Enter Document date, Posting Date, Material Slip, Document Header Text.

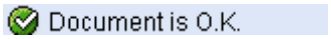
- Select Quantity Qty Tab in item Details - > enter Qty received Against Each Line Item.(Quantity should either actual quantity consumed or theoretical quantity, plus allowable wastage, which ever is less)

- Select Where Where Tab in Item Details - > enter plant, storage location. Also Enter Good recipient, Unloading Point, Text if applicable

- Select Partner Tab in Item Details - > enter Vendor Code/Supplier if Applicable.



- Check/Tick OK from item details or item wise check can be done from item details (where tab)  also.

- Select Check button from Tab bar. It will issue a message in status bar.


- Select Post button from Tab bar. It will save the document and

- Note: - 1) Unused quantity of the good material is to be returned to *stores against MVT Z11*

- EIC can transfer material from one PO to another in the same storage location (2244) using MVT Z11
It will be Batch to batch transfer with same vendor PO.

(D) <u>Posting good issue for material against which scrap is generated using MVT S01 or S21</u>

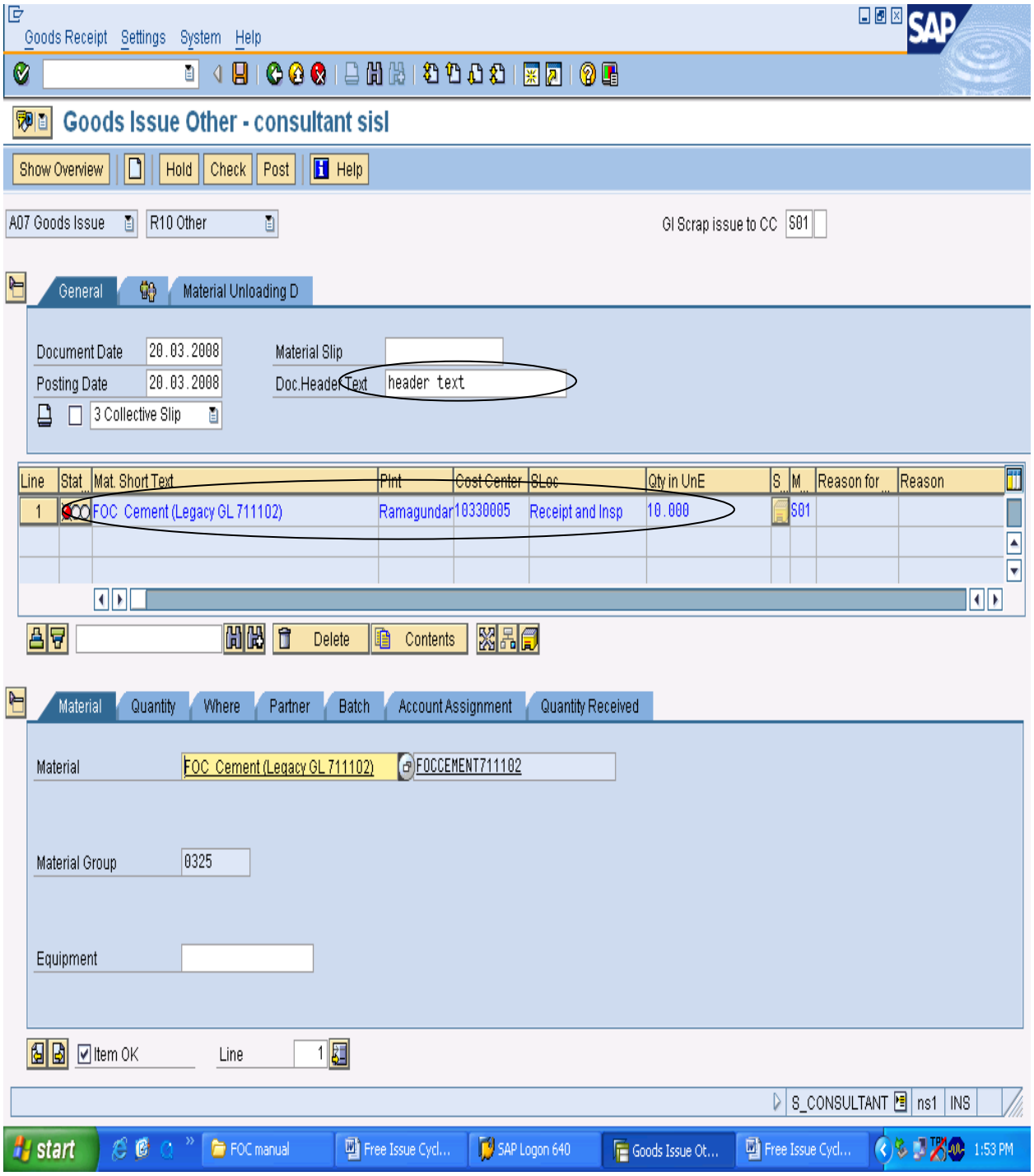
The Material for which scrap is generated and Received back in store the Consumption of Material is to be booked to reduce the quantity of good material to the extent scrap is generated.

Material issue Against Others (Movement Type S01) (Use Movement Type S21 for issue to Project (T. Code: - MIGO)

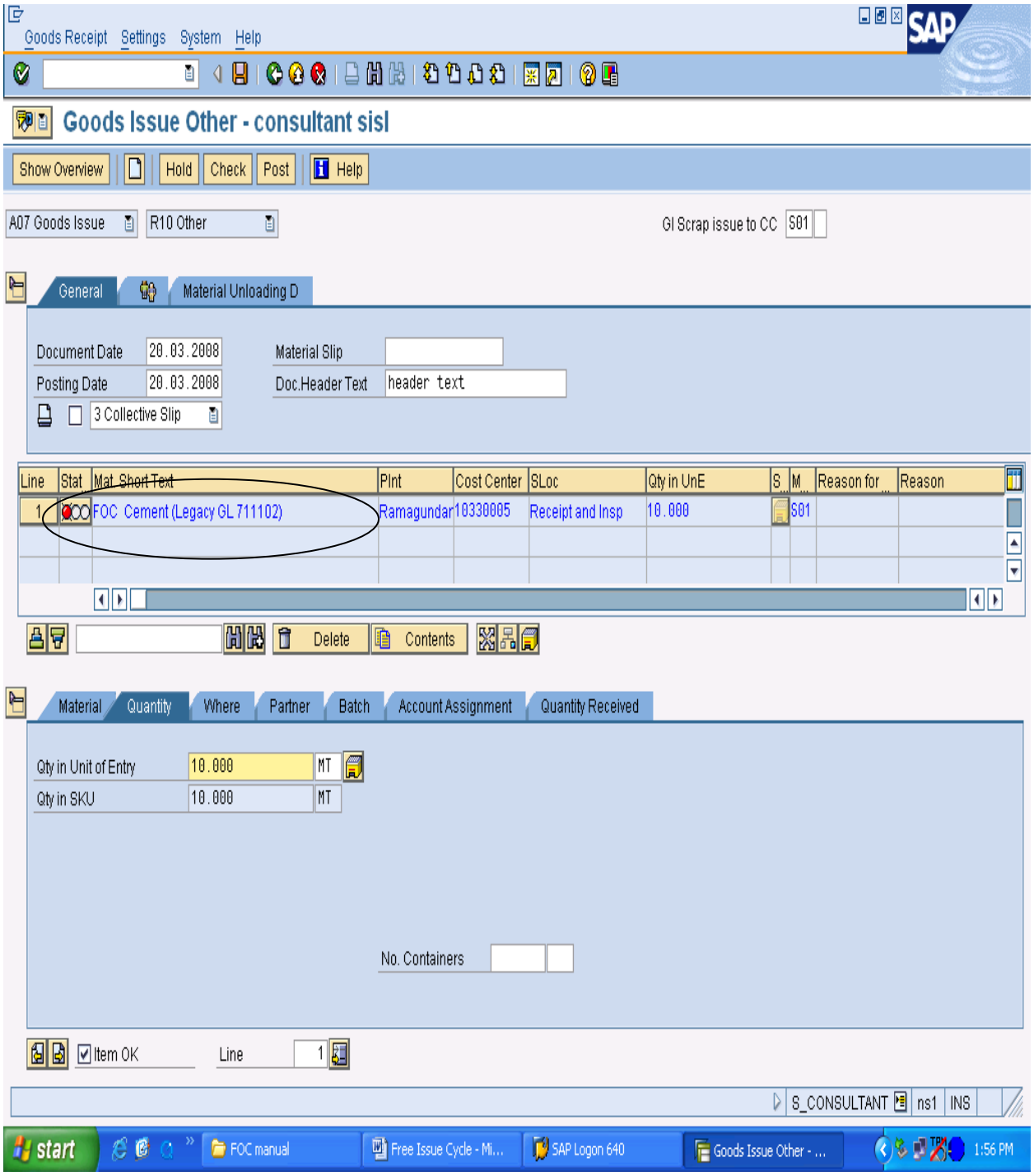
- Enter Goods issue in Executable Action in Transaction MIGO and against others in Reference document for MIGO transaction, Execute.

- Select General Tab of Header bar - > Enter Document date, Posting Date, Material Slip, Document Header Text.

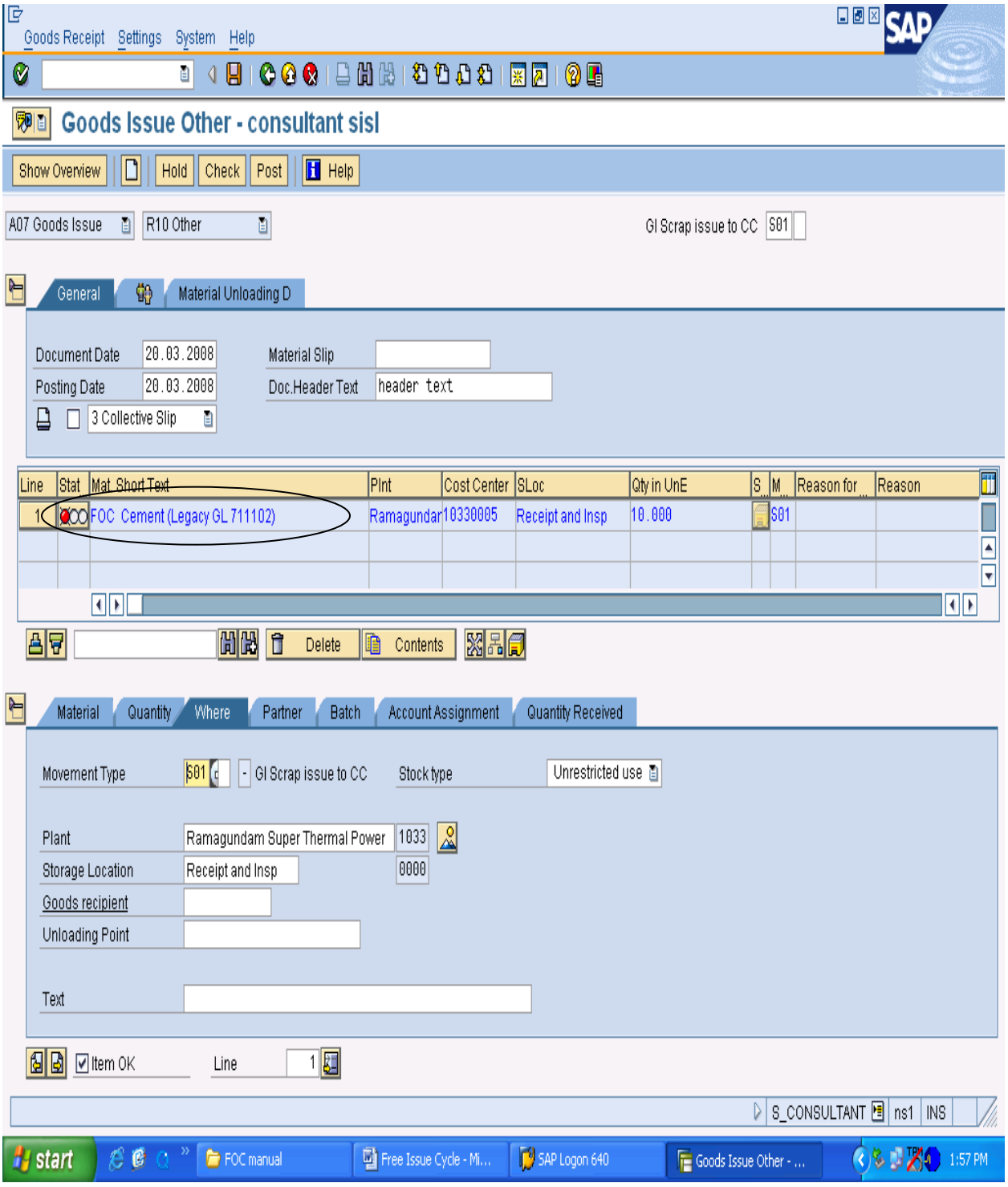
- Select Material Tab and enter Material Code



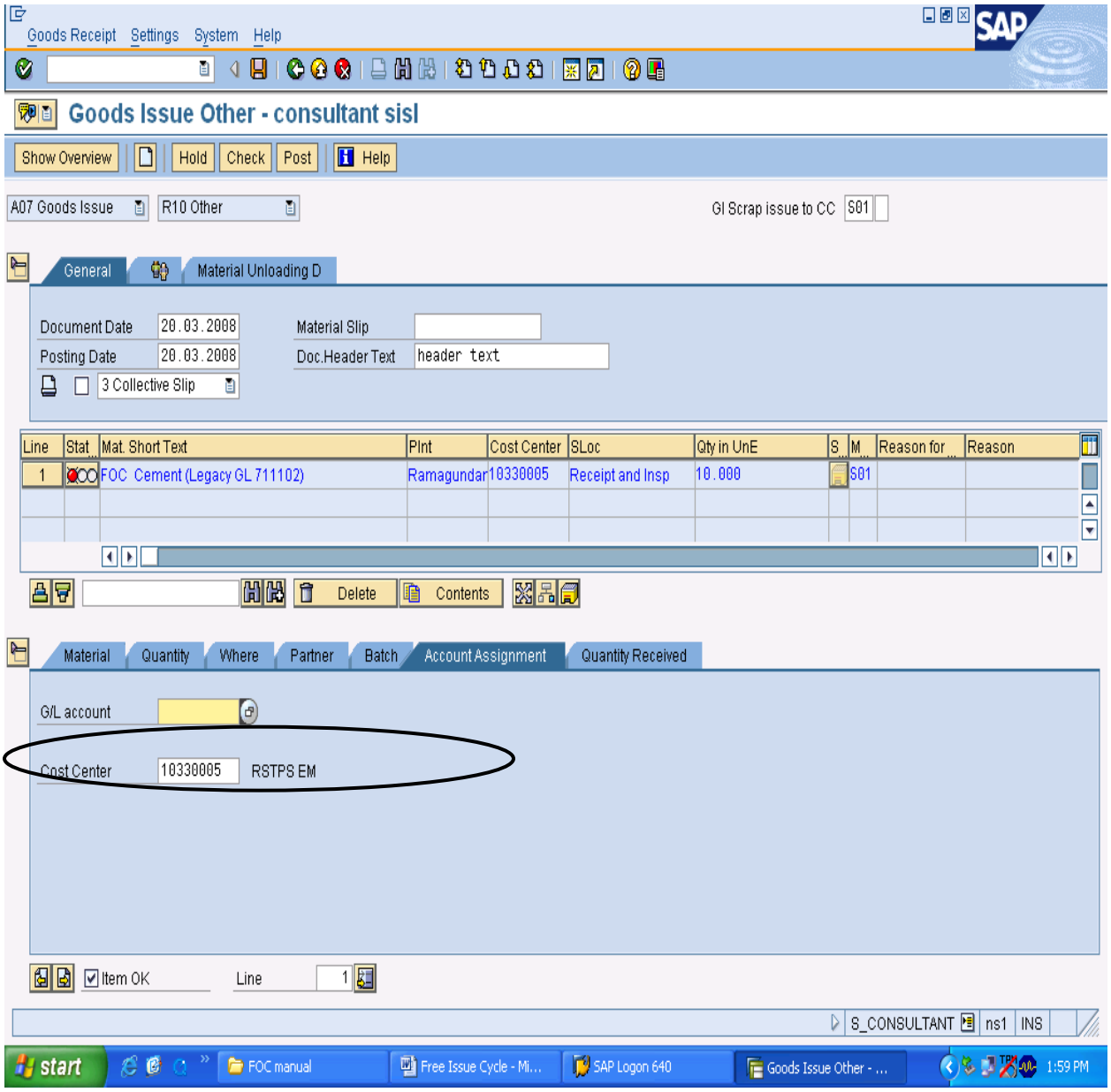
- Select Quantity Qty Tab in item Details - > enter Qty received Against Each Line Item.(Quantity should be equal to quantity of good material converted in to scrap and returned to stores)



- Select Where Where Tab in Item Details - > enter plant, storage location. Also Enter Good recipient, Unloading Point, Text if applicable



- Select Partner Tab in Item Details - > enter Vendor Code/Supplier if applicable Enter Cost center in the Account Assignment Tab



- Check/Tick OK from item details or item wise check can be done from item details (where tab) ☐ Item OK also.
- Select Check button from Tab bar. It will issue a message in status bar.

  Document is O.K.
- Select Post button Post from Tab bar. It will save the document and

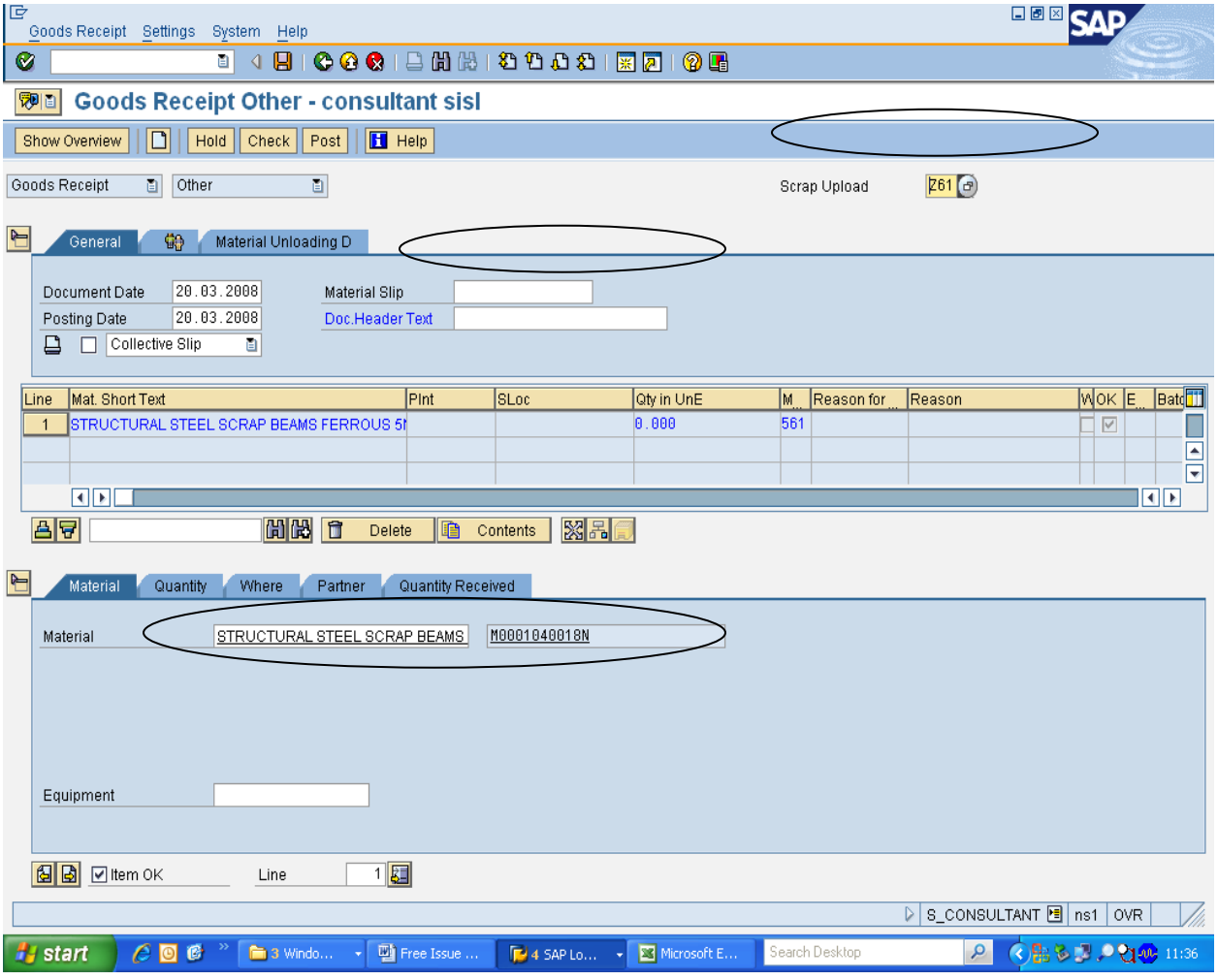
Note: For booking the consumption of Scrap to WBS Use Movement type as S21 and enter WBS instead of Cost center

(E) Return of Scrap to Store

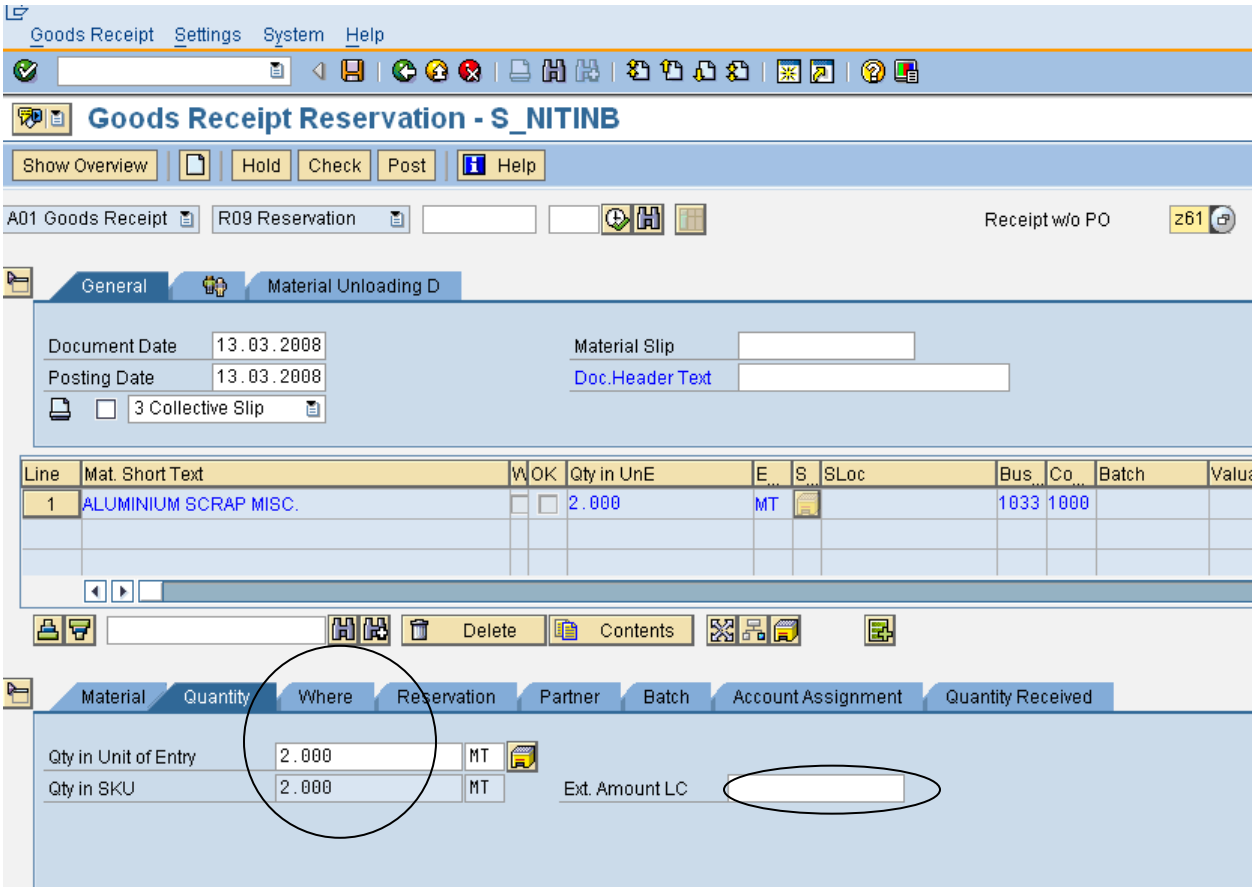
Good Receipt of Scrap against others:

Material Transfer Against Reservation (Movement Type Z61) (T. Code: - MIGO)

- Enter **Goods Receipt** in Executable Action in Transaction MIGO and against Others in Reference document for MIGO transaction, Execute.
- Select General General Tab of Header bar - > Enter Document date, Posting Date, Material Slip, Document Header Text.
- Select Material Tab and Material code
- Select where Tab and Enter Plant, Storage Locations (Vendor Storage Location) and Batch as PO no



- Select Quantity Qty Tab in item Details - > enter Qty received Against Each Line Item.
- If the Scrape generated is valuated the Put the external value in Ext Amount LC.



Check/Tick OK from item details or item wise check can be done from item details (where tab) ☐ Item OK **also.**

- Select Check button from Tab bar. It will issue a message in status bar.

  Document is O.K.

- Select Post button Post from Tab bar. It will save the document and generate a material document number also.

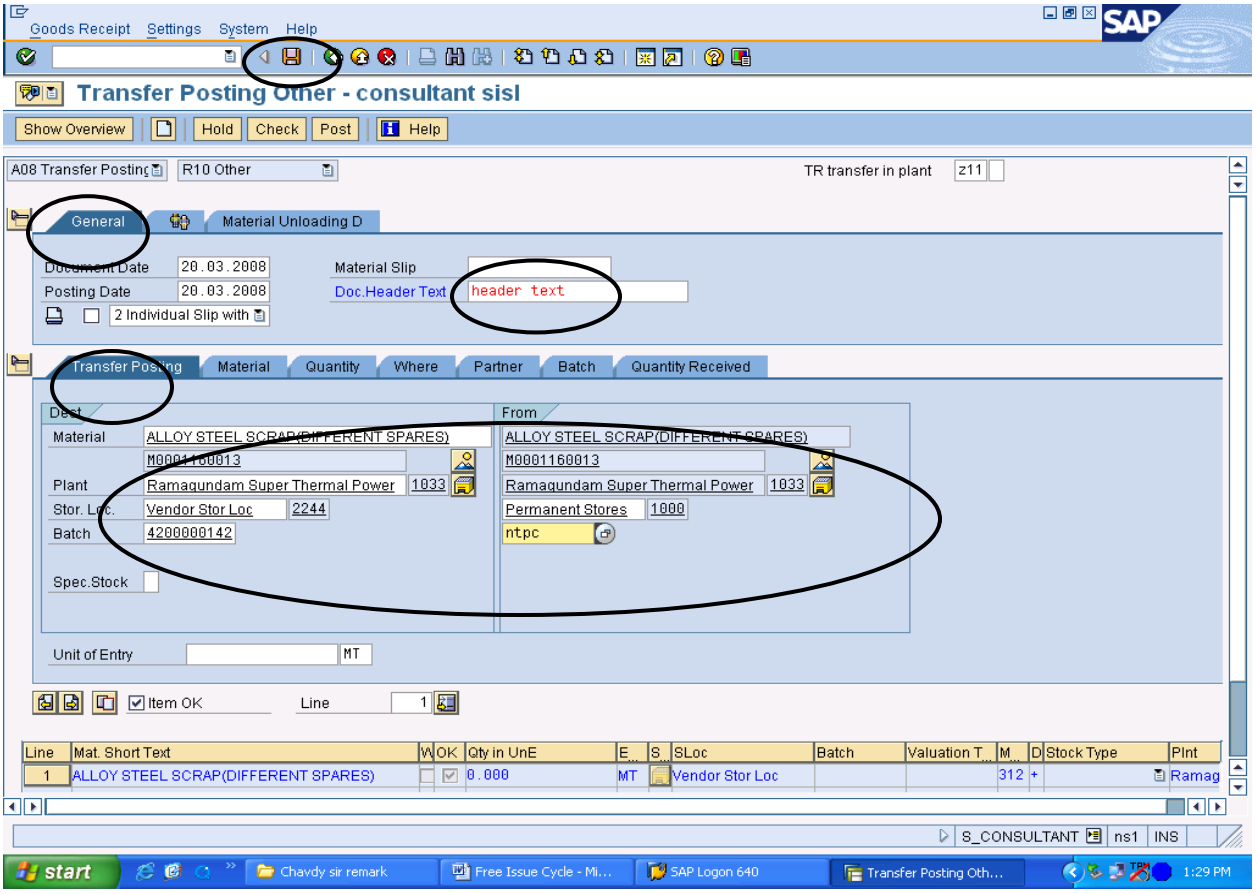
Create Reservation for Transfer of Scrap from vendor storage location ie 2244 to Permanent Storage Location:

- Procedure is same as above but movement type is Z11
- Put Storage Location 2244 and batch as PO number

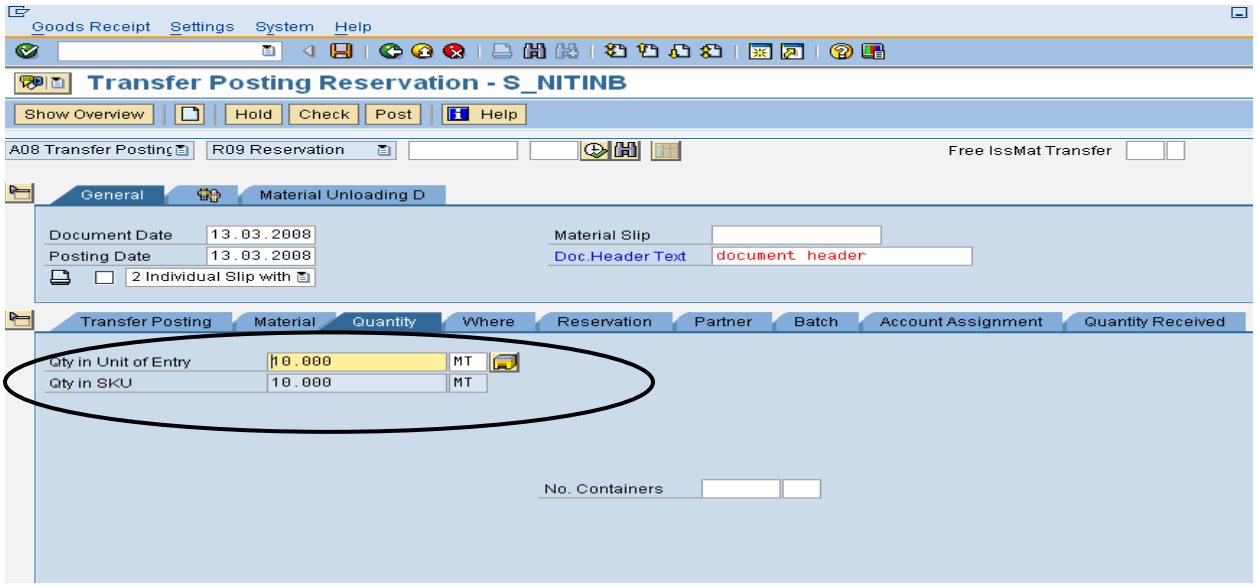
Scrap transfer to Store against Reservation

Material Transfer against Reservation (Movement Type Z11) (T. Code: - MIGO)

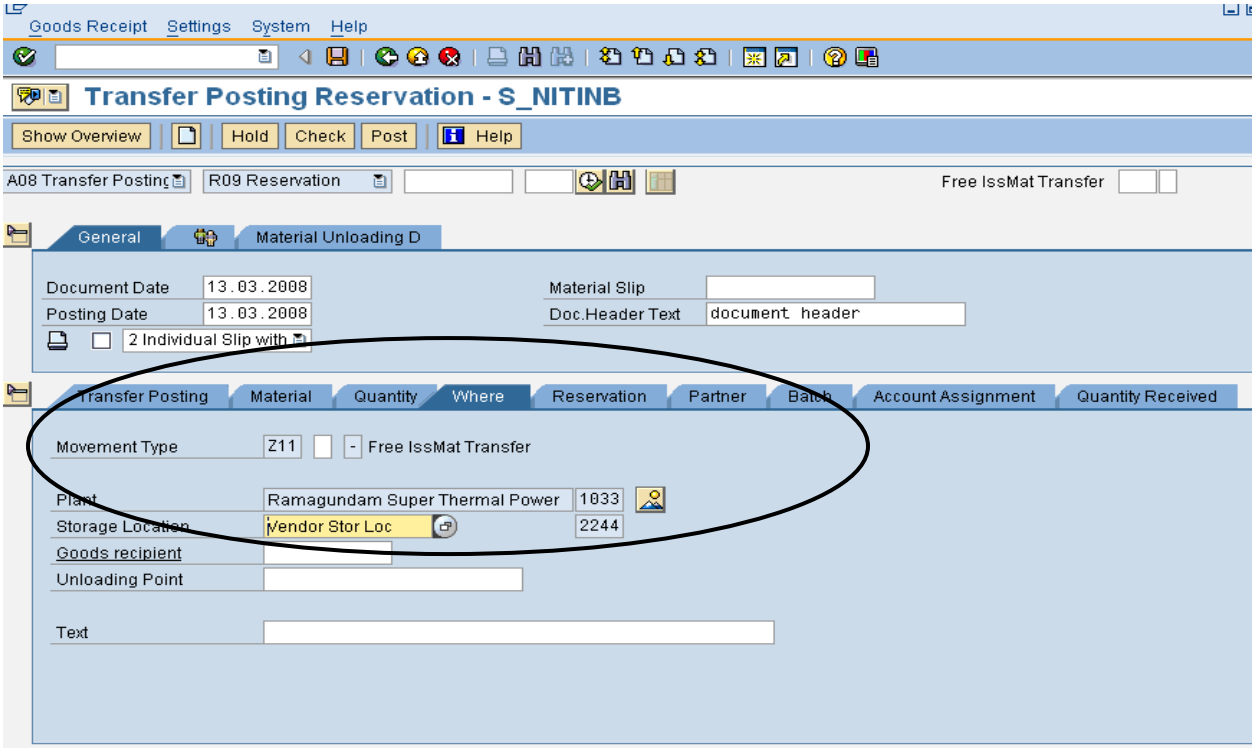
- Enter Transfer Posting in Executable Action in Transaction MIGO and against Reservation in Reference document for MIGO transaction, Execute.
- Select General General Tab of Header bar - > Enter Document date, Posting Date, Material Slip, Document Header Text.
- Select Transfer Posting Tab and Enter 2244 Storage Locations and PO no as Batch in the from data and Scrap Storage Location and NTPC as destination storage location and batch respectively



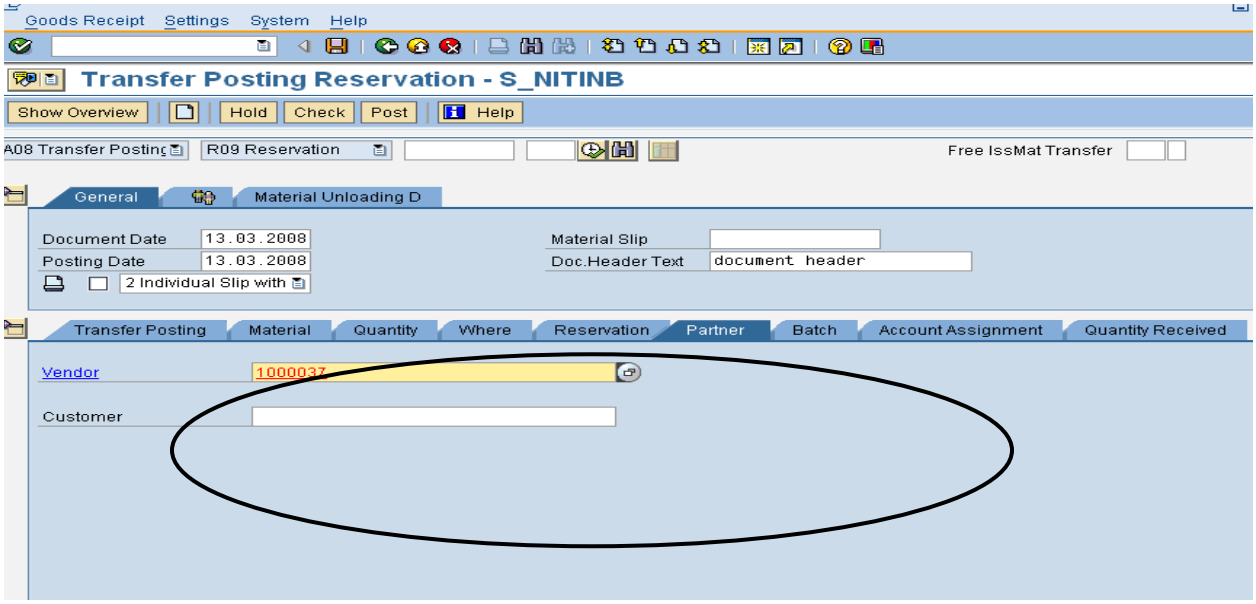
- Select Quantity Qty Tab in item Details - > enter Qty received Against Each Line Item.



- Select Where Where Tab in Item Details - > enter plant, storage location. Also Enter Good recipient, Unloading Point, Text if applicable

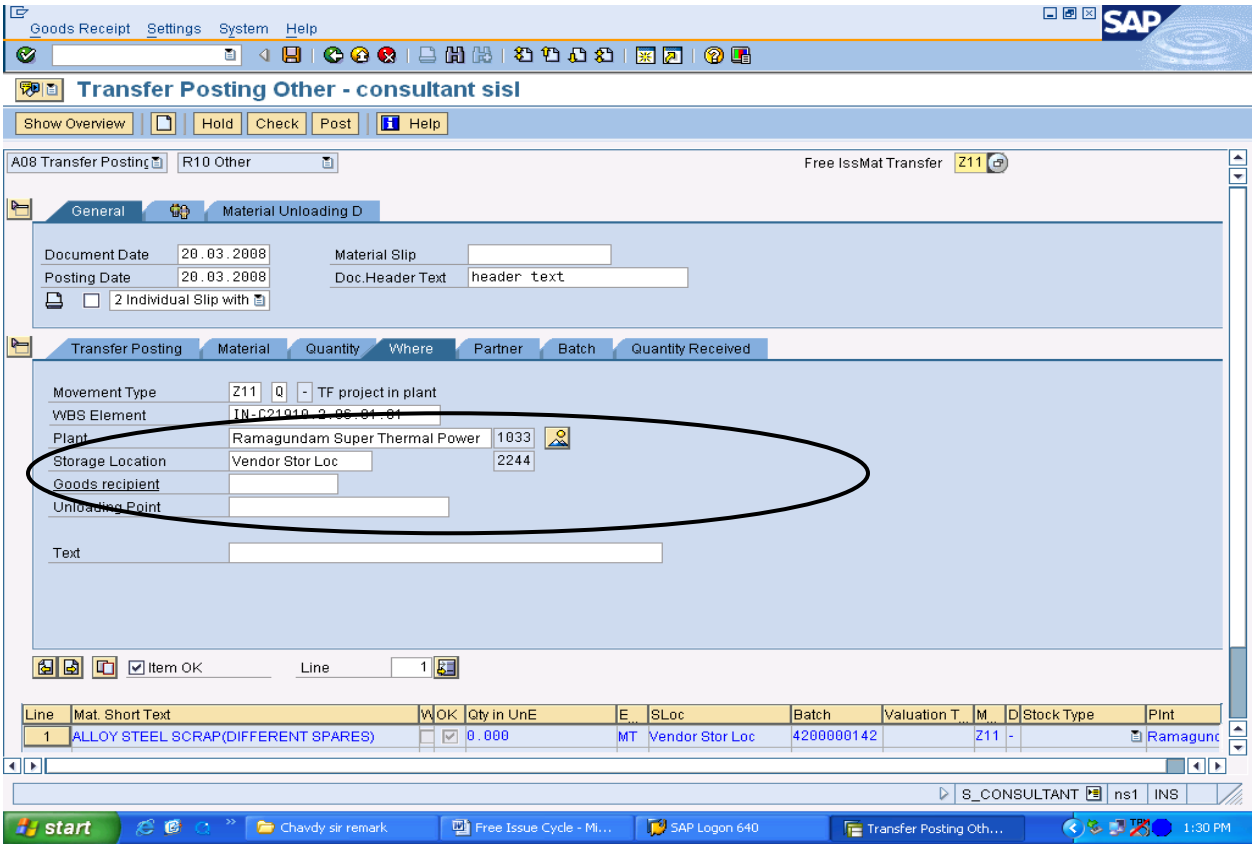


- Select Partner Tab in Item Details - > enter **Vendor** Code/Supplier if Applicable.

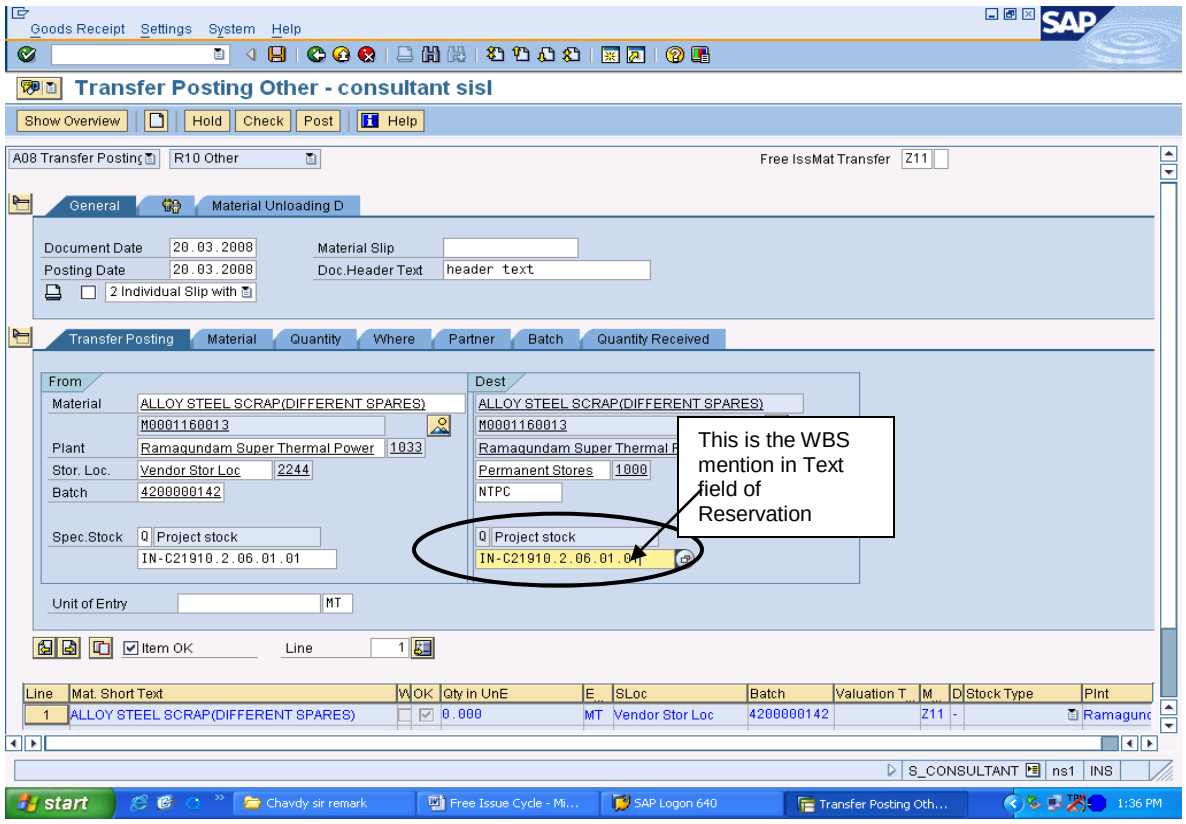


Note: For transfer Posting of Project stock

- In where Tab Use movement type Z11 Q



➢ In the Transfer Posting tab Put the WBS Element mention in the Reference reservation in the highlighted Column



➢

- ➢ Check/Tick OK from item details or item wise check can be done from item details (where tab) ☐ Item OK also.
- ➢ Select Check button from Tab bar. It will issue a message in status bar.

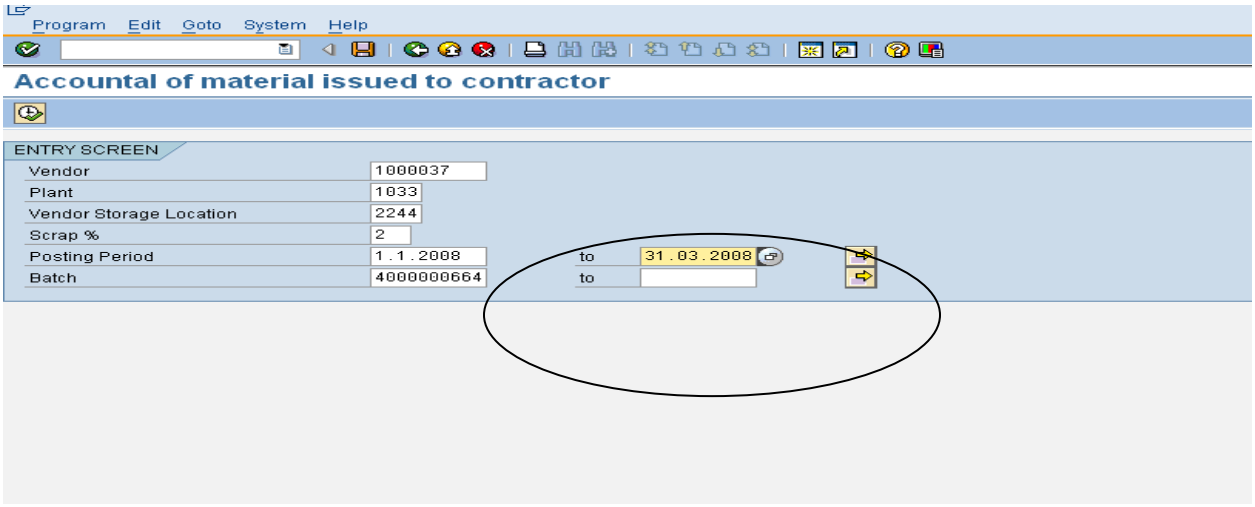
  Document is O.K.
- ➢ Select Post button Post from Tab bar. It will save the document and generate a material document number also.

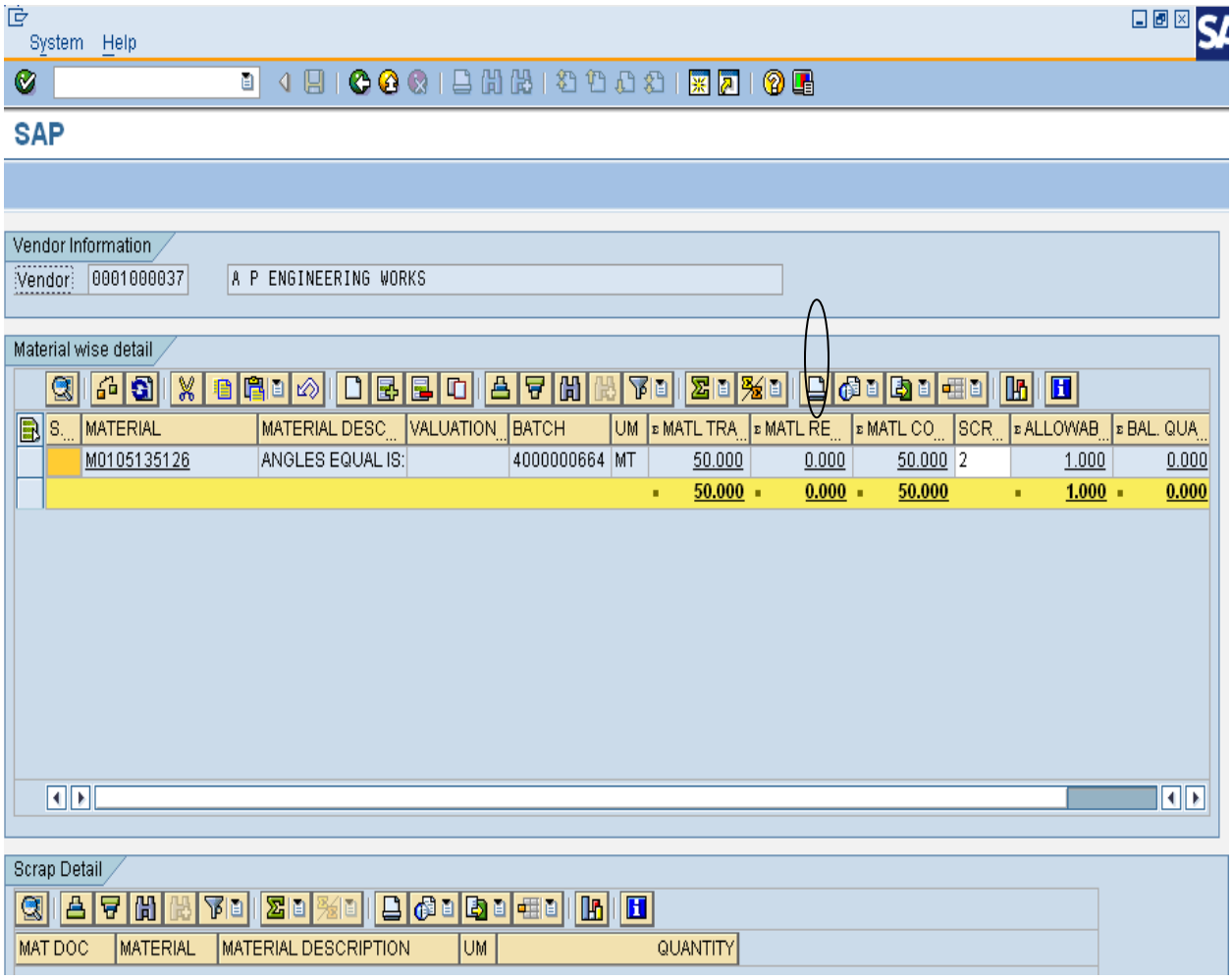
Material document 4900035171 posted SISL_MM_1 iwdf9453

(F) Report of Material Issued to contractor (T code ZMM19):

➢ Enter Vendor Code, Plant, Vendor Storage Location, Scrap % (if it is same for all items), Posting Date and Batch (Suppose to be PO No) and Execute

➢


Program Edit Goto System Help
Accountal of material issued to contractor
ENTRY SCREEN
Vendor 1000037
Plant 1033
Vendor Storage Location 2244
Scrap % 2
Posting Period 1.1.2008 to 31.03.2008
Batch 4000000664 to


System Help
SAP
Vendor Information
Vendor 0001000037 A P ENGINEERING WORKS
Material wise detail
S... MATERIAL MATERIAL DESC... VALUATION... BATCH UM MATL TRA... MATL RE... MATL CO... SCR... ALLOWAB... BAL. QUA...
M0105135126 ANGLES EQUAL IS: 4000000664 MT 50.000 0.000 50.000 2 1.000 0.000
50.000 0.000 50.000 1.000 0.000
Scrap Detail
MAT DOC MATERIAL MATERIAL DESCRIPTION UM QUANTITY

Get the Print out from the System

Note: % of allowable scrap can be changed item to item

If the Scrap generated during the process is more than the Agreed percentage then the value of the extra scrap shall be recovered as per contract.

9.0.7 Accounting of material issued during legacy period:

Issue/ return of material issued during legacy period (good issue Y01 + good receipt Y03)

- Material which is already issued to Vendor during Legacy period the consumption is to be intimated to finance who will book the consumption using MVT 201 or 221

- If any of the material issued to contractor during legacy period is returned by the contractor, the good issue for equivalent value will be done by finance from FOC stock uploaded during go live using MVT Y01

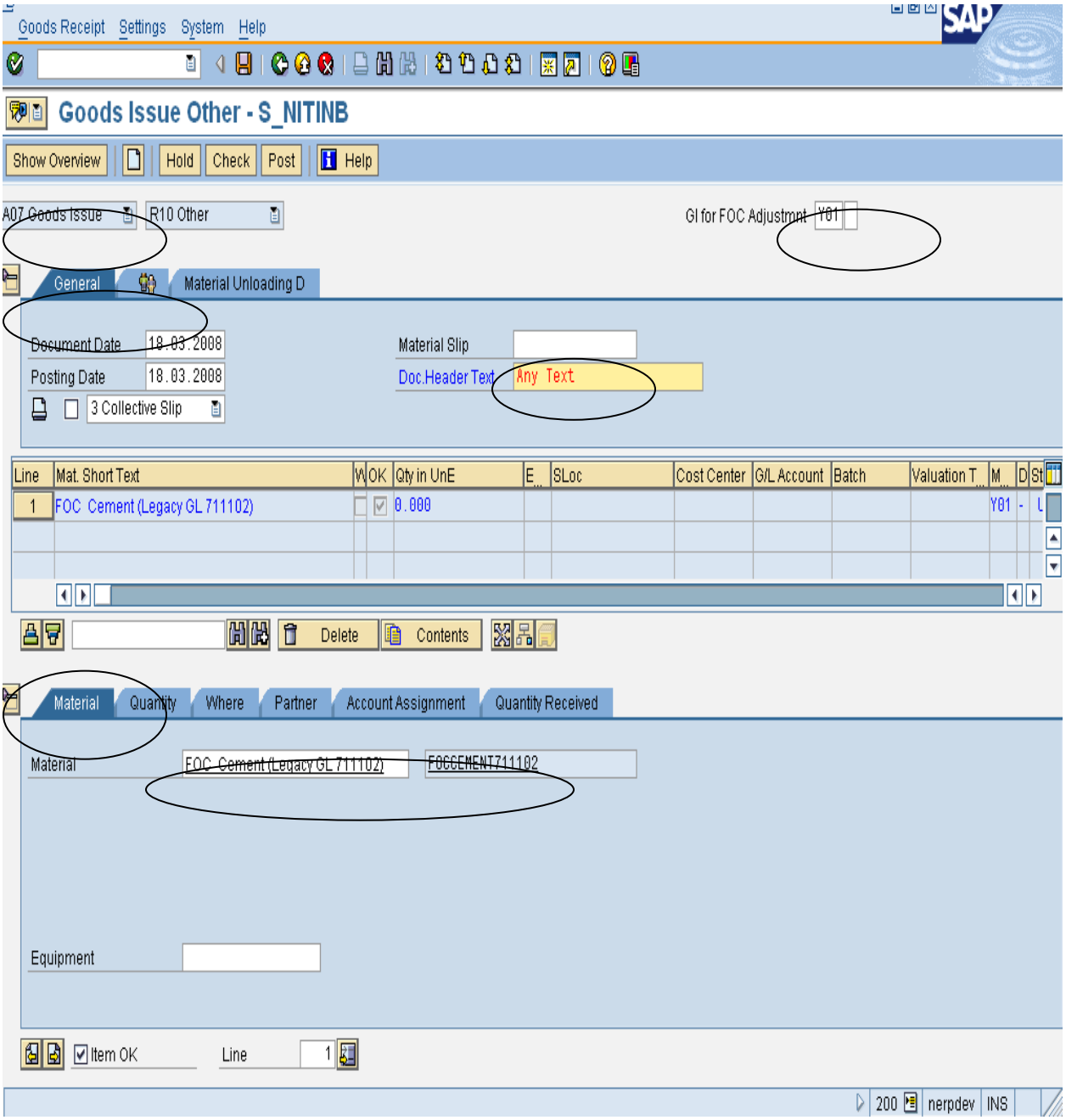
Material issue Against Others (Movement Type Y01) (T. Code: - MIGO)

- Enter Goods issue in Executable Action in Transaction MIGO and against others in Reference document for MIGO transaction, Execute.

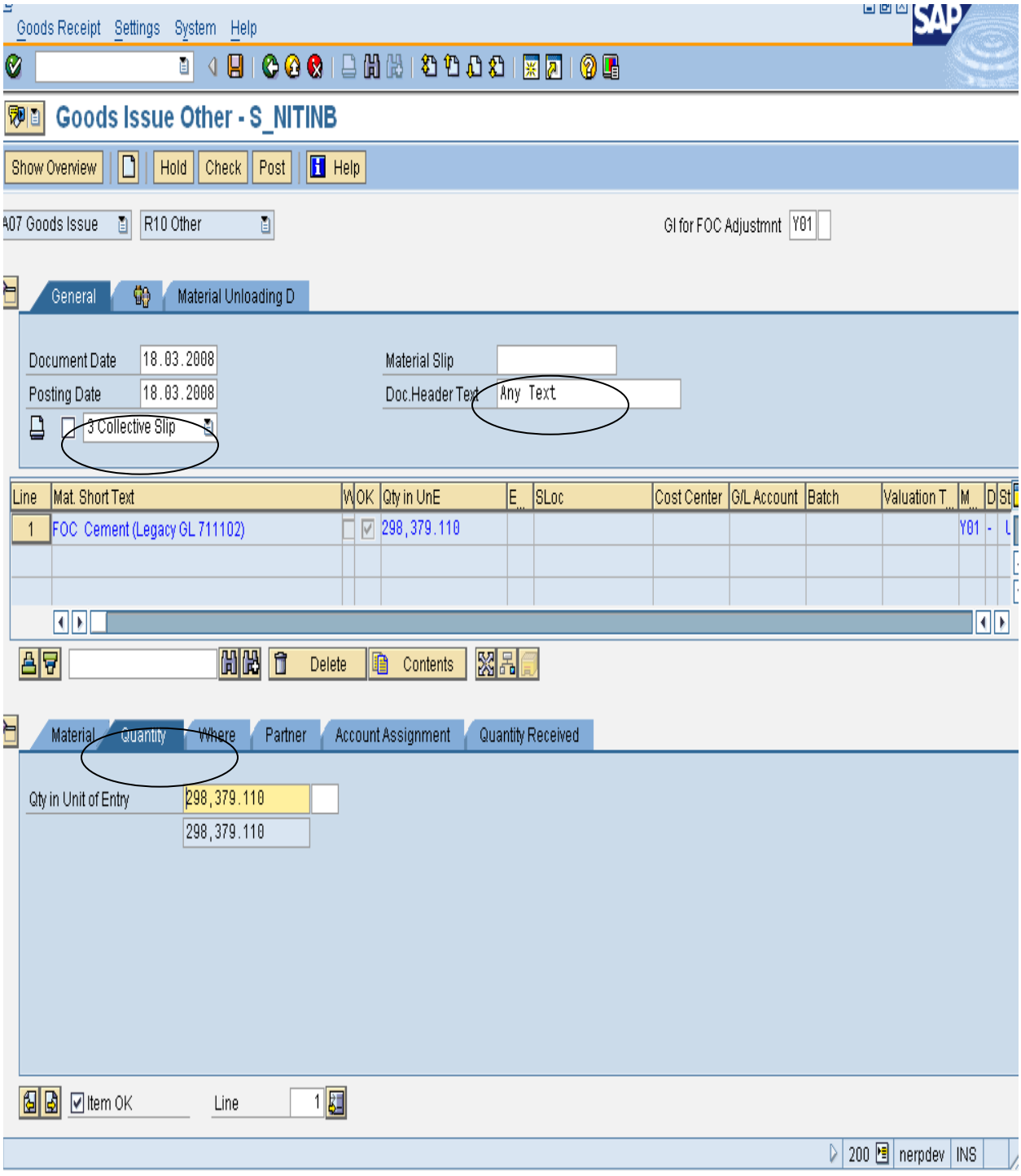
- Select

General Tab of Header bar - > Enter Document date, Posting Date, Material Slip, Document Header Text.

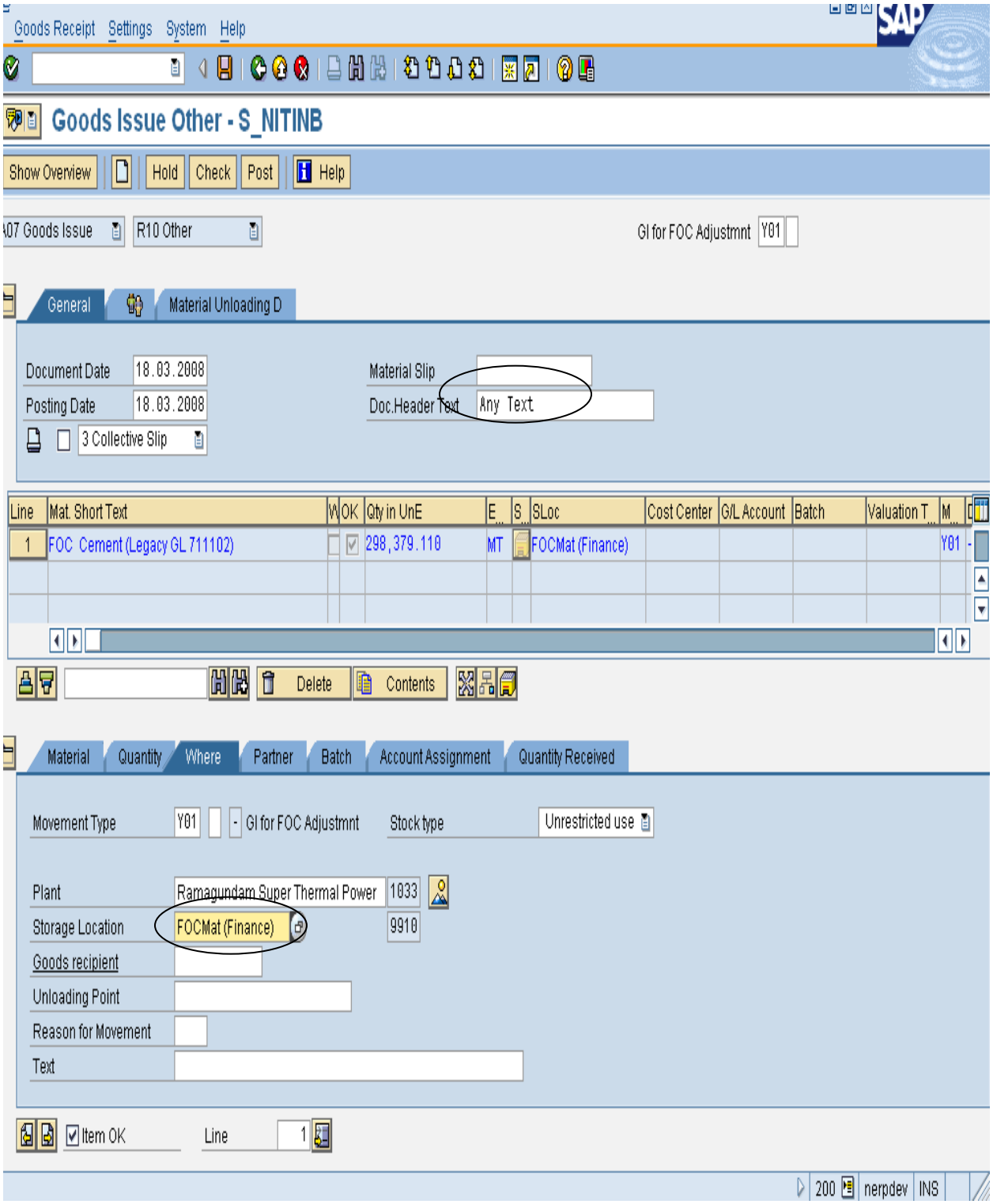
- Select Material Tab and enter Material Code



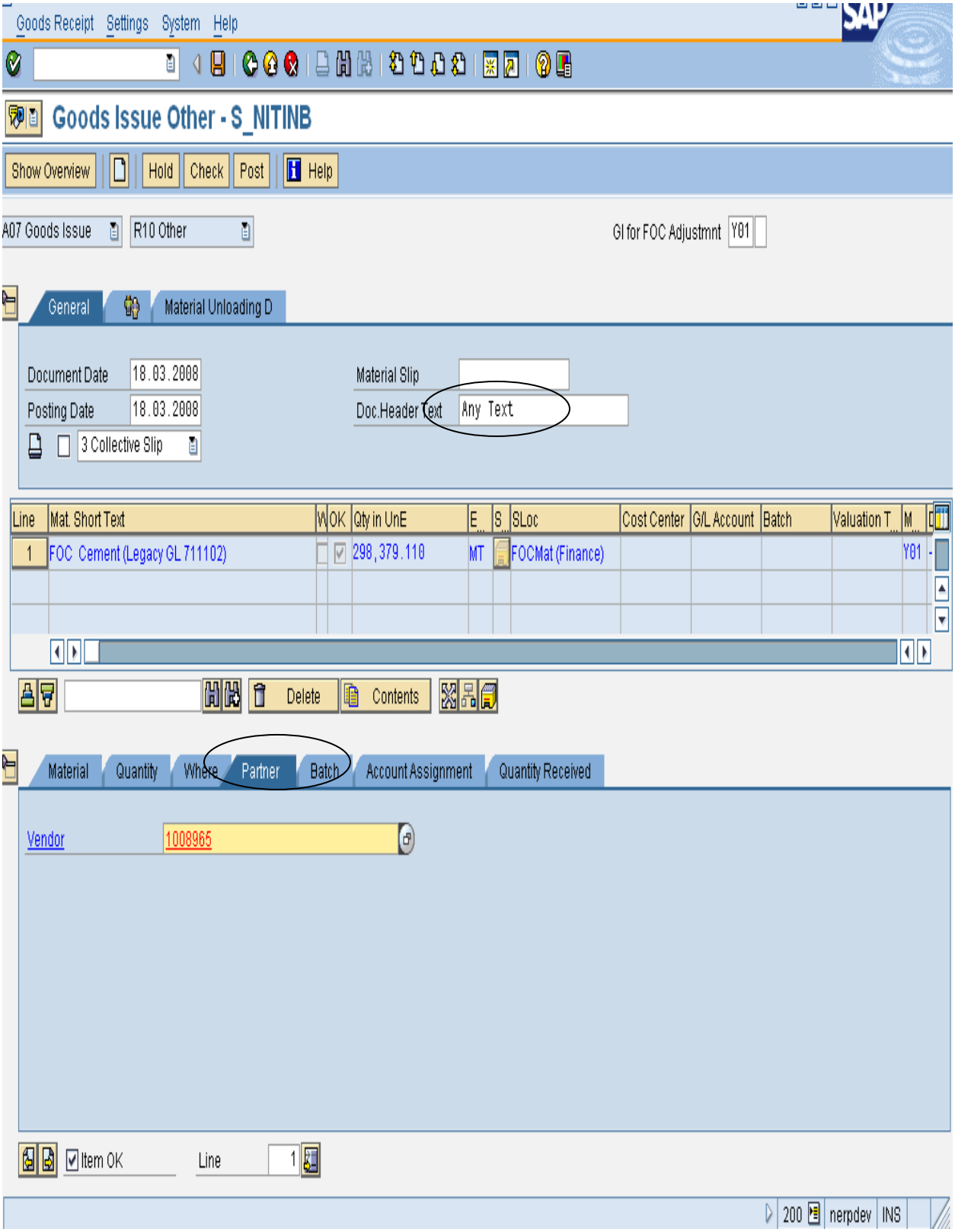
- Select Quantity Qty Tab in item Details - > enter Qty received Against Each Line Item.(Quantity should either actual quantity consumed or theoretical quantity plus allowable wastage, which ever is less)

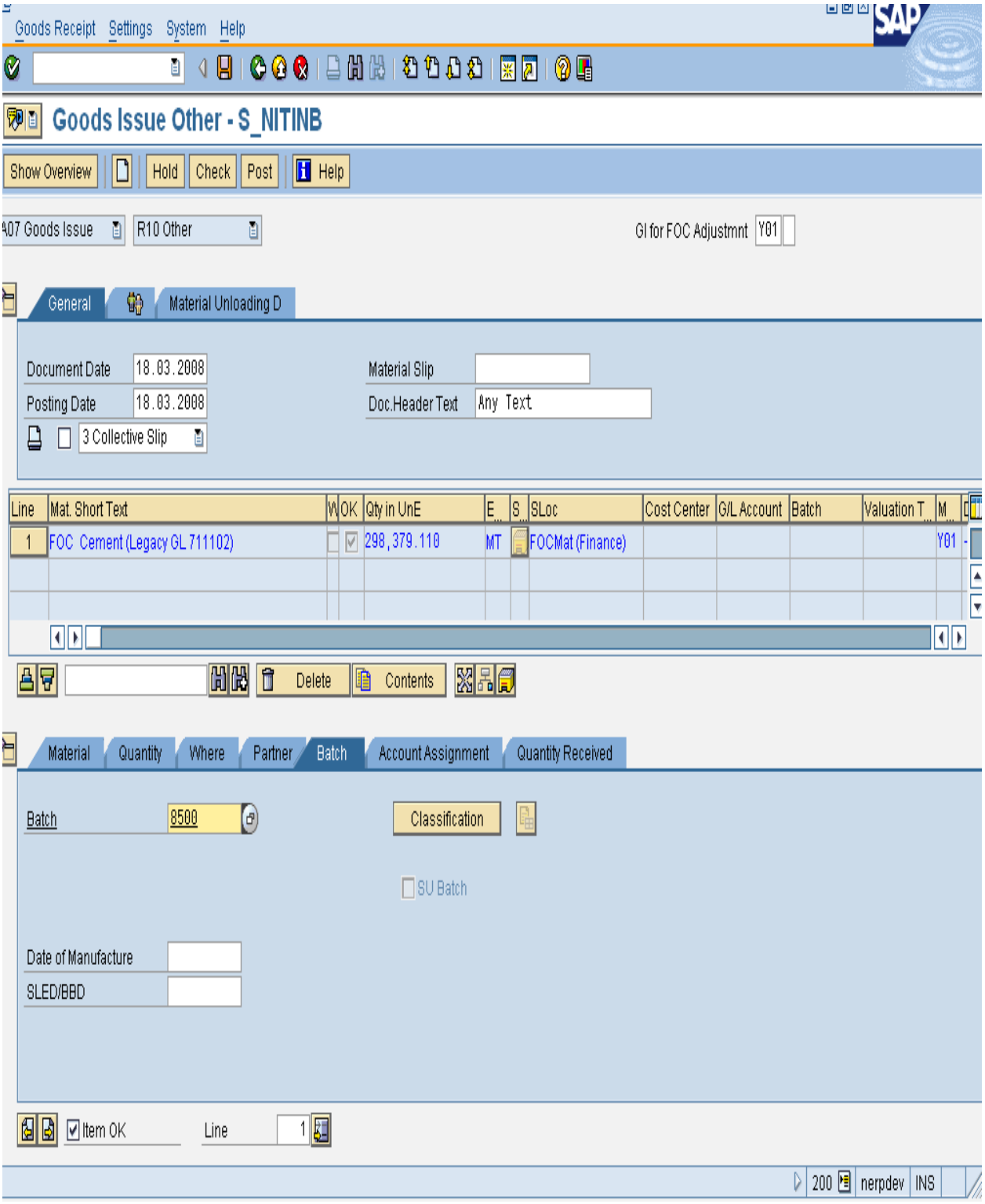


- Select Where Where Tab in Item Details - > enter plant, storage location. Also Enter Good recipient, Unloading Point, Text if applicable

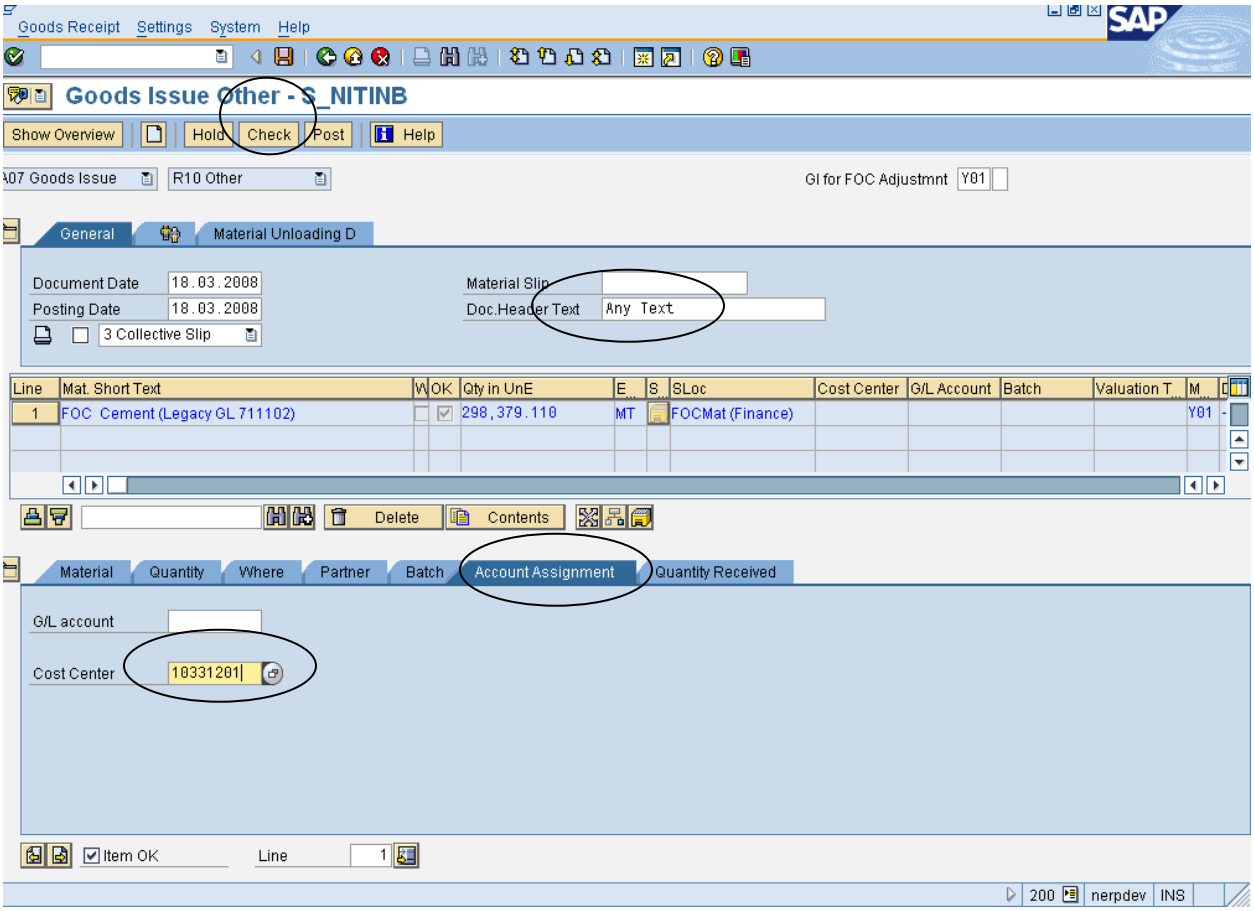


- Select Partner Tab in Item Details - > enter Vendor Code/Supplier if Applicable.


Goods Receipt Settings System Help
Goods Issue Other - S_NITINB
Show Overview Hold Check Post Help
A07 Goods Issue
R10 Other
GI for FOC Adjustmnt Y01
General
Material Unloading D
Document Date 18.03.2008
Posting Date 18.03.2008
3 Collective Slip
Material Slip
Doc.Header Text Any Text
Line Mat. Short Text W OK Qty in UnE E... S... SLoc Cost Center G/L Account Batch Valuation T... M...
1 FOC Cement (Legacy GL 711102) 298,379.110 MT FOCMat (Finance) Y01
Delete Contents
Material Quantity Where Partner Batch Account Assignment Quantity Received
Vendor 1008965
Item OK
Line 1
200 nerpdev INS



Enter Cost center in the Account Assignment Tab



- Check/Tick OK from item details or item wise check can be done from item details (where tab) ☐ Item OK also.
- Select Check button from Tab bar. It will issue a message in status bar.

  Document is O.K.
- Select Post button Post from Tab bar. It will save the document

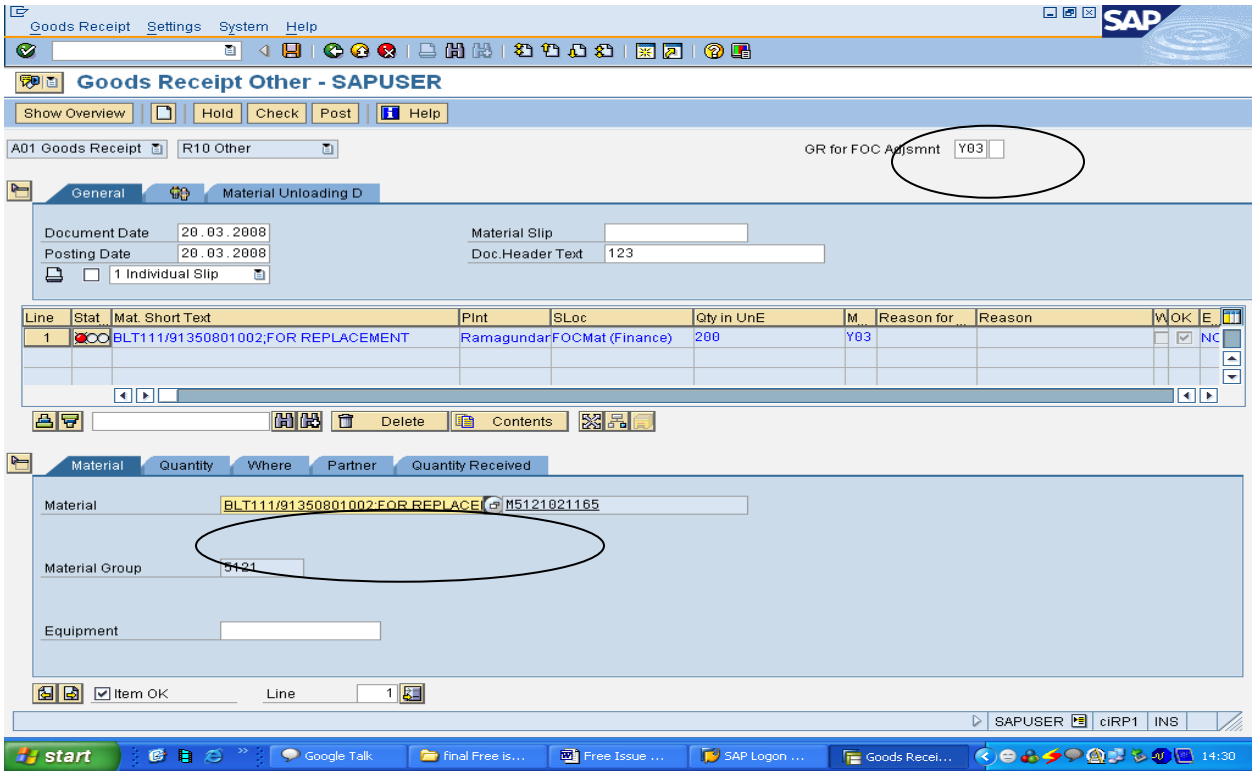
After GI of legacy material create Good Receipt of Legacy Material simultaneously:

GR for material returned by contractor against issue during the legacy period, GR should be done by stores using movement type Y03

Good receipt Against Others (Movement Type Y03) (T. Code: - MIGO)

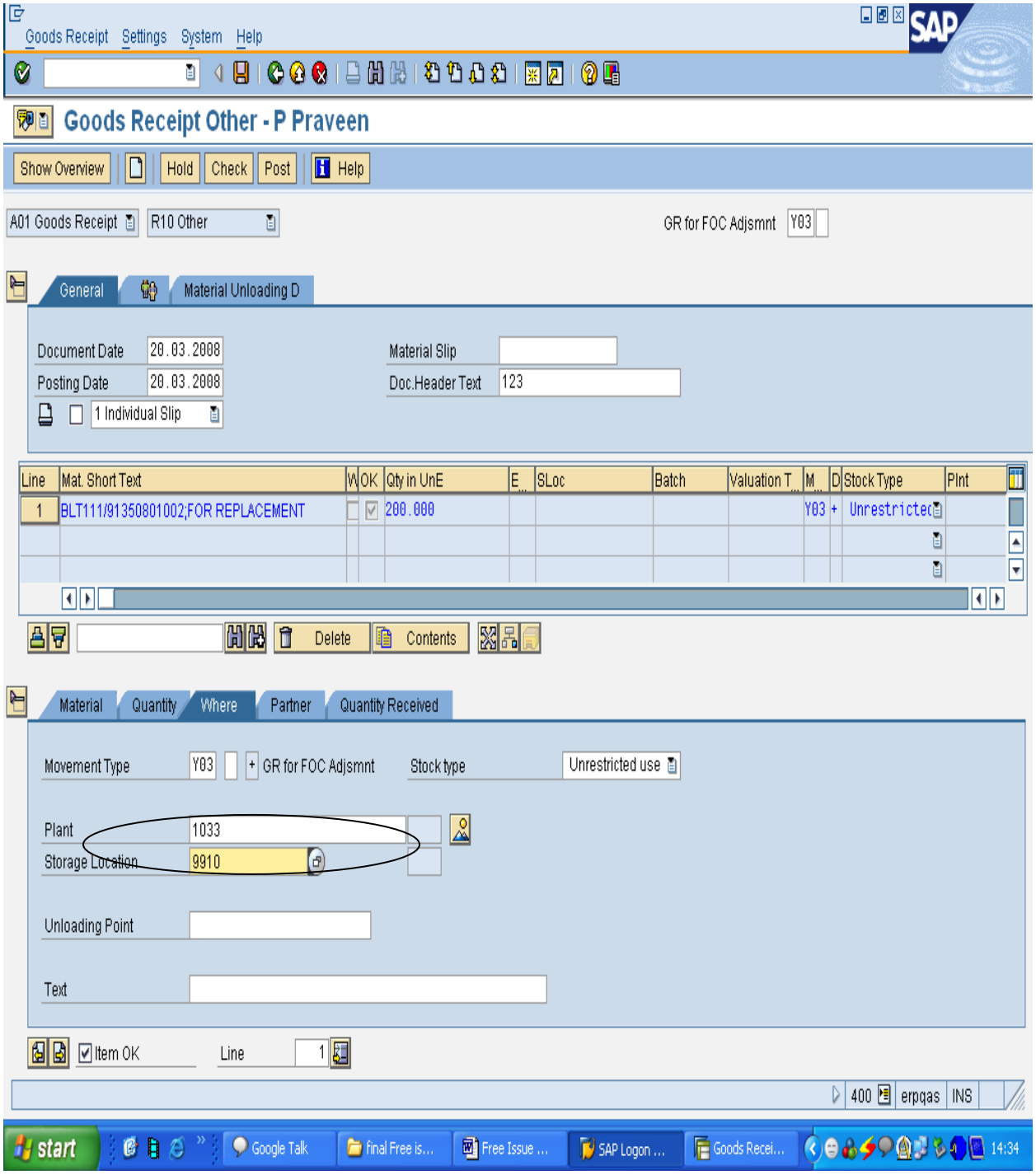
- Enter Goods receipt in Executable Action in Transaction MIGO and against others in Reference document for MIGO transaction, Execute.
- Select General General Tab of Header bar - > Enter Document date, Posting Date, Material Slip, Document Header Text.

- Select Material Tab and enter Material Code

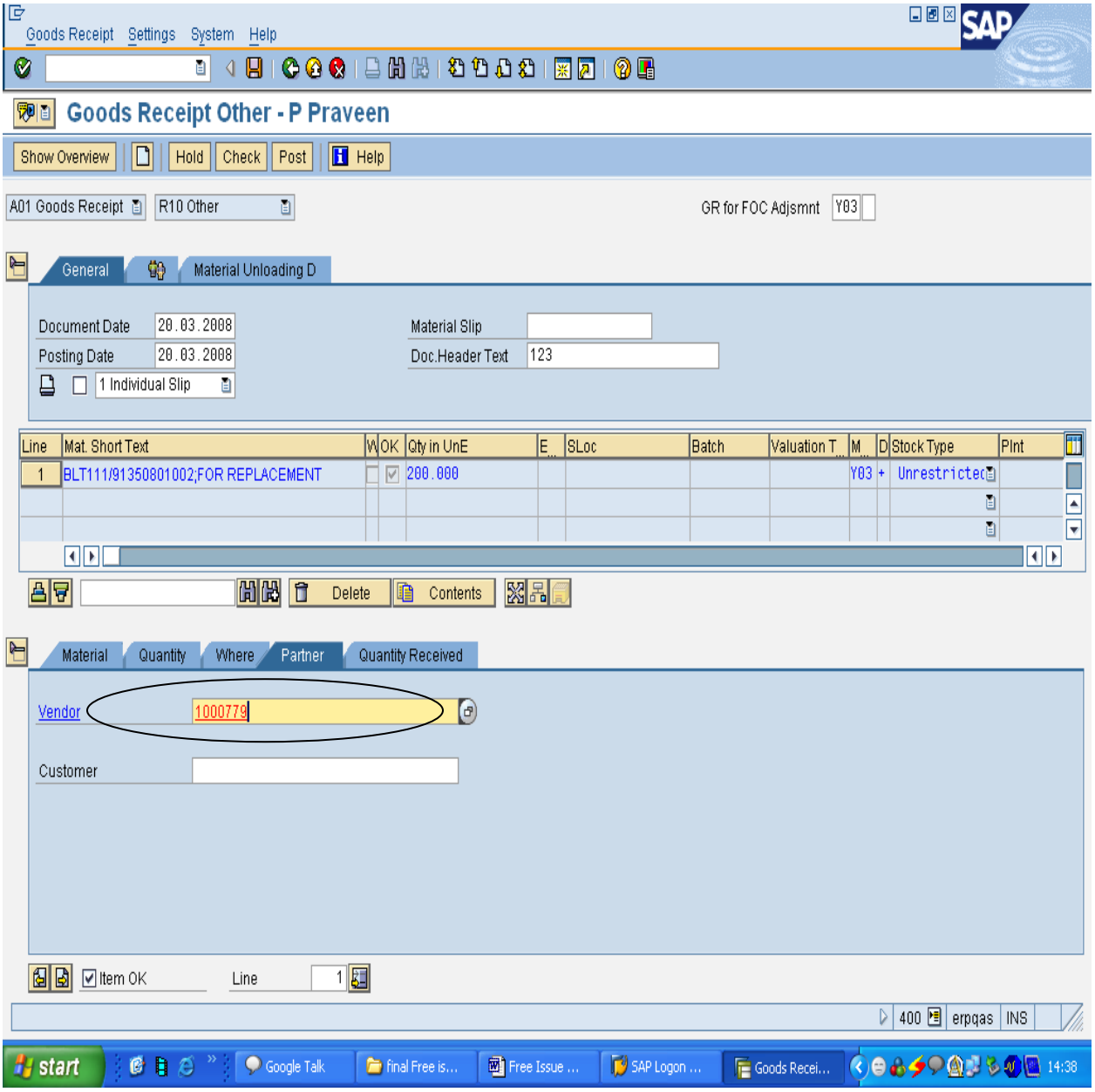


- Select Quantity Qty Tab in item Details - > enter Qty received Against Each Line Item

- Select Where Where Tab in Item Details - > enter plant, storage location. Also Enter Good recipient, Unloading Point, Text if applicable. Please check the Mvt type as Y03


Goods Receipt Settings System Help
Goods Receipt Other - P Praveen
Show Overview Hold Check Post Help
A01 Goods Receipt R10 Other
GR for FOC Adjsmnt Y03
General Material Unloading D
Document Date 20.03.2008
Posting Date 20.03.2008
1 Individual Slip
Material Slip
Doc.Header Text 123
Line Mat. Short Text W OK Qty in UnE E... SLoc Batch Valuation T... M... D Stock Type Plnt
1 BLT111/91350801002;FOR REPLACEMENT 200.000 Y03 + Unrestricted
Delete Contents
Material Quantity Where Partner Quantity Received
Movement Type Y03 + GR for FOC Adjsmnt
Stock type Unrestricted use
Plant 1033
Storage Location 9910
Unloading Point
Text
Item OK Line 1
400 erpqas INS
start Google Talk final Free is... Free Issue ... SAP Logon ... Goods Recei... 14:34

- Select Partner Tab in Item Details - > enter Vendor Code/Supplier if Applicable.



- Check/Tick OK from item details or item wise check can be done from item details (where tab) ☐ Item OK also.

- Select Check button from Tab bar. It will issue a message in status bar.

  Document is O.K.

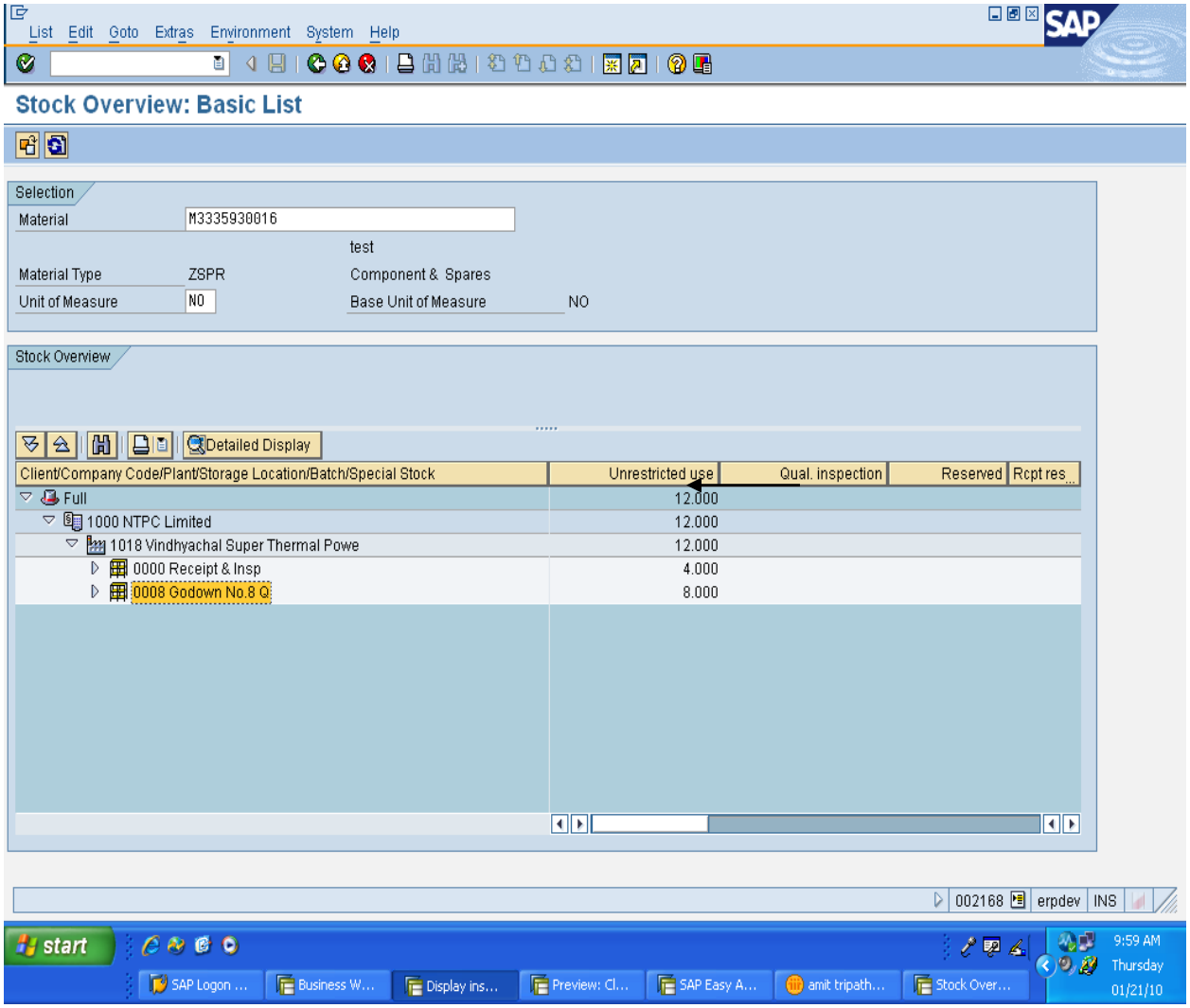
- Select Post button Post from Tab bar. It will save the document

9.0.8 PHYSICAL INVENTORY

(A) Physical inventory for NON WM locations

1. MI09: Enter Inventory Count
2. MI06: Display Inventory Count
3. MI02: Change Inventory Count
4. MI07: Post Inventory Difference (To be done by FI)

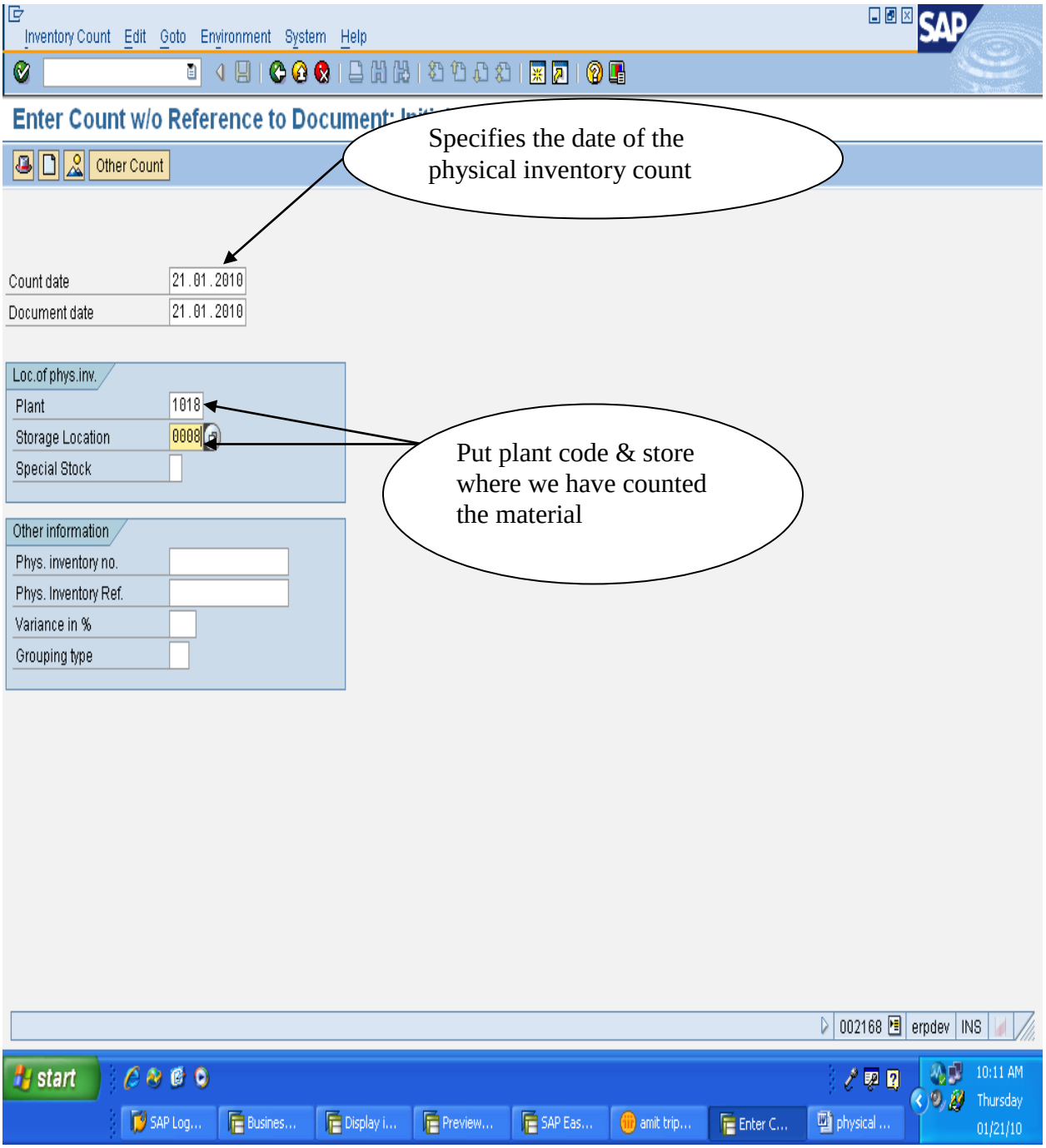
MMBE



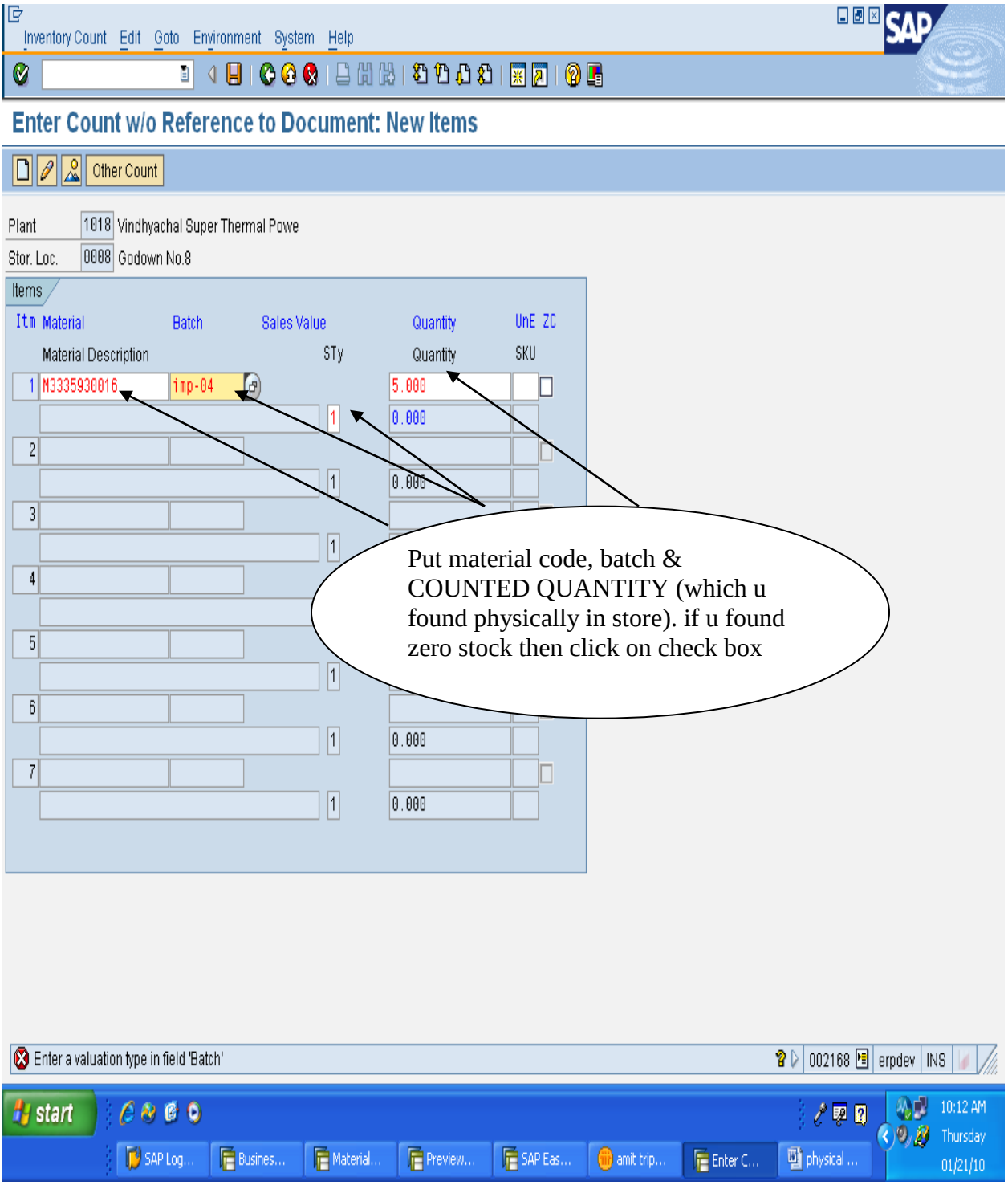
For Example: the stock of material on count date was "08" in store 0008 (IN SAP) then put stock of count date.

MI09: only for those items in whose approval has been taken.

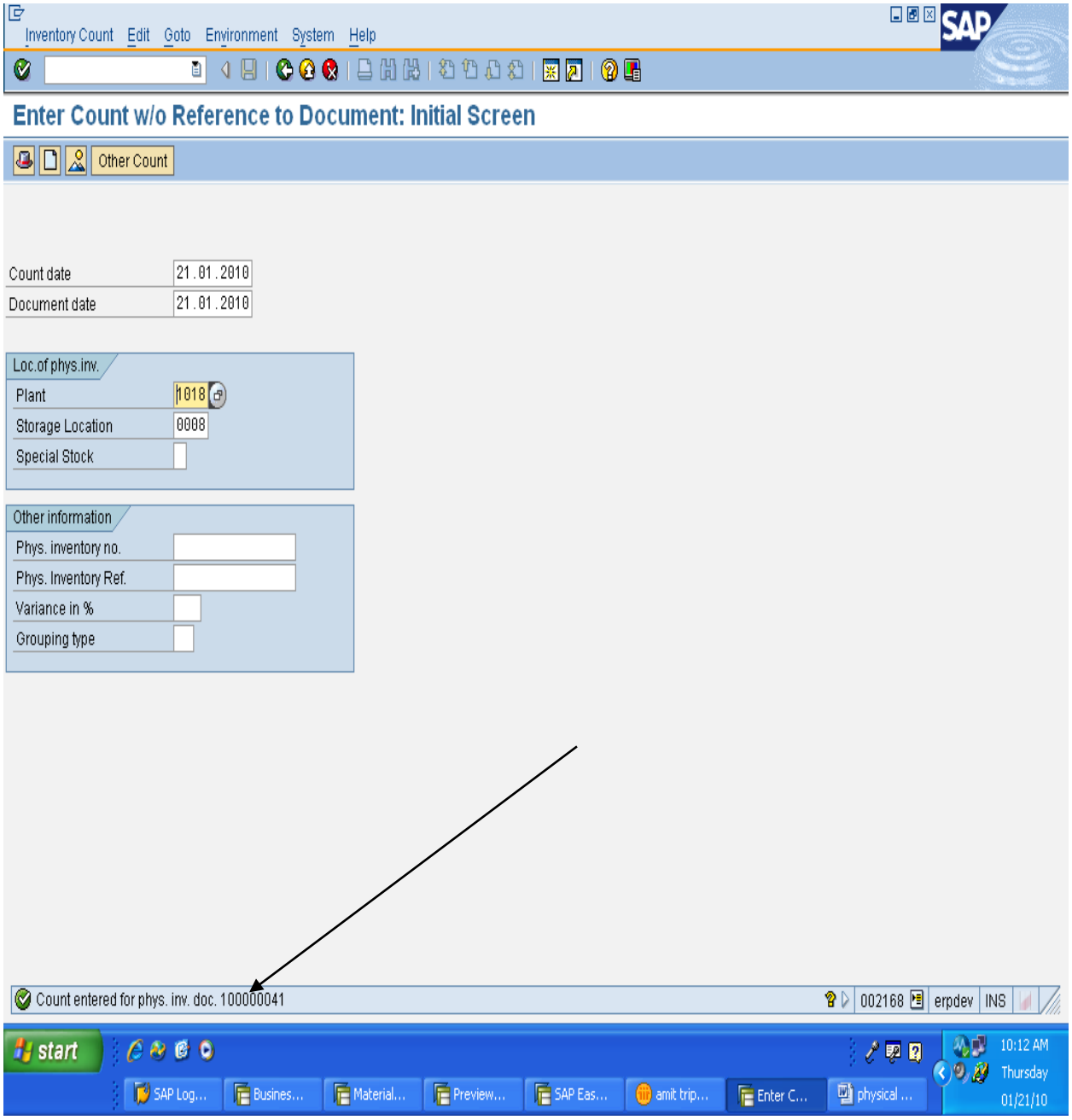
If date of count is before allowable posting period, then derive the count quantity for the current period.


Inventory Count Edit Goto Environment System Help
Enter Count w/o Reference to Document:
Other Count
Specifies the date of the physical inventory count
Count date 21.01.2010
Document date 21.01.2010
Loc.of phys.inv.
Plant 1018
Storage Location 0008
Special Stock
Put plant code & store where we have counted the material
Other information
Phys. inventory no.
Phys. Inventory Ref.
Variance in %
Grouping type
002168 erpdev INS
start
SAP Log... Busines... Display i... Preview... SAP Eas... amit trip... Enter C... physical ...
10:11 AM Thursday 01/21/10

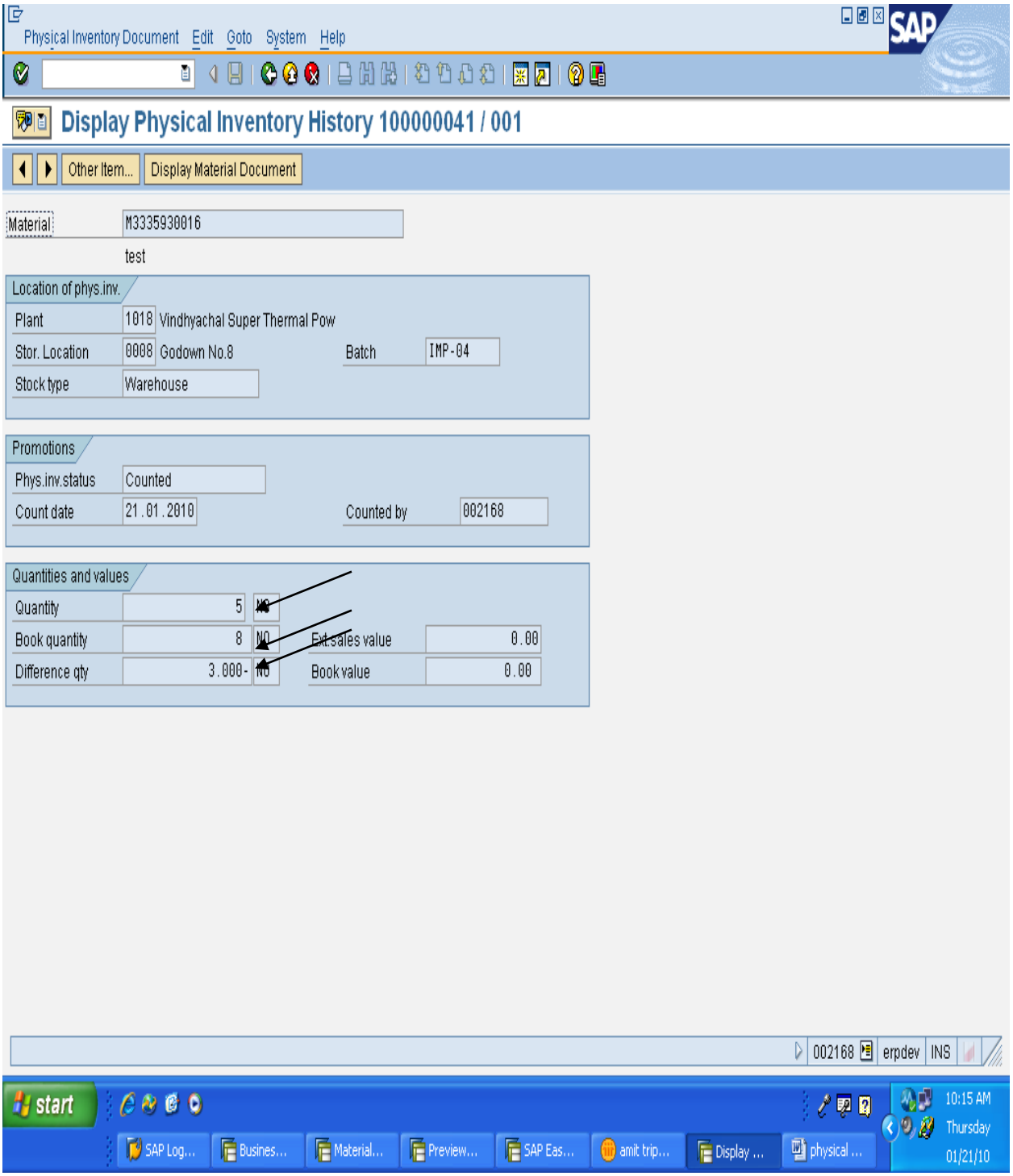
Press enter


Inventory Count Edit Goto Environment System Help
Enter Count w/o Reference to Document: New Items
Other Count
Plant 1018 Vindhyachal Super Thermal Powe
Stor. Loc. 0008 Godown No.8
Items
Itm Material Batch Sales Value Quantity UnE ZC
Material Description STy Quantity SKU
1 M3335930016 imp-04 5.000
1 0.000
2
1 0.000
3
1
4
5
1
6
1 0.000
7
1 0.000
Put material code, batch & COUNTED QUANTITY (which u found physically in store). if u found zero stock then click on check box
Enter a valuation type in field 'Batch'
002168 erpdev INS
start
SAP Log... Busines... Material... Preview... SAP Eas... amit trip... Enter C... physical ...
10:12 AM Thursday 01/21/10

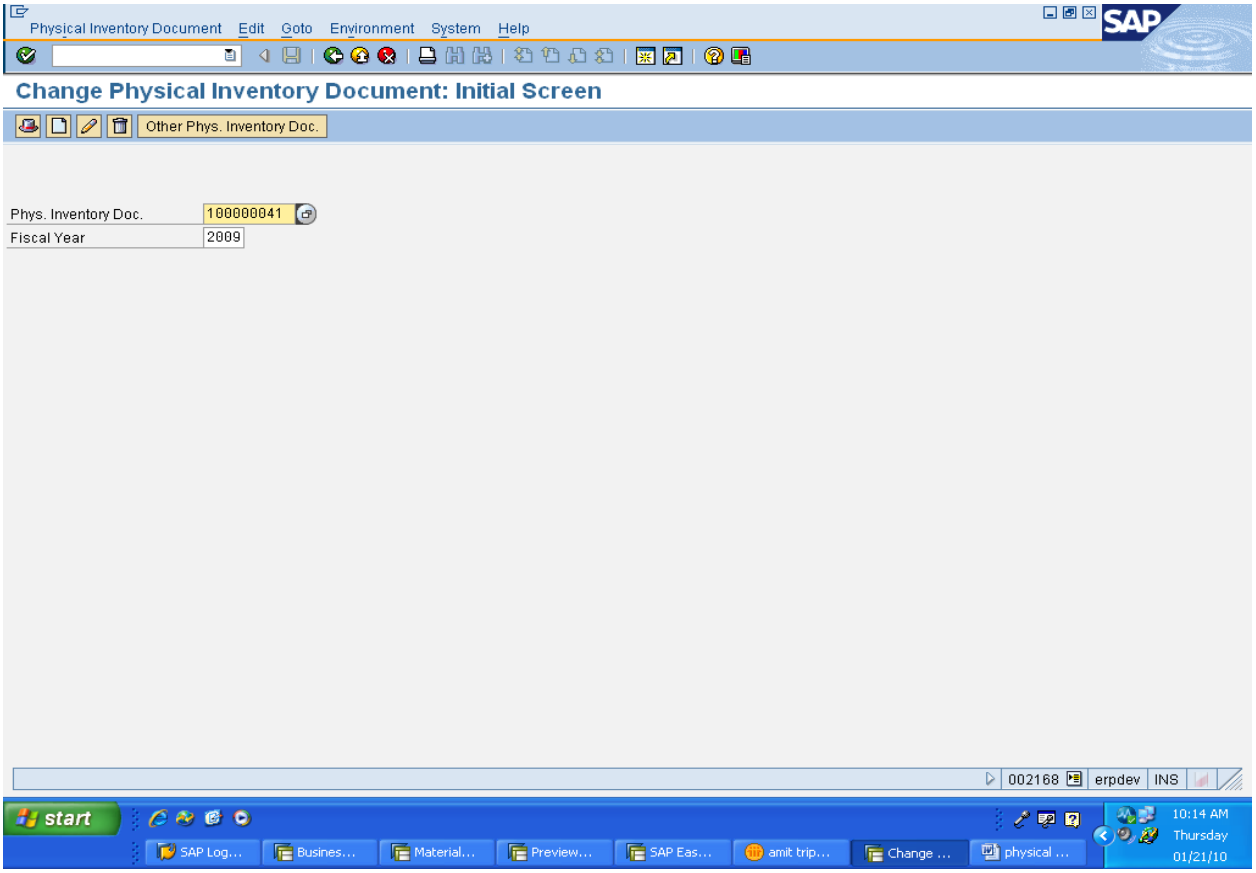
Press enter


Inventory Count Edit Goto Environment System Help
Enter Count w/o Reference to Document: Initial Screen
Other Count
Count date 21.01.2010
Document date 21.01.2010
Loc.of phys.inv.
Plant 1018
Storage Location 0008
Special Stock
Other information
Phys. inventory no.
Phys. Inventory Ref.
Variance in %
Grouping type
Count entered for phys. inv. doc. 100000041
002168 erpdev INS
start
SAP Log... Busines... Material... Preview... SAP Eas... amit trip... Enter C... physical ...
10:12 AM
Thursday
01/21/10

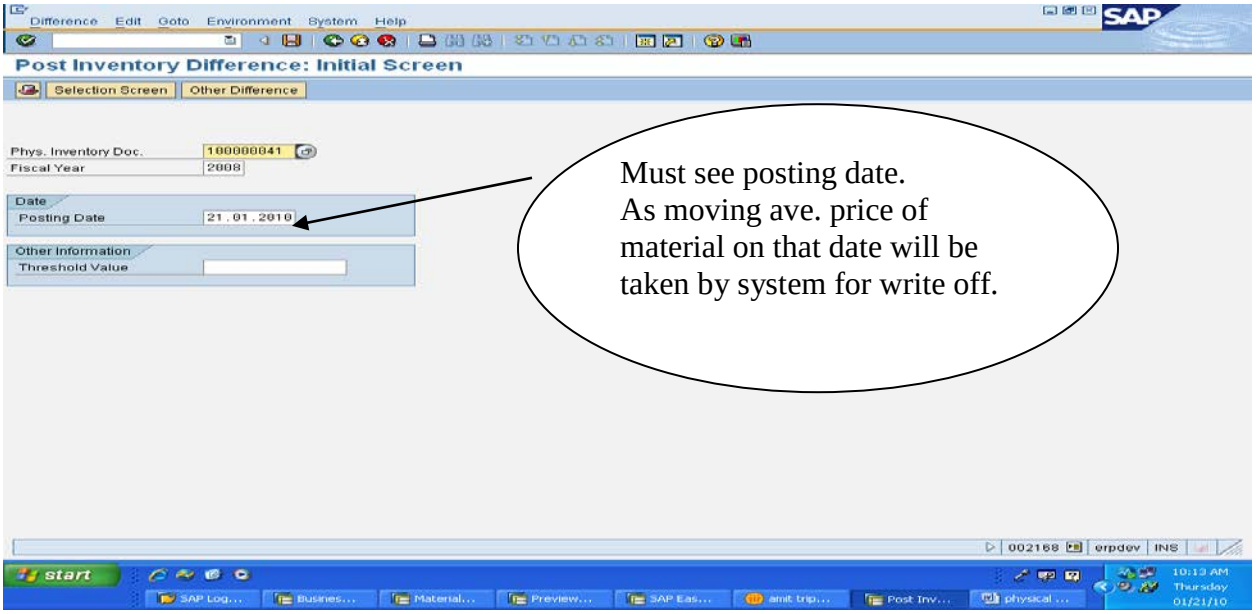
We can view the document in MI06



If want to change the Document, then use T code – MI02

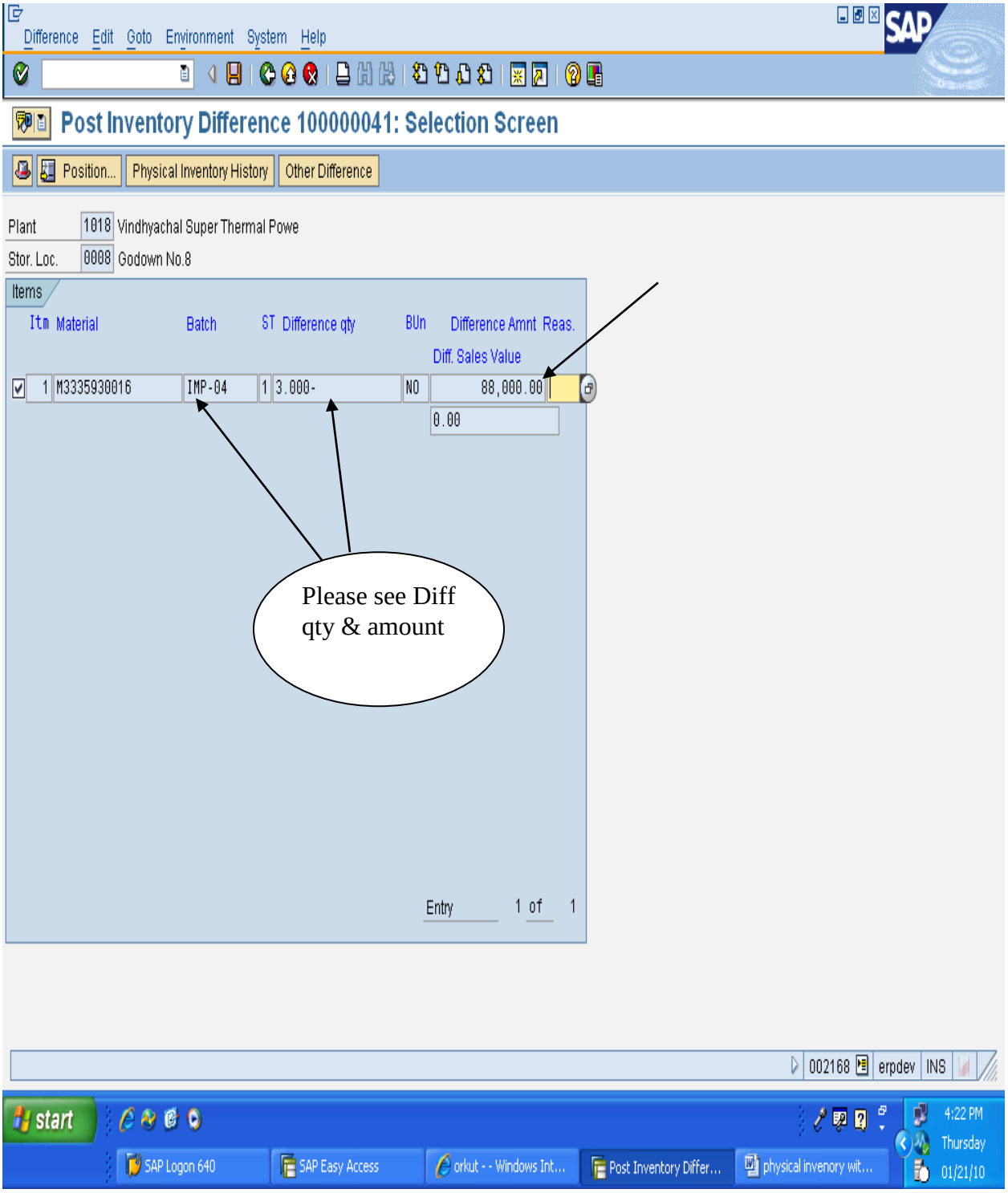


MI07 (BY FINANCE)

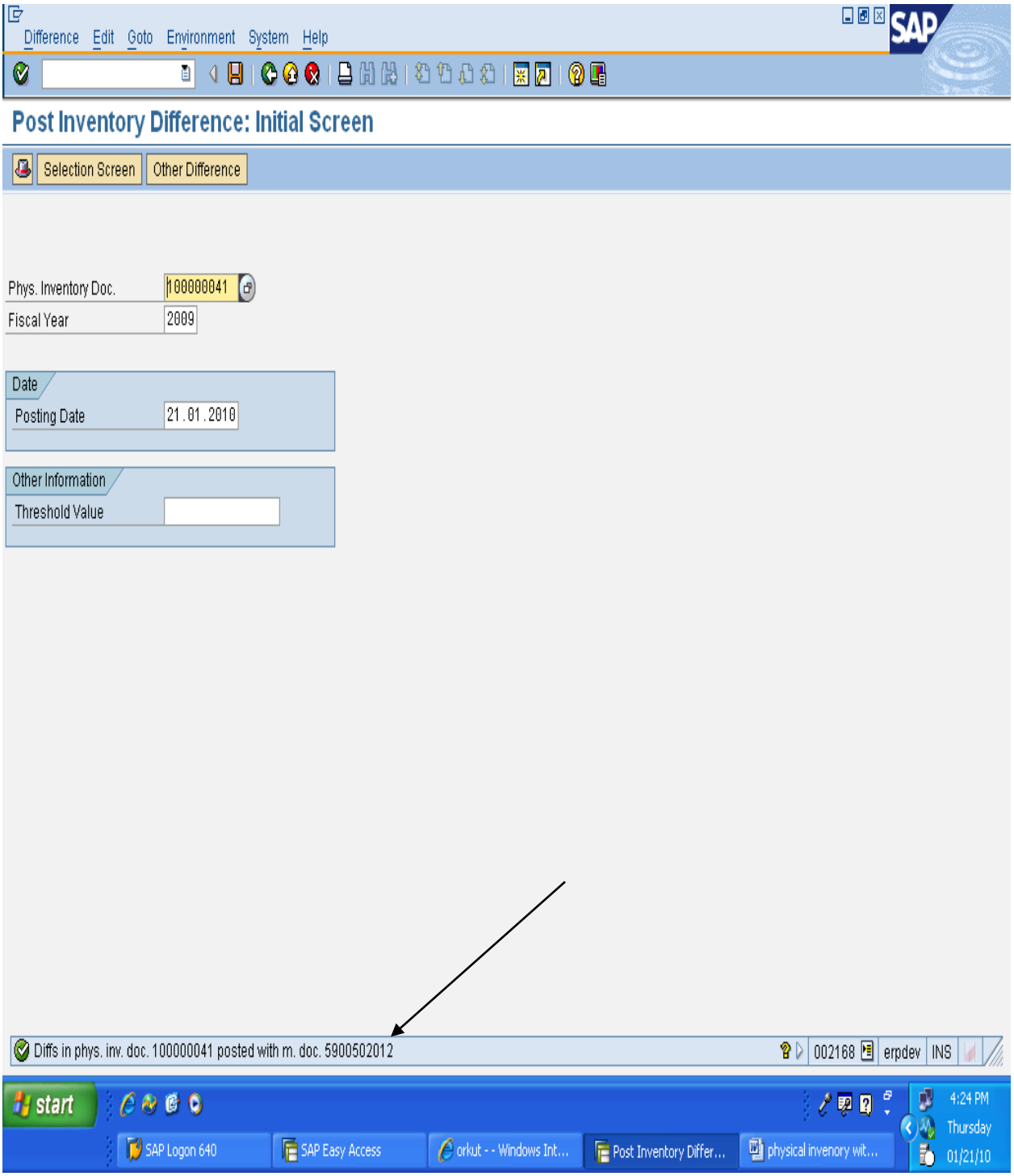


Press enter

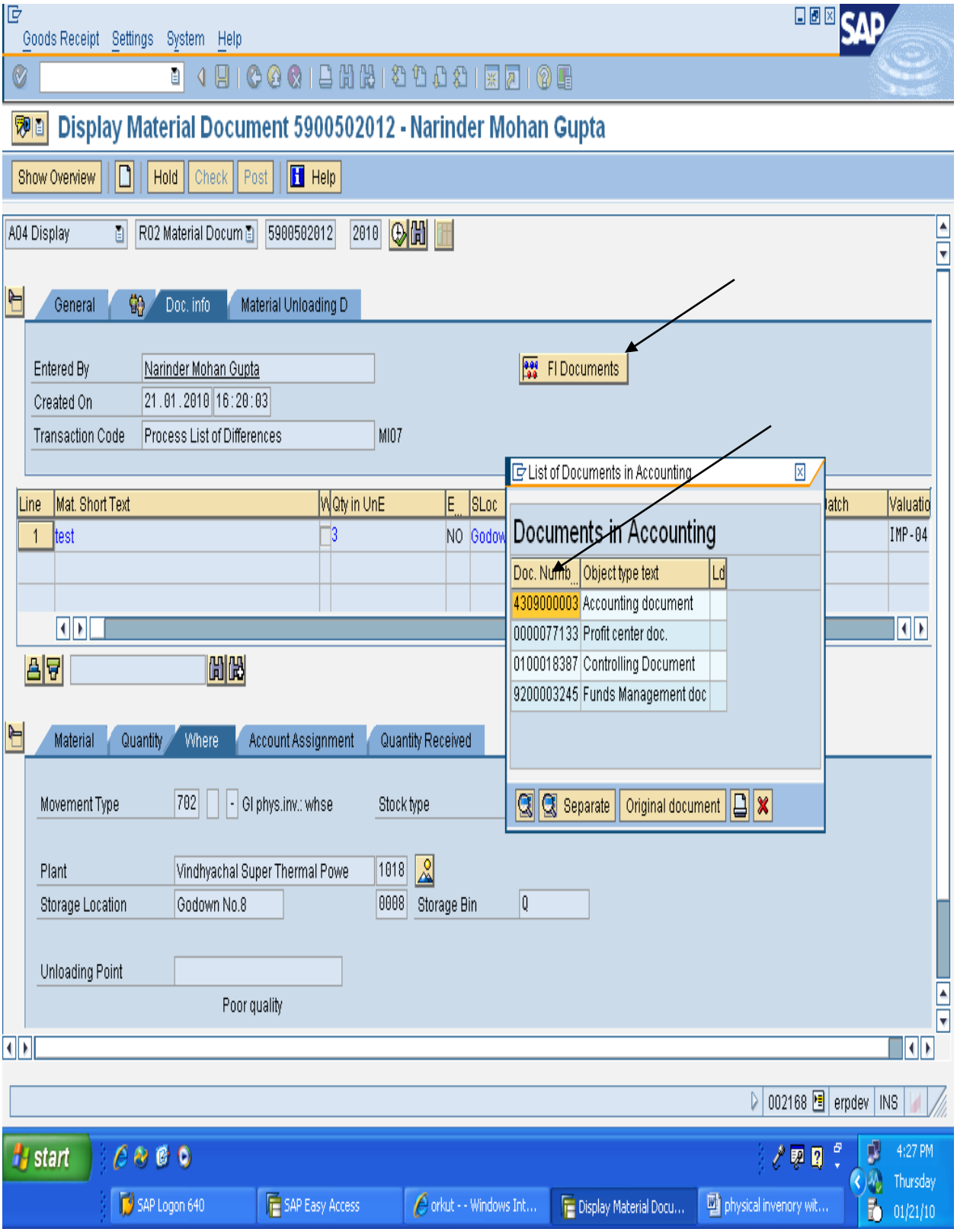
Give the reason to write off (from drop down menu)

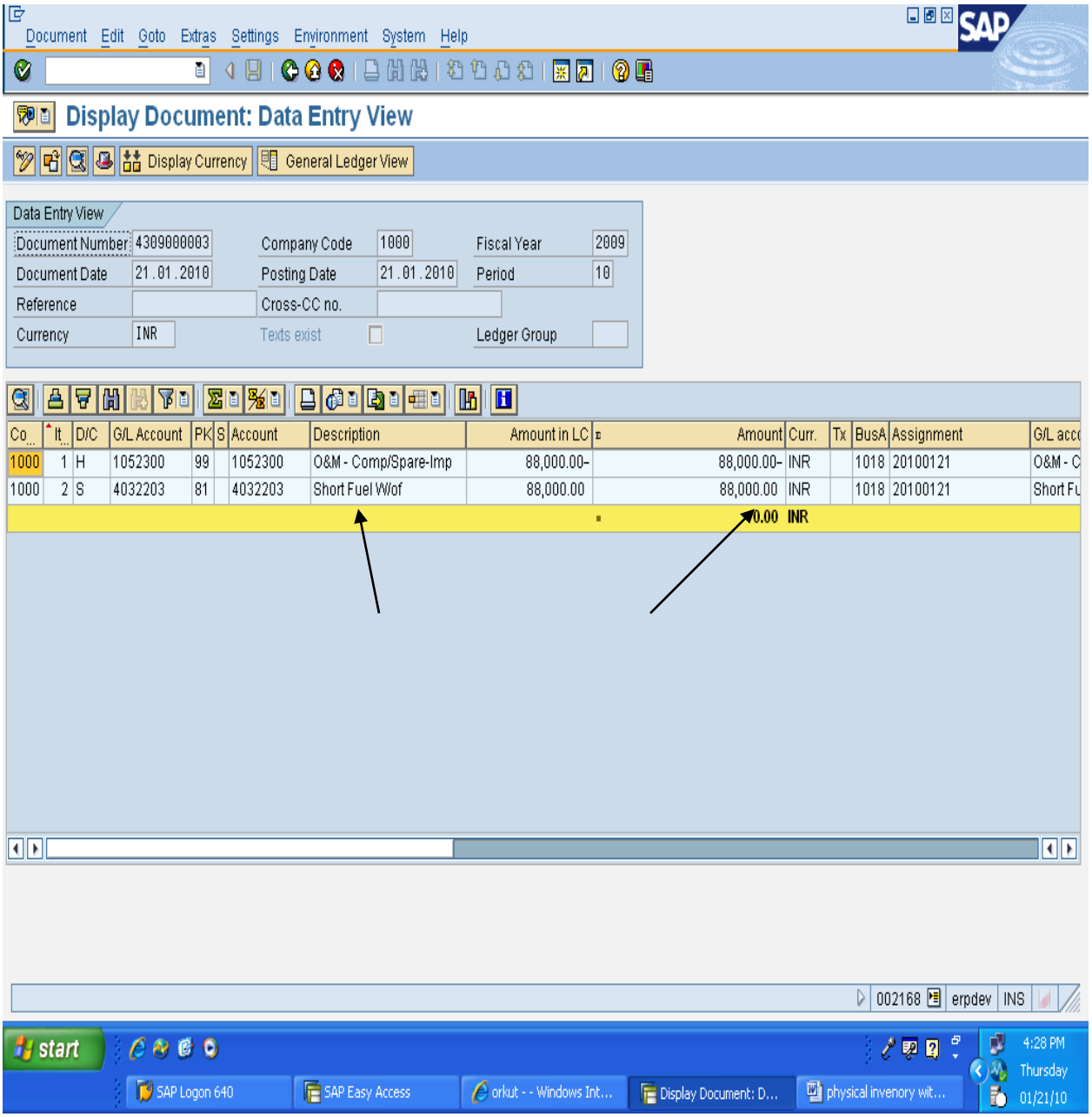

Difference Edit Goto Environment System Help
Post Inventory Difference 100000041: Selection Screen
Position... Physical Inventory History Other Difference
Plant 1018 Vindhyachal Super Thermal Powe
Stor. Loc. 0008 Godown No.8
Items
Itm Material Batch ST Difference qty BUn Difference Amnt Reas.
Diff. Sales Value
1 M3335930016 IMP-04 1 3.000- NO 88,000.00
0.00
Please see Diff qty & amount
Entry 1 of 1
002168 erpdev INS
start
SAP Logon 640
SAP Easy Access
orkut - - Windows Int...
Post Inventory Differ...
physical invenory wit...
4:22 PM
Thursday
01/21/10

Press enter


Difference Edit Goto Environment System Help
SAP
Post Inventory Difference: Initial Screen
Selection Screen
Other Difference
Phys. Inventory Doc.
100000041
Fiscal Year
2009
Date
Posting Date
21.01.2010
Other Information
Threshold Value
Diffs in phys. inv. doc. 100000041 posted with m. doc. 5900502012
002168
erpdev
INS
start
SAP Logon 640
SAP Easy Access
orkut - - Windows Int...
Post Inventory Differ...
physical invenory wit...
4:24 PM
Thursday
01/21/10

This Document can be viewed in MIGO (DISPLAY – MATERIAL DOCUMENT)

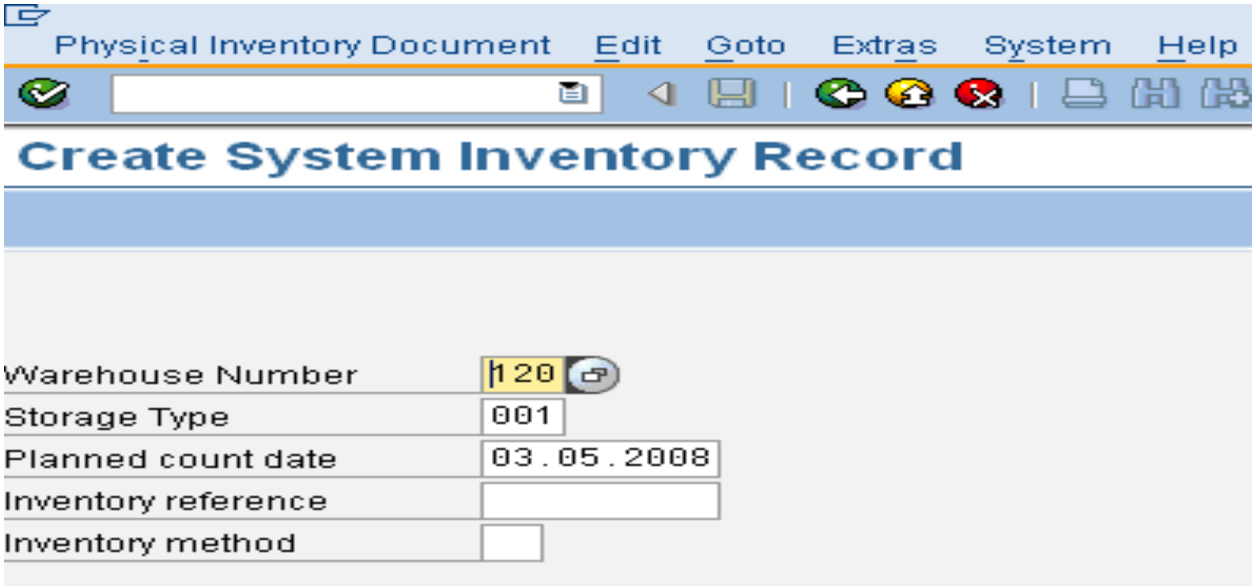




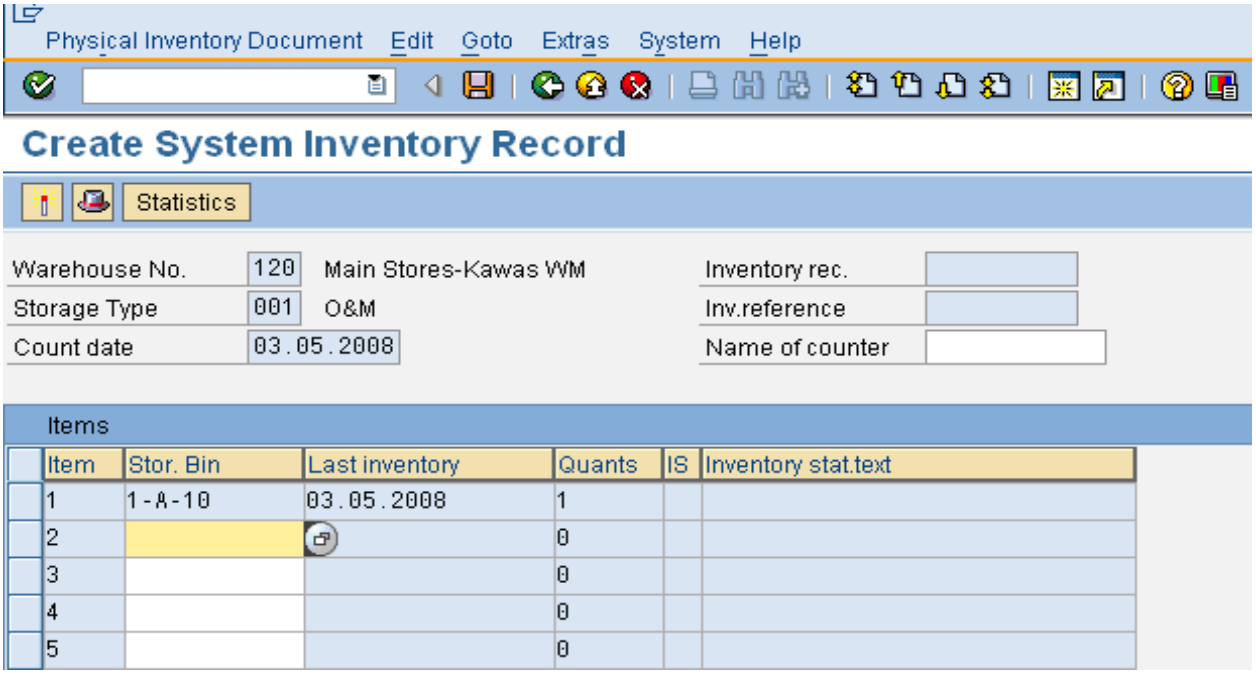
(B) <u>Physical inventory for WM ACTIVE locations</u>

1. Create physical inventory document use T-code LI01N, Change LI02N & Display LI03N

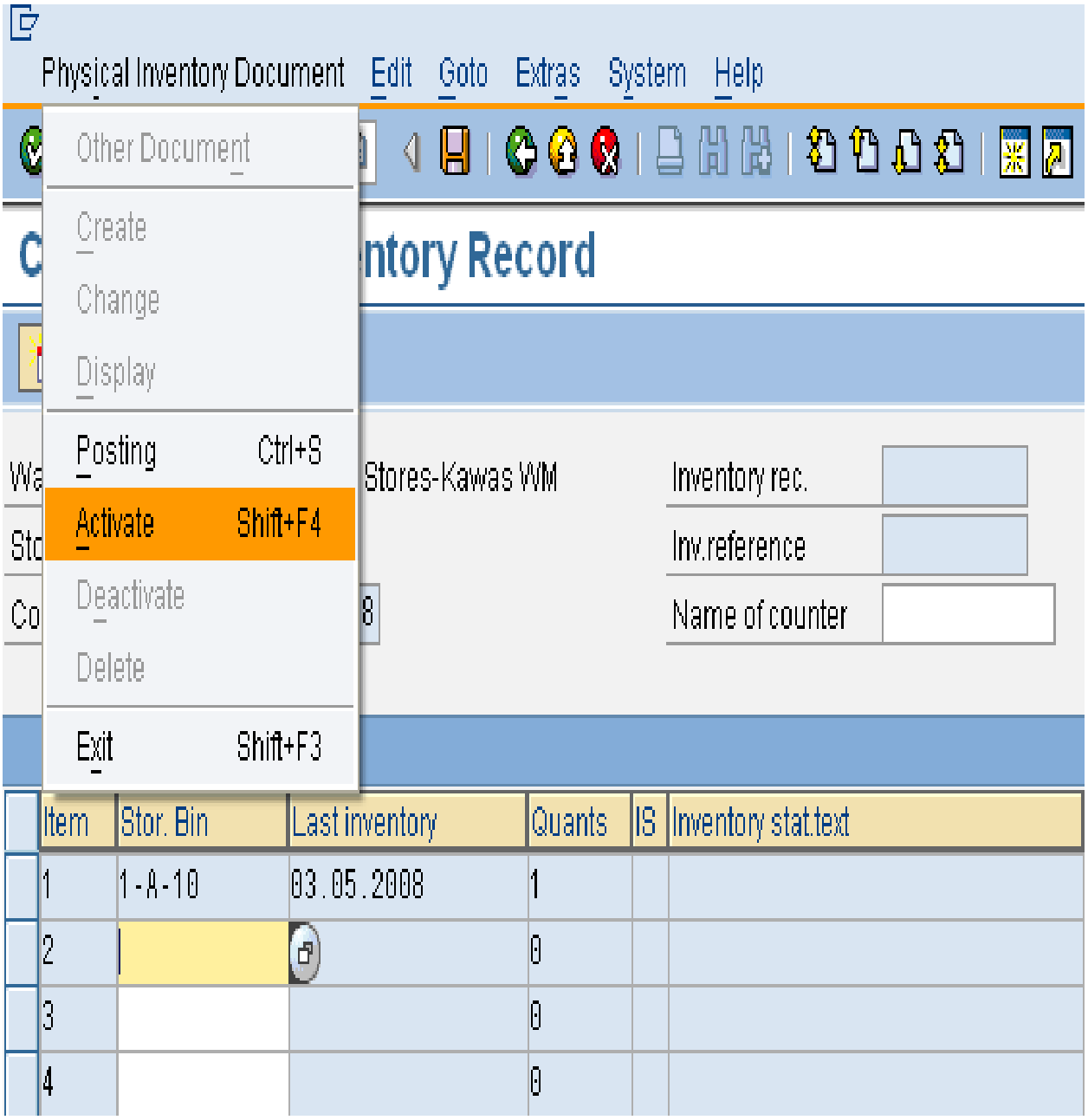
   A) Input warehouse no., storage type & count date.



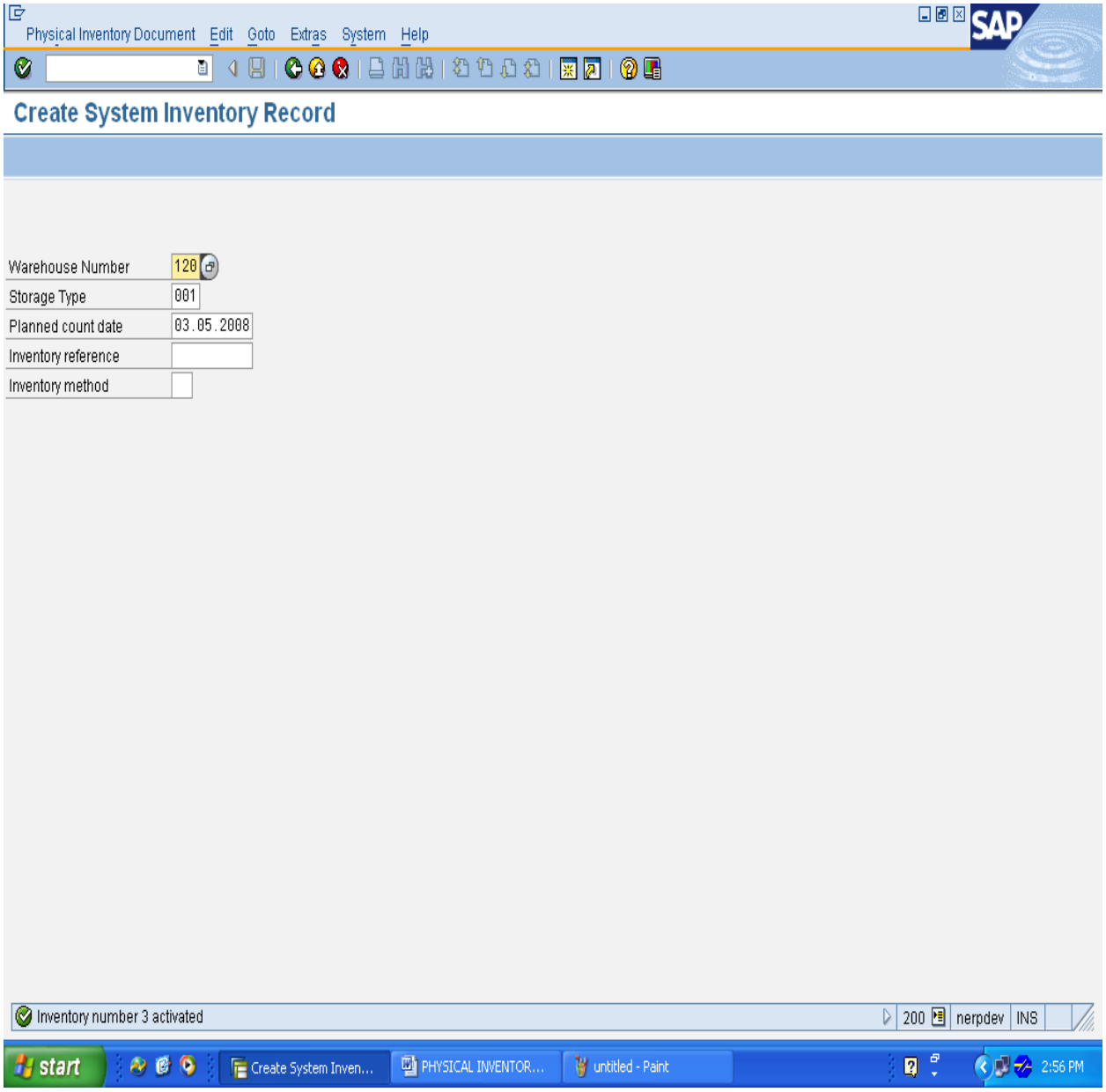
B) Input the Storage bin for which physical inventory to be done



C) After putting the storage bin ACTIVATE the physical inventory document



After activating the document system will generate a physical inventory document no. and a message will come at the bottom INVENTORY NUMBER ---- ACTIVATED



2) **Entering count results.**

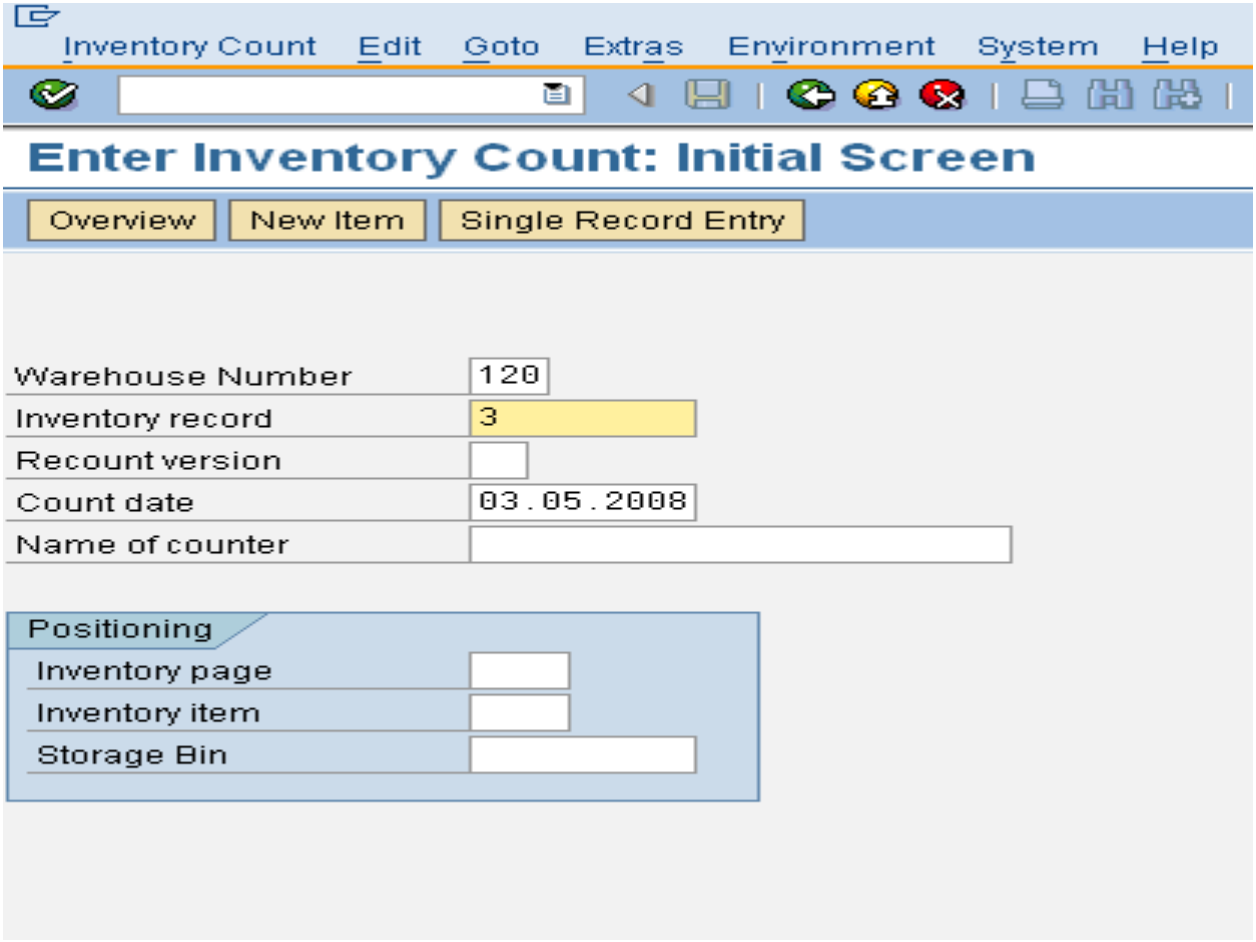
For entering count results use T-code LI11N

Change LI12N

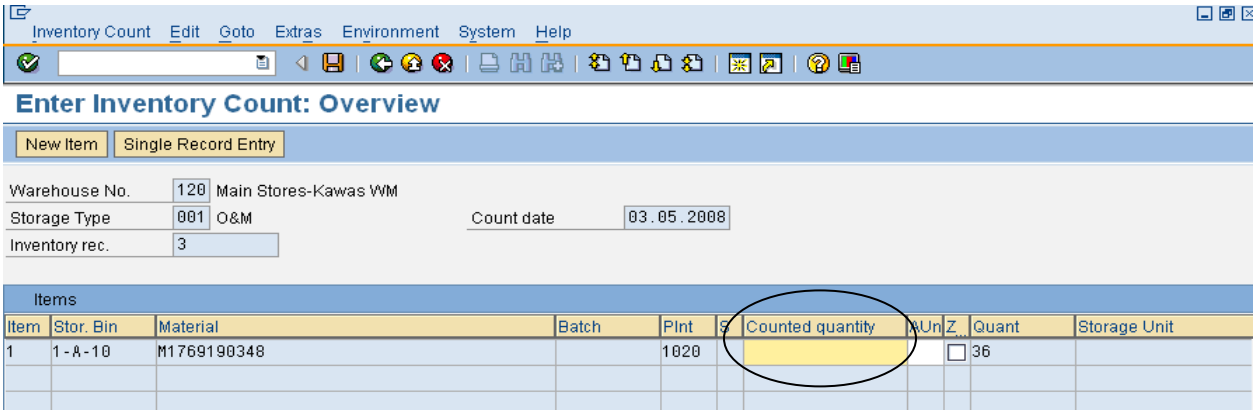
Display LI13N

Recount LI14

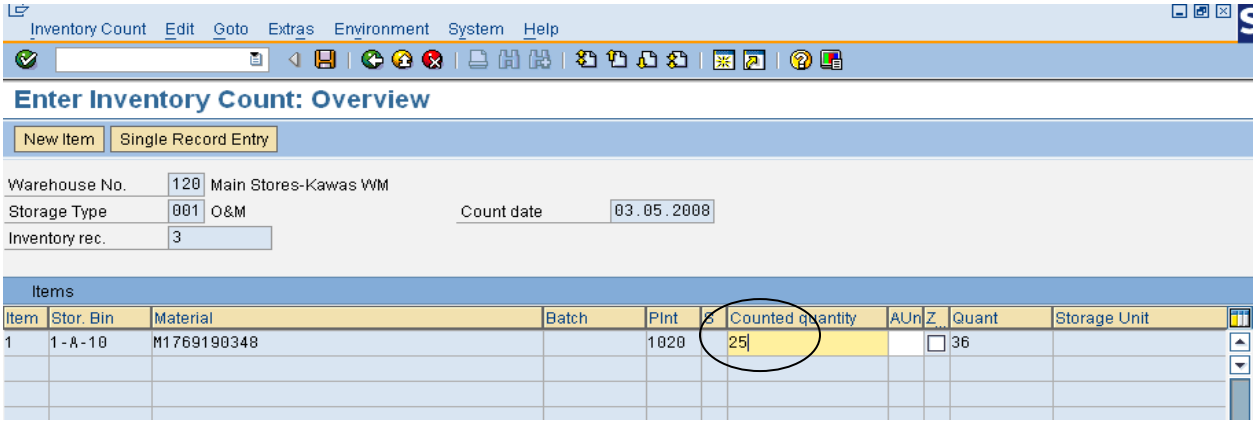
A) Input the warehouse number, physical inventory document no., count date and then enter.



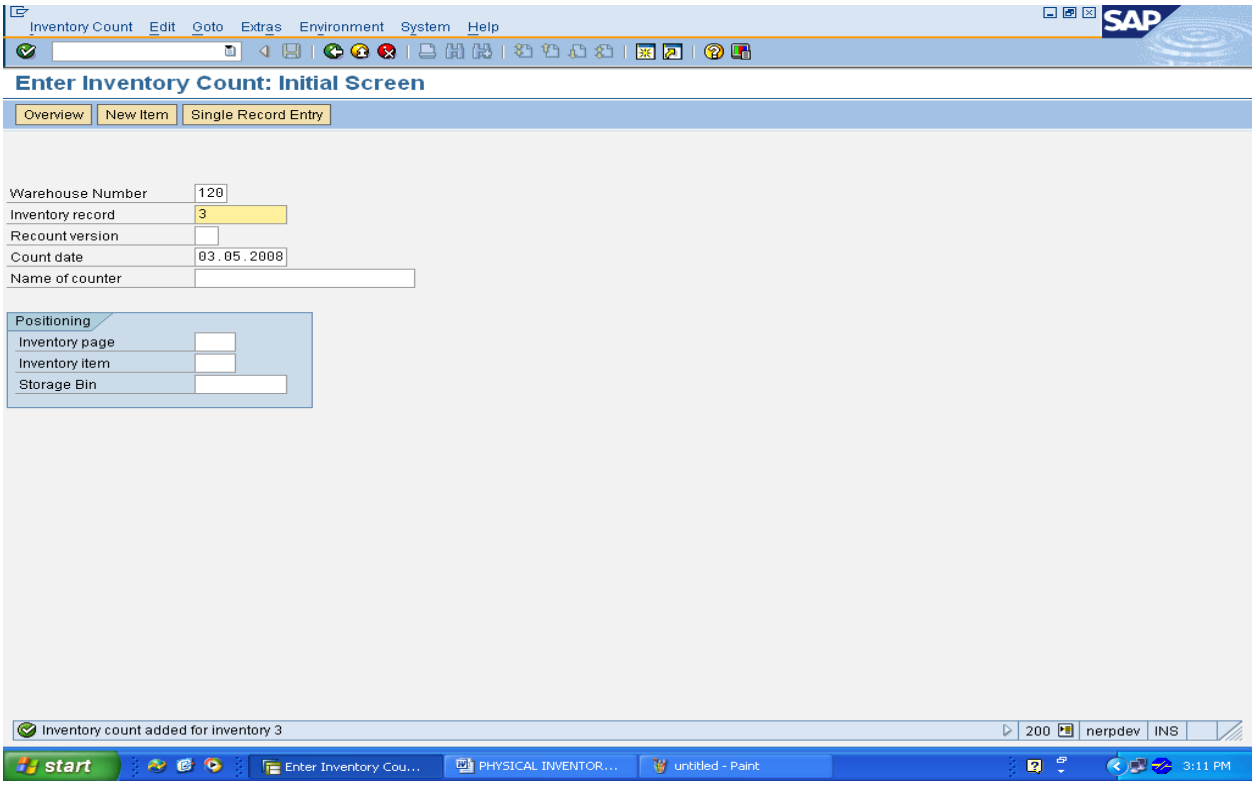
B) System will show all the material existing in storage bin in which count has to take place.



Enter the count results in COUNTED QUANTITY field

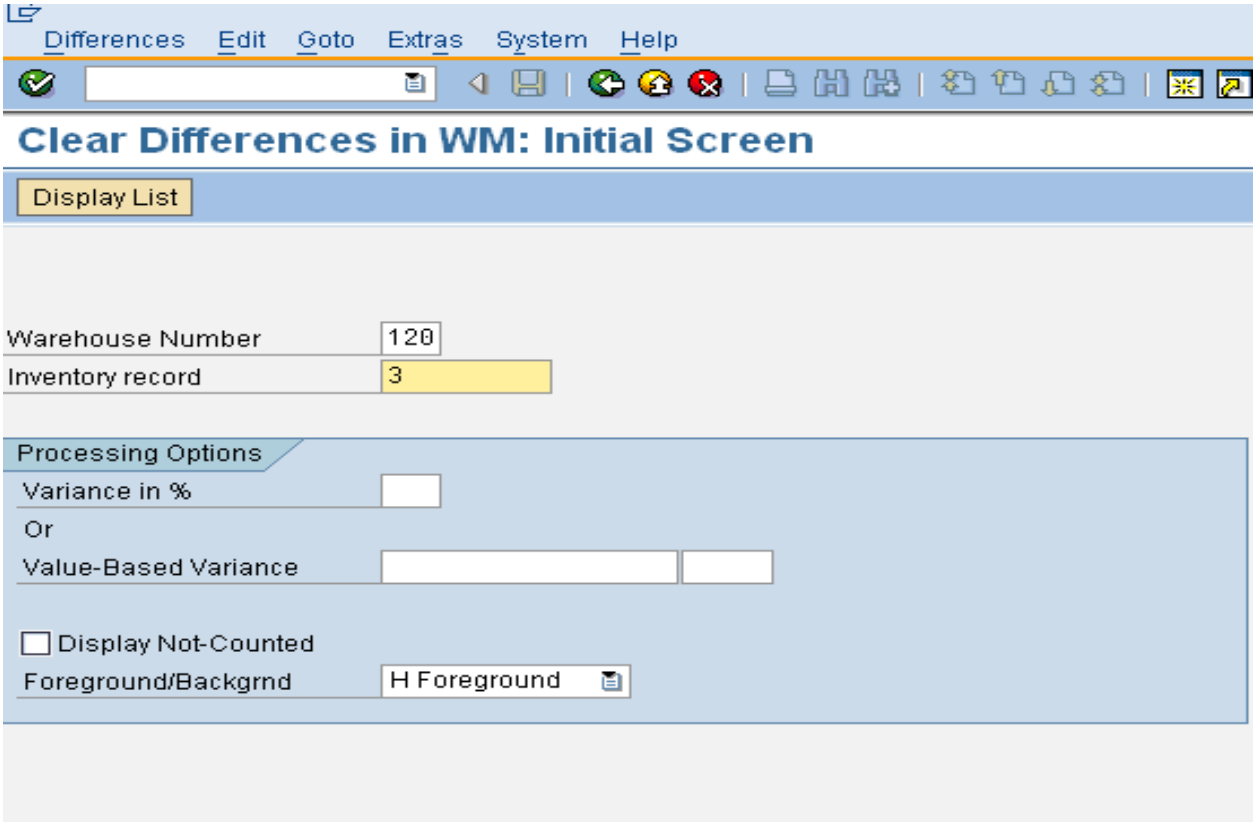


Save the document. A message will come at the bottom of screen as shown in slide below.

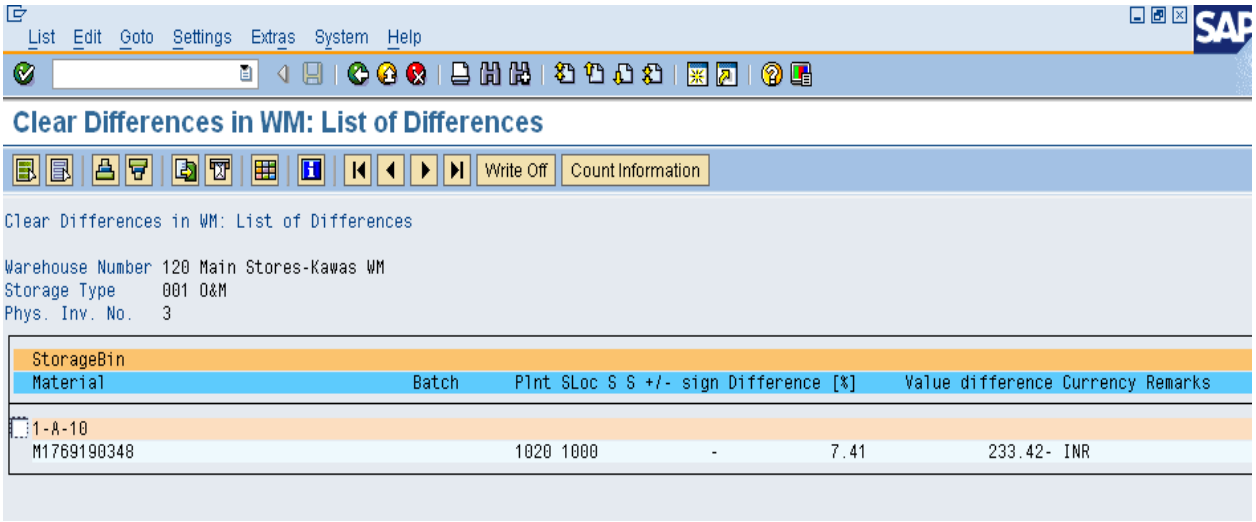


3) Clear difference in warehouse management

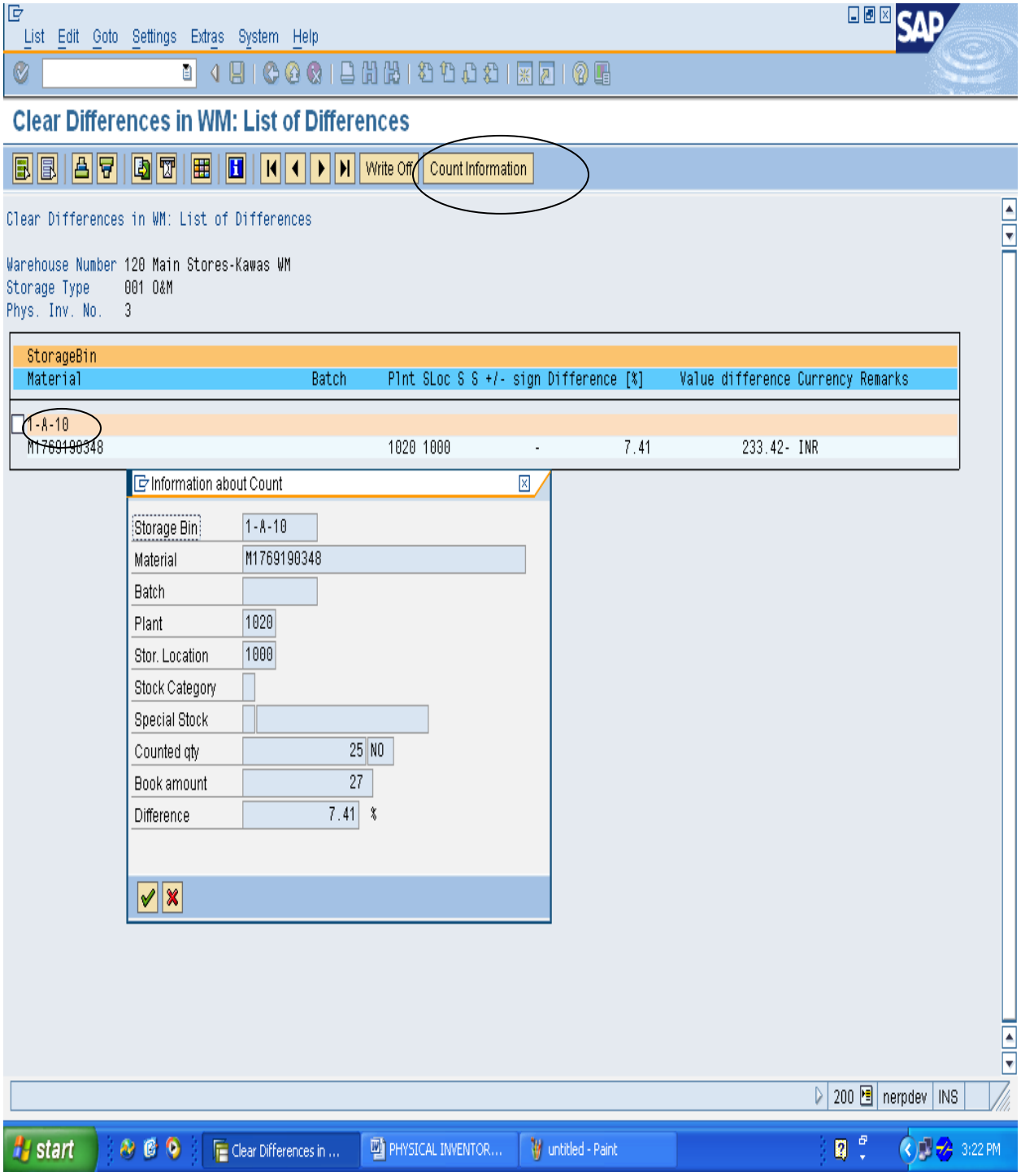
In this process first clear the differences in Warehouse management using T-code LI20 Input the warehouse no., Inventory record no. and then ENTER.



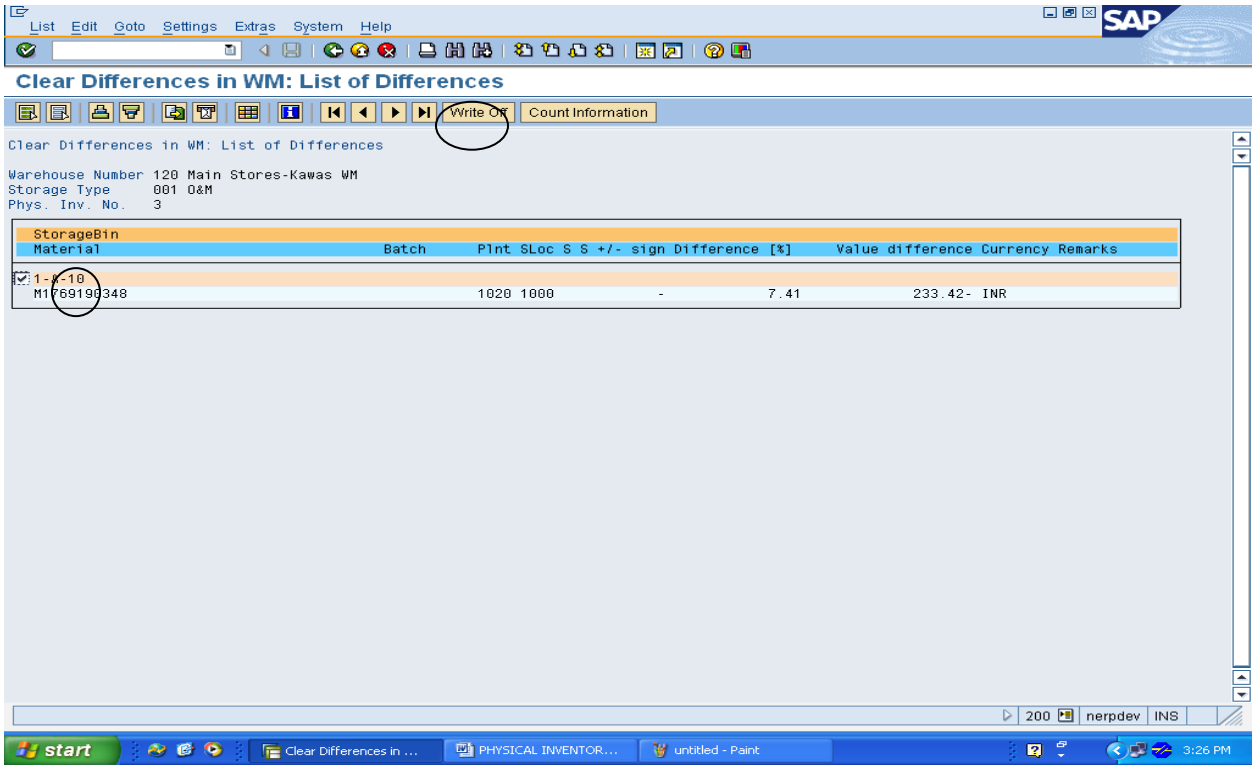
After entering below screen will come.



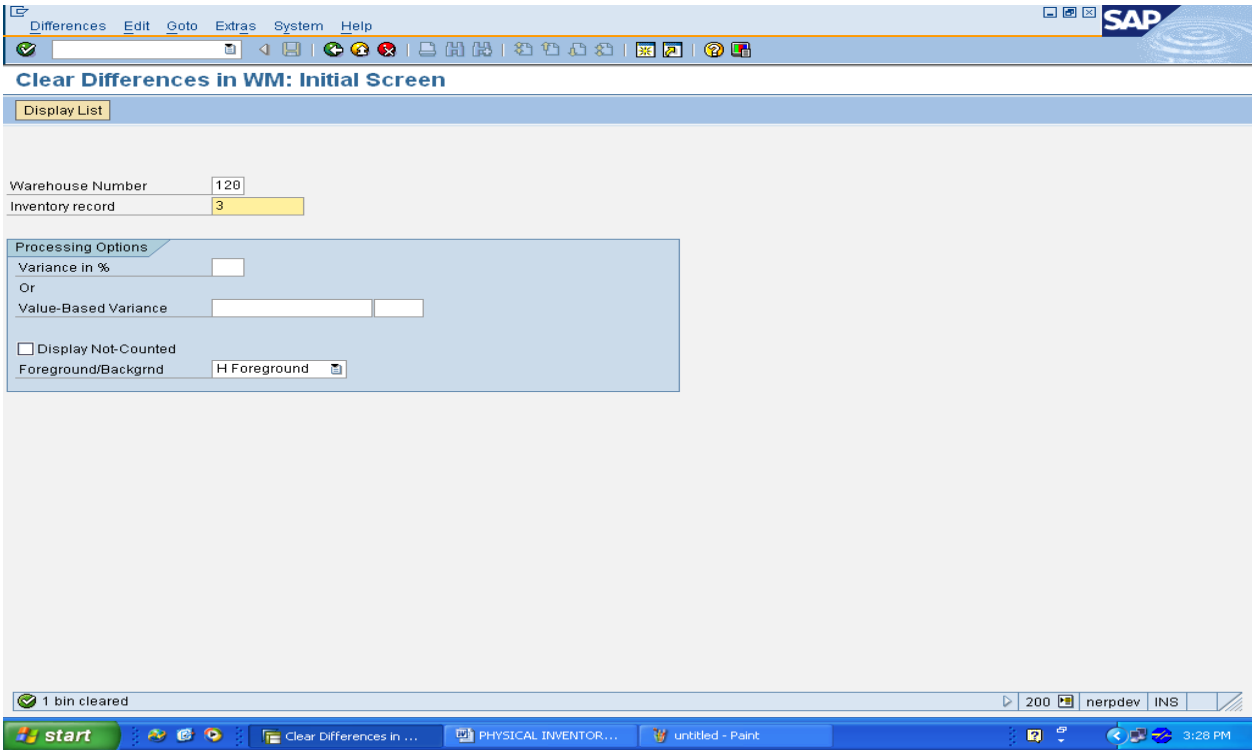
If want to see the COUNT INFORMATION, select the material code and press COUNT INFORMATION button.



For clearing differences select the check box in front of Storage bin and press the Write off button



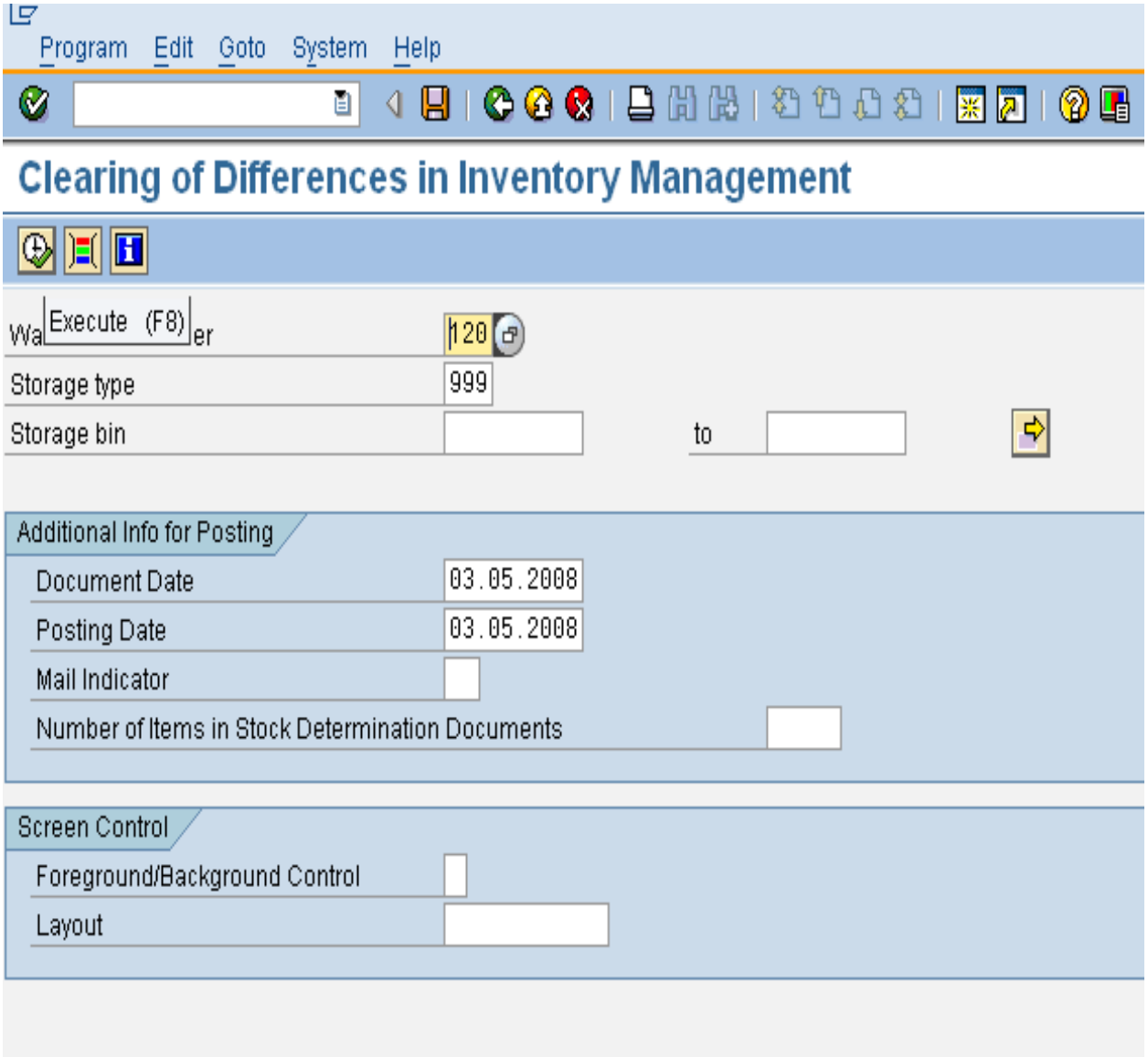
BIN CLEARED message will come once write off is done as shown in below screen.



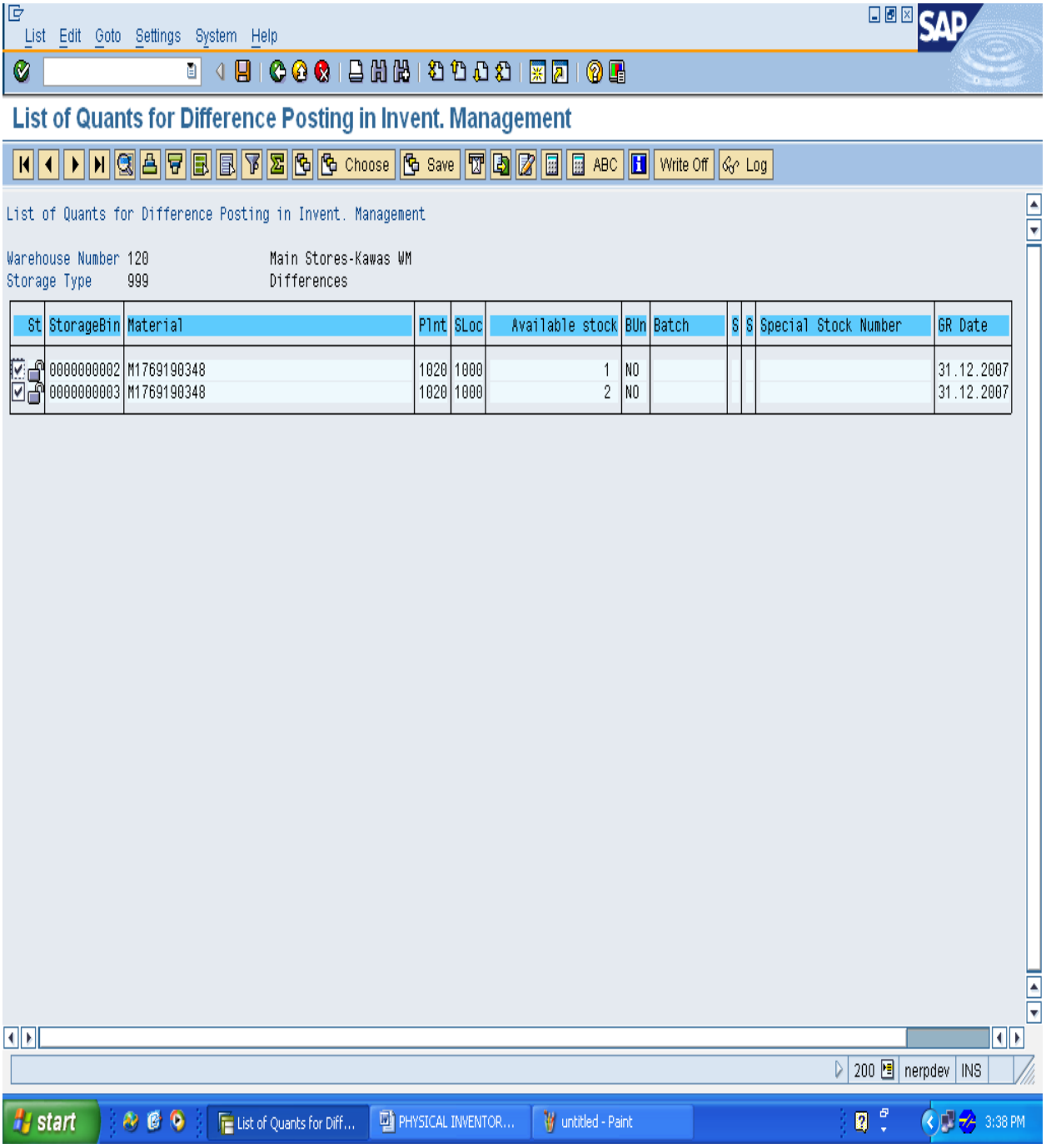
4) Clear difference in inventory management

Once differences have been cleared in warehouse management, we have to clear differences in Inventory management also using T-code LI21.

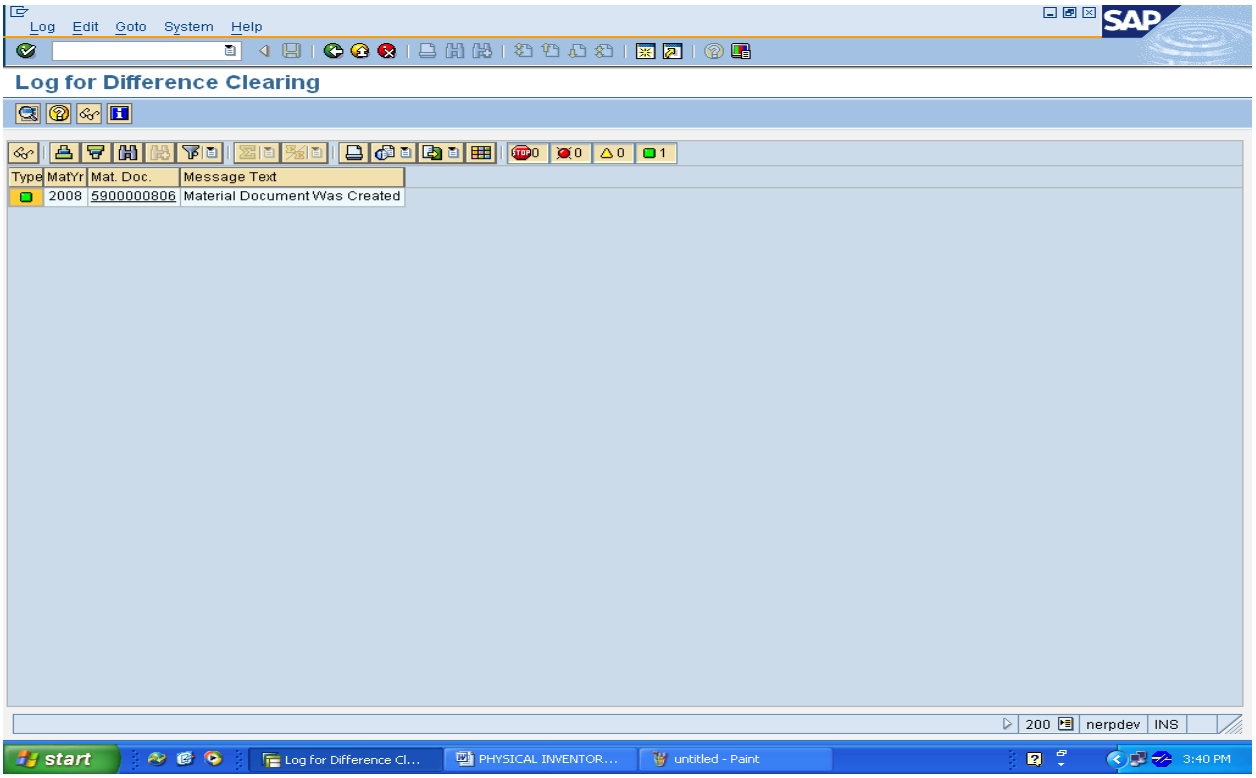
Input the warehouse no., Storage type -999, document date & posting date and then execute



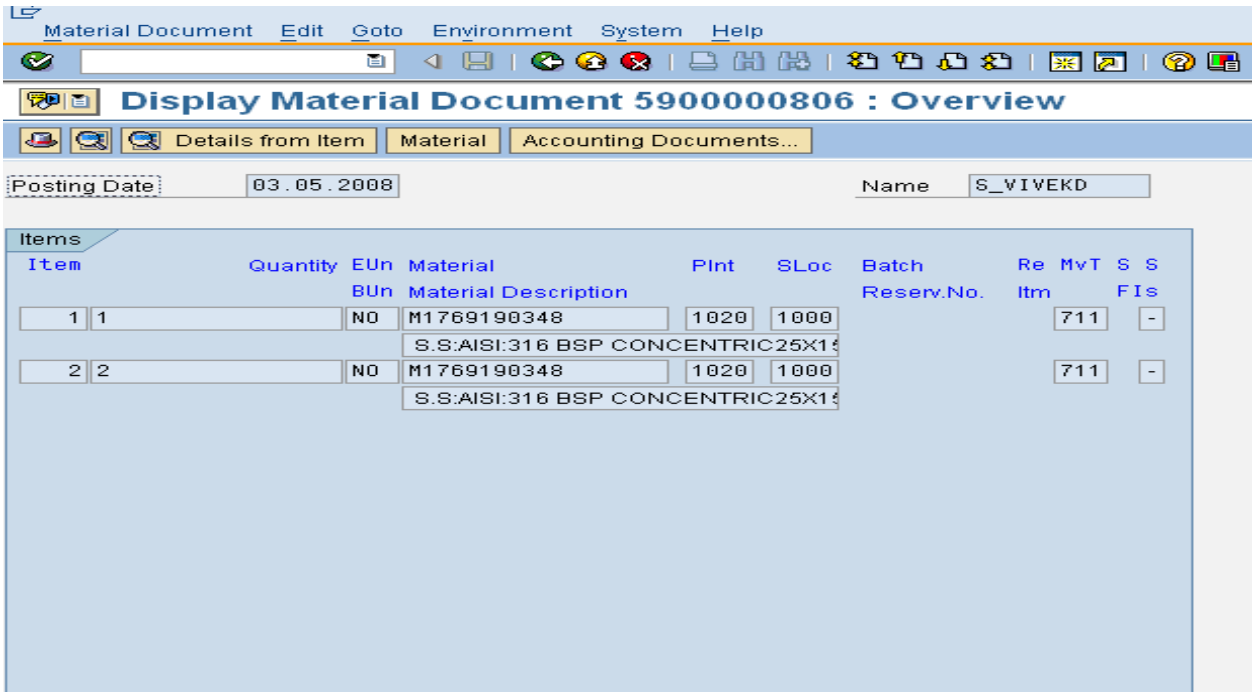
After executing this t-code below screen will come



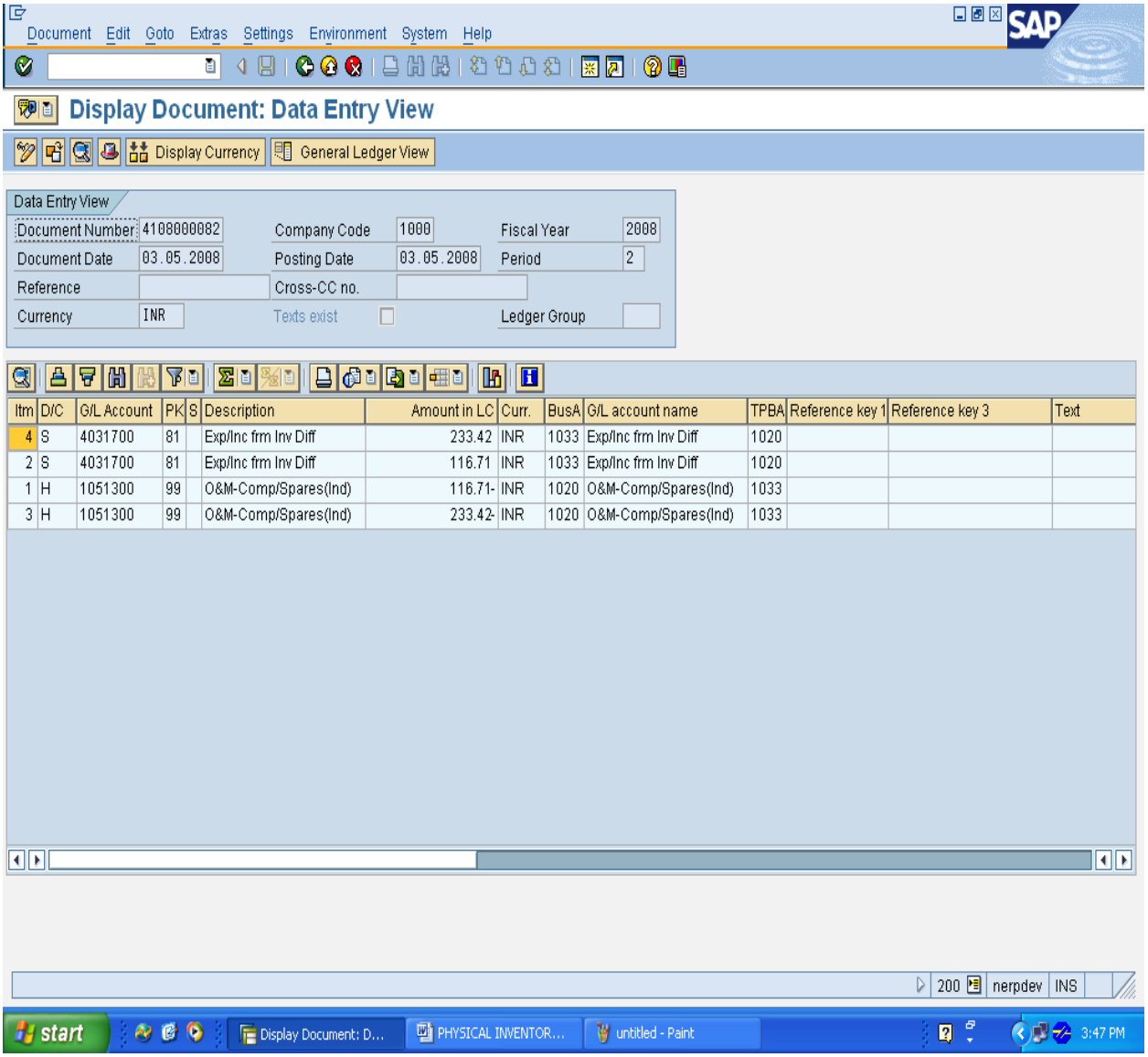
Select the check boxes and press WRITE OFF button, system will create log for clearing differences in inventory management along with material document.



Click on material document system will show the material document generated.



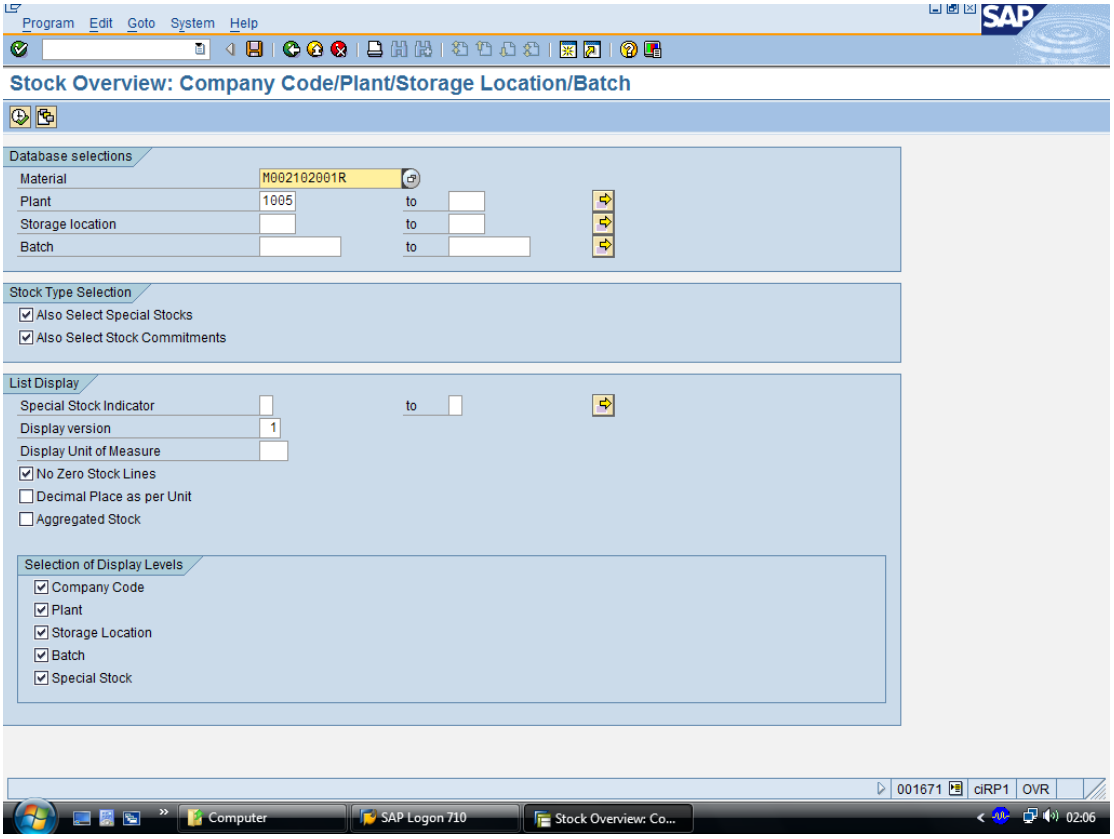
In material document click on accounting documents, system will show all the accounting entries generated.



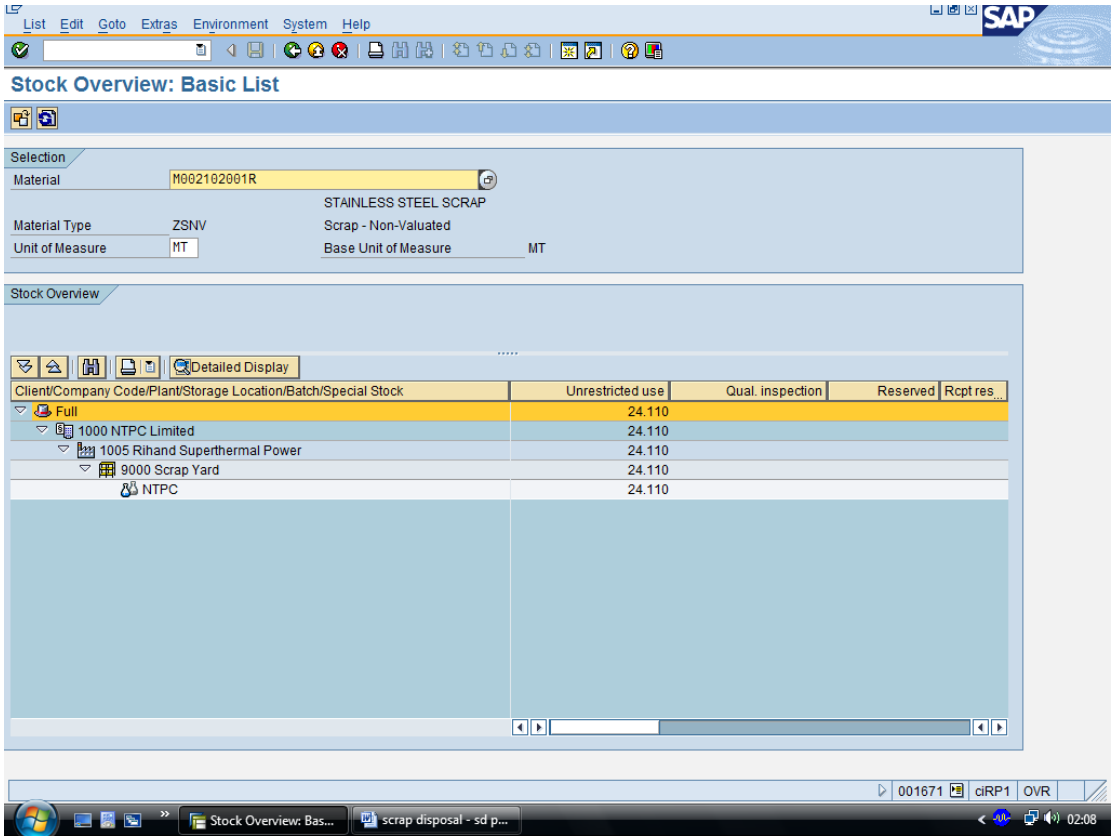
Remarks: while activating BIN for WM system will assumes that all the material in that bin will be counted. So we have to enter quantities for those materials also for which no discrepancy is found.

Alternate way of doing this is that transfer material codes to any empty/dummy bin for which discrepancy is encountered & activate that bin for physical counting.

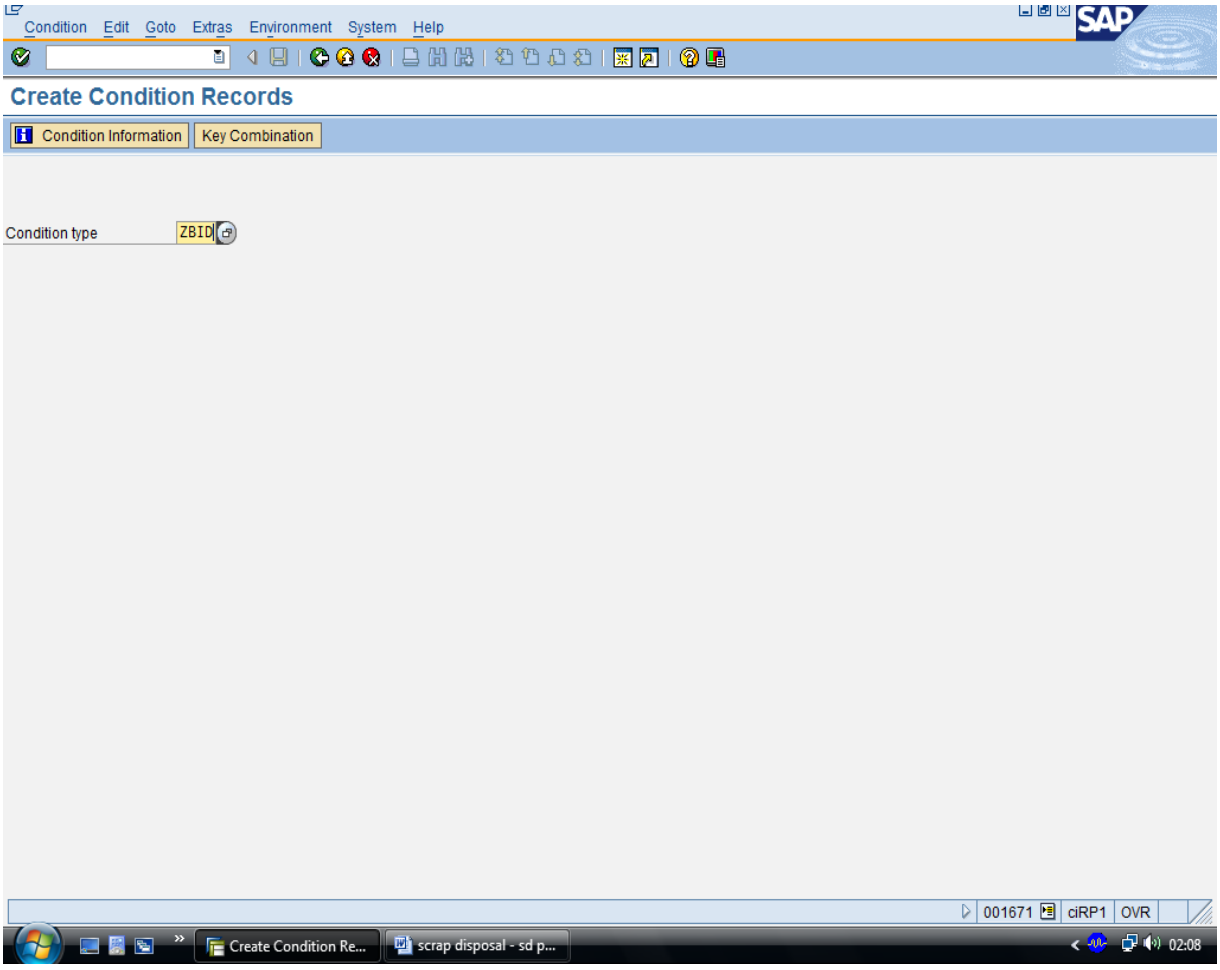
MMBE: STOCK OVERVIEW



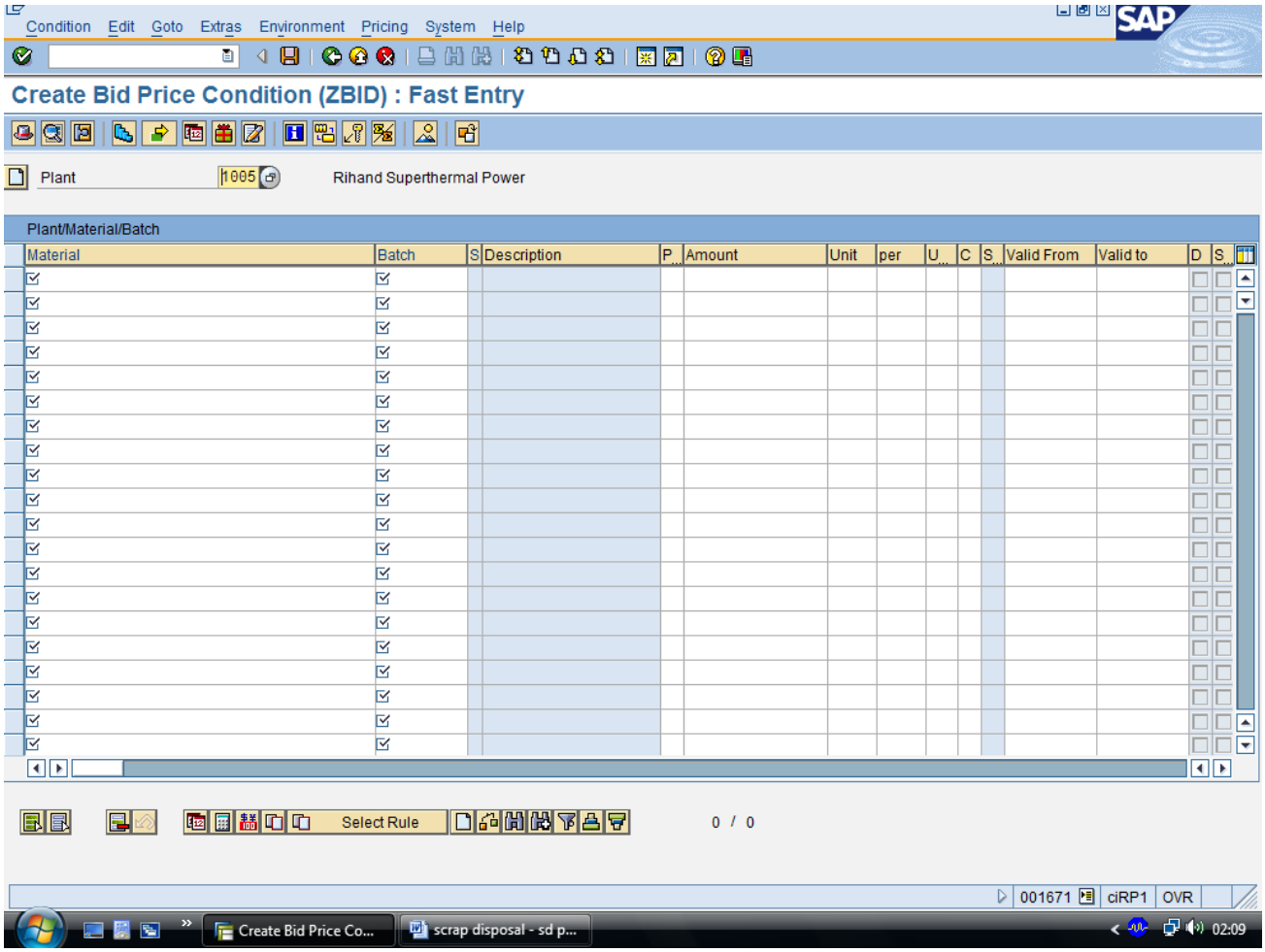
EXECUTE


List Edit Goto Extras Environment System Help
Stock Overview: Basic List
Selection
Material M002102001R
STAINLESS STEEL SCRAP
Material Type ZSNV Scrap - Non-Valuated
Unit of Measure MT Base Unit of Measure MT
Stock Overview
Detailed Display
Client/Company Code/Plant/Storage Location/Batch/Special Stock
Unrestricted use
Qual. inspection
Reserved
Rcpt res
Full 24.110
1000 NTPC Limited 24.110
1005 Rihand Superthermal Power 24.110
9000 Scrap Yard 24.110
NTPC 24.110
001671 ciRP1 OVR
Stock Overview: Bas...
scrap disposal - sd p...
02:08

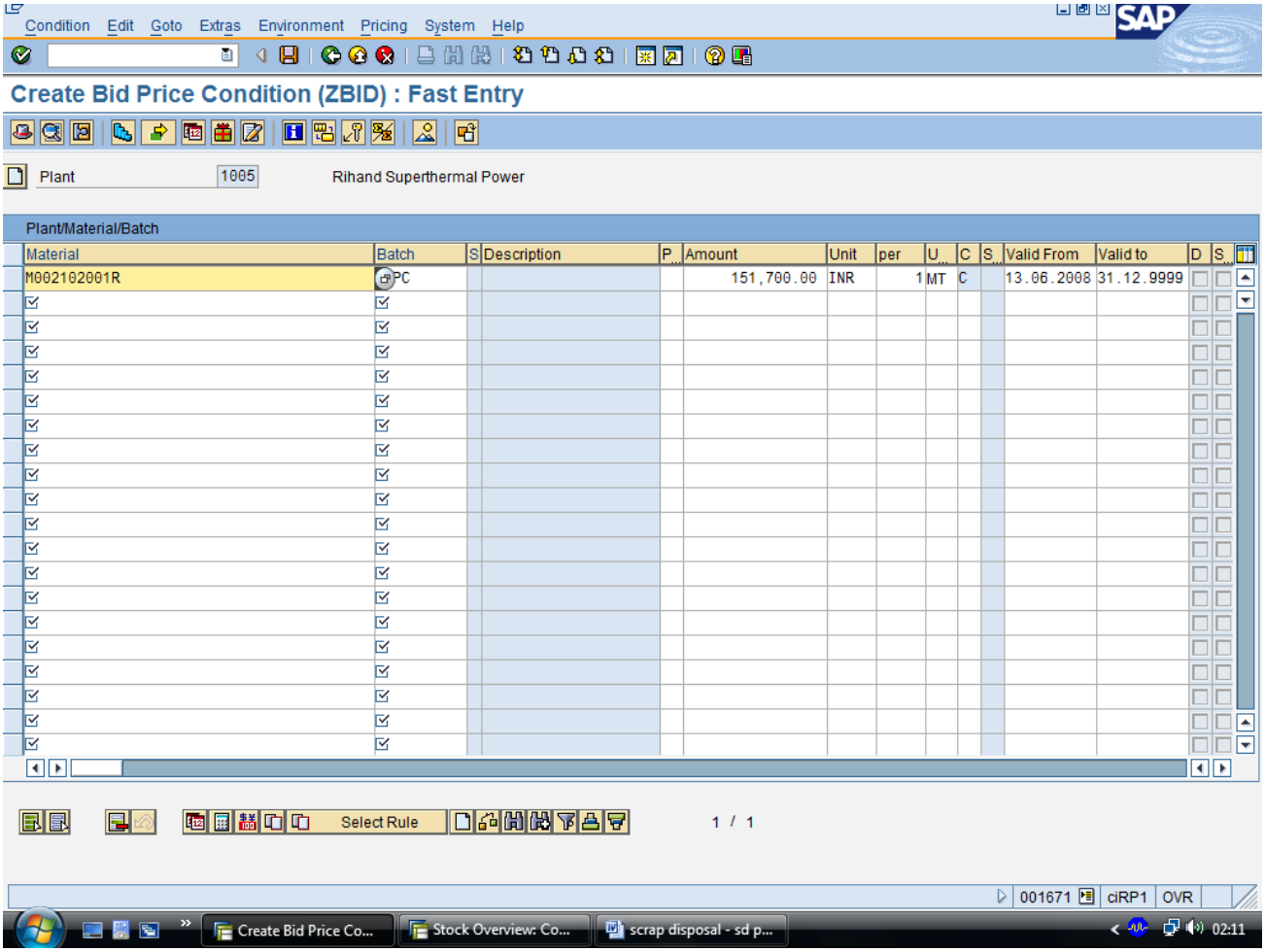
PRICE MAINTENANCE
VK11-CREATE



ENTER

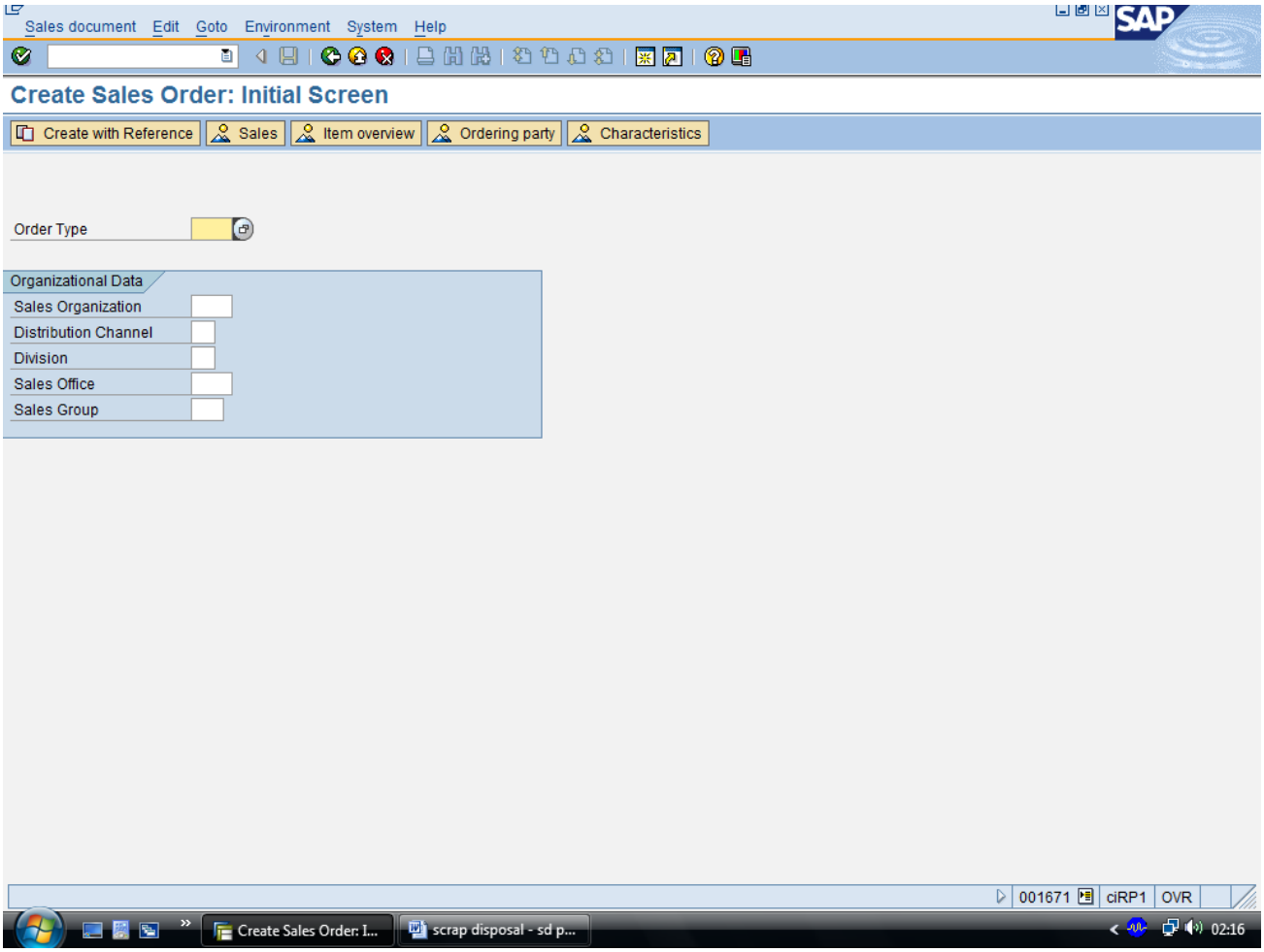

Condition Edit Goto Extras Environment Pricing System Help
Create Bid Price Condition (ZBID) : Fast Entry
Plant 1005 Rihand Superthermal Power
Plant/Material/Batch
Material Batch S Description P Amount Unit per U C S Valid From Valid to D S
Select Rule
0 / 0
001671 ciRP1 OVR
Create Bid Price Co...
scrap disposal - sd p...
02:09

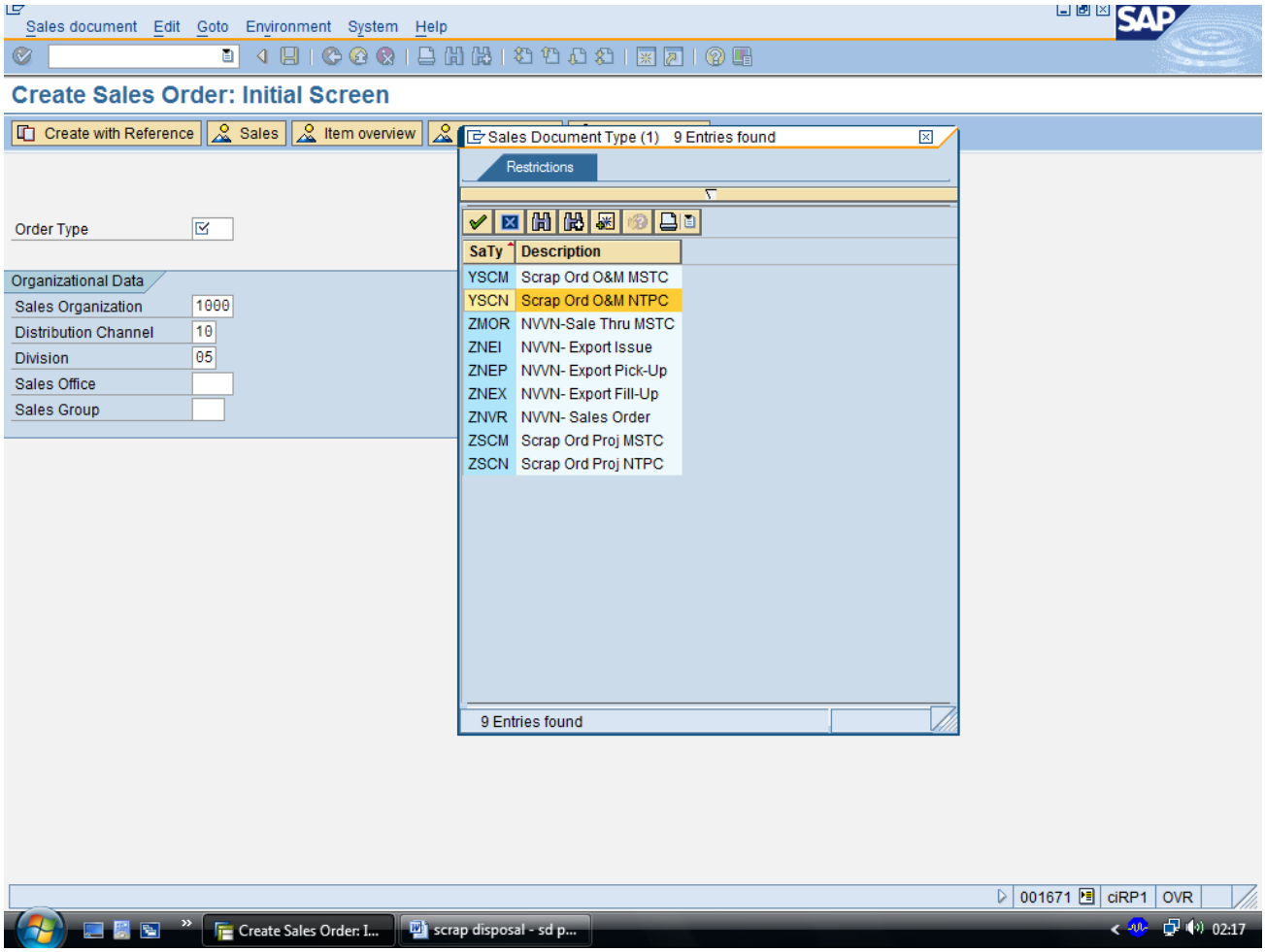
ONLY BASE PRICE TO BE ENTERED. NO TAXES TO BE INCLUDED.

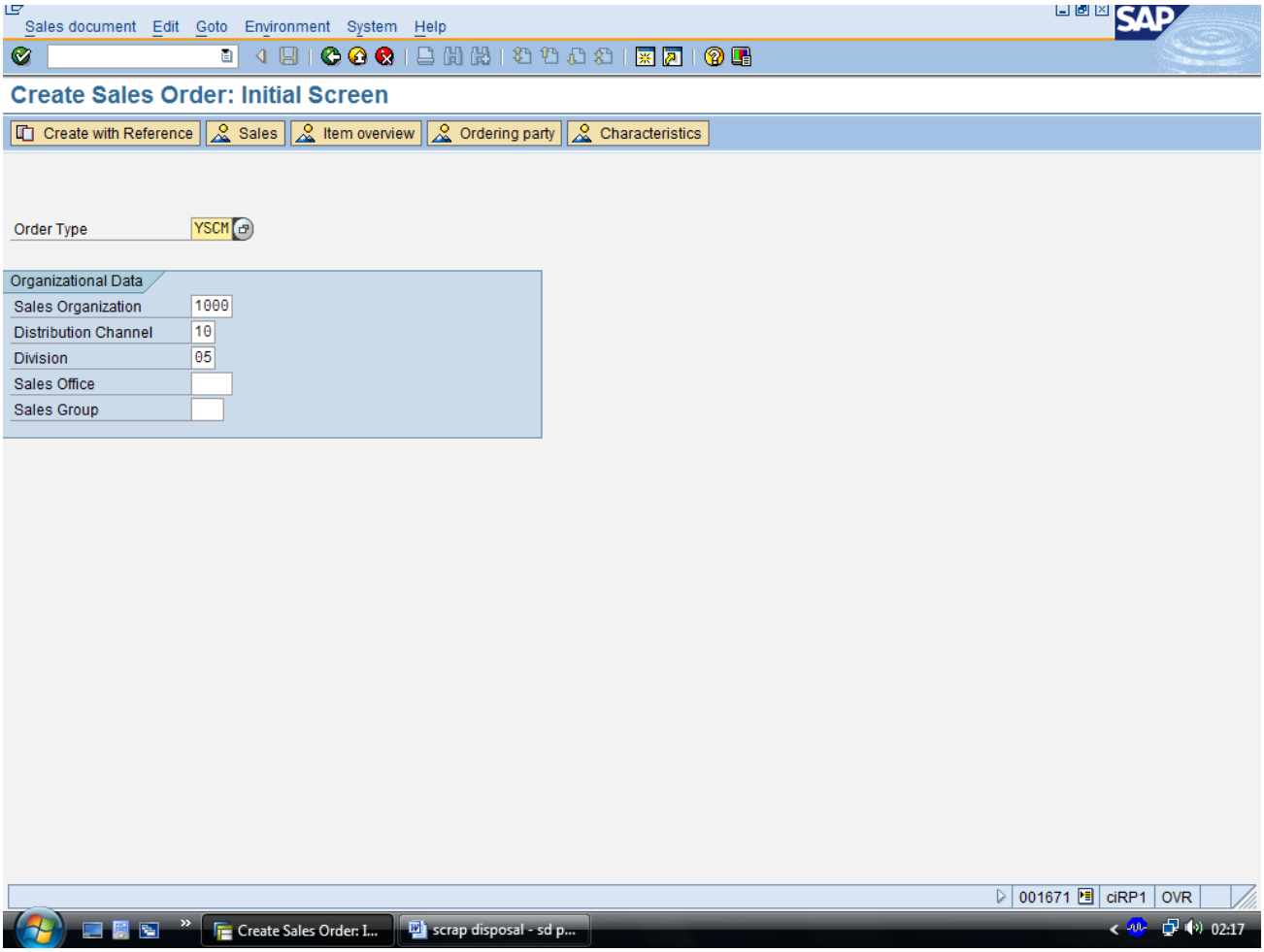


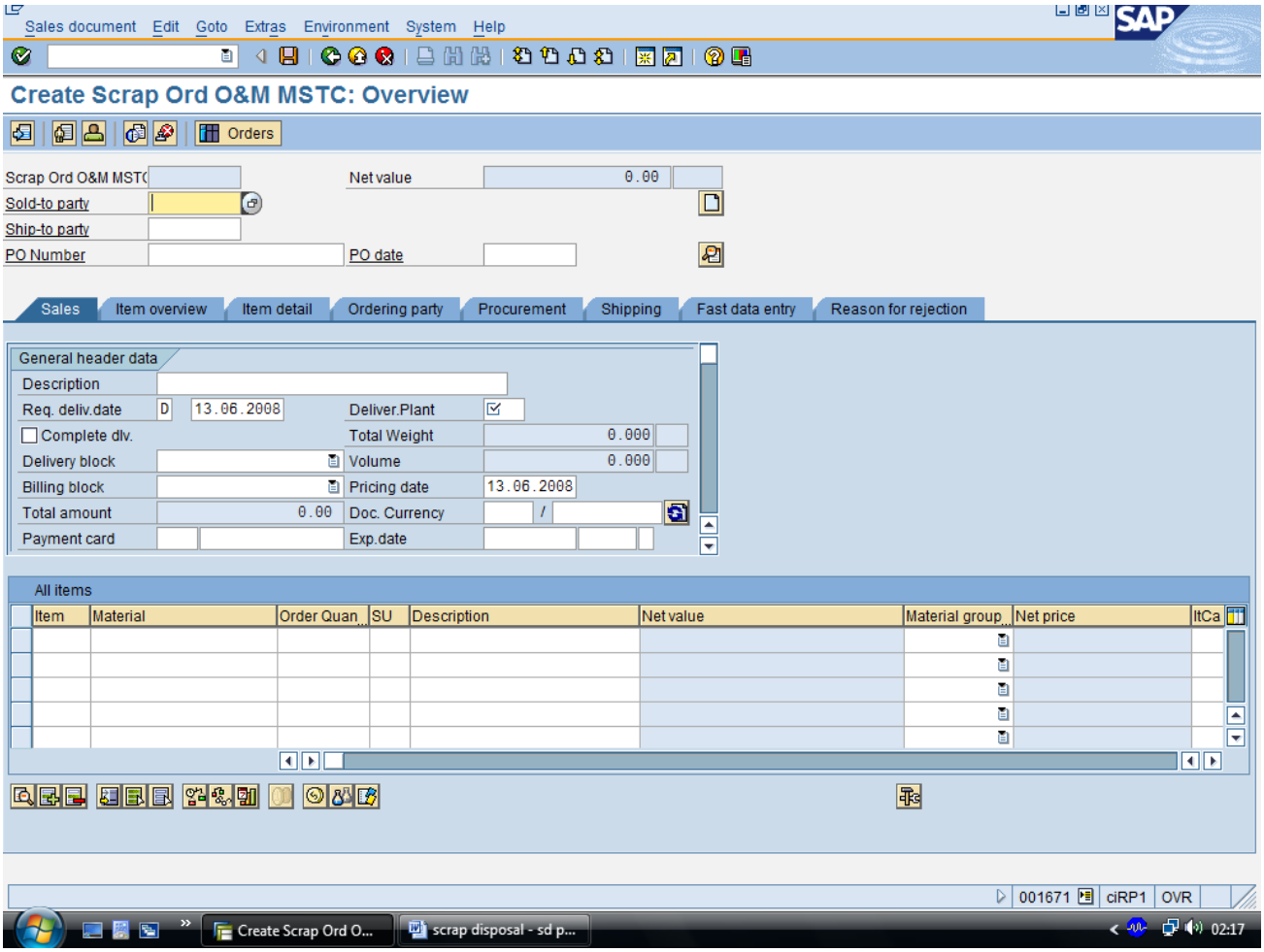
SAVE

SALES ORDER
VA01 - CREATE

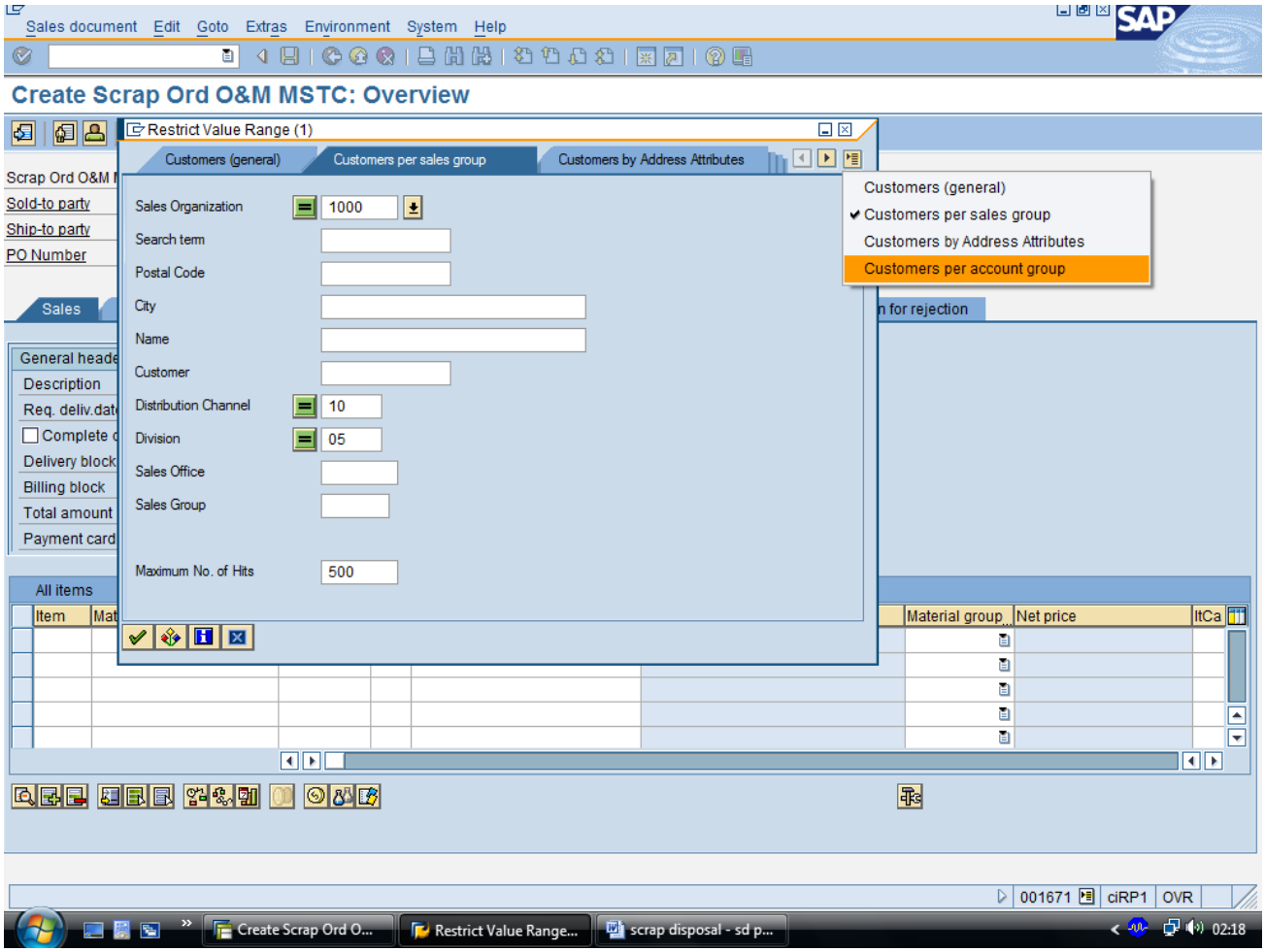

Sales document Edit Goto Environment System Help
Create Sales Order: Initial Screen
Create with Reference
Sales
Item overview
Ordering party
Characteristics
Order Type
Organizational Data
Sales Organization
Distribution Channel
Division
Sales Office
Sales Group
001671
ciRP1
OVR
Create Sales Order: I...
scrap disposal - sd p...
02:16

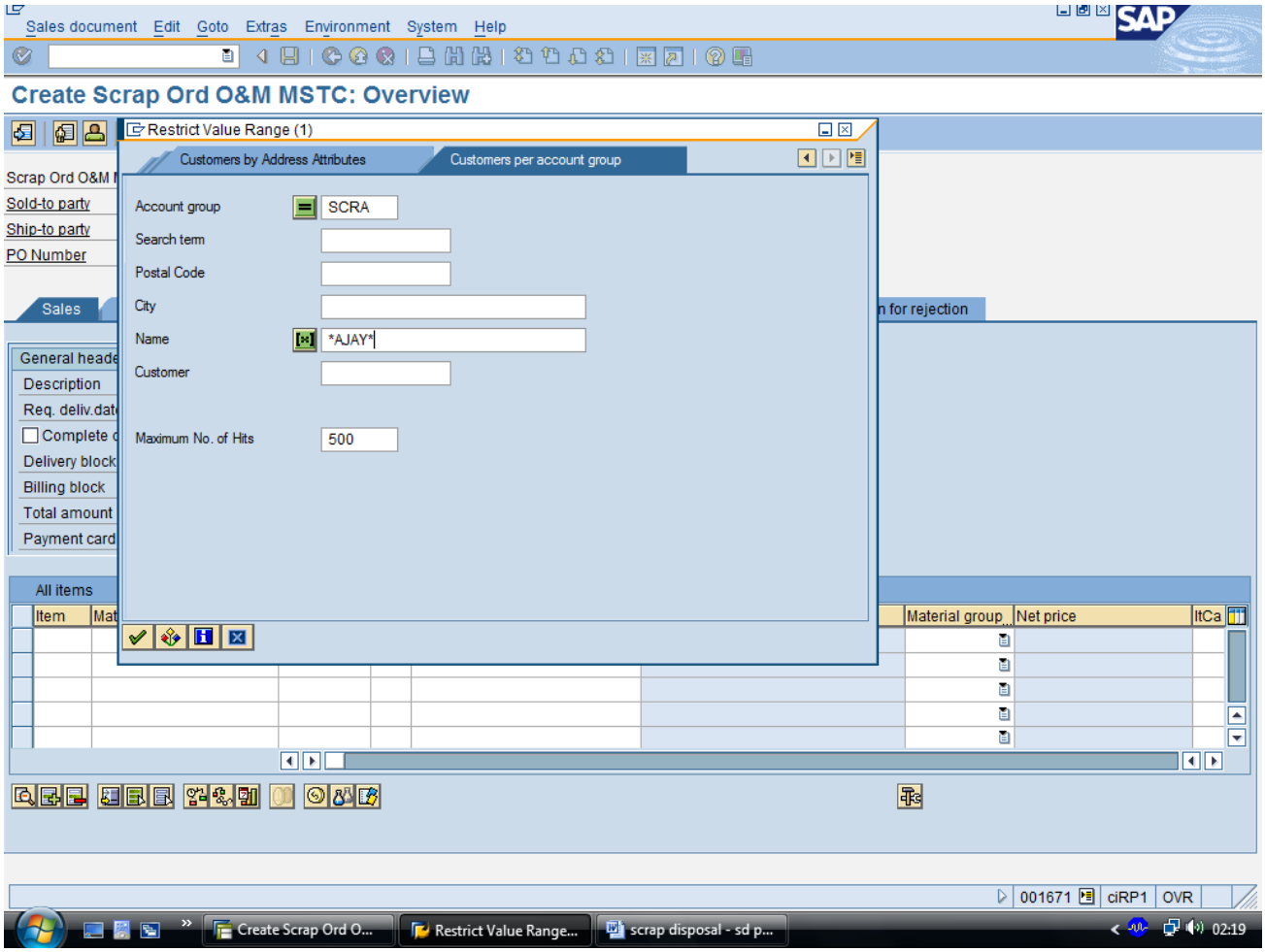

Sales document Edit Goto Environment System Help
SAP
Create Sales Order: Initial Screen
Create with Reference
Sales
Item overview
Order Type
Organizational Data
Sales Organization 1000
Distribution Channel 10
Division 05
Sales Office
Sales Group
Sales Document Type (1) 9 Entries found
Restrictions
SaTy Description
YSCM Scrap Ord O&M MSTC
YSCN Scrap Ord O&M NTPC
ZMOR NVVN-Sale Thru MSTC
ZNEI NVVN- Export Issue
ZNEP NVVN- Export Pick-Up
ZNEX NVVN- Export Fill-Up
ZNVR NVVN- Sales Order
ZSCM Scrap Ord Proj MSTC
ZSCN Scrap Ord Proj NTPC
9 Entries found
001671 ciRP1 OVR
Create Sales Order: I...
scrap disposal - sd p...
02:17

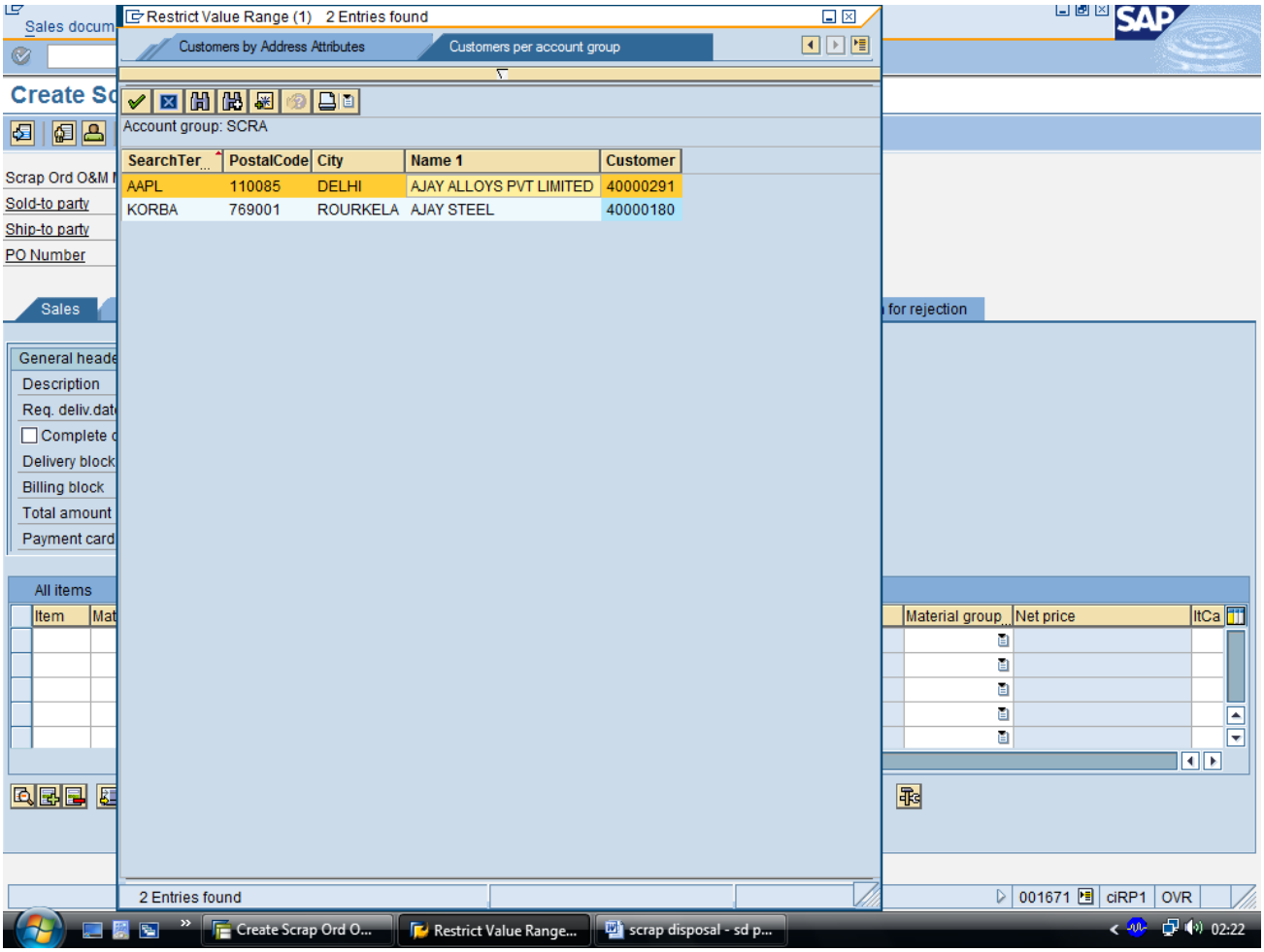

Sales document Edit Goto Environment System Help
SAP
Create Sales Order: Initial Screen
Create with Reference
Sales
Item overview
Ordering party
Characteristics
Order Type
YSCM
Organizational Data
Sales Organization
1000
Distribution Channel
10
Division
05
Sales Office
Sales Group
001671
ciRP1
OVR
Create Sales Order: I...
scrap disposal - sd p...
02:17



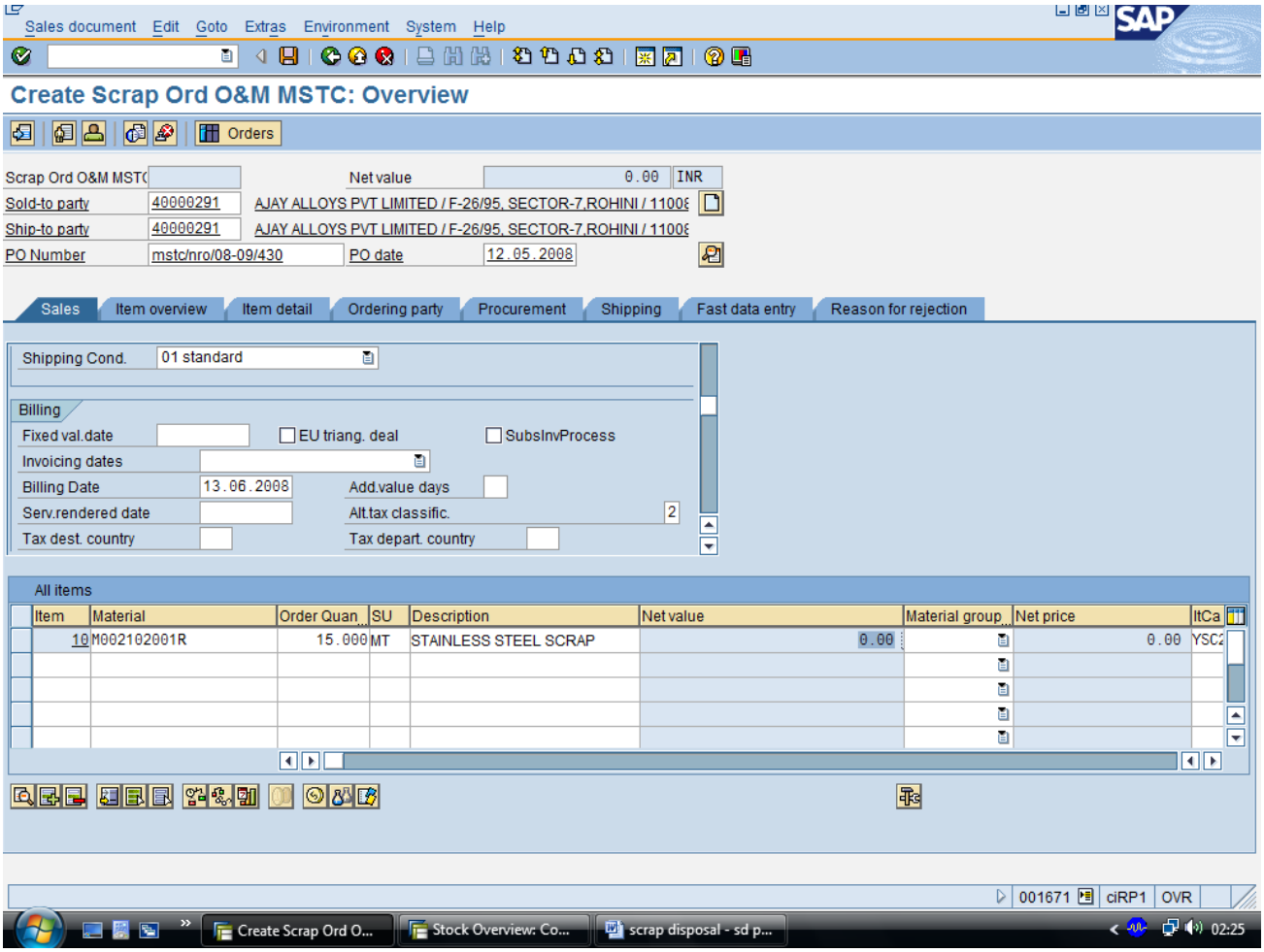
CHOOSE SOLD TO PARTY ONLY


Sales document Edit Goto Extras Environment System Help
Create Scrap Ord O&M MSTC: Overview
Restrict Value Range (1)
Customers (general)
Customers per sales group
Customers by Address Attributes
Sales Organization 1000
Search term
Postal Code
City
Name
Customer
Distribution Channel 10
Division 05
Sales Office
Sales Group
Maximum No. of Hits 500
Customers (general)
Customers per sales group
Customers by Address Attributes
Customers per account group
Sold-to party
Ship-to party
PO Number
Sales
Description
Delivery block
Billing block
Total amount
Payment card
All items
Item
Material group
Net price
001671
ciRP1
OVR
Create Scrap Ord O...
Restrict Value Range...
scrap disposal - sd p...
02:18

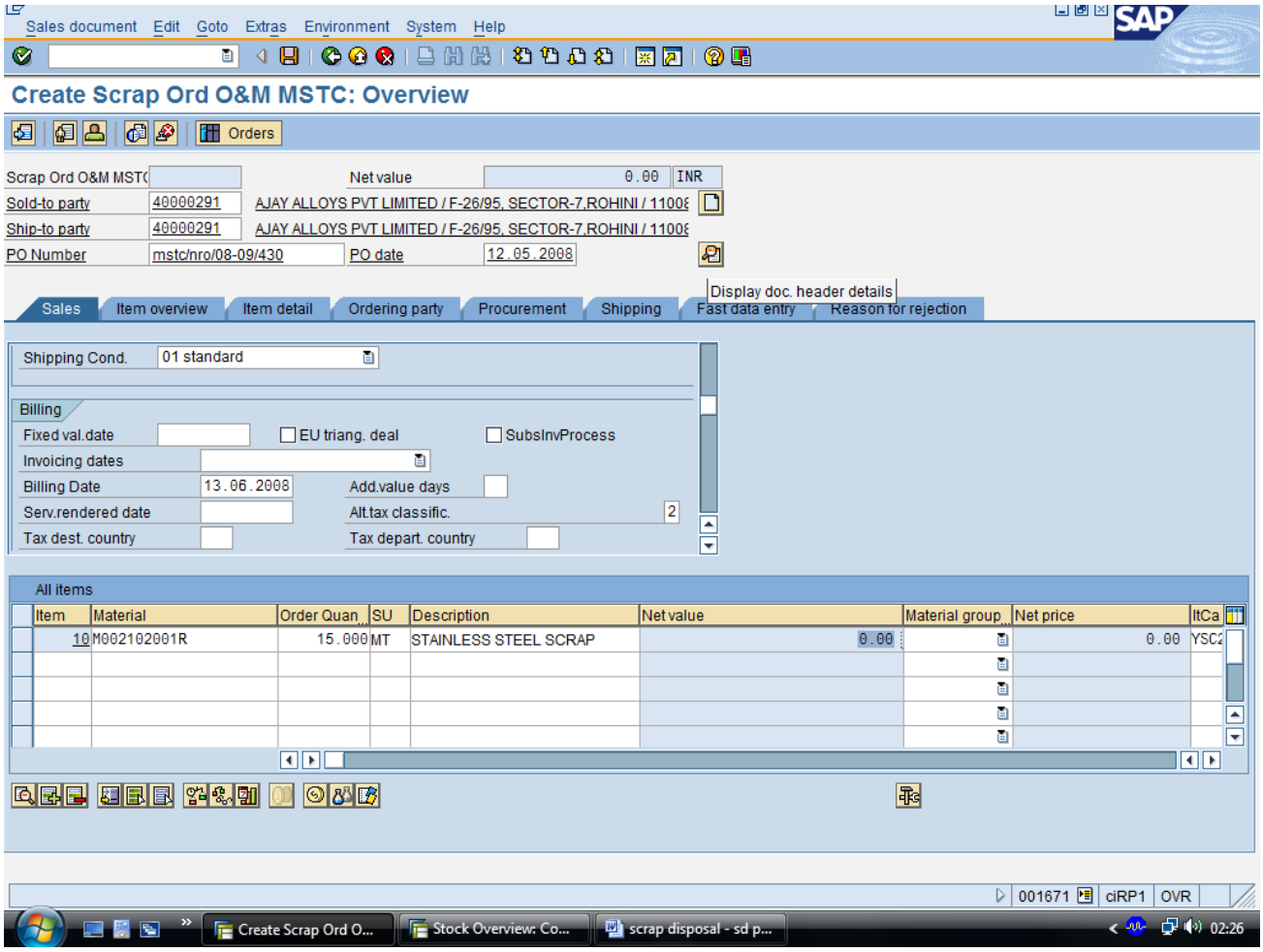

Sales document Edit Goto Extras Environment System Help
Create Scrap Ord O&M MSTC: Overview
Restrict Value Range (1)
Customers by Address Attributes
Customers per account group
Account group
SCRA
Search term
Postal Code
City
Name
AJAY
Customer
Maximum No. of Hits
500
Sold-to party
Ship-to party
PO Number
Sales
Description
Delivery block
Billing block
Total amount
Payment card
All items
Item
Material group
Net price
001671
ciRP1
OVR
Create Scrap Ord O...
Restrict Value Range...
scrap disposal - sd p...
02:19

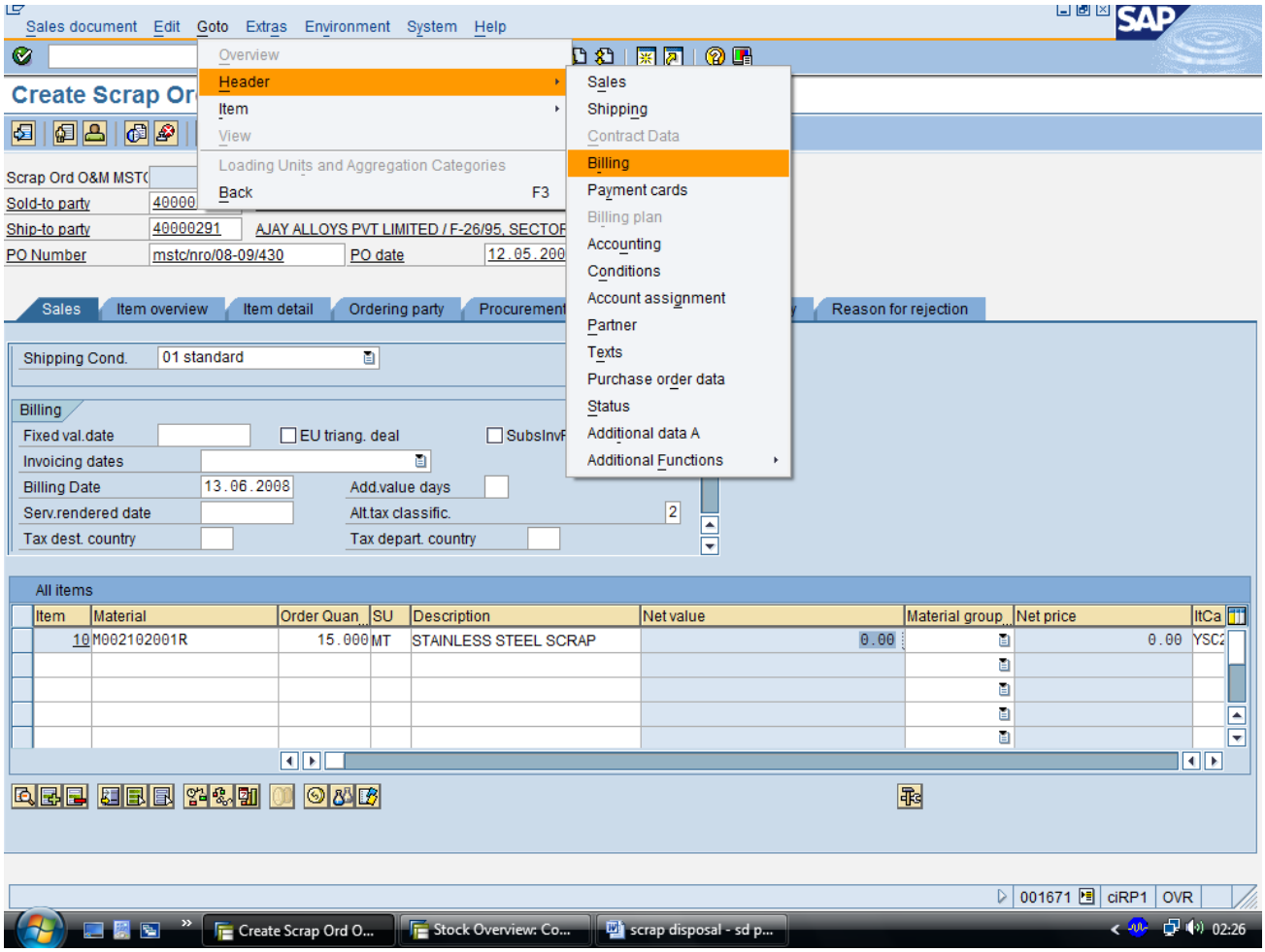


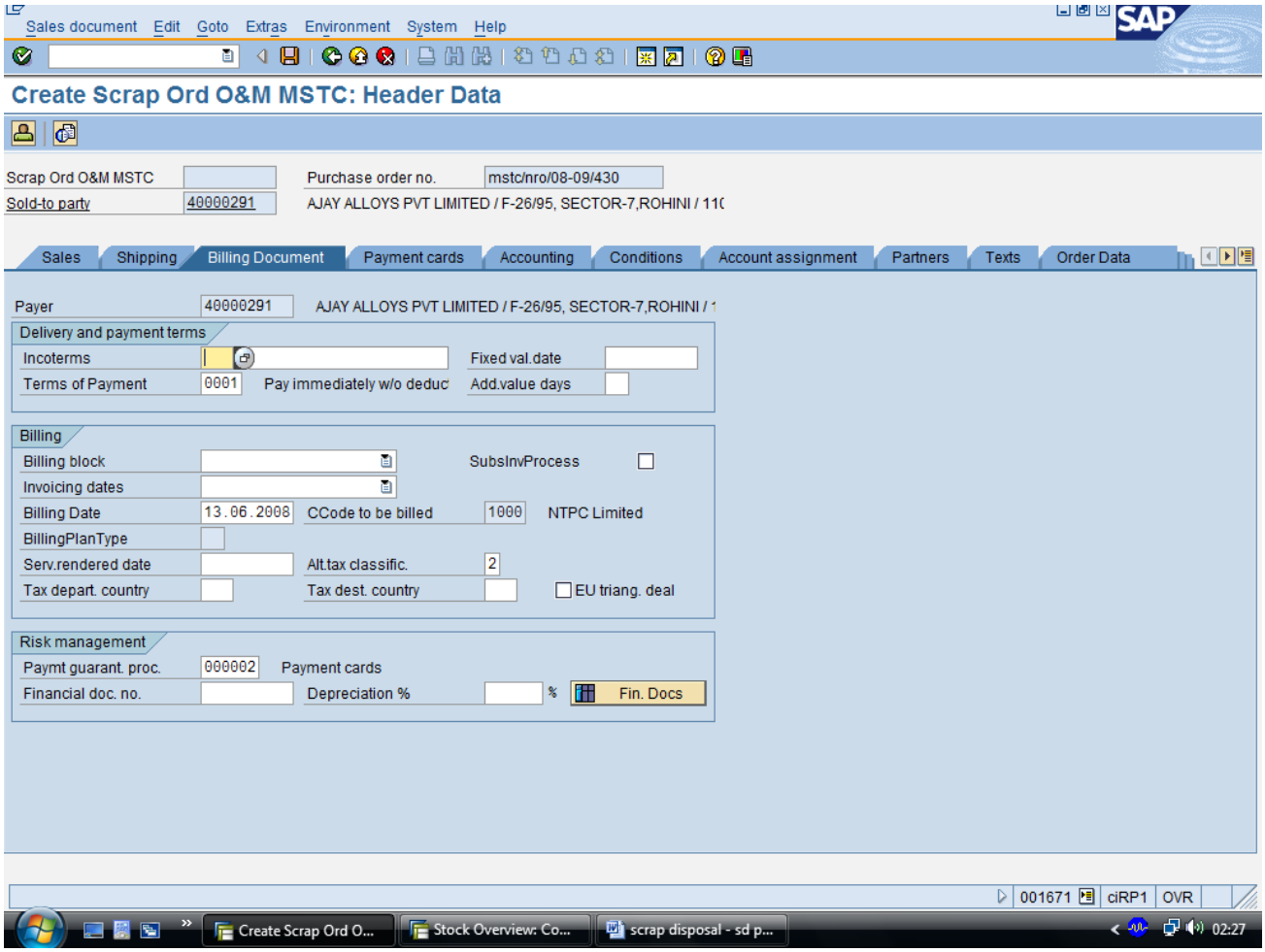
FILL IN ALL RELEVANT DETAILS

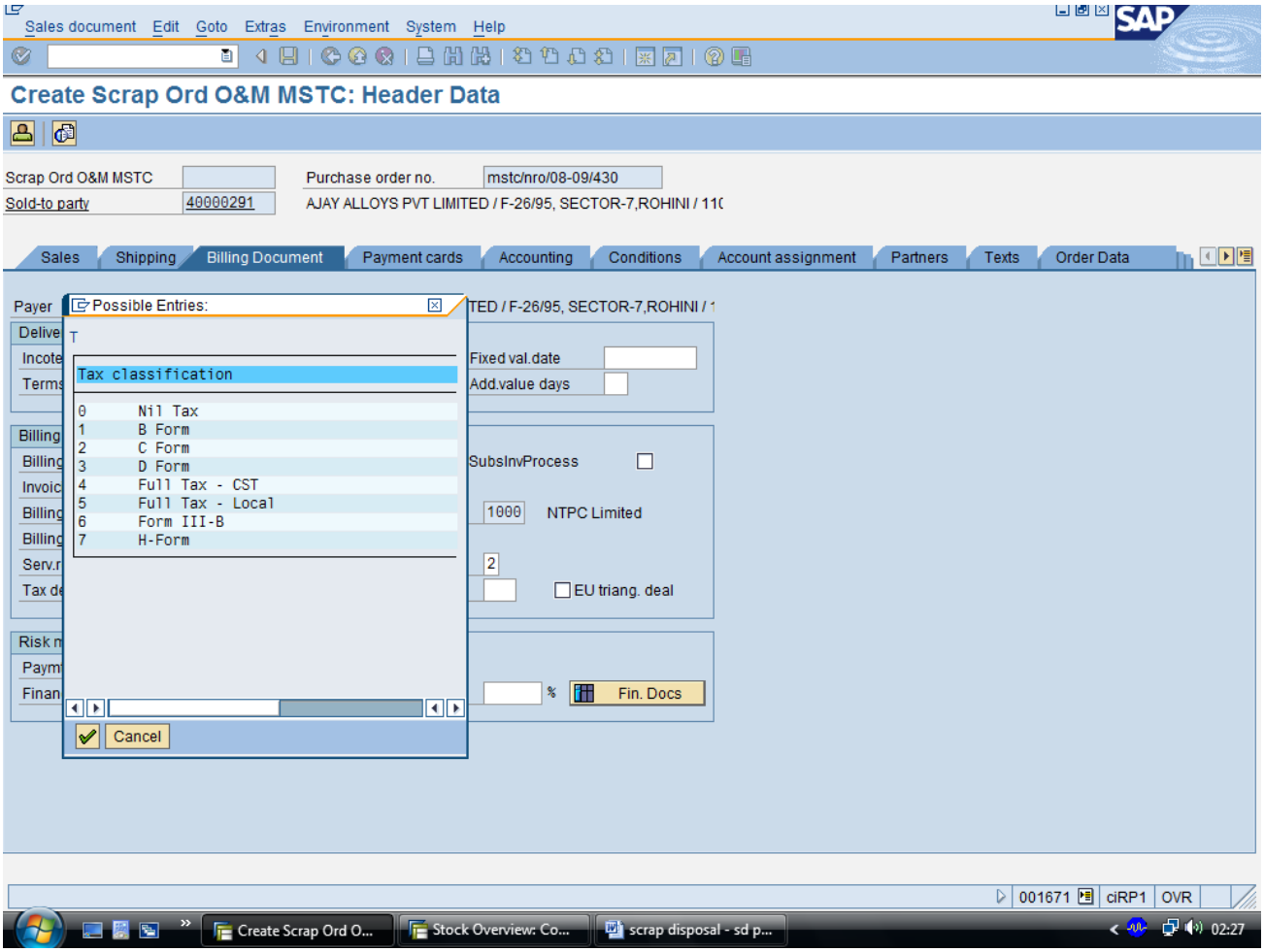

Sales document Edit Goto Extras Environment System Help
Create Scrap Ord O&M MSTC: Overview
Orders
Scrap Ord O&M MST(
Net value 0.00 INR
Sold-to party 40000291 AJAY ALLOYS PVT LIMITED / F-26/95, SECTOR-7,ROHINI / 1100
Ship-to party 40000291 AJAY ALLOYS PVT LIMITED / F-26/95, SECTOR-7,ROHINI / 1100
PO Number mstc/nro/08-09/430 PO date 12.05.2008
Sales Item overview Item detail Ordering party Procurement Shipping Fast data entry Reason for rejection
Shipping Cond. 01 standard
Billing
Fixed val.date
EU triang. deal
SubsInvProcess
Invoicing dates
Billing Date 13.06.2008
Add.value days
Serv.rendered date
Alt.tax classific. 2
Tax dest. country
Tax depart. country
All items
Item Material Order Quan SU Description Net value Material group Net price ItCa
10 M002102001R 15.000 MT STAINLESS STEEL SCRAP 0.00 0.00 YSC2
001671 ciRP1 OVR
Create Scrap Ord O...
Stock Overview: Co...
scrap disposal - sd p...
02:25

GO TO HEADER

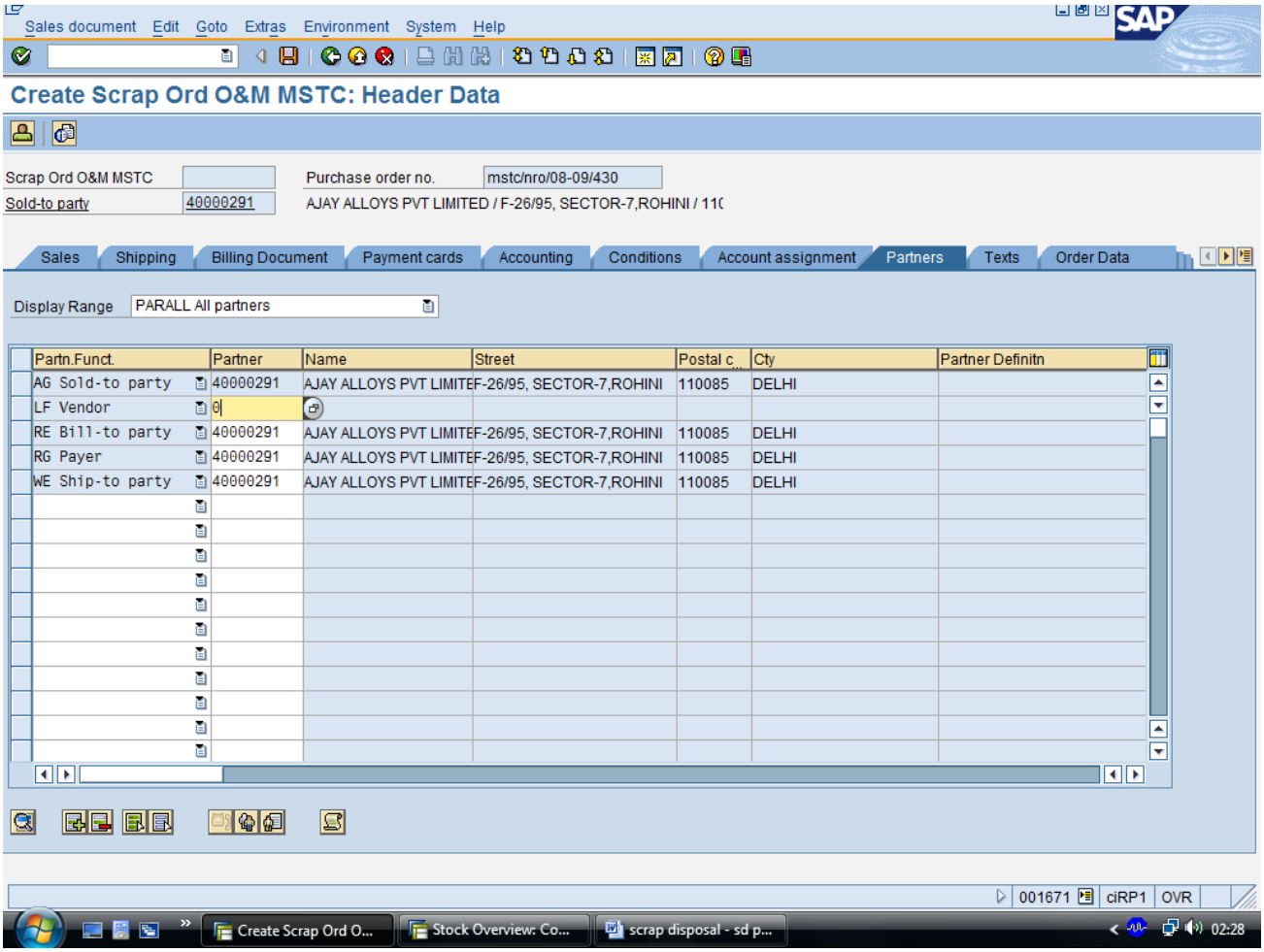

Sales document Edit Goto Extras Environment System Help
Create Scrap Ord O&M MSTC: Overview
Orders
Scrap Ord O&M MST(
Net value 0.00 INR
Sold-to party 40000291 AJAY ALLOYS PVT LIMITED / F-26/95, SECTOR-7,ROHINI / 1100
Ship-to party 40000291 AJAY ALLOYS PVT LIMITED / F-26/95, SECTOR-7,ROHINI / 1100
PO Number mstc/nro/08-09/430 PO date 12.05.2008
Display doc. header details
Sales Item overview Item detail Ordering party Procurement Shipping Fast data entry Reason for rejection
Shipping Cond. 01 standard
Billing
Fixed val.date
EU triang. deal
SubsInvProcess
Invoicing dates
Billing Date 13.06.2008
Add.value days
Serv.rendered date
Alt.tax classific. 2
Tax dest. country
Tax depart. country
All items
Item Material Order Quan SU Description Net value Material group Net price ItCa
10 M002102001R 15.000 MT STAINLESS STEEL SCRAP 0.00 0.00 YSC2
001671 ciRP1 OVR
Create Scrap Ord O...
Stock Overview: Co...
scrap disposal - sd p...
02:26

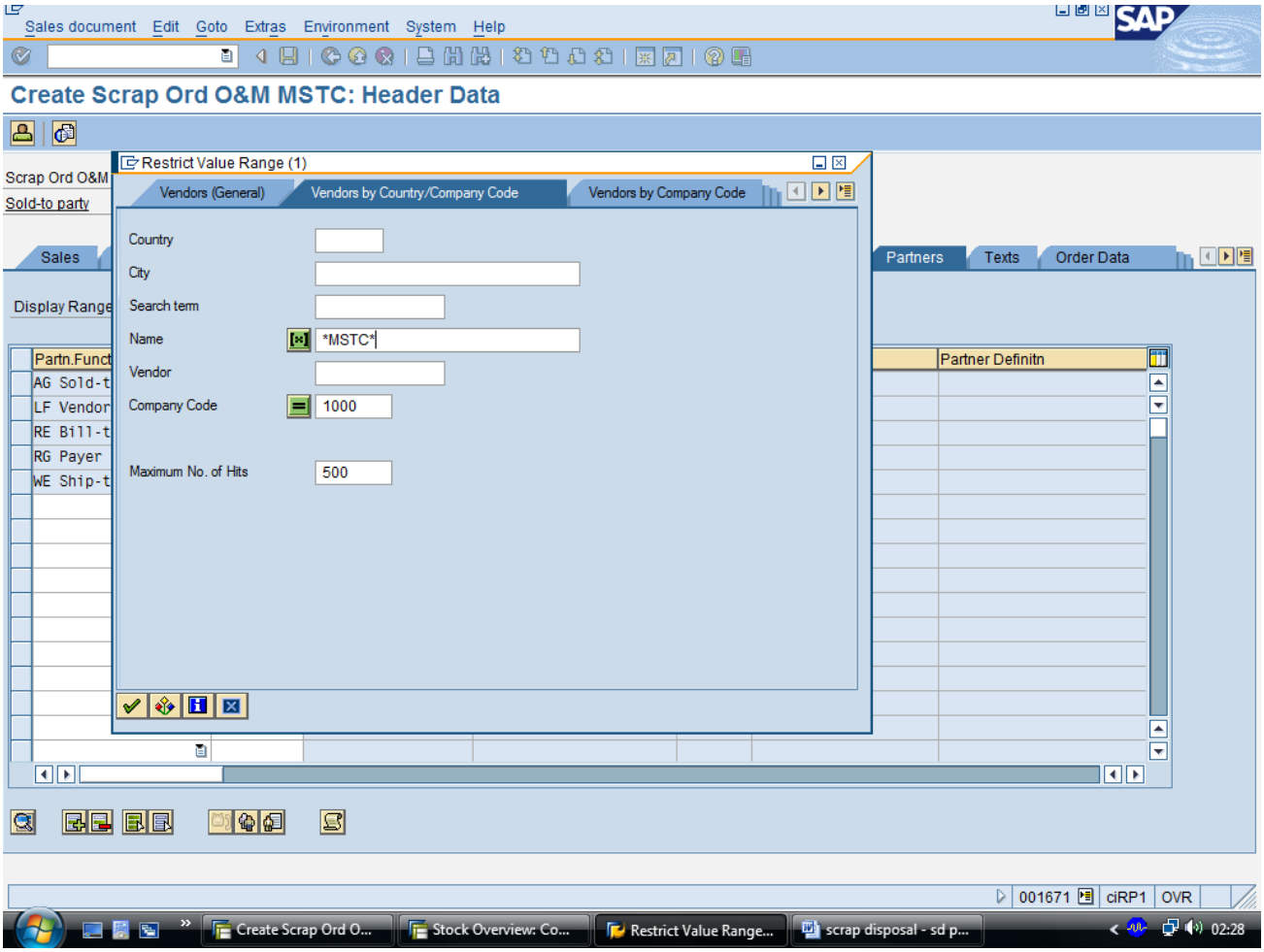

Sales document Edit Goto Extras Environment System Help
Overview
Header
Item
View
Loading Units and Aggregation Categories
Back F3
Sales
Shipping
Contract Data
Billing
Payment cards
Billing plan
Accounting
Conditions
Account assignment
Partner
Texts
Purchase order data
Status
Additional data A
Additional Functions
Create Scrap Or
Scrap Ord O&M MST(
Sold-to party 40000
Ship-to party 40000291 AJAY ALLOYS PVT LIMITED / F-26/95, SECTOR
PO Number mstc/nro/08-09/430 PO date 12.05.200
Sales Item overview Item detail Ordering party Procurement Reason for rejection
Shipping Cond. 01 standard
Billing
Fixed val.date EU triang. deal
Invoicing dates
Billing Date 13.06.2008 Add.value days
Serv.rendered date Alt.tax classific. 2
Tax dest. country Tax depart. country
All items
Item Material Order Quan SU Description Net value Material group Net price ItCa
10 M002102001R 15.000 MT STAINLESS STEEL SCRAP 0.00 0.00 YSC2
001671 ciRP1 OVR
Create Scrap Ord O...
Stock Overview: Co...
scrap disposal - sd p...
02:26

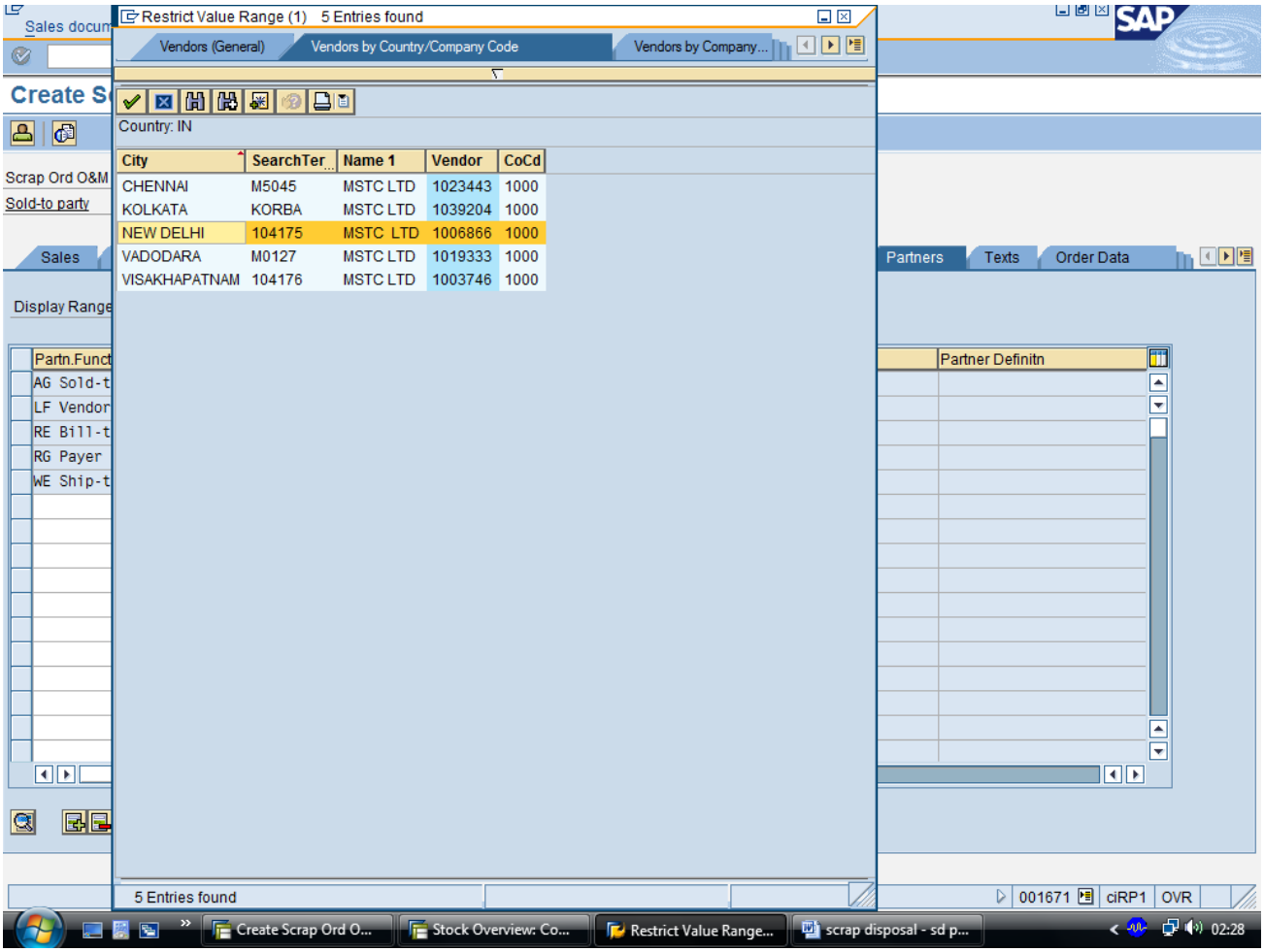

Sales document Edit Goto Extras Environment System Help
Create Scrap Ord O&M MSTC: Header Data
Scrap Ord O&M MSTC
Purchase order no. mstc/nro/08-09/430
Sold-to party 40000291
AJAY ALLOYS PVT LIMITED / F-26/95, SECTOR-7,ROHINI / 11(
Sales Shipping Billing Document Payment cards Accounting Conditions Account assignment Partners Texts Order Data
Payer 40000291 AJAY ALLOYS PVT LIMITED / F-26/95, SECTOR-7,ROHINI / 1
Delivery and payment terms
Incoterms
Fixed val.date
Terms of Payment 0001 Pay immediately w/o deduc
Add.value days
Billing
Billing block
SubsInvProcess
Invoicing dates
Billing Date 13.06.2008
CCode to be billed 1000 NTPC Limited
BillingPlanType
Serv.rendered date
Alt.tax classific. 2
Tax depart. country
Tax dest. country
EU triang. deal
Risk management
Paymt guarant. proc. 000002 Payment cards
Financial doc. no.
Depreciation %
Fin. Docs
001671 ciRP1 OVR
Create Scrap Ord O...
Stock Overview: Co...
scrap disposal - sd p...
02:27



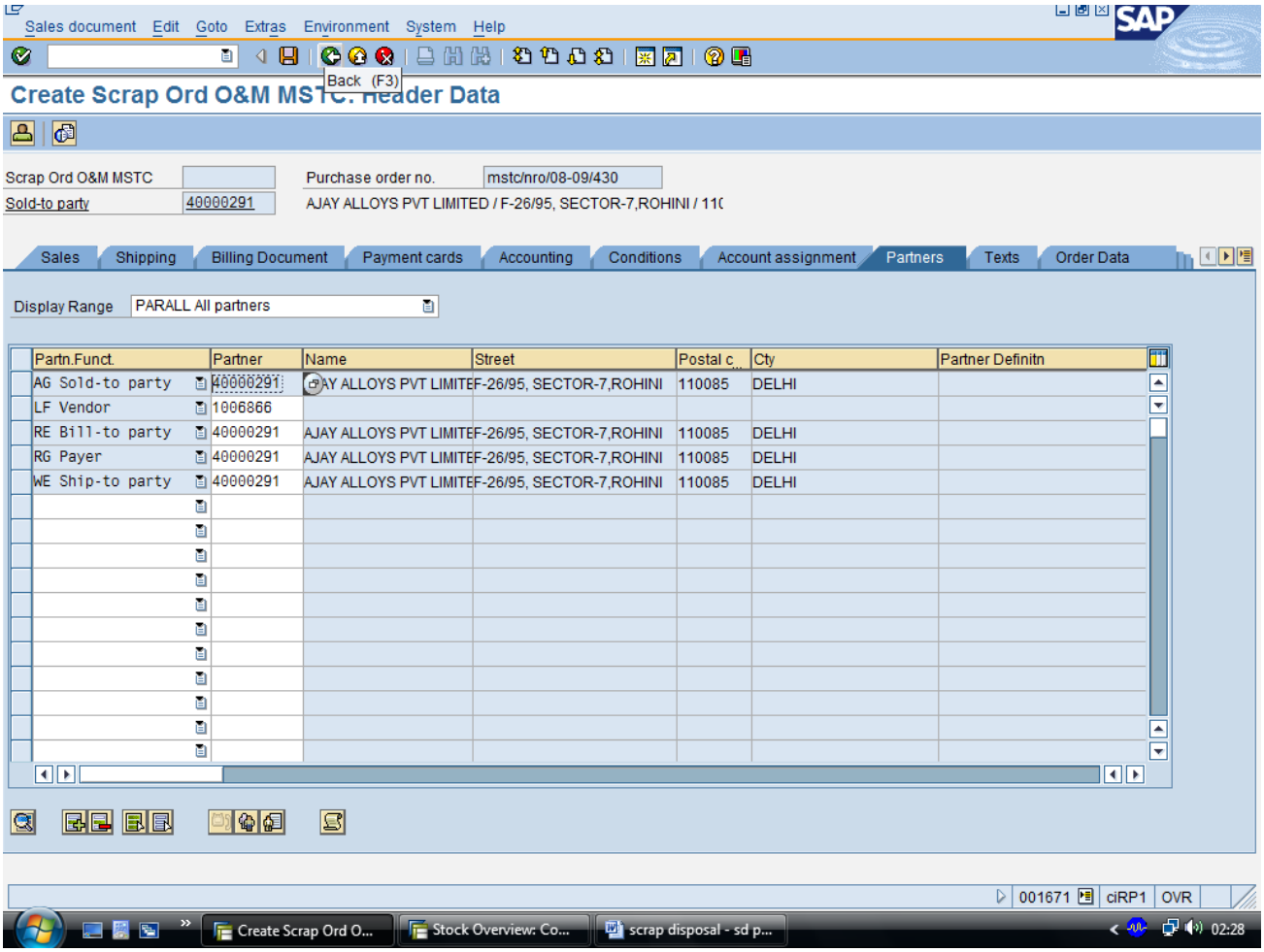
GO TO PARTNERS TAB


Sales document Edit Goto Extras Environment System Help
Create Scrap Ord O&M MSTC: Header Data
Scrap Ord O&M MSTC
Purchase order no. mstc/nro/08-09/430
Sold-to party 40000291
AJAY ALLOYS PVT LIMITED / F-26/95, SECTOR-7,ROHINI / 110
Sales Shipping Billing Document Payment cards Accounting Conditions Account assignment Partners Texts Order Data
Display Range PARALL All partners
Partn.Funct. Partner Name Street Postal c... Cty Partner Definitn
AG Sold-to party 40000291 AJAY ALLOYS PVT LIMITE F-26/95, SECTOR-7,ROHINI 110085 DELHI
LF Vendor 0
RE Bill-to party 40000291 AJAY ALLOYS PVT LIMITE F-26/95, SECTOR-7,ROHINI 110085 DELHI
RG Payer 40000291 AJAY ALLOYS PVT LIMITE F-26/95, SECTOR-7,ROHINI 110085 DELHI
WE Ship-to party 40000291 AJAY ALLOYS PVT LIMITE F-26/95, SECTOR-7,ROHINI 110085 DELHI
001671 ciRP1 OVR
Create Scrap Ord O...
Stock Overview: Co...
scrap disposal - sd p...
02:28

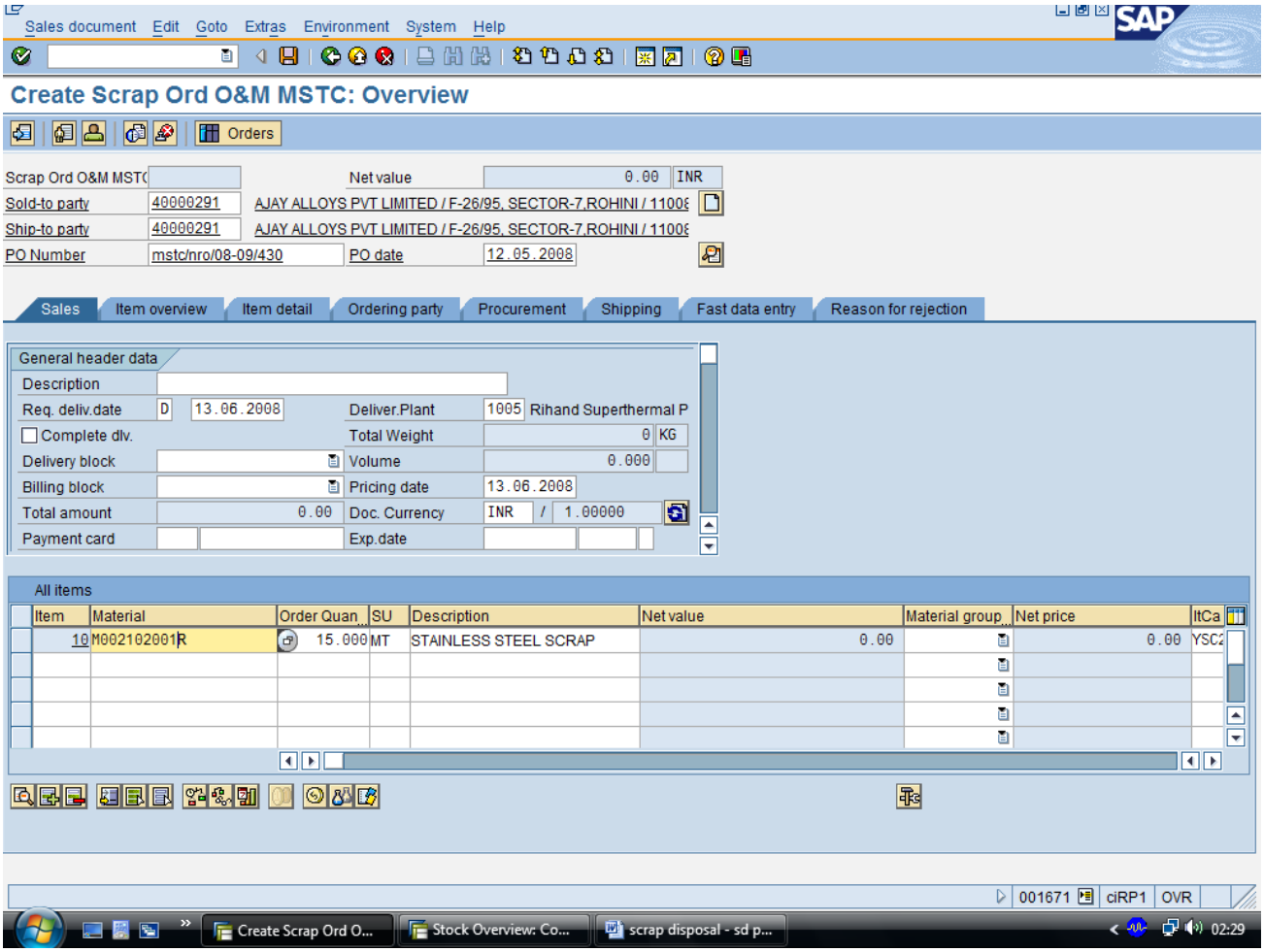

Sales document Edit Goto Extras Environment System Help
Create Scrap Ord O&M MSTC: Header Data
Restrict Value Range (1)
Vendors (General)
Vendors by Country/Company Code
Vendors by Company Code
Country
City
Search term
Name
MSTC
Vendor
Company Code
1000
Maximum No. of Hits
500
Scrap Ord O&M
Sold-to party
Sales
Partners
Texts
Order Data
Display Range
Partn.Funct
Partner Definitn
AG Sold-t
LF Vendor
RE Bill-t
RG Payer
WE Ship-t
001671
ciRP1
OVR
Create Scrap Ord O...
Stock Overview: Co...
Restrict Value Range...
scrap disposal - sd p...
02:28


Restrict Value Range (1) 5 Entries found
Vendors (General)
Vendors by Country/Company Code
Vendors by Company...
Country: IN
City
SearchTer...
Name 1
Vendor
CoCd
CHENNAI M5045 MSTC LTD 1023443 1000
KOLKATA KORBA MSTC LTD 1039204 1000
NEW DELHI 104175 MSTC LTD 1006866 1000
VADODARA M0127 MSTC LTD 1019333 1000
VISAKHAPATNAM 104176 MSTC LTD 1003746 1000
5 Entries found
Sales
Partners
Texts
Order Data
Partner Definitn
Partn.Funct
AG Sold-t
LF Vendor
RE Bill-t
RG Payer
WE Ship-t
Create Scrap Ord O...
Stock Overview: Co...
Restrict Value Range...
scrap disposal - sd p...
02:28

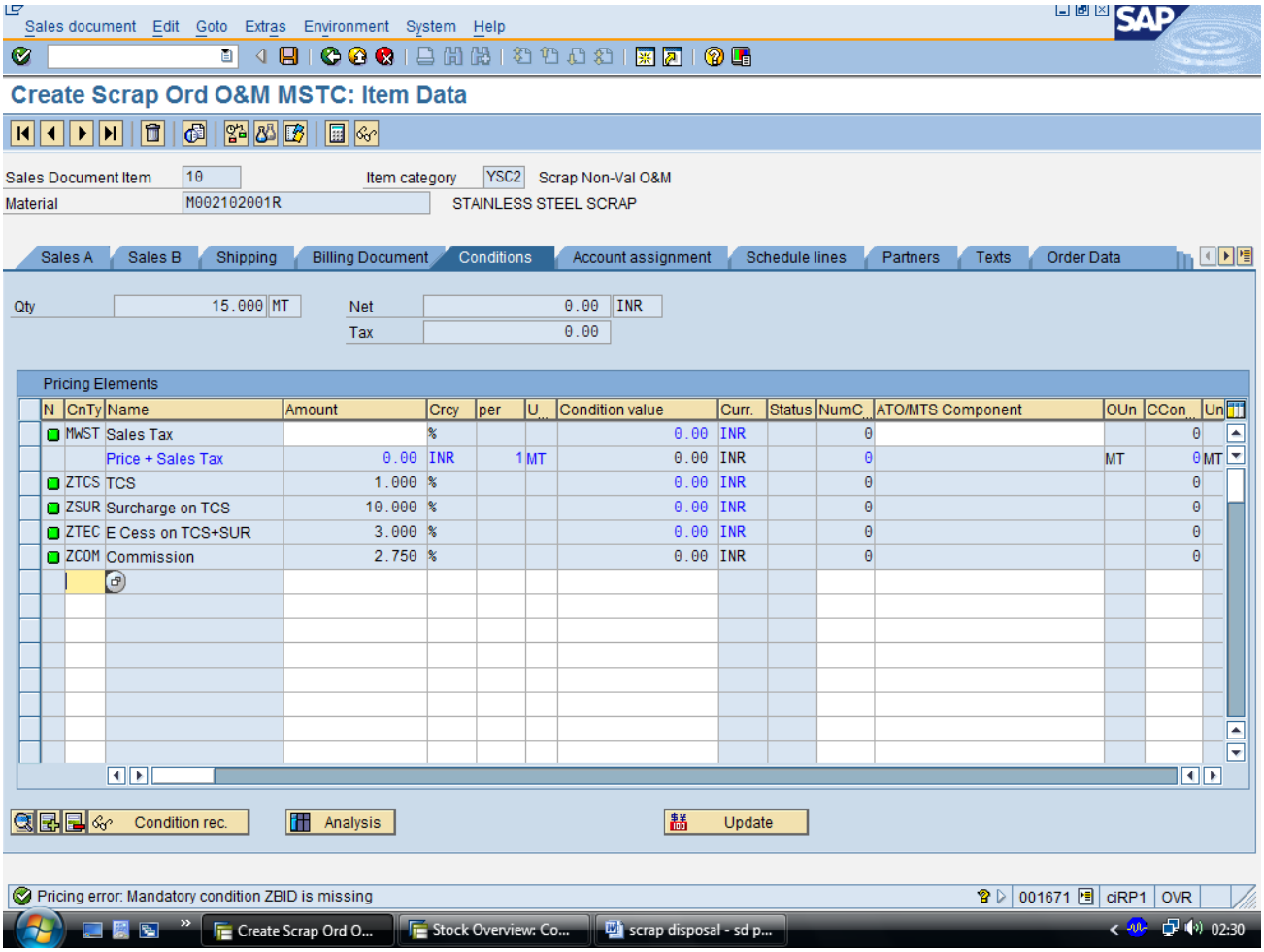
GO BACK



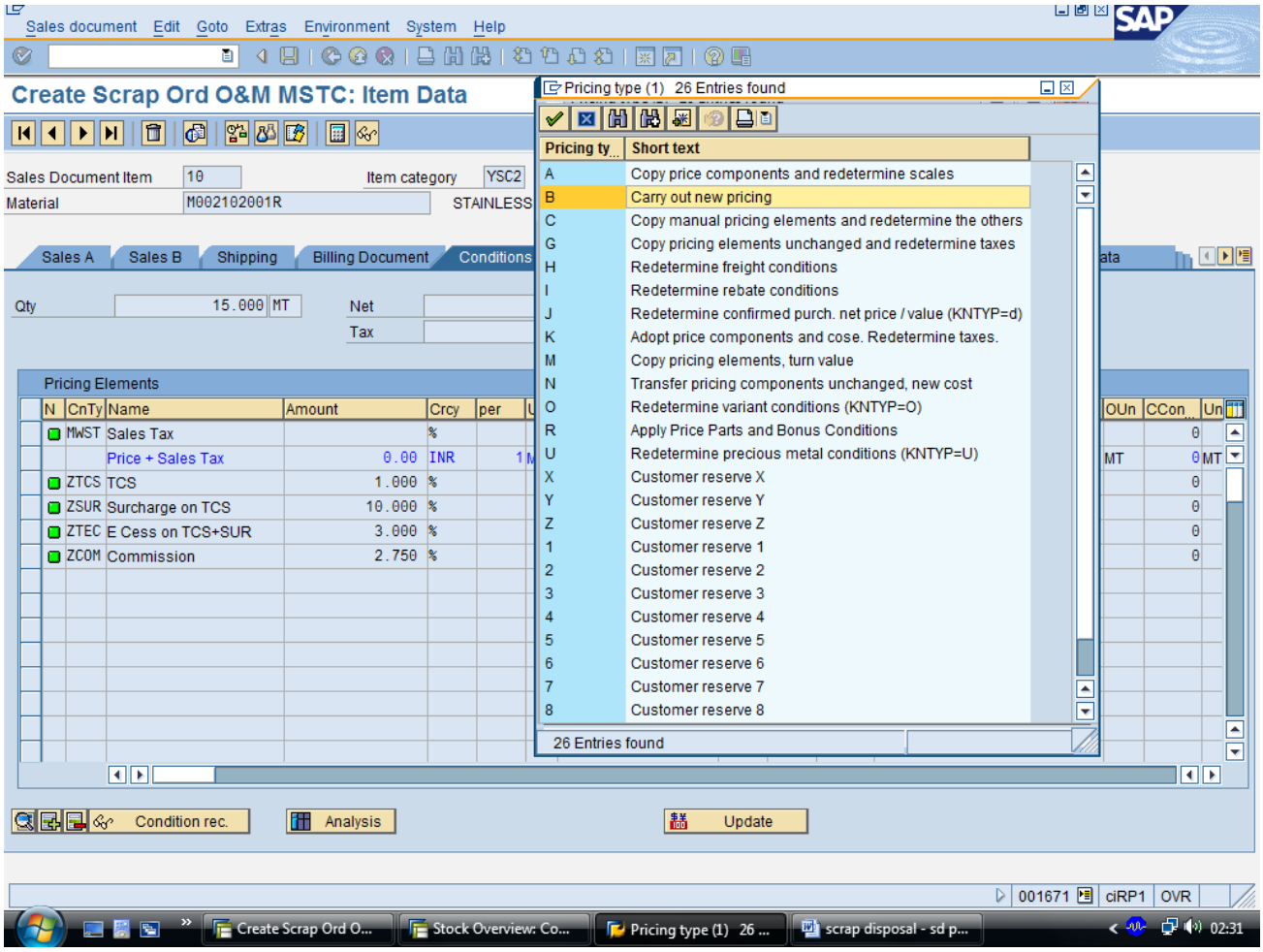
CLICK LINE ITEM FOR PRICE CHECK

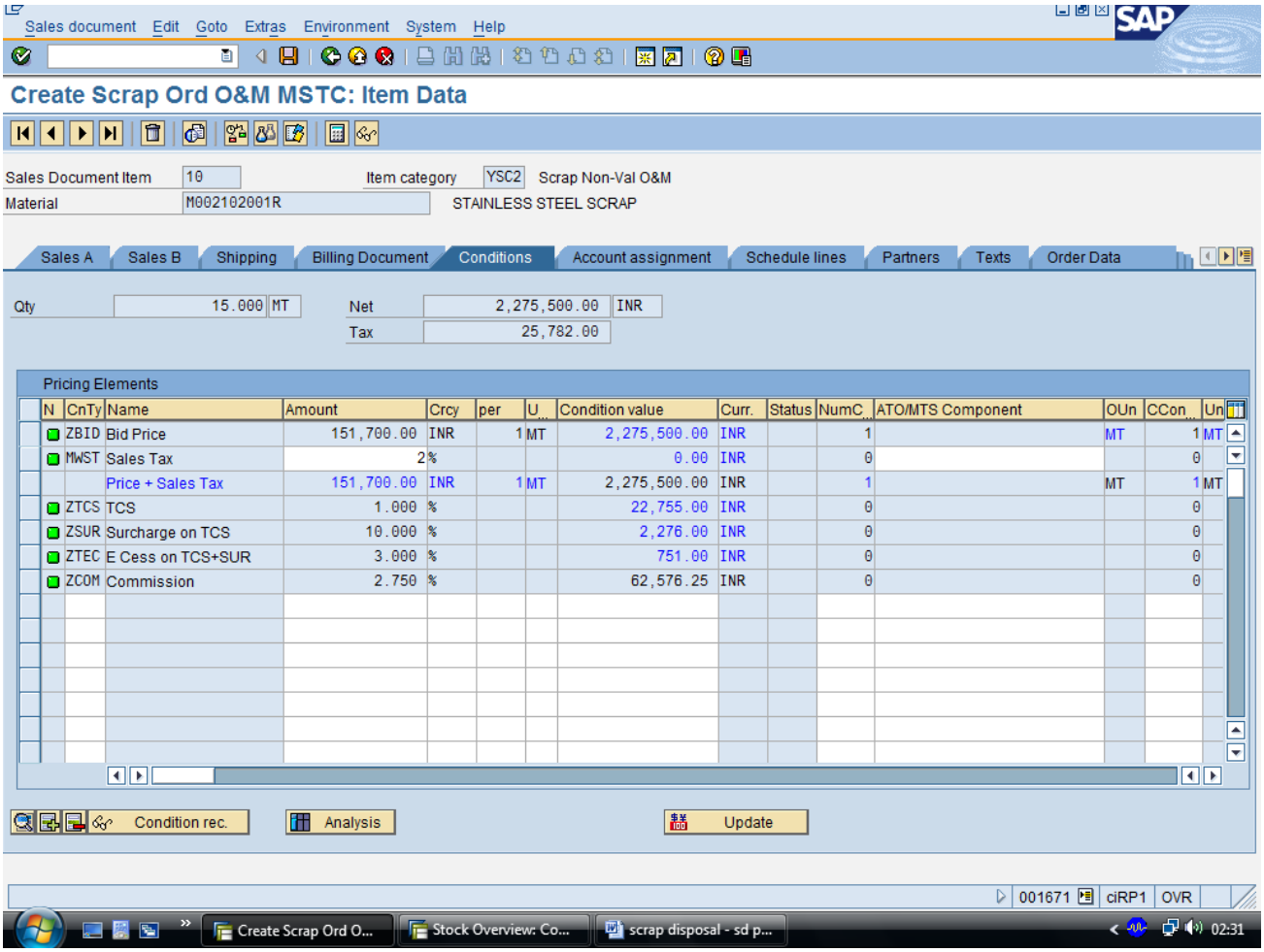


GO TO CONDITIONS TAB



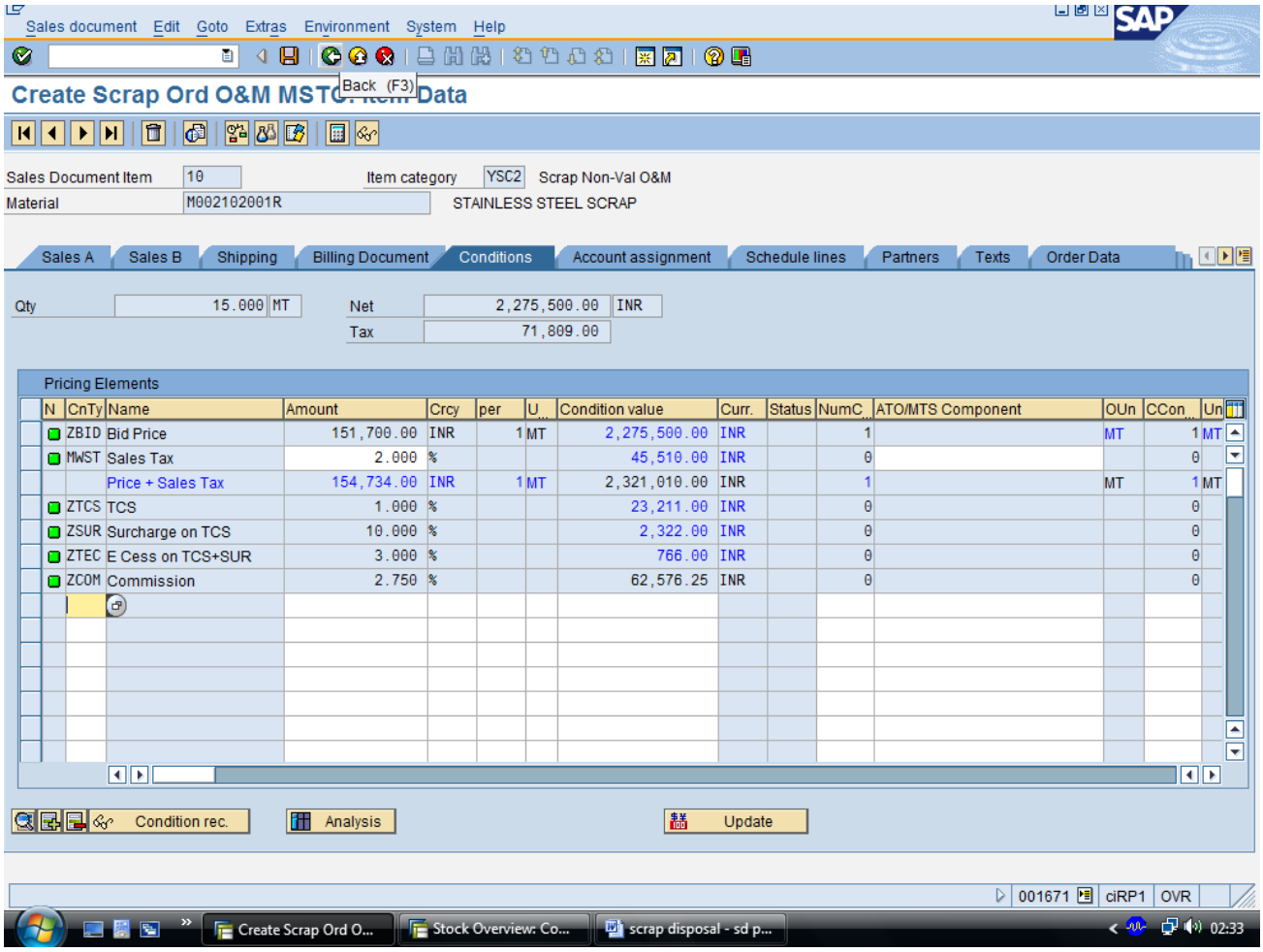
CLICK UPDATE BUTTON


Sales document Edit Goto Extras Environment System Help
Create Scrap Ord O&M MSTC: Item Data
Sales Document Item 10
Item category YSC2
Material M002102001R
STAINLESS
Sales A Sales B Shipping Billing Document Conditions
Qty 15.000 MT
Net
Tax
Pricing Elements
N CnTy Name Amount Crcy per
MWST Sales Tax %
Price + Sales Tax 0.00 INR
ZTCS TCS 1.000 %
ZSUR Surcharge on TCS 10.000 %
ZTEC E Cess on TCS+SUR 3.000 %
ZCOM Commission 2.750 %
OUn CCon Un
Condition rec.
Analysis
Update
Pricing type (1) 26 Entries found
Pricing ty... Short text
A Copy price components and redetermine scales
B Carry out new pricing
C Copy manual pricing elements and redetermine the others
G Copy pricing elements unchanged and redetermine taxes
H Redetermine freight conditions
I Redetermine rebate conditions
J Redetermine confirmed purch. net price / value (KNTYP=d)
K Adopt price components and cose. Redetermine taxes.
M Copy pricing elements, turn value
N Transfer pricing components unchanged, new cost
O Redetermine variant conditions (KNTYP=O)
R Apply Price Parts and Bonus Conditions
U Redetermine precious metal conditions (KNTYP=U)
X Customer reserve X
Y Customer reserve Y
Z Customer reserve Z
1 Customer reserve 1
2 Customer reserve 2
3 Customer reserve 3
4 Customer reserve 4
5 Customer reserve 5
6 Customer reserve 6
7 Customer reserve 7
8 Customer reserve 8
26 Entries found
001671 ciRP1 OVR
Create Scrap Ord O...
Stock Overview: Co...
Pricing type (1) 26 ...
scrap disposal - sd p...
02:31

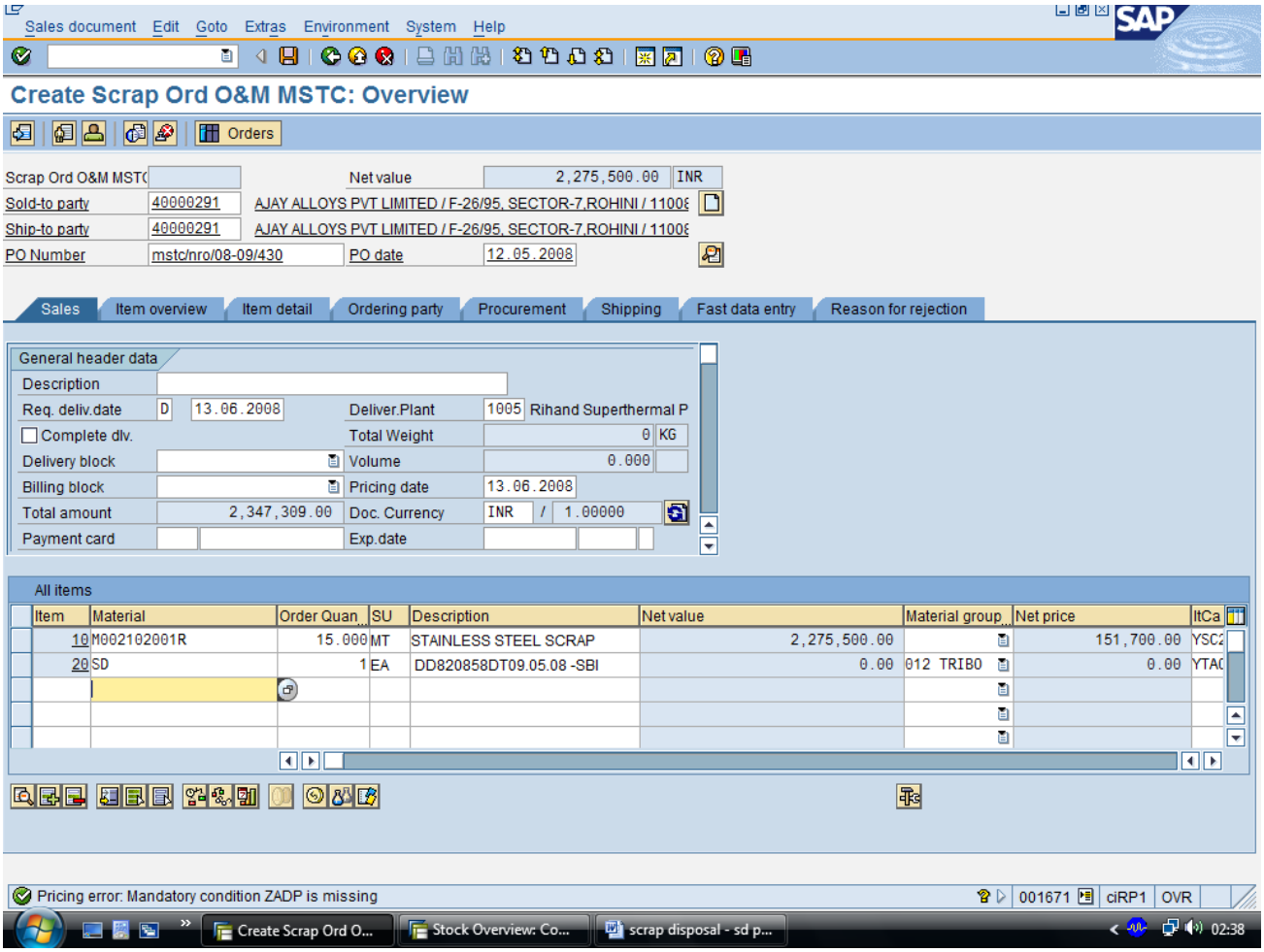


ENTER

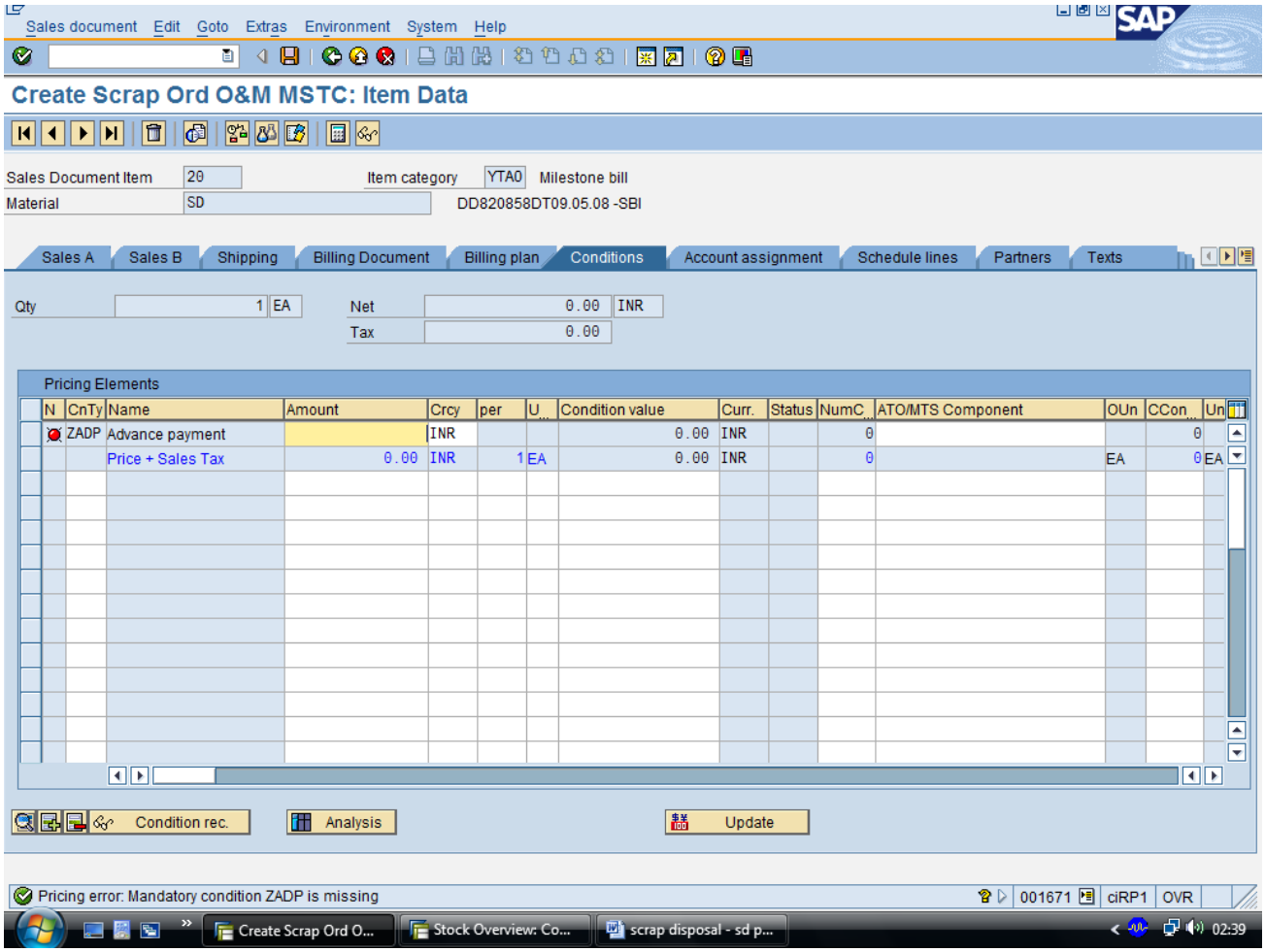
GO BACK

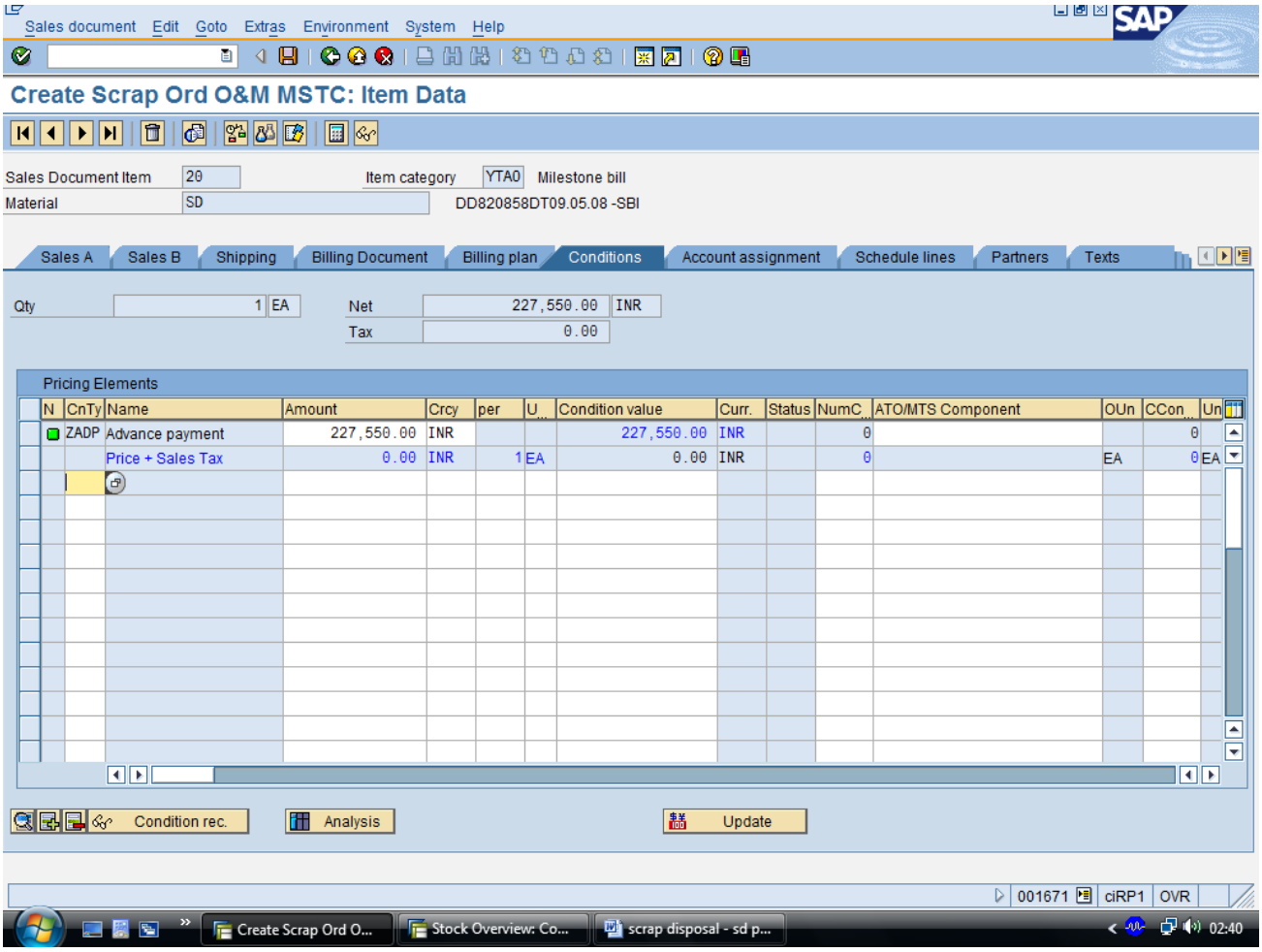


ENTER SD (ADVANCE) LINE ITEM DETAILS

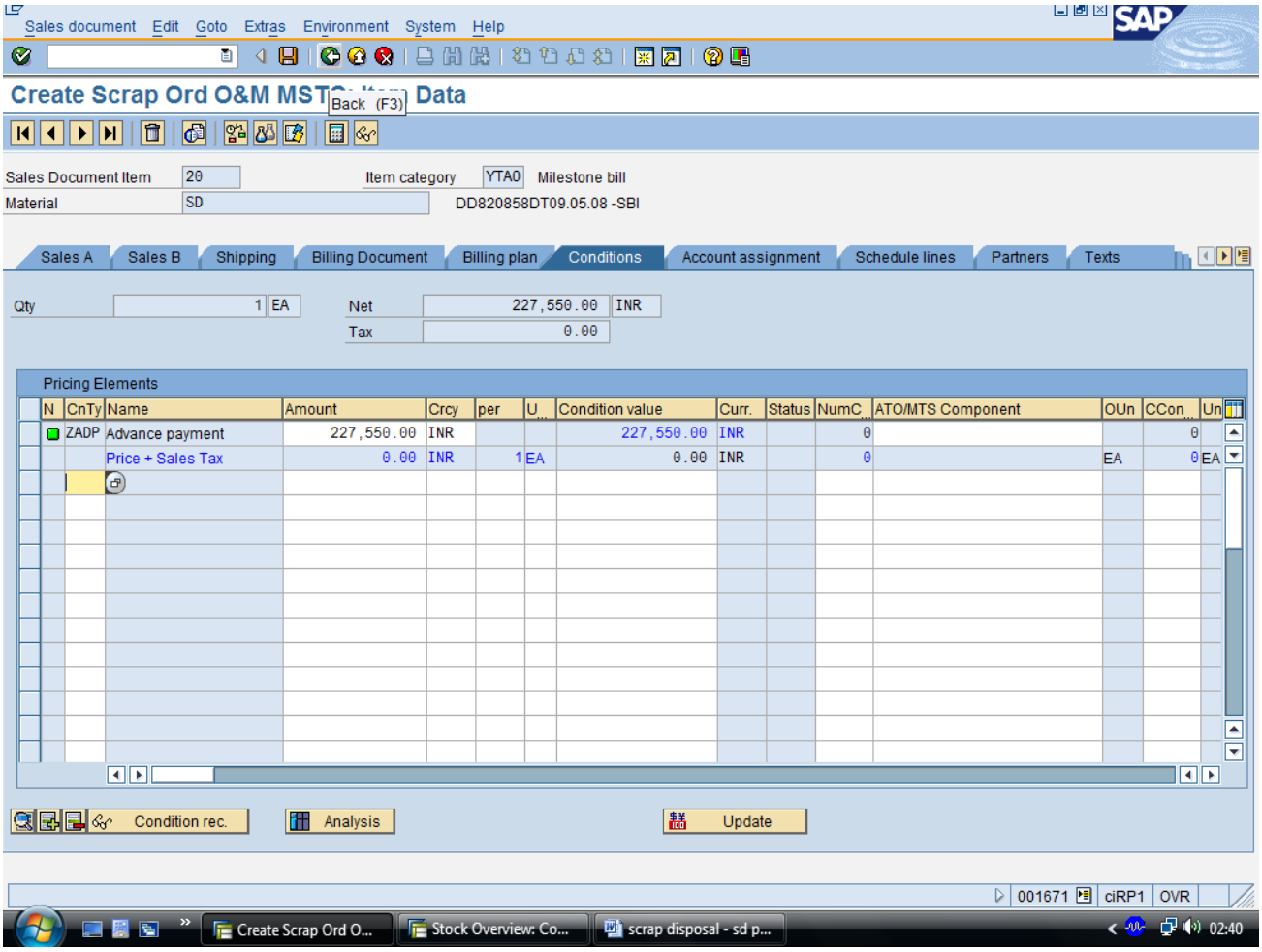


CLICK THE SD LINE ITEM FOR ENTERING DD VALUE


Sales document Edit Goto Extras Environment System Help
Create Scrap Ord O&M MSTC: Item Data
Sales Document Item 20
Item category YTA0 Milestone bill
Material SD
DD820858DT09.05.08 -SBI
Sales A Sales B Shipping Billing Document Billing plan Conditions Account assignment Schedule lines Partners Texts
Qty 1 EA
Net 0.00 INR
Tax 0.00
Pricing Elements
N CnTy Name Amount Crcy per U... Condition value Curr. Status NumC... ATO/MTS Component OUn CCon... Un...
ZADP Advance payment INR 0.00 INR 0
Price + Sales Tax 0.00 INR 1 EA 0.00 INR 0 EA 0 EA
Condition rec.
Analysis
Update
Pricing error: Mandatory condition ZADP is missing
001671 ciRP1 OVR
Create Scrap Ord O...
Stock Overview: Co...
scrap disposal - sd p...
02:39



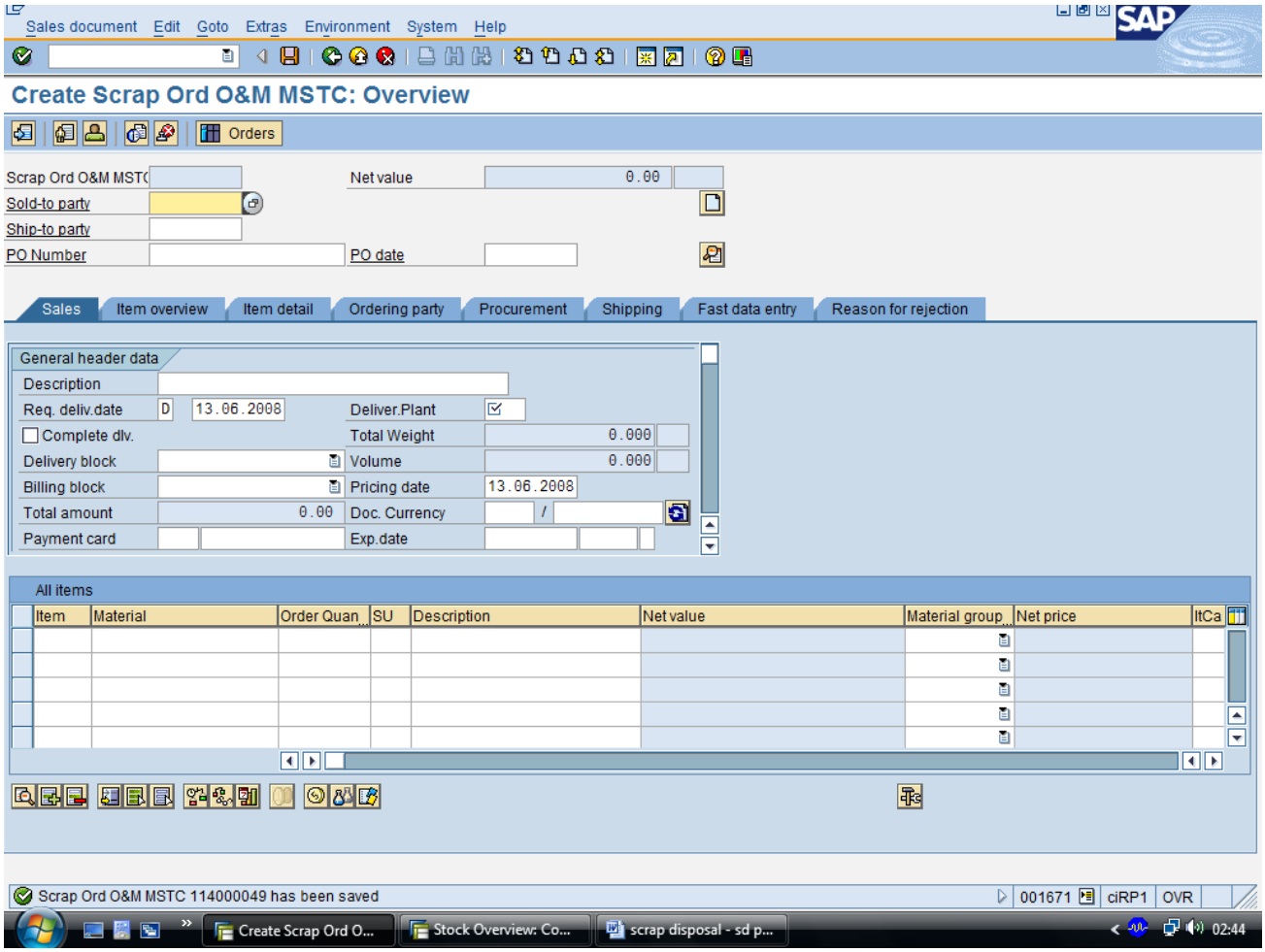
ENTER VALUE --- PRESS ENTER--- GO BACK



SD LINE ITEMS SHOULD BE ENTERED CHQ/DDWISE

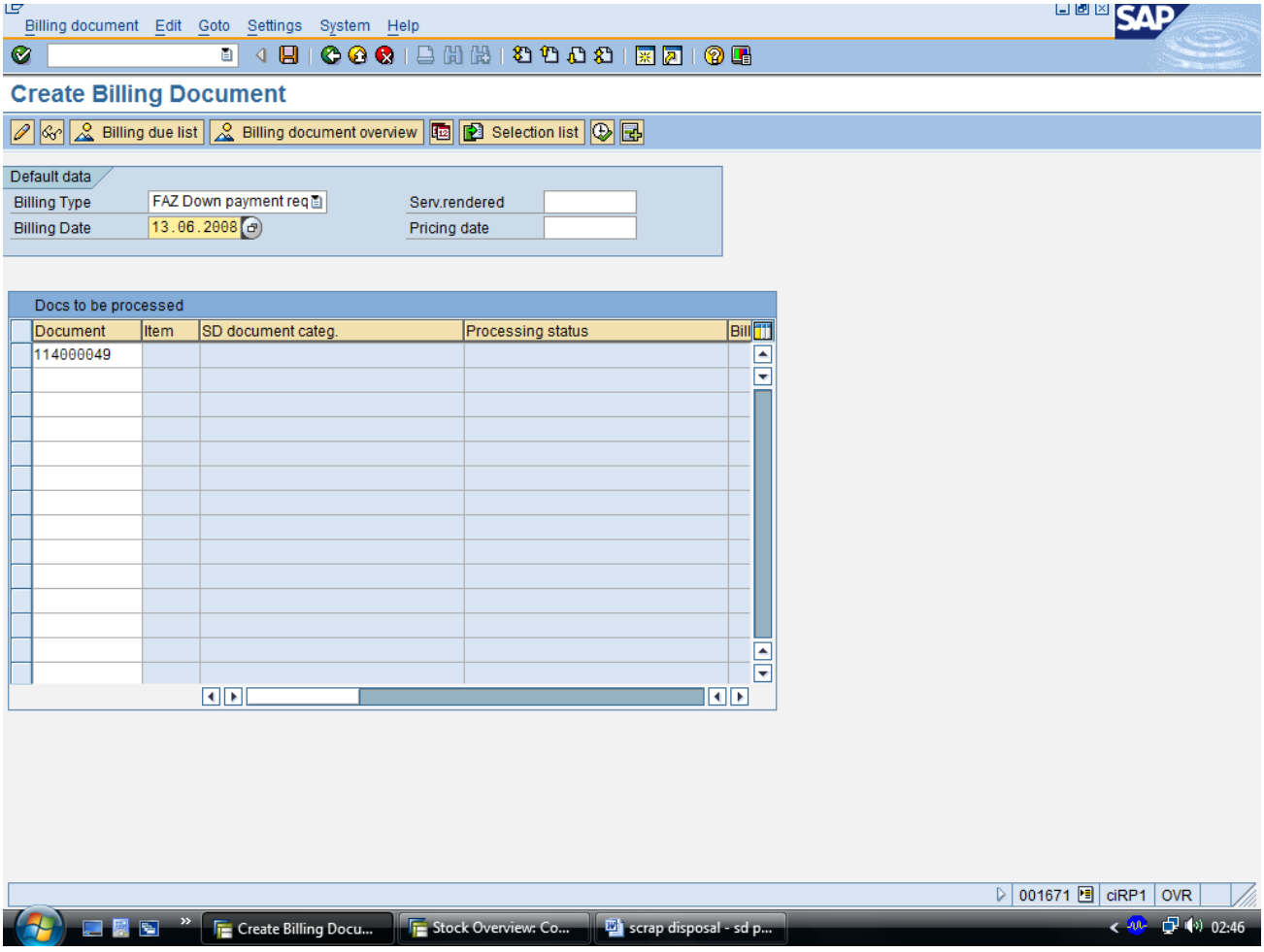
BILL ONE AT A TIME FOR DOWNPAYMENT REQUEST.

SAVE THE ORDER

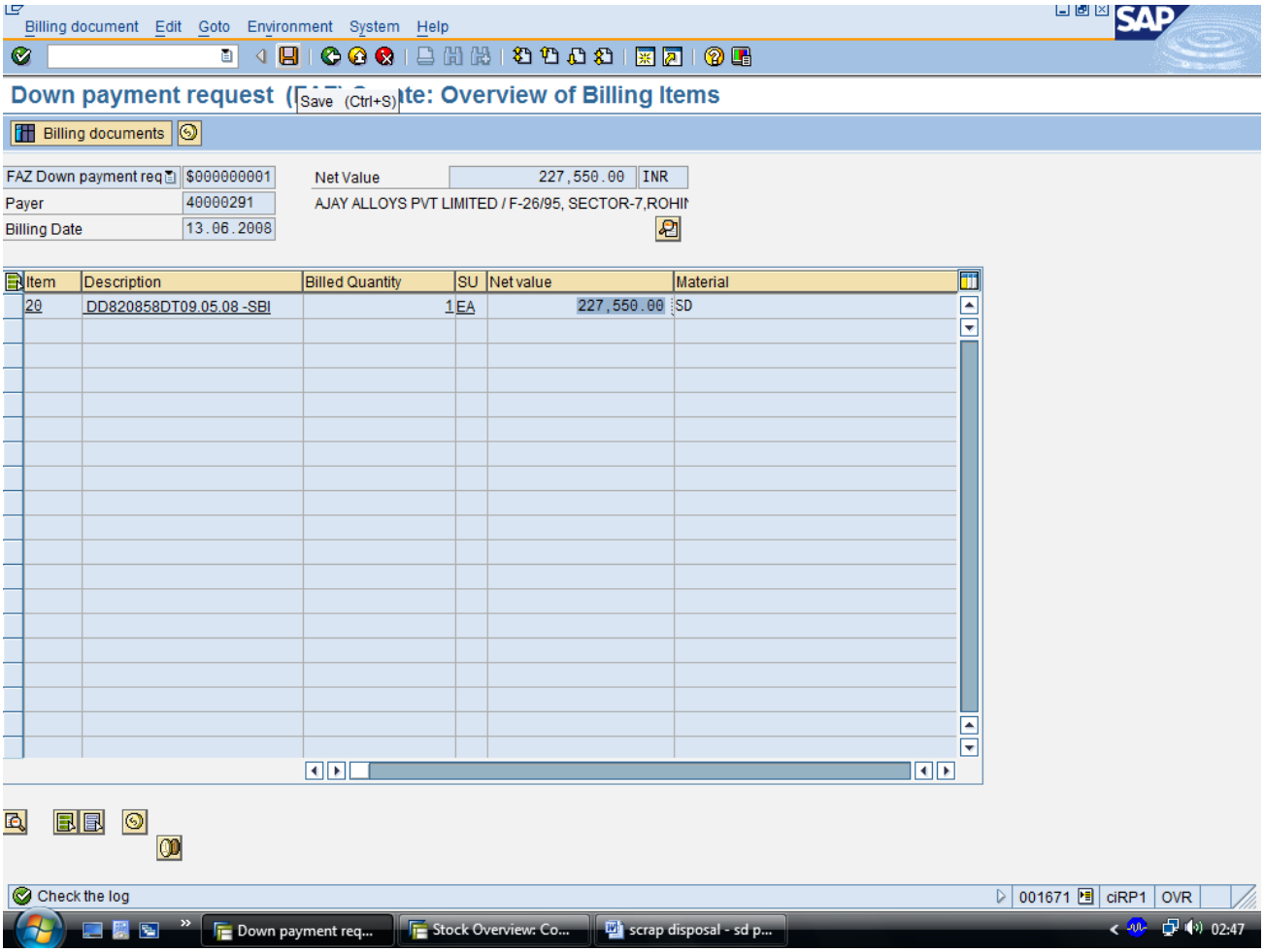

Sales document Edit Goto Extras Environment System Help
Create Scrap Ord O&M MSTC: Overview
Orders
Scrap Ord O&M MST(
Net value
0.00
Sold-to party
Ship-to party
PO Number
PO date
Sales
Item overview
Item detail
Ordering party
Procurement
Shipping
Fast data entry
Reason for rejection
General header data
Description
Req. deliv.date
13.06.2008
Deliver.Plant
Complete dlv.
Total Weight
0.000
Delivery block
Volume
0.000
Billing block
Pricing date
13.06.2008
Total amount
0.00
Doc. Currency
Payment card
Exp.date
All items
Item
Material
Order Quan
SU
Description
Net value
Material group
Net price
ItCa
Scrap Ord O&M MSTC 114000049 has been saved
001671
ciRP1
OVR
Create Scrap Ord O...
Stock Overview: Co...
scrap disposal - sd p...
02:44

CREATION OF DOWNPAYMENT REQUEST

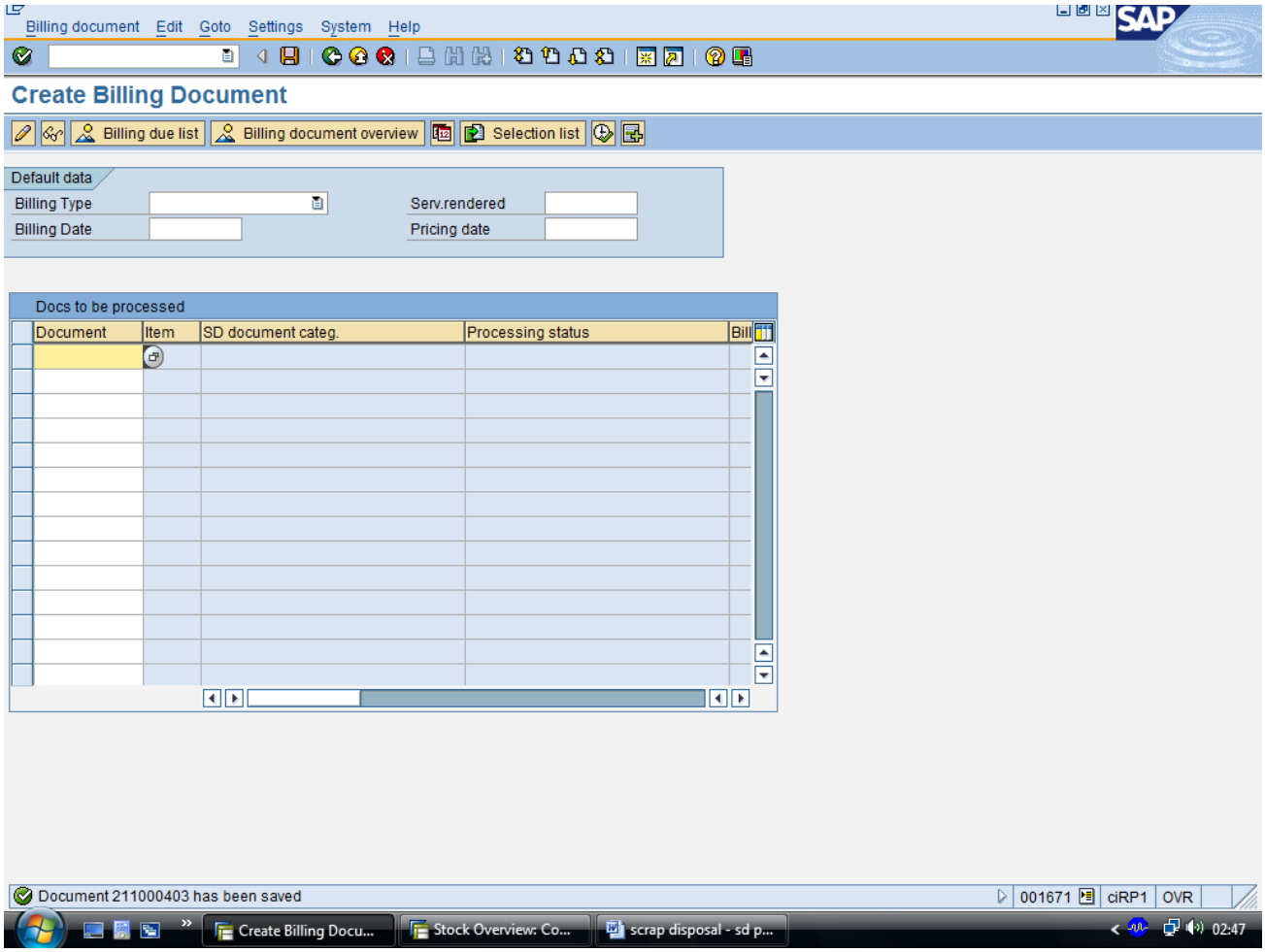
T-CODE – VF01
BILLING TYPE – FAZ
GIVE SALES ORDER No



Press enter key

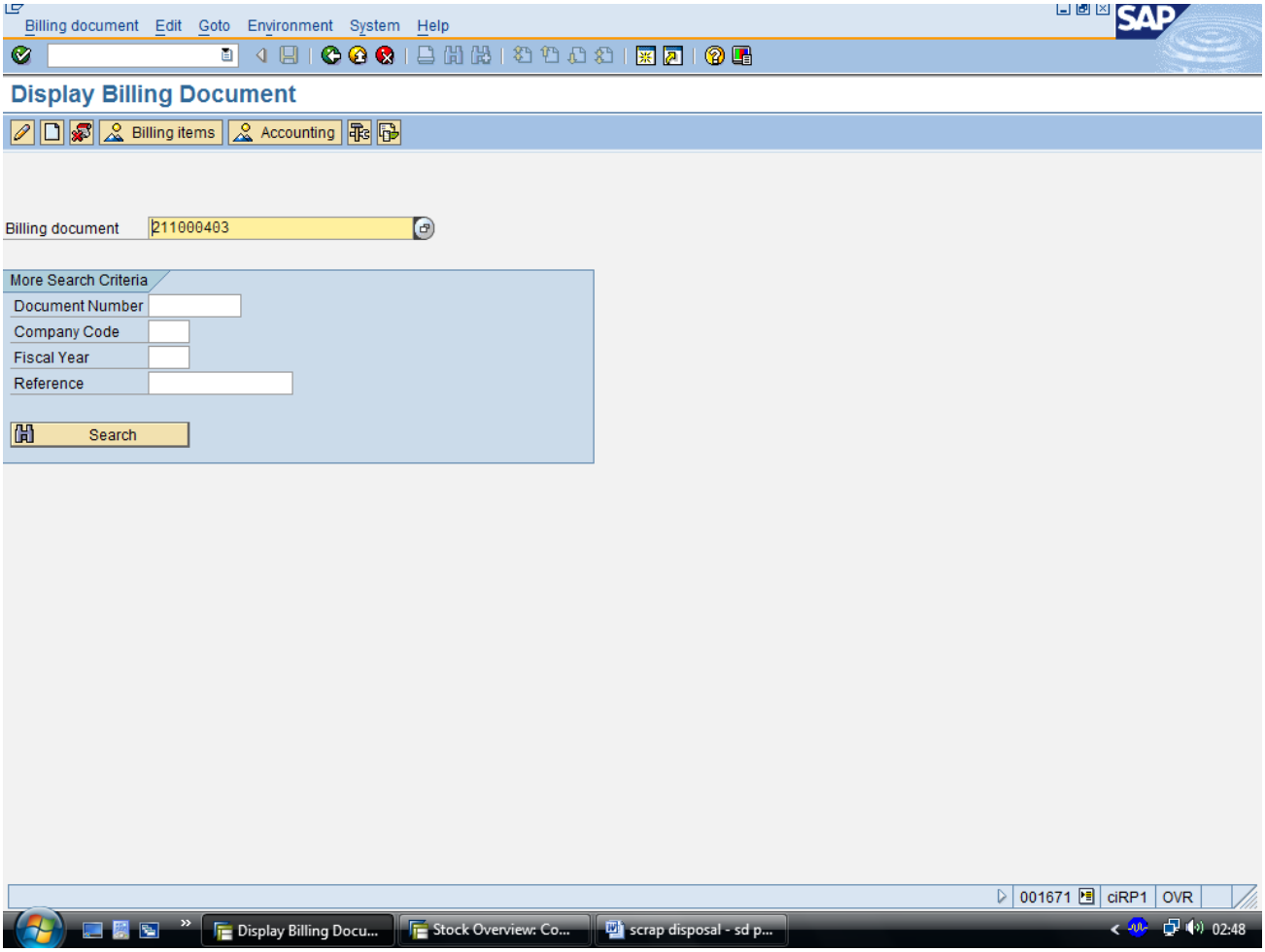

Billing document Edit Goto Environment System Help
Down payment request (te: Overview of Billing Items
Save (Ctrl+S)
Billing documents
FAZ Down payment req $000000001
Payer 40000291
Billing Date 13.06.2008
Net Value 227,550.00 INR
AJAY ALLOYS PVT LIMITED / F-26/95, SECTOR-7,ROHI
Item Description Billed Quantity SU Net value Material
20 DD820858DT09.05.08 -SBI 1 EA 227,550.00 SD
Check the log
001671 ciRP1 OVR
Down payment req...
Stock Overview: Co...
scrap disposal - sd p...
02:47

SAVE

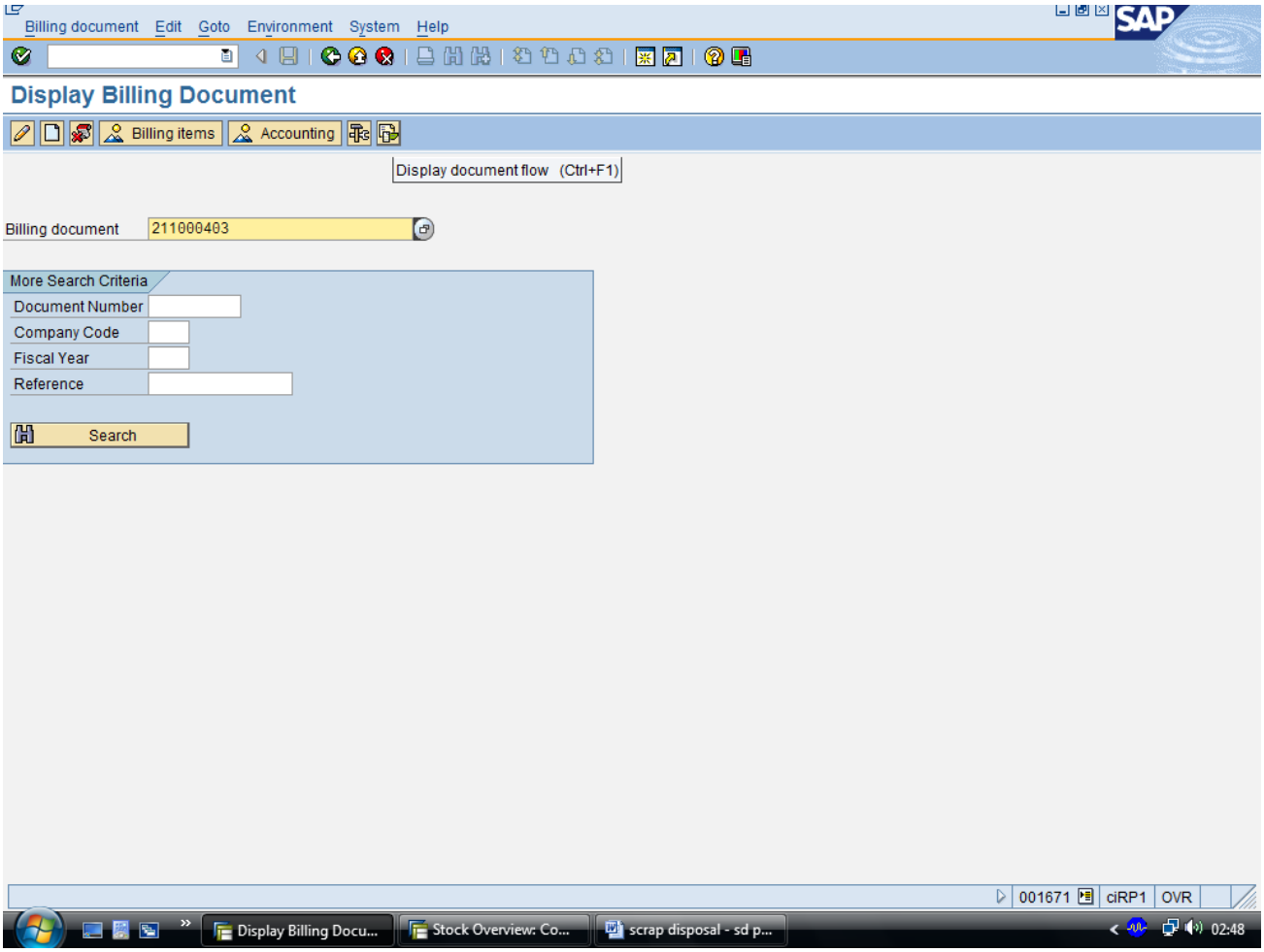

Billing document Edit Goto Settings System Help
Create Billing Document
Billing due list
Billing document overview
Selection list
Default data
Billing Type
Billing Date
Serv.rendered
Pricing date
Docs to be processed
Document
Item
SD document categ.
Processing status
Bill
Document 211000403 has been saved
001671
ciRP1
OVR
Create Billing Docu...
Stock Overview: Co...
scrap disposal - sd p...
02:47

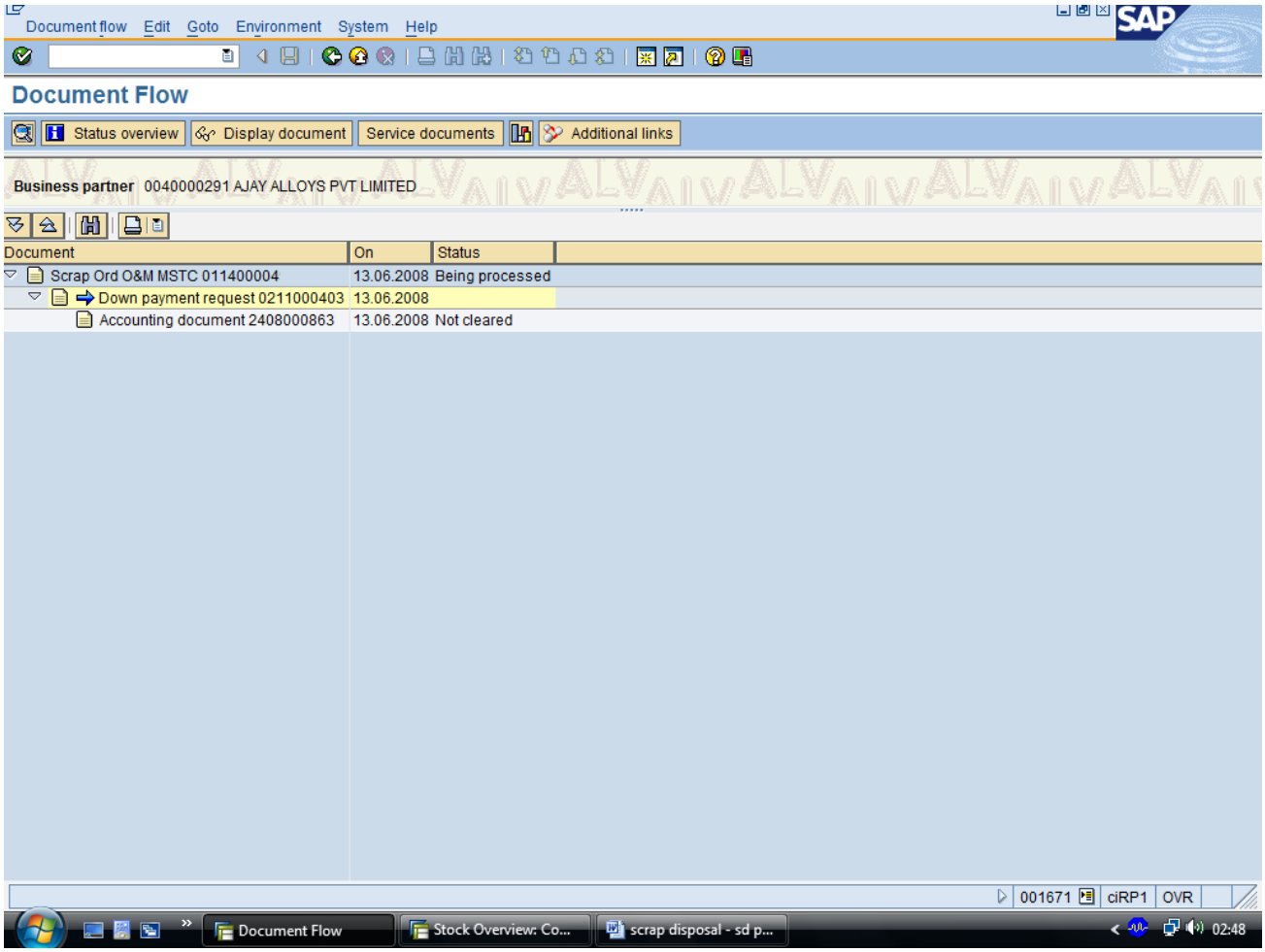
DOWN PAYMENT REQUEST CREATED.

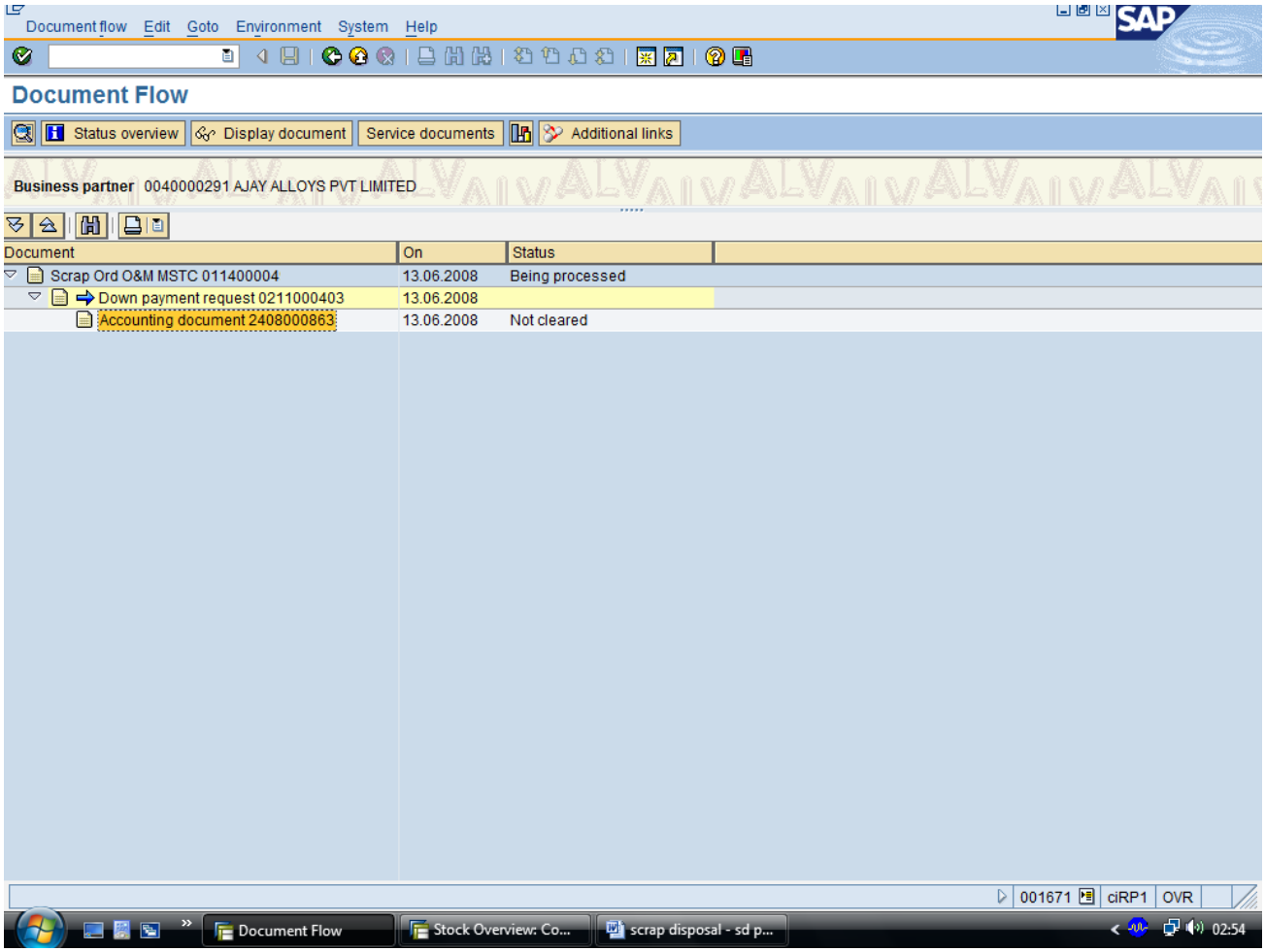
T-CODE BILLING DISPLAY = VF03

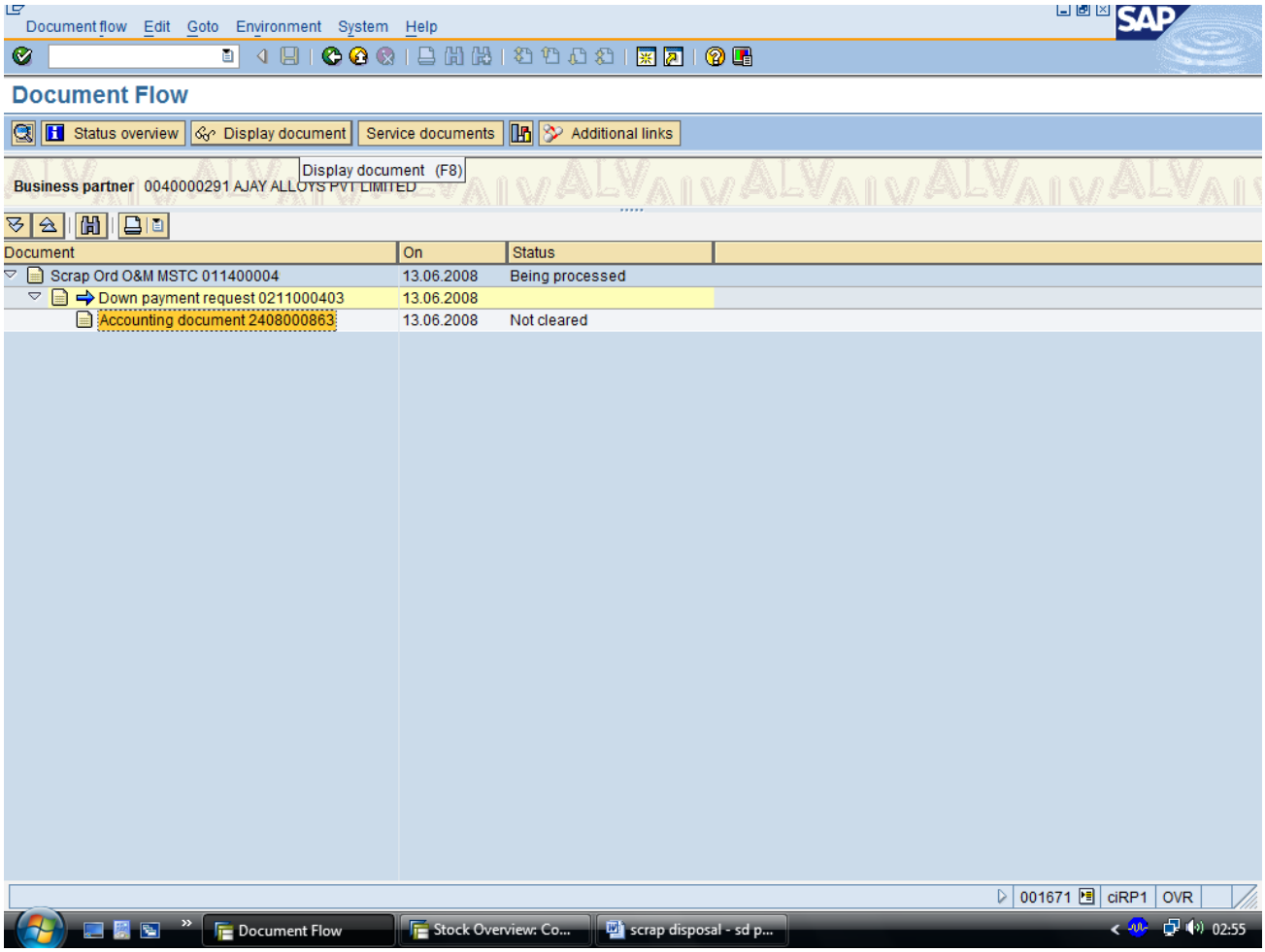


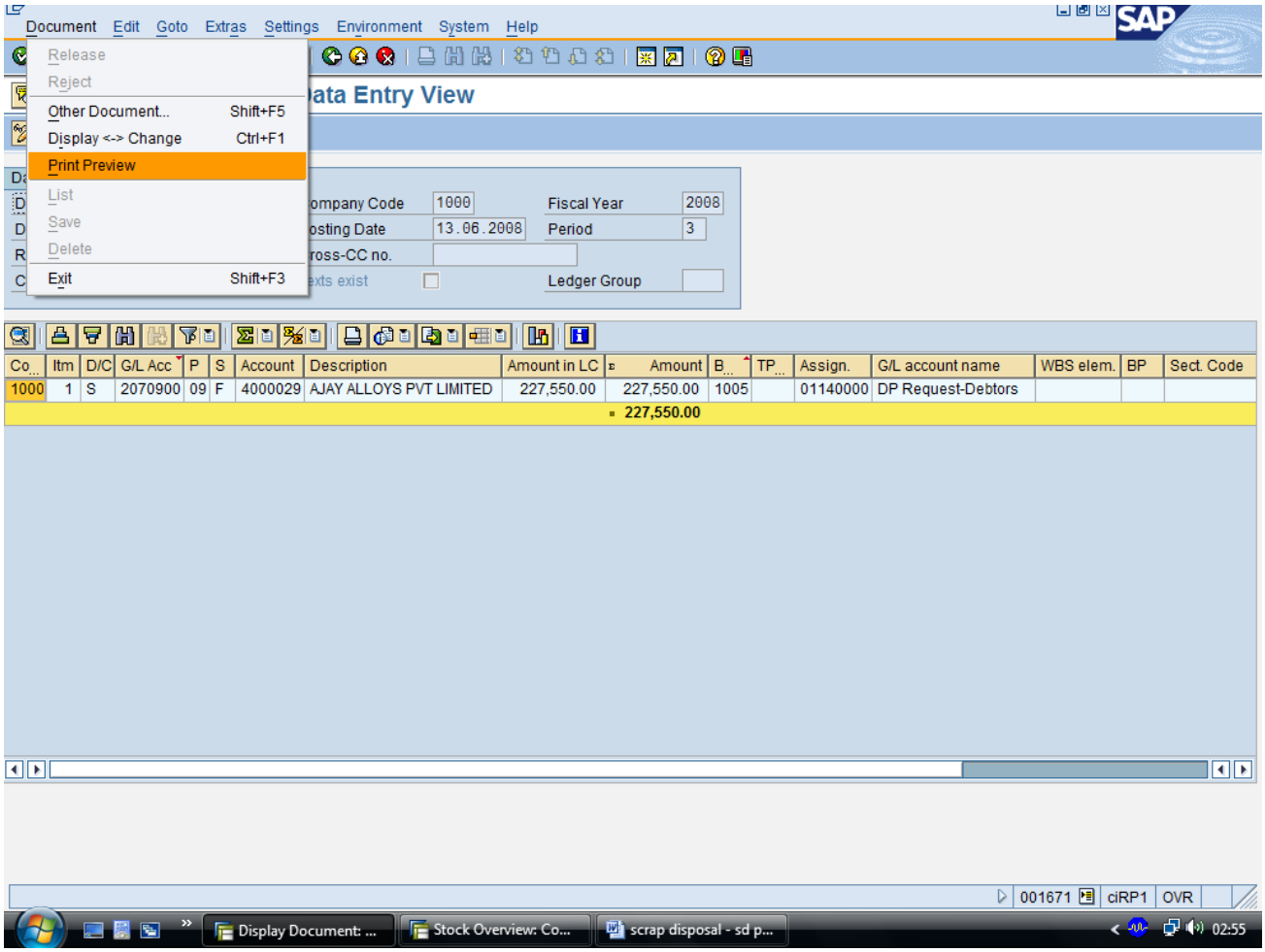
GO TO DISPLAY DOCUMENT FLOW

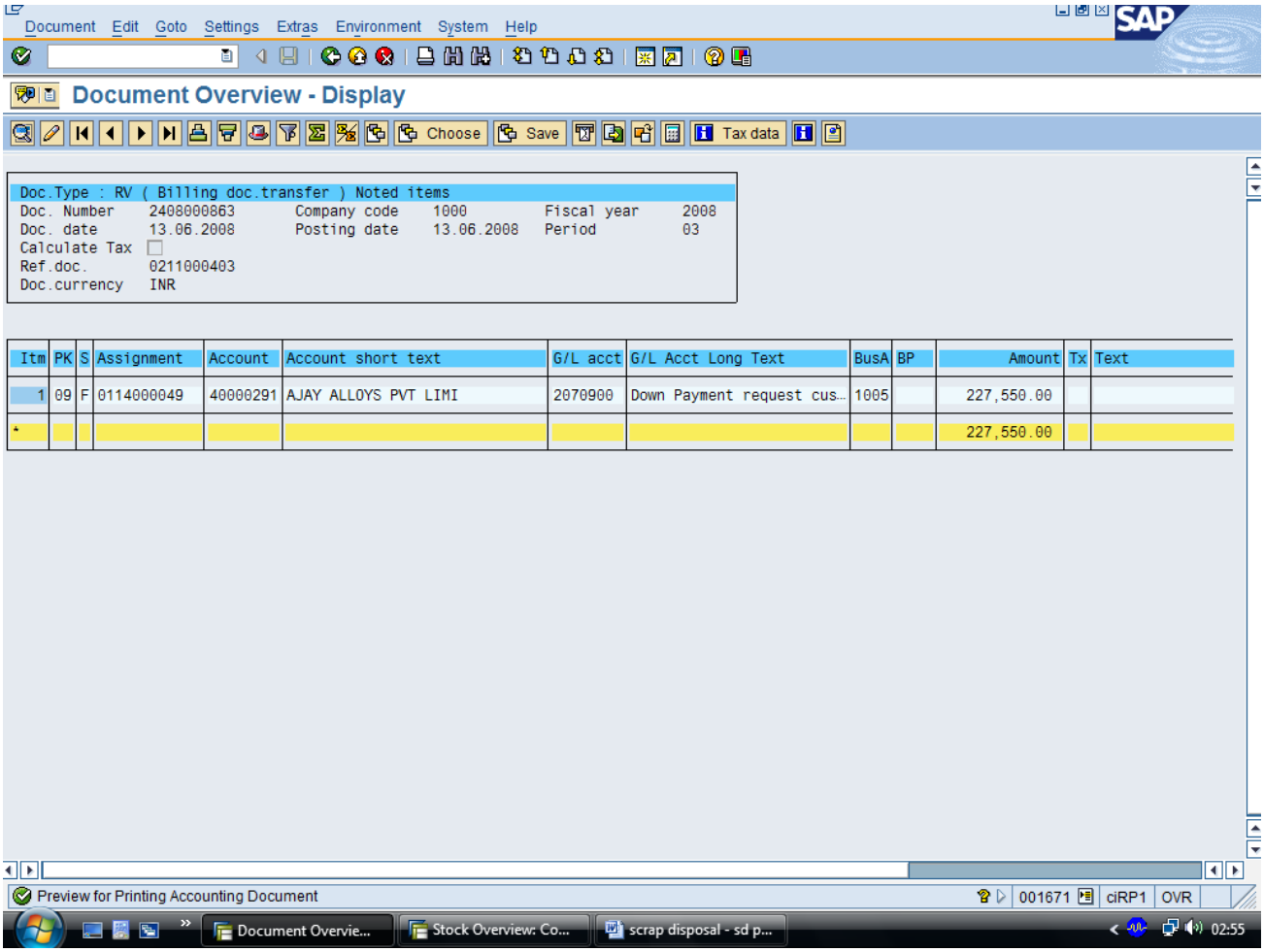

Billing document Edit Goto Environment System Help
Display Billing Document
Billing items
Accounting
Display document flow (Ctrl+F1)
Billing document
211000403
More Search Criteria
Document Number
Company Code
Fiscal Year
Reference
Search
001671
ciRP1
OVR
Display Billing Docu...
Stock Overview: Co...
scrap disposal - sd p...
02:48


Document flow Edit Goto Environment System Help
Document Flow
Status overview
Display document
Service documents
Additional links
Business partner 0040000291 AJAY ALLOYS PVT LIMITED
Document
On
Status
Scrap Ord O&M MSTC 011400004 13.06.2008 Being processed
Down payment request 0211000403 13.06.2008
Accounting document 2408000863 13.06.2008 Not cleared
001671
ciRP1
OVR
Document Flow
Stock Overview: Co...
scrap disposal - sd p...
02:48

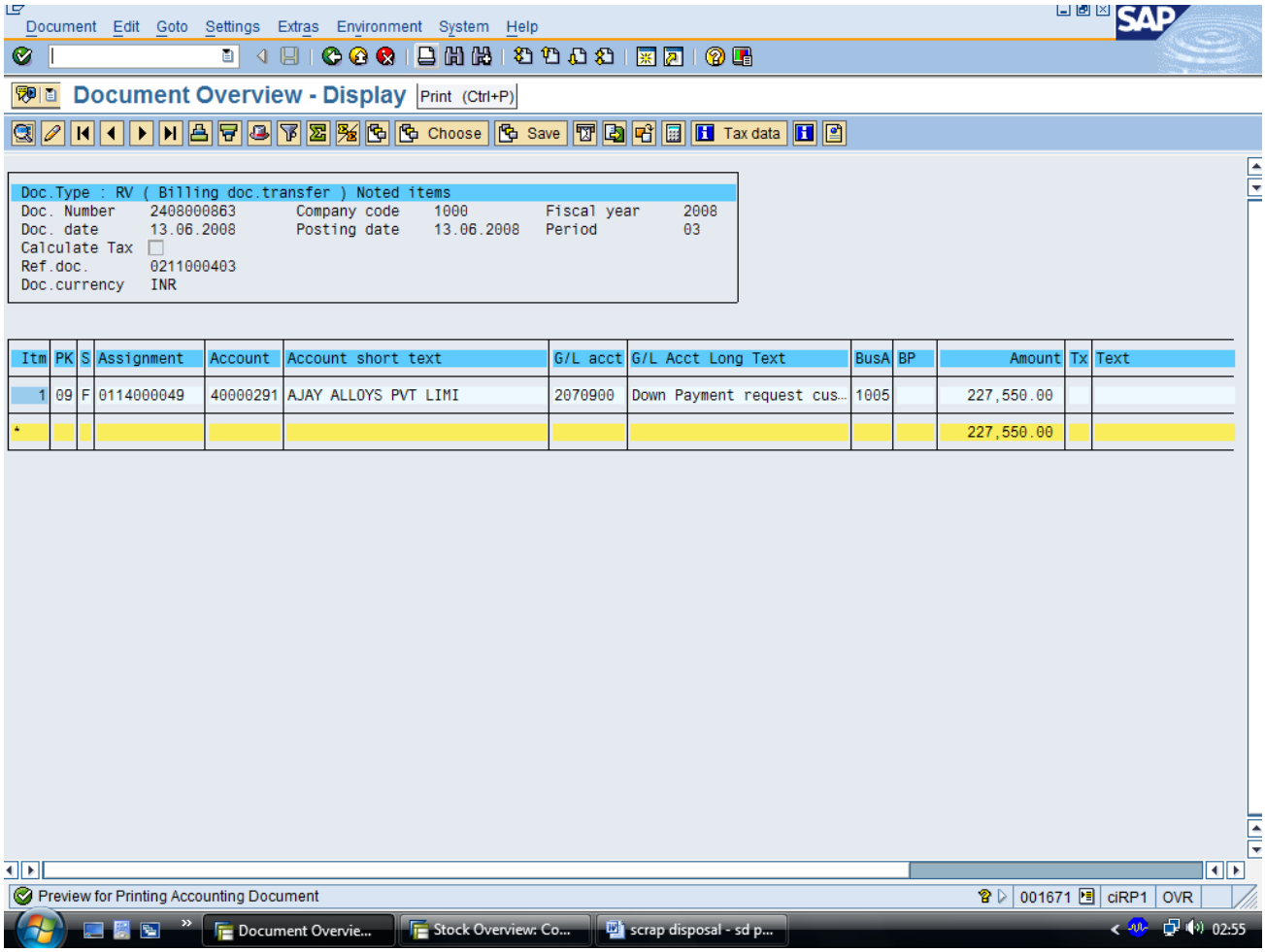

Document flow Edit Goto Environment System Help
Document Flow
Status overview
Display document
Service documents
Additional links
Business partner 0040000291 AJAY ALLOYS PVT LIMITED
Document
On
Status
Scrap Ord O&M MSTC 011400004
13.06.2008
Being processed
Down payment request 0211000403
13.06.2008
Accounting document 2408000863
13.06.2008
Not cleared
001671
ciRP1
OVR
Document Flow
Stock Overview: Co...
scrap disposal - sd p...
02:54

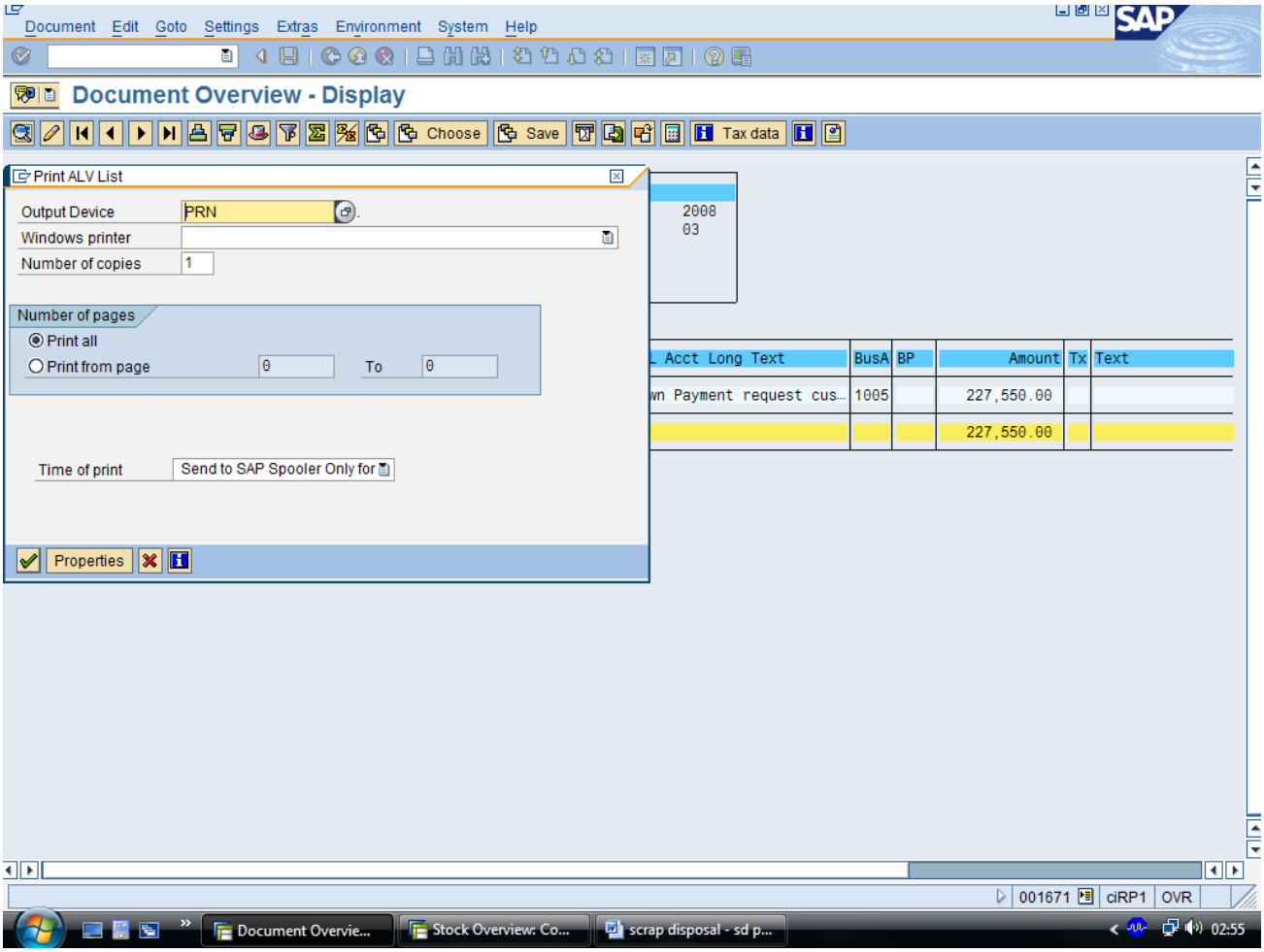

Document flow Edit Goto Environment System Help
Document Flow
Status overview
Display document
Service documents
Additional links
Display document (F8)
Business partner 0040000291 AJAY ALLOYS PVT LIMITED
Document
On
Status
Scrap Ord O&M MSTC 011400004
13.06.2008
Being processed
Down payment request 0211000403
13.06.2008
Accounting document 2408000863
13.06.2008
Not cleared
001671
ciRP1
OVR
Document Flow
Stock Overview: Co...
scrap disposal - sd p...
02:55

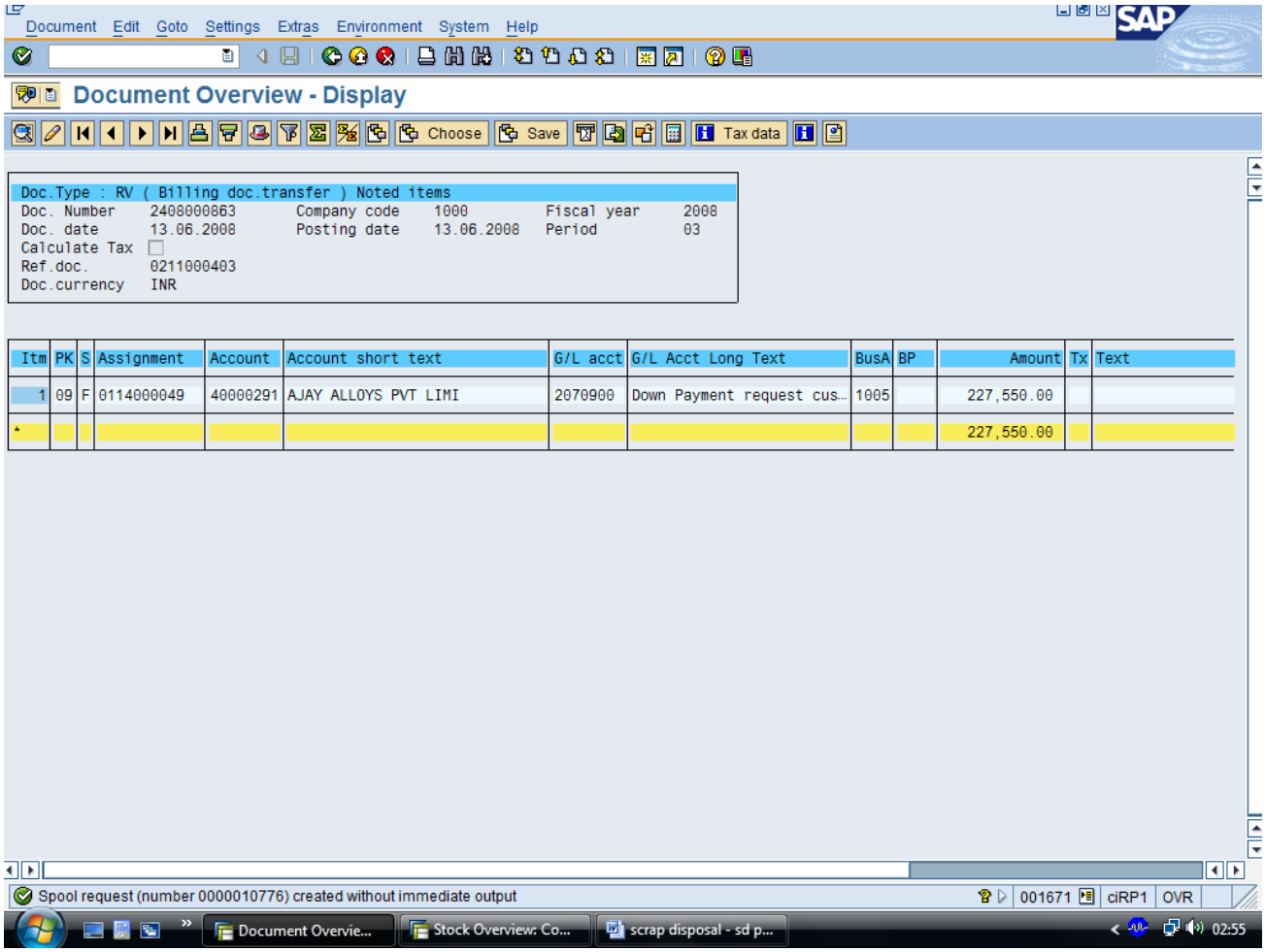

Document Edit Goto Extras Settings Environment System Help
Release
Reject
Other Document... Shift+F5
Display <-> Change Ctrl+F1
Print Preview
List
Save
Delete
Exit Shift+F3
ata Entry View
ompany Code 1000
osting Date 13.06.2008
ross-CC no.
exts exist
Fiscal Year 2008
Period 3
Ledger Group
Co... Itm D/C G/L Acc P S Account Description Amount in LC Amount B... TP... Assign. G/L account name WBS elem. BP Sect. Code
1000 1 S 2070900 09 F 4000029 AJAY ALLOYS PVT LIMITED 227,550.00 227,550.00 1005 01140000 DP Request-Debtors
227,550.00
001671 ciRP1 OVR
Display Document: ...
Stock Overview: Co...
scrap disposal - sd p...
02:55


Document Edit Goto Settings Extras Environment System Help
Document Overview - Display
Choose Save Tax data
Doc.Type : RV (Billing doc.transfer) Noted items
Doc. Number 2408000863 Company code 1000 Fiscal year 2008
Doc. date 13.06.2008 Posting date 13.06.2008 Period 03
Calculate Tax
Ref.doc. 0211000403
Doc.currency INR
Itm PK S Assignment Account Account short text G/L acct G/L Acct Long Text BusA BP Amount Tx Text
1 09 F 0114000049 40000291 AJAY ALLOYS PVT LIMI 2070900 Down Payment request cus… 1005 227,550.00
227,550.00
Preview for Printing Accounting Document
001671 ciRP1 OVR
Document Overvie...
Stock Overview: Co...
scrap disposal - sd p...
02:55

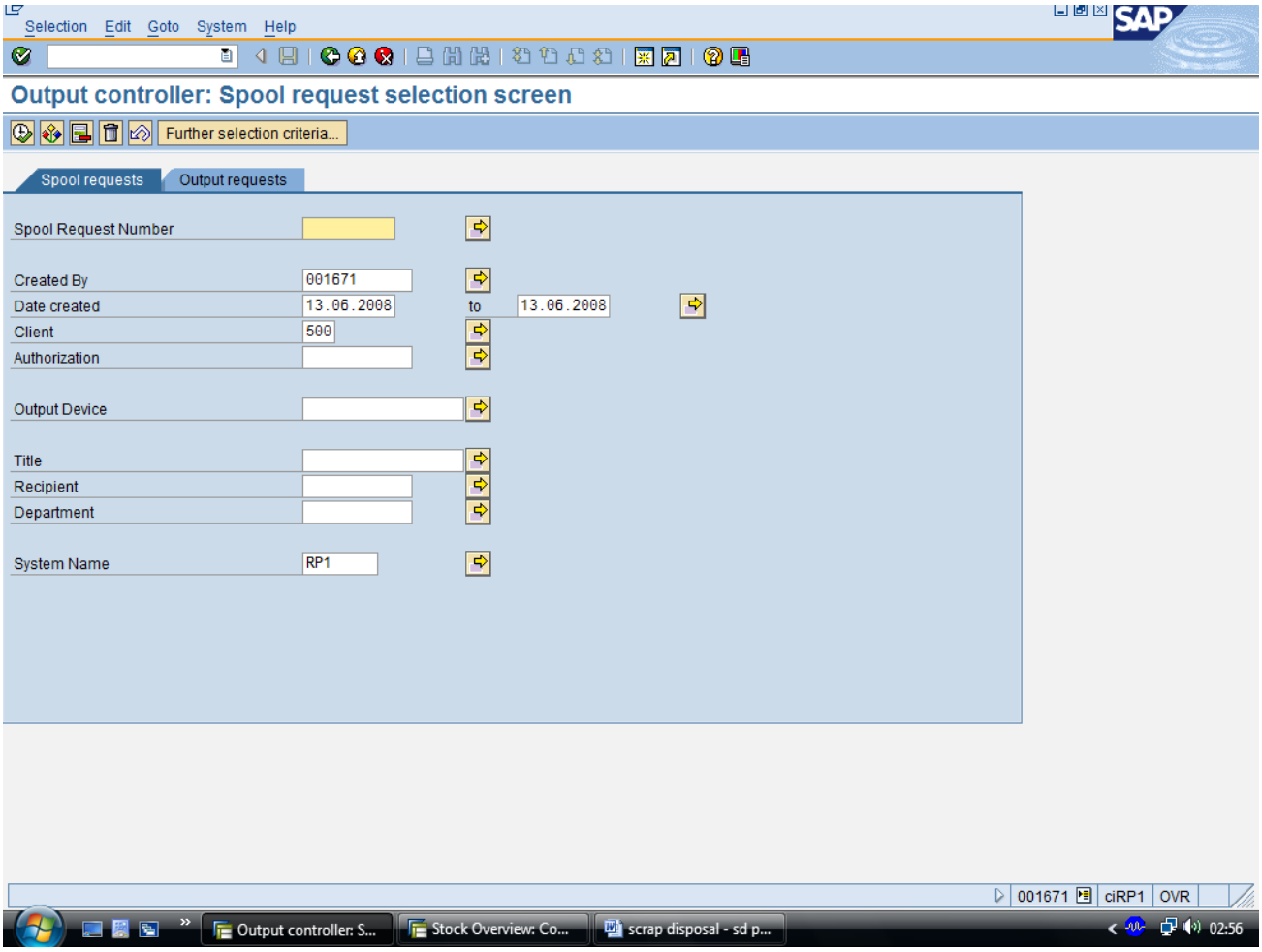
PRESS PRINT


Document Edit Goto Settings Extras Environment System Help
Document Overview - Display
Print (Ctrl+P)
Choose
Save
Tax data
Doc.Type : RV (Billing doc.transfer) Noted items
Doc. Number 2408000863 Company code 1000 Fiscal year 2008
Doc. date 13.06.2008 Posting date 13.06.2008 Period 03
Calculate Tax
Ref.doc. 0211000403
Doc.currency INR
Itm PK S Assignment Account Account short text G/L acct G/L Acct Long Text BusA BP Amount Tx Text
1 09 F 0114000049 40000291 AJAY ALLOYS PVT LIMI 2070900 Down Payment request cus… 1005 227,550.00
227,550.00
Preview for Printing Accounting Document
001671 ciRP1 OVR
Document Overvie...
Stock Overview: Co...
scrap disposal - sd p...
02:55

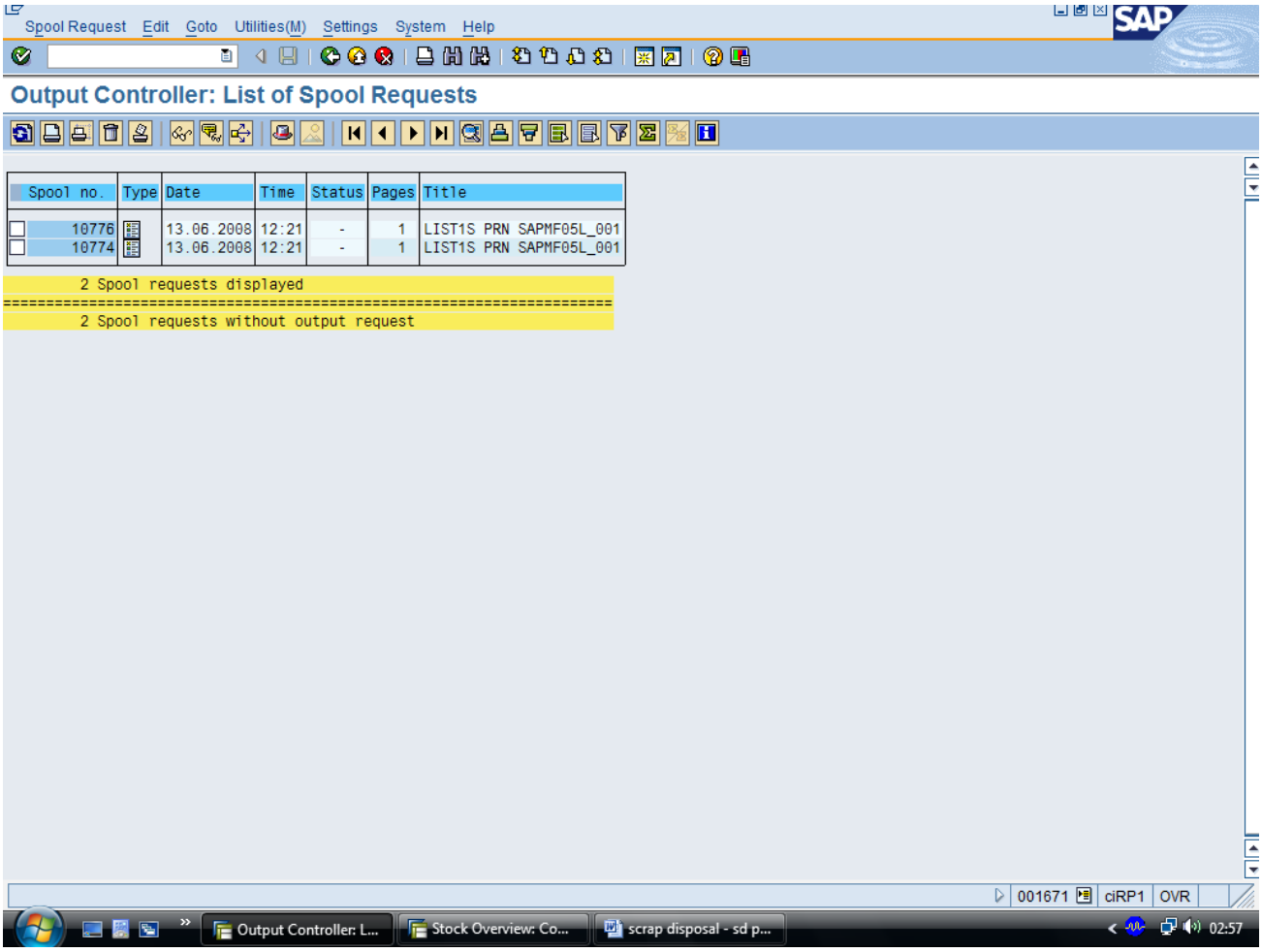

Document Edit Goto Settings Extras Environment System Help
Document Overview - Display
Choose Save Tax data
Print ALV List
Output Device PRN
Windows printer
Number of copies 1
Number of pages
Print all
Print from page 0 To 0
Time of print Send to SAP Spooler Only for
Properties
2008
03
Acct Long Text BusA BP Amount Tx Text
wn Payment request cus... 1005 227,550.00
227,550.00
001671 ciRP1 OVR
Document Overvie...
Stock Overview: Co...
scrap disposal - sd p...
02:55



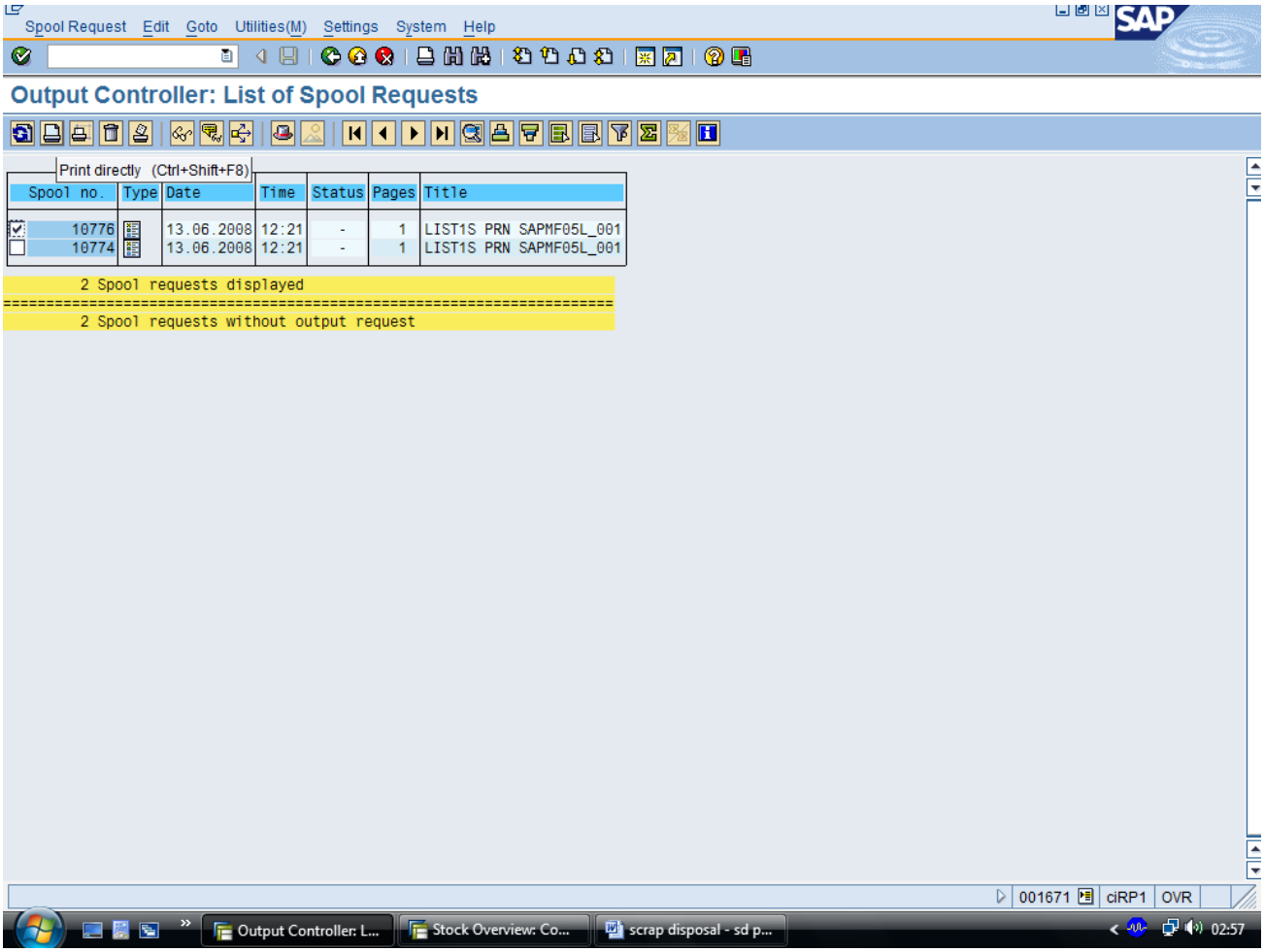
THEN GO TO SPOOL MONITOR
T-CODE= SP01

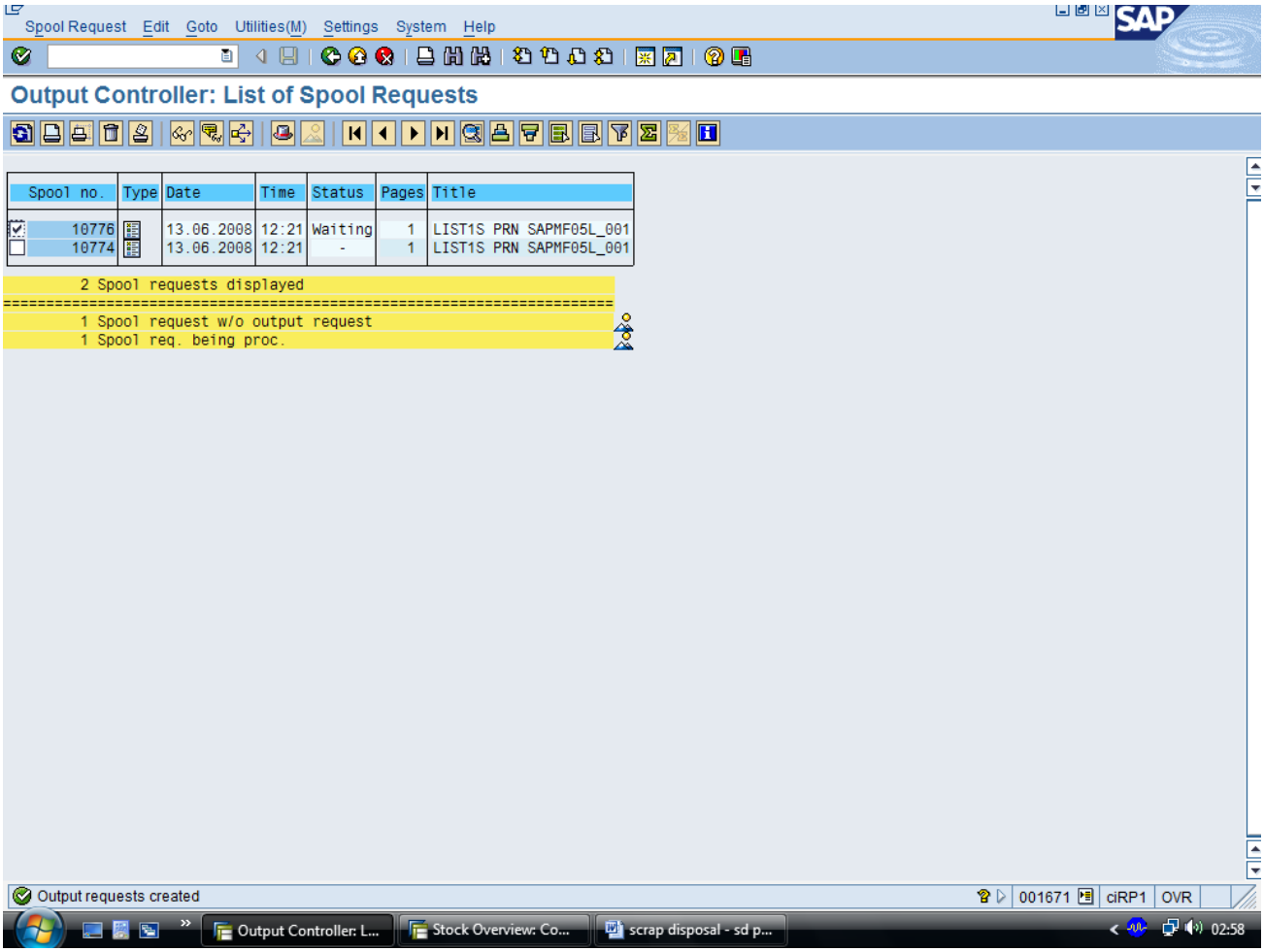


PRESS EXECUTE

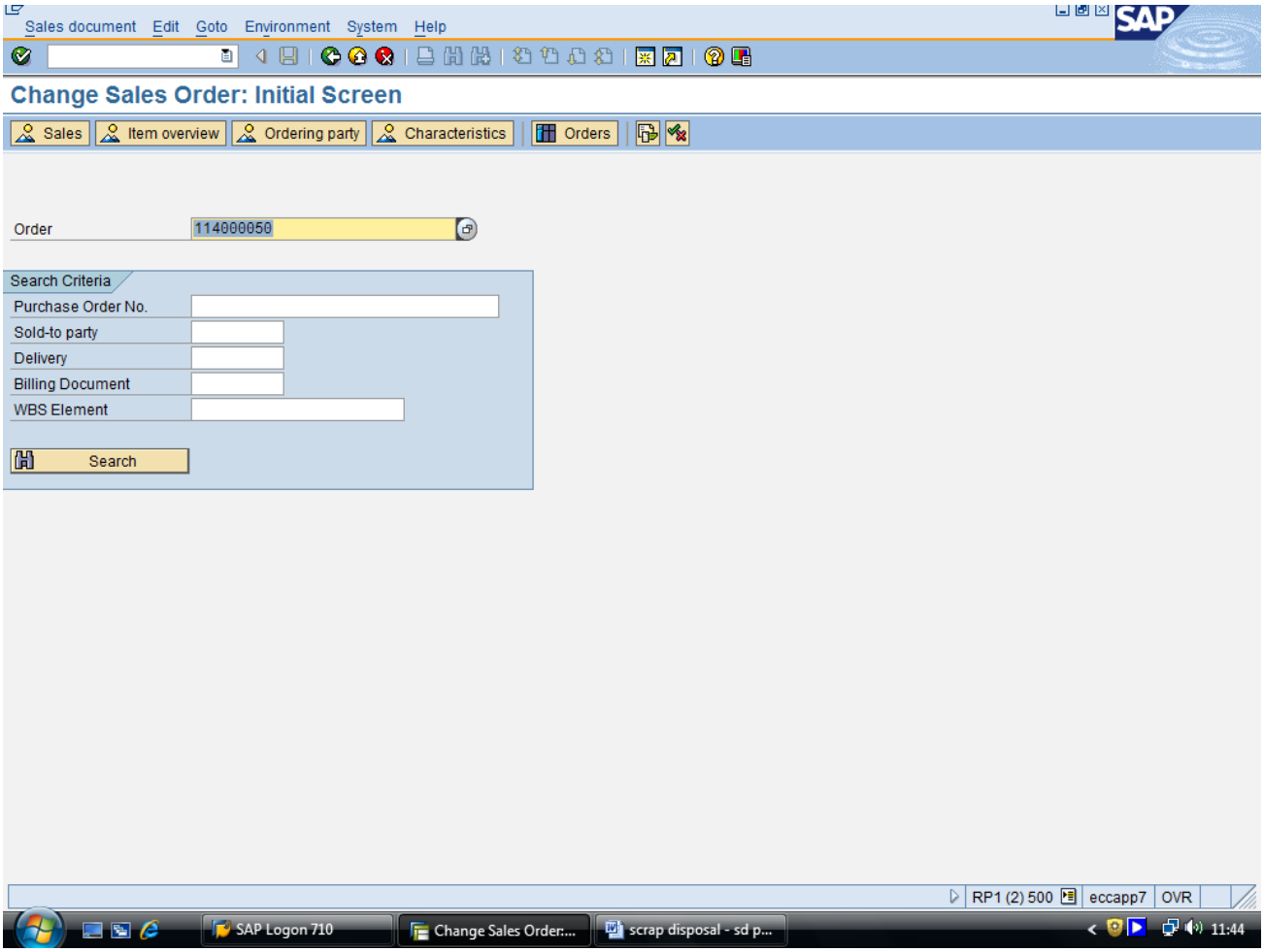


CHOOSE THE TOP LINE BY CLICKING IN THE BOX AND PRESS PRINT ICON

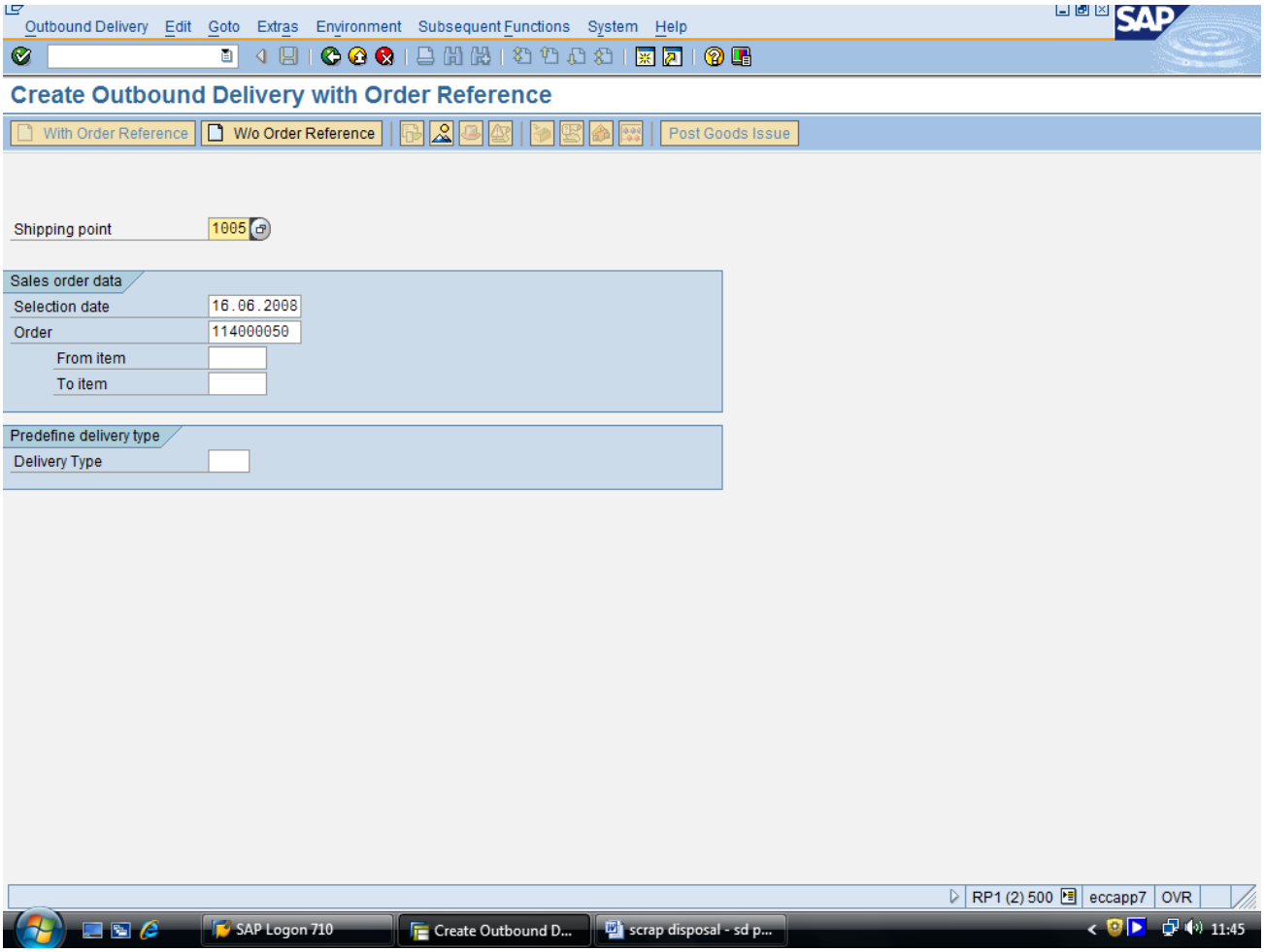

Spool Request Edit Goto Utilities(M) Settings System Help
Output Controller: List of Spool Requests
Print directly (Ctrl+Shift+F8)
Spool no. Type Date Time Status Pages Title
10776 13.06.2008 12:21 - 1 LIST1S PRN SAPMF05L_001
10774 13.06.2008 12:21 - 1 LIST1S PRN SAPMF05L_001
2 Spool requests displayed
2 Spool requests without output request
001671 ciRP1 OVR
Output Controller: L...
Stock Overview: Co...
scrap disposal - sd p...
02:57



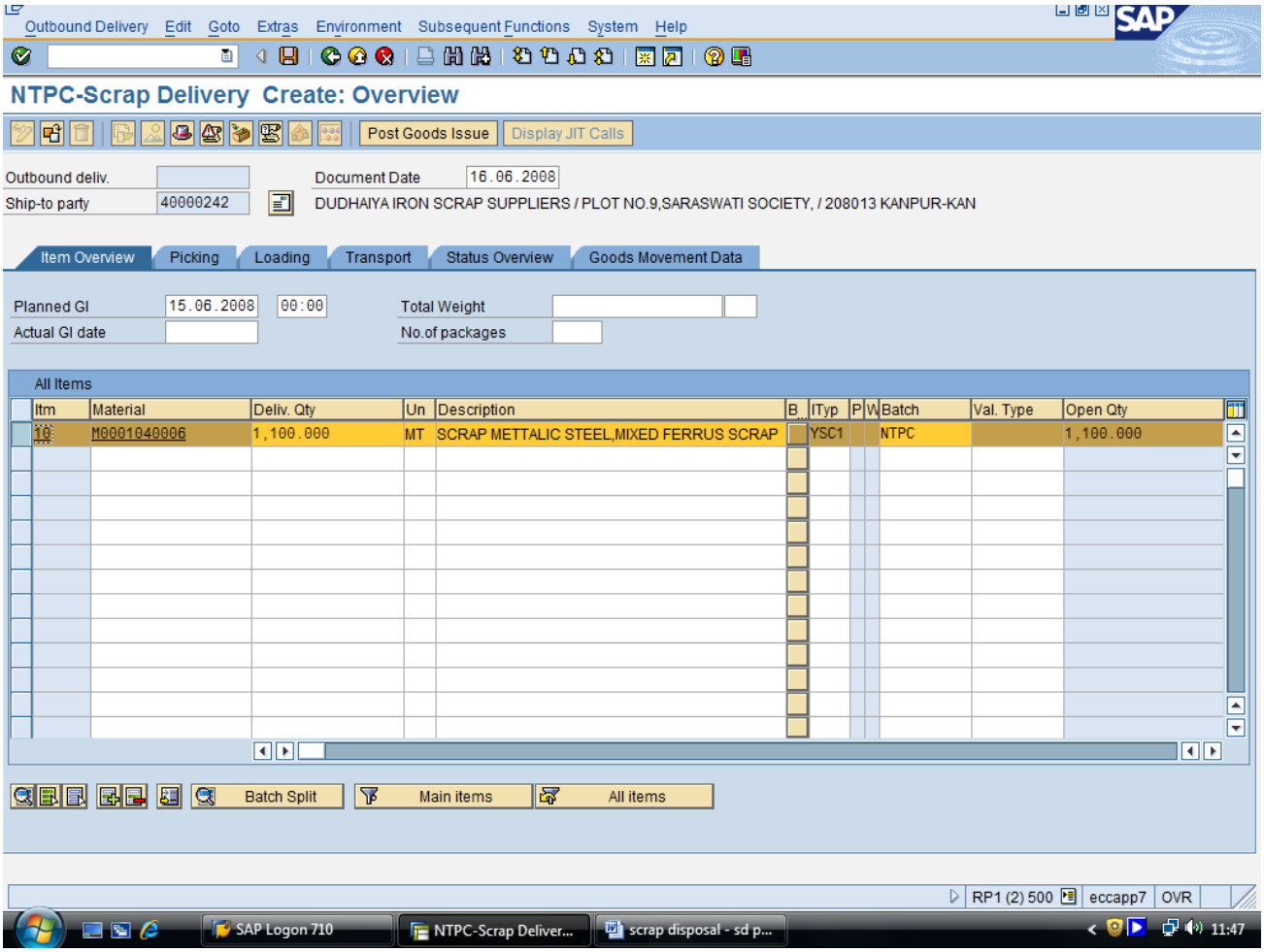
Take the Sales Order NO



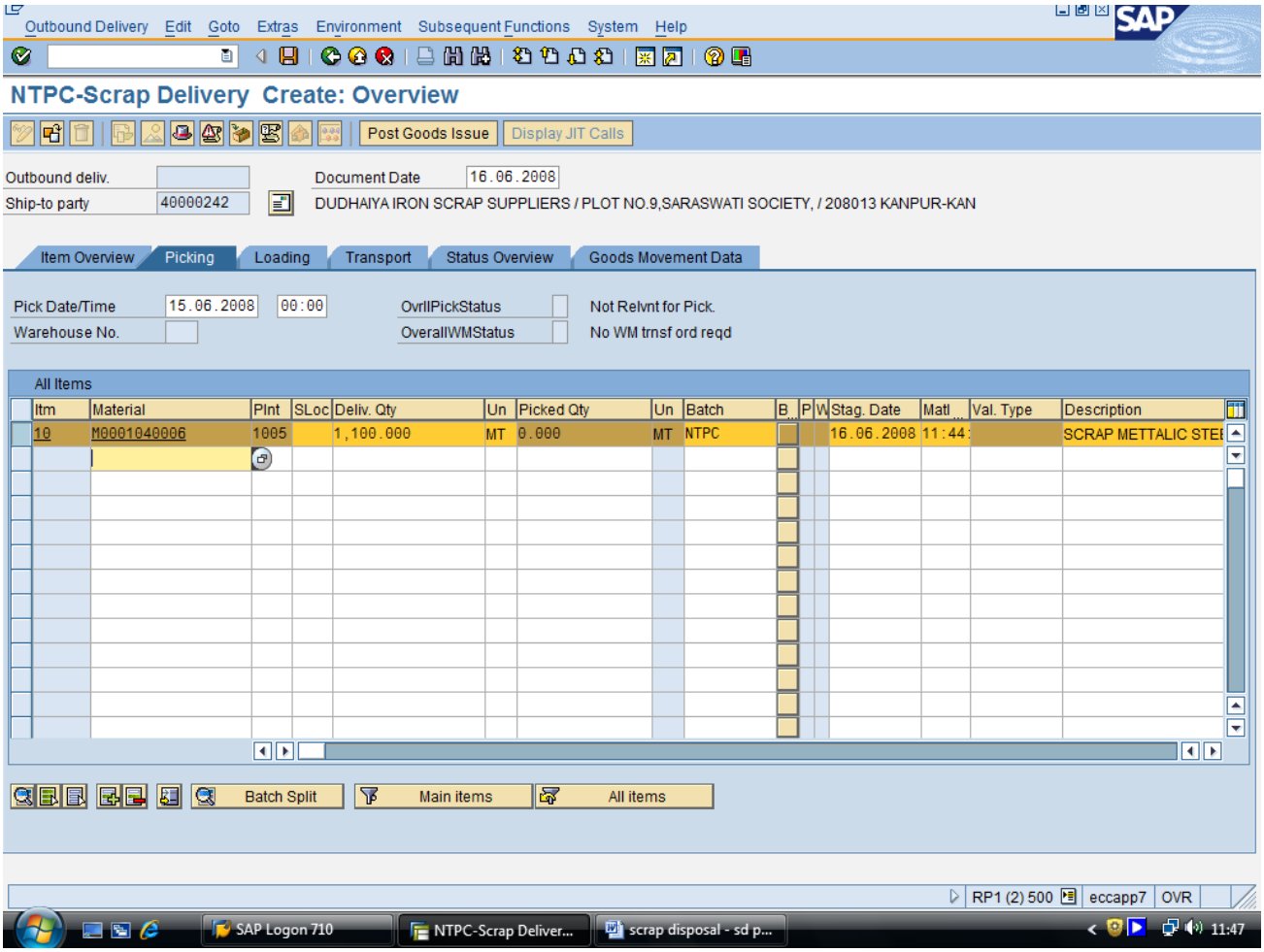
MAKE DELIVERY ORDER
T-CODE= VL01N
SHIPPING POINT = 1005 (SAME AS PLANT CODE)



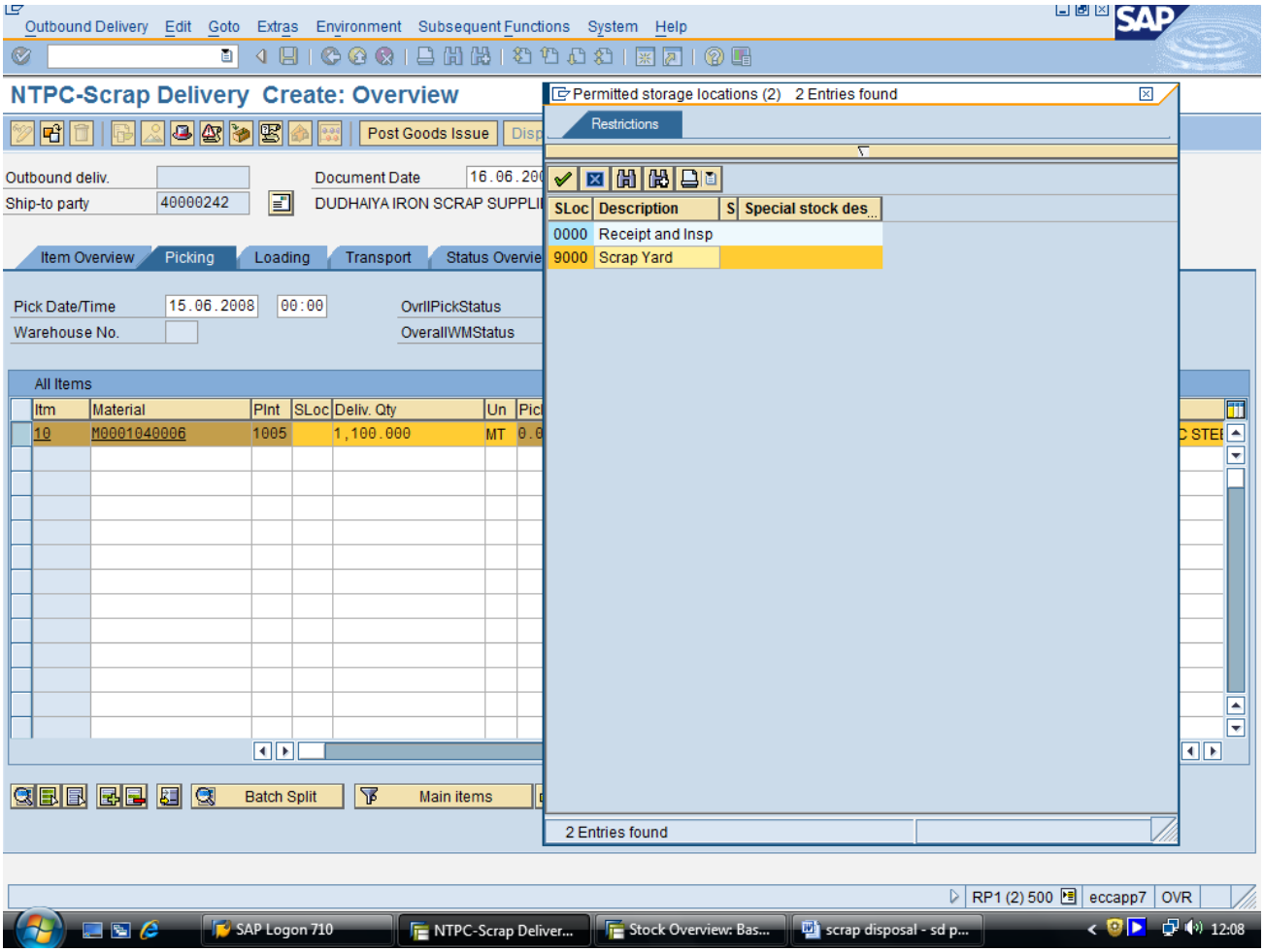
PRESS ENTER
CHOOSE LINE ITEM

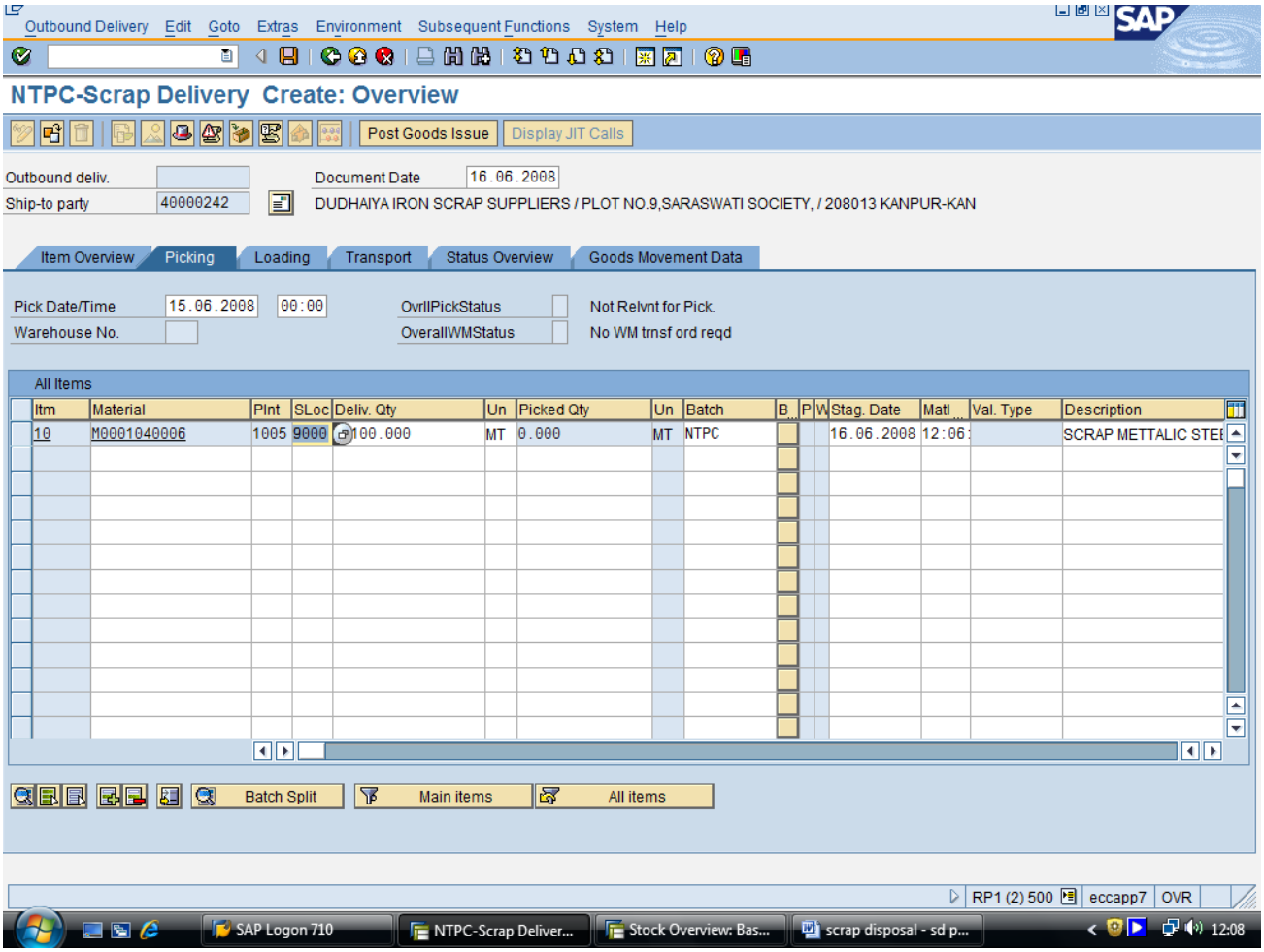


GO TO PICKING TAB

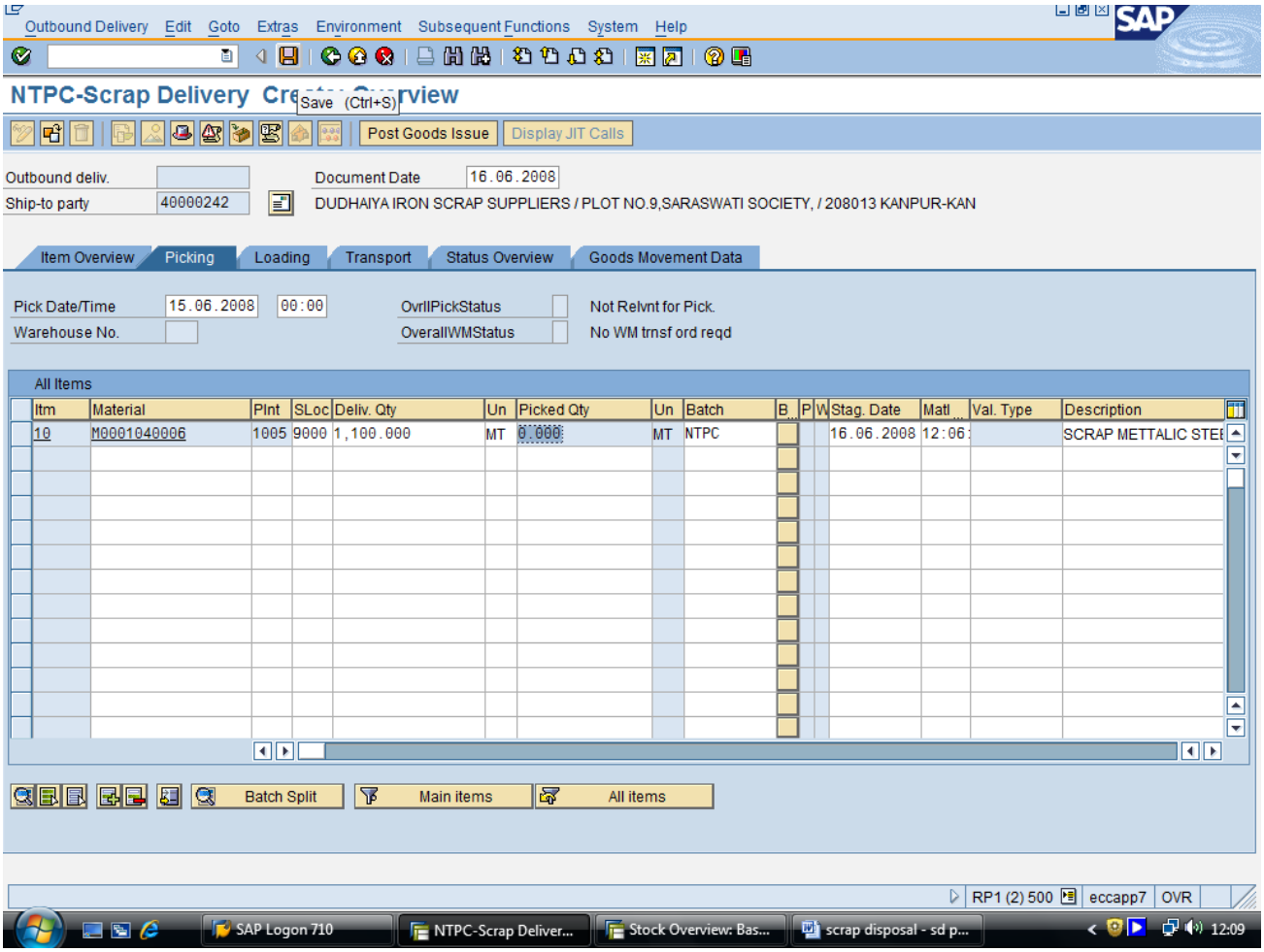


SELECT STORAGE LOCATION

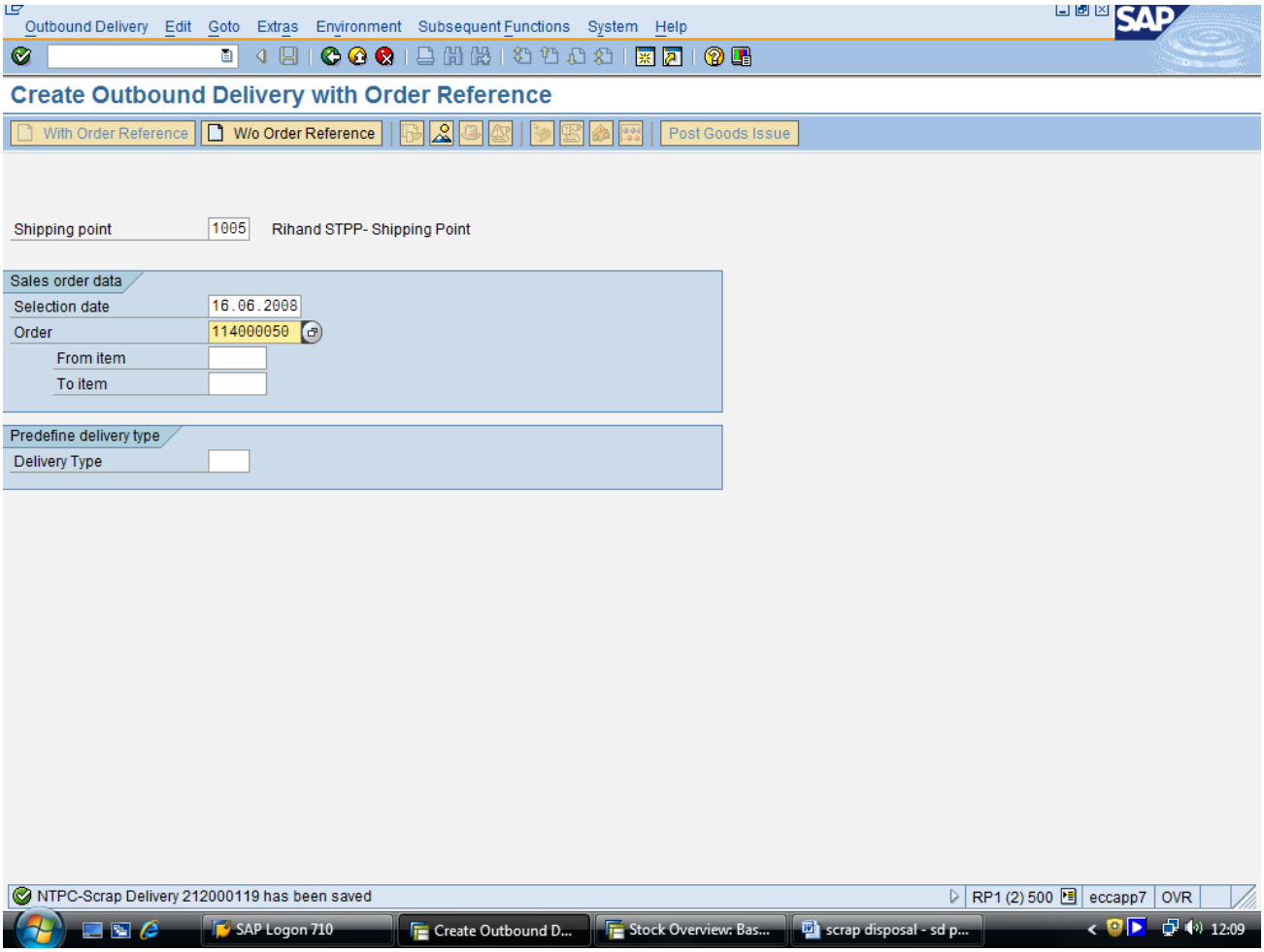

Outbound Delivery Edit Goto Extras Environment Subsequent Functions System Help
NTPC-Scrap Delivery Create: Overview
Post Goods Issue
Outbound deliv.
Ship-to party 40000242
Document Date
DUDHAIYA IRON SCRAP SUPPLI
Item Overview Picking Loading Transport Status Overvie
Pick Date/Time 15.06.2008 00:00
Warehouse No.
OvrllPickStatus
OverallWMStatus
All Items
Itm Material Plnt SLoc Deliv. Qty Un
10 M0001040006 1005 1,100.000 MT
Batch Split
Main items
Permitted storage locations (2) 2 Entries found
Restrictions
SLoc Description S Special stock des...
0000 Receipt and Insp
9000 Scrap Yard
2 Entries found
RP1 (2) 500 eccapp7 OVR
SAP Logon 710
NTPC-Scrap Deliver...
Stock Overview: Bas...
scrap disposal - sd p...
12:08



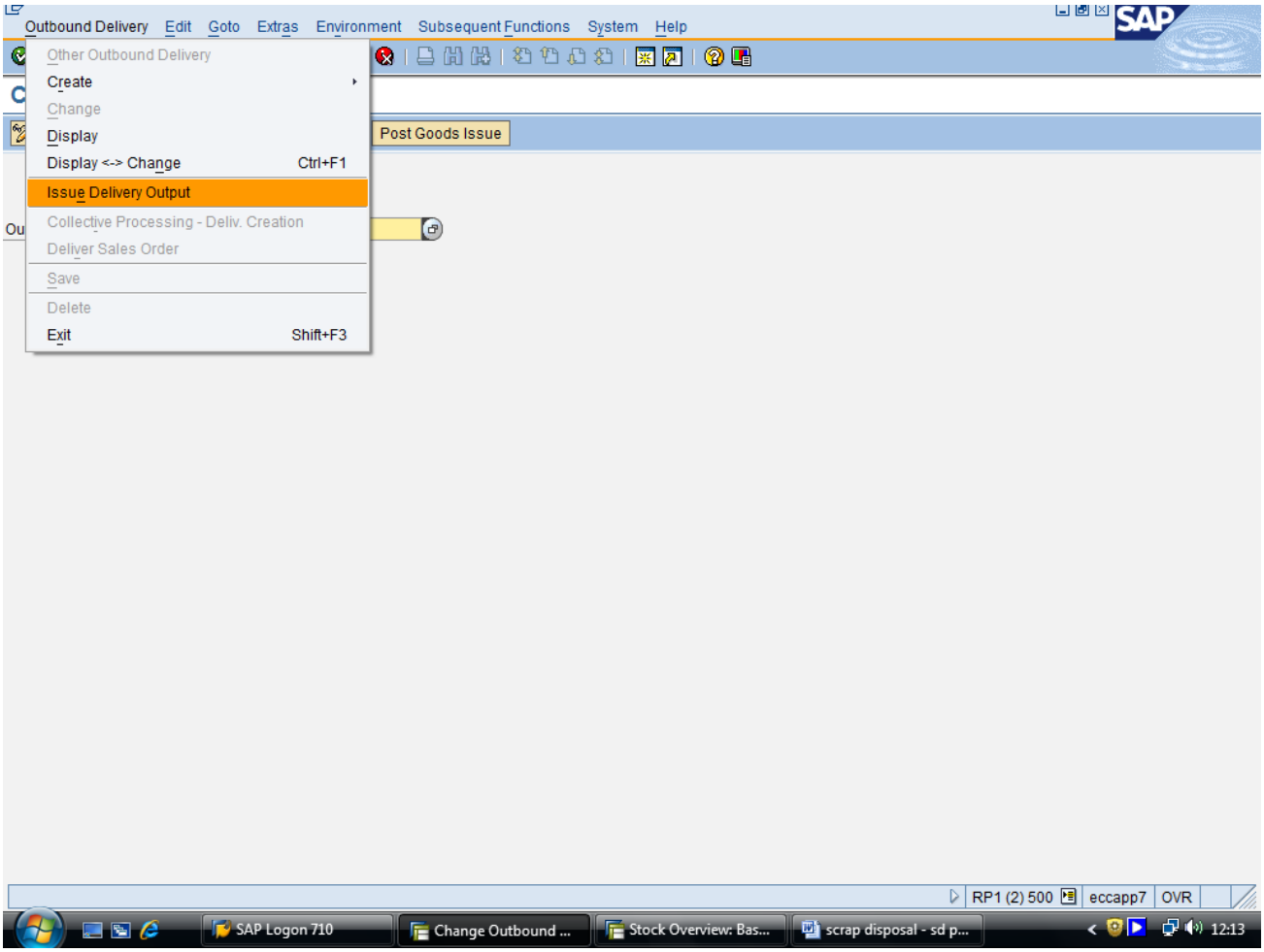
SAVE THE DELIVERY ORDER

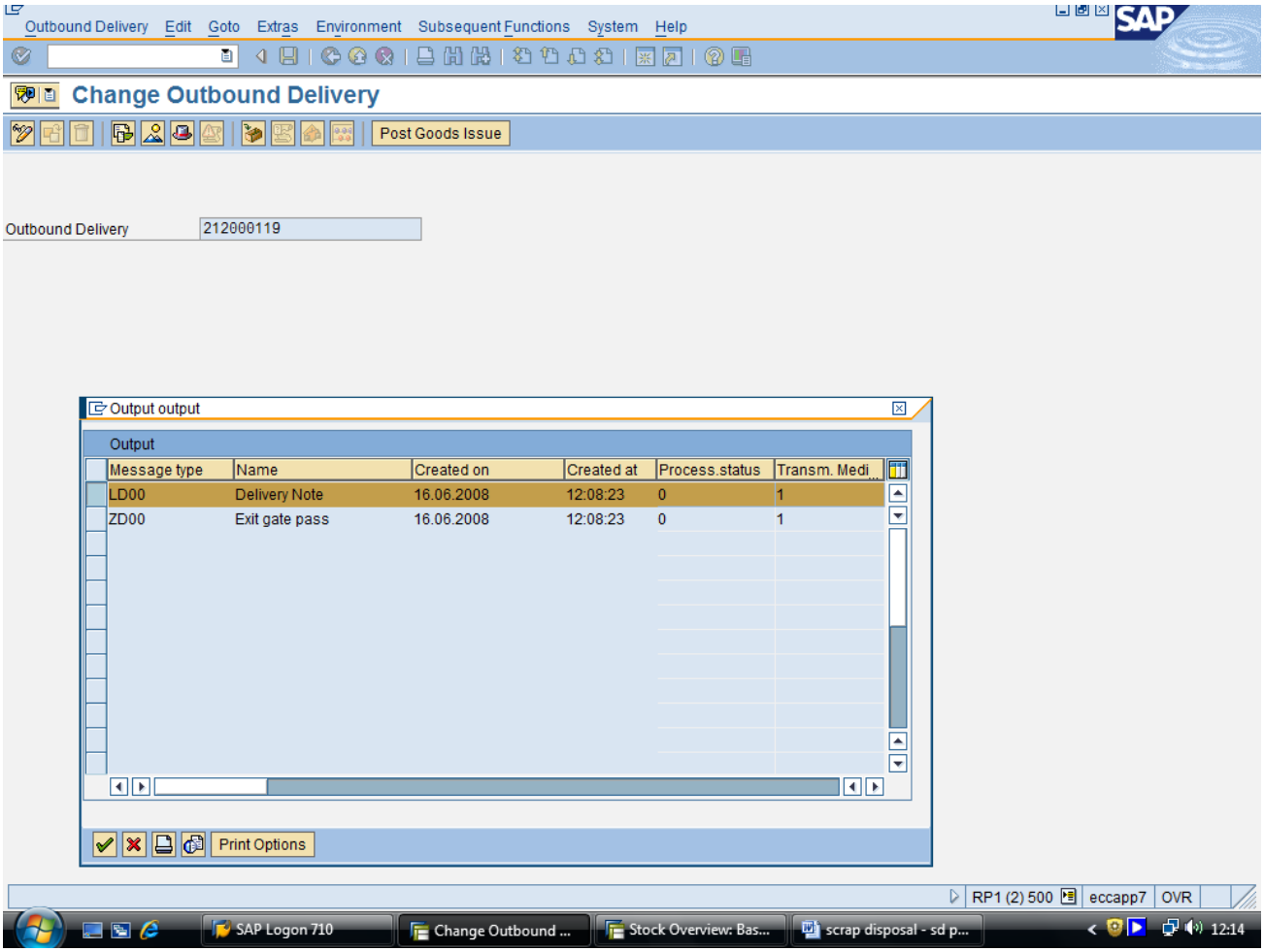


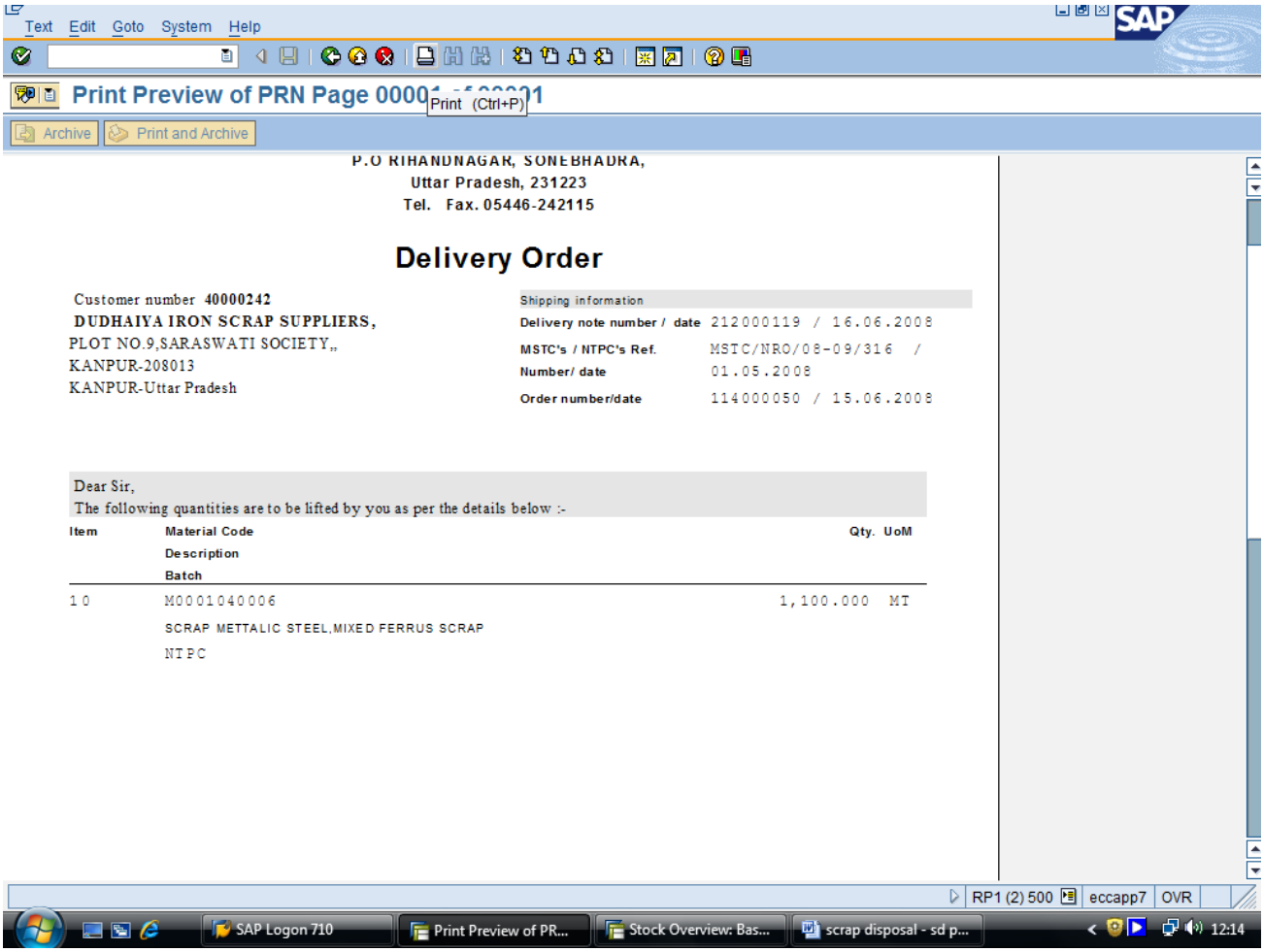
NOTE THE DELIVERY ORDER NO



TAKE PRINT OUT OF DELIVERY ORDER
VL02N/VL03N


Outbound Delivery
Edit
Goto
Extras
Environment
Subsequent Functions
System
Help
Other Outbound Delivery
Create
Change
Display
Display <-> Change Ctrl+F1
Issue Delivery Output
Collective Processing - Deliv. Creation
Deliver Sales Order
Save
Delete
Exit Shift+F3
Post Goods Issue
RP1 (2) 500
eccapp7
OVR
SAP Logon 710
Change Outbound ...
Stock Overview: Bas...
scrap disposal - sd p...
12:13

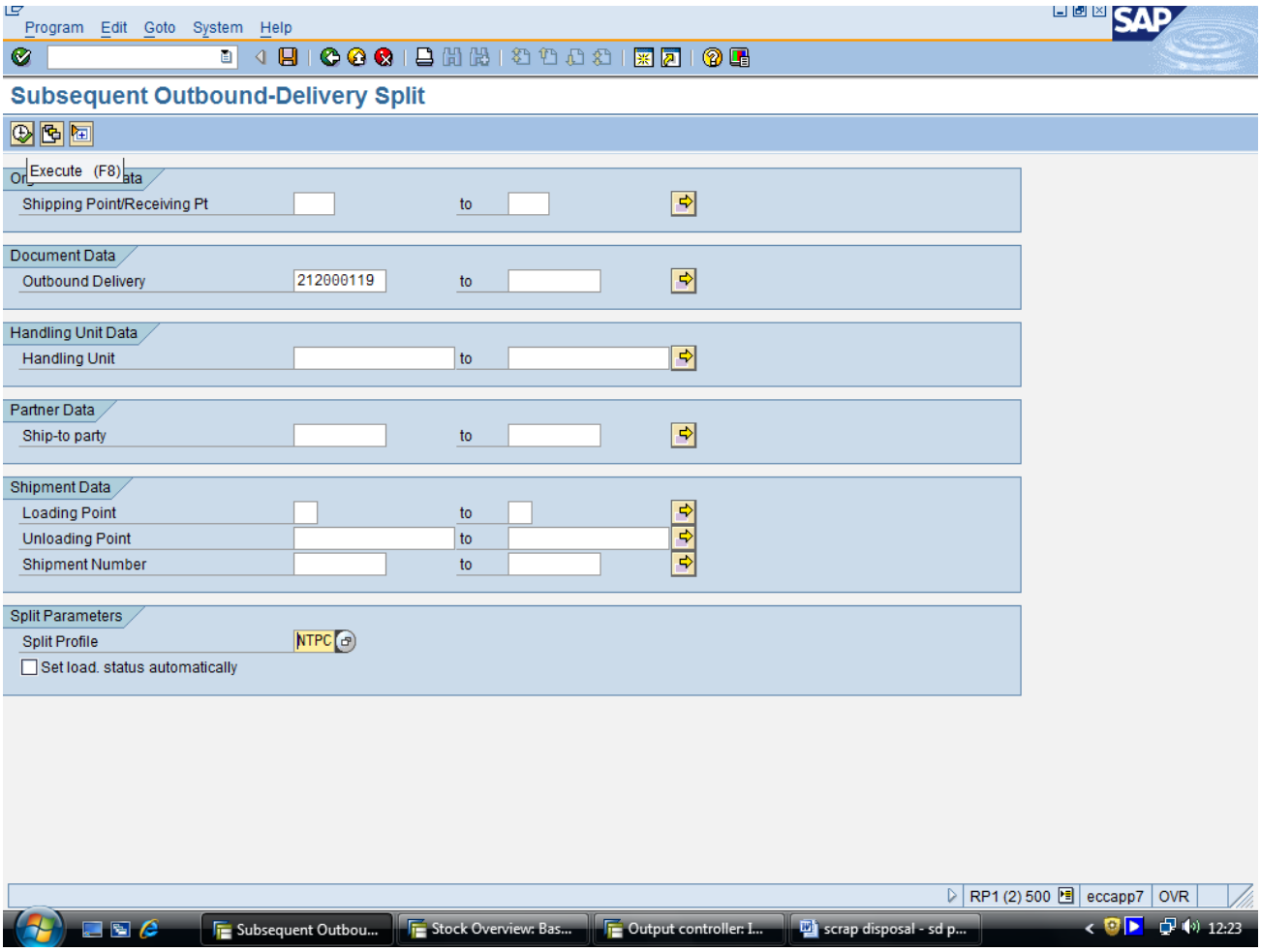

Outbound Delivery Edit Goto Extras Environment Subsequent Functions System Help
Change Outbound Delivery
Post Goods Issue
Outbound Delivery 212000119
Output output
Output
Message type Name Created on Created at Process.status Transm. Medi...
LD00 Delivery Note 16.06.2008 12:08:23 0 1
ZD00 Exit gate pass 16.06.2008 12:08:23 0 1
Print Options
RP1 (2) 500 eccapp7 OVR
SAP Logon 710
Change Outbound ...
Stock Overview: Bas...
scrap disposal - sd p...
12:14


Text Edit Goto System Help
Print Preview of PRN Page 0000
Print (Ctrl+P)
Archive
Print and Archive
P.O RIHANDNAGAR, SONEBHADRA,
Uttar Pradesh, 231223
Tel. Fax. 05446-242115
Delivery Order
Customer number 40000242
DUDHAIYA IRON SCRAP SUPPLIERS,
PLOT NO.9,SARASWATI SOCIETY,,
KANPUR-208013
KANPUR-Uttar Pradesh
Shipping information
Delivery note number / date 2120000119 / 16.06.2008
MSTC's / NTPC's Ref. Number/ date MSTC/NRO/08-09/316 / 01.05.2008
Order number/date 114000050 / 15.06.2008
Dear Sir,
The following quantities are to be lifted by you as per the details below :-
Item Material Code Description Batch Qty. UoM
10 M0001040006 1,100.000 MT
SCRAP METTALIC STEEL,MIXED FERRUS SCRAP
NTPC
RP1 (2) 500 eccapp7 OVR
SAP Logon 710
Print Preview of PR...
Stock Overview: Bas...
scrap disposal - sd p...
12:14

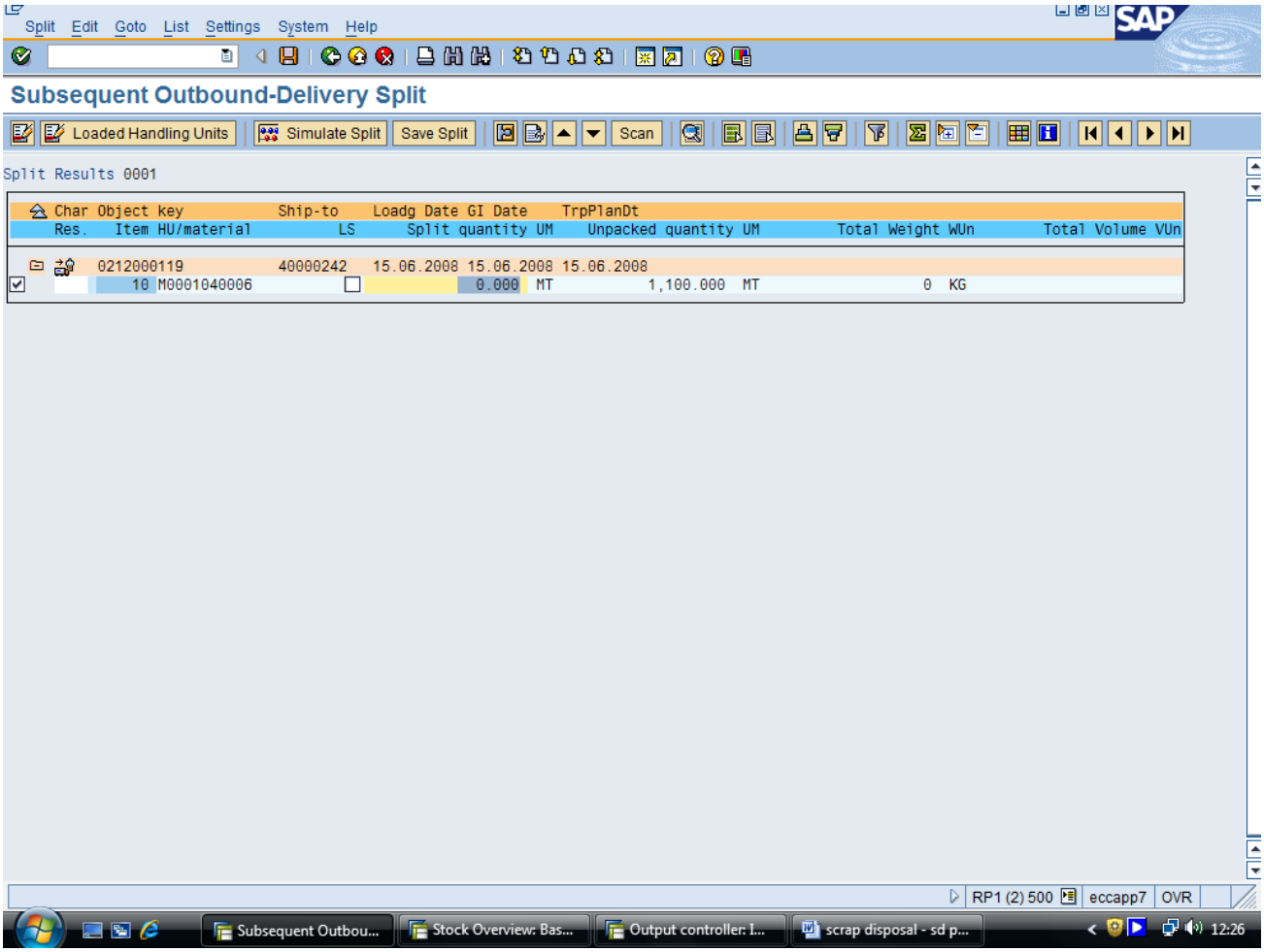
SPLIT DELIVERY

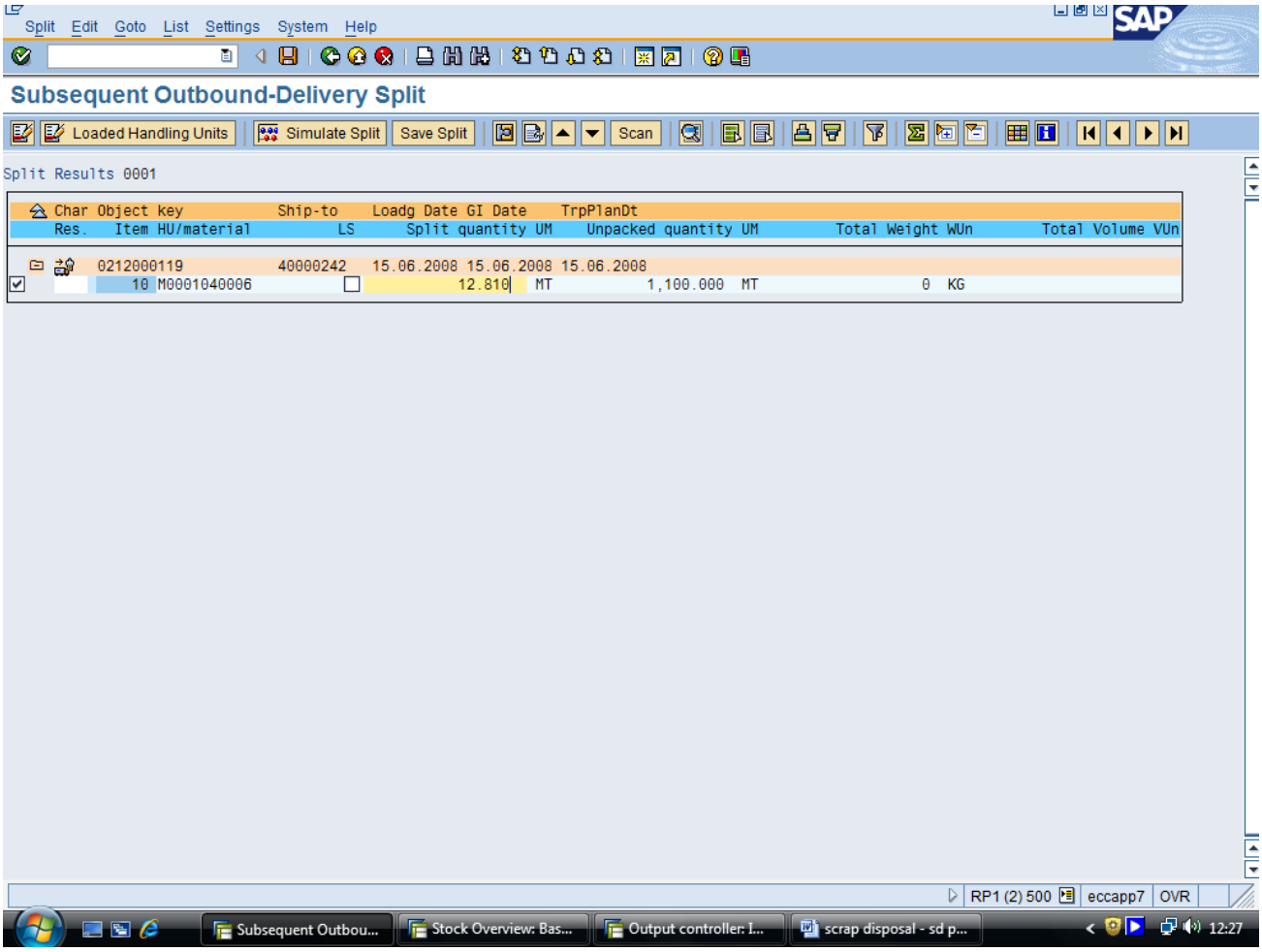
T-CODE= VLSP
GIVE DELIVERY ORDER NO
SPLIT PROFILE = NTPC

EXECUTE

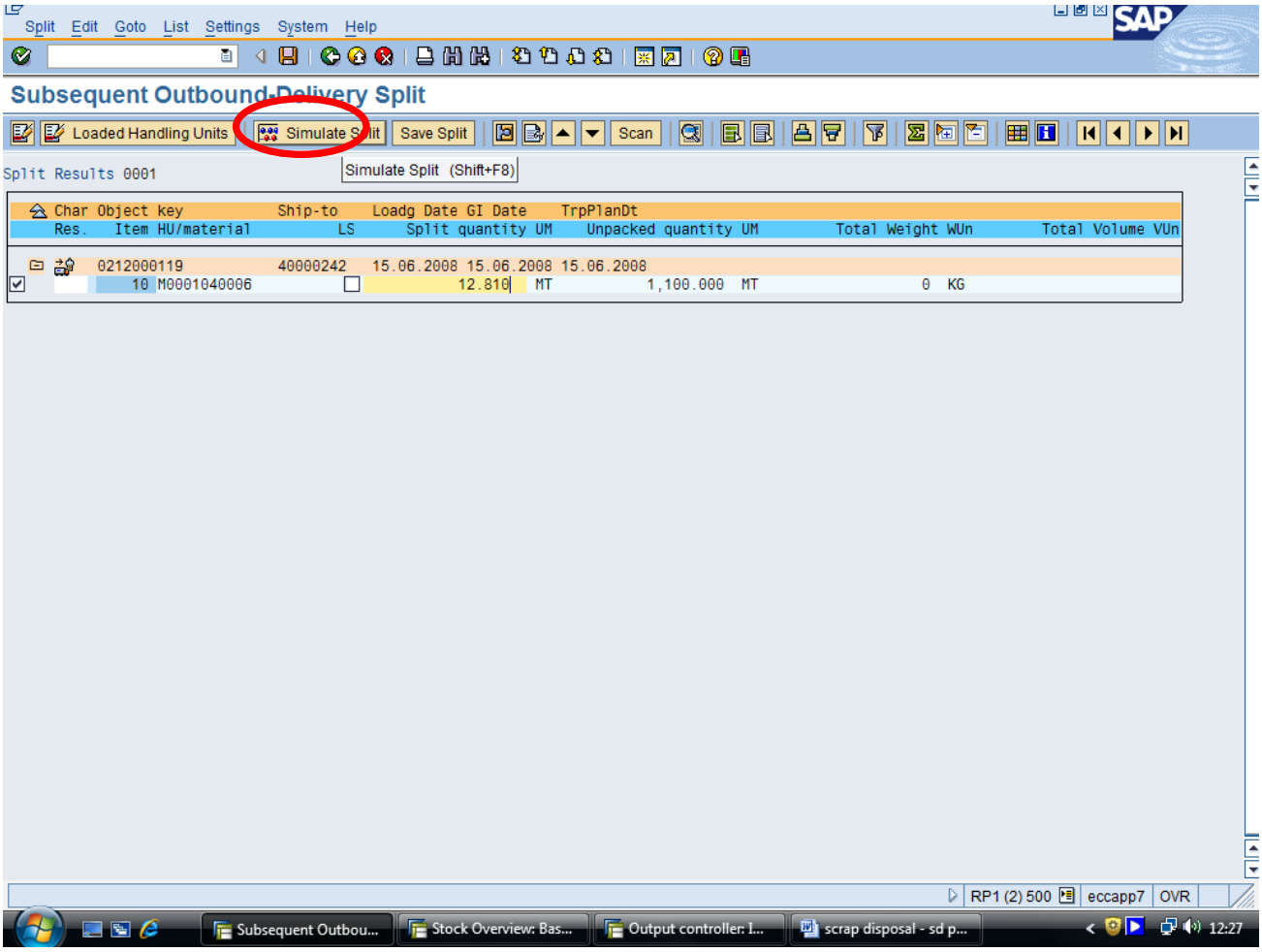


TICK THE ORGINAL DELIVERY LINE
GIVE THE SPLIT QUANTITY


Split Edit Goto List Settings System Help
Subsequent Outbound-Delivery Split
Loaded Handling Units
Simulate Split
Save Split
Scan
Split Results 0001
Char Object key
Res. Item HU/material
Ship-to
LS
Loadg Date GI Date
TrpPlanDt
Split quantity UM
Unpacked quantity UM
Total Weight WUn
Total Volume VUn
0212000119 40000242 15.06.2008 15.06.2008 15.06.2008
10 M0001040006 0.000 MT 1,100.000 MT 0 KG
RP1 (2) 500
eccapp7
OVR
Subsequent Outbou...
Stock Overview: Bas...
Output controller: I...
scrap disposal - sd p...
12:26



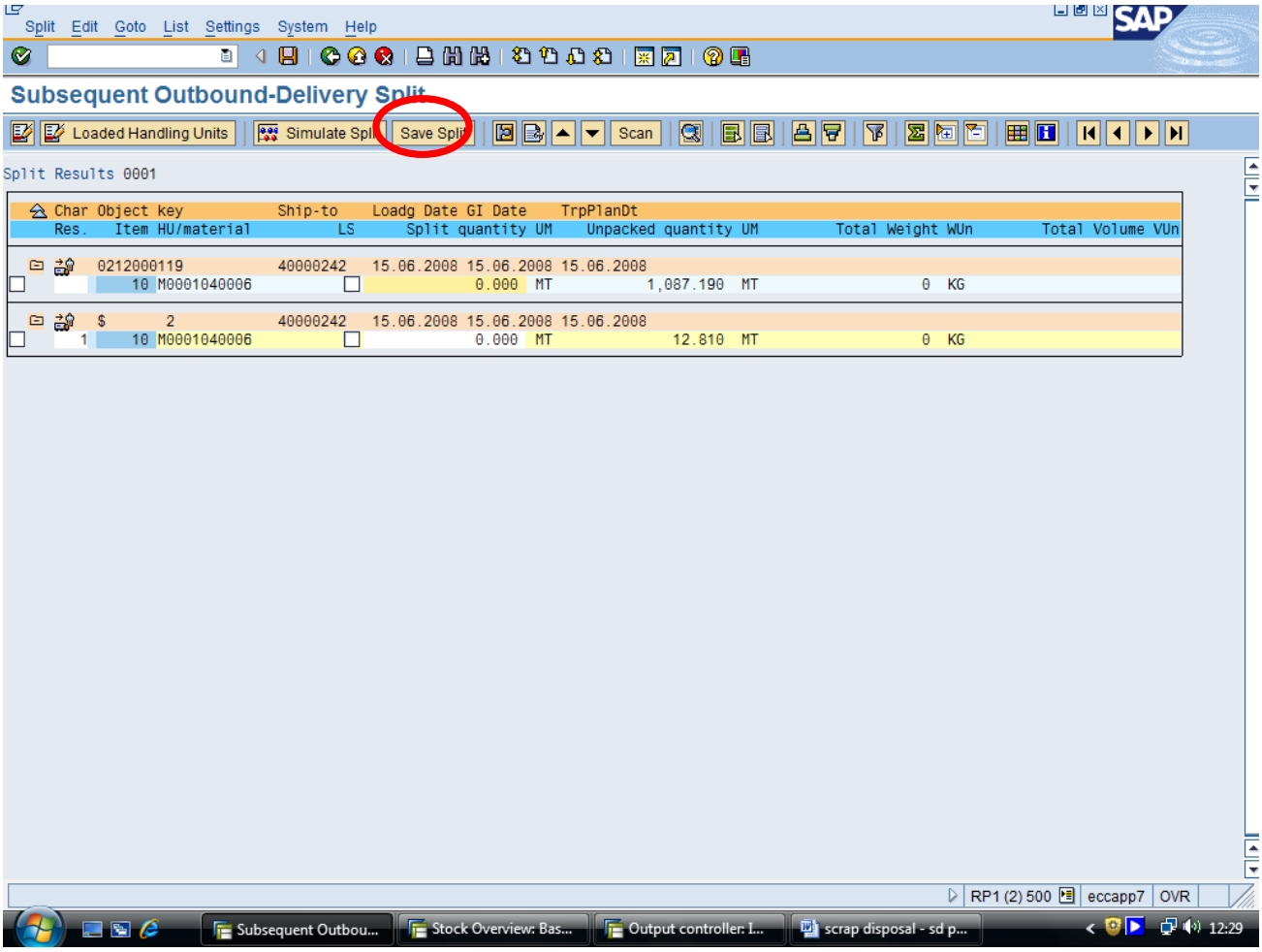
PRESS SIMULATE SPLIT BUTTON



NEW LINE OF THE SPLIT QUANTITY WILL BE CREATED

ORIGINAL DELIVERY QTY WILL BE REVISED

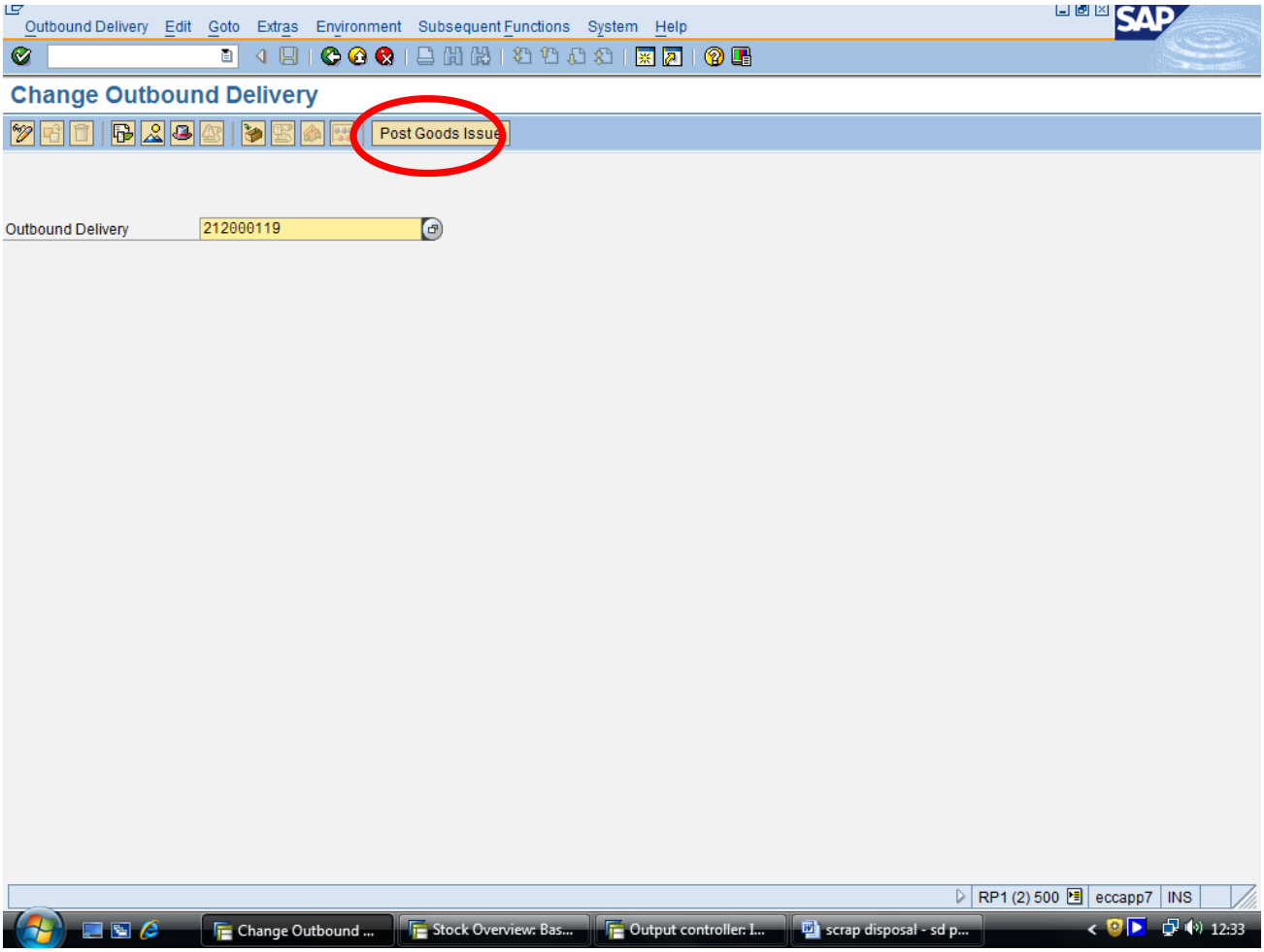
PRESS SAVE SPLIT BUTTON FOR THE NEW DELIVERY NO.



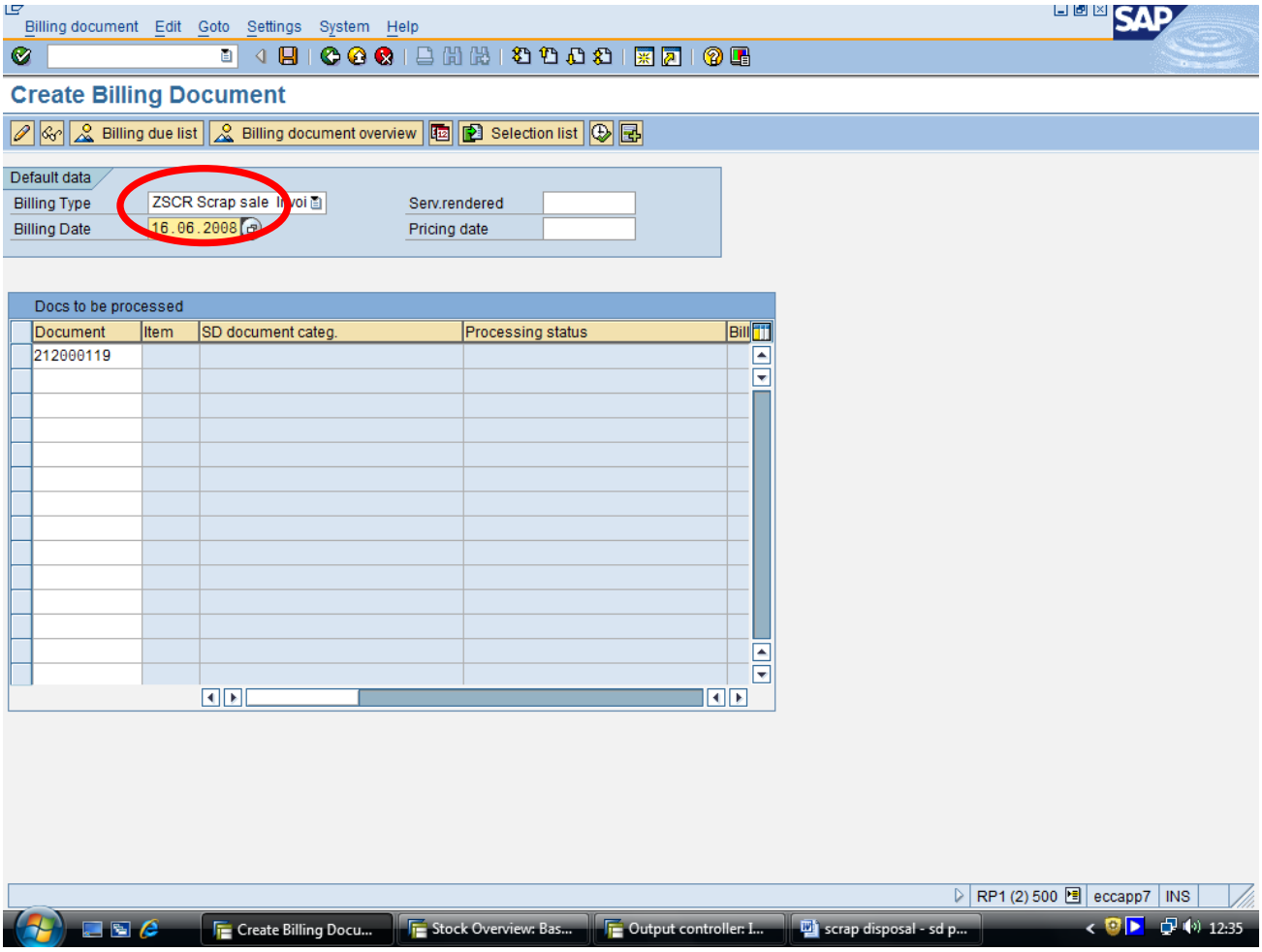
NEW DELIVERY NO WILL BE GIVEN BY THE SYSTEM

GO TO VL02N(CHANGE DELIVERY)

GIVE THE SPLIT DELIVERY NO.
AND PRESS POST GOODS ISSUE BUTTON



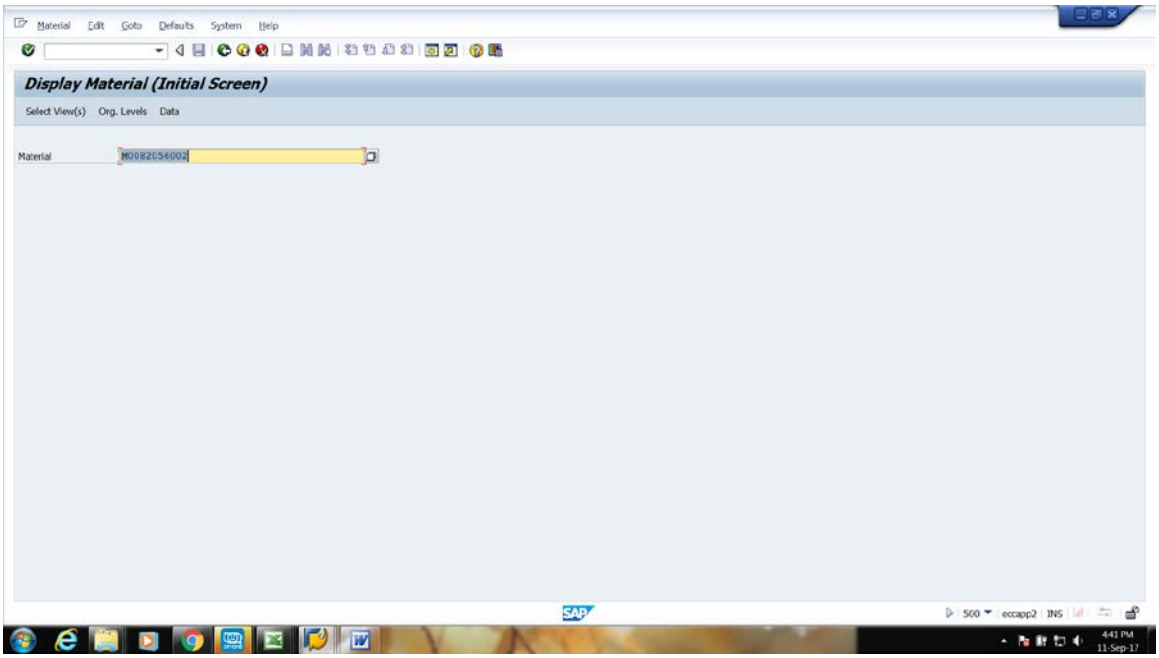
GO TO VF01
GIVE THE DELIVERY NO AS REFERENCE DOCUMENT COLUMN/FIELD
BILLING TYPE = ZSCR
GIVE THE RELEVANT BILLING DATE



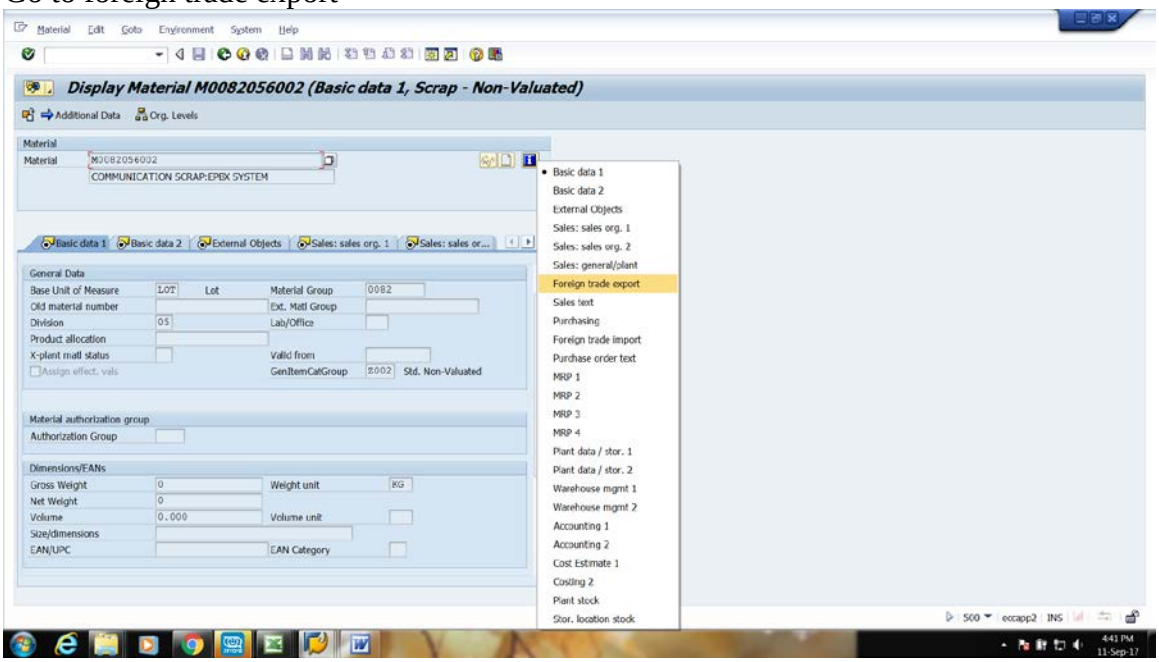
FOLLOW THE BILLING METHOD AS EXPLAINED EARLIER

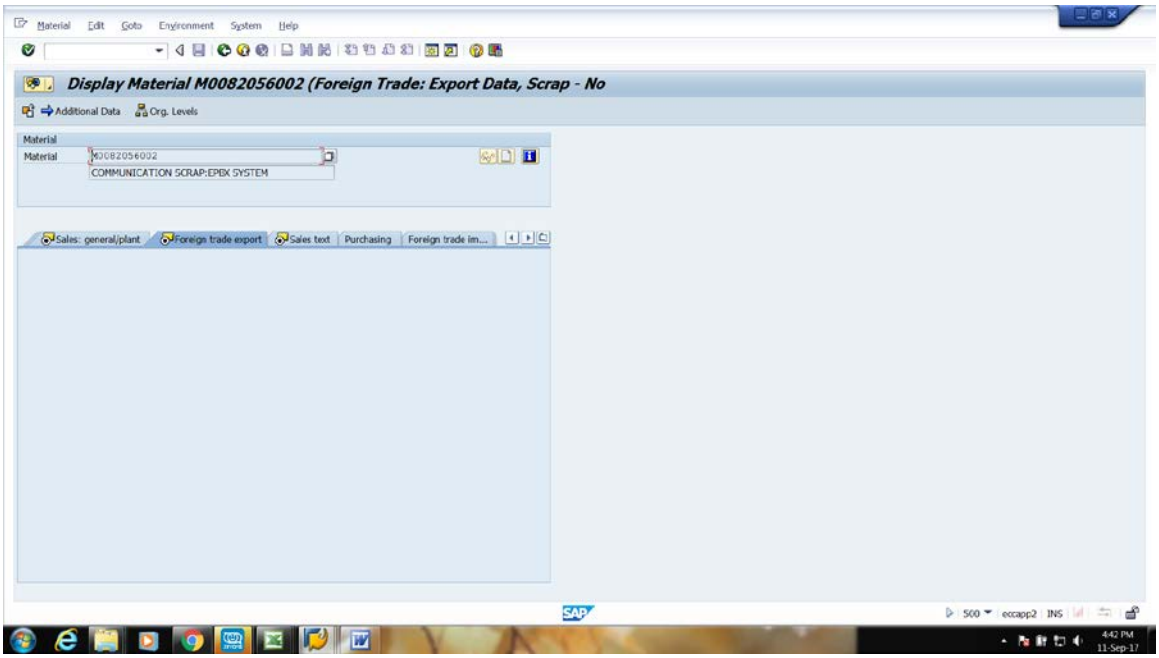
Preliminary checks to be done before creating Sale Orders

1.Check the material code (T code-MM03), if authorization is not there raise role request through site role coordinators.

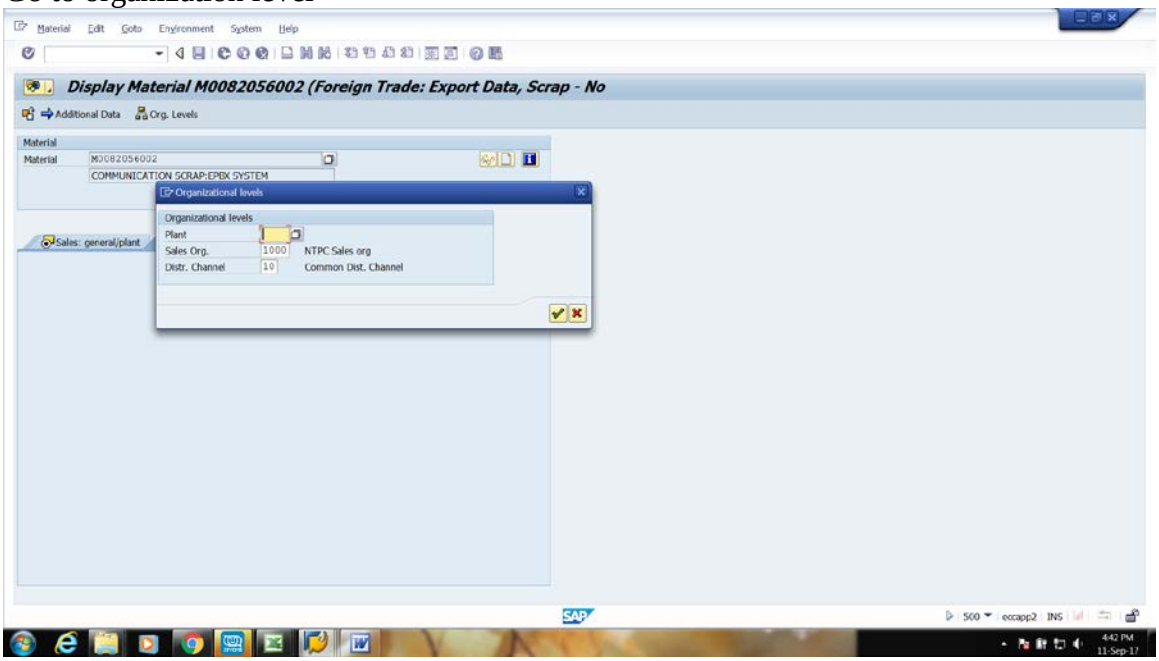


Go to foreign trade export

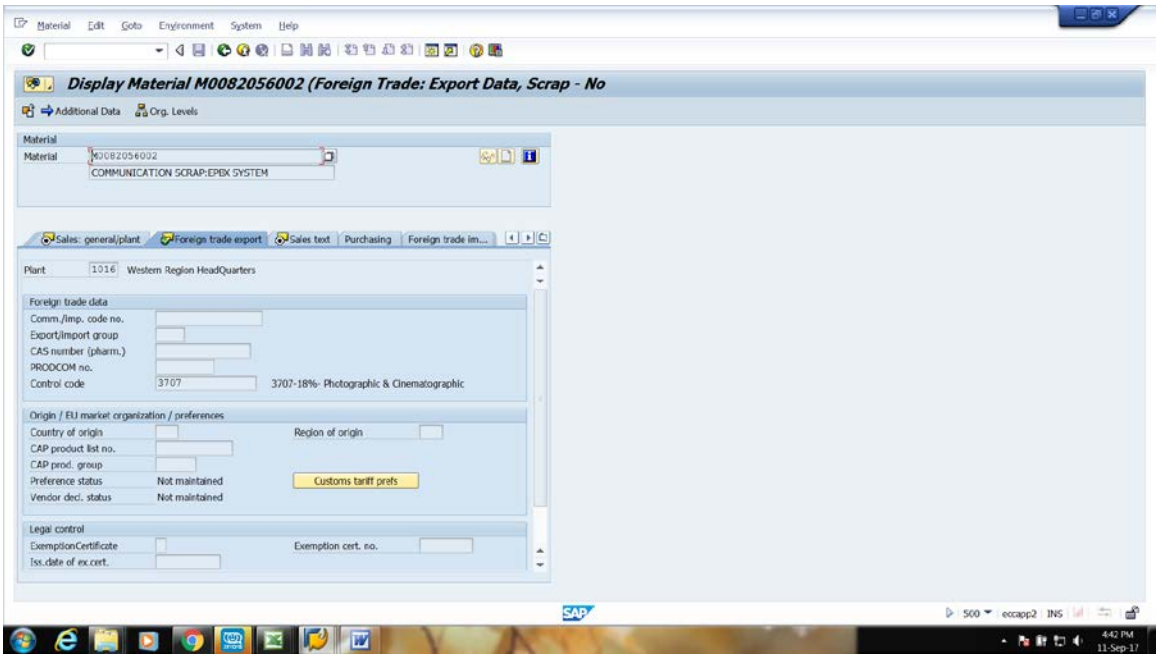




Go to organization level

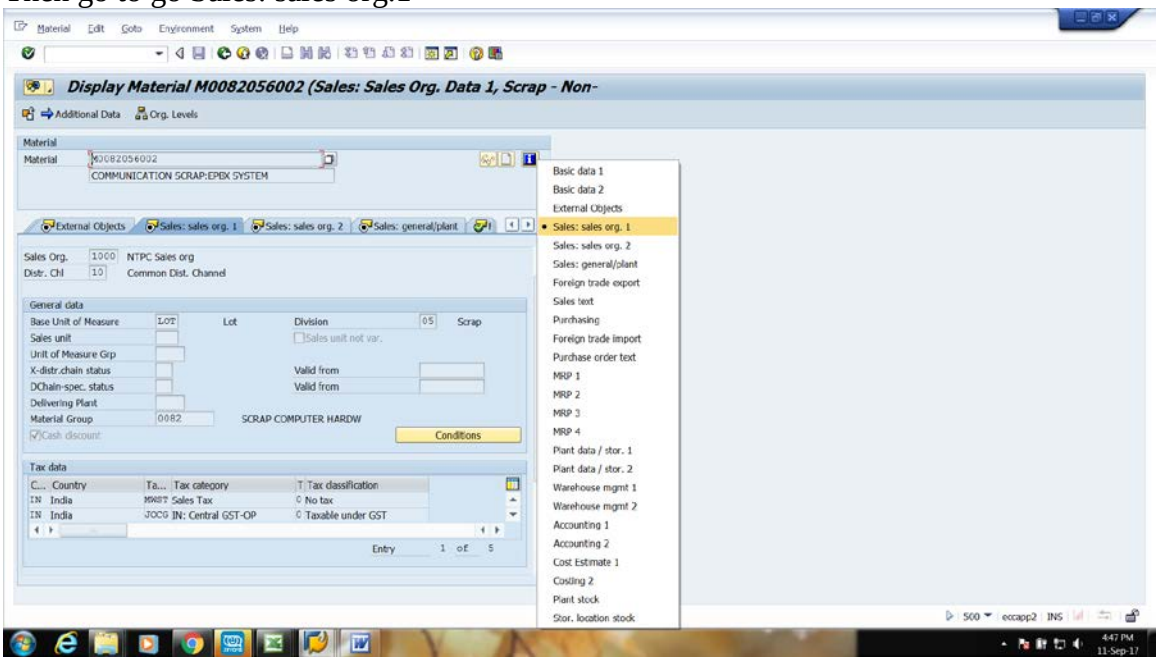


Enter your plant and run



Check control code is maintained or not as in above case 3707 is maintained. ITshould not be blank.
IF it is blank then get the HSN code from MM-ERP and get it updated by any C&M user's login id, using T code ZGST_HSNUPD.

Then go to go Sales: sales org.1

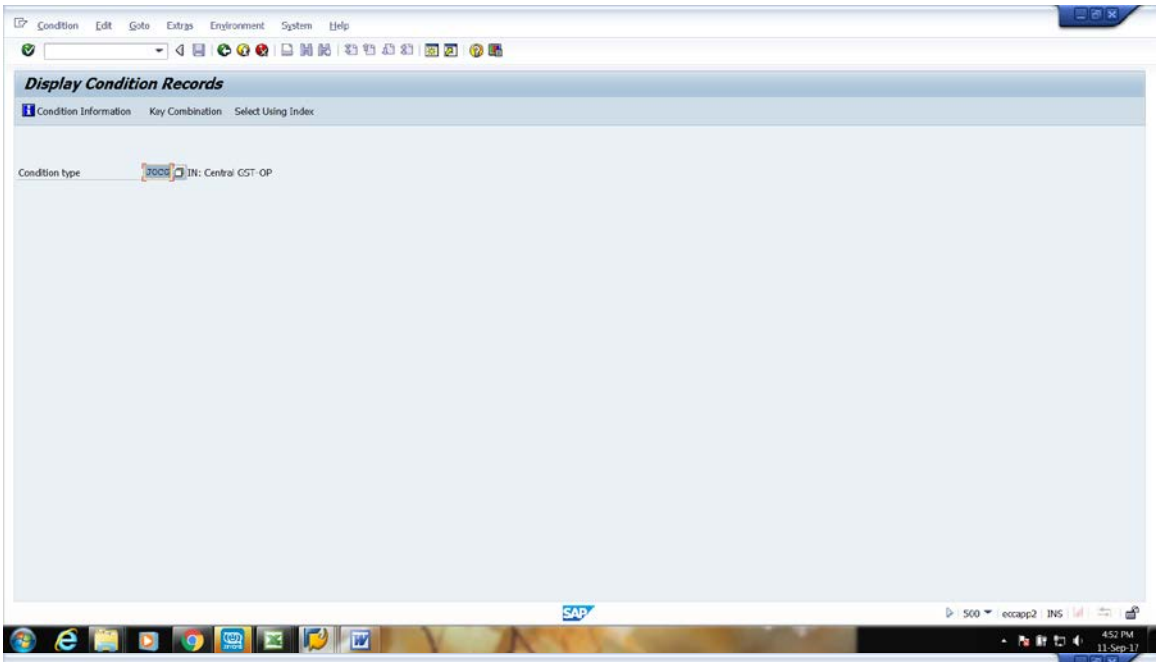


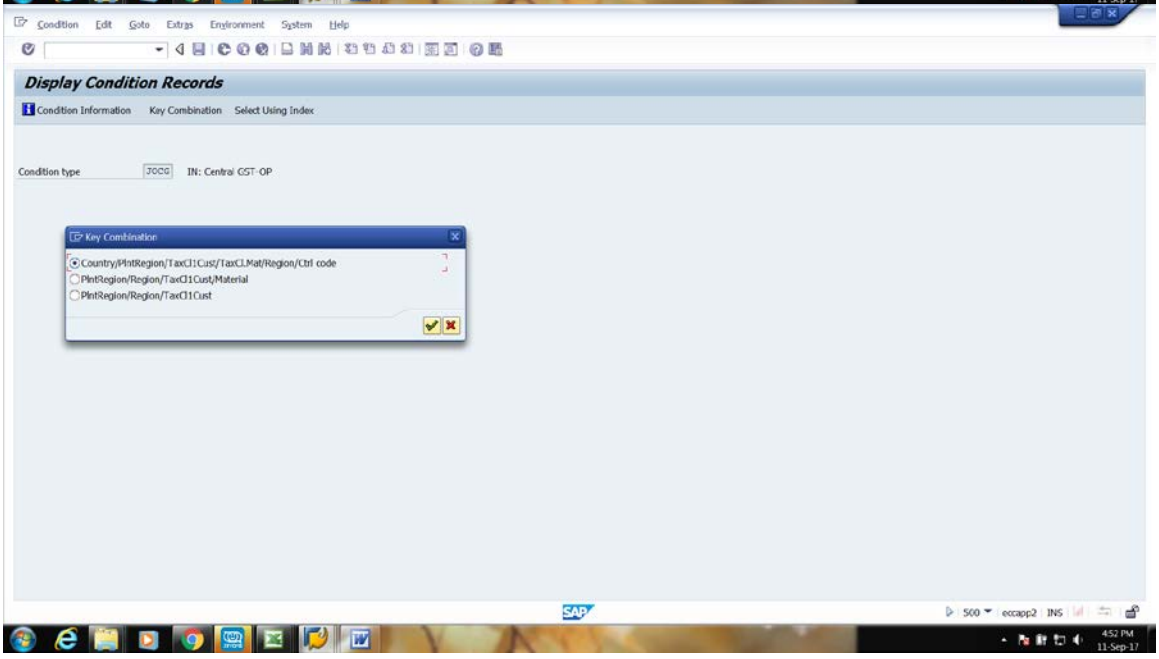
Check if tax data is maintained (it should be either 0/1/2 as per the case) .It should not be blank.
If it is blank contact SD-ERP team to maintain tax data for the material.

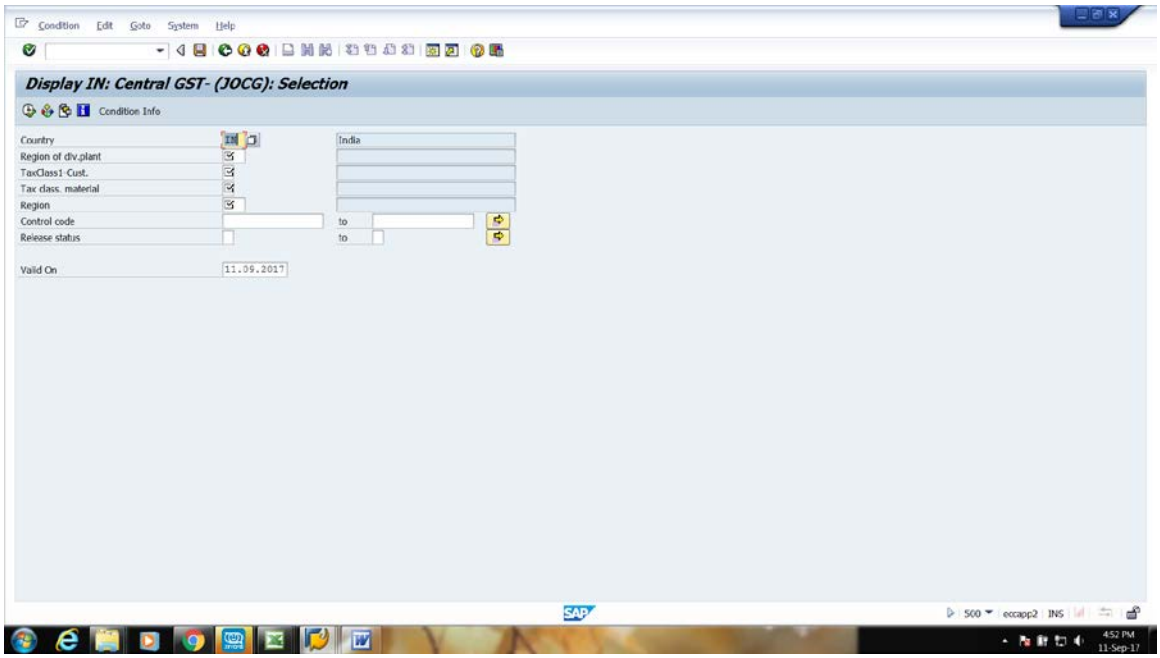
2.Check Tax condition (JOCG/JOSG/JOIG/JOUG) as the case may be depending upon the customer region (state) and state of supplying plant.

If customer region (state) and state of supplying plant is same- check JOCG/JOSG
If customer region (state) and state of supplying plant is different-Check JOIG
Check JOUG in place of JOSG if state is union territory

Use T code VK13, if authorization is not there raise role request through site role coordinators.





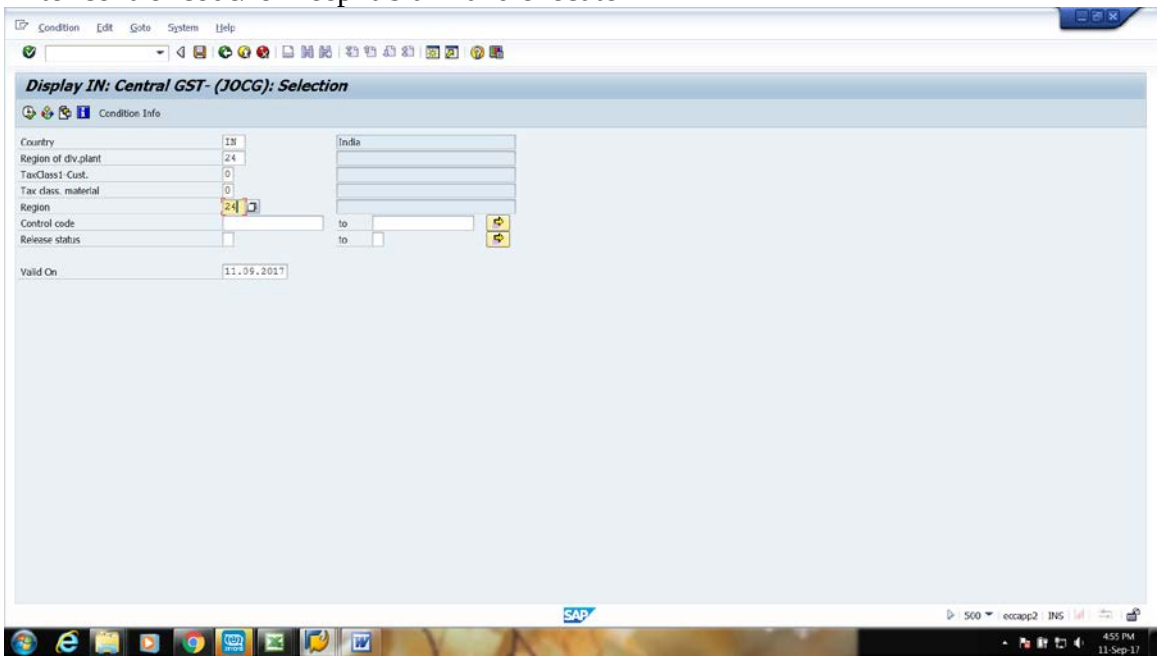


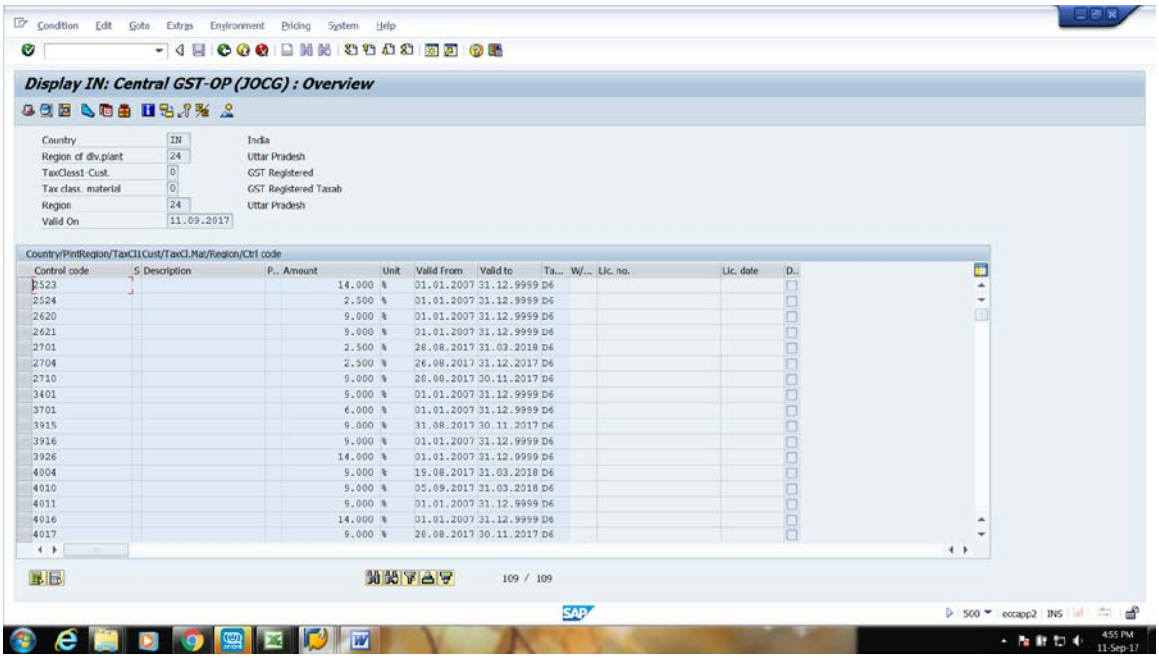
Enter relevant data in above screen

For e.g.
Country-IN
Region of dlv plant- 24 state code of NTPC plant

Tax class1-Cust=0
Tax class. Material=0

Region –state code of customer
Enter control code/ or keep it blank and execute

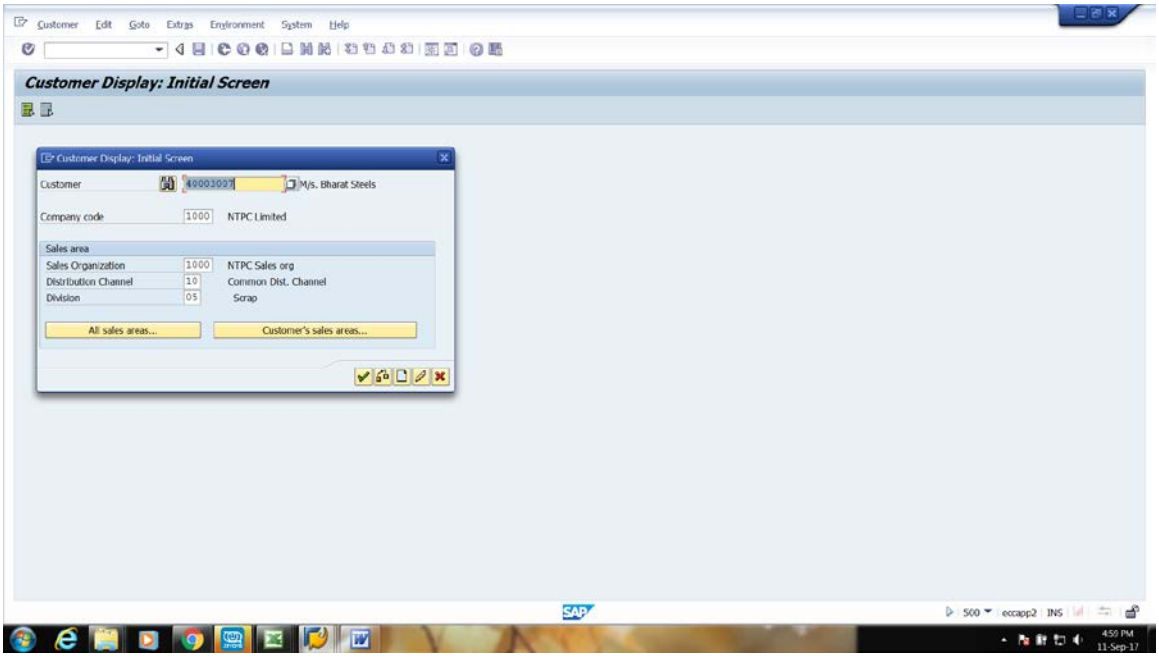




In above screen check, if tax condition for control code for the material exists or not. If it is not there then, contact FI-ERP for maintaining tax condition for the required control code.

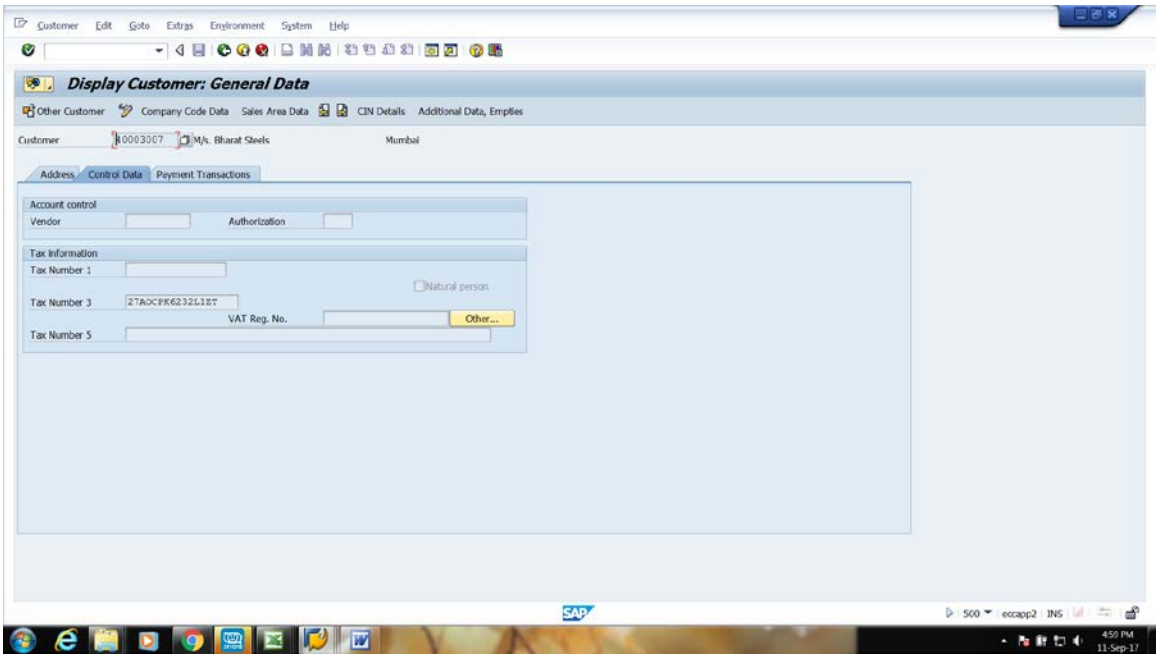
3. Check customer code (t code- XD03), if authorization is not there raise role request through site role coordinators.

Run t code XD03



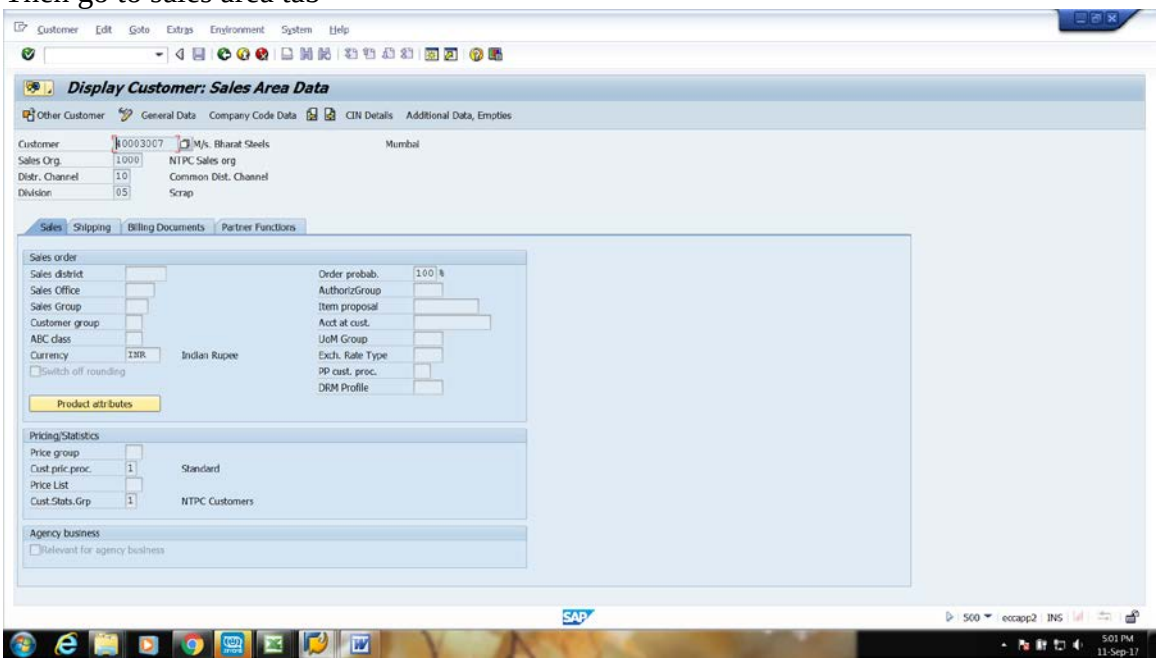
Enter the details

Go to control data tab

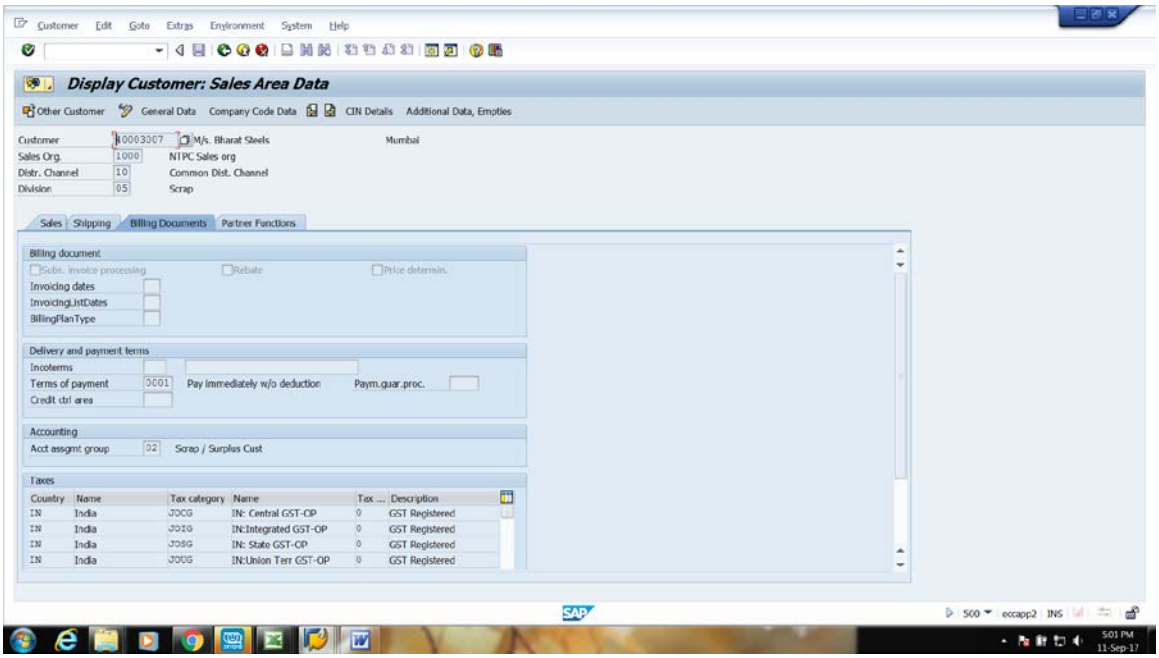


Check if GSTN no is maintained or not.If not maintained contact site role coordinators for updating GSTN no.It should be blank for one time customers and customers who are not GST registered.

Then go to sales area tab



Then billing document

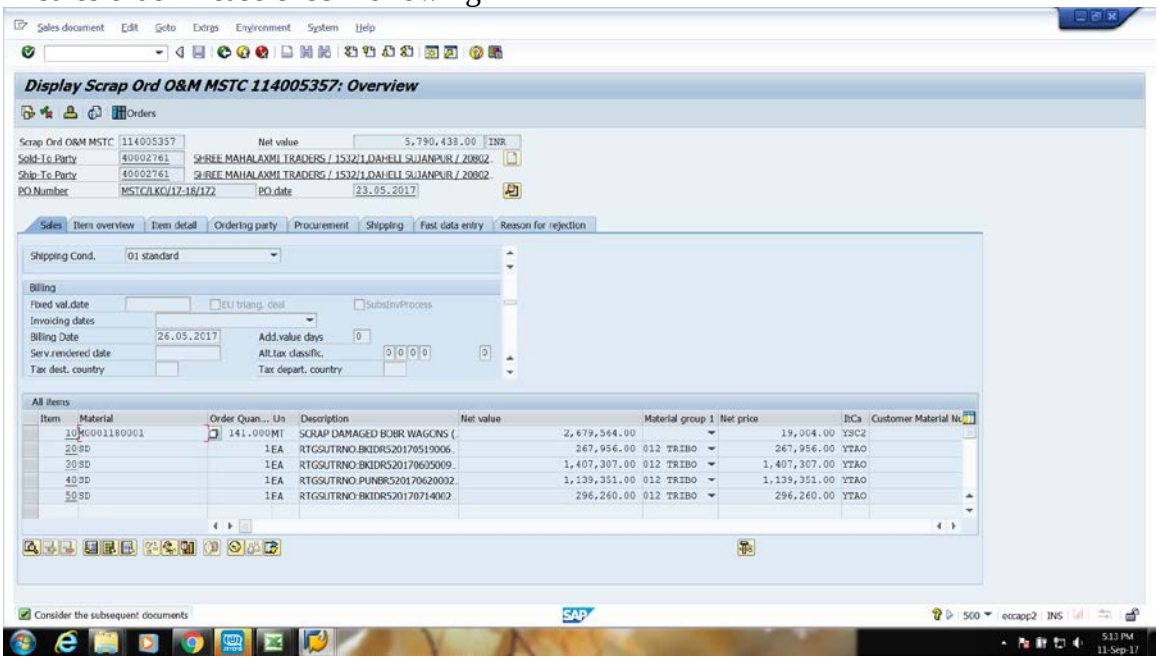


Check bottom window tax data for the customer should be updated either 0/1/2 as the case may be. It shouldn't be blank.

If it is blank contact site role coordinators/ERP-SD team for updating Tax data for the customers.

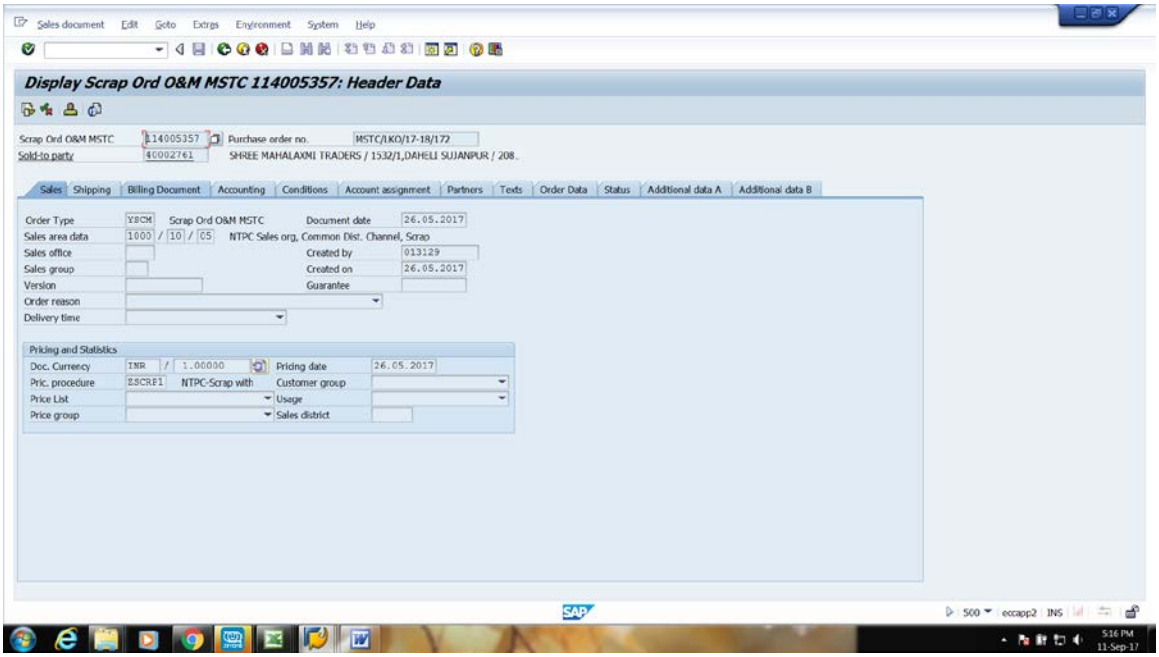
Only after confirming above one should proceed for creation of Sales Order .

In sales order Please check following



Alt tax classification in "Sales" tab ,all blocks= 0 zero/or 1/or 2 as applicable as it is maintained in tax data for the customer and material.

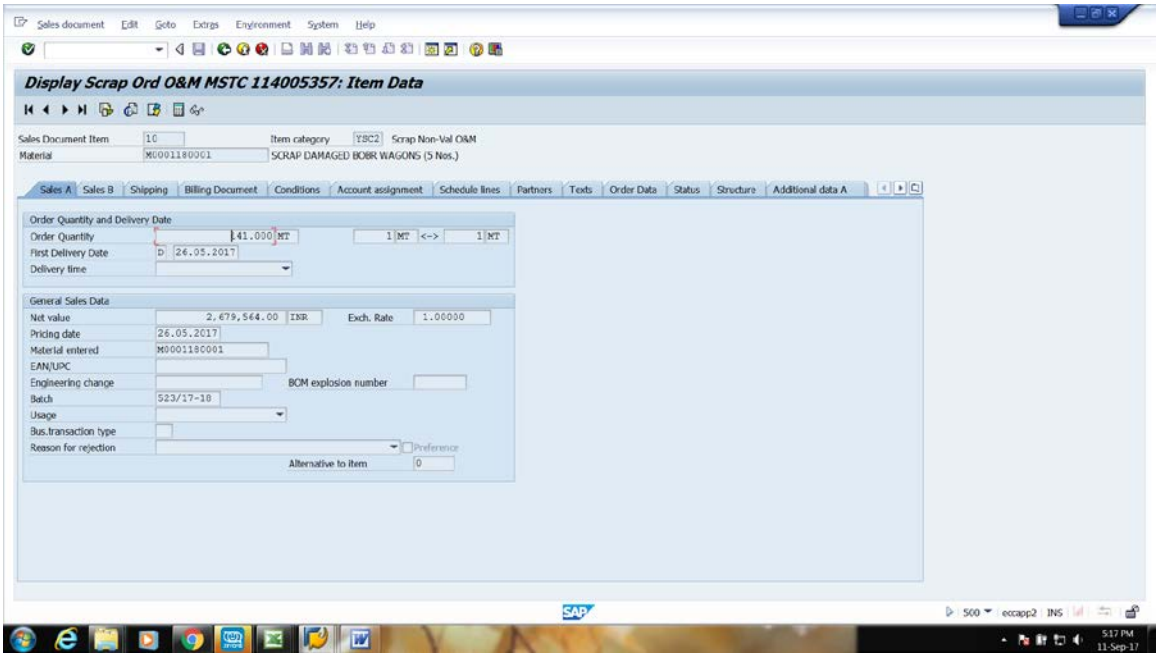
Go to header



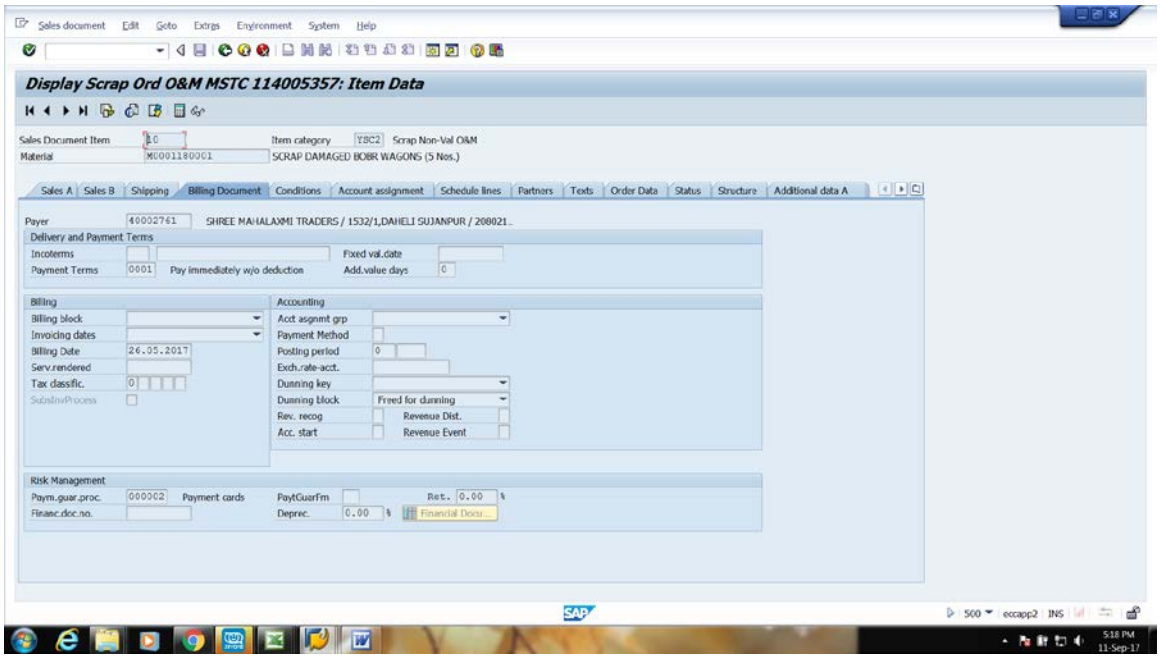
Billing document tab

Check Alt tax classification all blocks= 0 zero/or 1/or 2 as applicable as it is maintained in tax data for the customer and material.

Double click on material code

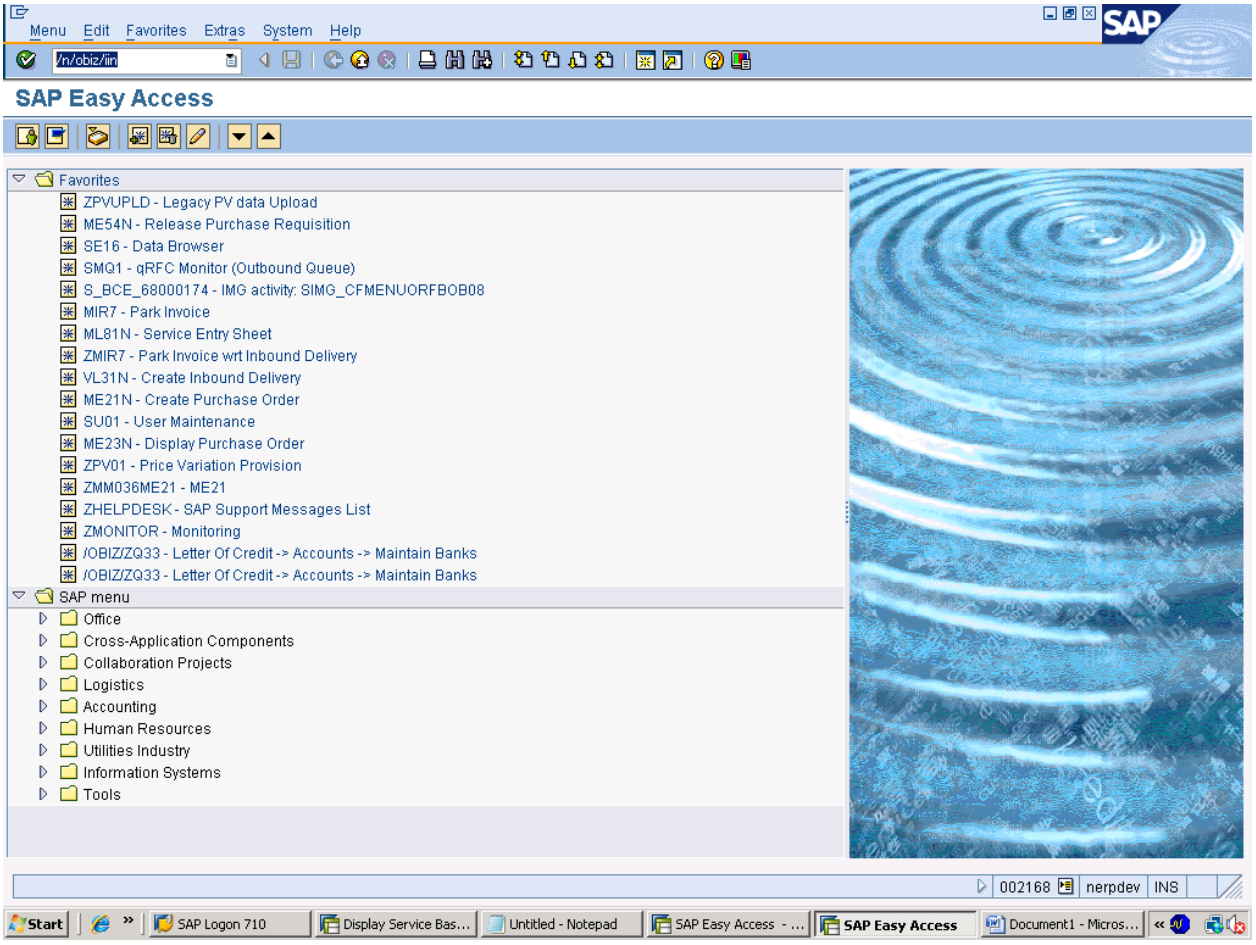


Go to billing document tab

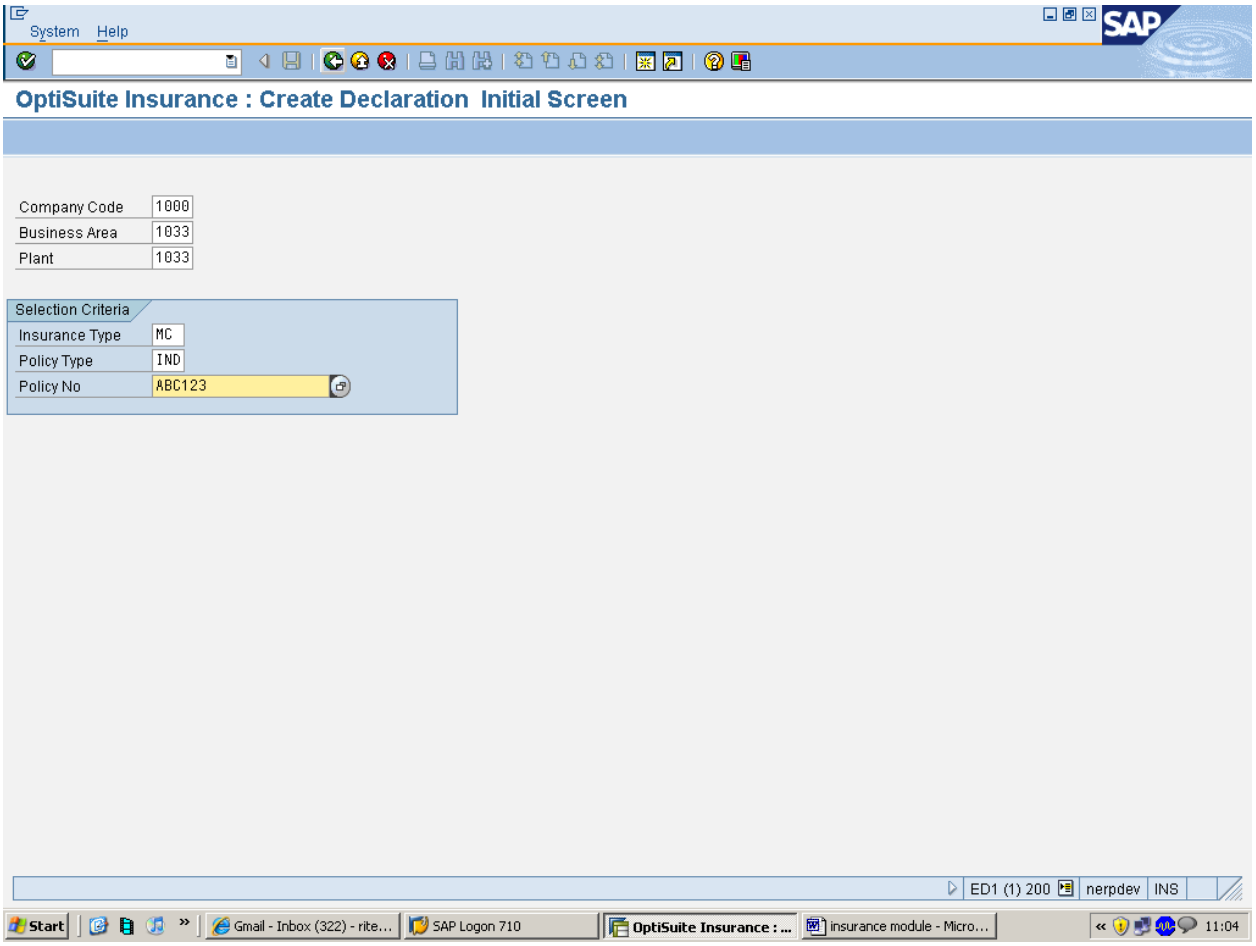


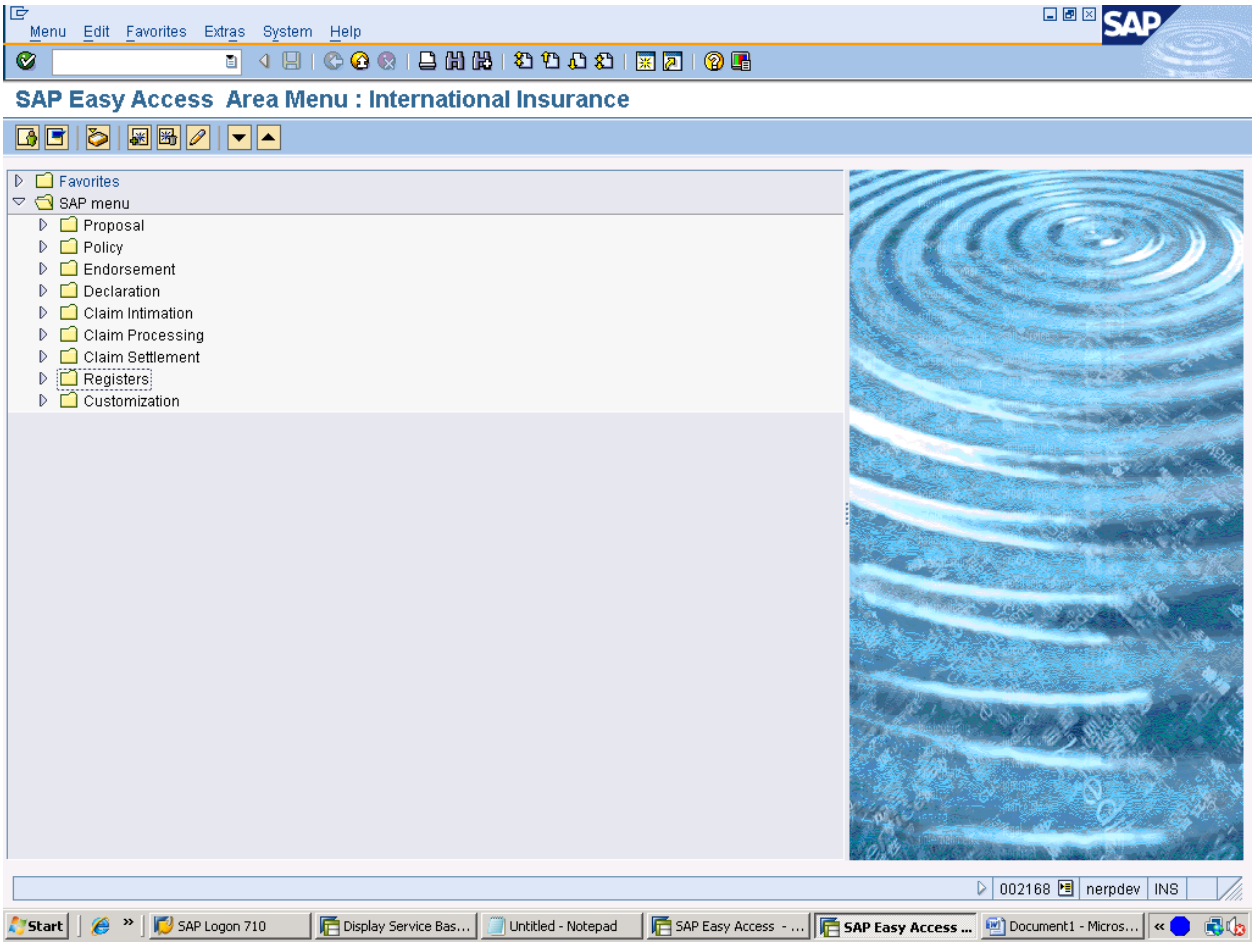
Check Alt tax classification all blocks= 0 zero/or 1/or 2 as applicable as it is maintained in tax data for the customer and material.

9.0.9 Insurance Module User Manual for User



Use transaction code:- /N/OBIZ/IIN where all the folder for insurance module is available To create a policy prerequisites are insurer (company's data and other details like discount percentage, srcc percentage , marine percentage has to be uploaded in system that will be done at coorporate center) for the declaration prerequisite is in purchase order in terms and condition tab insurance by ntpc option has to be selected and in inbound delivery under LR/RR tab policy no. Must be entered**.**


System Help
SAP
OptiSuite Insurance : Create Declaration Initial Screen
Company Code 1000
Business Area 1033
Plant 1033
Selection Criteria
Insurance Type MC
Policy Type IND
Policy No ABC123
ED1 (1) 200
nerpdev
INS
Start
Gmail - Inbox (322) - rite...
SAP Logon 710
OptiSuite Insurance : ...
insurance module - Micro...
11:04



For insurance module, the screen will appear like this where all folders are available.

CHAPTER-10.0

MIS FOR STORES MANAGEMENT

10.0 MIS FOR STORES MANAGEMENT SYSTEMS INTRODUCTION

10.0.1 To ensure that diversified stores activities are being performed in line with the laid down policies, it is essential to obtain performance outputs for Study & Review, Analysis, Evaluation and further recommendations in taking ultimate decisions.
It is therefore, mandatory to have various types of reports in different context of permutation and combination before arriving at management decisions.

10.0.2 The major focus in this direction calls for Inventory Composition as under:

- Plant Spares
- General Consumables
- Oils, Lubricants and Chemicals
- General Stores
- Scrap

10.0.3 The Inventory Analysis normally done based on the followings:

- Consumption Analysis (**ABC** Analysis)
- Stock Holding Analysis (**XYZ** Analysis)
- Rate Analysis (**PQR** Analysis)
- High Consumption, High Stock Items Analysis (**AX** Analysis)
- Low Consumption, High Stock Items Analysis (**CX** Analysis)
- Movement Analysis

For Spares Inventory, following reports shall also be generated

- VED (Vital, Essential, Desirable) Analysis on the basis of Criticality.
- SDE (Scarce, Difficult, Easy) Analysis on the basis of availability.
- Imported / Indigenous Analysis

A brief list of various analysis / Reports is as follows:

i. **Consumption Analysis (ABC** Analysis)

ABC Analysis is used for selective control of Inventory. It is based on the usage value / Issue Value of items. For ABC Analysis to be meaningful, separate analysis to be carried out for various classes of Inventory/ Heads of Inventory. Capitalized spares shall not be included for this analysis.

ii. **Stock Holding Analysis (X, Y, Z** Analysis)

Another way of approaching control is the XYZ analysis, which has the value of "Inventory Stored" as the basis for classification of XYZ analysis. X-items are those whose inventory value (Total value of stock on store held) are high while Z items are those whose values are low. Y items are those items that fall in between X&Z. Here the emphasis is total value of the items stored and not total value of consumption.

iii. **Rate Analysis (P, Q, R Analysis)**

If the controls are exercised on the basis of ABC analysis only, items of B or C category may get less importance than A or B though their unit cost is quite high & the inventory or transaction of one unit of these items will mean quite a lot of money. Therefore, in order to find out the importance of the items on the basis of PSL rate, analysis (PQR analysis) shall be done.

iv. **Analysis of High Consumption & High Stock (AX) items**

v. **Analysis of Low Consumption & High Stock (CX) items**

vi. **Statistics of Non-moving items**

vii. **ABCD / XYZW Matrix Analysis**

viii. **List of (DX) items**

ix. **Stock Summary Report of (DX) items**

There are few more selective inventory techniques based on different classification/ Analysis, which are listed in the table below:

Sl N	**Analysis**	**Basis**	**Objective**
1	VED	Criticality of item	To determine Stocking level.
2	XYZ	Value of items	To review inventory value & their uses.
3	FSN	Consumption Pattern	To Control Obsolescence.
4	SDE	Problem faced in Procurement	To analyse lead-time.
5	GOLF	Sources	To fix up procurement Strategies.
6	SOS	Nature of Supplies.	To fix up Procurement Strategies for seasonal items

CHAPTER-11.0

TRANSPORTATION

11.0 TRANSPORTATION

11.0.1 OBJECTIVE & SOCPE

The basic objective in the management of transportation is mutual benefit in the long term to both NTPC and the transport industry. This manual has been prepared keeping in view the field experience and difficulties actually encountered by various NTPC Units. It is intended to improve the reliability of transport lead-time by allocating due weightage to it amongst the various criteria for evaluation of tenders for the purposes of award as also for evaluation of performance of various transport agencies. The manual provides procedural and policy guidelines to empanel and enter into contracts with road transporters for safe and timely transportation of materials from various originating locations and ports to NTPC power projects/stations and regions. It also lays down the approach to deal with other modes of transport (such as railways, airways and waterways in availing of their services offered as 'Common Carriers') to the best advantage of NTPC.

While selecting a most effective mode of transportation and a carrier following aspects shall be taken care of –

i) Various modes of transportation feasible

ii) The carrier available

iii) The freight structure of various modes of transportation

iv) The freight structure of various commodities

v) The type of risk in transit and the extent to which carriers are willing to accept.

vi) The terminal facilities that the various carriers

vii) offer

viii) The speed at which the goods are carried by various carriers

ix) The facility available with various carriers for expediting and locating good, which are unduly delayed in transit.

11.0.2 As far as road transport is concerned, service level rather than merely the apparent economy in freight charges shall be considered the most important of the cities adopted in evaluating the applicants for empanelment. As such, past performance of the transporters appointed within NTPC in respect of reliability and dependability shall be given a weightage in selecting the Transport agency. Performance for other companies of reputes shall also be considered when details of performance within NTPC are not adequately available.

This manual covers detailed guidelines for periodical Road Transport Contract, General terms and conditions , Evaluation Criteria and Scope of Work as per **Annexure-I**

11.0.3 Handling and transportation of consignments from Railway Siding to Plant area including stores is also not covered in this manual as terms and conditions of handling and transportation of such jobs are quite different.

11.0.4 Payment for the incoming consignments to the carrier shall be made on the arrival of consignment and on the basis of unloading report rather than on the basis of SRV as the present practice is. As regards the freight payment for outgoing consignments, the same shall be made after receipt of acknowledgement certificate from the consignee. As usual, the unloading report shall be able to provide all requisite details including the condition of consignment when delivered and incase of shortage or damage enroute, a confirmation that open delivery certificate is provided by the carrier. The various eventualities and corresponding effect on release of payment are dealt with as below.

11.0.5 Consignment received in sound condition outwardly, Payment shall be released on the safe arrival of the consignment. For the damages of contents noticed from the outwardly intact packages transporter will not be held responsible and claim will be preferred with supplier / underwriters:

11.0.6 Normally we have to execute different types of contracts depending on the nature of consignment, frequency, distance and quantum of workload. (a) Point to Point Contract where consignments are countable/measureable /weighable immediately. (b) Point to Point Contract where the consignments are not susceptible to counting, measuring, and weighing immediately. (c) Dealing with Road transporters for consignments, which are booked, in smalls by different vendors from various stations.

a) In case of shortages and damages, the recovery may be made from transporters if the losses are directly attributable to the transporter only and no claim may be lodged with the vendor. In case the consignment is insured, the claim may be lodged as per Stores Manual provision clause with the underwriter also but settlement of the claim with the underwriter should be made only if the amount of loss is not recovered from the transporter.

b) The open delivery shall be demanded from the transporter for packages where apparently symptoms of damage, pilferage or forced breaking (tempering) are visible. In case of shortages/ damages, certificate shall be obtained from the transporters. The claim shall be lodged with the underwriter, transporter and vendor simultaneously and settled with any one of the above agencies on merits of case. The freight payment to the transporter may be made unless the losses are attributable to transporter by their willful act.

c) Similar procedure shall be adopted and the certificate for shortage, damage and non-delivery will be obtained from the transporter wherever doubt arises about pilferage or forced opening / tempering in a sound box and from the damaged box. The claim shall be lodged with underwriter, vendor and transporter and shall be settled on any one agency depending on merits. Non-delivery claim shall be lodged with transporter and underwriter only. The freight payment may be made to transporter.

11.0.7 Non Delivery Insured For Transit:

Non-delivery claims shall be lodged with the carrier well in stipulated period so that those are not time barred. As usual, copies of such claims shall be endorsed to underwriters also. However, after receipt of non-delivery certificate from the carrier, no recovery towards value of goods shall be made from them and monetary claims are preferred and pursued with underwriters. However, in the event of non-settlement of claims partly or fully due to reasons attributable to the transporter, recovery shall be made subsequently from transporter.

11.0.8 MODE OF TRANSPORTATION

Various available modes of transportation are as under: -

a. Railways

b. Roadways

c. Airways

d. Waterways

e. Post Parcel

f. Specific contract covering one or more mode from (a) to (e) as above.

a) Railways

Rail transportation is the most suitable means of transportation of heavy and bulky commodities. Railways can provide round the clock services for all the days in a year. Railways can carry huge loads of industrial goods, heavy engineering goods, raw materials, minerals, oils, petroleum products, etc. This is possible due to the reason that goods train consisting of many wagons and carrying capacity being very large. Rack loads of bulk materials move very fast. As the Railways have huge carrying capacity and covers large area, they offer very competitive rates. The speed factor is also higher in case of railways when compared with road and sea shipments.
Railways are however unsuitable for transportation of materials to rural areas, door-to-door services. Similarly, railways are unsuitable for transportation of materials in hilly regions. Due to inherent limitations, railways are not fit for local transportation within the city.

b) Road Transportation:

Road transport, another mode of transportation which is very commonly used has certain advantages over rail transportation, i.e. its flexibility in terminal areas and can provide more rapid services to the user. Road transportation is more suitable for overnight deliveries and deliveries on door-to-door basis.
The biggest advantage of road transportation is that the goods are loaded on the truck at a factory and straightway unloaded at user's end.

This, however, is not always possible by Rail transportation, which moves on a pre-determined route. Thus, lesser handlings are involved in road transportation as compared with the railways, which moves on a pre-determined route. Thus, lesser handlings are involved in road transportation as compared with the railways, which results in lesser breakage and damages in transit. Road transportation can also provide non-schedule and rush out services if needed.

c) Airways:

Air transport is the most modern of transportation. Its biggest advantage is rapid speed. Air transport also enjoys the advantage over other means of transport in term of its direct accessibility. Air transport is ideal for carrying valuable commodities and those, which are Perishable and of lightweight. Lot of savings can also be done by modifying the packaging requirements, as chances of damages enroute are very remote. In case of urgently required materials, this is the most suitable means of transportation. However, air transport has many limitations. Heavy and bulky materials cannot be moved by air. Some of the materials due to their inherent characteristics can also not be moved by Air. The freight rate is very high as compared to other modes of transportation. Apart from this, very limited areas are covered with airports in the county. However, for international trade lot of facilities for air movement have been developed.

d) Waterways

Seaways (shipping) is another mode of transportation, which is most suitable for international trade and at times for inland movements. This is cheaper as compared to any other transportation system for international trade. Carrying capacity of the ship is also very high. The inherent difficulty in this, mode of transportation is that the speed is slow. Water transportation also suffers from circuitous routes, storms and hurricanes etc.

e) Post Parcel/ Courier

Post Parcel is yet another mode of transportation, which is most suitable for light and valuable items. Value Payable Parcels are commonly used, where payments are made against receipt.

11.0.9 Comparative table of rail, road and air transportation is as under:

Sl.NO	Railways	Roadways	Airways
1	Suitable for Heavy and long distance	Best for door to door delivery & dispatch	Suitable for small, costly and delicate items
2	Economy in charges for transportation especially for full wagon loads.	Transport lead-time less than that of railways. Lead times are far more reliable.	Minimum transport lead time
3.	Suitable for items prone to weather changes as closed wagons are available	Less chances of damages and shortages in comparison to railways	Suitable for imported items with a higher value to weight ratio.
4.	Suitable for bulk items	Credit facility easily	Economy in packing

	like cement, steel, chemicals etc. for long distances.	available	
5.	Suitable for transportation of vehicles	Packing economy in comparison to railways	Easy claim settlement for damages/ shortages
6.	Uniform rate of transportation charges	Overall economy in the transport charges	Minimum chances of damages/ shortages for perishable commodities.

11.0.10 MODALITIES FOR AWARDING ROAD TRANSPORT CONTRACT

Transportation by road is required to be given special attention as NTPC enters into contract with the transporters which are in private sector and exhaustive contract details are to be agree upon as regards nature of task involved, service level desired, our own cost analysis, modes of tendering/ short listing of transporters, general contract conditions, specific contract conditions, finalization and execution of the formal contract.

Annexure-I

MODEL PAN NTPC TRANSPORTATION RATE CONTRACT (For Reference Purpose Only).

(A). Scope of work

i) Collection, transportation and delivery of miscellaneous items like Machinery, chemical, spares, consumables, steel, cement, furniture, general engineering items, fragile items and all other types of item required by thermal stations of NTPC. This includes :-

- Collection of materials from supplier works/shop/go-down from anywhere of INDIA, transportation and it's delivery to designated NTPC stations.
- Collection, transportation and Delivery of goods from one NTPC station to other (inter project transfer)
- Collection of imported consignments from docks/ports and delivery to designated NTPC stations.
- To and Fro, transportation of consignments of NTPC Stations to vendor works for repair/maintenance, gas filling etc.
- Any consignment transportation related to O&M activities from anywhere in India to anywhere in India.

ii) The statutory and regulatory compliance as per prevailing legal provisions, safety and security of the goods during the entire process of collection, transportation and delivery of consignments (goods) shall be the transporters responsibility.

(B). Evaluation Criteria

Evaluation shall be carried out as referred herein under. BID Price shall mean the total price in his BID PRICE SCHEDULE for complete Scope of Work.

Evaluation Criteria:

- Evaluation shall be carried out as referred herein under.
- BID Price shall mean the total price in his BID PRICE SCHEDULE for complete Scope of Work.
- BID Price shall mean the total package price of all items listed in the BID PRICE SCHEDULE for its complete scope of Work for the respective bidder.

- Non-quotation of rates against any one or more of the items in any part would render the bid being considered as non-responsive for respective part.

- TOTAL COST of individual item shall mean cost for the item arrived after arithmetical corrections including Taxes & Duties, for the purpose of evaluation.

- Evaluation would be done part wise. NTPC reserves the right to divide the work of Part-A in the ratio of 60%: 40% between evaluated L1 & L2 bidders of Part-A respectively. Similarly, NTPC reserves the right to divide the work of Part-B in the ratio of 60%: 40% between evaluated L1 & L2 bidders of Part-B respectively.

- In no case, L2 for respective part would be awarded more than 40% work of that part.

- Same bidder may be L1/L2 for either or both Part A & B.

- In case of refusal by L2, the rest (up to 40%) quantity of work (respective part) may be awarded to L1.

- The evaluation criteria over-rides all other similar related clauses appearing anywhere in the bid documents, and such clauses are deemed to have been modified to the extent stipulated above. The cost of optional items shall not be considered for the purpose of bid evaluation.

2. Special Terms & condition

1. Duration: Contract Period shall be 24 (Twenty-Four) months with a provision of extension of another 03 (three) Months at the same rate, Terms & conditions of the contract.

2. PVC (Diesel escalation): 0.3% increase/decrease for every 1%increase/decrease in diesel price. Base date: 15 days prior to bid opening and price prevailing at IOC outlet of NOIDA would be the price reference.

3. Defect Liability Period: 03 (Three) months.

4. Payment terms: Each NTPC station would release site-specific PO based on this rate contract mentioning the EIC for that station. Payment shall be made from individual stations against monthly RA bill basis as per actual work executed on certification of respective EIC.

5. This is a rate contract. BOQ quantities are tentative for purpose of bid evaluation. Actual requirement and deviation will be considered only on overall value of the contract, individual item can vary to any extent as per actual requirement of work.

6. Variation Limit: Overall contract value may vary by (+/-) 30%.

7. The contractor shall presume to have satisfied himself/themselves by due and careful examination before submitting his/their tender relating to this contract, as to the quantum and nature of the work and nature of the site, the materials necessary for performance of work, the means of access to the site and all matters incidental thereto and ancillary thereof, job affecting the execution and completion of the work.

8. Transporter shall be responsible to comply all statutory laws and regulation while transporting the materials.

9. No payment will be made against other charges that are not specified in the contract.(such as cover charges, statistical charges, hamali, goods tax, toll tax, Handling, loading & unloading enroute,and any charge which is incidental for transit and in deployment of vehicle during operation of the transportation contract etc. will not be entertained).

10. In normal circumstances loading of materials on vehicle at collection point and unloading of the same at the delivery point is under the scope of consignor and consignee respectively. However if transporter does such work, reimbursement at actual will be done by NTPC.

11. For emergency requirement, delivery of single consignment will be operated only as per instruction of EIC however for consignment booked as FOR (up to transporters godown), the freight of which has been paid by the supplier delivery charges would be payable as per provisions of the contract.

12. If more than one consignment (smalls) were to be delivered on the same day, the delivery charges would be paid based on aggregate weight of the consignments.

13. Collection / delivery charges: Collection charges from loading point at consignors end for the small/part consignment materials per occasion.
The same rates will be applicable for delivery of emergency small consignment for which expeditious delivery has been made as per instruction of EIC.

However, in case of delivery of more than 0ne consignment on same day the delivery charge payable would be on the basis of aggregate weight of consignments.

14. Agency shall give delivery of several consignments booked by the supplier on freight paid F.O.R. Transporter Godown basis as and when there will be an accumulation of around 3MT and delivery charges would be payable as per BOQ rate.

15. Free Loading/unloading time: 24 hrs. From the date and time of placement of truck within NTPC/supplier stations premises during the normal working hours excluding holidays. Loading / unloading in the scope of NTPC/supplier, transporter to provide authorized representative to acknowledge delivery (including shortage, damage, deterioration) of consignment at the site. Detention charge would be payable if the loading /unloading time exceeds beyond the stipulated time (i.e. 24hrs), and the delay being on A/c of NTPC/Supplier.

16. Detention charges (beyond free unloading time) per day would be as follows:- a).Mini Truck: Rs 800/- b) truck: Rs 1500/- c) Trailer: Rs 2200/-. However all intervening holidays and Sundays will be excluded from detention period calculation.

17. No detention charges shall be considered if the vehicle is placed on holidays/Sundays or as in the event of force majeure conditions. Also NTPC will not be responsible of vehicle detained at the main gate entry of Stations (CISF check Post) for any reason whatsoever.

18. Branch offices: Transporter to open branch office/ booking/delivery center within 15 days located within 10KMs at all NTPC stations, BHEL works, Metro cities and other renowned industrial centre (as per requirement).
The list is to be given by NTPC at the time of award. Transporter can apply for one small workstation within each NTPC site if it opts, which would be allocated at the discretion of site management subject to availability of the same.

19. Transit Insurance (open marine policy) to be in the scope of NTPC, transporter to submit letter of subrogation. Normally all consignments are insured by NTPC under open Marine Policy. However, transporter may insure the goods at their own cost to ensure safe and risk-free transit.

20. No claim against insurance charges done by transporter shall be entertained by NTPC.

21. Storage: Damage of Consignments in transit would be recovered from transporter. The agency should ensure safe storage in covered godown to avoid theft/losses/breakage.

22. Minimum chargeable weight on FTL basis for Truck/ Trailer/ Mini truck is the Design/ License capacity of the vehicle deployed. For example if a consignment of 12MT is transported by 16MT truck minimum chargeable weight is 16MT and if the same consignment is transported by trailer of 20MT then chargeable weight is 20MT. Likewise if a consignment is transported by 1MT mini truck minimum chargeable weight is 1 MT. Prior consent of EIC for the type of vehicle to be deployed with required capacity of vehicle to be ensured for such FTL payment. Minimum chargeable weight for smalls/part consignment is 100KGs.

23. Minimum chargeable distance on FTL basis for truck /Trailer: 300KMs & Mini Truck: 180 KMs. Maximum distance for which mini truck can be deployed is limited to 500KMs

24. EIC to certify for FTL consignments for Urgent & expeditious delivery of consignments. Full truckload consignments are to be brought to delivery location directly and no further delivery charges will be payable in case of such consignments.

25. The upper ceiling of freight charges for any small consignment would be limited to FTL.

26. The agency to collect imported consignments from different ports like Chennai, Vishakhapatnam, Kolkata, Mumbai, Paradeep, Haldia or any other ports if required.

27. Transit time: The period (i.e. Number of days) between the issue of LR (i.e. LR date) and the delivery date acknowledged on the LR, (excluding booking & delivery date), would be reckoned as the “TRANSIT TIME” for this work. No concession would be given for Sundays or Public Holidays.

    However, Force majeure and strike etc. may be considered at the discretion of EIC on submission of documentary evidence against the same.

The permitted Transit time for this work is as follows:-
Full/Mini truck/Trailer load (on FTL): Truck 300KM per day, Trailer: 150 KM per day,
For small/part load: 0-500Km: 7days, 501-1000Kms: 12days. 1001-1500Kms: 20 days
The adherence to the transit time involved for the consignments would be the basis of performance monitoring of the agency. The agency has to deliver the consignments within the allowed transit time. LD (Liquidated Damage) for any deviation in excess to stipulated transit time would be as per clause No. 28 given below.

28. LD @1% per day beyond stipulated delivery time subject to maximum of @10% of freight amount. Which is in addition to demurrage & other damage charges if applicable

29. Infringement: For ODC consignment infringement benefit will be extended up to @10% extra (Max), mutually agreed rates by EIC & Transporter. However, instead of extra charge for ODC, EIC may reimburse the RTO fines paid in actuals on submission of documentary proofs like challan & receipts for ODC. The basis of rate calculation needs to be informed by EIC while ordering for lifting ODC Consignments. The transporter is free not to agree to the rates as described above for ODC consignments. In such a situation, EIC may get it transported through different PO (Either through authorized transporters or through otherwise by tendering).

30. Volumetric consignments: for volumetric consignments 1Cu-ft = 10kg & 1 Cu-mtr=360Kgs. Would be the basis of calculation.
In case of volumetric consignments where calculation of volume is difficult, EIC to certify for FTL or FULL MINITRUCK, load depending on the case. However, freight would be limited to FTL or FULL MINI TRUCK load as per the case.

31. High value imported consignment valuing more than Rs 50 lacks may be booked on FTL/Full mini Truck load with the prior approval of EIC, however in case of non-delivery of the consignment within FTL transit time the freight for the same shall be payable on the actual weight and size of the consignment

32. Bank through C/N: Delivery shall be made by 10 days from the date of raising of delivery demand by NTPC to the transporter/contractor. LD @1% per day subject to maximum of 10% of freight amount.

If NTPC is not in a position to furnish consignee copy of LR the materials to be delivered on submission of Indemnity Bond by NTPC.

33. Mini truck shall be deployed by transporter on written permission from EIC for any transportation work. Whenever it will be deployed, the payment will be released for full load basis for the vehicle deployed. This excludes the delivery of goods between nearby transporters Godown and NTPC stores (i.e. for a shortest distance within 0-70kms), in such cases clause 13 is applicable.

34. The ODC items shall be clubbed with general category of items to ensure capacity utilization of vehicle. In such cases rates applicable for general category shall be paid on minimum guaranteed load/licensed capacity of vehicle basis and for ODC item, no separate charge shall be claimed by the transporter. However under the circumstances when only one piece of ODC is available for dispatch & no other CARGO is available to club then the transporter is to transport the same as full truck/trailer load only on written permission from EIC of NTPC, and in such cases the payment will be made for the minimum guaranteed load for FTL basis with OD charge (infringement if applicable, refer clause no 29).

35. The contractor should maintain local office at stations with representative/staff and communication facilities like valid e-mail, mobile, landline and internet facilities. The staff/representative should be in touch, pay regular visit to EIC for facilitating, and prioritize the assignments. The representative/staff shall maintain register with challans and submit to EIC as and when required.

36. The agency to extend facilities to officials and staff of NTPC for inspection of the materials in their custody or in transit as and when necessary.

37. The agency should provide regular feedback on progress of transit goods and be responsive to NTPC critical consignments.

38. The agency must not carry any materials belonging to the third party in the same truck for which FTL payment is being made.
Any violation regarding this may make the contract liable for termination and security deposit being forfeited.

39. The cargo details like no. of packages / bundles /pieces / weight/volume etc. to be clearly mentioned in the challan/GR and physical delivery may be effected by counting/weighing and inspection.

The transporter should obtain acknowledgement of receipt of materials from authorities duly signed and stamped. This GR shall be treated as final quantity received.

40. For shortages and damages, the contractor must offer open/assessment delivery & issue shortages/damages certificate to NTPC. The size of materials i.e. length/width/height/volume shall be reckoned as shown in the documents of suppliers. In case NTPC desires to put escort along with consignment, the transporter should comply and provide a seat in the truck.

41. All lifting and other tools and tackles as well as labour required for loading in transit, if required shall have to be arranged by the contractor at their own cost and no extra payment will be made. For any departure by the contractor in the sequence of movement of stores contrary to those indicated by management and resulting in any interruption or held up of work the responsibility shall rest on the contractor who shall have to bear the additional charges accrued on account of such held up works and upsetting of work schedule by way of idle labour etc.

42. Normally no materials will be received by NTPC in stores after office hours and on holidays. However, the contractor shall be responsible for performing all or any of the services arising out of the contract at any hours including odd hours without any additional payment wherever as required and as directed by EIC.

43. No claims of the contractor for idle period of work in respect of labour, vehicle, and equipment for any reason whatsoever will be entertained by NTPC.

44. In case loaded miscellaneous items/smalls are required to be weighed at NTPC weighbridge, the same should be facilitated without charging any extra amount.

45. The transporter is responsible for safe transportation of consignments hence shall make all necessary arrangements like putting tarpaulins and other materials.

46. The contractor should legally authorize their representative to carry out all works on behalf of the contractor by way of extending power of attorney on non-judicial stamp paper as per legal norms.

47. If the work is found unsatisfactory, NTPC reserves the right to get the work done by any other agency at the risk and cost of the contractor and in such cases, security deposit is liable to be forfeited due to unsatisfactory performance.

48. The responsibility of any loss, damage, shortage, quality deterioration and negligence/lack of proper care on the part of contractor or any of the men/employees engaged by the contractor shall be borne entirely by the contractor.

49. In the event of any shortage/damage detected while unloading, the transporter shall be responsible for the same and necessary endorsement will be made on challans/consignment by NTPC officials/representative and the same shall be authenticated by the transporter (refer clause no 15).

50. Transporter shall issue shortage/damage certificate, based on which NTPC will lodge claim on underwriters. In the event of non-settlement of claim partly or fully due to reason attributable to the transporter the same shall be recovered from their pending bills.

51. Consignments awaiting delivery at the destination should be stored in a covered godown.This is in the scope of transporter,

52. Octroi & Road Permit: No OCTROI charges are normally payable by NTPC. The contractor should ensure to collect necessary certificate regarding these from EIC and furnish the same to the authorities.

53. The accommodation and safety of the employees/ labourers of the contractors is the responsibility of the contractor. NTPC will not be responsible for any kind of accidents/casualties to contractor's employees/ labourers.

54. The contractor should be licensed under contract labour regulation and abolition act. 1970. The contractor shall comply with all the provisions of labour rules and regulation and minimum wages act and comply the revisions therein.

55. In-Transit accidents causing damage of vehicles/loss of life to anybody or any third party shall be sole responsibility of and liability of the transporter. NTPC shall not entertain any claim for such contingencies and reserves the right to withhold any amount of transporter to protect the interest of the injured/dead as per laws.

56. Collection of dispatch documents, road permit etc. are the responsibility of the transporter. Same should be collected well in advance from EIC. NTPC will not be responsible for any penal action and detention of vehicles.

57. Insurance: Notwithstanding any independent arrangement made by NTPC to insure the goods against transit risk, the transporter shall be fully liable to make good all losses. Suffered by NTPC due to damage or non-delivery of goods entrusted to the transporter for transport. Transporter's liability is absolute in all circumstances irrespective of NTPC insuring the goods.

58. Transporter should carry the consignment/packages etc. as per carrier risk and not at owners risk and complete responsibilities from every angle shall rest with the transporter from the time of lifting of materials till the final delivery at destination.

59. Set-off clause: Any sum of money, due and payable to the contractor including security deposit returnable to him/them, shall be liable to be appropriated by NTPC and set-off against any claim of NTPC arising out of or under any of the contracts made by the contractor with the corporation.

60. Winding up: If any time during the subsistence of the contract, the business of the contractor/transporter becomes insolvent, the contract shall forthwith stand automatically terminated without any break to the rights of NTPC.

61. Without prejudice to any other provisions in these conditions, the contractor shall be bound to keep NTPC fully indemnified against any action , claim or proceeding under the provisions of any rules, regulation by law, modification, direction or order having the force of law for anything done or omitted to be done by the contractor to contravention of such provisions for the infringement

    of violation by him/them in the course of execution or completion of work under the contract and if as a result of any such action, claim or proceedings.

62. In case the transporter is adjudged to be liable to any penalties or to pay any compensation, such liability shall be deemed to be their liabilities and if situation so warrants NTPC shall deduct all amount arising out of such liabilities from the bills payable and security deposit of the contractor or from any other amount due to the contractor and payable by the corporation under this contract or any other contract without prejudice to any further legal remedy available to NTPC.

63. Weight variation and errors: The gross weight of the materials carried will be recorded in the consignment note at the dispatch station and the transporter will ensure its accuracy.

Upon weighing at site differences up to +/- 1% shall be considered as weigh difference at two different weighbridge and no recovery shall be made from the transporter for the shortage and also no extra freight paid for +1%.

64. However, if the weight difference is more than (-1)%[i.e. shortage] of the quantity transported, recovery towards full shortage [excluding the allowance of 1%] shall be made at 2.0 times the purchase cost as per purchase order/supplier invoice terms and condition or as decided from time to time based on the nature and seriousness of the case.

65. If the shortages are, due to receipt of less nos of pieces, bundles or differences of dimensions then the contractor shall be held responsible in full and recovery shall be made as mentioned above. Accordingly, freight payable shall also be for quantity actually received.

66. For any refusal by the contractor/transporter for lifting of consignment by the suppliers at the direction of NTPC, the consignment will be transported by NTPC at the risk and cost of the contractor by any other transporters service. The decision of EIC will be final in this regard.

67. On award of the contract, the contractor/'s must open office/collection & delivery center within 10 days as per the list given in TABLE-A.Also the officials/representatives must be nominated by the contractor for each such office/collection center. An account manager for NTPC has to be located in NOIDA (U.P) by the transporter, who will facilitate the monitoring of execution of the contract by providing periodical progress report and will resolve day-to-day problem in case local officials of the transporter fail to do so.

68. The transporter shall be responsible for obtaining permission from all concerned govt./municipal/statutory authorities/PWD/CPWD/SEB/railways/P&T/Police etc. for overcoming the various obstructions en-route.

69. Chargeable Distance: Transit distance shall be calculated as per the shortest route distance available from Automobile Association guidelines/TTK guidebook and as decided by NTPC.

70. In case of collection on FTL basis, if the collection station is within a radius of 25KMs of main city/town/station, no extra transportation charges shall be entertained & distance will be considered from main City/town/station.

71. Consignment misplaced or booked to incorrect stations: Transporter shall take all steps to deliver all consignments booked in the designated station. If the material is transported to in-correct destination/station all expenses for its re-direction or otherwise shall be on transporter account. Transporter is further required to ensure prompt corrective action. LD would be applicable as per normal rule if transit time were exceeded.

72. For any re-direction of consignment by NTPC, diverting it to any other station from its original destination transporter shall charge extra freight depending upon the differential distance involved.

73. For Consignments booked by NTPC on FTL basis meant for expeditious delivery, for any delay of delivery above the stipulated transit time (refer clause no 27), NTPC reserves the right to settle the freight payment as per ordinary normal C/N.

74. Daily progress report should be forwarded by contractor to EIC for the consignment booked in Full Truck/Trailer/mini Truck.

75. Contractor to ensure prompt collection and transportation of the materials within the validity period of the delivery order's (DO) duly authorized to him.

76. Service Tax: service tax shall be paid extra (provided the same is mentioned as exclusive in the price bid) as per prevailing rates.

    In case of GST being implemented the following method of tax, calculation will be adopted:-

    a) In case of Service tax exclusive quotation, GST as per applicable rate, in lieu of service tax would be reimbursed.

    b) In case of Service tax inclusive quotation, Service tax at prevailing rates (on Last date of bid submission), would be deducted from the total bill and GST as per applicable rate would be reimbursed on the remaining amount.

77. Financial impact arising out of any change in rules/laws/statutes by Central/State/local govt. bodies (panchayat/municipality)/statutory authorities after the stipulated time and date for submission of bid shall be reimbursed by NTPC at actual.

TABLE-A

Cities/ Metro	Cities/ Metro	NTPC Stations/ Sites	BHEL Sites	PORTS
DELHI/NOIDA	KOVUR	FARAKKA	BHOPAL	MUMBAI
ERNAKULAM	MAKARPURA	ANTA	VARANASI	KOLKATA
DHOLKA	MARGAON	AURAIYYA	HARDWAR	VIZAG
BHIWADI	MUMBAI	BADARPUR	HYDERABAD	PARADEEP
BHARUCH	NAGPUR	BARH	BENGALURU	HALDIA
DURGAPUR	NASIK	BONGAIGAON	TRICHY	CHENNAI
BHILAI	PALAMOU	DADRI	RAMCHANDRAPURAM	
DEWAS	PATNA	GANDHAR	JHANSI	
BANGALURU	PERUNGUNDI	KAHALGAON	RANIPET	
DAMAN	PHATA	KAWAS	JAGDISPUR	
COIMBATORE	PITAMPUR	KAYAMKULAM	RUDRAPUR	
BHOPAL	PUDUCHERI	KORBA		
CHENNAI	PUNE	MOUDA		
BHUVANESWAR	R K PURAM	RAMAGUNDAM		
AGRA	RAIBARERILLY	RIHAND		
FARIDABAD	RAIPUR	SOLAPUR		
AHMEDABAD	RAJAMUNDRI	SIMAHDRI		
GANJAM	RAJNANDGAON	SINGRAULI		
DADRI	REHALA	SIPAT		
BOKARO	RENUKOOT	TALCHER		
AURANGABAD	ROHTAK	TALCHER KANIHA		
ALLAHABAD	ROURKELA	UNCHHAHAR		
GHAZIABAD	SALEM	VINDHYACHAL		
BARODA	SATNA	KUDGI		
GURGAON	SHADOL	TANDA		
GUWAHATI	SHAHBAD	FARIDABAD		
GWALIOR	SUDAMNAGAR	KOLDAM		
HALDIA	THANE			
HALOL	TIRUANANTAPURAM			
HOSUR	UDAIPUR			
HUBLI	VAPI			
HYDERABAD	VASHI			
INDORE	VISAKHAPATNAM			
JAGDISHPUR	WADI			
JAIPUR				
JALANDHAR				
JAMMU				
JAMNAGAR				
JAMSHEDPUR				
JHANSI				
JODHPUR				
KANSBAHAL				
KARAD				
KARIMNANGAR				
KATNI				
KHARGPUR				
KIRLOSKARWADI				

KOLHAPUR				
KOLKATA				

CHAPTER-12.0

SPARES PART MANAGEMENT

12.0 SPARE PARTS MANAGEMENT

12.0.1 CONCEPT AND PHILOSOPHY

In view of huge number of spares handled by each project of NTPC a systematic spare parts management policy, need to be developed as the spare parts management is most critical area and any wrong decision / policy will lead to high inventory carrying cost and generation of surplus / non-moving / obsolete items.

A large part of spare part management is essentially managing safety stock that is weighing the risk of stock out against cost of inventory in quantitative way/ order point / order quantity system is basically suitable for fast moving items (Few in range and cheap) and automatic replacement shall be done when reorder point is reached for individual spares. Ordering to be done whenever the reorder point reached for individual spares.

For all other items, periodic review system has to be used. The review period is to be selected for inventory parameter optimization fitting into other aspects of planning, such as budgeting plan and periods of shutdown, prime supplier's production schedule etc.

12.0.2 PROBLEMS OF SPARE PARTS MANAGEMENT (SPM)

(A) Visible Problems

1. Low annual consumption value but very high range. Hence, attention can not be given at senior levels of management.

2. Very high nuisance value i.e. consequential damage (downtime) when required but not available in stock.

3. Random, unpredictable requirement, making forecasting a risky game.

4. Excess stocks of many spares covering requirements of several years; simultaneously, shortage of critical spares, which is the main cause of downtime (waiting for spares).

5. Procurement problems of items of global shortage, imported items, for old machines and machines out of production, matched parts, non-standard hardware.

6. Problems of preservation due to large variety, shortage of self life of some items

7. High unit cost as a spare part compared to an assembled machine.

8. Conflict between User (Maintenance Executives) and Materials Executives regarding quality of service rendered. Enormous time wasted in meetings, queries and coordination causing much delay and variation in initiating PRs, purchase orders and follow-up, loss of faith in the system by Materials as well as maintenance engineers, hoarding (and not reporting) stocks by plant resulting in unrealistic inventory parameters.

9. Larger volume of data due to large range.

10. Standard inventory models not applicable, typically, ROL could be 1,0, or -1 for majority of spares required in process plant or for single or made-to order machines.

11. Assessing quality of supplied spares is difficult and often impossible. Difficult to identify spurious spares such as bearings, O-rings and fasters.

12. Distinction between consumables (automatic supply) and other spares unclear, leading to unrealistic forecasting.

(B) Invisible Problems

1. Absence of clear responsibility for inventory control, Abdication of this responsibility by Materials Executives and complete ignorance of inventory science by maintenance Executives who are forced to handle it.

2. Ignorance and non-realization of the importance of scientific forecasting of requirement of different kinds of spares by Maintenance Executives.

3. Lack of guidance and quantitative policy of SPM as risk-oriented service by top management, resulting in indenters over-insuring without regard for cost / wasted of invested capital, while materials department has no idea about actual service rendered. This is a major cause of unsatisfactory SPM.

4. Ignorance of maintenance engineering science and techniques of life assessment by Maintenance Executives resulting in excessive stocking of initial spares, most of which represent the non-moving, high cost items of spares. This is compounded by machine/ plant supplier's commercial interests and equal amount of ignorance in this area.

5. Complete lack of Scientific Inventory Control of spares, Inventory Models used for other materials are applied to spares though not suitable.

6. Wrong data used for calculating consumption rates (e.g. issue data rather than actual consumption) which are used for forecasting future needs. Repairable status of assemblies ignored.

7. Spares parts are discrete items and stock cannot be had in fractional quantities as in the case of other materials. Since the optimum stock quantity for many slow moving and expensive items turns out to be fractional, the error in rounding off to 0 to 1 is large and creates either high risks or high stocks.

(C) All the Above Problems of Spare Management Arise Out of the Followings

i. Randomness of malfunctions and failures.

ii. Ignorance of techniques of life assessment.

iii. Faulty forecasting (ignoring probabilistic nature of consumption of spares).

iv. Wrong inventory control model and parameters

v. Lack of norms for service versus investment

(Many external problems i.e. problems of supply also arise out of the same causes).

12.0.3 GENERAL INVENTORY

"Re Order Point / Re Order Point System" and its counterpart "Periodic Review System" are the most commonly used system for fast moving of specific pattern of consumption.

Fundamental inventory relationship is given by the equation:

Re-Order level= Consumption during Lead Time + Safety Stock

ROL = M + K√M where K = Safety factory and M = Lead Time Consumption.

ROP or Reorder Point is another name for ROL

One unit of safety stock is twice as expensive to carry as one unit of cycle stock:
Safety stock is the biggest component of all spare parts stock.

A large part of SPM is actually managing safety stocks i.e. weighting of risk of stock out against cost inventory, in a quantitative way.

Re Order Point / Re Order Quantity System is suitable for fast moving items (few in range and cheap), Automatic Replenishment when order point is reached for individual spare is practical.

For all other items, Periodic Review System has to be used. The review period is selected for inventory parameter optimization, fitting into other aspects of planning, such as budgeting plan and periods, periodicity of shutdowns, prime supplier's production plans etc. this is much more complex than the former type of spares and needs item decision by maintenance staff (indentors) who are familiar with Inventory Control Management.

12.0.4 TYPES OF SPARE PARTS

Preventive Maintenance Spares: Simple arithmetical calculations relating to PM Schedules. Small range, low cost items, occasional delay is tolerable.

Breakdown Spares: It is required to meet unpredictable service failures, causes maximum downtime and loss of production. The range of these spares is fairly large which needs high or very high safety stocks and consumption rates may change during lifetime of machine, it is difficult for initial assessment of life.
Unit cost ranges from low few spares to high for most spares. Criticality is different for different spares.
Several different types of classifications are necessary to determine safety stocks based on service levels, storage patterns, purchase policies and ABC, VED categories.

12.0.5 POLICY FOR SAFETY STOCKS OF SPARE PARTS

For fast moving Items–

Policy shall be based on law of diminishing return, ABC/ VED analysis, Management norms for service levels, Engineering judgment by maintenance Executives and consumption data for estimating usage patterns.

For slow moving items-

Policy shall be based on engineering assessment, advanced statistical techniques.

For repairable items and assemblies-

Policy for use of repaired spares based on failure rate, average repair cycle time, its variation and cost replacement items vs. cost of downtime and repair cycle time.

For items of planned shut-down / overhaul-

This is based on Engineering assessment, data from condition-monitoring, procurement lead-time and estimated remaining life of item.

12.0.6 ORDER QUANTITY THROUGH SAP

Automatic calculation of data based parameters and Simultaneous availability of history of usage, failure rate, knowledge of planned future shut down and Preventive Maintenance by indenters as and when required. Final selection of order quantity by indentor and automatic transmission to Purchase and Stores based on above data.

12.0.7 INTIAL PLANNING FOR SPAPE PARTS

Involvement of Maintenance Executives in equipment selections,simultaneous assessment of range and quantity of initial spare parts, Special terms of contract with suppliers of plant regarding agreement for return of unused recommended / mandatory spares after some specified period to avoid surplus / non moving items inventory. Codification and parameter definition to be decided jointly by Maintenance Executives and Stores Officials.

12.0.8 COMPANY MANUAL FOR SPM

Detailed step by step instructions shall be framed for all concerned Viz , Management policy in quantitative terms, selection of plant, assessment of initial spares, ranging and parameter estimation, terminology used and explanation of abbreviations, allocation of categories and classification, codification, inventory control procedures for different types of spares, (Common with other types of material- procurement procedure, storage and preservation, store accounting, receipt and issue procedure, inspection of received goods, write offs), direct and cross- functional responsibilities of departments and individuals for management of spare parts. Periodicity and authority for review of Manual shall also be finalized.

12.0.9 ROLE OF MAINTENACE IN SPM

Advising Management on maintainability of machines proposed for new introduction. Ranging and selection of initial spares by scientific assessment of life of individual item at the time of introduction of new machines, and modification, Appropriate classification of criticality if spares to have scientific determination of safety stocks, Scientific computerized indenting procedure, Minimizing the need for spare parts by proper maintenance, Recommendation of Purchase from selected supplier on the basis of performance of critical spares. Advising Stores on preservation of spares, scientific assessment of residual life of fitted items during planning for overhaul. Extending the life of unavailable / obsolete spares, Reutilization of expensive obsolete spares.

12.0.10 ROLE MATERIALS IN SPM

Materials department shall be responsible for Development and Operation of scientific inventory models and systems for all types of spares.

Timely Procurement at lowest 'total' cost to the Company, Custody, good housekeeping and preservation of spares. Quick response to unexpected requirements for non-stocked spares, simple and direct user- friendly issue procedures.

12.0.11 ROLE OF FINANCE IN SPM

Finance department is responsible for Development of user-friendly purchasing and accounting procedures with 'service' in mind, Involvement in major investment decision for high value spares/ equipment with full knowledge of 'total cost' of non-availability when needed. Providing assistance in cost and risk analysis calculations, general accounting overview as in the case of other materials.

12.0.12 ROLE OF TOP MANAGEMENT IN SPM

Mainly, to approve the policies for stocking based on cost-effectiveness, for different categories of spares, arrange periodic review and updating of policies, Decision on investment on individual high value spares and high cost assemblies. Responsible for Approval of policy of the Company for Spare Parts Management.

12.0.13 MUSIC (MULTI UNIT SELECTIVE INVENTORY CONTORL)- 3D CONCEPT

This concept is basically used for Organization of Multi Unit / Location based where the following characteristics are found for maintaining Inventory.

- Large no. Items
- Importance of each item is different.
- Consumption / failure rate not predictable / assessable.

To maintain type of inventory, selective techniques of inventory control to be used for improving the efficiency.

- ABC CLASSIFICATION BASED ON ANNUAL CONSUMPTION VALUE.
- XYZ CLASSIFICATION BASED ON YEAR END STOCK VALUE.
- FSN CLASSIFCATION BASED ON SPEED OF MOVEMENT.
- SDE / GOLF / SOS CLASSIFICATION BASED ON LEAD TIME VALUE.
- VED CLASSIFICATION BASED ON IMPORTANCE / CIRITICALITY.

12.0.14 MOVEMENT ANALYSIS

INVENTORY VALUE	FAST	SLOW	NON MOVING
X TOP 10 % NUMBER 70 % STOCK VALUE	FX	SX	NX
Y MEDIUM 20 %	FY	SY	NY
Z LOW 70 % NUMBER 10 % STOCK VALUE	FZ	SZ	NZ

12.0.15 CONTROL OF SPARES INVENTORY

The following steps shall be maintained to control the Spares Inventory:

1. Proper technical vetting and budget provision during initial provisioning, along with delivery schedule / requirement.

2. Clear criteria for classification & stocking of spares.

3. stocking policies based on following relevant factors: -

   VED ANALYSIS - SOTCKOUT IMPLICATION

   ABC ANALYSIS - FINANCIAL IMPLICATION

   LEADTIME ANALYSIS - PROCUREMENT DIFFICULTY

4. Standardization / Indigenisation.

5. Monitoring of failure rates of parts for better maintenance.

6. Close co – ordination of Materials / Maintenance function.

7. Appropriate repair policies / Adequate repair workshop facilities.

8. Spares bank / pool for common spares.

CHAPTER-13.0

BENCHMARKING

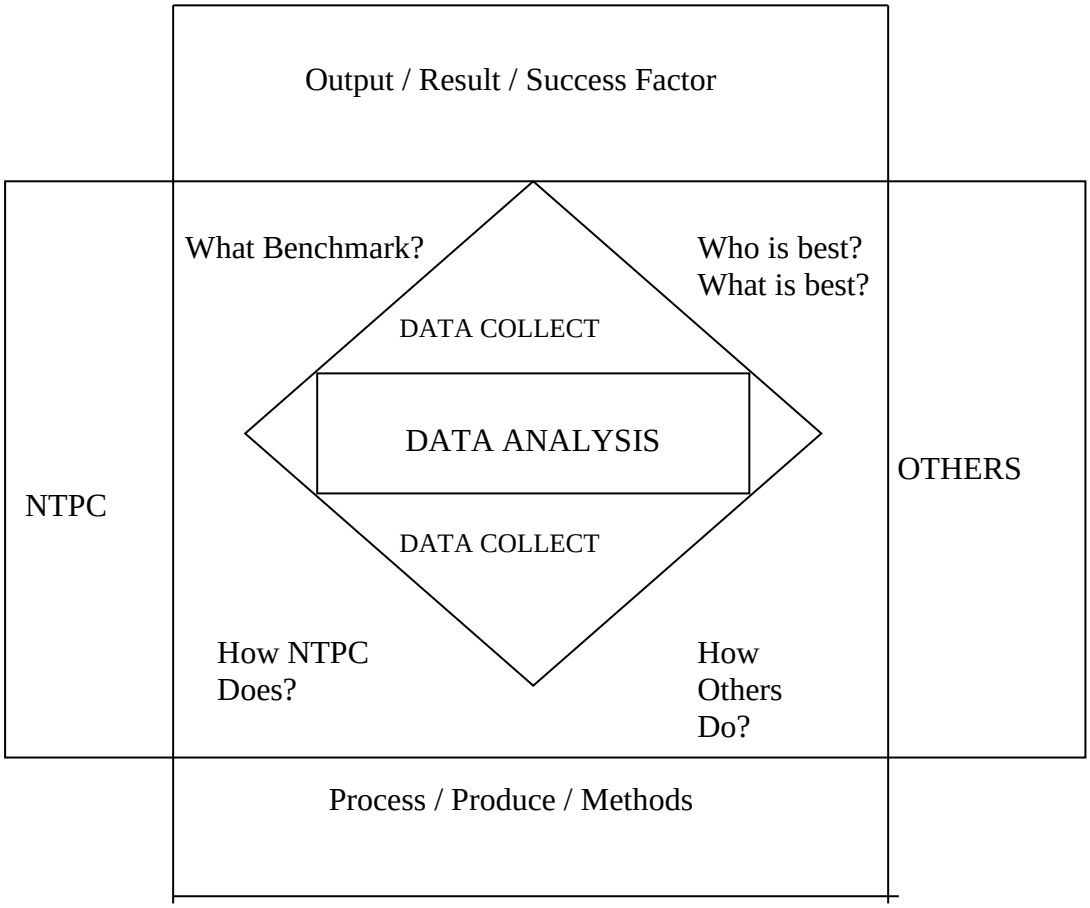
13.0 BENCHMARKING

13.0.1 DEFINITIONS:

"Benchmarking is the practice of being humble enough to admit that someone else is better at something, and being wise enough to learn how to match and even surpass them at it."

The present global competitive environment has led a new emphasis on measuring internal performance not just in absolute terms, but rather in terms relative to others i. e. comparing against a relevant "Metric" or "Standard" or "Benchmark" available in similar industries.

Following theme as template may be taken as a guideline for "Benchmark" available similar industries. Following theme as template may be taken as guideline for Benchmarking Process:



The major index/ indices is mentioned as guidelines and should be suitably modified on the basis of process / activity/ circumstances whenever required.

13.0.2 WHAT IS BENCHMARK

Benchmarks are measurements to gauge the performance of a function, operation or business relative to others.

- Target Position / State (Best Practices).
- Guiding Position / Standard Value.
- Progressive Expression of definite Parameter.

Note: Benchmarking = Process of Handling and Dealing with Benchmarks

13.0.3 VARIETY REDUCTION

			TARGET
Code Index	=	No. of codes in circulation / No. of item in stock / transaction	~ 1
Code Addition	=	No. of New Allocation / No. of Code in Circulation	~ 0.05
Code Withdrawn	=	No. of code Withdrawn / No. of Code in Circulation	~ 0.08
Code Request	=	No. of code Items requested / No. of Actual Allotment	> 1
Non - coded	=	No. of Non- Coded Items / No. of Items Transacted	To be decided by Client

103 Mvt. Index	=	No. of 103 mvt. this year / No. of 103 mvt. last year	~	0.9
SRV (105 mvt.)	=	No. of SRV this year / No. of SRV last year	~	0.9
Inventory variety	=	No. of item this year / No. of item last year	~	0.9

13.0.4 RISK MANAGEMENT **TARGET**

Insurance Cost	=	Total cost of Insurance / Value of Insured Items	To be decided by Client
Insurance Index	=	Value of Uninsured / Value of Insured	- do-
Claim Index	=	Total Claim obtained / Total Amount Claimed	~ 0.95

13.0.5 TRAFFIC INDEX **TARGET RANGE**

In- transit	=	Value of In-transit / Average stock holding	0.05- 0.08
Demurrage Index	=	Demurrage Paid / Total Freight Bill	≤0.01
Kg-Km	=	Value of Current year / Value of Last year	≤ 1

13.0.6 MANPOWER INDEX

Inventory	=	No. of Stores people / Total No. of Plant people	0.015- 0.018
Casual	=	No. of Temporary people engaged / Total No. of Stores people	0.03-0.04
Reduction	=	No. of people this year / No. of people Last year	0.97-0.95

13.0.7 ECONOMY INDEX

Storage Cost / item = Total Fixed Cost of warehouse / No. of items stocked

Stock movement Cost = (Consumption + Stock Norm) * k, where $0.15 \leq K \leq 0.2$

Storage Cost Saving	=	Storage Cost Current year / Storage Cost Last Year	0.8 – 0.9
Stock movement Saving	=	Value in Current year / Value in Last year	0.9 -0.95
Non- moving / Obsolete index	=	Value of Dead stock / Value of Stock Holding	0.01- 0.02
Wastecity	=	Value of Scrap generated / Value of Stock consumption	To be decided by Client

13.0.8 ECONOMY INDEX TARGET RANGE

Stores ɳ Index	=	No. of Requisition delivered / Total No. of Requisition	~	0.95
Storage Loss index	=	Value of Annual Loss / Average Value of Stock		To be decided by Client
Handling Cost Index	=	Total Cost of Handling / Total value of Transaction		0.02
Adjustment Index	=	Value of Stock adjusted / Average Stock holding		To be decided by Client
Preservation Index	=	Loss of Goods / Average Stock holding		- do-
Transit Damage	=	No. of Transit Damage / Total No. of Consignment		- do-
Capacity Utilisation (m^2)	=	Area of Bin/ Racks on floor area / Total Storage Area		0.85
Capacity Utilisation (m^3)	=	Volume of Storage of Bin/Racks / Total Storage Volume or Warehouse Volume		0.75

13.0.9 LEAD TIME (Material Receive to Invoice Parking (Non-LSC Case)).

SL No.	DESCRIPTION	Duration(Days)
1	Material Receive to Creation of Inbound Delivery(I.D)	1-2
2	I.D to 103 Mvt.	1-3
3	103 Mvt. to 105 Mvt.(SRV)	0-1
4	105 Mvt. to Inspection of material	1-7
5	Matls.Inspection to Invoice parking & Send the Invoice + SRV to F&A	1-2

CHAPTER-14.0

ARCHIVAL OF DOCUMENTS

14.0 ARCHIVALS OF DOCUMENT

14.0.1 It is essential that each site shall arrange availability of key publications within the stores for reference purpose by all the concerned personnel as resource of knowledge bank. These can be broadly classified as

A Journals and Periodicals

B Handbooks and Manuals.

C Bulletins and Publications.

14.0.2 Some of the booklets which are of usages is nature are indicated below.

A. "ISI Bulletin" by Bureau of India Standards.

B. "Materials Management Review" by Indian Institute of Materials Management.

C. "MSTC Bulletin" by MS Division of MSTC.

D. "Industrial Handling "on Materials Handling Equipments.

E. Ready Reckoner for weighing and measuring guidebooks.

F. "Leaflets, Literatures etc." for general material e.g. Fasteners, Bearings etc.

14.0.3 In this context, it would be advisable to preserve and maintain at least all information with regard to Automatic Recoupment i.e. AR group of items which are regularly consumed at multi unit as well as multi location.

14.0.4 Many technical directories are now available in CD i.e. e-media for easy access and all site shall attempt to circulate such information on regular basis or periodically.

14.0.5 RETENTION AND DISPOSAL OF DOCUMENTS

A. Due to introduction of the On-Line systems, all the records, files registers pertaining to Materials Departments are available in Electronic media. However, for manual verification & to satisfy the statutory requirement etc., the documents are to be retained physically in the record room for a specific period depending upon the nature and importance of the documents which are detailed in Annexure-I.

B. To streamline the Record Keeping System and removal of old records in order to avoid unnecessary space occupation in Stores/ Purchase Section and final disposal after an appropriate retention period is the main objective of the procedure.

C. The various files and registers shall be kept in respective sections till the completion of the work on the file and then transferred to Central Record Room. These documents are to be indexed and properly preserved so that these can be easily available at the time of requirement at later date during the retention period.

D. As soon as the retention period is over these documents are to be destroyed as per NTPC guideline issued from time to time and as per Annexure-II.

ANNEXURE-I

14.0.5. A STORES RECORDS

Sl No.	**Subject**	**Compliance of Activities Before Transfer to the Record Room**	**Retention Period of Record after which to be destroyed**
1	Railway Receipts Register	After all the RR's entered in the register are liked to material taken on charge and RR's surrender to Railways.	5 years
2	Wagon Registers	After all the Wagons are linked and taken on charge	5 years
3	Wagon Placement Advice	After all the Wagons are linked and taken on charge	2 years
4	Wagon Labels, Seals	After material is taken on charge and a claim, if any, settled,	2 years
5	Cut dispatch register of small and / full wagons	After confirmation of receipt of goods and settlement of the case in totality.	5 years
6	Unloading Register	After all the consignment entered in the register are linked and handed over to checking sales.	5 years.
7	Indemnity Bond	After the IB entered in the register are linked with RR'S which are surrendered to railways	5 years Register
8	Post Parcel Register	After all the parcels are linked and taken on charge	5 years
9	SRV control Register	After the last entry	5 years

10	Rejection Register	After all the rejections cases are settled	5 years
11	Purchase Order Files of receipts section	After the completion of supplies and stores taken on charge.	8 years
13	Stores Copies of SRV	After a period deemed fit by respective site head of materials.	8 years.
14	Copies of issue vouchers, MTN, TEOs, MRN.	After a period deemed fit by respective site head of materials.	5 years
15	Issue Control, MTN control, Receipt Control, TEO control registers.	After a period deemed fit by respective site head of materials.	5 years.
16	Challan Register for gases like Oxygen, Acetylene etc.	After a period deemed fit by respective site head of materials.	5 years
17	Daily Stock Register of Cylinder	After a period deemed fit by respective site head of materials.	5 years
18	Petrol / HSD issue register	After a period deemed fit by respective site head of materials.	5 years
19	Writer off sanction for losses & stock taking discrepancies a. Up to Rs. 10,000/- b More than Rs. 1,000/-	After a period deemed fit by respective site head of materials. After write-off sanction and accounted.	8 years
20	Measurement Books.	After the complete settlement of the contractor's bills	8 years
21	Contractor's bill & register.	After the complete settlement of the contractor's bills.	8 years
22	Agreements contracts, deeds etc.	After the expiry of the agreement & settlement of all contractual issues.	8 years.
23	Procurement files	After closing the files up to payment stage.	3 years.
26	Files relating to surplus report sale / disposal of surplus stores.	After the completion of sale and resolving all issues relevant to the case.	8 years.
27	Office copies of stores PRs a. Consumable. b. Capital items	Stores & Spares	 5 years 10 years
28	Audit Objection	After the settlement of the audit points	5 years

29	Store Procedures files	Permanent	N.A
30	Gate Passes	As deemed fit by Head of C&M	5 years
31	Sample record register / files	After completion of the cases.	2 years
32	Excess Duty & demurrage register	After settlement of all excess duty and demurrage cases in the register	2 years
33	Claim register	Settlement of claim and full realization of claim value.	5 years.

ANNEXURE-II

14.0.2. D <u>DETAILS OF RECORDS DESTROYED (GENERAL / STORES)</u>

Serial Number	Description of Records with Subject	Details of File Nos./ No. of pages, Volumes etc.	Retention Period	Date of Destruction	Name, Signature of Officer (Authorizing Destruction)	Name, Signature of officer Scrutinizing & Supervising Destruction)	Remarks
1	2	3	4	5	6	7	8

CHAPTER-15.0

SYSTEM REVIEW

15.0 SYSTEM REVIEW, EVALUATION AND MODIFICATION

15.0.1 The global business scenario is changing so fast due to technical advancement that constant review and improvement aspects are to be dealt with at regular intervals for taking proper decision at the proper time to keep pace with the global strategy.

15.0.2 To sustain this effort, it is proposed that a steering committee shall be formed comprising members from:

- Management System Group.
- Corporate ERP Group
- Corporate Materials Management.
- Site Head of Finance.
- Site Head of Materials.

15.0.3 This committee shall preferably meet in each quarter on a common platform to Discuss, Deliberate, Plan, Act etc. for the issue of common interest as well as towards the benefits of over all Management System.

15.0.4 To evaluate system effectiveness, broad general parameters shall be:

- Throughput and Speed.
- Operation and Maintenance Cost.
- Operational ease and Usefulness of Outputs.
- Benchmarking of various lead-time for each activity.

15.0.5 Site Materials and Corporate Materials shall work in tandem to identify the Gaps and Constraints, so that such areas can be resolved jointly for mutual benefits.

15.0.6 Corporate Materials management may initiate and coordinate this type of activities as a Hub-Centre since they have the knowledge in all the relevant aspects of Materials Management.

15.0.7 For Improvement of systems and procedures, Site Materials Management shall refer to corporate materials who in turn shall deliberate and formulate policies for Implementation at site.

Core Values: ICOMIT

INTEGRITY
CUSTOMER FOCUS
ORGANISATIONAL PRIDE
MUTUAL RESPECT & TRUST
INNOVATION & LEARNING
TOTAL QUALITY & SAFETY

एन टी पी सी लिमिटेड

(भारत सरकार का उद्यम)

NTPC Limited

(A Government of India Enterprise)

NTPC VISION

TO BE THE WORLD'S LEADING POWER COMPANY, ENERGIZING INDIA'S GROWTH.

NTPC MISSION

PROVIDE RELIABLE POWER AND RELATED SOLUTIONS IN AN ECONOMICAL, EFFICIENT AND ENVIRONMENT FRIENDLY MANNER, DRIVEN BY INNOVATION AND AGILITY.